

CASES DECIDED

IN THE

COURT OF APPEALS

OF THE

STATE OF NEW YORK

[19 NE3d 480, 994 NYS2d 554]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v MAR-
QUAN M., Appellant. COUNTY OF ALBANY, Intervenor-
Respondent.

Argued June 5, 2014; decided July 1, 2014

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Albany County Court (Stephen W. Herrick, J.), dated May 20, 2013. The County Court affirmed a judgment of the City Court of Cohoes, Albany County (Richard R. Maguire, J.), which had adjudicated defendant a youthful offender upon his plea of guilty to one count of violating Local Law No. 11 (2010) of County of Albany.

HEADNOTE

**Crimes — Cyberbullying — Constitutionality of Local Law —
Overbreadth**

Local Law No. 11 (2010) of County of Albany, criminalizing “cyberbullying” and motivated by the laudable public purpose of shielding children from cyberbullying, is overbroad as drafted and facially invalid under the Free Speech Clause of the First Amendment. On its face, the law covered communications aimed at adults, and fictitious or corporate entities, even though its passage was justified based on the detrimental effects that cyberbullying has on school-aged children. Further, the methods of expression listed by the law as examples of covered communications were not limited to instances of cyberbullying but included every conceivable form of electronic communication. Finally, the provision pertained to electronic communications meant to “harass, annoy . . . taunt . . . [or] humiliate” any person or entity, not just those intended to “threaten, abuse . . . intimidate, torment . . . or otherwise inflict significant

emotional harm on” a child. Moreover, it was not a permissible use of judicial authority to sever the offending portions of the law and interpret it to include only three types of electronic communications sent with the intent to inflict emotional harm on a child—sexually explicit photographs, private or personal sexual information and false sexual information—with no legitimate public, personal or private purpose. The text of the law did not adequately reflect an intent to so restrict its reach, and significant modifications to the applications of the law therefore would have been necessary to achieve such an interpretation. Accordingly, the restrictions on speech contained in Local Law No. 11 did not survive strict scrutiny.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Computers and the Internet § 13; AM JUR 2d, Constitutional Law §§ 137, 397, 426–431, 465, 528.
 CARMODY-WAIT 2d, Juvenile and Youthful Offenders §§ 206:57–206:68.
 NY JUR 2d, Constitutional Law §§ 265–266, 275, 281–283, 380; NY JUR 2d, Counties, Towns, and Municipal Corporations §§ 352, 362.
 US Const 1st Amend.

ANNOTATION REFERENCE

See ALR Index under First Amendment; Freedom of Speech and Press; Internet; Overbreadth.

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POINTS OF COUNSEL

New York Civil Liberties Union Foundation, New York City (Corey Stoughton, Daniel Mullkoff and Arthur Eisenberg of counsel), and *Christian DeFranqueville*, Ballston Spa, for appellant. I. The cyberbullying law is a facially invalid criminalization of constitutionally protected speech. (*People ex rel. Arcara v Cloud Books*, 68 NY2d 553; *Gooding v Wilson*, 405 US 518; *People v Shack*, 86 NY2d 529; *Cohen v California*, 403 US 15; *Chaplinsky v New Hampshire*, 315 US 568; *Brandenburg v Ohio*, 395 US 444; *Miller v California*, 413 US 15; *Texas v Johnson*, 491 US 397; *Purtell v Mason*, 527 F3d 615; *Virginia v Black*, 538 US 343.) II. The cyberbullying law is unconstitutionally vague on its face. (*United States v Lanier*, 520 US 259; *People v Bright*, 71 NY2d 376; *NAACP v Button*, 371 US 415; *Reno v American Civil Liberties Union*, 521 US 844; *People v Dietze*, 75

NY2d 47; *Chicago v Morales*, 527 US 41; *Grayned v City of Rockford*, 408 US 104; *Baggett v Bullitt*, 377 US 360; *Houston v Hill*, 482 US 451; *Coates v Cincinnati*, 402 US 611.) III. The cyberbullying law is unconstitutional as applied to the appellant's speech. (*Purtell v Mason*, 527 F3d 615; *People v Dietze*, 75 NY2d 47; *United States v Playboy Entertainment Group, Inc.*, 529 US 803; *Cliffs Notes, Inc. v Bantam Doubleday Dell Publ. Group, Inc.*, 886 F2d 490.)

Thomas Marcelle, Albany, *Patrick J. Collins* and *Lisabeth Jorgensen* for intervenor-respondent. I. The First Amendment does not protect the dissemination of false sexual information for the purpose of inflicting emotional harm on a minor. (*Herbert v Lando*, 441 US 153; *Hustler Magazine, Inc. v Falwell*, 485 US 46; *BE&K Constr. Co. v NLRB*, 536 US 516; *Virginia Bd. of Pharmacy v Virginia Citizens Consumer Council, Inc.*, 425 US 748; *Philadelphia Newspapers, Inc. v Hepps*, 475 US 767; *Phelps v Hamilton*, 59 F3d 1058; *People v Stuart*, 100 NY2d 412; *Babbitt v Sweet Home Chapter, Communities for Great Ore.*, 515 US 687; *People v Davis*, 13 NY3d 17.) II. The cyberbullying law survives defendant's vagueness challenge. (*People v Stuart*, 100 NY2d 412; *People v Shack*, 86 NY2d 529; *United States v Thompson*, 653 F3d 688; *Hobbs v County of Westchester*, 397 F3d 133; *Roth v United States*, 354 US 476; *Staley v Jones*, 239 F3d 769; *People v Lombardo*, 61 NY2d 97; *Colautti v Franklin*, 439 US 379; *Screws v United States*, 325 US 91; *Ward v Utah*, 398 F3d 1239.) III. Should the Court take issue with any specific term within the cyberbullying law, it may sever such language and preserve the protections afforded by the law. (*People ex rel. Alpha Portland Cement Co. v Knapp*, 230 NY 48; *National Adv. Co. v Town of Niagara*, 942 F2d 145; *Alaska Airlines, Inc. v Brock*, 480 US 678.)

Morrison & Foerster LLP, New York City (*Dennis P. Orr* and *Cindy P. Abramson* of counsel), for Advocates for Children of New York and others, amici curiae. I. Criminalizing cyberbullying is counterproductive and harmful. II. Better alternatives exist for dealing with cyberbullying. (*Ashcroft v American Civil Liberties Union*, 542 US 656.)

OPINION OF THE COURT

GRAFFEO, J.

Defendant, a 16-year-old high school student, anonymously posted sexual information about fellow classmates on a publicly-

accessible Internet website. He was criminally prosecuted for “cyberbullying” under a local law enacted by the Albany County Legislature. We are asked to decide whether this cyberbullying statute comports with the Free Speech Clause of the First Amendment.

I

Bullying by children in schools has long been a prevalent problem but its psychological effects were not studied in earnest until the 1970s (see Hyojin Koo, *A Time Line of the Evolution of School Bullying in Differing Social Contexts*, 8 Asia Pac Educ Rev 107 [2007], available at <http://files.eric.ed.gov/fulltext/EJ768971.pdf>). Since then, “[b]ullying among school-aged youth” has “increasingly be[en] recognized as an important problem affecting well-being and social functioning,” as well as “a potentially more serious threat to healthy youth development” (Tonja R. Nansel et al., *Bullying Behaviors among US Youth*, 285 JAMA 2094 [2001], available at <http://jama.jamanetwork.com/article.aspx?articleid=193774>). At its core, bullying represents an imbalance of power between the aggressor and victim that often manifests in behaviors that are “verbal (e.g., name-calling, threats), physical (e.g., hitting), or psychological (e.g., rumors, shunning/exclusion)” (*id.* at 2094; see Koo at 112). Based on the recognized harmful effects of bullying, many schools and communities now sponsor anti-bullying campaigns in order to reduce incidents of such damaging behaviors.

Educators and legislators across the nation have endeavored to craft policies designed to counter the adverse impact of bullying on children. New York, for example, enacted the “Dignity for All Students Act” in 2010 (see L 2010, ch 482, § 2; Education Law § 10 *et seq.*), declaring that our State must “afford all students in public schools an environment free of discrimination and harassment” caused by “bullying, taunting or intimidation” (Education Law § 10). In furtherance of this objective, the State prohibited discrimination and bullying on public school property or at school functions (see Education Law § 12 [1]). The Act relied on the creation and implementation of school board policies to reduce bullying in schools through the appropriate training of personnel, mandatory instruction for students on civility and tolerance, and reporting requirements (see Education Law § 13). The Act did not criminalize bullying behaviors; instead, it incorporated educational penalties such as suspension from school.

Despite these efforts, the problem of bullying continues, and has been exacerbated by technological innovations and the widespread dissemination of electronic information using social media sites. The advent of the Internet with “twenty-four hour connectivity and social networking” means that “[b]ullying that begins in school follows students home every day” and “bullying through the use of technology can begin away from school property” (L 2012, ch 102, § 1). Regardless of how or where bullying occurs, it “affects the school environment and disrupts the educational process, impeding the ability of students to learn and too often causing devastating effects on students’ health and well-being” (*id.*; see e.g. American Psychiatric Association, Resolution on Bullying among Children & Youth [2004], available at <https://www.apa.org/about/policy/bullying.pdf>). The use of computers and electronic devices to engage in this pernicious behavior is commonly referred to as “cyberbullying” (see e.g. Education Law § 11 [8]; L 2012, ch 102, § 1; Simone Robers et al., Indicators of School Crime & Safety: 2012 at 44, National Center for Education Statistics, United States Departments of Education & Justice [2013], available at <http://nces.ed.gov/pubs2013/2013036.pdf>). Unlike traditional bullying, victims of cyberbullying can be “relentlessly and anonymously attack[ed] twenty-four hours a day for the whole world to witness. There is simply no escape.”¹

The Dignity for All Students Act did not originally appear to encompass cyberbullying, particularly acts of bullying that occur off school premises. As the ramifications of cyberbullying on social networking sites spilled into the educational environment, in 2012, the state legislature amended the Act to expand the types of prohibited bullying conduct covered by its provisions. It added a proscription on bullying that applied to “any form of electronic communication” (Education Law § 11 [8]), including any off-campus activities that “foreseeably create a risk of substantial disruption within the school environment, where it is foreseeable that the conduct, threats, intimidation or abuse might reach school property” (Education Law § 11 [7]).

Before the addition of the 2012 amendments to the Dignity for All Students Act, elected officials in Albany County decided to tackle the problem of cyberbullying. They determined there was a need to criminalize such conduct because the “State

1. Naomi Harlin Goodno, *How Public Schools Can Constitutionally Halt Cyberbullying*, 46 Wake Forest L Rev 641, 641 (2011).

Legislature ha[d] failed to address th[e] problem” of “non-physical bullying behaviors transmitted by electronic means” (Local Law No. 11 [2010] of County of Albany § 1). In 2010, the Albany County Legislature adopted a new crime—the offense of cyberbullying—which was defined as

“any act of communicating or causing a communication to be sent by mechanical or electronic means, including posting statements on the internet or through a computer or email network, disseminating embarrassing or sexually explicit photographs; disseminating private, personal, false or sexual information, or sending hate mail, with no legitimate private, personal, or public purpose, with the intent to harass, annoy, threaten, abuse, taunt, intimidate, torment, humiliate, or otherwise inflict significant emotional harm on another person” (*id.* § 2).

The provision outlawed cyberbullying against “any minor or person” situated in the county (*id.* § 3).² Knowingly engaging in this activity was deemed to be a misdemeanor offense punishable by up to one year in jail and a \$1,000 fine (*see id.* § 4). The statute, which included a severability clause (*see id.* § 7), became effective in November 2010.

II

A month later, defendant Marquan M., a student attending Cohoes High School in Albany County, used the social networking website “Facebook” to create a page bearing the pseudonym “Cohoes Flame.” He anonymously posted photographs of high-school classmates and other adolescents, with detailed descriptions of their alleged sexual practices and predilections, sexual partners and other types of personal information. The descriptive captions, which were vulgar and offensive, prompted responsive electronic messages that threatened the creator of the website with physical harm.

A police investigation revealed that defendant was the author of the Cohoes Flame postings. He admitted his involvement and was charged with cyberbullying under Albany County’s local law. Defendant moved to dismiss, arguing that the statute violated his right to free speech under the First Amendment.

2. The term “person” was broadly defined to include “any natural person, individual, corporation, unincorporated association, proprietorship, firm, partnership, joint venture, joint-stock association, or other entity or business organization of any kind” (Local Law No. 11 [2010] of County of Albany § 2).

After City Court denied defendant’s motion, he pleaded guilty to one count of cyberbullying but reserved his right to raise his constitutional arguments on appeal. County Court affirmed, concluding that the local law was constitutional to the extent it outlawed such activities directed at minors, and held that the application of the provision to defendant’s Facebook posts did not contravene his First Amendment rights. A Judge of this Court granted defendant leave to appeal (21 NY3d 1043 [2013]).

III

Defendant contends that Albany County’s cyberbullying law violates the Free Speech Clause of the First Amendment because it is overbroad in that it includes a wide array of protected expression, and is unlawfully vague since it does not give fair notice to the public of the proscribed conduct. The County concedes that certain aspects of the cyberbullying law are invalid but maintains that those portions are severable, rendering the remainder of the act constitutional if construed in accordance with the legislative purpose of the enactment. Interpreted in this restrictive manner, the County asserts that the cyberbullying law covers only particular types of electronic communications containing information of a sexual nature pertaining to minors and only if the sender intends to inflict emotional harm on a child or children.

Under the Free Speech Clause of the First Amendment, the government generally “has no power to restrict expression because of its message, its ideas, its subject matter, or its content” (*United States v Stevens*, 559 US 460, 468 [2010] [internal quotation marks omitted]). Consequently, it is well established that prohibitions of pure speech must be limited to communications that qualify as fighting words, true threats, incitement, obscenity, child pornography, fraud, defamation or statements integral to criminal conduct (see *United States v Alvarez*, 567 US —, —, 132 S Ct 2537, 2544 [2012]; *Brown v Entertainment Merchants Assn.*, 564 US —, —, 131 S Ct 2729, 2733 [2011]; *People v Dietze*, 75 NY2d 47, 52 [1989]). Outside of such recognized categories, speech is presumptively protected and generally cannot be curtailed by the government (see *United States v Alvarez*, 567 US at —, 132 S Ct at 2543-2544; *Brown v Entertainment Merchants Assn.*, 564 US at —, 131 S Ct at 2734; *United States v Stevens*, 559 US at 468-469).

Yet, the government unquestionably has a compelling interest in protecting children from harmful publications or materials

(see *Reno v American Civil Liberties Union*, 521 US 844, 875 [1997]; see also *Brown v Entertainment Merchants Assn.*, 564 US at —, 131 S Ct at 2736; see generally *Bethel School Dist. No. 403 v Fraser*, 478 US 675, 682 [1986]). Cyberbullying is not conceptually immune from government regulation, so we may assume, for the purposes of this case, that the First Amendment permits the prohibition of cyberbullying directed at children, depending on how that activity is defined (see generally *Brown v Entertainment Merchants Assn.*, 564 US at —, —, 131 S Ct at 2735-2736, 2741; cf. *United States v Elonis*, 730 F3d 321 [3d Cir 2013] [affirming conviction premised on threatening Facebook posts], *cert granted* 573 US —, 134 S Ct 2819 [June 16, 2014]). Our task therefore is to determine whether the specific statutory language of the Albany County legislative enactment can comfortably coexist with the right to free speech.³

Challenges to statutes under the Free Speech Clause are usually premised on the overbreadth and vagueness doctrines. A regulation of speech is overbroad if constitutionally-protected expression may be “chilled” by the provision because it facially “prohibits a real and substantial amount of” expression guarded by the First Amendment (*People v Barton*, 8 NY3d 70, 75 [2006]). This type of facial challenge, which is restricted to cases implicating the First Amendment, requires a court to assess the wording of the statute—“without reference to the defendant’s conduct” (*People v Stuart*, 100 NY2d 412, 421 [2003])—to decide whether “a substantial number of its applications are unconstitutional, judged in relation to the statute’s plainly legitimate sweep” (*United States v Stevens*, 559 US at 473 [internal quotation marks omitted]). A law that is overbroad cannot be validly applied against any individual (see *People v Stuart*, 100 NY2d at 421, citing Tribe, *American Constitutional Law* § 12-32 at 1036 [2d ed 1988]). In contrast, a statute is seen by the courts as vague if “it fails to give a citizen adequate notice of the nature of proscribed conduct, and permits arbitrary and discriminatory enforcement” (*People v Shack*, 86 NY2d 529, 538 [1995]). Hence, the government has the burden of demonstrating that a regulation of speech is constitutionally permissible (see *United States v Playboy Entertainment Group, Inc.*, 529 US 803, 816-817 [2000]; cf. *People v Davis*, 13 NY3d 17, 23 [2009]).

3. We offer no opinion on whether cyberbullying should be a crime or whether there are more effective means of addressing this societal problem outside of the criminal justice system.

A First Amendment analysis begins with an examination of the text of the challenged legislation since “it is impossible to determine whether a statute reaches too far without first knowing what the statute covers” (*United States v Williams*, 553 US 285, 293 [2008]). In this regard, fundamental principles of statutory interpretation are controlling. Chief among them is the precept that “clear and unequivocal statutory language is presumptively entitled to authoritative effect” (*People v Suber*, 19 NY3d 247, 252 [2012]; see e.g. *People v Williams*, 19 NY3d 100, 103 [2012]).

Based on the text of the statute at issue, it is evident that Albany County “create[d] a criminal prohibition of alarming breadth” (*United States v Stevens*, 559 US at 474). The language of the local law embraces a wide array of applications that prohibit types of protected speech far beyond the cyberbullying of children (see *id.* at 473-474; *People v Barton*, 8 NY3d at 75). As written, the Albany County law in its broadest sense criminalizes “any act of communicating . . . by mechanical or electronic means . . . with no legitimate . . . personal . . . purpose, with the intent to harass [or] annoy . . . another person.” On its face, the law covers communications aimed at adults, and fictitious or corporate entities, even though the county legislature justified passage of the provision based on the detrimental effects that cyberbullying has on school-aged children. The county law also lists particular examples of covered communications, such as “posting statements on the internet or through a computer or email network, disseminating embarrassing or sexually explicit photographs; disseminating private, personal, false or sexual information, or sending hate mail.” But such methods of expression are not limited to instances of cyberbullying—the law includes every conceivable form of electronic communication, such as telephone conversations, a ham radio transmission or even a telegram. In addition, the provision pertains to electronic communications that are meant to “harass, annoy . . . taunt . . . [or] humiliate” any person or entity, not just those that are intended to “threaten, abuse . . . intimidate, torment . . . or otherwise inflict significant emotional harm on” a child. In considering the facial implications, it appears that the provision would criminalize a broad spectrum of speech outside the popular understanding of cyberbullying, including, for example: an email disclosing private information about a corporation or a telephone conversation meant to annoy an adult.

The County admits that the text of the statute is too broad and that certain aspects of its contents encroach on recognized areas of protected free speech. Because the law “imposes a restriction on the content of protected speech, it is invalid unless” the County “can demonstrate that it passes strict scrutiny—that is, unless it is justified by a compelling government interest and is narrowly drawn to serve that interest” (*Brown v Entertainment Merchants Assn.*, 564 US at —, 131 S Ct at 2738). For this reason, the County asks us to sever the offending portions and declare that the remainder of the law survives strict scrutiny. What remains, in the County’s view, is a tightly circumscribed cyberbullying law that includes only three types of electronic communications sent with the intent to inflict emotional harm on a child: (1) sexually explicit photographs; (2) private or personal sexual information; and (3) false sexual information with no legitimate public, personal or private purpose.

It is true, as the County urges, that a court should strive to save a statute when confronted with a Free Speech challenge (see e.g. *People ex rel. Alpha Portland Cement Co. v Knapp*, 230 NY 48, 62-63 [1920], *cert denied* 256 US 702 [1921]). But departure from a textual analysis is appropriate only if the statutory language is “fairly susceptible” to an interpretation that satisfies applicable First Amendment requirements (*People v Dietze*, 75 NY2d at 52; see e.g. *United States v Stevens*, 559 US at 481). The doctrine of separation of governmental powers prevents a court from rewriting a legislative enactment through the creative use of a severability clause when the result is incompatible with the language of the statute (see e.g. *People v Dietze*, 75 NY2d at 52-53; *Reno v American Civil Liberties Union*, 521 US at 884-885). And special concerns arise in the First Amendment context—excessive judicial revision of an overbroad statute may lead to vagueness problems because

“the statutory language would signify one thing but, as a matter of judicial decision, would stand for something entirely different. Under those circumstances, persons of ordinary intelligence reading [the law] could not know what it actually meant” (*People v Dietze*, 75 NY2d at 53; see e.g. *Houston v Hill*, 482 US 451, 468-469 [1987]).

We conclude that it is not a permissible use of judicial authority for us to employ the severance doctrine to the extent suggested by the County or the dissent. It is possible to sever the portion of the cyberbullying law that applies to adults and other

entities because this would require a simple deletion of the phrase “or person” from the definition of the offense. But doing so would not cure all of the law’s constitutional ills. As we have recently made clear, the First Amendment protects annoying and embarrassing speech (*see e.g. People v Golb*, 23 NY3d 455 [2014]; *People v Dietze*, 75 NY2d at 52-53), even if a child may be exposed to it (*see Brown v Entertainment Merchants Assn.*, 564 US at —, 131 S Ct at 2736), so those references would also need to be excised from the definitional section. And, the First Amendment forbids the government from deciding whether protected speech qualifies as “legitimate,” as Albany County has attempted to do (*see Snyder v Phelps*, 562 US —, —, 131 S Ct 1207, 1220 [2011], quoting *Erznoznik v Jacksonville*, 422 US 205, 210-211 [1975]; *cf. People v Shack*, 86 NY2d at 536-537).⁴

It is undisputed that the Albany County statute was motivated by the laudable public purpose of shielding children from cyberbullying. The text of the cyberbullying law, however, does not adequately reflect an intent to restrict its reach to the three discrete types of electronic bullying of a sexual nature designed to cause emotional harm to children. Hence, to accept the County’s proposed interpretation, we would need to significantly modify the applications of the county law, resulting in the amended scope bearing little resemblance to the actual language of the law. Such a judicial rewrite encroaches on the authority of the legislative body that crafted the provision and enters the realm of vagueness because any person who reads it would lack fair notice of what is legal and what constitutes a crime. Even if the First Amendment allows a cyberbullying statute of the limited nature proposed by Albany County, the local law here was not drafted in that manner. Albany County therefore has not met its burden of proving that the restrictions on speech contained in its cyberbullying law survive strict scrutiny.

. . .

4. Contrary to the dissent’s position, *People v Shack* (86 NY2d 529 [1995]) and *People v Stuart* (100 NY2d 412 [2003]) are distinguishable because they addressed statutes that criminalized conduct—repeated telephone harassment and stalking—without regard to the content of any communication. Here, however, the Albany County law facially allows law enforcement officials to charge a crime based on the communicative message that the accused intends to convey, as evidenced by the fact that defendant was prosecuted because of the offensive words he wrote on Facebook.

There is undoubtedly general consensus that defendant's Facebook communications were repulsive and harmful to the subjects of his rants, and potentially created a risk of physical or emotional injury based on the private nature of the comments. He identified specific adolescents with photographs, described their purported sexual practices and posted the information on a website accessible world-wide. Unlike traditional bullying, which usually takes place by a face-to-face encounter, defendant used the advantages of the Internet to attack his victims from a safe distance, 24 hours a day, while cloaked in anonymity. Although the First Amendment may not give defendant the right to engage in these activities, the text of Albany County's law envelops far more than acts of cyberbullying against children by criminalizing a variety of constitutionally-protected modes of expression. We therefore hold that Albany County's Local Law No. 11 of 2010—as drafted—is overbroad and facially invalid under the Free Speech Clause of the First Amendment.

Accordingly, the order of County Court should be reversed and the accusatory instrument dismissed.

SMITH, J. (dissenting). Albany County has conceded that certain provisions of its Cyber-Bullying law are invalid. It seems to me that those provisions can be readily severed from the rest of the legislation and that what remains can, without any strain on its language, be interpreted in a way that renders it constitutionally valid.

The operative provision of the law says simply: “No person shall engage in cyber-bullying against any minor or person in the County of Albany.” The County does not defend the law as it applies to adults, and the majority acknowledges that we may consider the statute as if the words “or person” were deleted (majority op at 11). But the majority finds irreparable constitutional flaws in the definition of Cyber-Bullying, which is as follows:

“ ‘CYBER-BULLYING’ shall mean any act of communicating or causing a communication to be sent by mechanical or electronic means, including posting statements on the internet or through a computer or email network, disseminating embarrassing or sexually explicit photographs; disseminating private, personal, false or sexual information, or sending hate mail, with no legitimate private, personal, or public purpose, with the intent to

harass, annoy, threaten, abuse, taunt, intimidate, torment, humiliate, or otherwise inflict significant emotional harm on another person.”

The County concedes that the words “embarrassing” and “hate mail” are “vague and thus unenforceable” (brief of intervenor-respondent Albany County [County Brief] at 8 n 4). It argues, correctly I think, that these terms can be dealt with in the same way as the reference to “person” in the operative section: simply by crossing them out. Once these deletions are made, I see nothing in the law that renders it unconstitutional.

The majority, it seems, is troubled by two other aspects of the definition of “Cyber-Bullying”: the requirement that the forbidden communications be made “with no legitimate private, personal, or public purpose”; and the series of verbs—“harass, annoy, threaten, abuse, taunt, intimidate, torment, humiliate”—that precedes the words “or otherwise.” Neither requires us to invalidate the law.

I grant that the words “no legitimate . . . purpose” are not remarkable for their precision. We have twice held, however, that they are clear enough to withstand a constitutional challenge for vagueness (*People v Shack*, 86 NY2d 529, 533, 538 [1995] [holding valid a prohibition on the making of a telephone call “with intent to harass, annoy, threaten or alarm another person . . . with no purpose of legitimate communication”]; *People v Stuart*, 100 NY2d 412, 428 [2003] [holding valid an anti-stalking statute prohibiting a described course of conduct when engaged in “for no legitimate purpose”]). We said in *Shack*:

“the phrase ‘no purpose of legitimate communication’ . . . notwithstanding its subjective quality, would be understood to mean the absence of expression of ideas or thoughts other than threats and/or intimidating or coercive utterances.” (86 NY2d at 538.)

Similarly here, the phrase “no legitimate purpose” should be understood to mean the absence of expression of ideas or thoughts other than the mere abuse that the law proscribes.

It is true, as the majority says (majority op at 11 n 4) that the criminal conduct at issue in *Shack* and *Stuart* was different from the conduct at issue here—but that does not make the words “no legitimate purpose” any more or less vague. The majority is also correct in saying that “the First Amendment

forbids the government from deciding whether protected speech qualifies as ‘legitimate’ ” (majority op at 11), but this begs the central question of what speech is “protected” and what is not. The Cyber-Bullying law prohibits a narrow category of valueless and harmful speech when the government proves, among other things, that the speaker had no legitimate purpose for engaging in it. The speech so prohibited is not protected speech.

As for the list of verbs beginning with “annoy” and ending with “humiliate,” it is fair to read them, as the County urges, as “a non-exhaustive list of ways that the wrongdoer may formulate his or her intent to inflict emotional harm on the victim” (County Brief at 8). In other words, the acts within the scope of the Cyber-Bullying law—disseminating sexually explicit photographs or private, personal, false or sexual information—are prohibited only where they are intended to “inflict significant emotional harm” on the victim, and the verbs merely serve as examples of ways in which significant emotional harm may be inflicted. That is not the only possible way to read the text of the law, but it is a perfectly reasonable way—indeed, the word “otherwise” seems to signal that the verbs preceding it are only illustrative. So read, the law does not prohibit conduct intended to harass, annoy, threaten or the like unless the actor specifically intended “significant emotional harm.” I do not find such a prohibition to be unconstitutionally vague or overbroad.

In short, I think the majority makes too much of what it sees as flaws in the draftsmanship of the Cyber-Bullying law. The crux of the case, in my view, is whether Albany County constitutionally may do what it is trying to do—to prohibit certain kinds of communication that have no legitimate purpose and are intended to inflict significant emotional injury on children. The answer to this question is not self-evident. The First Amendment protects some extremely obnoxious forms of speech, including insults offered to a dead soldier at his funeral (*Snyder v Phelps*, 562 US —, 131 S Ct 1207 [2011]) and horrifyingly violent video games marketed to teenagers (*Brown v Entertainment Merchants Assn.*, 564 US —, 131 S Ct 2729 [2011]). But *Snyder* itself makes clear that speech designed to inflict serious emotional injury is protected only when, as in *Snyder*, the speech is directed at a matter of public concern:

“Whether the First Amendment prohibits holding Westboro liable for its speech in this case turns largely on whether that speech is of public or private

concern, as determined by all the circumstances of the case. . . . [R]estricting speech on purely private matters does not implicate the same constitutional concerns as limiting speech on matters of public interest” (562 US at —, 131 S Ct at 1215; *see also Hustler Magazine, Inc. v Falwell*, 485 US 46, 53 [1988] [speech about a “public figure” is constitutionally protected even if uttered with intent to cause emotional distress because regulation of emotionally harmful speech about public figures would chill debate on public matters]).

It is thus clear that the emotional abuse involved in *Snyder* would not have been constitutionally protected if, like Marquan’s remarks about his fellow students, it had referred to no matter of public importance and had been uttered purely out of private rage or spite. And the victims of the abuse in *Snyder* were adults; in that respect, the present case is a *fortiori*. The Albany County Cyber-Bullying law is valid.

Chief Judge LIPPMAN and Judges READ, RIVERA and ABDUS-SALAAM concur with Judge GRAFFEO; Judge SMITH dissents in an opinion in which Judge PIGOTT concurs.

Order reversed and accusatory instrument dismissed.

[20 NE3d 264, 995 NYS2d 534]

In re THELEN LLP.

YANN GERON, as Chapter 7 Trustee of the Estate of THELEN LLP, Appellant, v SEYFARTH SHAW LLP, Respondent.

In re COUDERT BROTHERS LLP, Debtor. DEVELOPMENT SPECIALISTS, INC., Respondent-Appellant, K&L GATES LLP et al., Appellants-Respondents, AKIN GUMP STRAUSS HAUER & FELD LLP et al., Appellants-Respondents.

Argued June 4, 2014; decided July 1, 2014

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review two questions certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit in the two above-entitled matters. The following questions were certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “Under New York law, is a client matter that is billed on an hourly basis the property of a law firm, such that, upon dissolution and in related bankruptcy proceedings, the law firm is entitled to the profit earned on such matters as the ‘unfinished business’ of the firm? If so, how does New York law define a ‘client matter’ for purposes of the unfinished business doctrine and what proportion of the profit derived from an ongoing hourly matter may the new law firm retain?”

HEADNOTE

Partnership — Dissolution — Pending Hourly Fee Matters Do Not Constitute Partnership Property or Unfinished Business of Law Firm

Pending hourly fee matters of a dissolved law firm are not partnership “property” or “unfinished business” within the meaning of the Partnership Law. A law firm does not own a client or an engagement, and is only entitled to be paid for services actually rendered. The Partnership Law itself does not define property; rather, it supplies default rules for how a partnership upon dissolution divides property as elsewhere defined in state law. In New York, given a client’s unfettered right to hire and fire counsel, no law firm has a property interest in future hourly legal fees because they are too contingent in nature and speculative to create a present or future property interest. Treating a dissolved firm’s pending hourly fee matters as partnership property would have numerous perverse effects, and conflicts with basic principles that govern the attorney-client relationship under New York law and the Rules of Professional Conduct (22 NYCRR 1200.0). To allow former partners of a dissolved firm to profit from work they do not perform, all at the expense of a

former partner and his or her new firm, would create an unjust windfall and conflict with New York's strong public policy encouraging client choice and, concomitantly, attorney mobility.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Attorneys at Law §§ 308–309; AM JUR 2d, Partnership §§ 243, 264, 301, 318, 364, 380, 577, 644, 714, 717–718, 736, 913.

CARMODY-WAIT 2d, Actions and Proceedings by or Against, or in Reference to, Partnerships and Associations §§ 122:75–122:76, 122:81, 122:92, 122:95, 122:121.

McKINNEY'S, NY Const, art VI, § 3 (b) (9).
22 NYCRR 1200.0.

NY JUR 2d, Attorneys at Law § 231; NY JUR 2d, Business Relationships §§ 1726, 1744, 1751, 1787, 1824, 1831, 1834, 1839, 1860, 1933.

ANNOTATION REFERENCE

Rights in profits earned by partnership or joint adventure after death or dissolution. 55 ALR 2d 1391.

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POINTS OF COUNSEL

Rich Michaelson Magaliff Moser, LLP, New York City (*Howard P. Magaliff* of counsel), for appellant in the first above-entitled proceeding. Hourly fee matters are partnership property under New York law. (*Ederer v Gursky*, 9 NY3d 514; *Reiner v North Am. Newspaper Alliance*, 259 NY 250; *Matter of DaimlerChrysler Corp. v Spitzer*, 7 NY3d 653; *Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205; *Kabir v County of Monroe*, 16 NY3d 217; *Eaton v New York City Conciliation & Appeals Bd.*, 56 NY2d 340; *Farrington v Pinckney*, 1 NY2d 74; *Adler v Deegan*, 251 NY 467; *Paterson v University of State of N.Y.*, 14 NY2d 432; *Maresca v Cuomo*, 64 NY2d 242.)

Thompson Hine LLP, Cleveland, Ohio (*Michael R. Levinson* and *Thomas L. Feher* of counsel), and *Seyfarth Shaw LLP*, Chicago, Illinois (*Lori L. Roeser* and *M. Ryan Pinkston* of counsel), for respondent in the first above-entitled proceeding. I. Law firms do not own client matters, regardless of how such

matters are billed. (*International News Service v Associated Press*, 248 US 215; *Verizon New England Inc. v Transcom Enhanced Servs., Inc.*, 21 NY3d 66; *Matter of Cooperman*, 83 NY2d 465; *Demov, Morris, Levin & Shein v Glantz*, 53 NY2d 553; *Stem v Warren*, 227 NY 538; *People v Ryan*, 274 NY 149; *Braschi v Stahl Assoc. Co.*, 74 NY2d 201; *Sheresky v Sheresky Aronson Mayefsky & Sloan, LLP*, 35 Misc 3d 1201[A], 2011 NY Slip Op 52504[U]; *McDonald v Fenzel*, 233 AD2d 219; *Shandell v Katz*, 217 AD2d 472.) II. The Court need not answer the second certified question, but to the extent it chooses to do so, the Court should define “client matter” narrowly and conclude that the law firm actually providing services is entitled to retain all fees generated by such services. (*Matter of Cooperman*, 83 NY2d 465; *Demov, Morris, Levin & Shein v Glantz*, 53 NY2d 553; *Kirsch v Leventhal*, 181 AD2d 222.)

Miller & Wrubel P.C., New York City (Joel M. Miller, S. Christopher Provenzano and Nicholas Cutaia of counsel), for Dechert LLP, *Morrison & Foerster LLP* (Brett H. Miller of counsel) for Morrison & Foerster LLP, *K&L Gates LLP* (Richard S. Miller and Brian D. Koosed of counsel) for K&L Gates LLP, *Quinn Emanuel Urquhart & Sullivan LLP* (Eric J. Emanuel, Susheel Kirpalani and Eric M. Kay of counsel), for Akin Gump Strauss Hauer & Feld LLP, *Duane Morris LLP* (Lawrence J. Kotler of counsel) for Duane Morris LLP, *Dorsey & Whitney LLP*, Minneapolis, Minnesota (Patrick J. McLaughlin of counsel), for Dorsey & Whitney LLP, *Arent Fox LLP* (Allen G. Reiter of counsel) for Arent Fox LLP, *Kramon & Graham, P.A.* (James P. Ulwick, of the District of the Maryland bar, admitted pro hac vice, and Jean E. Lewis, of the District of the Maryland bar, admitted pro hac vice, of counsel) and *Meister Seelig & Fein LLP*, New York City (Jeffrey Schreiber and Howard Davis of counsel), for DLA Piper LLP (US), and *Sheppard Mullin Richter & Hampton LLP* (Daniel L. Brown of counsel) for Sheppard Mullin Richter & Hampton LLP, appellants-respondents in the second above-entitled proceeding. I. The former client matters are not Coudert Brothers LLP’s property. (*Sexter v Kimmelman*, *Sexter, Warmflash & Leitner*, 19 AD3d 298; *Murov v Ades*, 12 AD3d 654; *Shandell v Katz*, 217 AD2d 472; *Kirsch v Leventhal*, 181 AD2d 222; *Santalucia v Sebright Transp., Inc.*, 232 F3d 293; *Matter of Cohen v Grainger, Tesoriero & Bell*, 81 NY2d 655; *Cohen v Lord, Day & Lord*, 75 NY2d 95; *Denburg v Parker Chapin Flattau & Klimpl*, 82 NY2d 375; *Nixon Peabody LLP v de Senilhes, Valsamdidis, Amsallem, Jonath, Flaicher Associes*, 20 Misc 3d 1145[A], 2008 NY Slip Op 51885[U];

Graubard Mollen Horowitz Pomeranz & Shapiro v Moskovitz, 149 Misc 2d 481.) II. The law firms are entitled to retain their profits because those profits are attributable to their efforts, skill and diligence. (*Matter of Cooperman*, 83 NY2d 465; *Graubard Mollen Horowitz Pomeranz & Shapiro v Moskovitz*, 149 Misc 2d 481; *Denburg v Parker Chapin Flattau & Klimpl*, 82 NY2d 375; *Martin v Camp*, 219 NY 170; *Johnson v Ravitch*, 113 App Div 810; *Kirsch v Leventhal*, 181 AD2d 222.)

Jones Day, Washington, D.C. (*Shay Dvoretzky* of counsel), *Jones Day*, New York City (*Geoffrey S. Stewart* of counsel), and *Jones Day*, Atlanta, Georgia (*Jeffrey B. Ellman* of counsel), for Jones Day, appellant-respondent in the second above-entitled proceeding. I. Coudert Brothers LLP's retainer agreements did not give it any right to the matters at issue or to the profits from those matters. (*Campagnola v Mulholland, Minion & Roe*, 76 NY2d 38; *Demov, Morris, Levin & Shein v Glantz*, 53 NY2d 553; *Matter of Cooperman*, 83 NY2d 465; *Denburg v Parker Chapin Flattau & Klimpl*, 82 NY2d 375; *Cohen v Lord, Day & Lord*, 75 NY2d 95.) II. The duty among Coudert Brothers LLP partners to account for profits earned from partnership business did not give Coudert any right to profits earned from Jones Day's partnership business. (*Ederer v Gursky*, 9 NY3d 514; *Denver v Roane*, 99 US 355; *Consaul v Cummings*, 222 US 262; *King v Leighton*, 100 NY 386; *Stem v Warren*, 227 NY 538; *Meinhard v Salmon*, 249 NY 458; *Simonds v Simonds*, 45 NY2d 233; *Santalucia v Sebright Transp., Inc.*, 232 F3d 293; *Vollgraff v Block*, 117 Misc 2d 489.) III. Development Specialists, Inc.'s approach would produce inequitable results, conflict with the public policy of client choice, and destabilize law firms. (*Matter of Cooperman*, 83 NY2d 465; *Campagnola v Mulholland, Minion & Roe*, 76 NY2d 38; *Denburg v Parker Chapin Flattau & Klimpl*, 82 NY2d 375.)

McCarter & English, LLP, New York City (*David J. Adler*, *Joseph R. Scholz* and *Eduardo Glas* of counsel), for respondent-appellant in the second above-entitled proceeding. I. The client matters are partnership property of Coudert Brothers LLP. (*Stem v Warren*, 185 App Div 823; *DelCasino v Koeppel*, 207 AD2d 374; *Rhein v Peeso*, 194 App Div 274; *Dwyer v Nicholson*, 89 AD2d 597; *Kirsch v Leventhal*, 181 AD2d 222; *Shandell v Katz*, 217 AD2d 472; *Murov v Ades*, 12 AD3d 654; *Grant v Heit*, 263 AD2d 388; *McDonald v Fenzel*, 233 AD2d 219.) II. Decisions from other Uniform Partnership Law jurisdictions consistently reach the same result on the issue before the court. (*Robinson v*

Nussbaum, 11 F Supp 2d 1; *Sufrin v Hosier*, 896 F Supp 766; *Kirsch v Leventhal*, 181 AD2d 222; *Dwyer v Nicholson*, 89 AD2d 597.) III. The trial court decisions in *Sheresky v Sheresky Aronson Mayefsky & Sloan, LLP* (35 Misc 3d 1201[A], 2011 NY Slip Op 52504[U] [2011]) and *Burke v Clifton, Budd & DeMaria* (Sup Ct, NY County, index No. 1454/1991) are misplaced. IV. Application of the Partnership Law to the client matters is consistent with New York law and policy concerning the attorney-client relationship. (*Matter of Greene*, 54 NY2d 118; *Cohen v Lord, Day & Lord*, 75 NY2d 95; *Denburg v Parker Chapin Flattau & Klimpl*, 82 NY2d 375; *Messersmith v American Fid. Co.*, 232 NY 161; *Nishman v De Marco*, 62 NY2d 926; *Scholastic, Inc. v Harris*, 259 F3d 73; *Sufrin v Hosier*, 896 F Supp 766; *Santalucia v Sebright Transp., Inc.*, 232 F3d 293; *Martin v Curran*, 303 NY 276.) V. In a dissolution and liquidation, the no-compensation rule applies. (*Stem v Warren*, 185 App Div 823; *King v Leighton*, 100 NY 386; *Kirsch v Leventhal*, 181 AD2d 222; *Shandell v Katz*, 217 AD2d 472.)

Kaye Scholer LLP, New York City (*James M. Catterson* and *Margaret A. Rogers* of counsel), *DLA Piper LLP (US)* (*Joshua S. Sprague* of counsel), *Hogan Lovells US LLP* (*Scott W. Reynolds* of counsel), *Mayer Brown LLP* (*Michael O. Ware* of counsel), *Schulte Roth & Zabel LLP* (*Michael L. Cook* and *David M. Hillman* of counsel), *Drinker Biddle & Reath LLP* (*Michael P. Pompeo* of counsel), *Holland & Knight LLP* (*Barbara R. Parlin* of counsel), *Proskauer Rose LLP* (*Steven E. Obus* of counsel), *Sutherland Asbill & Brennan LLP* (*Robert D. Owen* of counsel), *Venable LLP* (*Lawrence H. Cooke II* of counsel), *Weil, Gotshal & Manges LLP* (*Mindy J. Spector* and *Michael F. Walsh* of counsel), and *Willkie Farr & Gallagher LLP* (*John C. Longmire* and *Stephen Greiner* of counsel), amici curiae in the first above-entitled proceeding. I. From the beginning of the common law clients have had the unfettered right to choose their counsel. (*Cohen v Lord, Day & Lord*, 75 NY2d 95; *Denburg v Parker Chapin Flattau & Klimpl*, 82 NY2d 375; *Tenney v Berger*, 93 NY 524; *Matter of Dunn [Brackett]*, 205 NY 398; *Martin v Camp*, 219 NY 170; *Gelder Med. Group v Webber*, 41 NY2d 680; *Matter of Cooperman*, 83 NY2d 465; *Demov, Morris, Levin & Shein v Glantz*, 53 NY2d 553; *Missan v Schoenfeld*, 111 Misc 2d 1022; *Judge v Bartlett, Pontiff, Stewart & Rhodes*, 197 AD2d 148.) II. The trustee's application of the unfinished business rule to hourly fee matters infringes on the client's right to choose his counsel. (*Neal v Ecolab, Inc.*, 252 AD2d 716; *Perkins v Elbilila*, 90 AD3d 543; *J.G. Wentworth S.S.C. Ltd. Partnership v Serio*,

33 AD3d 761; *Stem v Warren*, 227 NY 538; *Tenney v Berger*, 93 NY 524; *Demov, Morris, Levin & Shein v Glantz*, 53 NY2d 553.) III. Prohibiting Thelen LLP from obtaining profits earned by the firms is consistent with application of the unfinished business rule to contingent fee matters. (*In re Snyder*, 190 NY 66; *King v Fox*, 7 NY3d 181; *Shandell v Katz*, 217 AD2d 472; *Kirsch v Leventhal*, 181 AD2d 222; *Sexter v Kimmelman, Sexter, Warmflash & Leitner*, 19 AD3d 298; *Fischer-Hansen v Brooklyn Hgts. R.R. Co.*, 173 NY 492.)

Diamond McCarthy LLP, New York City (Allen B. Diamond, Howard Ressler and Andrew B. Ryan of counsel), for Alan M. Jacobs, Liquidating Trustee for Dewey & LeBoef Liquidation Trust, *Diamond McCarthy LLP*, Dallas, Texas (Andrew B. Ryan, James D. Sheppard and Michael Fishel of counsel), for Allan B. Diamond, Chapter 11 Trustee for Howrey LLP, and *Greenfield Sullivan*, San Francisco, California (Christopher D. Sullivan of counsel), for Michael Burkhart, Plan Administrator for Heller Ehrman LLP Liquidating Trust, amici curiae in the first above-entitled proceeding. I. A defunct law firm's pending client matters constitute the firm's unfinished business, entitling the defunct law firm to the profits earned from the completion of those client matters. (*King v Leighton*, 100 NY 386; *Stem v Warren*, 227 NY 538; *Rhein v Peeso*, 194 App Div 274; *Denver v Roane*, 99 US 355; *New York v O'Neill*, 359 US 1; *Ueland v United States*, 291 F3d 993; *Robinson v Nussbaum*, 11 F Supp 2d 1; *Kirsch v Leventhal*, 181 AD2d 222; *Shandell v Katz*, 217 AD2d 472; *Santalucia v Sebright Transp., Inc.*, 232 F3d 293.) II. Under the no compensation rule, the new law firm cannot retain any of the profits derived from completing the old firm's unfinished business. (*Denver v Roane*, 99 US 355; *King v Leighton*, 100 NY 386; *Rhein v Peeso*, 194 App Div 274; *Kirsch v Leventhal*, 181 AD2d 222; *Shandell v Katz*, 217 AD2d 472; *Santalucia v Sebright Transp., Inc.*, 232 F3d 293.)

Glenn Lau-Kee, New York State Bar Association, Albany, Damian Schaible, The Association of the Bar of the City of New York, New York City, and Barbara Moses, New York County Lawyers' Association, for New York State Bar Association and others, amici curiae in the first and second above-entitled proceedings. I. Applying the unfinished business doctrine to hourly fee matters conflicts with established New York law regarding the application of that doctrine to contingency fee matters. (*Grant v Heit*, 263 AD2d 388; *Kirsch v Leventhal*, 181 AD2d 222; *Musso v Ostashko*, 468 F3d 99; *In re Mid-Island Hosp., Inc.*, 276 F3d

123; *Santalucia v Sebright Transp., Inc.*, 232 F3d 293; *Shandell v Katz*, 217 AD2d 472; *Shiboleth v Yerushalmi*, 58 AD3d 407; *Murov v Ades*, 12 AD3d 654; *Liddle, Robinson & Shoemaker v Shoemaker*, 304 AD2d 436; *Lai Ling Cheng v Modansky Leasing Co.*, 73 NY2d 454.) II. Applying the unfinished business doctrine to hourly fee matters conflicts with basic principles that govern the attorney-client relationship under New York law and the Rules of Professional Conduct (22 NYCRR 1200.0). (*Demov, Morris, Levin & Shein v Glantz*, 53 NY2d 553; *Campagnola v Mulholland, Minion & Roe*, 76 NY2d 38; *Shaw v Manufacturers Hanover Trust Co.*, 68 NY2d 172; *Teichner v W & J Holsteins*, 64 NY2d 977, 70 NY2d 606; *Crowley v Wolf*, 281 NY 59; *Martin v Camp*, 219 NY 170, 221 NY 631; *Cohen v Lord, Day & Lord*, 75 NY2d 95; *Stem v Warren*, 227 NY 538; *Denburg v Parker Chapin Flattau & Klimpl*, 82 NY2d 375.)

Keker & Van Nest LLP, San Francisco, California (*Steven A. Hirsch* and *John C. Bostic* of counsel), and *Lawrence E. Zabin-ski*, Chicago, Illinois, and *Daniel J. Donnelly*, for Attorneys' Liability Assurance Society, Inc., amicus curiae in the first and second above-entitled proceedings. I. Treating hourly work as unfinished business violates best law-firm practices, harming clients and attorneys alike. II. Attempts to apportion profits on hourly unfinished business inevitably lead to absurd results. (*In re Taylor*, 599 F3d 880.) III. Hourly-billed client matters are not law-firm "property." (*Demov, Morris, Levin & Shein v Glantz*, 53 NY2d 553; *Kaiser Aetna v United States*, 444 US 164; *Cohen v Lord, Day & Lord*, 75 NY2d 95; *Shandell v Katz*, 217 AD2d 472; *Sheresky v Sheresky Aronson Mayefsky & Sloan, LLP*, 35 Misc 3d 1201[A], 2011 NY Slip Op 52504[U].)

OPINION OF THE COURT

READ, J.

The United States Court of Appeals for the Second Circuit has asked us two questions relating to "whether, for purposes of administering [a] . . . related bankruptcy, New York law treats a dissolved law firm's pending hourly fee matters as its property" (*In re Thelen LLP*, 736 F3d 213, 216 [2d Cir 2013]). We hold that pending hourly fee matters are not partnership "property" or "unfinished business" within the meaning of New York's Partnership Law. A law firm does not own a client or an engagement, and is only entitled to be paid for services actually rendered.

I.Thelen

On October 28, 2008, the partners of the law firm Thelen LLP (Thelen) voted to dissolve the firm, which was insolvent. In carrying out the dissolution, Thelen’s partners adopted the Fourth Amended and Restated Limited Liability Partnership Agreement (Fourth Partnership Agreement) and a written Plan of Dissolution. The Fourth Partnership Agreement provided that it was governed by California law and, unlike its predecessor agreements, included an “Unfinished Business Waiver.” The waiver recited that

“[n]either the Partners nor the Partnership shall have any claim or entitlement to clients, cases or matters ongoing at the time of the dissolution of the Partnership other than the entitlement for collection of amounts due for work performed by the Partners and other Partnership personnel prior to their departure from the Partnership. The provisions of this [section] are intended to expressly waive, opt out of and be in lieu of any rights any Partner or the Partnership may have to ‘unfinished business’ of the Partnership, as the term is defined in *Jewel v. Boxer*, 156 Cal.App.3d 171 [203 Cal Rptr 13] (Cal. App. 1 Dist. 1984), or as otherwise might be provided in the absence of this provision through the interpretation or application of the [California Uniform Partnership Act of 1994, as amended].”

This kind of waiver is referred to as a “*Jewel* Waiver,” after *Jewel v. Boxer* (156 Cal App 3d 171 [Cal Ct App 1984]), the intermediate appellate court case that inspired it. Applying the Uniform Partnership Act (UPA), the *Jewel* court held that, absent an agreement to the contrary, profits derived from a law firm’s unfinished business are owed to the former partners in proportion to their partnership interests. The Thelen partnership adopted the waiver with the

“hope that [it would] serve as an inducement to encourage Partners to move their clients to other law firms and to move Associates and Staff with them, the effect of which will be to reduce expenses to the Partnership, and to assure that client matters are attended to in the most efficient and effec-

tive manner possible, and to help ensure collection of existing accounts receivable and unbilled time with respect to such clients.”

Following Thelen’s dissolution, 11 Thelen partners joined Seyfarth Shaw LLP (Seyfarth)—10 in its New York office and one in California. The former Thelen partners transferred unfinished matters to Seyfarth, which billed clients for their services. On September 18, 2009, Thelen filed a voluntary petition for relief under chapter 7 of the Bankruptcy Code in the United States Bankruptcy Court for the Southern District of New York.

After his appointment as the chapter 7 trustee of Thelen’s bankruptcy estate, Yann Geron (Geron) commenced an adversary proceeding against Seyfarth in the United States District Court for the Southern District of New York. Geron sought to avoid the “Unfinished Business Waiver” as a constructive fraudulent transfer under 11 USC §§ 544 and 548 (a) (1) (B) and California state law, and to recover the value of Thelen’s unfinished business for the benefit of the estate’s creditors. On the assumption that pending hourly matters were among a law firm’s assets, Geron argued that Thelen’s partners fraudulently transferred those assets to individual partners without consideration when they adopted the “Unfinished Business Waiver” on the eve of dissolution.

Seyfarth moved for judgment on the pleadings, arguing that New York rather than California law defined whether it received any “property interest.” In a decision dated September 4, 2012, the District Court Judge first agreed with Seyfarth that New York law governed. He then concluded that under New York law, the “unfinished business doctrine” does not apply to a dissolving law firm’s pending hourly fee matters, and that a partnership does not retain any property interest in such matters upon the firm’s dissolution. In the Judge’s view, to rule otherwise would “conflict[] with New York’s strong public policy in favor of client autonomy and attorney mobility” (*Geron v Robinson & Cole LLP*, 476 BR 732, 742-743 [SD NY 2012]); and “result in an unjust windfall for the Thelen estate, as ‘compensating a former partner out of that fee would reduce the compensation of the attorneys performing the work’ ” (*id.* at 740, quoting *Sheresky v Sheresky Aronson Mayefsky & Sloan, LLP*, 35 Misc 3d 1201[A], 2011 NY Slip Op 52504[U], *6 [Sup Ct, NY County 2011]). He further observed that “[s]uch an expansion of the [unfinished business] doctrine would violate

New York’s public policy against restrictions on the practice of law” and “clash directly with New York’s Rules of Professional Conduct”; specifically, the rule generally forbidding fee splitting (*id.* at 740). Accordingly, the Judge granted Seyfarth’s motion for judgment on the pleadings; he sua sponte certified his order for interlocutory appeal (*id.* at 745-746).

By decision dated November 15, 2013, the Second Circuit agreed with the District Court that New York law governed the parties’ dispute, and asked us to answer two unresolved questions of New York law regarding the applicability and scope of the “unfinished business doctrine”; specifically,

“Under New York law, is a client matter that is billed on an hourly basis the property of a law firm, such that, upon dissolution and in related bankruptcy proceedings, the law firm is entitled to the profit earned on such matters as the ‘unfinished business’ of the firm?

“If so, how does New York law define a ‘client matter’ for purposes of the unfinished business doctrine and what proportion of the profit derived from an ongoing hourly matter may the new law firm retain?” (736 F3d at 225).

Coudert

On August 16, 2005, the law firm Coudert Brothers LLP (Coudert) dissolved in accordance with the terms of its partnership agreement. That same day, the equity partners adopted a “Special Authorization,” whereby the equity partners authorized

“the Executive Board . . . to take such actions as it may deem necessary and appropriate, including, without limitation, the granting of waivers, notwithstanding any provisions to the contrary in the Partnership Agreement . . . , in order to:

“a. . . . sell all or substantially all of the assets of . . . the Firm to other firms or service providers, in order to maximize the value of the Firm’s assets and business;

“b. wind down the business of the Firm with a view to continuing the provision of legal services to clients and the orderly transition of client matters

to other firms or service providers, in order to maximize the value of the Firm's assets and business to the extent practicable."

Coudert partners were subsequently hired by several different firms. As of the date of the firm's dissolution, there remained between Coudert and its clients partly performed contracts for the provision of legal services. When former Coudert partners joined other firms, those firms were retained by Coudert's former clients to conclude these unfinished legal matters. The client matters were completed by the new firms on an hourly basis, with only two exceptions.

In September 2006, Coudert filed for protection from its creditors pursuant to chapter 11 of the Bankruptcy Code. Developmental Specialists, Inc. (DSI), as administrator of Coudert's bankruptcy estate, brought 13 separate adversary proceedings against the firms that had hired the former Coudert partners. These lawsuits were premised on the unfinished business doctrine. More specifically, DSI argued that the defendant firms were liable to Coudert for any profits derived from completing the client matters that the former Coudert partners brought to those firms. The firms moved for summary judgment, arguing that the unfinished business doctrine did not apply to matters billed on an hourly basis. DSI cross-moved for a declaration that the unfinished client matters were Coudert's property on the day it dissolved.

In a decision dated May 24, 2012, the District Court denied the firms' motion for summary judgment and granted DSI's cross motion. The Judge agreed with DSI that

"[u]nder the Partnership Law, the Client Matters are presumed to be Coudert's assets on the Dissolution Date. While the Coudert Partnership Agreement could have provided otherwise, it does not; on the contrary, it confirms the statutory presumption, as does the text of the Special Authorization adopted by the partners who voted to dissolve the firm. In the absence of any evidence that Coudert's partners intended to exclude pending but uncompleted client representations from the firm's assets, DSI is entitled to a declaration that the Client Matters were Coudert assets on the Dissolution Date. Because they are Coudert assets, the Former Coudert Partners are obligated to account for any profits they earned while winding the Client Matters up at

the Firms” (*Development Specialists, Inc. v Akin Gump Strauss Hauer & Feld LLP*, 477 BR 318, 326 [SD NY 2012]).

Upon the District Court’s certification, the law firms appealed. By order dated December 2, 2013, the Second Circuit certified the same two questions asked in *Thelen (In re Coudert Bros. LLP)*, 2013 WL 9363394, 2013 US App LEXIS 26016).

II.

The Role of the Partnership Law

Geron and DSI (collectively, the trustees) base their claims principally on the unfinished business doctrine as originally articulated and applied by the *Jewel* court in the context of a law firm dissolution. The doctrine derives from an interpretation of various provisions of the Partnership Law; primarily, sections 12, 40 (6) (the so-called “no compensation” rule), 43 (1) (the so-called “duty to account”) and 66 (1) (a).¹ The trustees also rely on Partnership Law § 4 (4), which directs that the statute “shall be so interpreted and construed as to effect its general purpose to make uniform the law of those states which enact it.”

The legislature enacted the Partnership Law in 1919, thereby adopting the UPA, which was approved and recommended to the states by the Conference of Commissioners on Uniform State Laws in 1914. Prior to the Conference’s approval and recommendation for adoption of the Revised Uniform Partnership Act in 1994, the UPA had been enacted in every state except

1. Section 12 (1) provides that “[a]ll property originally brought into the partnership stock or subsequently acquired, by purchase or otherwise, on account of the partnership is partnership property”; section 12 (2), that “[u]nless the contrary intention appears, property acquired with partnership funds is partnership property.”

Section 40 (6) provides that “[n]o partner is entitled to remuneration for acting in the partnership business, except that a surviving partner is entitled to reasonable compensation for his services in winding up the partnership affairs.”

Section 43 (1) specifies that “[e]very partner must account to the partnership for any benefit, and hold as trustee for it any profits derived by him without the consent of the other partners from any transaction connected with the formation, conduct, or liquidation of the partnership or from any use by him of its property.”

Section 66 (1) (a) specifies that “[a]fter dissolution a partner can bind the partnership . . . [b]y any act appropriate for winding up partnership affairs or completing transactions unfinished at dissolution.”

Louisiana. Generally speaking, the unfinished business doctrine provides that profits arising from work begun by former partners of dissolved law firms are a partnership asset that must be finished for the benefit of the dissolved partnership, absent an agreement to the contrary. The doctrine rests on the legal principle that because departing partners owe a fiduciary duty to the dissolved firm and their former partners to account for benefits obtained from use of partnership property in winding up the partnership's business, they may not be separately compensated. This rule has been applied by courts in other jurisdictions to both contingent and hourly matters.²

Importantly, though, the Partnership Law does not define property; rather, it supplies default rules for how a partnership upon dissolution *divides* property as elsewhere defined in state law. As a result, the Partnership Law itself has nothing to say about whether a law firm's "client matters" are partnership property. When discussing what constitutes "property," we have explained that the

"expectation of any continued or future business is too contingent in nature and speculative to create a present or future property interest. Although property is often described as a 'bundle of rights,' or 'sticks,' with relational aspects . . . the ability to terminate the relationship at any time without penalty . . . cannot support a finding that a transferable property right existed" (*Verizon New England Inc. v Transcom Enhanced Servs., Inc.*, 21 NY3d 66, 72 [2013] [emphases added]).

In New York, clients have always enjoyed the "unqualified right to terminate the attorney-client relationship at any time" without any obligation other than to compensate the attorney for "the fair and reasonable value of the *completed services*" (*Matter of Cooperman*, 83 NY2d 465, 473 [1994] [emphasis added]). In short, no law firm has a property interest in future hourly legal fees because they are "too contingent in nature and speculative to create a present or future property interest" (*Verizon New England*, 21 NY3d at 72), given the client's unfettered right to hire and fire counsel. Because client matters are not partnership property, the trustees' reliance on Partnership Law § 4 (4) is misplaced. As the District Court Judge in *Geron*

2. It is not entirely clear to what extent the post-dissolution attorney fees at issue in *Jewel* were for hourly or contingency fee matters.

pointed out, “[t]he purpose of [the] UPA is to harmonize partners’ duties regarding partnership property, *not to delineate the scope of such property*” (*Geron*, 476 BR at 742 [emphasis added]).

The Contingency Fee Cases

Moreover, contrary to the trustees’ contentions, New York courts have never suggested that a law firm owns anything with respect to a client matter other than yet-unpaid compensation for legal services already provided. Appellate Division decisions dealing with unfinished business claims in the context of contingency fee arrangements uniformly conclude that the dissolved partnership is entitled only to the “value” of its services (*see Grant v Heit*, 263 AD2d 388, 389 [1st Dept 1999]; *Shandell v Katz*, 217 AD2d 472, 473 [1st Dept 1995]; *DelCasino v Koepel*, 207 AD2d 374, 374 [2d Dept 1994]; *Dwyer v Nicholson*, 193 AD2d 70, 73 [2d Dept 1993]; *Kirsch v Leventhal*, 181 AD2d 222 [3d Dept 1992, Levine, J.]).

The Appellate Division has occasionally referred to a contingency fee case as an “asset” subject to distribution (*see e.g. Shandell*, 217 AD2d at 473; *Kirsch*, 181 AD2d at 225). But as then-Justice Levine stressed in *Kirsch*, a former partner “is only entitled to ‘the *value* of his interest at the date of dissolution . . . with interest’ ” (*id.* at 226, quoting Partnership Law § 73; *see also Santalucia v Sebright Transp., Inc.*, 232 F3d 293, 298 [2d Cir 2000] [“(I)n a case where a lawyer departs from a dissolved partnership and takes with him a contingent fee case which he then litigates to settlement, the dissolved firm is entitled only to the value of the case at the date of dissolution, with interest. Stated conversely, the lawyer must remit to his former firm the settlement value, less that amount attributable to the lawyer’s efforts after the firm’s dissolution”], citing *Kirsch*, 181 AD2d at 225-226). The trustees have not cited any New York case in which the law firm was awarded the client matter itself, or any fee not earned by the law firm’s own work. This is hardly surprising since, as already discussed, a client’s legal matter belongs to the client, not the lawyer.

And notably, these cases have involved disputes between a dissolved partnership and a departing partner, not outside third parties. In this context, statements that contingency fee cases are “assets” of the partnership subject to distribution simply means that, as between the departing partner and the partnership, the partnership is entitled to an accounting for the value

of the cases as of the date of the dissolution. *Kirsch, Shandell* and other Appellate Division decisions involving contingency fee arrangements do not suggest that law firms own their clients' legal matters, or have a property interest in work performed by former partners at their new firms.

Stem v Warren

The trustees rely heavily on our decision in *Stem v Warren* (227 NY 538 [1920]), as did the District Court Judge in *DSI*. But *Stem* involved claims for breach of fiduciary duty; we did not hold “that executory contracts to perform professional services are partnership assets unless a contrary intention appears” (*DSI*, 477 BR at 333), or define unfinished client engagements as partnership property.

In *Stem*, one architectural partnership (Reed & Stem) entered into an agreement with another architectural partnership (Warren & Wetmore) for the purpose of “secur[ing] a contract for architectural services in the construction of the Grand Central Station and buildings in connection therewith” (*Stem*, 227 NY at 542). The agreement stated that the partnerships would “share and share alike as firms and not as individuals the profits and losses” (*id.* at 543). On the same day, the joint venture entered into a separate contract with the railroad company agreeing, among other things, to jointly act as architects for the company. It was the clear intent of the parties that the contract was to be performed notwithstanding the death of Reed, the “executive head” of the joint venture, if this should occur; that is, the agreement between the partnerships contemplated that the joint venture would survive either partnership’s dissolution and that the contract with the railroad company would be performed by the survivors.

The joint venture worked on the Grand Central Station project for over seven years before Reed died. The trial court found that, without consent from Reed’s surviving partner or his estate, Wetmore sent the railroad company a proposed new contract that was, in substance, the same as the joint venture’s existing contract, except that the partnership of Warren & Wetmore was named sole architect. The railroad company immediately terminated its contract with the joint venture and entered into the new, identical contract exclusively with Warren & Wetmore.

Stem, the surviving partner, filed suit to recover one half of the profits on two separate projects of the joint venture: the

work performed pursuant to the joint venture agreement and the contract with the railroad regarding Grand Central Station; and the work performed on what became the Biltmore Hotel, for which the joint venture had prepared preliminary plans prior to Reed's death. We determined that "the firm of Warren & Wetmore are to be held accountable to the plaintiff" for the profits from work on Grand Central Station (*id.* at 547), but denied Stem compensation from the Biltmore project for anything other than the value of the actual work performed (the preliminary plans) by the joint venture before the dissolution.

Thus, *Stem* is not a case that defines what makes up the partnership property or "assets"; it is a breach-of-fiduciary-duty case in which one joint venturer underhandedly cut a surviving joint venturer out of a contract expressly intended (including by the client) to survive dissolution. We specifically held that as a result of Wetmore's "breach of duty," Warren & Wetmore was liable to account to the joint venture for the usurped opportunity. We recited that the railroad contract was intended to survive Reed's death³ and, from that, concluded that the surviving members of the joint venture had a duty to complete the contract for the joint venture's benefit. *Stem* does not hold that the joint venture "owned" the railroad contract to the exclusion of others; rather, we decided that Stem's former joint venturers (Warren & Wetmore) did not have the right to exclude him from the contract. Certainly, if the railroad had terminated its contract with the joint venture and hired a new, unrelated firm, nothing in *Stem* suggests that Stem could have pursued the new firm to recover a percentage of its profits.

Public Policy Considerations

Treating a dissolved firm's pending hourly fee matters as partnership property, as the trustees urge, would have numerous perverse effects, and conflicts with basic principles that govern the attorney-client relationship under New York law and the Rules of Professional Conduct (22 NYCRR 1200.0). By allowing former partners of a dissolved firm to profit from work they do not perform, all at the expense of a former partner and his new firm, the trustees' approach creates an "unjust

3. By contrast, contracts between a law firm and a client cannot contemplate survival of the law firm's dissolution without impermissibly infringing the client's right to terminate an attorney at will (*see Demov, Morris, Levin & Shein v Glantz*, 53 NY2d 553, 556 [1981]).

windfall,” as remarked upon by the District Court Judge in *Geron* (476 BR at 740).

Next, because the trustees disclaim any basis for recovery of profits from the pending client matters of a former partner who leaves a troubled law firm *before* dissolution, their approach would encourage partners to get out the door, with clients in tow, before it is too late, rather than remain and work to bolster the firm’s prospects. Obviously, this run-on-the-bank mentality makes the turnaround of a struggling firm less likely.

And attorneys who wait too long are placed in a very difficult position. They might advise their clients that they can no longer afford to represent them, a major inconvenience for the clients and a practical restriction on a client’s right to choose counsel. Or, more likely, these attorneys would simply find it difficult to secure a position in a new law firm because any profits from their work for existing clients would be due their old law firms, not their new employers.

The trustees answer that clients do not care whether they pay one law firm or another, so long as their legal affairs are handled properly, and that requiring law firms to forfeit the fees earned by their lawyers’ efforts has no impact on attorneys or clients. We disagree for the reasons already mentioned. Additionally, clients might worry that their hourly fee matters are not getting as much attention as they deserve if the law firm is prevented from profiting from its work on them. The notion that law firms will hire departing partners or accept client engagements without the promise of compensation ignores common sense and marketplace imperatives. Followed to its logical conclusion, the trustees’ approach would cause clients, lawyers and law firms to suffer, all without producing the desired financial rewards for the estates of bankrupt firms.

Ultimately, what the trustees ask us to endorse conflicts with New York’s strong public policy encouraging client choice and, concomitantly, attorney mobility. In *Cohen v Lord, Day & Lord* (75 NY2d 95, 96 [1989]), the partnership agreement provided that a departing partner forfeited his right to departure compensation if he practiced law in competition with his former firm. The lower court held that the provision was a “valid . . . financial disincentive to competition and did not prevent plaintiff from practicing law in New York or in any other jurisdiction” (*id.* at 97 [internal quotation marks omitted]).

We reversed, holding that these financial penalties impermissibly interfered with clients’ choice of counsel—i.e., “[t]he

forfeiture-for-competition provision would functionally and realistically discourage and foreclose a withdrawing partner from serving clients who might wish to continue to be represented by the withdrawing lawyer and would thus interfere with the client's choice of counsel" (*id.* at 98). In this regard, we quoted approvingly from an opinion of the New York County Lawyers' Association issued in 1943, which stressed that

"[c]lients are not merchandise. Lawyers are not tradesmen. They have nothing to sell but personal service. An attempt, therefore, to barter in clients, would appear to be inconsistent with the best concepts of our professional status" (*id.* at 98; see also *Denburg v Parker Chapin Flattau & Klimpl*, 82 NY2d 375, 381 [1993] [finding unacceptable a provision in a partnership agreement that "improperly deter(red) competition and thus impinge(d) upon clients' choice of counsel" by creating an incentive for a partner changing firms to discourage a Parker Chapin client from coming along]).

Finally, the trustees seek to entice us to hold in their favor on the ground that a law firm may always avoid the unfinished business doctrine by placing a well-crafted *Jewel* waiver in the partnership agreement. This suggestion fails to consider the possibility that classifying clients' pending hourly fee matters as firm property may lead to untoward unintended consequences. For example, the trustees, as noted before, limit their sought-after recoveries to client matters that remain unresolved as of the date of a law firm's dissolution. As Seyfarth pointed out, though, if a client's pending matter is partnership property, why doesn't every lawyer whose clients follow him to a new firm breach fiduciary duties owed his former law firm and partners? In the end, the trustees' theory simply does not comport with our profession's traditions and the commercial realities of the practice of law today, a deficiency beyond the capacity of a *Jewel* waiver to cure.

Accordingly, the first certified question should be answered in the negative, and the second certified question should not be answered as it is unnecessary to do so.

Chief Judge LIPPMAN and Judges GRAFFEO, SMITH, PIGOTT, RIVERA and ABDUS-SALAAM concur.

In each case: Following certification of questions by the United States Court of Appeals for the Second Circuit and acceptance of the questions by this Court pursuant to section 500.27 of this Court's Rules of Practice, and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, first question answered in the negative and second question not answered as unnecessary.

[18 NE3d 383, 993 NYS2d 672]

MANUEL REIS, Individually and as Administrator of the Estate of SARA REIS, Deceased, Respondent, v VOLVO CARS OF NORTH AMERICA et al., Appellants. (And a Third-Party Action.)

Argued June 4, 2014; decided July 1, 2014

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered April 30, 2013. The Appellate Division, with two Justices dissenting, modified, on the law, a judgment of the Supreme Court, New York County (Marcy S. Friedman, J.; *see* 30 Misc 3d 1227[A], 2011 NY Slip Op 50233[U]), which had awarded plaintiff damages on his design defect claim. The modification consisted of reducing the jury's award for future household relocation and modification costs by \$168,000. The Appellate Division affirmed the judgment as modified.

Reis v Volvo Cars of N. Am., 105 AD3d 663, reversed.

HEADNOTES

Trial — Instructions — Defendant Having Special Knowledge Charge — Action Alleging Design Defect by Automobile Manufacturer

1. In a personal injury action alleging defendant's defective design of an automobile, the trial court erred by giving the jury the standard jury charge in malpractice actions that a defendant who has or claims to have "special skills" in a trade or profession is required to use the same degree of skill and care that others in the same trade or profession would reasonably use in the same situation (PJI 2:15). The principle stated in the pattern charge is the underlying basis of malpractice actions, and although the principle extends to other skilled trades and professions, there is no basis for including automobile manufacturers. PJI 2:15 is reserved for malpractice cases because the standards of care applicable to malpractice cases and to other negligence cases are different. The defendant in a malpractice case is generally held to the level of skill and care used by others in the community who practice the same profession, but in negligent design/design defect cases, the question is whether the product is one as to which if the design defect were known at the time of manufacture, a reasonable person would conclude that the utility of the product did not outweigh the risk inherent in marketing a product designed in that manner. The difference between the "community" and "reasonable person" standards is a subtle one, and in some cases an error in the charge might not require reversal provided it did not affect the jury's verdict. Here, however, where the verdict was inconsistent in that the jury found for plaintiff on the negligent design claim and for defendant on the substantially identical design defect claim, there was reason to believe that the error in the charge may have confused the jury.

**Trial — Instructions — Customary Business Practices Charge —
Action Alleging Design Defect by Automobile Manufacturer**

2. In a personal injury action alleging defendant's defective design of an automobile with a manual transmission that was not equipped with a starter interlock, which would have prevented the car from starting while it was in gear, the trial court properly gave the jury the standard jury charge with respect to customary business practices (PJI 2:16 ["Common Law Standard of Care—Customary Business Practices"]). The charge told the jury that it should "decide from the evidence . . . whether there was a general custom or practice," and that if it found there was it "may take that general custom or practice into account." While the issue of custom and practice was disputed, there was evidence from which the jury could have found that a large majority of the manual transmission cars sold in the United States that were the same model year as the one involved in plaintiff's accident had starter interlocks. That was enough to permit a finding of custom and practice, though not to require it.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Physicians, Surgeons, and Other Healers § 336;
AM JUR 2d, Products Liability §§ 231, 263–264, 519, 873,
883, 937, 999, 1110, 1259; AM JUR 2d, Negligence §§ 137–
138, 1358.

CARMODY-WAIT 2d, Complaints in Particular Actions
§§ 29:136, 29:331; CARMODY-WAIT 2d, Charge to Jury
§ 57:20; CARMODY-WAIT 2d, Post-Trial Motion for New
Trial or Judgment Notwithstanding Verdict §§ 62:35–
62:36.

DOBBS LAW OF TORTS §§ 142, 184, 456, 463–464, 473, 478.
NY JUR 2d, Appellate Review §§ 760, 764; NY JUR 2d, Evi-
dence and Witnesses § 647; NY JUR 2d, Malpractice § 398;
NY JUR 2d, Negligence § 110; NY JUR 2d, Products Li-
ability §§ 128, 138; NY JUR 2d, Trial §§ 392, 611.

NEW YORK LAW OF TORTS §§ 16:12, 16:18, 16:20, 16:53,
16:66, 16:71, 20:29.

NEW YORK PATTERN JURY INSTRUCTIONS—CIVIL, PJI
2:15.

WEINBERGER, NEW YORK PRODUCTS LIABILITY 2d,
§§ 12:20, 18:2, 18:6, 18:15, 20:2.

ANNOTATION REFERENCE

See ALR Index under Automobiles and Highway Traffic;
Degree and Standard of Care; Design of Products and
Structures; Instructions to Jury; Malpractice; Negligence;
Products Liability.

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POINTS OF COUNSEL

Simpson Thacher & Bartlett LLP, New York City (Roy L. Reardon, Andrew S. Amer and Alicia N. Washington of counsel), and *Hardin, Kundla, McKeon & Poletto, P.A.* (Mark S. Kundla and Stephen J. Donahue of counsel) for appellants. I. The Appellate Division erred in affirming judgment for plaintiff on his negligent design claim because the charge incorporated instructions inapplicable to design defect cases and failed to include the risk-utility balancing test required under this Court’s precedent. (*Voss v Black & Decker Mfg. Co.*, 59 NY2d 102; *Cover v Cohen*, 61 NY2d 261; *Denny v Ford Motor Co.*, 87 NY2d 248; *Crespo v Chrysler Corp.*, 75 F Supp 2d 225; *Adams v Genie Indus., Inc.*, 14 NY3d 535; *Nestorowich v Ricotta*, 97 NY2d 393; *McGinn v Sellitti*, 150 AD2d 967; *Riley v Wieman*, 137 AD2d 309; *Cornbrooks v Terminal Barber Shops, Inc.*, 282 NY 217; *John v Great Neck Union Free School Dist.*, 42 AD3d 437.) II. The Appellate Division erred in refusing to grant defendants a new trial based upon the trial court’s admission of highly prejudicial evidence on plaintiff’s later-dismissed failure to warn claims. (*Perazone v Sears, Roebuck & Co.*, 128 AD2d 15; *Haran v Union Carbide Corp.*, 68 NY2d 710; *Cover v Cohen*, 61 NY2d 261; *Liriano v Hobart Corp.*, 92 NY2d 232; *Schultz v Barber Asphalt Paving Co.*, 127 App Div 305; *People v Williams*, 81 NY2d 303; *People v Melendez*, 55 NY2d 445; *People v Acosta*, 174 AD2d 181; *Riley v Hollingshead Corp.*, 29 AD2d 848; *Wagman v Bradshaw*, 292 AD2d 84.) III. The Appellate Division erred in upholding the trial court’s refusal to charge the jury on plaintiff’s comparative negligence where evidence arguably supported a finding that plaintiff, using reasonable care, could have avoided his injuries. (*Shea v New York City Tr. Auth.*, 289 AD2d 558; *Johnson v New York City Tr. Auth.*, 88 AD3d 321; *Bruni v City of New York*, 2 NY3d 319; *Delemos v White*, 173 AD2d 353; *Thoma v Ronai*, 189 AD2d 635.)

Kreindler & Kreindler LLP, New York City (Steven R. Pounian, Noah H. Kushlefsky, Megan W. Bennett, Joseph P. Musacchio and Therese Stevens Loucks of counsel), for respondent. I. The jury’s negligence verdict must be upheld since defendants: (1) agreed to the negligence charge and verdict form used by the jury; (2) have abandoned their objection to the verdict; (3) cannot raise issues before this Court that were not preserved below;

and (4) no longer challenge the sufficiency of the trial evidence of their negligence. (*Bradley v Earl B. Feiden, Inc.*, 8 NY3d 265; *Up-Front Indus. v U.S. Indus.*, 63 NY2d 1004; *Barry v Manglass*, 55 NY2d 803; *Passantino v Consolidated Edison Co. of N.Y.*, 54 NY2d 840; *Grzesiak v General Elec. Co.*, 68 NY2d 937; *Jarvis v Ford Motor Co.*, 283 F3d 33; *Altshuler Shaham Provident Funds, Ltd. v GML Tower, LLC*, 21 NY3d 352; *Hecker v State of New York*, 20 NY3d 1087; *Bingham v New York City Tr. Auth.*, 99 NY2d 355.) II. Defendants failed to preserve their objections and there was no prejudicial error in the jury charge or evidentiary rulings. (*Donaldson v County of Erie*, 209 AD2d 947; *Robillard v Robbins*, 78 NY2d 1105; *Sawyer v Dreis & Krump Mfg. Co.*, 67 NY2d 328; *Cekic v Royal-Pak Sys., Inc.*, 59 AD3d 485; *Trimarco v Klein*, 56 NY2d 98; *Resolution Trust Corp. v Eason*, 17 F3d 1126; *Micallef v Miehle Co., Div. of Miehle-Goss Dexter*, 39 NY2d 376; *Cover v Cohen*, 61 NY2d 261; *Bethel v New York City Tr. Auth.*, 92 NY2d 348.) III. The jury's separate negligence and strict liability findings that defendants' failure to warn was a proximate cause of plaintiff's injuries were based on sufficient evidence and should be upheld. (*Parochial Bus Sys. v Board of Educ. of City of N.Y.*, 60 NY2d 539; *Johnson v UniFirst Corp.*, 90 AD3d 1539; *Vail v KMart Corp.*, 25 AD3d 549; *Johnson v Johnson Chem. Co.*, 183 AD2d 64; *Baker v St Agnes Hosp.*, 70 AD2d 400; *Anderson v Hedstrom Corp.*, 76 F Supp 2d 422; *Sosna v American Home Prods.*, 298 AD2d 158; *Guadalupe v Drackett Prods. Co.*, 253 AD2d 378; *Cohen v Hallmark Cards*, 45 NY2d 493; *Vega v Restani Constr. Corp.*, 18 NY3d 499.)

OPINION OF THE COURT

SMITH, J.

The standard jury charge in malpractice actions tells the jury that a defendant who has or claims to have "special skills" in a trade or profession is required to use the same degree of skill and care that others in the same trade or profession would reasonably use in the same situation (NY Pattern Jury Instructions [PJI] 2:15). Here, the trial court erred by giving this charge in a case alleging not malpractice, but defective design of a product. We hold that in the situation presented here the error requires reversal and a new trial.

I

On May 24, 2002, plaintiff's friend, Americo Silva, was showing plaintiff a 1987 Volvo station wagon that Silva had recently

bought. The car had a manual transmission. As the two stood in front of the car, looking under the hood, Silva asked plaintiff if he would like to see the engine running. Plaintiff said he would, and Silva walked to the driver's side door, leaned into the car and turned the key in the ignition. The car lurched forward, pinning plaintiff against a wall and causing him to lose his left leg.

Plaintiff brought this action claiming that the car's manufacturer, Volvo, was at fault for the accident. (We use "Volvo" to refer collectively to both defendants-appellants, which are affiliated corporations.) There was evidence that, when the car was manufactured, it was well known in the automobile industry that a manual transmission car could, if left in a forward gear when it was parked, lurch as this one did when the engine was turned on. Plaintiff asserted that Volvo should have equipped the car with a "starter interlock," which would have made it impossible to start the engine while the car was in gear, or at least should have warned users of the car about the danger.

Volvo moved for summary judgment. Supreme Court denied the motion, Volvo appealed to the Appellate Division, and the case went to trial while the appeal was pending.

Much of the proof at trial concerned the practices of other car manufacturers at the time the car that injured plaintiff was made. Plaintiff presented evidence that General Motors, Ford and Toyota used starter interlocks on their manual transmission cars in the 1987 model year (though Chrysler did not), and that as a result most 1987 manual transmission cars sold in the United States had starter interlocks. Volvo presented evidence that many other manufacturers did not use an interlock, and defended its own decision not to do so: According to Volvo's witnesses, the chance of an accident like the one that happened here was extremely small, and the interlock had possible disadvantages. In some situations, they said, the ability to start a car in gear might help avoid an accident.

At plaintiff's request, and over Volvo's objection, the court included PJI 2:15 ("Common Law Standard of Care—Defendant Having Special Knowledge") and PJI 2:16 ("Common Law Standard of Care—Customary Business Practices") in its charge to the jury. It also gave the jury a verdict sheet, to which Volvo made no objection. The verdict sheet presented plaintiff's two theories of liability—absence of an interlock and failure to warn—both as negligence and as design defect claims. As to the

absence of an interlock (our main concern here), the jury was asked, “Was the defendant Volvo negligent in failing to use a starter interlock device in its vehicle?” and also “Was defendant Volvo’s vehicle not reasonably safe in that it was defective without a starter interlock device?” Our decision in *Denny v Ford Motor Co.* (87 NY2d 248, 258 [1995]) had strongly implied, and our decision in *Adams v Genie Indus., Inc.* (14 NY3d 535, 542-543 [2010]) later confirmed, that these two questions were redundant, because claims for negligent design and for defective design are essentially identical. However, no party pointed out the redundancy to the trial court.

The jury answered “yes” to the question of whether Volvo was negligent in omitting the interlock, but “no” to the question of whether the product was “not reasonably safe” and thus “defective” without the device. No party complained of the inconsistency in the verdict before the jury was discharged. The jury also found for plaintiff on his failure to warn claims. It awarded damages totaling, after the addition of interest, roughly \$10,000,000.

After the verdict was rendered, but before judgment was entered, the Appellate Division decided Volvo’s appeal from Supreme Court’s order denying summary judgment. It modified the order by dismissing the failure to warn claims, holding that “there is no evidence that any such failure was a proximate cause of the injury,” and otherwise affirmed (*Reis v Volvo Cars of N. Am., Inc.*, 73 AD3d 420, 423 [1st Dept 2010]). The trial court then set aside the verdict on the failure to warn claims, but it entered judgment on the design defect claim in plaintiff’s favor.

Both parties appealed the judgment to the Appellate Division, which modified it in a way not relevant here and otherwise affirmed, with two Justices dissenting (*Reis v Volvo Cars of N. Am.*, 105 AD3d 663 [1st Dept 2013]). The Appellate Division held, among other things, that “[t]he trial court properly set aside the jury’s verdict on plaintiffs’ failure to warn claim” (*id.* at 663), but that the court “did not commit error by charging the jury on special knowledge (PJI 2:15) and customary business practices (PJI 2:16), as tailored to the facts of this case” (*id.* at 664). The dissenting Justices would have remanded for a new trial on the ground that PJI 2:16 was given in error. The dissenters found “no evidence of a customary procedure or policy that was ‘reflective of an industry standard or a generally-accepted safety practice’ ” (*id.* at 665 [Abdus-Salaam, J., dissenting], quoting 1A NY PJI3d 2:16 at 260 [2013]).

Volvo appeals to this Court as of right, pursuant to CPLR 5601 (a). Plaintiff also sought to appeal as of right, but we granted Volvo's motion to dismiss plaintiff's appeal (21 NY3d 1051 [2013]).

It may be useful to explain briefly what is and is not before us. CPLR 5601 (a) allows an appeal as of right from an Appellate Division order only where there is a two-Justice dissent "in favor of the party taking such appeal." We dismissed plaintiff's appeal from so much of the Appellate Division order as dismissed his failure to warn claims because the Appellate Division dissent was not in plaintiff's favor. Plaintiff did not move for permission to appeal under CPLR 5602 (a), and therefore the part of the order unfavorable to plaintiff is now beyond our review. Plaintiff suggests that his failure to warn claims may furnish an alternative ground for affirming the Appellate Division's order, but the suggestion is incorrect. The failure to warn claims have been dismissed, and may not be reinstated in the absence of a properly taken appeal from the dismissal.

On the other hand, an appeal properly taken under CPLR 5601 (a) brings up for review all issues that the Appellate Division decided adversely to the appellant, even those on which no Appellate Division justice dissented (*Holtlander v Whalen & Sons*, 69 NY2d 1016 [1987]; Karger, Powers of the New York Court of Appeals § 6:6 at 207-208 [3d ed rev 2005]). This rule benefits Volvo here, because while we do not agree with the Appellate Division dissenters that PJI 2:16 was improperly given, we do find error in the court's decision to charge PJI 2:15. We therefore reverse and remit the case for a new trial.

II

The court gave PJI 2:15 to the jury in the following language:

"A manufacturer like Volvo that has special training and experience in designing and manufacturing automobiles, when acting in that capacity, has a duty to use the same degree of skill and care that others in the business of manufacturing and selling automobiles in the United States would reasonably use in the same situation.

"Volvo has special skills in designing and manufacturing automobiles. If you decide that Volvo did use the same degree of skill and care that other manufacturers selling automobiles in the United States

would reasonably use in the same situation, then you must find that Volvo was not negligent, no matter what resulted from defendant's conduct.

"On the other hand, if you decide that Volvo did not use the same degree of skill and care, then you must find that Volvo was negligent."

[1] This charge should not have been given in this case. It was designed for malpractice cases. As the Committee on Pattern Jury Instructions says: "The principle stated in the pattern charge is the underlying basis of malpractice actions" (1A NY PJI3d 2:15 at 259 [2014]). The Committee goes on to say that "the principle extends to skilled trades and to professions not generally thought of in connection with malpractice" (*id.*), but we know of no basis for including automobile manufacturers in that category. This is not a malpractice case, but a negligent design or (what amounts to the same thing) a design defect case.

PJI 2:15 is reserved for malpractice cases because the standards of care applicable to malpractice cases and to other negligence cases are different. In a malpractice case against, for example, a doctor or a lawyer, the defendant is generally held to the level of skill and care used by others in the community who practice the same profession (*see Spensieri v Lasky*, 94 NY2d 231, 238 [1999] ["Generally, the standard of care for a physician is one established by the profession itself"]; *Toth v Community Hosp. at Glen Cove*, 22 NY2d 255, 262 [1968] [same]; *Riley v Wieman*, 137 AD2d 309, 314 [3d Dept 1988] [holding that in some cases national, rather than local, standards may be applicable]). In negligence cases generally, by contrast, the jury must compare the defendant's conduct to that of a reasonable person under like circumstances (Restatement [Second] of Torts § 283; *Bethel v New York City Tr. Auth.*, 92 NY2d 348, 353 [1998]). In negligent design/design defect cases, the reasonable-person standard has been given more specific form: the question is whether the product is one as to which "if the design defect were known at the time of manufacture, a reasonable person would conclude that the utility of the product did not outweigh the risk inherent in marketing a product designed in that manner" (*Voss v Black & Decker Mfg. Co.*, 59 NY2d 102, 108 [1983]).

The difference between the "community" and "reasonable person" standards is a subtle one, and in some cases an error like the one that the trial court committed here might not

require reversal. So long as the charge as a whole adequately explains general negligence principles, a reviewing court may feel confident in concluding that an isolated mistake in referring to the skill and care of others in the field did not affect the jury's verdict. But here, we have no such confidence. The verdict was, as we have said, inconsistent: The jury found for plaintiff on the negligent design claim and for Volvo on the design defect claim, though the claims were in substance identical. And it did so after hearing extensive evidence about the practices of other manufacturers, and after hearing a charge that said, erroneously, "if you decide that Volvo did not use the same degree of skill and care [as other manufacturers selling automobiles in the United States], then you *must* find that Volvo was negligent" (emphasis added). Thus while Volvo may not complain of the inconsistency in the verdict, because it failed to object to it before the jury was discharged (*Grzesiak v General Elec. Co.*, 68 NY2d 937, 938-939 [1986]), that inconsistency leads us to believe that the error in the charge—to which Volvo did make a timely objection—may have confused the jury.

III

While the error in giving PJI 2:15 requires reversal, we will, for the guidance of the court at a retrial, also discuss Volvo's objection to PJI 2:16. The court gave PJI 2:16 to the jury as follows:

"You have heard evidence of the practices of other manufacturers selling automobiles in the United States. This evidence is to be considered by you in determining whether the conduct of Volvo was reasonable under the circumstances.

"Volvo's conduct is not to be considered unreasonable simply because someone else may have used a safer practice.

"On the other hand, a general custom, use or practice by those in the same business or trade may be considered some evidence of what constitutes reasonable conduct in that trade or business.

"You must first decide from the evidence presented in this case whether there was a general custom or practice by automobile manufacturers selling manual transmission vehicles in the United States in 1987.

“If you find that there was a custom or practice, you may take that general custom or practice into account in considering the care used by defendant Volvo in this case.

“However, a general custom or practice is not the only test. What you must decide is whether, taking all the facts and circumstances into account, defendant Volvo acted with reasonable care or failed to act with reasonable care.”

[2] We conclude that this charge was properly given. It differs from PJI 2:15 in the amount of leeway it gives the jury. PJI 2:15, as given here, told the jurors flatly that “Volvo has special skills in designing and manufacturing automobiles,” and said that if Volvo failed to meet community standards the jury “must find that Volvo was negligent.” But PJI 2:16 told the jury that it should “decide from the evidence . . . whether there was a general custom or practice,” and that if it found there was it “*may* take that general custom or practice into account” (emphasis added). While the issue of custom and practice was disputed here, there was evidence from which the jury could find that a large majority of the 1987 manual transmission cars sold in the United States had starter interlocks. This was enough to permit a finding of custom and practice, though not to require it.

We agree with the courts below that the record here furnishes no basis for a comparative negligence charge (PJI 2:36). Volvo’s remaining arguments need not be considered in light of our decision.

Accordingly, the order of the Appellate Division should be reversed, with costs, and a new trial ordered.

GRAFFEO, J. (dissenting). Plaintiff Manuel Reis was grievously injured when a 1987 manual transmission station wagon, designed and manufactured by the Volvo defendants, unexpectedly lurched forward after the ignition was started, pinning him against a building. Plaintiff’s left leg was crushed and subsequently amputated. Undisputedly, this accident and plaintiff’s resulting injuries would not have occurred if Volvo had designed the station wagon with a starter interlock device.

Throughout the lengthy trial of plaintiff’s negligence and strict liability causes of action for design defect and failure to warn, both sides presented extensive evidence bearing upon the reasonableness of Volvo’s decision not to use a starter interlock

device in its automotive design. Plaintiff's proof included expert testimony establishing that the starter interlock device was a feasible safety feature available in 1987 that would have cost Volvo approximately \$5 per vehicle, and which was, in fact, incorporated in many manual transmission automobiles of other manufacturers that year. According to plaintiff's experts, the automobile industry was generally aware of the risk to motorists and pedestrians inherent in vehicles designed without these devices. Plaintiff's experts further opined that the station wagon in question was dangerous as designed without a starter interlock.

Volvo conceded feasibility, but contended that the station wagon was reasonably safe as designed. To that effect, Volvo presented expert testimony contradicting plaintiff's proof regarding the extent to which other manufacturers used the device in 1987. Volvo asserted that it had reasonably decided to omit starter interlock devices from its vehicles because the risk of an accident such as the one that occurred here was minimal and, without the device, a vehicle could be moved for a short period of time in an emergency situation if the engine was not functioning properly.

At the close of proof, the trial court charged the jury with the principles of negligence reflected in PJI 2:125 (Products Liability—Negligence), PJI 2:15 (Common Law Standard of Care—Defendant Having Special Knowledge), and PJI 2:16 (Common Law Standard of Care—Customary Business Practices) with respect to plaintiff's negligent design claim. The PJI 2:15 charge, in essence, instructed the jury that Volvo, possessing special training and experience, owed a duty to use the same degree of skill and care as other manufacturers in the automobile industry. Typically, the community standard of care embodied in PJI 2:15 applies to claims grounded in malpractice (*see* 1A NY PJI3d 2:15 at 259 [2014]). Liability in negligent design cases turns more properly—not on this community standard of care—but on whether “if the design defect were known at the time of manufacture, a reasonable person would conclude that the utility of the product did not outweigh the risk inherent in marketing a product designed in that manner” (*Voss v Black & Decker Mfg. Co.*, 59 NY2d 102, 108 [1983]; *see Adams v Genie Indus., Inc.*, 14 NY3d 535, 543 [2010]; *Denny v Ford Motor Co.*, 87 NY2d 248, 257 [1995], *rearg denied* 87 NY2d 969 [1996]). It follows then, that PJI 2:15 should ordinarily not be charged in relation to negligent design claims. As the majority points out, however, the difference between these two standards

of care is a subtle one and, in some cases, this type of slight misstep may not require reversal (*see* majority op at 42-43). I believe that this is such a case.

The trial judge charged PJI 2:15 in the context of its instructions to the jury on the general principles of negligence set forth in PJI 2:125. Significantly, the PJI 2:125 charge instructed the jury that the degree of care owed by Volvo was that of a “reasonably prudent manufacturer.” The propriety of this instruction is beyond our review, having been submitted to the jury at Volvo’s request (*see Bradley v Earl B. Feiden, Inc.*, 8 NY3d 265, 272 [2007]; *Barry v Manglass*, 55 NY2d 803, 805-806 [1981], *rearg denied* 55 NY2d 1039 [1982]; *Rupert v Sellers*, 50 NY2d 881, 882-883 [1980]). Viewed in this light, the PJI 2:15 charge, in effect, merely repeated a similar standard of care as that which was charged to the jury at Volvo’s insistence.

Moreover, PJI 2:16 was charged to the jury after PJI 2:15.* This later charge explained to the jury that, when considering the trial evidence pertaining to the practices of other automobile manufacturers, Volvo’s conduct was “not to be considered unreasonable simply because someone else may have used a safer practice” and, further, that it must take into account “all the facts and circumstances” when determining whether Volvo acted reasonably in designing the station wagon without a starter interlock device. PJI 2:16 therefore dispelled any notion that the jury’s determination should be based solely on the conduct of other manufacturers. Viewing the contested jury instructions as a whole and “as tailored to the facts of this case,” I agree with the Appellate Division majority that the PJI 2:15 charge does not warrant reversal under these circumstances (*Reis v Volvo Cars of N. Am.*, 105 AD3d 663, 664 [1st Dept 2013]; *see generally Wild v Catholic Health Sys.*, 21 NY3d 951, 955 [2013]; *Nestorowich v Ricotta*, 97 NY2d 393, 401 [2002]).

As the courts below held and the majority of this Court concedes, Volvo failed to preserve any challenge to the consistency of the negligent design and strict liability design defect verdicts (*see Bradley*, 8 NY3d at 272 n 2; *Barry*, 55 NY2d at 806). But the majority relies exclusively on this claimed inconsistency in concluding that PJI 2:15 confused the jury. In my view, under these unique facts, the majority’s holding allows

* I agree with the majority that sufficient evidence was presented to justify submitting the customary business practices charge to the jury.

Volvo to evade the well-settled preservation requirement and benefit from its failure to provide the trial court with the opportunity to cure any inconsistency before discharging the jury. Because ample evidence supported the jury's negligent design verdict and I find Volvo's other arguments for reversal unpersuasive, I would uphold the jury verdict.

Chief Judge LIPPMAN and Judges READ, PIGOTT and RIVERA concur with Judge SMITH; Judge GRAFFEO dissents and votes to affirm in an opinion; Judge ABDUS-SALAAM taking no part.

Order reversed, with costs, and a new trial ordered.

[18 NE3d 391, 993 NYS2d 680]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JOSE
MALDONADO, Appellant.

Argued June 4, 2014; decided July 1, 2014

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered November 7, 2012. The Appellate Division affirmed a judgment of the Supreme Court, Kings County (Michael A. Gary, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree, unlawful fleeing a police officer in a motor vehicle in the first degree, and grand larceny in the fourth degree.

People v Maldonado, 100 AD3d 657, modified.

HEADNOTE

Crimes — Murder — Depraved Indifference Murder — High-Speed Vehicular Police Chase

In a prosecution arising from a midday high-speed chase through a populated area during which defendant ran red lights, crossed lanes, accelerated through intersections, drove the wrong way down one-way streets and ultimately struck and killed a pedestrian, the evidence at trial was legally insufficient to support defendant's conviction for depraved indifference murder where eyewitness testimony established that defendant repeatedly tried to avoid collisions while evading capture by the police (Penal Law § 125.25 [2]). Depraved indifference is a culpable mental state which is best understood as an utter disregard for the value of human life and applies only to a small category of cases where the conduct is at least as morally reprehensible as intentional murder. The mens rea of depraved indifference will rarely be established by risky behavior alone. Here, defendant sought to mitigate the consequences of his reckless driving because he actively attempted to avoid hitting other vehicles and pedestrians by swerving, conduct which established a lack of depraved indifference. Defendant drove in the wrong lane for brief periods of time in order to pass other cars, not as part of a deadly game. He immediately returned to the proper lane once clear of congestion in order to avoid hitting other vehicles. While defendant narrowly missed a pedestrian before the fatal collision, his driving afterwards, characterized by his efforts to swerve away from traffic and avoid collisions, did not evince a depravedly indifferent mental state. Although there was a grave risk of injury, gravity of risk alone is not determinative of the requisite mental state.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Automobiles and Highway Traffic §§ 369, 994;
AM JUR 2d, Criminal Law § 821; AM JUR 2d, Homicide
§§ 36, 44–45, 88, 433, 446, 454, 499.

CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:113, 207:115, 207:134–207:135.

McKINNEY’S, Penal Law § 125.25 (2).

NY JUR 2d, Criminal Law: Procedure §§ 3462, 3472, 3602–3603; NY JUR 2d, Substantive Principles and Offenses §§ 423, 449, 454, 510, 512–516, 536, 549–550, 578–581.

ANNOTATION REFERENCE

Validity and construction of statute defining homicide by conduct manifesting “depraved indifference”. 25 ALR4th 311.

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POINTS OF COUNSEL

Lynn W.L. Fahey, Appellate Advocates, New York City (Joshua M. Levine of counsel), for appellant. The evidence of depraved indifference murder was legally insufficient given testimony establishing that appellant consistently tried to avoid hurting anyone while fleeing from police. (*People v Prindle*, 16 NY3d 768; *People v Feingold*, 7 NY3d 288; *People v Suarez*, 6 NY3d 202; *People v Gomez*, 65 NY2d 9; *People v Heidgen*, 22 NY3d 259; *People v Richins*, 29 AD3d 1170; *People v Wells*, 53 AD3d 181; *People v Alvarado*, 71 AD3d 498; *People v Mooney*, 62 AD3d 725.)

Kenneth P. Thompson, District Attorney, Brooklyn (Diane R. Eisner, Leonard Joblove and Victor Barall of counsel), for respondent. The evidence was legally sufficient to support defendant’s conviction for depraved indifference murder. (*People v Contes*, 60 NY2d 620; *People v Gomez*, 65 NY2d 9; *Jackson v Virginia*, 443 US 307; *People v Carr-El*, 99 NY2d 546; *People v Ford*, 66 NY2d 428; *People v Feingold*, 7 NY3d 288; *People v Suarez*, 6 NY3d 202; *People v Barboni*, 21 NY3d 393; *People v Bueno*, 18 NY3d 160.)

OPINION OF THE COURT

RIVERA, J.

In this appeal, we conclude that the evidence was legally insufficient to support defendant’s conviction for depraved indifference murder because the circumstances of this high-speed

vehicular police chase do not fit within the narrow category of cases wherein the facts evince a defendant's utter disregard for human life. Accordingly, we modify the Appellate Division's order by reducing defendant's conviction to manslaughter in the second degree.

I.

Police pursued defendant Jose Maldonado through the streets of Greenpoint, Brooklyn, a mixed commercial-residential neighborhood, soon after he stole a minivan from outside its owner's residence. This five-minute, midday chase led to defendant's fatal collision with a pedestrian and his prosecution and conviction for depraved indifference murder. Defendant concedes that the evidence established his reckless driving but argues that it only supports a conviction for manslaughter in the second degree. Thus, in this appeal, we are only concerned with whether the proof at trial evinced the statutorily required mental state to sustain his conviction for depraved indifference murder.

It is undisputed that defendant consistently drove well above the 30 miles per hour speed limit and violated numerous traffic rules as he attempted to evade capture by the police. The chase began when defendant ran a red light, accelerated through intersections, and went the wrong way down two one-way streets. The police followed with lights and sirens activated as defendant drove towards Manhattan Avenue, a major thoroughfare and commercial hub. Defendant turned onto the avenue where, according to witnesses, there was heavy vehicular and pedestrian traffic. As he drove north, defendant swerved into the southbound lane to pass slower vehicles and avoid congestion, and then shifted back into the northbound lane. Witnesses estimated that he was driving 40 to 50 miles per hour.

A few blocks up Manhattan Avenue, defendant ran a second red light and narrowly avoided hitting a pedestrian in a crosswalk. According to witnesses, defendant did not brake or slow down. Instead, he accelerated north and again swerved across the double-yellow lines into the southbound lane to avoid slower moving vehicles. A driver going south testified that defendant did not slow down when he entered the opposing lane of traffic. As a consequence, the driver had to swerve to the side of the road to avoid a collision. Once clear of congestion, defendant swerved back into the northbound lane.

A block later, defendant ran a third red light and struck a woman in a crosswalk. The victim hit the passenger side of the

minivan's windshield with such force that her body landed more than 100 feet down the avenue. She died at the scene. At that point, the police stopped following defendant to render aid to the victim.

Defendant continued accelerating north on Manhattan Avenue, again swerving into the southbound lane. A driver headed south testified that defendant sped towards him at a rate of about 50 to 70 miles per hour. As a result, he had to swerve into the northbound lane to avoid a head-on collision with defendant. After the driver swerved, defendant's escape routes were apparently blocked by cars in both the north and southbound lanes.

The chase ended a few blocks from where defendant struck the pedestrian, when defendant crashed the minivan into a parked car to avoid hitting other vehicles. The impact pushed the parked car over the cars parked behind it. Defendant, still trying to escape capture, ran out of the minivan and down a nearby street, followed by the driver who had just swerved to avoid a collision with defendant and a group of pedestrians who witnessed the crash. The group caught up with defendant and tackled and held him until the police arrived and put him under arrest.

At the precinct, defendant admitted that he stole the minivan, exceeded the speed limit, and swerved into oncoming traffic as he fled the police. In explaining his driving, defendant said he tried to avoid hitting cars and pedestrians, and that he did not know the neighborhood well and drove down the one-way streets by mistake. Defendant said he was lost when he ended up on Manhattan Avenue, and that he was avoiding cars as he evaded the police. According to defendant, he was going against traffic and looking in his rearview mirror for the police immediately before he struck the victim. When he looked forward again, defendant said he saw the victim and that he thought he "hit the girl in the hand or something." When he saw more people and traffic two blocks later, defendant decided to crash into the parked car to avoid hurting anyone else. He also expressed remorse for his actions.

Defendant was charged with numerous crimes arising from the theft of the minivan and the death of the pedestrian, including murder in the second degree (depraved indifference murder) (Penal Law § 125.25 [2]), manslaughter in the second degree (Penal Law § 125.15 [1]), criminally negligent homicide (Penal

Law § 125.10), unlawful fleeing a police officer in a motor vehicle in the third degree (Penal Law § 270.25), unlawful fleeing a police officer in a motor vehicle in the first degree (Penal Law § 270.35), grand larceny in the fourth degree (Penal Law § 155.30 [8]), and criminal possession of stolen property in the fourth degree (Penal Law § 165.45 [5]). At trial, defendant moved at the close of the People's case and again after defense rested, for dismissal of the depraved indifference murder charge on the ground that the People failed to establish the requisite mental state. In support of the motions, he argued that the evidence showed he repeatedly swerved to avoid hitting pedestrians and cars, indicating that his driving was merely reckless. Supreme Court denied the first motion, reserved judgment on the second and submitted, over defendant's objection, a charge of depraved indifference murder to the jury along with other relevant charges.

The jury found defendant guilty of depraved indifference murder, unlawful fleeing a police officer in a motor vehicle in the first degree, and grand larceny in the fourth degree. After the verdict, defendant renewed his motion for a trial order of dismissal for depraved indifference murder. Supreme Court denied the motion, finding the evidence in this case comparable to that in *People v Gomez* (65 NY2d 9 [1985]), and similarly sufficient to support a conviction of depraved indifference murder. Supreme Court sentenced defendant to an aggregate prison term of 20 years to life.

Defendant appealed, asserting legal sufficiency and weight of the evidence challenges to his depraved indifference murder conviction. The Appellate Division affirmed (*see People v Maldonado*, 100 AD3d 657 [2d Dept 2012]). A Judge of this Court granted defendant leave to appeal (21 NY3d 1044 [2013]).

II.

A.

A person is guilty of depraved indifference murder when, “[u]nder circumstances evincing a depraved indifference to human life, [such person] recklessly engages in conduct which creates a grave risk of death to another person, and thereby causes the death of another person” (Penal Law § 125.25 [2]). Depraved indifference is a culpable mental state which “is best understood as an utter disregard for the value of human life” (*People v Feingold*, 7 NY3d 288, 296 [2006] [internal quotation marks

omitted]). Thus, “a depraved and utterly indifferent actor is someone who does not care if another is injured or killed” (*id.* [internal quotation marks and citation omitted]). Due to the wanton nature of this mens rea, “depraved indifference murder properly applies only to a small, and finite, category of cases where the conduct is at least as morally reprehensible as intentional murder” (*People v Suarez*, 6 NY3d 202, 207 [2005]).

A defendant who knowingly pursues risky behavior that endangers others does not necessarily evince depraved indifference by engaging in that conduct. As we have explained, “[a] person who is depravedly indifferent is not just willing to take a grossly unreasonable risk to human life—that person does not care how the risk turns out” (*People v Lewie*, 17 NY3d 348, 359 [2011]). “The element of depraved indifference to human life comprises both depravity and indifference, and has meaning independent of recklessness and the gravity of the risk created” (*People v McMillon*, 31 AD3d 136, 139 [2d Dept 2006], *lv denied* 7 NY3d 815 [2006]). In short, the mens rea of depraved indifference will rarely be established by risky behavior alone.

B.

Defendant concedes that his conduct was reckless, but contends that the evidence failed to establish the depravedly indifferent mental state required by the statute. We agree that under the circumstances of this case, there was insufficient evidence to support defendant’s conviction for depraved indifference murder.

A conviction is legally insufficient where, viewing the record in the light most favorable to the prosecution, there is no “valid line of reasoning and permissible inferences from which a rational jury could have found the elements of the crime proved beyond a reasonable doubt” (*People v Danielson*, 9 NY3d 342, 349 [2007]; see *People v Williams*, 84 NY2d 925, 926 [1994]; *People v Contes*, 60 NY2d 620, 621 [1983]). Where the People fail to offer evidence evincing a defendant’s utter disregard for human life there can be no basis for a jury’s finding of guilt on a depraved indifference murder charge. Without such evidence, a jury cannot reasonably conclude that the defendant did not care whether someone lived or died and as a consequence was depravedly indifferent.

Here, defendant sought to mitigate the consequences of his reckless driving because he “actively attempt[ed] to avoid hitting other vehicles” by swerving, conduct which establishes a

lack of depraved indifference (*People v Heidgen*, 22 NY3d 259, 276 [2013]; see *People v Prindle*, 16 NY3d 768, 771 [2011]). Although defendant drove on the wrong side of the road, this conduct was episodic and part of his effort to avoid other vehicles while evading the police. This conscious avoidance of risk is the antithesis of a complete disregard for the safety of others. Defendant was unquestionably reckless, but he was not depravedly indifferent as we have defined and interpreted that state of mind. Unlike our dissenting colleagues, we conclude that, given this evidence, a rational jury could not have reasonably found depraved indifference beyond a reasonable doubt.

Our analysis in *Heidgen* illustrates why the facts of defendant's case are insufficient to support a different conclusion. In *Heidgen*, we upheld three depraved indifference murder convictions involving intoxicated drivers. We concluded the evidence sufficiently established the respective defendants' complete disregard for the risk created by their reckless driving and their total lack of concern for the life and welfare of others (see *Heidgen*, 22 NY3d at 267). Two of the defendants in *Heidgen* drove after midnight, in the early morning hours, at excessive speeds on a parkway or major thoroughfare (see *id.* at 268, 273). The third defendant sped on a local road late at night (see *id.* at 271-272). Each of the defendants drove a significant distance in the wrong direction, directly towards oncoming traffic, and did not swerve to avoid collisions with other vehicles.

In *People v Heidgen*, the defendant "drove the wrong way on the highway for over two miles without reacting to other drivers coming at him," and "appeared to follow, or track, the headlights of oncoming vehicles" (22 NY3d at 277). The evidence showed that the defendant not only failed to move out of the way, but actually followed the other drivers' movements as they sought to avoid colliding with him, in what we characterized as "a high speed game of chicken" (*id.*). The defendant in *People v Taylor*, sped "without headlights, on the wrong side of the road, . . . [and] did not . . . make any attempt to swerve" (*id.* at 271-272). In *People v McPherson*, the defendant "traveled about five miles in the wrong direction . . . [and] made no attempt to brake or to avoid other vehicles" (*id.* at 273).

Unlike the defendants in *Heidgen*, defendant never tracked or followed the movements of any driver, nor did he purposefully impede another driver's efforts to avoid a collision. Defendant drove in the wrong lane for brief periods of time in order to pass other cars, not as part of a deadly game. He

immediately returned to the proper lane once clear of congestion in order to avoid hitting other vehicles. Eyewitness testimony established that he repeatedly tried to avoid collisions while evading capture by the police. Although defendant swerved around cars and across lanes of traffic, he did so both to speed his flight and to avoid crashing into other vehicles or pedestrians.

Defendant's reckless driving does not, on its own, establish the requisite mens rea of depraved indifference. If careless and unsafe driving were enough to meet this requirement, then we would have affirmed the defendant's conviction of depraved indifference murder in *People v Prindle* (16 NY3d 768 [2011]), a case involving facts almost identical to those at issue before us in this appeal. Instead, in *Prindle*, we reduced the defendant's conviction to manslaughter in the second degree.

In that case, the defendant led the police on a high-speed chase along highways and residential streets in Rochester (*see id.* at 771 [Pigott, J., dissenting]). The defendant sped, drove erratically, crossed double-yellow lines into oncoming traffic, and wove into the passing lane (*id.* at 772). He also barreled through several red lights and caused the drivers of other cars to swerve or stop to avoid a collision. After the police deactivated their lights and siren, the defendant continued to speed, swerved into oncoming traffic, turned onto local streets, ran a red light, and struck a truck (*see id.* at 772-773). Thereafter, although he had room "to navigate around [it]," the defendant hit another car and killed one of its occupants (*id.* at 773). Nevertheless, we concluded that the evidence failed to "evinced [] a depraved indifference to human life" (*id.* at 770-771).¹

Like the defendant in *Prindle*, defendant here drove through a populated area, exceeded the speed limit, ran red lights, swerved across double-yellow lines into oncoming traffic, and drove the wrong way on one-way streets. Several witnesses testified that defendant swerved to avoid hitting other cars or pedestrians. Thus, as in *Prindle* where the defendant was "actively attempting to avoid hitting other vehicles," defend-

1. In *Prindle*, we applied the trial court's depraved indifference murder charge as given without exception, which was based on the objective-circumstances standard articulated in *People v Register* (60 NY2d 270 [1983]). Nevertheless, *Prindle* continues to provide important guidance because where, as in that case, the evidence is insufficient to establish depraved indifference under *Register*, it will most assuredly fail to meet the *Feingold* culpable-mental state requirement.

ant's conduct here did not evince an utter disregard for human life (*Heidgen*, 22 NY3d at 276).

According to the People, defendant's conduct was more egregious than that found in *Prindle* and constitutes legally sufficient evidence of his depraved indifference. In particular, the People claim that defendant showed an utter lack of concern for human life because he failed to modify his driving after narrowly missing a pedestrian.² The People contend that defendant's near-miss of a pedestrian was measurably worse than the *Prindle* defendant's actual collision with a truck, because pedestrians are more vulnerable to injury than are the occupants of vehicles. The People's creative attempt to distinguish a near-miss from an actual collision is not persuasive because, although there is a grave risk of injury in either case, gravity of risk alone is not determinative of the requisite mental state.

What matters in a depraved indifference analysis is that a defendant—even one “willing to take a grossly unreasonable risk to human life”—“does not care how the risk turns out” (*Lewie*, 17 NY3d at 359). Certainly, the defendant in *Prindle* was aware of the risk posed by his continued reckless driving after running a red light and striking a truck in an intersection. Nevertheless, the defendant went through two more red lights before the final collision that resulted in the victim's death. On those facts, we found the evidence legally insufficient to support a depraved indifference conviction. Here, defendant missed a pedestrian, and his driving afterwards—characterized by his efforts to swerve away from traffic and avoid collisions—does not evince a depravedly indifferent mental state.

The People also contend that, because he took his eyes off the road to check for police in the rearview mirror immediately before his collision with the victim, defendant's conduct was more reprehensible than that of the defendant in *Prindle* and shows he was depravedly indifferent. We find this momentary action insufficient to transform defendant's intent to the type of depravity required under the statute. Looking in the rearview mirror was a manifestation of defendant's continued desire to evade the police, not his total disregard for whether his reckless driving killed someone. A defendant may simultaneously intend to flee police and avoid striking other cars or pedestrians. These

2. The dissent agrees. However, as *Prindle* makes clear, attempting to avoid a collision with others, even if done in a reckless manner, is insufficient proof of depraved indifference (see *Prindle*, 16 NY3d at 770-771). Rather, it suggests the opposite (see *Heidgen*, 22 NY3d at 276).

intentions are not mutually exclusive even if, as is the case here, the attempted escape is carried out in a reckless manner. While defendant swerved into opposing lanes of traffic and exceeded the speed limit, he also “actively attempt[ed] to avoid hitting other vehicles” (*Heidgen*, 22 NY3d at 276). There is no indication that his conduct in doing so was motivated solely by his intent to evade capture, regardless of the risk to human life. The fact that defendant intended to avoid capture, as well as accidents, does not elevate the case to depraved indifference murder.

The People further speculate that defendant ended the chase by crashing the minivan into a parked car, not out of concern for the welfare of others, but because other cars were blocking his escape. Again, without direct evidence of defendant’s intent, the People essentially rely on evidence of defendant’s reckless driving to establish the culpable mental state. However, recklessness and depraved indifference are separate mens rea. Here, assuming the People proffered evidence indicating that defendant was aware of and disregarded the substantial risk of injury or death caused by his driving, they failed to submit evidence establishing that defendant did not care whether grievous harm resulted (see *Feingold*, 7 NY3d at 296). Thus, no reasonable jury could conclude that defendant was depravedly indifferent.

Nevertheless, relying on the decision of the trial court, the People contend that the facts here most closely mirror those in *People v Gomez* (65 NY2d at 9) and we should apply a similar analysis to uphold defendant’s depraved indifference conviction. Our analysis in *Gomez*, which applied the overruled *Register* standard, does not bind us here. Rather, our decision in *Heidgen* provides the appropriate basis to analyze defendant’s driving and whether there was sufficient evidence to find the requisite culpable mental state. As our discussion of *Heidgen* makes clear, this case is not one of the very few wherein a defendant’s “culpability is the equivalent of an intentional murderer” (*Heidgen*, 22 NY3d at 277).

If we accepted the People’s argument, depraved indifference murder could arguably be charged in every case where a defendant killed someone during a high-speed police chase. By its nature, a high-speed chase endangers pedestrians and other drivers and carries the potential for grave injuries and fatalities. Defendants who take part in high-speed chases violate accepted rules of the road and drive in what is generally considered a

reckless manner. Yet, not every vehicular police chase resulting in death will take place under circumstances evincing the defendant's depraved indifference. Cases of depraved indifference murder "are highly fact-specific and dependent upon the individual defendant's particular mental state—a factor that may be extremely difficult to establish" (*Heidgen*, 22 NY3d at 276). Where, as here, there is no additional evidence evincing a fleeing defendant's wanton disregard for the risk that the defendant's reckless flight from police poses to others, a charge for depraved indifference murder should not be submitted to the jury.

Accordingly, the Appellate Division order should be modified by reducing defendant's conviction of murder in the second degree to manslaughter in the second degree and remitting to the Supreme Court for resentencing and, as so modified, affirmed.

PIGOTT, J. (dissenting). Once again, a person is dead because a defendant, concerned about being arrested for theft, led police on a high-speed chase through residential neighborhoods (*compare People v Prindle*, 16 NY3d 768, 771-775 [2011, Pigott, J., dissenting]). And, once again, the majority treats this crime with unfathomable and unjustified leniency (*compare Prindle*, 16 NY3d at 769-771).

After he hot-wired and stole a minivan in a residential neighborhood in Brooklyn, defendant Jose Maldonado abruptly overtook an unmarked police vehicle near the intersection of Graham Avenue and Jackson Street. Police Officer Steven Truglio signaled for defendant to stop; as the officer approached on foot, defendant put the minivan into gear and sped off up Graham Avenue. Pursued by the police vehicle, defendant quickly exceeded the local speed limit of 30 m.p.h. and drove through a red light at Meeker Avenue. He then turned right on Driggs Avenue, driving the wrong way on this one-way street, before turning onto McGuinness Boulevard. Defendant then proceeded the wrong way on another one-way street, Engert Avenue, for three blocks, before turning onto Manhattan Avenue.

Speeding north along the avenue, and accelerating, defendant encountered extremely heavy traffic on this weekday afternoon in spring. Officer Truglio observed defendant darting from his northbound lane into the southbound lane, and swerving in and out of the oncoming traffic in his effort to escape. A bystander estimated that defendant was exceeding the speed limit by 10 or 20 m.p.h., while driving north in the southbound lane.

At the intersection of Manhattan Avenue and Milton Street, about half a mile to the north, defendant went through another red light, nearly striking a pedestrian—a woman who was in the process of crossing the avenue. She was able to dive out of the way of the oncoming minivan. Defendant did not even apply his brakes.¹ In fact, he continued to accelerate, and approached the intersection of Manhattan Avenue and Kent Street at about 60 m.p.h. He swerved around a driver in the northbound lane, entered the southbound lane, and barrelled head-on toward a vehicle driven by a motorist who had to wrench his car to one side to avoid a collision. That driver, stopping to recover himself, watched in his side-view mirror as defendant continued in the wrong lane and ran another red light at the India Street intersection, swerving between stopped cars waiting for the light.

It was at this intersection, Manhattan Avenue and India Street, that defendant struck a pedestrian, Violet Kryzak, 37, killing her. Kryzak was crossing Manhattan Avenue, with the pedestrian light in her favor. Her body flew into the air upon impact and landed over 165 feet, or almost one block, away from the point of collision. A witness who saw the moment of impact estimated that defendant was driving at 70 m.p.h., while another bystander thought his speed was closer to 80 m.p.h. It is clear from the testimony that defendant first swerved from the northbound to the southbound lane, to get around northbound vehicles stopped for the traffic light, and then immediately swerved back into the northbound lane, so as not to collide with stopped traffic straight ahead in the southbound lane. At this point, he slammed into Mrs. Kryzak.²

Officer Truglio and his colleagues immediately stopped in order to attend to Kryzak. Defendant, however, did not brake, instead speeding away at what another bystander described as highway-type speed, still speeding north in the southbound lane. At the Dupont Street intersection, five blocks to the north, the driver of a pickup truck saw defendant heading towards him

1. Although Officer Truglio testified that defendant swerved away from this pedestrian at the same time as she took evasive measures, Lieutenant Roy, sitting in the front passenger seat, did not see defendant swerve, and it appears that the woman escaped because of her athletic evasive action. In any case, defendant did not do what a person displaying the most minimal degree of care would have done, that is brake.

2. Defendant told the police he “tried to swerve” when he saw Kryzak, but no witness observed any evasive measure.

at what he estimated to be as much as 70 m.p.h. The windshield of defendant's vehicle was caved in on the passenger side. The truck driver swerved, towards other oncoming traffic, to avoid a collision with the minivan, which finally crashed into parked vehicles.

Defendant jumped out and started running along Dupont Street, pursued by civilians. Eventually a police officer took him into custody. Defendant waived his *Miranda* rights and made statements to the police.

There is no dispute as to the standard in this post-*Feingold* case. “[T]he decisive question is whether defendant acted with the state of mind required by the depraved indifference murder statute—an utter disregard for the value of human life” (*People v Taylor*, 15 NY3d 518, 523 [2010] [internal quotation marks omitted]). To be guilty of depraved indifference, a defendant must have a mens rea that is more than simply a willingness to take the risk that a person will die as a result of his actions (see *People v Lewie*, 17 NY3d 348, 359 [2011]). A defendant who is willing to take the risk that someone will die but remains *fearful* of that possible result is not guilty of depraved indifference murder (see *id.*). On the other hand, someone whose state of mind is entirely indifferent and uncaring—a defendant who does not care whether another person is killed or grievously injured as a result of his actions (see *People v Barboni*, 21 NY3d 393, 400 [2013]; *People v Feingold*, 7 NY3d 288, 296 [2006])—has the requisite mens rea.

Consequently, the question here is whether the People proved that defendant Maldonado had such a state of mind—of not caring whether a pedestrian died or was grievously injured as a result of his reckless driving. In my view, it is clear that the proof of depraved indifference was sufficient. Notably, there was no evidence that defendant slowed down at intersections; and, most notably, defendant did not stop driving through red lights or against the flow of traffic, or otherwise adjust his reckless driving behavior, after almost hitting the first pedestrian. In other words, there is no indication that defendant, though reckless, remained to some extent fearful for others' safety (*contra Lewie*, 17 NY3d at 359).

Defendant contends that his actions of swerving in and out of traffic, including swerving to avoid an oncoming car just before he fatally struck Kryzak, demonstrate that he took some care to avoid a fatal collision. I strongly disagree. Swerving in and out

of traffic, including the maneuvers preceding the fatal impact, merely demonstrates defendant's desire to avoid apprehension, not to avoid pedestrians. To the extent it indicates avoidance of other vehicles, it simply shows that he was not suicidal.

During the high-speed car chase, defendant drove at speeds greatly exceeding the speed limit, through red lights and in the path of oncoming traffic, to avoid police pursuit; he narrowly missed one pedestrian before striking and killing another; and he refused to change his driving behavior in the face of this encounter, when he had the opportunity to display that he cared whether or not he might strike a pedestrian. Viewing the evidence in the light most favorable to the prosecution, as we must, there is a valid line of reasoning and permissible inferences from which a rational jury—the jury in this trial—could have found that defendant's state of mind was not extreme recklessness alone, but also utter indifference to the value of human life—that he simply did not care whether or not a pedestrian died.

Therefore, I would affirm the unanimous order of the Appellate Division, holding that the evidence of defendant's guilt of murder in the second degree was legally sufficient.

Chief Judge LIPPMAN and Judges READ, SMITH and ABDUS-SALAAM concur with Judge RIVERA; Judge PIGOTT dissents in an opinion in which Judge GRAFFEO concurs.

Order modified by reducing defendant's conviction of murder in the second degree to manslaughter in the second degree and remitting to Supreme Court, Kings County, for resentencing and, as so modified, affirmed.

[20 NE3d 639, 995 NYS2d 694]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v BEN-
JAMIN JENKINS, Appellant.

Argued September 9, 2014; decided October 16, 2014

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered November 21, 2012. The Appellate Division (1) reversed, on the law, so much of an order of the Supreme Court, Kings County (Guy G. Mangano, Jr., J.), as had granted, after a hearing, that branch of defendant's omnibus motion which was to suppress physical evidence; (2) denied that branch of defendant's omnibus motion; and (3) remitted the matter to the Supreme Court, Kings County, for further proceedings on the indictment.

People v Jenkins, 100 AD3d 924, reversed.

HEADNOTE

Crimes — Unlawful Search and Seizure — Warrantless Search of Closed Metal Box — Exigent Circumstances

A police officer's warrantless search of a closed metal box in defendant's home, after defendant and his cohort were handcuffed and all occupants of the home were under police supervision, was not reasonable under the "exigent circumstances" exception to the warrant requirement. Police may act without a warrant where they possess probable cause to search but urgent events make it impossible to obtain a warrant in sufficient time to preserve evidence or contraband threatened with removal or destruction. Even in such cases, however, the scope of the conduct thus sanctioned is strictly limited by the necessities of the circumstances in which it arises. The search here was unreasonable as a matter of law because, by the time the officer opened the box, any urgency justifying the warrantless search had abated. At the time the officer searched the box and discovered the gun therein, the police were in complete control of the house and all occupants were out of commission. At that point there was no danger that defendant would dispose of or destroy the weapon, nor was there any danger to the public or the police.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Searches and Seizures §§ 133, 136, 277.

CARMODY-WAIT 2d, Search and Seizure §§ 173:365, 173:368,
173:369.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 3.6.

NY JUR 2d, Criminal Law: Procedure §§ 527–529.

ANNOTATION REFERENCE

See ALR Index under Search and Seizure.

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Database: NY-ORCS

Query: search! /p closed /4 box /p exigent /2 circumstance

POINTS OF COUNSEL

Steven Banks, The Legal Aid Society, Criminal Appeals Bureau, New York City (Allen Fallek of counsel), for appellant. Contrary to the Appellate Division's conclusion, the warrantless search of a closed container was per se unreasonable because the exigency that justified the warrantless entry had abated, and the hidden gun, itself, was not an exigent circumstance. (*People v Knapp*, 52 NY2d 689; *Warden, Md. Penitentiary v Hayden*, 387 US 294; *People v McBride*, 14 NY3d 440; *Coolidge v New Hampshire*, 403 US 443; *People v Mitchell*, 39 NY2d 173; *People v Gokey*, 60 NY2d 309; *Maryland v Buie*, 494 US 325; *United States v Simmons*, 661 F3d 151; *People v Parker*, 299 AD2d 859; *People v Johnson*, 181 AD2d 103.)

Kenneth P. Thompson, District Attorney, Brooklyn (Sholom J. Twersky and Leonard Joblove of counsel), for respondent. Exigent circumstances justified the warrantless search that led to the recovery of the gun. (*People v McBride*, 14 NY3d 440; *People v Molnar*, 98 NY2d 328; *People v Brown*, 95 NY2d 942; *People v Hallman*, 92 NY2d 840; *People v Leach*, 21 NY3d 969; *People v Johnson*, 83 NY2d 831; *People v Adams*, 53 NY2d 1; *People v Hines*, 209 AD2d 717; *People v Green*, 103 AD2d 362; *People v Robinson*, 97 NY2d 341.)

OPINION OF THE COURT

PIGOTT, J.

At issue in this appeal is whether a police officer's warrantless search of a closed metal box in defendant's home was reasonable under the "exigent circumstances" exception to the warrant requirement. We conclude that it was not.

Shortly after midnight on January 1, 2010, New York City Police Officer Kevin Brennan and another officer entered an apartment building after hearing gunshots and observing muzzle fire from the building's roof. As the officers ascended the stairwell, they heard a gunshot directly above them. When the officers reached the eighth floor, they heard voices from the adjoining hallway. They entered the hallway where Officer Brennan observed defendant holding a firearm.

Defendant and another man then fled into an apartment. The officers pursued defendant into the apartment, entering through

the use of a sledgehammer to break down the locked and unanswered door. Upon entering the apartment they observed two women in the living room, one of whom was in a wheelchair. The women denied that anyone had entered the apartment.

The officers searched the apartment and located defendant and his cohort hiding under a bed. Officer Brennan and another officer removed the men from the room, frisked them, placed them in handcuffs, and took them to the living room to join the two women. By this time, there were several officers in the room. Officer Brennan then returned to the room where he had initially found defendant and searched for the gun. Finding none, he entered an adjoining bedroom and found a 12 inch by 12 inch silver box on the floor. He picked up the box, shook it, and, upon hearing a sound, opened it and discovered the gun. He returned to the living room and placed defendant under arrest.

At the conclusion of the suppression hearing, the People argued that exigent circumstances justified Officer Brennan's warrantless search of the box. The defense countered that by the time Officer Brennan searched the box, defendant, his cohort, and the two women were all under the watchful eye of the officers in the living room, and any exigency had for all intents and purposes ceased. The suppression court concluded that the warrantless entry into the apartment was proper, but that once defendant was handcuffed and secured, the exigency had abated and the subsequent warrantless search of the box was improper.¹ On appeal, the Appellate Division reversed, concluding that the same exigent circumstances that justified the officers' entry into the apartment—the gunfire on the roof and stairwell, and Officer Brennan's observation of defendant holding a gun in the hallway—justified the warrantless search for the gun (100 AD3d 924, 925 [2d Dept 2012]). A Judge of this Court granted defendant leave to appeal (21 NY3d 1016 [2013]) and we now reverse.

“[S]ubject only to carefully drawn and narrow exceptions, a warrantless search of an individual's home is per se unreasonable and hence unconstitutional” (*People v Knapp*, 52 NY2d 689, 694 [1981]). One exception, commonly referred to as the “exigent circumstances” exception, dictates that police may act without a warrant where they possess probable cause to search

1. Defendant does not challenge on this appeal the officers' initial entry into the apartment.

but “urgent events make it impossible to obtain a warrant in sufficient time to preserve evidence or contraband threatened with removal or destruction” (*id.* at 695-696 [citations and internal quotation marks omitted]; see 1-12 Lewis Katz & Jay Shapiro, New York Suppression Manual § 12.02 [1] [b]). Even in such cases, however, “the scope of the conduct thus sanctioned is strictly limited by the necessities of the circumstances in which it arises” (*Knapp*, 52 NY2d at 696). The People have the burden of establishing that the exigencies of the situation justified the warrantless search (see *Matter of Kwok T.*, 43 NY2d 213, 220 [1977]).

In this instance, the People failed to meet that burden. There is no record support for the Appellate Division’s conclusion that exigent circumstances justified the search of the closed box. The search was unreasonable as a matter of law because, by the time Officer Brennan opened the box, any urgency justifying the warrantless search had abated. The officers had handcuffed the men and removed them to the living room where they (and the two women) remained under police supervision. At the time Officer Brennan searched the box and discovered the gun, the police “were in complete control of the house” and “[a]ll occupants were out of commission” (*Knapp*, 52 NY2d at 696-697). At that point, contrary to the People’s contention, there was no danger that defendant would dispose of or destroy the weapon (see *Matter of Kwok T.*, 43 NY2d at 220), nor was there any danger to the public or the police (see *Knapp*, 52 NY2d at 697). Absent the presence of any other exception to the warrant requirement, such as a search incident to arrest or the gun being in plain view (see *People v Ciccarelli*, 161 AD2d 952, 953 [3d Dept 1990]),² the police were required to obtain a warrant prior to searching the box.

2. The People also assert in their brief that the warrantless search of the box was supported by the “emergency doctrine” exception. Assuming that this argument was preserved, it is without merit. Under the “emergency doctrine,” the main objective is the protection of life or property (see New York Suppression Manual § 12.03 [1] [noting that the emergency doctrine differs from the exigent circumstances doctrine because “the primary objective” of the former is “protection of life and property,” whereas the latter involves “the protection of evidence from destruction or concealment or the arrest of a wrongdoer”]; see e.g. *People v Molnar*, 98 NY2d 328, 331-335 [2002]; *People v Mitchell*, 39 NY2d 173 [1976], *cert denied* 426 US 953 [1976]). Here, the only inference that can be drawn from the suppression record is that the claimed emergency—the safety of the women in the apartment—had abated by the time Officer Brennan searched the box, such that the officers had no “reasonable grounds to believe” there was “an emergency at hand and an immediate

Accordingly, the order of the Appellate Division should be reversed, the branch of defendant's motion to suppress the physical evidence should be granted and the indictment should be dismissed.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH, RIVERA and ABDUS-SALAAM concur.

Order reversed, that branch of defendant's motion to suppress the physical evidence granted and the indictment dismissed.

need for their assistance for the protection of life or property" (*Mitchell*, 39 NY2d at 177).

[20 NE3d 983, 996 NYS2d 203]

In the Matter of TOWN OF NORTH HEMPSTEAD, Appellant-
Respondent, v COUNTY OF NASSAU, Respondent-Appellant.

Argued September 10, 2014; decided October 16, 2014

SUMMARY

CROSS APPEALS, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered January 16, 2013. The Appellate Division modified, on the law, an order and judgment (one paper) of the Supreme Court, Nassau County (Anthony L. Parga, J.; op 2011 NY Slip Op 32266[U] [2011]), entered in a hybrid declaratory judgment action/CPLR article 78 proceeding, which had declared and ordered: “(1) That FIT [the Fashion Institute of Technology] is a ‘community college’ as contemplated by Education Law §§ 6301, 6302, 6303, and 6305; (2) That, pursuant to Education Law §§ 6301(2), 6302(3), 6303(1) and 6305(5), the County is entitled to charge back to the Town the amount paid by the County to FIT for Town residents enrolled in two year education programs and those seeking two-year Associate Degrees; (3) That the undisputed amount of \$672,680.13, representing the balance due from the County to the Town for the sales tax distribution for the fourth quarter of the fiscal year 2010, shall be paid by the County to the Town within thirty (30) days following the date of this order; (4) That the County may retain the remainder of the sales tax due and owing to the Town for the fourth quarter of the fiscal year 2010, in the amount of \$1,775,944.87, pending a determination of the total amount due and owing from the Town for community college charge backs and FIT Associate Degrees and two year education charge backs; (5) That the County shall determine the amount due and owing to it from the Town for community college charge backs for Town residents for the fiscal year 2010 and part of the fiscal year 2009, and for FIT Associate Degrees and two year education charge backs for Town residents for the fiscal year 2010, within sixty (60) days of this order; and (6) That the County may offset the amount due and owing to it for the above-noted charge-backs from the remainder of the \$1,775,944.87 due to the Town for the Town’s share of the collected sales tax for the fourth quarter of the fiscal year 2010.” The modification consisted of (1) deleting from the second decretal paragraph of the order and judgment the words “enrolled in two year education programs and those seeking

two-year Associate Degrees”; (2) deleting from the third decretal paragraph thereof the words “That the undisputed amount of \$672,680.12, representing”; and (3) deleting the fourth, fifth, and sixth decretal paragraphs thereof, and substituting therefor a provision declaring that the County of Nassau may not offset any chargebacks from the Town of North Hempstead’s share of the sales tax revenue collected for the fourth quarter of fiscal year 2010. The Appellate Division affirmed the order and judgment as modified.

Matter of Town of N. Hempstead v County of Nassau, 102 AD3d 800, modified.

HEADNOTES

Colleges and Universities — Community College — Chargebacks for Cost of Educating Town Residents at Community Colleges Outside County

1. Respondent County was permitted, under the Education Law, to charge back to petitioner Town the amounts respondent paid on behalf of Town residents attending the Fashion Institute of Technology (FIT). In 1975 the legislature authorized FIT, which was initially a two-year school, to expand its degree programs, resulting in a greater burden on the local governments for their share of its operating costs. In 1994 the State took on the obligation of reimbursing the counties for charges they incurred on behalf of their nonresident students attending FIT, but the legislature has not appropriated funds for the reimbursement since 2001. Although the State’s reimbursement obligation is phrased in mandatory terms (*see* Education Law § 6305 [10]), nothing in the statute expressly repealed respondent’s ability to seek chargebacks from the towns under Education Law § 6305 (5). Nor was there any indication that the legislature intended to impliedly repeal section 6305 (5). The statutes are not in irreconcilable conflict, but can be harmonized. The community college funding scheme is clearly intended to provide the counties with reimbursement. That goal can either be accomplished using funds from the State (if available) or, in the alternative, from the local municipalities. The effect of the State’s failure to fund its reimbursement obligation is not the imposition of an additional expense upon the counties—especially where the statute continues to authorize chargebacks to the towns and cities for all community colleges.

Colleges and Universities — Community College — Chargebacks for Cost of Educating Town Residents at Community Colleges Outside County — Cost Not Limited to Expenses Associated with Two-Year Programs

2. Petitioner Town’s obligation to reimburse respondent County the amounts respondent paid on behalf of Town residents attending the Fashion Institute of Technology (FIT) was not limited to expenses associated with FIT’s two-year programs. The same statute that expanded FIT’s curriculum to include advanced degree programs explicitly states that the school “shall be financed and administered in the manner provided for community colleges” (Education Law § 6302 [3]). Therefore, respondent was permitted under Education Law § 6305 (5) to collect chargebacks from petitioner for costs incurred on behalf of Town residents for all FIT degree programs, just as it could for any two-year community college program.

Colleges and Universities — Community College — Chargebacks for Cost of Educating Town Residents at Community Colleges Outside County — Cost Not Limited to Expenses Associated with Two-Year Programs

3. Respondent County was permitted to offset petitioner Town's obligation to reimburse respondent the amounts respondent paid on behalf of Town residents attending the Fashion Institute of Technology (FIT) by retaining the appropriate amount from petitioner's share of sales tax revenue. Respondent, like any other creditor, is permitted to employ the common-law right of set-off. As the Education Law allows respondent to seek chargebacks from petitioner and the amount of petitioner's debt had been reliably determined based on concrete FIT enrollment figures, respondent was entitled to offset the amounts owed by petitioner and a specific resolution for that purpose was not required.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Colleges and Universities §§ 2, 20, 23, 26, 29, 41, 44; AM JUR 2d, State and Local Taxation § 97.
CARMODY-WAIT 2d, Proceeding Against a Body or Officer §§ 145:708, 145:717, 145:720, 145:727.
MCKINNEY'S, Education Law §§ 6302 (3); 6305 (5), (10).
NY JUR 2d, Counties, Towns, and Municipal Corporations § 1629; NY JUR 2d, Schools, Universities, and Colleges §§ 611, 783-788, 824-827.
SIEGEL, NY PRAC §§ 4, 436-438, 563, 570.

ANNOTATION REFERENCE

See ALR Index under Colleges and Universities; Counties; Schools and Education; Towns; Trade Schools; Vocational Training.

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POINTS OF COUNSEL

Bond Schoeneck & King PLLC, Garden City (*Richard S. Finkel* of counsel), for appellant-respondent. I. The Education Law does not permit counties to charge back towns and cities for Fashion Institute of Technology costs. (*Matter of Fulton-Montgomery Community Coll. v County of Saratoga*, 80 AD3d 217; *Matter of Moran v LaGuardia*, 270 NY 450; *Matter of New York Pub. Interest Research Group v Dinkins*, 83 NY2d 377; *Pataki v New York State Assembly*, 4 NY3d 75; *New York State Bankers Assn. v Wetzler*, 81 NY2d 98; *Matter of Gallagher v*

Regan, 42 NY2d 230; *Ball v State of New York*, 52 AD2d 47, 41 NY2d 617; *Church of Ascension v New York State Racing & Wagering Bd.*, 55 AD2d 874, 46 NY2d 776; *Commonwealth of the N. Mariana Is. v Canadian Imperial Bank of Commerce*, 21 NY3d 55; *Matter of Meng*, 227 NY 264.) II. Education Law § 6302 (3) does not permit counties to recover the costs of Fashion Institute of Technology's advanced degree programs from towns and cities. (*Commonwealth of the N. Mariana Is. v Canadian Imperial Bank of Commerce*, 21 NY3d 55; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205; *Department of Welfare of City of N.Y. v Siebel*, 6 NY2d 536; *Giuliani v Hevesi*, 90 NY2d 27; *Comereski v City of Elmira*, 308 NY 248; *Desiderio v Ochs*, 100 NY2d 159; *Fleming v Graham*, 10 NY3d 296; *Castro v United Container Mach. Group*, 96 NY2d 398; *Matter of Washington Post Co. v New York State Ins. Dept.*, 61 NY2d 557.) III. Any county chargeback must be preceded by authorization from the county legislature. (*People v Roe*, 74 NY2d 20; *Matter of Scoglio v County of Suffolk*, 85 NY2d 709; *Matter of Leirer v Caputo*, 81 NY2d 455.) IV. The County of Nassau's set off of sales tax revenue owed the Town of North Hempstead against a disputed debt is unlawful. (*Dunn v Uvalde Asphalt Paving Co.*, 175 NY 214; *Spodek v Park Prop. Dev. Assoc.*, 263 AD2d 478; *Willett v Lincolnshire Mgt.*, 302 AD2d 271.)

Carnell T. Foskey, County Attorney, Mineola (Robert F. Van der Waag and David A. Tauster of counsel), for respondent-appellant. I. A county may properly charge back to its towns and cities the full amount paid for their residents to attend any degree program at a community college. (*Fisher v Fashion Inst. of Tech.*, 491 F Supp 879; *Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205; *Matter of Fulton-Montgomery Community Coll. v County of Saratoga*, 80 AD3d 217; *Cimo v State of New York*, 306 NY 143; *Metropolitan Multi-Hous. Laundry Assn. v New York City Dept. of Fin.*, 184 AD2d 759; *Matter of County of Suffolk v King*, 18 AD3d 1010; *Pataki v New York State Assembly*, 4 NY3d 75.) II. The county treasurer was empowered to charge back to the towns and cities for non-resident tuition at the Fashion Institute of Technology. (*City of Buffalo v Roadway Tr. Co.*, 303 NY 453; *Goncalves v Regent Intl. Hotels*, 58 NY2d 206; *Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205; *Matter of Auerbach v Board of Educ. of City School Dist. of City of N.Y.*, 86 NY2d 198.) III. The County of Nassau is entitled to set off the amounts

chargeable to the Town of North Hempstead for its residents attending the Fashion Institute of Technology against the Town's share of sales tax revenue. (*United States v Munsey Trust Co.*, 332 US 234; *Morash v State of New York*, 268 AD2d 510; *Matter of Fahey v Whalen*, 54 AD2d 1097; *Canale v New York State Dept. of Taxation & Fin.*, 84 Misc 2d 786; *Argiriou & Finkel v Marciante Luncheonette II*, 64 Misc 2d 660; *Hettrick Mfg. Co. v Barish*, 120 Misc 673, 209 App Div 807; *Matter of Northville Indus. Corp. v State of New York*, 14 AD3d 817.)

Eric T. Schneiderman, Attorney General, New York City (*Valerie Figueredo, Barbara D. Underwood and Richard P. Dearing* of counsel), for State University of New York, amicus curiae. The Fashion Institute of Technology is not exempt from Education Law § 6305 (5), which authorizes a county to recover from a town the county's required payments for the attendance of town residents at an out-of-county community college. (*Matter of Board of Educ. of City of N.Y. v Allen*, 6 NY2d 127; *Iazzetti v City of New York*, 94 NY2d 183; *Alweis v Evans*, 69 NY2d 199; *Pataki v New York State Assembly*, 4 NY3d 75; *Yatauro v Mangano*, 17 NY3d 420; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Matter of Amorosi v South Colonie Ind. Cent. School Dist.*, 9 NY3d 367.)

Dennis M. Brown, County Attorney, Hauppauge (*Christopher A. Jeffreys* of counsel), for County of Suffolk, amicus curiae. I. It is well established that the Fashion Institute of Technology is a community college in the State of New York. (*Jackson v Board of Educ. of City of N.Y.*, 30 AD3d 57.) II. Suffolk County is entitled to reimbursement of all monies paid for nonresident student attendance at the Fashion Institute of Technology from the towns in which the students reside. (*Matter of County of Suffolk v King*, 18 AD3d 1010; *Pataki v New York State Assembly*, 4 NY3d 75; *Moore v Mausert*, 49 NY 332; *Matter of Pink [Walladmoy Realty Co., Inc.]*, 179 Misc 46.)

Corey E. Klein, Corporation Counsel, Long Beach (*Gregory Kalnitsky* of counsel), for City of Long Beach, amicus curiae. The County of Nassau may not charge back municipalities for Fashion Institute of Technology tuition. (*Ferres v City of New Rochelle*, 68 NY2d 446; *New York State Bankers Assn. v Albright*, 38 NY2d 430; *People v Ryan*, 274 NY 149; *Janssen v Incorporated Vil. of Rockville Ctr.*, 59 AD3d 15; *Matter of City of New York v Novello*, 65 AD3d 112; *Fisher v Fashion Inst. of Tech.*, 491 F Supp 879; *Jackson v Board of Educ. of City of N.Y.*,

30 AD3d 57; *Matter of Amorosi v South Colonie Ind. Cent. School Dist.*, 9 NY3d 367; *Matter of Raritan Dev. Corp. v Silva*, 91 NY2d 98.)

Cindy Elan-Mangano, Town Attorney, Huntington (Deirdre M. Butterfield of counsel), for Town of Huntington, amicus curiae. I. Education Law § 6305 authorizes counties to seek reimbursement for Fashion Institute of Technology-related charges from the State and only the State. (*National Assn. of Home Builders v Defenders of Wildlife*, 551 US 644; *Lexecon Inc. v Milberg Weiss Bershad Hynes & Lerach*, 523 US 26; *Association of Civilian Technicians, Mont. Air Ch. No. 29 v Federal Labor Relations Auth.*, 22 F3d 1150.) II. Education Law § 6305 (5) should be deemed repealed by implication. (*National Assn. of Home Builders v Defenders of Wildlife*, 551 US 644; *People ex rel. Bronx Parkway Commn. v Common Council of City of Yonkers*, 229 NY 1; *People v Mann*, 31 NY2d 253.)

Robert L. Cicale, Town Attorney, Islip (William F. Garbarino of counsel), for Town of Islip, amicus curiae. I. Education Law § 6305 authorizes counties to seek reimbursement for Fashion Institute of Technology-related charges from the State and only the State. (*Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205; *Matter of Hoerger v Spota*, 109 AD3d 564; *Pajak v Pajak*, 56 NY2d 394; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Tompkins v Hunter*, 149 NY 117; *Matter of Erie County Agric. Socy. v Cluchey*, 40 NY2d 194; *Bright Homes v Wright*, 8 NY2d 157.) II. The ongoing superse-
dure of Education Law § 6305 (10) by budget legislation does not constitute the implied repeal of Education Law § 6305 (10). (*Noghrey v Town of Brookhaven*, 214 AD2d 659; *Matter of Gallagher v Regan*, 42 NY2d 230; *Matter of Moran v LaGuardia*, 270 NY 450; *Pataki v New York State Assembly*, 4 NY3d 75; *Ball v State of New York*, 41 NY2d 617; *People v Mann*, 31 NY2d 253; *Cimo v State of New York*, 306 NY 143.)

Sarah B. Brancatella, Albany, for Association of Towns of the State of New York, amicus curiae. The language of the statutes, amendments to the Education Law and a history of the community college chargeback system all demonstrate that the legislature did not intend to allow counties to charge back non-resident student Fashion Institute of Technology-related costs to towns. (*Riley v County of Broome*, 95 NY2d 455.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

This appeal concerns the allocation of costs to be borne amongst various government entities for expenses attributable

to their residents attending community college. More specifically, the primary issue presented is whether the Education Law permits respondent Nassau County (County) to charge back to petitioner Town of North Hempstead (Town) the amounts the County paid on behalf of Town residents attending the Fashion Institute of Technology (FIT). We conclude that the County can collect the chargebacks.

Under the Education Law, community colleges are defined as colleges that are established and operated by a local sponsor¹ which “provid[e] two-year post secondary programs pursuant to regulations prescribed by the state university trustees and receiv[e] financial assistance from the state therefor” (Education Law § 6301 [2]). Community colleges are further described as institutions that “provide two-year programs of [a] post high school nature” with curricula “designed to serve the needs of students who seek two years of post secondary education and whose needs would not ordinarily be met by the usual four-year college curriculum” (Education Law § 6303 [1], [3]).

According to the financing system established by the Education Law, funding for community colleges is derived from the State, the local sponsor and the individual students (*see* Education Law § 6304 [1] [a], [c], [d]). The local sponsor’s portion of the financial burden depends upon where its students reside. For “resident” students—generally those who reside within the particular geographic region served by the local sponsor—the local sponsor is responsible for a portion of the community college’s operating and capital costs (*see* Education Law §§ 6301 [5]; 6304 [1]). For nonresident students—those who live within New York State, but outside of the region where the community college is located—the local sponsor is permitted to charge back a portion of those operating costs to the students’ county of residence (*see* Education Law § 6305 [2]). The county, in turn, is authorized to “charge back such amounts in whole or in part to the cities and towns in the county” where such nonresident students reside (Education Law § 6305 [5]).

Although, like other community colleges, FIT was initially a two-year school, in 1975 the legislature authorized the local

1. A local sponsor is defined as “[a]ny city, county, intermediate school district, school district approved by the state university trustees, or community college region approved by the state university trustees, sponsoring or participating in the establishment or operation of a community college” (Education Law § 6301 [3]).

sponsor to expand the available degree programs (*see* Letter from Assembly Sponsor, June 19, 1975, Bill Jacket, L 1975, ch 356, 1975 NY Legis Ann at 429 [baccalaureate degree programs]; Governor's Approval Mem, Bill Jacket, L 1979, ch 204, 1979 NY Legis Ann at 134 [Master's degree programs]). "In addition to the community college programs and curricula authorized by this article, the institution may offer . . . baccalaureate, masters degree programs and curricula in support of its mission" (Education Law § 6302 [3]).² The statute further provides that "[n]otwithstanding any other provision of law, the institution shall be financed and administered in the manner provided for community colleges" (Education Law § 6302 [3]).

The expansion in FIT degree programs resulted in a greater burden on the local governments for their share of its operating costs. In 1994, the State took on the obligation of reimbursing the counties for charges they incurred on behalf of their nonresident students attending FIT (*see* L 1994, ch 170, § 400). Specifically, the statute provides that

"the state shall reimburse each county which has issued a certificate of residence for any non-resident student in attendance at [FIT] during the [1993-94] academic year and every year thereafter in an amount equal to fifty percent of the actual amount paid by such county on behalf of such students and on or before [June 1, 1995] and every year thereafter, the state shall reimburse each county for the remaining fifty percent of the actual amount paid by each such county on behalf of such students" (Education Law § 6305 [10]).

Although the legislature appropriated funds for the reimbursement until 2001, since that time such appropriations have not been made.

Beginning in 2003, the Nassau County Legislature authorized its county treasurer to charge back to the appropriate towns and cities the amounts paid by the County on behalf of its residents attending out-of-County community colleges. Although the resolution authorizing the chargebacks refers to community colleges in general, the County did not at that time charge the

2. The statute does not reference FIT explicitly, but the legislative history makes clear that the provision was designed to apply solely to that school (*see* Letter from Assembly Sponsor, June 19, 1975, Bill Jacket, L 1975, ch 356, 1975 NY Legis Ann at 429; Governor's Approval Mem, Bill Jacket, L 1979, ch 204, 1979 NY Legis Ann at 134).

local municipalities for FIT costs. In 2010, however, the County began instituting FIT chargebacks.

By April 2011, the Town owed the County \$1,174,462.60 in FIT expenses for the 2010 fiscal year. The County's budget director sent a letter to the Town, informing it that this amount, as well as \$601,482.27 owed for payments made on behalf of Town residents attending other out-of-county community colleges, had been withheld from its share of sales tax revenue.

The Town then commenced this hybrid declaratory judgment action/CPLR article 78 proceeding seeking a declaration that the County lacked authority to charge back FIT expenses to the Town. In the alternative, the Town sought a declaration that the chargebacks be limited to costs associated with two-year FIT degree programs. The Town also sought an order directing the County to pay the Town its share of the sales tax revenue and a declaration that the County was without authority to offset any chargebacks against the sales tax revenue due to the Town.

Supreme Court denied, in part, the Town's motion for summary judgment, finding that the County was entitled to collect chargebacks from the Town (2011 NY Slip Op 32266[U] [2011]). However, the court limited the availability of those chargebacks to the amounts the County had expended on behalf of the Town's FIT students who were enrolled in two-year programs and those who were seeking two-year Associate's degrees. The court further determined that the County was entitled to offset the Town's resulting liability by retaining the amount owed from the Town's share of County sales tax revenue.

The Appellate Division modified by applying the chargebacks to all FIT degree programs, rather than solely to two-year programs (102 AD3d 800 [2d Dept 2013]). However, the Court also found that the County was required to adopt a formal resolution in order to authorize its treasurer to collect the chargebacks and that the County was not entitled to offset the amounts owed by the Town against the sales tax revenue.

This Court granted the Town's motion for leave to appeal and the County's motion for leave to cross-appeal (21 NY3d 864 [2013]). We now modify to uphold the County's offsetting of the Town's liability for FIT chargebacks from sales tax revenue, without requiring the issuance of a new resolution and, as so modified, affirm.

The Town argues that the County is without authority to charge back FIT costs to the towns. The crux of the Town's

argument is that when Education Law § 6305 (10) was enacted, the State became the sole source from which the counties could seek reimbursement for FIT student expenses. The Town maintains that this provision remains in full effect despite the State's failure to fund the measure and that the County, therefore, cannot revert to obtaining reimbursement from the towns under section 6305 (5).

[1] It is true that the State's reimbursement obligation is phrased in mandatory terms (*see* Education Law § 6305 [10]). However, there is nothing in the statute that expressly repeals the County's ability to seek chargebacks from the towns. Nor is there any indication that the legislature intended to impliedly repeal section 6305 (5). "Generally, a statute is deemed impliedly repealed by another statute only if the two are in such conflict that it is impossible to give some effect to both. If a reasonable field of operation can be found for each statute, that construction should be adopted" (*Alweis v Evans*, 69 NY2d 199, 204 [1987]). Here, the statutes are not in irreconcilable conflict, but can be harmonized. The community college funding scheme is clearly intended to provide the counties with reimbursement. That goal can either be accomplished using funds from the State (if available) or, in the alternative, from the local municipalities. The effect of the State's failure to fund its reimbursement obligation is not the imposition of an additional expense upon the counties—especially where the statute continues to authorize chargebacks to the towns and cities for *all* community colleges. In other words, the State's nonperformance does not change the rights and obligations as between the County and the Town. Rather, the State's reimbursement obligation was superseded when the legislature failed, in the course of the budgeting process, to appropriate the required funding (*see Pataki v New York State Assembly*, 4 NY3d 75, 98-99 [2004]; *Matter of County of Suffolk v King*, 18 AD3d 1010 [3d Dept 2005]). The County was then free to look to the Town for reimbursement under Education Law § 6305 (5).

[2] The Town's alternative argument, that any reimbursement it is obligated to provide should be limited to expenses associated with FIT's two-year programs, is without merit. As noted above, the same statute that expanded FIT's curriculum to include advanced degree programs explicitly states that the school "shall be financed and administered in the manner provided for community colleges" (Education Law § 6302 [3]). Therefore, the County is permitted to collect chargebacks from

the Town for costs incurred on behalf of Town residents for all FIT degree programs, just as it could for any two-year community college program.

[3] Finally, the County, in support of its cross appeal, asserts that it has the authority to offset the Town's debt by retaining the appropriate amount from the Town's share of sales tax revenue. The County, like any other creditor, is permitted to employ the common-law right of set-off (*see United States v Munsey Trust Co.*, 332 US 234, 239 [1947]; 1988 Ops St Comp No. 88-42). At this point, it is clear that the Education Law allows the County to seek chargebacks from the Town and the amount of the Town's debt has been reliably determined based on concrete FIT enrollment figures (*cf. Dunn v Uvalde Asphalt Paving Co.*, 175 NY 214, 219 [1903]). As a result, the County may offset the amounts owed by the Town and a specific resolution for this purpose is not required.

Accordingly, the order of the Appellate Division should be modified, with costs to the County, to declare in favor of the County in accordance with this opinion and, as so modified, affirmed.

Judges GRAFFEO, READ, SMITH, PIGOTT, RIVERA and ABDUS-SALAAM concur.

Order modified, with costs to the County of Nassau, to declare in favor of the County of Nassau in accordance with the opinion herein and, as so modified, affirmed.

[21 NE3d 214, 996 NYS2d 585]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v ANDREW
BLAKE, Appellant.

Argued September 11, 2014; decided October 21, 2014

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered April 2, 2013. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Michael J. Obus, J.), which had convicted defendant, upon a jury verdict, of attempted murder in the second degree (three counts), assault in the first degree (two counts), assault in the second degree, criminal possession of a weapon in the second degree (two counts), reckless endangerment in the first degree and bribery in the second degree.

People v Blake, 105 AD3d 431, affirmed.

HEADNOTE

Crimes — Right to Counsel — Effective Representation — Failure to Request Permissive Adverse Inference Charge

In a prosecution for attempted murder and related crimes arising after defendant shot three men with a handgun, defendant's trial representation was not constitutionally ineffective due to counsel's failure to request a charge permitting the jury to infer adversely to the prosecution that the content of a tape from a video surveillance camera, which had been recorded over due to an unexplained oversight, would have substantiated defendant's claim that his conduct had been justified. Even allowing that counsel erred in omitting to request the charge, the lone error was not in the context of the prosecution sufficiently egregious and prejudicial to overshadow and taint the whole of the representation. At the time of defendant's trial, there was no legal authority absolutely entitling him to an adverse inference charge concerning the missing tape. Moreover, there was no reasonable possibility, much less a reasonable probability, that the jury, if offered the opportunity, would have elected to draw an inference adverse to the prosecution as to what the missing tape would have shown. The jury was well aware that, as defense counsel emphasized, the police failed to preserve "the one video that would show what happened," but rejected the argument, allowed by the trial court over the People's objection, that the missing tape would have proved that defendant only fired at his adversaries because they were about to set upon him with razors. At trial, there was video evidence depicting one of the adversaries a moment before the shootings with his arms extended at his sides and his palms open, there was no proof that razors or other weapons were found on or near the victims and there was forensic evidence that one of the victims had been shot in the back while fleeing. There was also evidence that defendant fled the jurisdiction and attempted to secrete evidence linking him to the

shootings and to bribe the arresting officers to destroy videotapes of the altercation.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review § 690; AM JUR 2d, Criminal Law §§ 1135–1139, 1149; AM JUR 2d, Evidence § 1000; AM JUR 2d, Trial § 1100; AM JUR 2d, Witnesses § 119.
CARMODY-WAIT 2d, Right to Counsel §§ 184:160, 184:166, 184:175, 184:222, 184:230, 184:248, 184:254; CARMODY-WAIT 2d, Discovery §§ 187:20, 187:87, 187:99, 187:131; CARMODY-WAIT 2d, Charge and Instruction to Jury §§ 200:36–200:37.
LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 11.7–11.10, 21.3.
NY JUR 2d, Criminal Law: Procedure §§ 428, 865–868, 883, 906, 919, 1165, 1658, 2754.

ANNOTATION REFERENCE

Adequacy of defense counsel's representation of criminal client regarding right to and incidents of jury trial. 3 ALR4th 601.

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Database: NY-ORCS

Query: effect! /3 assist! & request /3 (adverse /3 infer!)

POINTS OF COUNSEL

Richard M. Greenberg, Office of the Appellate Defender, New York City (Alexandra Keeling and Rahul Sharma of counsel), for appellant. There was no basis for trial counsel's failure to request a permissive adverse inference charge about the destroyed footage, and the omission of the charge tainted the jury's consideration of Andrew Blake's self-defense claim. (*People v Pons*, 68 NY2d 264; *People v Turner*, 5 NY3d 476; *Strickland v Washington*, 466 US 668; *Henry v Poole*, 409 F3d 48; *People v Caban*, 5 NY3d 143; *People v Handy*, 20 NY3d 663; *Carter v Kentucky*, 450 US 288; *People v Wesley*, 76 NY2d 555.)

Cyrus R. Vance, Jr., District Attorney, New York City (Vincent Rivellese and Christopher P. Marinelli of counsel), for respondent. Defendant's trial attorney provided meaningful representation and cannot be deemed ineffective for not requesting an adverse inference instruction that may not have comported

with counsel's strategy, especially where defendant alleges no other shortcomings of counsel and did not make a post-judgment motion attacking counsel's effectiveness. (*People v Handy*, 20 NY3d 663; *Strickland v Washington*, 466 US 668; *People v Benvenuto*, 91 NY2d 708; *People v Baldi*, 54 NY2d 137; *People v Rivera*, 71 NY2d 705; *People v Turner*, 5 NY3d 476; *People v Carncross*, 14 NY3d 319; *People v Caban*, 5 NY3d 143; *People v Smith*, 11 AD3d 202; *People v Koberstein*, 66 NY2d 989.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

After a jury trial, defendant was convicted of three counts of attempted second degree murder, two counts of first degree assault, assault in the second degree, two counts of criminal possession of a weapon in the second degree, reckless endangerment in the first degree and bribery in the second degree. The trial evidence established that, during an altercation in a New York City housing project, defendant shot three men with a handgun recovered several days later from the water tank of a toilet in the Wilmington, Delaware apartment to which defendant fled in the shooting's aftermath. Defendant raises no challenge to his weapon possession convictions. Nor does he now challenge his conviction for bribery, premised on proof that, following his arrest, he offered police detectives substantial sums to destroy videotapes purportedly implicating him in the New York shootings. Defendant seeks relief only from those portions of the underlying judgment convicting him of attempted murder, assault and reckless endangerment.

At trial, defendant sought to portray his resort to deadly force as justified; he maintained that he fired at his four adversaries because they had surrounded him and were about to set upon him with razors.¹ This claim, his attorney argued, would have been objectively verified had the tape from a video surveillance camera periodically trained upon the location of the altercation been timely retrieved instead of having been left in the recording device and recorded over due to an unexplained oversight. Indeed, defendant's attorney was permitted to urge over the prosecutor's objection that the missing tape would have shown "a terrified [defendant]" attempting to escape his aggressors, and to express astonishment that "the one video that would

1. Defendant did not testify. He raised the claim that he had acted in self-defense during a video-recorded portion of his post-arrest interview entered in evidence by the prosecution.

show what happened”² had been lost by “the most powerful law enforcement agency in this country.” Counsel, however, did not request, as she could have, a charge permitting, but not requiring, the jury to infer that the content of the missing tape would not have been favorable to the prosecution. Defendant’s sole appellate contention is that the failure to ask for the charge rendered counsel’s representation constitutionally ineffective.

In the decision and order we now review pursuant to leave granted by a Judge of this Court (21 NY3d 1013 [2013]), the Appellate Division declined to afford defendant relief, both because the appellate record was, in its view, insufficient to exclude a strategic justification for a decision by counsel not to request a charge merely permitting an adverse inference, and in light of what the court understood to be the overwhelming evidence refuting defendant’s claim that his conduct had been justified (105 AD3d 431, 431-432 [2013]). We now affirm.

While it is not utterly implausible that defense counsel reasonably elected not to seek a permissive adverse inference charge after having been permitted, over the People’s objection, forcefully to argue that the missing evidence would certainly have substantiated her client’s contention that his conduct had been justified, defendant’s contention that he was ineffectively represented may for other reasons be more conclusively laid to rest.

It is well-established that the effectiveness of a representational effort is ordinarily assessed on the basis of the representation as a whole (*see Strickland v Washington*, 466 US 668, 687-688 [1984]; *People v Turner*, 5 NY3d 476, 480 [2005]; *People v Baldi*, 54 NY2d 137, 146-147 [1981]). One error—and only one is identified here—in the context of an otherwise creditable performance by counsel generally will not suffice in support of the conclusion that the representation was not “meaningful” (*see Baldi*, 54 NY2d at 147) or fell below the objective standard of reasonableness required by the Federal Constitution (*Strickland*, 466 US at 688). There are, of course, exceptional cases in which an error is so clear-cut, egregious and decisive that it will overshadow and taint the whole of the representation (*see People v Turner*, 5 NY3d at 480-481; and *see People v Caban*, 5 NY3d 143, 152 [2005]), but this is not that

2. Tapes were recovered from other surveillance cameras, but although they captured surrounding events they did not capture what transpired at the moment of the shootings.

rare sort of case. Allowing for argument's sake that counsel erred in omitting to request the charge, that lone error was not in the context of this prosecution sufficiently egregious and prejudicial to constitute a predicate for the relief now sought.

The entitlement to an adverse inference charge, such as the one defendant's attorney allegedly neglected to seek, was not conclusively established until 2013 when we decided *People v Handy* (20 NY3d 663 [2013]). It was in *Handy* that we first held such a charge to be mandatory upon request "when a defendant in a criminal case, acting with due diligence, demand[ed] evidence . . . reasonably likely to be of material importance, and that evidence ha[d] been destroyed by the State" (*id.* at 665). Before *Handy*, the availability of the charge was discretionary. At the time of defendant's trial, in 2009, competent counsel would naturally have seized upon the government's unexplained failure to preserve probably material evidence to encourage an inference adverse to the prosecution and favorable to her client, precisely as defendant's trial counsel did, but there was then no legal authority absolutely entitling her client to the judicial instruction she is now faulted for not having sought (*see Handy*, 20 NY3d at 669-670). Perhaps it was a mistake not to seek the charge, which likely would have been given as a matter of discretion, but if it was a mistake, it was not one so obvious and unmitigated by the balance of the representational effort as singly to support a claim for ineffective assistance.

More importantly, there is no reason to suppose that a *Handy*-type charge would have availed defendant. The jury was well aware that, as defense counsel had emphasized, the police had failed to preserve "the one video that would show what happened," but nonetheless rejected the argument specifically allowed by the trial court over the People's protest, that the tape would have proved that defendant only fired his gun to avoid being shredded by his assailants' razors. The reasons for this rejection are clear and, contrary to defendant's argument, bear no discernible relation to the prosecutor's summation remarks briefly urging the jury not to speculate, as it would have if, in accordance with a *Handy* charge, it had elected to draw an inference adverse to the prosecution, not from evidence but from its absence (*see Handy*, 20 NY3d at 669).

Although defendant claimed that his antagonists were armed, the video evidence that *was* presented at trial depicted one of defendant's adversaries a moment before the shootings with his arms extended at his sides and his palms open, and there was

no proof that razors or other weapons were found on or near the victims when they were attended soon after being shot. There was, in addition, forensic evidence that one of defendant's victims had been shot in the back while fleeing, a circumstance dramatically at odds with defendant's contention that he fired in self-defense. And, there was the evidence of defendant's conduct following the altercation—fleeing the jurisdiction and attempting to secrete evidence linking him to the shootings—which must have seriously undermined his claim of justification. Yet, perhaps most damaging to defendant's contention that the missing video would have borne out his assertion that he acted to defend himself, was the proof that he attempted to bribe the arresting officers to destroy videotapes the officers said they had of the altercation. Surely it was not lost upon the jury that defendant would not have sought the destruction of tapes of the incident—the very evidence he later complained was missing—if there had been reason to suppose that such evidence would substantiate his justification claim.

We do not exclude the possibility that, post-*Handy*, the failure to request a *Handy* charge could support an ineffective assistance claim. But the viability of such a claim, conditioned upon a demonstration of prejudice attributable to counsel's inadequacy (see *Strickland*, 466 US at 694; *People v Caban*, 5 NY3d at 155-156), would depend, in crucial part, upon facts making the adverse inference *Handy* merely makes available at least reasonably plausible. The present facts do not meet that condition. On this record, it cannot be said that there was even a reasonable possibility, much less a reasonable probability (see *Strickland*, 466 US at 694) that the jury, if offered the opportunity, would have elected to draw an inference adverse to the prosecution as to what the missing video would have shown.

Accordingly, the order of the Appellate Division should be affirmed.

Judges GRAFFEO, READ, SMITH, PIGOTT, RIVERA and ABDUS-SALAAM concur.

Order affirmed.

[20 NE3d 990, 996 NYS2d 210]

JOSEPH W. POWERS, by His Guardian ad Litem, WILLIAM T. POWERS, Appellant, v 31 E 31 LLC et al., Respondents.

Argued September 10, 2014; decided October 21, 2014

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered April 25, 2013. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, New York County (Anil C. Singh, J.; op 38 Misc 3d 1211[A], 2012 NY Slip Op 52429[U] [2012]), which had denied defendants' motion for summary judgment dismissing the complaint; and (2) granted the motion.

Powers v 31 E 31 LLC, 105 AD3d 657, reversed.

HEADNOTES

Negligence — Violation of Statutory Duty — Absence of Parapet or Railing on Edge of Setback Roof — Compliance with Applicable Building Codes

1. In a personal injury action arising from plaintiff's fall into an unguarded 25-foot-deep air shaft from a setback portion of a roof accessible through the window of a second-floor apartment of the 13-story building owned and managed by defendants, defendants were not entitled to summary judgment on the ground that the absence of a railing on the setback roof did not violate the applicable building regulations. In 1909, when the building was constructed, all exterior walls over 15 feet high—except where finished with gutters—were required to have two-foot parapet walls. If post-1968 alterations were made to the structure that, within a 12-month period, cost more than 60% of the building's value, the 1968 Building Code would govern the entire building (1968 Building Code of City of NY [Administrative Code of City of NY] § 27-115). The 1968 Code required that buildings more than 22 feet in height with roofs flatter than 20 degrees to the horizontal be provided with a parapet, railing or fence of a specific height (§ 27-334). Because the 1968 Code provides that words used in the singular include the plural, that the term "roof" refers to the topmost slab of a building, and that the term "building" must be construed as if followed by the phrase "or part thereof" (*id.* §§ 27-231, 27-232), the flat setback roof here, as the topmost slab of part of the building, would fall within the purview of section 27-334. Here, defendants submitted the affidavit of an engineer and a 1979 certificate of occupancy for the building. In the absence of the 1909 building plans, the engineer's assertion that the building was finished with gutters in 1909 was speculative. The engineer's opinion that the 1979 conversion did not require that the building be brought into compliance with the 1968 Code was based solely upon the estimated cost of the alterations cited in the permit application, without including the value of the building in 1979. Moreover, the certificate of occupancy itself was inadequate to establish that the setback roof fully complied with all code mandates on the date of its issuance or on the day of the accident.

Negligence — Foreseeability — Fall from Setback Roof Accessible by Apartment Window

2. In a personal injury action arising from plaintiff's fall into an unguarded 25-foot-deep air shaft from a setback portion of a roof accessible through the window of a second-floor apartment of the 13-story building owned and managed by defendants, defendants were not entitled to summary judgment on the ground that plaintiff's accident was not foreseeable. Landowners have a duty to exercise reasonable care in maintaining their property in a reasonably safe condition under the circumstances. In determining the existence and scope of the duty, courts must analyze the relationship of the parties, whether the plaintiff was in the zone of foreseeable harm, and whether the accident was within the reasonably foreseeable risks. Here, the focus was whether it was foreseeable that defendants' tenants and their guests would access the setback roof and be exposed to a dangerous condition from the absence of a railing or guard around the air shaft. The setback roof was only accessible through a window and was not an area included in the tenant's lease, no permission had been obtained for him to use it, and defendants denied prior knowledge of its use. However, the setback roof was flat and of sufficient size and length to comfortably permit several individuals to stand or walk on it, and neither plaintiff nor his friends had any difficulty exiting through the window. Moreover, the tenant testified that he had stepped onto the roof approximately 15 times in the two months preceding the accident and that there was evidence, in the form of litter on the roof, that the previous tenant had done the same. Thus, reasonable minds could differ as to whether plaintiff's use of the roof and his resulting fall were foreseeable.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Buildings §§ 5, 8, 10; AM JUR 2d, Negligence §§ 124–127; AM JUR 2d, Premises Liability §§ 35, 37, 654.
DOBBS LAW OF TORTS § 159.
NY JUR 2d, Buildings, Zoning, and Land Controls §§ 9, 16, 52; NY JUR 2d, Negligence §§ 13–15, 106–109.
NEW YORK LAW OF TORTS §§ 6:6, 7:8, 7:9.

ANNOTATION REFERENCE

See ALR Index under Buildings; Premises Liability; Roof.

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Database: NY-ORCS

Query: building /2 code reg! & roof /s railing parapet & f*ll

POINTS OF COUNSEL

Weitz & Luxenberg, P.C., New York City (*Alani Golanski, Lawrence Goldhirsch* and *Jonathan Sedgh* of counsel), for appellant.
I. The Appellate Division erred in holding that plaintiff's tragic

fall was unforeseeable “as a matter of law” and that defendants had no common-law duty to remedy the extreme hazard created by their oft-used roof surface. (*Gordon v American Museum of Natural History*, 67 NY2d 836; *Espinal v New York City Hous. Auth.*, 215 AD2d 281; *Lal v Ching Po Ng*, 33 AD3d 668; *Rhabb v New York City Hous. Auth.*, 41 NY2d 200; *Rosine v Richmond County Fed. Sav. & Loan Assn.*, 294 NY 682; *Martinez v White Cottage Enters.*, 2 AD3d 506; *Di Ponzio v Riordan*, 89 NY2d 578; *Larchmont Professional Fire Fighters Assn. v Larchmont/Mamaroneck Volunteer Ambulance Corps*, 206 AD2d 507.) II. The Appellate Division erred in holding that, as a matter of law, the 1979 certificate of occupancy both established the building’s characteristics in 1909, and excused dangerous statutory and regulatory height-related violations existing in 2008. (*Kellman v 45 Tiemann Assoc.*, 87 NY2d 871; *Slomin v Skaarland Constr. Corp.*, 207 AD2d 639; *Hayes v Texas Roadhouse Holdings, LLC*, 100 AD3d 1532; *Garrett v Holiday Inns*, 58 NY2d 253; *Cirino v Greek Orthodox Community of Yonkers*, 193 AD2d 576; *Clinton v McKeon*, 174 AD2d 153; *Matter of Schultz Mgt. v Board of Stds. & Appeals of City of N.Y.*, 64 NY2d 1057; *Pavon v 19th St. Assoc. LLC*, 17 Misc 3d 1125[A], 2007 NY Slip Op 52144[U]; *Pappalardo v New York Health & Racquet Club*, 279 AD2d 134.)

Herzfeld & Rubin, PC., New York City (Linda M. Brown and David B. Hamm of counsel), for respondents. I. The statutory claim must be dismissed because there was no requirement that the setback ledge have a parapet, railing or fence. (*Moynahan v City of New York*, 205 NY 181; *People ex rel. New York Cent. & Hudson Riv. R.R. Co. v Woodbury*, 208 NY 421; *People v Wright*, 86 NY2d 591; *People v Gruden*, 42 NY2d 214; *Ramos v Howard Indus., Inc.*, 10 NY3d 218; *Diaz v New York Downtown Hosp.*, 99 NY2d 542; *Wasson v Bond*, 80 AD3d 1114; *Feliz v Beth Israel Med. Ctr.*, 38 AD3d 396; *Hyman v Queens County Bancorp, Inc.*, 3 NY3d 743; *Matter of DeNicola v Scarpelli*, 154 AD2d 462.) II. In the absence of a statutory violation, the complaint must be dismissed. Defendants violated no common-law duty. In any event, the accident was not foreseeable, and plaintiff’s conduct was the superseding or sole proximate cause of his injuries. (*Matter of New York City Asbestos Litig.*, 5 NY3d 486; *Hamilton v Beretta U.S.A. Corp.*, 96 NY2d 222; *Purdy v Public Adm’r of County of Westchester*, 72 NY2d 1; *D’Amico v Christie*, 71 NY2d 76; *Pulka v Edelman*, 40 NY2d 781; *Di Ponzio v Riordan*, 89 NY2d 578; *Maria T. v New York Holding Co. Assoc.*, 52 AD3d 356, 11 NY3d 708; *Williams v Citibank*, 247 AD2d 49; *Gray v Forest City Enters.*, 244 AD2d 974; *Gross v Empire State Bldg.*

Assoc., 4 AD3d 45.) III. The complaint was properly dismissed as there is no proof of proximate causation. (*Morris v Solow Mgt. Corp. Townhouse Co., L.L.C.*, 46 AD3d 330; *McNally v Sabban*, 32 AD3d 340; *Jennings v 1704 Realty, L.L.C.*, 39 AD3d 392; *Witt v Hill St. Commercial, LLC*, 59 AD3d 217; *Lynn v Lynn*, 216 AD2d 194; *Noseworthy v City of New York*, 298 NY 76; *Kane v Estia Greek Rest.*, 4 AD3d 189; *Castore v Tutto Bene Rest. Inc.*, 77 AD3d 599; *Raghu v New York City Hous. Auth.*, 72 AD3d 480; *Reed v Piran Realty Corp.*, 30 AD3d 319.) IV. The alleged hazardous condition was open and obvious. (*Tagle v Jakob*, 97 NY2d 165; *Koval v Markley*, 93 AD3d 1171; *Peralta v Henriquez*, 100 NY2d 139; *Rivas-Chirino v Wildlife Conservation Socy.*, 64 AD3d 556; *Toes v National Amusements, Inc.*, 94 AD3d 742; *Rachlin v 34th St. Partnership, Inc.*, 96 AD3d 690; *Galindo v Town of Clarkstown*, 2 NY3d 633; *Mizell v Bright Servs., Inc.*, 38 AD3d 267.) V. Plaintiff does not fall within the classes provided special protection from height-related hazards.

Robert F. Danzi, New York City, for New York State Trial Lawyers Association, amicus curiae. I. Certificates of occupancy should not be deemed to immunize defendants from liability for harms caused by building hazards existing decades later. (*Garrett v Holiday Inns*, 58 NY2d 253; *Board of Mgrs., Fairview at Artist Lake, Condominium I v Fairview at Artist Lake*, 81 AD3d 768; *Cardiff v Carrier*, 79 AD3d 1626; *Cirino v Greek Orthodox Community of Yonkers*, 193 AD2d 576; *Santiago v United Artists Communications*, 263 AD2d 407; *Solomons v Douglas Elliman LLC*, 94 AD3d 468; *Hayes v Texas Roadhouse Holdings, LLC*, 100 AD3d 1532.) II. The constructive notice doctrine remains viable in New York and applies in this case. (*Gordon v American Museum of Natural History*, 67 NY2d 836; *Stewart v Sherwil Holding Corp.*, 94 AD3d 977; *Cusack v Peter Luger, Inc.*, 77 AD3d 785; *Hammond-Warner v United States*, 797 F Supp 207; *Negri v Stop & Shop*, 65 NY2d 625; *Haseley v Abels*, 84 AD3d 480; *Kelsey v Port Auth. of N.Y. & N.J.*, 52 AD2d 801; *LaPadula v J.A.A. Grocery Corp.*, 37 AD3d 237.) III. New York's solicitude for the welfare of citizens endangered by preventable height-related hazards also warrants reinstatement of plaintiff's complaint. (*Quigley v Thatcher*, 207 NY 66; *Koenig v Patrick Constr. Corp.*, 298 NY 313; *Rocovich v Consolidated Edison Co.*, 78 NY2d 509; *Adekanbi v Purdue Leasing Ltd. Liab. Co.*, 12 Misc 3d 1096; *Sizse v Wegmann*, 169 App Div 112.)

McGaw, Alventosa & Zajac, Jericho (*Dawn C. DeSimone* and *Andrew Zajac* of counsel), *Brian Rayhill*, Elmsford, *Rona L.*

Platt, Uniondale, *Brendan T. Fitzpatrick*, Garden City, and *Jonathan T. Uejio*, New York City, for Defense Association of New York, Inc., amicus curiae. I. The Appellate Division correctly ruled that this incident was unforeseeable as a matter of law, and this Court should affirm. (*Palsgraf v Long Is. R.R. Co.*, 248 NY 339; *Lewis v Metropolitan Transp. Auth.*, 99 AD2d 246, 64 NY2d 670; *Basso v Miller*, 40 NY2d 233; *Nallan v Helmsley-Spear, Inc.*, 50 NY2d 507; *Hubbell v City of Yonkers*, 104 NY 434; *Hamilton v Beretta U.S.A. Corp.*, 96 NY2d 222; *Blye v Manhattan & Bronx Surface Tr. Operating Auth.*, 124 AD2d 106, 72 NY2d 888; *Danielenko v Kinney Rent A Car*, 57 NY2d 198; *Greene v Sibley, Lindsay & Curr Co.*, 257 NY 190; *Derdarian v Felix Contr. Corp.*, 51 NY2d 308.) II. The Appellate Division correctly held that plaintiff failed to raise an issue of fact on his claim of statutory violations. (*Hyman v Queens County Bancorp, Inc.*, 3 NY3d 743; *Matter of DeNicola v Scarpelli*, 154 AD2d 462; *Matter of Di Pasquale v Haskins*, 25 AD2d 490; *Matter of Edwards v Murdock*, 283 NY 529; *Town of Union v Pallet Co.*, 50 AD2d 628; *Matter of Kayfield Constr. Corp. v Morris*, 15 AD2d 373; *Matter of Baumann & Sons Buses v Patchogue-Medford Union Free School Dist.*, 231 AD2d 566; *De Lancey v Piepgras*, 138 NY 26.) III. The arguments advanced by plaintiff and the New York State Trial Lawyers' Association based on Labor Law § 240 and window guard regulations are completely misplaced. (*Whelen v Warwick Val. Civic & Social Club*, 47 NY2d 970; *Stringer v Musacchia*, 11 NY3d 212.)

OPINION OF THE COURT

GRAFFEO, J.

In this negligence case where plaintiff fell off the setback roof of an apartment building, we conclude that defendants failed to demonstrate their entitlement to summary judgment on the grounds relied upon by the Appellate Division. We therefore reverse the Appellate Division order.

In the early morning hours of August 23, 2008, plaintiff Joseph W. Powers and several others, all of whom had been consuming alcohol, visited a friend's apartment located on the second floor of a 13-story apartment building in Manhattan. During the visit, the group stepped through a window in the apartment to access the adjacent roof-deck. The window opening was 17½ inches wide by 31 inches tall, and the flat roof area was approximately five feet wide and extended the length of the building above the first floor. This setback portion of the roof abutted the exterior wall and railing of a structure behind

the apartment building. In one area of the roof there was a 25-foot-deep air shaft situated between the two buildings. There was no railing, fence or parapet wall around the perimeter of the air shaft. The opening of the air shaft measured approximately six feet, four inches by eight feet, five inches.

Plaintiff and the others walked around the setback roof for a few minutes and then reentered the apartment through the window they had used earlier. After a time, the group realized that plaintiff was no longer with them. They undertook a search and discovered that plaintiff was lying unresponsive at the bottom of the air shaft. Apparently, plaintiff had re-exited the apartment through the window and fallen off the unguarded edge of the setback roof into the air shaft. As a result of this tragic accident, plaintiff sustained debilitating injuries.

In 2010, plaintiff, through his guardian ad litem William T. Powers, commenced this personal injury action against the owners and managers of the apartment building, defendants 31 E 31 LLC and B & L Management Co., Inc. Plaintiff alleged that defendants had created and maintained a dangerous condition and negligently caused his injuries by failing to install a railing, parapet wall or fence around the perimeter of the air shaft. In support of his negligence claim, plaintiff further asserted that the absence of a guardrail violated the Multiple Dwelling Law and New York City Building Code.

Defendants answered and, after discovery, moved for summary judgment dismissing the complaint, arguing primarily that plaintiff's accident was unforeseeable and that the 1968 and 2008 New York City Building Codes did not govern the condition of this particular roof because the construction of the apartment building predated those codes. Supreme Court denied defendants' motion, finding their proof insufficient to demonstrate that the building codes did not require a protective guard on the setback roof and holding that there were questions of fact concerning foreseeability (38 Misc 3d 1211[A], 2012 NY Slip Op 52429[U], *3-7 [Sup Ct, NY County 2012]). The court also rejected defendants' additional arguments that they could not be held liable on the basis that plaintiff had no memory of the accident and the air shaft was an open and obvious condition (*see* 2012 NY Slip Op 52429[U], *6-7).

The Appellate Division reversed and dismissed the complaint (105 AD3d 657 [1st Dept 2013]). The court found that the 1979 certificate of occupancy submitted by defendants demonstrated

that the building was grandfathered out of the 1968 and 2008 Building Codes and complied with the earlier regulations (*see id.* at 657-658). The court further concluded that defendants had no duty to mitigate the risk of an accident such as plaintiff's fall because, "given the nature and location of the setback, it was unforeseeable that individuals would choose to access it" (*id.* at 657). Because it disposed of the case on those grounds, the court did not reach defendants' alternative arguments.

We granted plaintiff leave to appeal (21 NY3d 863 [2013]) and now reverse.

The central issue before us is whether defendants' summary judgment proof was sufficient to refute plaintiff's allegations of negligence—more particularly, plaintiff's assertion that the building codes required the erection of a railing or parapet on the setback roof. Defendants argue that the building was exempted from the 1968 and 2008 Building Codes, relying on an exception contained in the code in effect when the building was constructed in 1909. According to defendants, their summary judgment proffers, which consisted primarily of an expert affidavit and a certificate of occupancy issued by the City, established that the 1909 exception applied and that subsequent alterations to the building did not require updated compliance. Alternatively, defendants claim that, even if the 1968 Building Code governs, it does not mandate that the setback roof have a protective guard.

Plaintiff counters that defendants failed to eliminate questions of fact concerning the applicability of the 1909 exception or whether the later conversion of the building to multiple dwelling use obligated defendants to bring the entire building into compliance with the 1968 Building Code. Plaintiff contends that, by granting defendants summary judgment, the Appellate Division assigned too much weight to the certificate of occupancy. We agree.

Under the Multiple Dwelling Law, every open roof area of a multiple dwelling erected or converted to residential use after April 18, 1929 must be protected by a parapet wall or guard railing unless the department charged with code enforcement deems such protection unnecessary (*see* Multiple Dwelling Law §§ 9 [2]; 62 [1]). The parties agree that under the building code in effect in 1909, all exterior walls over 15 feet high—except where finished with gutters—were required to have two-foot parapet walls extending above the roof (*see* L 1892, ch 275, § 15;

1906 Building Code of City of NY § 43; 1899 Building Code of City of NY § 43). This exclusion for walls finished with gutters was carried into subsequent building codes, which applied to new construction (*see* 1938 Building Code of City of NY [Administrative Code of City of NY] §§ C26-5.0, C26-444.0; 1916 Building Code of City of NY §§ 4, 259). Thus, if the setback roof in this case had gutters in 1909, the lack of a railing would not necessarily indicate a violation of the early codes.

By 1968, however, instead of excepting walls finished with gutters, the building code mandated that buildings which were “more than [22] feet in height and have roofs that are flatter than [20] degrees to the horizontal shall be provided with a parapet . . . railing[,] or fence” of a specific height (1968 Building Code of City of NY [Administrative Code of City of NY] § 27-334). The 2008 Building Code contains a similar requirement (*see* NY City Building Code [Administrative Code of City of NY, tit 28, ch 7] § BC 1509.8).

In light of these code provisions, we reject defendants’ claim that the 1968 and 2008 Building Codes require the installation of railings or parapets only on the highest roof of a building. Although the 1968 Building Code refers to a “parapet . . . railing[,] or fence” in the singular, it specifically provides that “words used in the singular include the plural, and the plural the singular” (1968 Building Code of City of NY [Administrative Code of City of NY] §§ 27-231, 27-334). The definition of “roof” in the 1968 Building Code refers to “[t]he topmost slab or deck of a building,” but the term “building” must be construed as if followed by the phrase “or part thereof” (*id.* § 27-232). As the setback roof is the topmost slab of “part of the building,” it falls within the purview of section 27-334 (*id.*). Furthermore, although section 27-334 provides that protective guards may be located six feet inward from the face of the exterior wall, this is not a mandatory condition (*see id.* § 27-334). Contrary to defendants’ contention, a setback roof that is less than six feet wide requires a protective guard and, consequently, if the 1968 Building Code applies, the absence of a parapet or railing on the edge of the setback roof may run counter to the requirements of the code.

Like its predecessors, the 1968 Building Code required existing buildings to conform to the new standards under certain circumstances (*see generally id.* subch 1, art 4). Here, the parties agree that the updated code governs the entire apartment building if post-1968 alterations were made to the structure that,

within a 12-month period, cost more than 60% of the building's value (*see id.* § 27-115). The 1968 Building Code also provides that alterations resulting in changes to the occupancy or use classification, or the conversion to multiple dwelling use, may require that the entire building comply with the updated code requirements, depending on whether public safety and welfare are endangered (*see id.* §§ 27-118, 27-120).

As the proponent of summary judgment, defendants bore the burden of “tendering sufficient evidence to demonstrate the absence of any material issues of fact” (*Alvarez v Prospect Hosp.*, 68 NY2d 320, 324 [1986]; *see Winegrad v New York Univ. Med. Ctr.*, 64 NY2d 851, 853 [1985]). Specifically, defendants needed to eliminate any doubt as to whether, under the foregoing regulatory scheme, the absence of a protective guard on the setback roof conformed to code. To that end, defendants should have established that the roof was finished with gutters in 1909 and that the 1979 conversion did not trigger an obligation to bring the entire building, including the unaltered setback roof, into compliance with the 1968 Building Code. In our view, defendants’ proof fell short in both respects.

In support of their motion, defendants submitted the affidavit of engineer Cornelius F. Dennis and a certificate of occupancy issued by the City in 1979. In the absence of the 1909 building plans, however, the engineer’s assertion that the building was finished with gutters in 1909 was speculative (*cf. Ramos v Howard Indus., Inc.*, 10 NY3d 218, 224 [2008]; *Diaz v New York Downtown Hosp.*, 99 NY2d 542, 544 [2002]). Although he opined that the 1979 conversion did not implicate section 27-115 or require that the building be brought into compliance with the 1968 Building Code, the engineer based his conclusion solely upon the estimated cost of the alterations cited in the permit application, without including the value of the building in 1979.¹ Dennis averred only that there was “no doubt in [his] mind” that the building was worth “some multiple of \$2,300,000.” These conclusory assertions are insufficient to demonstrate the

1. Under section 27-119 of the 1968 Building Code, the cost of making alterations for purposes of applying section 27-115 must be determined by adding the estimated cost of the proposed alterations to the actual cost of any and all alterations made in the past 12 months (*see* 1968 Building Code of City of NY [Administrative Code of City of NY] § 27-119). The value of the building must be calculated, at the applicant’s option, “on the basis of one and one-quarter times the current assessed valuation of the building, as adjusted by the current State equalization rate, or on the basis of the current replacement cost of the building” (*id.*).

absence of any material issue of fact (see *Vega v Restani Constr. Corp.*, 18 NY3d 499, 503 [2012]).

Nor does the 1979 certificate of occupancy satisfy defendants' burden to present a prima facie showing of entitlement to judgment as a matter of law, and our decision in *Hyman v Queens County Bancorp, Inc.* (3 NY3d 743 [2004]) does not hold otherwise. In *Hyman*, the plaintiffs bore the burden of establishing that the proffered building code provisions were in effect at the relevant time and that updated compliance was required because the plaintiffs had raised the building codes in opposition to the defendant's summary judgment proof, which had shown there was no defective or dangerous condition on the premises (see *id.* at 744-745). In light of the certificate of occupancy presented by the defendant, paired with the absence of any indication that the stairway was defective, or any evidence that the proffered codes applied, the plaintiffs in *Hyman* failed to raise a legitimate issue of fact to defeat summary judgment (see *id.*).

[1] In this case, it was defendants' burden to prove at the outset that the absence of a railing did not violate the building regulations (see *Lesocovich v 180 Madison Ave. Corp.*, 81 NY2d 982, 985 [1993] [holding that the *defendant* failed to establish that the updated building code did not apply]). On this record, defendants have not adequately demonstrated that the roof was finished with gutters in 1909, and the certificate of occupancy is inadequate to establish that the setback roof fully complied with all code mandates on the date of its issuance or 29 years later on the day of plaintiff's accident (see *Solomons v Douglas Elliman LLC*, 94 AD3d 468, 470 [1st Dept 2012]; see generally *Garrett v Holiday Inns*, 58 NY2d 253, 262-263 [1983]; see also NY City Construction Codes [Administrative Code of City of NY, tit 28, ch 1] § 28-118.1). Hence, under the circumstances of this case, issues of fact concerning the roof's compliance with the building codes remain.²

Plaintiff also argues that, under our holding in *Lesocovich v 180 Madison Ave. Corp.* (81 NY2d 982 [1993], *supra*), the Appellate Division erred in concluding that there are no triable

2. The record contains some indication that, in 1979, defendants elected to convert the building to multiple dwelling use under the 1968 Building Code. Plaintiff, however, makes no argument that this election necessarily required that unaltered parts of the building be brought into updated compliance pursuant to section 27-120 of the 1968 Code. Thus, we have no occasion to pass on that question.

questions of fact as to whether his accident was foreseeable. Defendants posit that holding them liable for plaintiff's injuries would require the imposition of a new duty of care, and they claim that *Lesocovich* is factually distinguishable. Defendants' arguments are unpersuasive.

It is well settled that, as landowners, defendants have "a duty to exercise reasonable care in maintaining [their] . . . property in a reasonably safe condition under the circumstances" (*Galindo v Town of Clarkstown*, 2 NY3d 633, 636 [2004]; see *Basso v Miller*, 40 NY2d 233, 241 [1976]). The existence and scope of this duty is, in the first instance, a legal question for the courts to determine by analyzing the relationship of the parties, whether the plaintiff was within the zone of foreseeable harm, and whether the accident was within the reasonably foreseeable risks (see *Sanchez v State of New York*, 99 NY2d 247, 252 [2002]; *Di Ponzio v Riordan*, 89 NY2d 578, 583 [1997]; *Palsgraf v Long Is. R.R. Co.*, 248 NY 339, 344 [1928] ["(t)he risk reasonably to be perceived defines the duty to be obeyed"], *rearg denied* 249 NY 511 [1928]).

The focus of our inquiry, therefore, is whether it was foreseeable that defendants' tenants and their guests would access the setback roof and be exposed to a dangerous condition from the absence of a railing or guard around the air shaft. In *Lesocovich*, the plaintiff fell off a setback roof while visiting a friend's apartment and alleged that the fall was due to the absence of a railing or parapet (see 81 NY2d at 983). As here, the setback roof was not an area included in the tenant's lease, no permission had been obtained for her to use it and the landlord denied prior knowledge of its use. Also, the roof in *Lesocovich* was similarly accessible only through a window (see *id.* at 983-984). In that case, we denied the defendant's summary judgment motion, holding that reasonable minds could disagree as to whether the plaintiff's use of the roof was foreseeable (see *id.* at 985).

[2] Although the roof in *Lesocovich* may have been more suitable to recreational use, here, the setback roof was flat and of sufficient size and length to comfortably permit several individuals to stand or walk on it. Access to the roof was easily obtained through the hallway window, and neither plaintiff nor his friends had any difficulty exiting. In *Lesocovich*, the plaintiff had to climb on furniture to reach the small window leading to the roof; yet we still held that a jury could find the tenant's use of the window to access the roof foreseeable (see *id.*). Here, the tenant of the apartment that plaintiff was visiting testified that

he had stepped onto the roof through the window approximately 15 times in the two months preceding the accident to smoke cigarettes and that the previous tenant had often done the same. According to the resident, evidence of this use was visible because cigarette butts and garbage littered the roof. On this record, as in *Lesocovich*, reasonable minds could differ as to whether plaintiff's use of the roof and his resulting fall were foreseeable, thereby precluding the grant of summary judgment to defendants on that ground.

Because we conclude that defendants failed to make a prima facie showing of entitlement to judgment as a matter of law with respect to whether the absence of a protective guard on the setback roof violated the building codes and whether the accident was foreseeable, we need not consider the sufficiency of plaintiff's opposing papers (*see Alvarez*, 68 NY2d at 324).

Accordingly, the order of the Appellate Division should be reversed, with costs, and the case remitted to the Appellate Division for consideration of issues raised but not reached on the appeal to that court.

Chief Judge LIPPMAN and Judges SMITH, PIGOTT, RIVERA and ABDUS-SALAAM concur with Judge GRAFFEO; Judge READ dissents and votes to affirm for the reasons stated in the memorandum of the Appellate Division (105 AD3d 657 [2013]).

Order reversed, with costs, and case remitted to the Appellate Division, First Department, for consideration of issues raised but not determined on the appeal to that court.

[21 NE3d 188, 996 NYS2d 559]

In the Matter of COLIN REALTY Co., LLC, Appellant, v TOWN OF
NORTH HEMPSTEAD et al., Respondents.

Argued September 10, 2014; decided October 16, 2014

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered June 5, 2013. The Appellate Division affirmed a judgment (denominated order) of the Supreme Court, Nassau County (Steven M. Jaeger, A.J.; op 2012 NY Slip Op 30483[U] [2012]), entered in a hybrid proceeding pursuant to CPLR article 78 and action for declaratory judgment, which had (1) denied the petition and dismissed the proceeding/action, and (2) declared that respondent Town of North Hempstead Board of Zoning and Appeals lawfully rendered the challenged determination granting the application of respondents Manhasset Pizza LLC and Fradler Realty Corporation for a conditional use permit and related area variances.

Matter of Colin Realty Co., LLC v Town of N. Hempstead, 107 AD3d 708, affirmed.

HEADNOTES**Municipal Corporations — Zoning — Variance — Area Variance from Off-Street Parking Requirements**

1. A zoning board of appeals should evaluate a request for a variance from the off-street parking requirements of a zoning ordinance by applying the standards for an area variance so long as the property is intended to be used for a purpose permitted in the zoning district. To the extent *Matter of Off Shore Rest. Corp. v Linden* (30 NY2d 160 [1972]) suggests otherwise, it should no longer be followed and is overruled.

Municipal Corporations — Zoning — Variance — Area Variance from Off-Street Parking Requirements

2. A zoning board of appeals should evaluate a request for a variance from the off-street parking requirements of a zoning ordinance by applying the standards for an area variance so long as the property is intended to be used for a purpose permitted in the zoning district. Use variance standards, which are harder to satisfy, should apply only if the variance is sought in connection with a use prohibited or otherwise not allowed in the zoning district. Accordingly, upon the request of respondent applicants for variances from the off-street parking and loading/unloading area requirements of the local town code in connection with their proposed change in the use of a building's storefront from a vacant retail gift shop to a restaurant, respondent town board of zoning and appeals properly considered the application as a request for area variances because both uses were permitted in the business zoning district in which the building was located. A "use variance" is statutorily defined as an

authorization for the use of land for a purpose that is otherwise not allowed or is prohibited by the applicable zoning regulations, whereas an “area variance” is statutorily defined as an authorization for the use of land in a manner that is not allowed by the dimensional or physical requirements of the applicable zoning regulations (General City Law § 81-b [1]; Town Law § 267 [1]; Village Law § 7-712 [1]). Off-street parking requirements, while differing depending on use, regulate how the property’s area may be developed, akin to minimum lot size or set-back requirements.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

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Policital Subdivisions §§ 190, 390; AM JUR 2d, Zoning
and Planning §§ 100, 120, 329, 361, 414, 714–715, 722–
725, 764–772, 776, 793.
CARMODY-WAIT 2d, Proceeding Against a Body or Officer
§§ 145:1427–145:1428, 145:1432, 145:1466, 145:1469–
145:1470, 145:1475.
MCKINNEY’S, General City Law § 81–b (1); Town Law § 267
(1); Village Law § 7–712 (1).
NY JUR 2d, Buildings, Zoning, and Land Control §§ 245,
360, 362, 365–367, 371, 376, 380–381, 385–386, 389–392,
394, 397, 400, 403, 420, 429, 448, 470, 491.
NEW YORK ZONING LAW AND PRACTICE (4th ed) §§ 7:45,
29:12, 29:15, 29:20, 30:7, 30:19.

ANNOTATION REFERENCE

Validity and construction of zoning regulations requiring
garage or parking space. 74 ALR2d 418.

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POINTS OF COUNSEL

Rosenberg Calica & Birney LLP, Garden City (Robert M. Calica and Judah Serfaty of counsel), for appellant. I. Use variances and not area variances were required. (*Babigian v Wachter*, 181 AD2d 640; *People v Taylor*, 9 NY3d 129; *Matter of Off Shore Rest. Corp. v Linden*, 30 NY2d 160; *Matter of Overhill Bldg. Co. v Delany*, 28 NY2d 449; *Matter of Fulling v Palumbo*, 21 NY2d 30; *Merrick Gables Assn. v Fields*, 143 AD2d 117; *Matter of Il Classico Rest. v Colin*, 254 AD2d 418; *Matter of Halperin v City of New Rochelle*, 24 AD3d 768; *Matter of Marro v*

Zoning Bd. of Appeals of City of Long Beach, 287 AD2d 506; *Matter of Board of Commrs. of Great Neck Park Dist. v Board of Zoning & Appeals of Town of N. Hempstead*, 188 AD2d 464.) II. The Town of North Hempstead Board of Zoning and Appeals' determination was otherwise arbitrary and capricious, an abuse of discretion, and irrational. (*Matter of Tall Trees Constr. Corp. v Zoning Bd. of Appeals of Town of Huntington*, 97 NY2d 86; *Matter of Zwitzer v Zoning Bd. of Appeals of Town of Canandaigua*, 74 NY2d 756; *Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222; *Matter of Gabrielle Realty Corp. v Board of Zoning Appeals of Vil. of Freeport*, 24 AD3d 550; *Leibring v Planning Bd. of Town of Newfane*, 144 AD2d 903; *Matter of Qing Dong v Mammina*, 84 AD3d 820; *Matter of Switzgabel v Board of Zoning Appeals of the Town of Brookhaven*, 78 AD3d 842; *Matter of Hampshire Mgt. Co. v Nadel*, 241 AD2d 496; *Matter of Preston v Board of Zoning Appeals of Town of N. Hempstead*, 229 AD2d 585.)

Amato Law Group, PLLC, Garden City (Simone M. Freeman and Megan F. Carroll of counsel), and Linda B. Zuech, Town Attorney, North Hempstead, for Town of North Hempstead and another, respondents. I. The lower court properly held that the variances sought for loading and unloading area and parking were properly treated as area variances. (*Matter of Off Shore Rest. Corp. v Linden*, 30 NY2d 160; *Matter of Overhill Bldg. Co. v Delany*, 28 NY2d 449; *Matter of Halperin v City of New Rochelle*, 24 AD3d 768, 6 NY3d 890; *Merrick Gables Assn. v Fields*, 143 AD2d 117, 73 NY2d 707; *Matter of Crossroads Recreation v Broz*, 4 NY2d 39; *Matter of North Shore Steak House v Board of Appeals of Inc. Vil. of Thomaston*, 30 NY2d 238; *Matter of Board of Commrs. of Great Neck Park Dist. v Board of Zoning & Appeals of Town of N. Hempstead*, 188 AD2d 464.) II. The Second Department properly determined that the Town of North Hempstead Board of Zoning and Appeals' decision granting the requested loading and unloading and parking variances is rational and supported by substantial evidence contained in the record. (*Matter of Halperin v City of New Rochelle*, 24 AD3d 768; *Matter of Cowan v Kern*, 41 NY2d 591; *Matter of Genser v Board of Zoning & Appeals of Town of N. Hempstead*, 65 AD3d 1144; *Matter of Pecoraro v Board of Appeals of Town of Hempstead*, 2 NY3d 608; *Matter of Frank v Zoning Bd. of Town of Yorktown*, 82 AD3d 764; *Matter of Ferencik v Zoning Bd. of Appeals of Town of Oyster Bay*, 74 AD3d 807; *Matter of Goldberg v Zoning Bd. of Appeals of City of Long Beach*, 79 AD3d 874; *Mat-*

ter of Gebbie v Mammina, 13 NY3d 728; *Matter of Sasso v Osgood*, 86 NY2d 374; *Matter of Genser v Board of Zoning & Appeals of Town of N. Hempstead*, 65 AD3d 1144.)

Albanese & Albanese LLP, Garden City (Bruce W. Migatz of counsel), for Manhasset Pizza LLC and another, respondents. I. The Town of North Hempstead Board of Zoning and Appeals properly treated the parking and loading zone variances as area variances. (*Matter of Off Shore Rest. Corp. v Linden*, 30 NY2d 160; *Matter of Overhill Bldg. Co. v Delany*, 28 NY2d 449; *Matter of Fulling v Palumbo*, 21 NY2d 30; *Matter of Otto v Steinhilber*, 282 NY 71; *Matter of Syracuse Aggregate Corp. v Weise*, 51 NY2d 278; *Matter of Nadell v Horsley*, 264 AD2d 422; *Incorporated Vil. of Laurel Hollow v Owen*, 247 AD2d 585; *Matter of Bohner v Casatelli*, 38 AD3d 1230; *Village of Valatie v Smith*, 190 AD2d 17; *Matter of Village of Bronxville v Francis*, 1 AD2d 236, 1 NY2d 839.) II. The Town of North Hempstead Board of Zoning and Appeals' decision granting the area variances for parking and loading zone is supported by the record. (*Conley v Town of Brookhaven Zoning Bd. of Appeals*, 40 NY2d 309; *Matter of Ifrah v Utschig*, 98 NY2d 304; *Matter of Pecoraro v Board of Appeals of Town of Hempstead*, 2 NY3d 608; *Matter of Retail Prop. Trust v Board of Zoning Appeals of Town of Hempstead*, 98 NY2d 190; *Matter of P.M.S. Assets v Zoning Bd. of Appeals of Vil. of Pleasantville*, 98 NY2d 683; *Matter of Halperin v City of New Rochelle*, 24 AD3d 768, 7 NY3d 708; *Matter of Toys "R" Us v Silva*, 89 NY2d 411; *Matter of Cowan v Kern*, 41 NY2d 591; *Matter of Von Kohorn v Morrell*, 9 NY2d 27; *Matter of Mobil Oil Corp. v Oaks*, 55 AD2d 809.) III. The Town of North Hempstead Board of Zoning and Appeals (ZBA) properly refused to consider the objections by local property owners and businesses submitted in a petition to the ZBA subsequent to the closing of the public hearing. (*Matter of Hampshire Mgt. Co. v Nadel*, 241 AD2d 496; *Matter of Stein v Board of Appeals of Town of Islip*, 100 AD2d 590; *Matter of Franklin Sq. Donut Sys., LLC v Wright*, 63 AD3d 927, 14 NY3d 711; *Matter of Metro Enviro Transfer, LLC v Village of Croton-on-Hudson*, 5 NY3d 236; *Matter of Pecoraro v Board of Appeals of Town of Hempstead*, 2 NY3d 608.)

OPINION OF THE COURT

READ, J.

This appeal calls upon us to revisit our decisions in *Matter of Overhill Bldg. Co. v Delany* (28 NY2d 449 [1971]) (*Overhill*)

and *Matter of Off Shore Rest. Corp. v Linden* (30 NY2d 160 [1972, Scileppi, J., dissenting]) (*Off Shore*), which both dealt with variances from the off-street parking requirements of zoning ordinances. We now hold that a zoning board of appeals should evaluate requests for off-street parking variances by applying the standards for an area variance so long as the property is intended to be used for a purpose permitted in the zoning district. To the extent *Off Shore* suggests otherwise, it should no longer be followed and is overruled.

I

On February 4, 2011, Manhasset Pizza LLC (Manhasset Pizza) and Fradler Realty Corporation (Fradler) (collectively, the applicants) sought approval from the Town of North Hempstead Board of Zoning and Appeals (the ZBA or the Board) to place a 45-seat, full-service, dine-in restaurant in a storefront situated on Plandome Road in Manhasset, New York. Vacant since 2007, this storefront had most recently housed a retail gift shop; it is one of five storefronts in a one-story brick building constructed by Fradler in 1939 on property purchased the previous year. Restaurants are permitted in the Business A district in which the building is located, subject to the issuance of a conditional use permit.

In 1939, the Code of the Town of North Hempstead (the Town Code) did not obligate Fradler to provide off-street parking or loading/unloading areas for the building. By 2011, however, the Town Code imposed off-street parking requirements and standards throughout the Town. Specifically, the Town Code called for the restaurant, as proposed, to supply 24 off-street parking spaces (one space per every four seats for patrons, plus additional spaces as specified in the Code to account for employees and takeout service) and one off-street loading/unloading area. Two metered municipal parking lots are located near the property, and there is on-street parking along Plandome Road.

The ZBA held a hearing on the application on March 23, 2011. By decision dated and adopted on May 25, 2011, the Board granted the conditional use permit, subject to certain conditions, and the requested variances. Treating the application as a request for area variances, the Board concluded that the benefit to the applicants of granting variances from the Town Code's parking and loading/unloading restrictions outweighed the detriment imposed on the community (*see* Town Law § 267-b [3] [b]). The Board noted that “[t]he subject storefront is located in

a preexisting non-conforming building . . . originally developed with no parking[;] [therefore,] [a] parking variance is necessary to operate any business at the premises.” Additionally, the parking analysis submitted by the applicants’ traffic engineer indicated that “ample, if not excess, parking” was available in the vicinity. The ZBA observed further that a restaurant was “in harmony with the surrounding properties” and “consistent with the character of the community,” which predominantly consisted of retail, office and food uses.

On June 23, 2011, Colin Realty Co., LLC (Colin), the owner of a multi-tenant retail building next to the Fradler property, commenced this hybrid CPLR article 78 proceeding/declaratory judgment action against the Town of North Hempstead (the Town), the ZBA, certain members of the ZBA, Manhasset Pizza, and Fradler. Colin sought to annul the ZBA’s determination and obtain a judgment declaring, in effect, that the proposed restaurant required a use rather than an area variance from the Town’s parking and loading/unloading restrictions. The petition/complaint alleged that existing public parking was “overwhelmed” and inadequate to accommodate the applicants’ proposed “high volume use.”

On February 14, 2012, Supreme Court denied the petition and dismissed the proceeding/action on the merits, concluding that the ZBA had “rationally engaged in the statutorily mandated balancing test by . . . weighing the benefit to the applicant against the detriment to the health, safety and welfare of the neighborhood or community if the variance is granted” (2012 NY Slip Op 30483[U], *10 [Sup Ct, Nassau County 2012] [internal quotation marks omitted]). Citing *Overhill* and appellate cases following *Overhill*’s reasoning, the judge rejected Colin’s argument that use variances were necessary to excuse the applicants from complying with the Town Code’s provisions for off-street parking and loading/unloading. And the court agreed with the applicants that a use variance was not necessary for the conditional use permit because “the proposed restaurant was not a non-conforming and/or prohibited use within the meaning of the Town Code” (*id.* at *14). Indeed, the judge added, since restaurants were conditionally permitted in the zoning district, they were “deemed presumptively consistent with the basic character of the surrounding community” (*id.*).

Colin appealed, and on June 5, 2013, the Appellate Division affirmed. Relying on *Overhill* and several of its own prior decisions, the court held that the “ZBA properly determined that

the variances pursuant to which Manhasset Pizza sought relief from the parking and loading-zone requirements were to be treated as applications for area variances under the scheme of the Town Code” (107 AD3d 708, 709 [2d Dept 2013]). Further, “[i]nasmuch as the ZBA balanced and weighed the appropriate statutory factors, and based its findings on objective facts appearing in the record, its determination to grant the requested area variances was rational and not arbitrary and capricious” (*id.* at 710). The Appellate Division considered Colin’s remaining contentions to be without merit. We granted Colin permission to appeal on September 3, 2013 (21 NY3d 864 [2013]), and now affirm.

II

Town Law § 267 (1) defines and distinguishes between area and use variances as follows:

“(a) ‘Use variance’ shall mean the authorization by the zoning board of appeals for the use of land *for a purpose which is otherwise not allowed or is prohibited* by the applicable zoning regulations.

“(b) ‘Area variance’ shall mean the authorization by the zoning board of appeals for the use of land *in a manner which is not allowed by the dimensional or physical requirements* of the applicable zoning regulations” (emphases added; *see also* Village Law § 7-712 [1]; General City Law § 81-b [1]).

To obtain a use variance, the applicant must demonstrate to the zoning board of appeals that “applicable zoning regulations and restrictions have caused unnecessary hardship” (Town Law § 267-b [2] [b]). This imposes a heavy burden on the applicant, who must establish that

“for each and every permitted use under the zoning regulations for the particular district where the property is located, (1) the applicant cannot realize a reasonable return, provided that lack of return is substantial as demonstrated by competent financial evidence; (2) that the alleged hardship relating to the property in question is unique, and does not apply to a substantial portion of the district or neighborhood; (3) that the requested use variance, if granted, will not alter the essential character of the neighborhood; and (4) that the alleged hardship

has not been self-created” (*id.*; *see also* Village Law § 7-712-b [2]; General City Law § 81-b [3]).

In making a determination whether to grant an area variance, the zoning board of appeals must “take into consideration the benefit to the applicant if the variance is granted, as weighed against the detriment to the health, safety and welfare of the neighborhood or community by such grant” (*id.* § 267-b [3] [b]). To make this determination, the board weighs

“(1) whether an undesirable change will be produced in the character of the neighborhood or a detriment to nearby properties will be created by the granting of the area variance; (2) whether the benefit sought by the applicant can be achieved by some method, feasible for the applicant to pursue, other than an area variance; (3) whether the requested area variance is substantial; (4) whether the proposed variance will have an adverse effect or impact on the physical or environmental conditions in the neighborhood or district; and (5) whether the alleged difficulty was self-created, which consideration shall be relevant to the decision of the board of appeals, but shall not necessarily preclude the granting of the area variance” (*id.*; *see also* Village Law § 7-712-b [3]; General City Law § 81-b [4]).

We have not discussed the classification of variances from off-street parking requirements since our decisions in *Overhill* and *Off Shore*, handed down in 1971 and 1972 respectively, or 20 years *before* the definitions of and criteria for evaluating use and area variances were regularized by statute, as described above (*see* L 1991, ch 692 [eff July 1, 1992]; *see also* L 1992, ch 248; L 1993, ch 208 [eff July 1, 1994]). The distinction between the two types of variance, initially created by decisional law, has always been important, as the pre-1992 standard for a use variance was, as remains the case under statute, clearly harder to satisfy than the test for an area variance, although the latter was plagued by confusing and often contradictory decisions. As we explained in *Matter of Sasso v Osgood* (86 NY2d 374, 381 [1995] [citations omitted]),

“[w]ithout any legislative guidance defining the requirements for an area variance, the courts began to develop a list of considerations to be applied under Town Law former § 267 . . . [T]hese criteria

came to be known as the ‘practical difficulties’ test. The criteria notwithstanding, however, precise and concise definition of ‘practical difficulties’ never emerged from the case law. In particular, it remained unclear whether a showing of ‘significant economic injury’ was part of the ‘practical difficulties’ test.”

Matter of Fulling v Palumbo (21 NY2d 30 [1967]), which figured prominently in *Overhill* and *Off Shore*, articulated the “significant economic injury” test. In *Matter of Doyle v Amster* (79 NY2d 592, 596 [1992]), we partially overruled *Fulling*, which was subsequently fully superseded by statute (*see Sasso*, 86 NY2d at 383 [chapter 692 of the Laws of 1991 establishes the criteria for an area variance, and applicants no longer “need (to) show ‘practical difficulties’ as required under Town Law former § 267 and prior case law”]).

Here, Colin faults the lower courts for relying on *Overhill*, and claims that *Off Shore* (which both those courts cited, preceded by the signal “*cf.*”) obligated the Board to apply the criteria for a use variance when considering whether to grant the applicants’ request for relief from the Town Code’s parking and loading/unloading restrictions. Colin claims this is the case because *Off Shore* “laid down the rule that the determinative factor . . . is whether the local code imposes the off-street parking requirement based on area/square footage [calling for an area variance] or based on the intensity of the use [calling for a use variance].”¹ We turn first, then, to an examination of *Overhill* and *Off Shore*.

Overhill

In *Overhill*, a four-story building, located in a Business A district in the Village of Scarsdale, was completed in early 1955 as part of a combination office and apartment structure. At the time of the structure’s construction, local zoning regulations did not mandate off-street parking for office buildings, although an indoor parking garage was built, in part, it would appear, to comply with then-applicable parking requirements for apartment houses. This garage occupied the structure’s entire basement and part of the ground floor of the office building. The

1. The Town Code’s off-street loading/unloading requirements are based on area/square feet; i.e., one loading area for each 10,000 square feet for retail/warehouse uses, and one loading area for each 40,000 square feet for office/hotel/all other business uses. Thus, even under Colin’s reading of *Off Shore*, the ZBA properly applied the test for an area variance to the applicants’ request for a variance from off-street loading/unloading requirements.

zoning ordinance was subsequently amended to require one off-street parking space for each 150 square feet of floor area of buildings used for (non-retail) business purposes and existing prior to November 1, 1959. The parking garage in the basement and ground floor of the office building supplied fewer spaces (117) than the amendment called for (306).

In 1970, Overhill Building Company (Overhill), the office building's owner,² applied for a permit to convert a portion of existing ground-floor garage space to business office use, thereby reducing the size of the garage. The building inspector denied the permit on the ground that the proposed modification did not comply with zoning regulations. Overhill then filed an appeal or application for variance with the zoning board of appeals.

At the ensuing hearing, Overhill submitted proof that the alteration would yield an additional \$25,000 in annual income (the New York Telephone Company had essentially signed up to lease the new office space to be created); that the garage had never been occupied to its full capacity and would continue to be adequate even after completion of the alterations (this was apparently not disputed); and that none of the buildings in the district complied with the ordinance's parking regulations (also undisputed). In its findings of fact, the zoning board of appeals determined that the requested variance, if approved, would require an additional 12 parking spaces and would also reduce the existing garage area by 12 spaces. The board therefore denied the application, reasoning that the requested variance would enlarge a nonconforming use and that the hardship, being self-created, was not entitled to relief.

Overhill commenced a CPLR article 78 proceeding against the zoning board of appeals and the building inspector, seeking to annul the board's determination and compel issuance of the requested building permit. Supreme Court concluded that because Overhill asked for a building permit to convert garage space to office space, a use permitted in the district, the variance sought was properly treated as an area rather than a use variance. Applying *Fulling*, the judge decided that Overhill was entitled to the area variance and issuance of the building permit. The Appellate Division affirmed without opinion, with two Jus-

2. By this time, the apartment house was under separate ownership; however, entry to the apartment building's basement garage was via the office building's basement garage.

tices dissenting (*Matter of Overhill Bldg. Co. v Delany*, 35 AD2d 1012 [2d Dept 1970]).

On appeal to us, the zoning board of appeals contended that the lower courts had “erroneously treated [the] litigation as a matter involving an area variance,” and urged us to “adopt the view that [Overhill] sought a use variance and . . . since the law does not generally sanction enlargements of nonconforming uses, no variance should be granted” (*Overhill*, 28 NY2d at 453 [citation omitted]). We disagreed, explaining that

“when courts are faced with applications for variances from zoning regulations which prescribe the number of off-street parking spaces required for a building, the rules relating to area variances obtain . . . In the present case [Overhill] is seeking to convert . . . garage space to office space, which is a permitted use. Consequently, while the change in this case is not strictly one of area, the variance is to be treated as an area variance . . . Stated differently, [Overhill’s] proposed alteration would conform to approved uses for Business A zones. However, since it is governed by an off-street parking requirement, a limitation on floor area, cases such as *Matter of Otto v Steinhilber* [(282 NY 71 [1939] [articulating criteria for obtaining a use variance])], are inapposite and the instant controversy must be resolved according to the law of area variances” (*id.* at 453-454).

We nonetheless reversed, based on application of *Fulling*, which held that “although financial hardship may satisfy the property owner’s initial burden, once the zoning authorities show that the ordinance promotes public health, safety or welfare, mere financial loss is insufficient to require a variance” from area restrictions (*id.* at 454). While Overhill had met its initial burden (“significant economic injury” as articulated in *Fulling*), the purpose of the parking regulations was to promote public safety by relieving traffic congestion, and the zoning authorities could have “reasonably determine[d] that further increases in the amount of square feet devoted to business use would be likely to result in traffic problems” (*id.* at 457). As a result, we opined, the zoning board of appeals’ decision to deny the variance could “only be considered arbitrary if the hardship caused deprive[d] the property owner of any use of the property to which it [was] reasonably adapted [and] mere financial loss

[was not] hardship within the meaning of this rule” (*id.*). Here, all Overhill had shown was “mere financial loss”—i.e., \$25,000 in lost rental income; it had “not been deprived of the use of its property [which] remain[ed] a valid apartment and business use” (*id.*).

Off Shore

In January 1969, Off Shore Restaurant Corporation (Off Shore), which operated a cocktail lounge in leased premises in the City of Long Beach, purchased nearby property, a parcel measuring 40 feet by 90 feet and virtually entirely occupied by a building with a store in front and an apartment in back. At the time, the store was a delicatessen and restaurant with seating capacity for approximately 62 people, which had been in business at that location for about 12 years. Off Shore intended to open and operate a restaurant and cocktail lounge in the building.

The building was situated in a Business B district; when it was erected in 1922, zoning regulations did not mandate off-street parking and none was provided. By the 1950s, though, the local municipal code mandated minimum off-street parking in all zoning districts in connection with the “alteration, erection or increase by units or dimensions of any building or structure.” For “restaurants, night clubs, tea rooms, lunch counters or the like,” the code required one off-street parking space for each four seats, plus such additional spaces for employee parking as the building commissioner deemed necessary. The code also specified in a related section that “[w]henever there is a change in the number of employees or business visitors or in the lawful use of the premises or in any other unit of measurement specified” for off-street parking requirements, and the change created a need to increase the number of spaces by more than 15%, this additional off-street parking had to be provided.

In December 1969, Off Shore applied to the building commissioner for a permit to allow it to remodel the building’s interior by installing wall paneling, new kitchen equipment and a bar, and modernizing the bathrooms. No structural changes or additions were contemplated; the building’s layout was to remain the same. Off Shore planned to increase restaurant seating capacity from 62 to 85, though. The commissioner denied the permit upon the ground that Off Shore’s proposed alterations were subject to and did not comply with the code’s parking regulations, described above.

Off Shore appealed, and also applied to the zoning board of appeals for permission to alter the premises for use as a restaurant and/or cocktail lounge or, in the alternative, for a waiver of the off-street parking requirements. Off Shore made two arguments; first, that the code exempted nonconforming buildings from the parking restrictions so long as no structural alterations were made or additions built and the intended use was permitted in the district; second, that, in any event, it had made a showing of practical difficulties, justifying an area variance. With respect to the first argument, Off Shore relied on the code's saving provision.

The zoning board of appeals determined that the zoning ordinance obligated Off Shore to provide off-street parking space for 24 cars, and denied the application. The findings of fact emphasized that Off Shore's building abutted a heavily traveled thoroughfare near a residential district, and that the use of the premises for a restaurant and cocktail lounge without off-street parking threatened to exacerbate existing traffic congestion and the shortage of available parking spots. Additionally, the board opined that Off Shore had submitted no evidence to justify the granting of a variance, and that "practical difficulties and unnecessary hardships would not result in carrying out the strict letter of the ordinance."

Off Shore commenced a CPLR article 78 proceeding against the building commissioner and the zoning board of appeals, seeking to compel the commissioner to issue a building permit that did not mandate compliance with the code's parking regulations, and to annul the board's determination to the extent it affirmed the commissioner's decision and denied Off Shore's application for a variance. Supreme Court sided with Off Shore. The judge held that the building was exempt from the code's parking regulations because its contemplated use was not prohibited in the zoning district and no structural additions or alterations were to be made. The Appellate Division affirmed without opinion, with two Justices dissenting (*Matter of Off Shore Rest. Corp. v Linden*, 36 AD2d 948 [2d Dept 1971]).

On appeal to us, Off Shore again urged principally that its proposed alterations were exempt from the code's parking restrictions by virtue of the saving provision. We reversed, with one Judge dissenting, holding that

“[t]he seating capacity of the proposed cocktail lounge would be over 15% greater [than the capacity

of the preexisting delicatessen-restaurant], thus triggering a zoning provision applicable to pre-existing uses, requiring additional off-street parking. Denial of a variance was not arbitrary since there remained a reasonable use of the property” (*Off Shore*, 30 NY2d at 162-163).

The majority considered Off Shore’s interpretation of the saving provision to be incompatible with the code’s general provisions regulating changes in use and issuance of use permits, which forbade use of any building that had been altered or erected or a change in the use carried out in a building absent a use permit; and specified that a use permit would not be issued unless the building and use complied with all code requirements. According to the majority, these provisions “clarif[ied] any ambiguities” in the saving provision and mandated “complete conformity” with the code, including its parking regulations, whenever any change in use occurred, even a change between uses permitted in the zoning district, as happened here (*id.* at 166). The increase in seats from 62 to 85 (not including new accommodations at the bar) exceeded the ordinance’s 15% threshold, triggering the need, the majority estimated, for approximately eight additional off-street parking spots. Since Off Shore’s application did not provide for any off-street parking, the zoning authorities had properly denied the permit.

The majority then turned to Off Shore’s request, in the alternative, for a variance. Observing as an initial matter, that “standards governing the zoning board’s discretion to grant or deny variances are found in case law,” the majority acknowledged that parking restrictions involve both use and area (*id.* at 168). In the paragraph that lies at the heart of the dispute in this case, the *Off Shore* court continued as follows:

“To be sure, off-street parking restrictions do not fall easily into either classification; hence, the divergence among the cases. Parking restrictions are an adjunct restriction sometimes tied to a use and at other times to an area restriction, generally depending upon the problem created by the use or the limited area involved. On this view, in determining the rules to govern variance from parking restrictions one should look to the reasons for the restrictions and then adapt rules applicable to use or area variances, whichever best meets the problem. Illustratively, a parking restriction may be required

because the building lots are too small, or on the other hand, because the use of the building regardless of lot size will cause many vehicles to be brought to the site. Most often, the parking restriction will relate to uses, and the ordinance by requiring off-street parking for certain uses by a stated formula will so indicate, as in this case. In others, the parking restriction may be related by the ordinance to the area. That was the situation in [*Overhill*] where the requirement for off-street parking was defined in terms of the office space available in the subject building. The *Overhill* court, looking to [*Fulling*], with some qualifications it is true, applied rules applicable to area variances but also spoke of the test as one which was not met unless the owner was left with no reasonable use for his property. In this case, applying the rules applicable to use variances and in accord with the analysis in the *Overhill* case, it is material that [Off Shore] has made no showing that the property cannot yield a reasonable return without increasing the burden on street parking in violation of . . . the zoning ordinance. Indeed, there is no indication that the present use of the property as a delicatessen is not profitable. No hardship is shown except that a desired expansion is not available, and that is exactly what the policy in terminating nonconforming uses is designed to control” (*id.* at 169-170).

The dissenting Judge was not persuaded that “a permit should not issue simply because of a technical change from a delicatessen to a liquor-dispensing restaurant, even though both are permitted uses in the business zone” (*id.* at 170). He agreed with the courts below that absent an addition or structural alteration of the building, Off Shore’s proposed use was exempt from the code’s parking restrictions. The dissenting Judge then added that, if he could agree that the code’s off-street parking provisions did, in fact, apply to Off Shore, he would conclude that the zoning board of appeals had properly denied the variance, apparently based on *Overhill* (which he had authored) and *Fulling*. He chided his colleagues, however, for seeming to “retract from . . . [*Overhill*] where [the Court] recently postulated that off-street parking requirements take on the semblance of limitations on area and as such must be resolved according to that body of law” (*id.* at 170-171).

III

Colin bases its entire case on the paragraph from *Off Shore* quoted in full above. While far from clear, that paragraph, read in the context of the *Overhill* and *Off Shore* decisions, seems to say the following:

1. A parking restriction may relate to use or to area in the particular locality, depending upon “the problem created by the use or the limited area involved.”

2. In determining whether a variance from an off-street parking requirement is an area or use variance, “one [must] look to the reasons for the restrictions and then adapt rules applicable to use or area variances, whichever best meets the problem.” “One” seems to refer to the zoning authorities, but may also refer to a court attempting to glean the zoning authorities’ intent. In *Off Shore* itself, the majority interpreted the code to require a use permit for *any* change in use, even a change from one to another permitted use, and to obligate the applicant for such a use permit to comply with *all* code requirements in effect at the time of the application. Thus, the majority seems to have reasoned that this particular locality, by including especially stringent use permit provisions in its code, expressed a strong policy preference to speed up elimination of nonconforming uses, a goal “best [met]” or fulfilled by treating variances from off-street parking requirements as use rather than area variances.

3. In any event, the “reasons for the restrictions” will generally be apparent from the face of the ordinance, as the restriction will either relate to use, by stating a formula for certain uses (as in *Off Shore*); or, contrariwise, to area, by defining the restriction in terms of the space in the building (as in *Overhill*).

4. Even though the *Overhill* court considered the parking restriction to be an area variance, it held that the variance was properly denied because, applying the *Fulling* test, the owner (*Overhill*) could not show that it was “left with no reasonable use for [its] property.”

5. Whether applying the “rules applicable to use variances” (at the time, the undue hardship rule as articulated in *Steinhilber*) or “the analysis of *Overhill*” (the *Fulling* test), *Off Shore* did not make the showing necessary for a variance from the code’s off-street parking requirements.

[1] This exegesis prompts several thoughts. First, since *Off Shore* was not entitled to a variance even under the more lenient

test for an area variance, everything the majority in *Off Shore* said about use variances was extraneous to the decision and might be considered dictum. But these remarks were not unconsidered. To the contrary, the majority seems to have gone out of its way to try to narrow the Court's then very recent decision in *Overhill*, as the dissenting Judge complained. In any event, the distinctions that the *Off Shore* majority sought to make are illusory. Off-street parking requirements are routinely tied to and vary with a use. In *Overhill*, the use was a (non-retail) business; in both *Off Shore* and this case, the use was a restaurant. And parking restrictions are generally amenable to expression in terms of either a formula or space, or some combination thereof. For example, here the Town Code called generally for a restaurant to provide one off-street parking space for every four seats for patrons; but the limitation could just as easily have been formulated in terms of one parking spot for every so many square feet of floor area devoted to patron use.

[1, 2] Finally, and whether dictum or not, *Off Shore*'s declarations about use variances for off-street parking requirements have effectively been superseded by statute. Off Shore requested a building permit to make alterations in connection with a proposed change from one use permitted in the zoning district (delicatessen and restaurant) to another (cocktail lounge and restaurant). But as of July 1, 1994, General City Law § 81-b (1) has defined a "use variance" as an authorization for the use of land for a purpose "otherwise not allowed or . . . prohibited" in the zoning district; and an "area variance" as an authorization to use land "in a manner which is not allowed by the dimensional or physical requirements" of the zoning regulations (*see also* Town Law § 267 [1]; Village Law § 7-712 [1]). Off-street parking requirements, while differing depending on use, regulate how the property's area may be developed, akin to minimum lot size or set-back restrictions. Accordingly, area variance rules apply to requests to relax off-street parking requirements so long as the underlying use is permitted in the zoning district; use variance rules prevail only if the variance is sought in connection with a use prohibited or otherwise not allowed in the district (*see generally* Terry Rice, Practice Commentaries, McKinney's Cons Laws of NY, Book 61, Town Law § 267-b at 294-295).

[2] In this case, Manhasset Pizza and Fradler applied for an off-street parking variance in connection with a change in the storefront's use from a retail gift shop to a restaurant. Because

both uses are permitted in the zoning district, the ZBA properly considered the application as a request for an area variance. We have reviewed Colin's remaining arguments and consider them to be without merit.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge LIPPMAN and Judges GRAFFEO, SMITH, PIGOTT, RIVERA and ABDUS-SALAAM concur.

Order affirmed, with costs.

[21 NE3d 200, 996 NYS2d 571]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v EARL
COLEMAN, Respondent.

Argued September 10, 2014; decided October 16, 2014

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the Third Judicial Department, from an order of that Court, entered August 1, 2013. The Appellate Division (1) reversed, on the law, an order of the Sullivan County Court (Frank J. LaBuda, J.), which had denied defendant's motion for resentencing pursuant to CPL 440.46, and (2) remitted the matter to County Court for further proceedings not inconsistent with the Appellate Division's decision.

People v Coleman, 110 AD3d 76, affirmed.

HEADNOTE

**Crimes — Sentence — Resentencing under Drug Law Reform Act —
Definition of “Exclusion Offense” — Persistent Felony Offender**

The Drug Law Reform Act of 2009's (DLRA) resentencing exclusion under CPL 440.46 (5) (a) (ii) for any offender serving a sentence for an “exclusion offense,” defined as an “offense for which a merit time allowance is not available pursuant to [Correction Law § 803 (1) (d) (ii)],” applies only to an offender who has been convicted of one or more of the serious crimes specifically listed in section 803 (1) (d) (ii) that automatically render a merit time allowance unavailable, regardless of the offender's sentencing status. The exclusion is based on the nature of the offender's “offense,” or criminal conduct, rather than his or her sentence. Although section 803 (1) (d) (ii) also prevents any offender serving a sentence “authorized for an A-I felony offense” from receiving a merit time allowance, thereby denying such an allowance to anyone sentenced as a persistent felony offender (*see* Penal Law §§ 70.00 [2] [a]; [3] [a] [i]; 70.10 [2]), such an offender is not excluded from resentencing solely by virtue of his or her recidivist sentencing adjudication. Thus, defendant, who was convicted of felony drug offenses and sentenced as a persistent felon but otherwise met the basic eligibility requirements for resentencing, was not excluded from resentencing where he had never been convicted of any of the crimes eliminating the possibility of a merit time allowance under section 803 (1) (d) (ii), notwithstanding that he could not receive such an allowance due to his persistent felony offender status. That interpretation of the exclusion was consistent with the DLRA's remedial purpose, as resentencing would be granted to a broad array of nonviolent offenders and categorically prohibited for only a small subset of offenders convicted of serious offenses requiring merit-time-ineligible sentences, and with the overall character of the DLRA's various exclusions, which exclude offenders from resentencing based on the violent or highly unsavory nature of their crimes.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 772, 780, 786, 796–797, 807,

809, 812; AM JUR 2d, Drugs and Controlled Substances §§ 45, 177, 207, 273; AM JUR 2d, Habitual Criminals and Subsequent Offenders § 20.

CARMODY-WAIT 2d, Sentencing Procedures §§ 203:95, 209:99, 203:215–203:216; CARMODY-WAIT 2d, Appeals in Criminal Cases § 207:136.

McKINNEY'S, Correction Law § 803 (1) (d) (ii); CPL 440.46 (5) (a) (ii).

NY JUR 2d, Criminal Law: Procedure §§ 2894, 2927, 3008, 3010, 3013–3015, 3591, 3632, 3650.

ANNOTATION REFERENCE

See ALR Index under Drugs and Narcotics; Habitual Criminals and Subsequent Offenders; Sentence and Punishment.

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Query: resenten! & exclusion /3 offense! & sex!

POINTS OF COUNSEL

James R. Farrell, District Attorney, Monticello (*Bonnie M. Mitzner* of counsel), for appellant. Defendant is not eligible for resentencing pursuant to the Drug Law Reform Act since he is a persistent felony offender. (*Portalatin v Graham*, 624 F3d 69; *People v Quinones*, 12 NY3d 116, 558 US 821; *People v Rivera*, 5 NY3d 61, 546 US 984; *People v Rosen*, 96 NY2d 329, 534 US 899; *People v Paulin*, 17 NY3d 238; *People v Norris*, 20 NY3d 1068; *People v Watson*, 20 NY3d 182; *People v Yusuf*, 19 NY3d 314; *People v Sosa*, 18 NY3d 436; *People v Santiago*, 17 NY3d 246.)

Jane M. Bloom, Monticello, for respondent. I. The Appellate Division, Third Department, was correct in finding respondent Earl Coleman statutorily eligible for resentencing under CPL 440.46 because his present sentence does not constitute an exclusion offense. (*People v Sosa*, 18 NY3d 436; *People v Paulin*, 17 NY3d 238; *People v Green*, 68 NY2d 151; *People v Snow*, 138 AD2d 217, 74 NY2d 671; *People v Gregory*, 80 AD3d 624, 17 NY3d 806; *People v Dais*, 19 NY3d 335; *People v Norris*, 20 NY3d 1068; *People v Bennett*, 28 Misc 3d 1210[A], 2010 NY Slip Op 51237[U]; *People v Jones*, 25 Misc 3d 1238[A], 2009 NY Slip Op 52483[U]; *People v Brown*, 26 Misc 3d 1204[A], 2010 NY Slip Op 50000[U].) II. Respondent Earl Coleman is statutorily eligible for resentencing based upon the clear and unambiguous

language of CPL 440.46 which states that the disputed exclusion offense must be a previous offense. (*People v Sosa*, 18 NY3d 436; *People v Buckery*, 84 AD3d 1588; *People v Brown*, 85 AD3d 940, 18 NY3d 955; *People v Brown*, 26 Misc 3d 1204[A], 2010 NY Slip Op 50000[U]; *People v Nieves*, 27 Misc 3d 585, 94 AD3d 671; *People v Crosby*, 84 AD3d 1264; *People v Lashley*, 83 AD3d 868, 17 NY3d 818; *People v Walltower*, 84 AD3d 1124, 18 NY3d 929; *People v Hill*, 82 AD3d 77; *People v Danton*, 27 Misc 3d 638.)

OPINION OF THE COURT

ABDUS-SALAAM, J.

The Drug Law Reform Act of 2009 (*see* L 2009, ch 56, § 1, part AAA, § 9 [hereinafter 2009 DLRA]) provides remedial resentencing to low-level nonviolent felony drug offenders who meet various basic eligibility requirements (*see* CPL 440.46 [1]). The 2009 DLRA, however, denies resentencing to any offender who is serving a sentence for an “exclusion offense,” which is, among other things, an “offense for which a merit time allowance is not available pursuant to [Correction Law § 803 (1) (d) (ii)]” (CPL 440.46 [5]; CPL 440.46 [5] [a] [ii]). Correction Law § 803 (1) (d) (ii), in turn, makes a merit time allowance unavailable to an offender who is serving a sentence imposed for any of the violent or sexual crimes specifically enumerated in that statute, without regard to the offender’s predicate sentencing status (*see* Correction Law § 803 [1] [d] [ii]). That statute also prevents any offender serving a sentence “authorized for an A-I felony offense” from receiving a merit time allowance (*id.*), thereby denying such an allowance to anyone who has been sentenced as a persistent felony offender (*see* Penal Law §§ 70.00 [2] [a]; [3] [a] [i]; 70.10 [2]).

In interpreting the language of these interlocking statutes, the Departments of the Appellate Division are divided over the proper answer to the following question: does the DLRA resentencing exclusion apply to all offenders who are ineligible to receive a merit time allowance, including those who cannot receive those allowances solely by virtue of their recidivist sentencing adjudications; or, to the contrary, does it apply only to offenders who have been convicted of certain serious crimes that are specifically listed in Correction Law § 803 (1) (d) (ii) and eliminate the possibility of a merit time allowance regardless of an offender’s recidivist sentencing adjudication? We hold that the exclusion applies only to offenders who have been

convicted of one or more of the serious crimes that automatically render merit time allowances unavailable under Correction Law § 803 (1) (d) (ii), and that therefore an offender who has no such conviction may be resentenced, notwithstanding his or her adjudication as a persistent felony offender.

I

In 2001, defendant Earl Coleman was convicted, after a jury trial held before the County Court of Sullivan County, of two counts of criminal sale of a controlled substance in the third degree (*see* Penal Law § 220.39 [1]). Based on defendant's prior felony convictions for robbery in the third degree (*see* Penal Law § 160.05) and criminal possession of stolen property in the third degree (*see* Penal Law § 165.50), the court exercised its discretion to adjudicate defendant a persistent felony offender and sentenced him to an aggregate indeterminate prison term of 15 years to life. The Appellate Division, Third Department affirmed defendant's conviction on direct appeal, and a Judge of this Court denied him leave to appeal (*see People v Coleman*, 4 AD3d 677, 677-679 [3d Dept 2004], *lv denied* 2 NY3d 797 [2004]).

On November 25, 2009, defendant filed a motion in County Court for resentencing pursuant to the 2009 DLRA, as codified in pertinent part in CPL 440.46. Defendant contended that he met all the statutory eligibility requirements and should be resentenced. The People opposed defendant's resentencing application on the theory that he was serving a sentence on a conviction for an "exclusion offense" which rendered him ineligible for resentencing (CPL 440.46 [5]).

In his motion papers, defendant also asked the court to assign him counsel pursuant to CPL 440.46 (4). The court took no action on defendant's request for the assignment of counsel, and defendant litigated his resentencing motion without the assistance of counsel. Following motion practice, the court denied defendant's resentencing motion on the ground that he was ineligible for resentencing under the statute. Defendant appealed from the order denying his resentencing motion, and the Appellate Division reversed and remitted the matter to County Court for further proceedings, finding that County Court had erroneously failed to assign counsel to represent defendant in the resentencing proceedings (*see People v Coleman*, 83 AD3d 1223, 1223 [3d Dept 2011]).

Upon remittal, defendant, now represented by counsel, submitted additional papers in support of his resentencing ap-

plication. In those submissions, defendant continued to maintain that he was eligible for resentencing under the 2009 DLRA because he was in the custody of the Department of Corrections and Community Supervision upon his convictions for the class B felony drug offense of criminal sale of a controlled substance in the third degree, and that his indeterminate sentence of 15 years to life included a maximum term of more than three years, as mandated by the statute's eligibility requirements (*see* CPL 440.46 [1]). Furthermore, defendant insisted that he was not serving a sentence upon a conviction for, nor did he have a predicate felony conviction for, any statutorily defined "exclusion offense" (CPL 440.46 [5]) that would make him ineligible for resentencing. According to defendant, although he could not receive a merit time allowance as a result of his adjudication as a persistent felony offender, his current conviction was not for an "offense" for which "a merit time allowance [was] not available pursuant to [Correction Law § 803 (1) (d) (ii)]" (CPL 440.46 [5] [a] [ii]). Rather, in defendant's view, he merely had a sentencing adjudication, as opposed to an offense, that prevented him from receiving a merit time allowance. Defendant further argued that, because substantial justice did not dictate the denial of his resentencing application, he should be resentenced (*see* CPL 440.46 [3]; *see also* L 2004, ch 738, § 23).

The People renewed their opposition to defendant's resentencing application, asserting that he was serving a sentence upon a conviction for an "exclusion offense." According to the People, because defendant had been sentenced as a persistent felony offender on the instant drug crimes and could not obtain a merit time allowance, his current drug offenses qualified as "exclusion offenses" under the merit-time-related resentencing exclusion. County Court issued an order denying defendant's resentencing application, finding him ineligible for resentencing on essentially the grounds advanced by the People. Defendant appealed.

A divided panel of the Appellate Division reversed County Court's order and remitted the matter for further proceedings (*see People v Coleman*, 110 AD3d 76, 77-79 [3d Dept 2013]). The majority held that, because defendant met the basic eligibility requirements for resentencing under the 2009 DLRA and had no conviction for an "exclusion offense," he was eligible for resentencing (*id.* at 77-78 [op by Peters, P.J.]). Observing that the Penal Law defines an "offense" as criminal conduct and

separately treats a “sentence” as the punishment for that offense (Penal Law § 10.00 [1]), the majority determined that the 2009 DLRA’s resentencing exclusion based on the unavailability of a merit time allowance applies only to an offender who has a conviction for an “‘offense for which a merit time allowance is not available’ ” pursuant to Correction Law § 803 (1) (d) (ii) and not to an offender whose sentencing adjudication alone prevents him or her from obtaining a merit time allowance (*id.* at 78, quoting CPL 440.46 [5] [a] [ii]).

Indeed, the majority opined, the remedial purpose of the 2009 DLRA compels the conclusion that the latter type of offender is among the low-level nonviolent drug offenders upon whom the statute liberally confers relief, and only the former type of offender is unable to be resentenced (*see id.* at 77). The majority concluded that, because defendant had no conviction for an offense that automatically precluded his receipt of a merit time allowance, his inability to receive a merit time allowance as a result of his persistent felony offender adjudication did not make him ineligible for resentencing (*see id.* at 78). In light of its finding of eligibility, the majority remitted the case to allow County Court to determine whether substantial justice dictated the denial of defendant’s resentencing application (*see id.* at 78-79).

One Justice dissented and voted to affirm County Court’s order (*see id.* at 79-80 [Stein, J., dissenting]). The dissent asserted that the 2009 DLRA’s definition of an “exclusion offense” “clearly references Correction Law § 803 (1) (d) (ii) without limitation,” including that Correction Law provision’s prohibition against merit time allowances for offenders serving sentences for class A-I felonies (*id.* at 80). Thus, according to the dissent, the resentencing exclusion applies to all offenders who, like defendant, are persistent felony offenders serving sentences authorized for class A-I felonies, and defendant was ineligible for resentencing (*see id.* at 79-80). The dissenting Justice of the Appellate Division granted the People leave to appeal (*see* 21 NY3d 1078 [2013]), and we now affirm.

II

Under the 2009 DLRA, a defendant who meets the basic statutory eligibility requirements is eligible for resentencing unless he or she “is serving a sentence on a conviction for or has a predicate felony conviction for an exclusion offense” (CPL 440.46 [5]; *see* CPL 440.46 [1]). Here, it is undisputed that de-

fendant meets the basic statutory eligibility requirements. Therefore, defendant's eligibility for resentencing turns on whether he has been convicted of an "exclusion offense."

CPL 440.46 (5) (a) defines an "exclusion offense" in pertinent part as:

"a crime for which the person was previously convicted within the preceding ten years, excluding any time during which the offender was incarcerated for any reason between the time of commission of the previous felony and the time of commission of the present felony, which was: (i) a violent felony offense as defined in [Penal Law § 70.02]; or (ii) any other offense for which a merit time allowance is not available pursuant to [Correction Law § 803 (1) (d) (ii)]." (CPL 440.46 [5] [a] [emphasis supplied].)

Thus, a defendant is ineligible for resentencing if, inter alia, he or she has previously been convicted of an "offense" that prevents the defendant from receiving a merit time allowance (CPL 440.46 [5] [a]). Correction Law § 803 (1) (d) (ii), to which the definition of a merit-time-ineligible "exclusion offense" refers, describes the circumstances under which a defendant may not receive a merit time allowance, stating:

"[A] merit time allowance shall not be available to any person serving an indeterminate sentence authorized for an A-I felony offense, other than an A-I felony offense defined in [Penal Law article 220], or any sentence imposed for a violent felony offense as defined in [Penal Law § 70.02], manslaughter in the second degree, vehicular manslaughter in the second degree, vehicular manslaughter in the first degree, criminally negligent homicide, an offense defined in [Penal Law article 130], incest, or an offense defined in [Penal Law article 263], or aggravated harassment of an employee by an inmate." (Correction Law § 803 [1] [d] [ii] [emphasis supplied].)

Because, under the Penal Law, a defendant will receive a sentence authorized for a class A-I felony if he or she is sentenced as a persistent felony offender (*see* Penal Law §§ 70.00 [2] [a]; [3] [a] [i]; 70.10 [2]), Correction Law § 803 (1) (d) (ii) necessarily makes a merit time allowance unavailable to a defendant who has been adjudicated a persistent felony offender.

Interpreting the 2009 DLRA's merit-time-related exclusion in *People v Gregory* (80 AD3d 624 [2d Dept 2011], *lv denied* 17

NY3d 806 [2011]), the Appellate Division, Second Department concluded that a conviction for an “exclusion offense” can be a conviction for any offense for which a defendant has been adjudicated a persistent felony offender because such a sentencing adjudication bars the receipt of a merit time allowance under the Correction Law (*see Gregory*, 80 AD3d at 625). The court essentially reasoned that even though the offense underlying such a conviction is not a class A-I felony or one of the other serious felonies listed in Correction Law § 803 (1) (d) (ii), it becomes a merit-time-ineligible “offense” by virtue of the persistent felony offender adjudication, which links the current offense to the past offenses in a manner that eliminates the possibility of a merit time allowance (*see id.*). By contrast, here, the Appellate Division, Third Department held that the pertinent resentencing exclusion applies solely to a defendant who has been convicted of a crime that absolutely prevents him or her from obtaining a merit time allowance, regardless of sentencing status, because the resentencing exclusion is based on the nature of the defendant’s offense rather than his or her sentence (*see Coleman*, 110 AD3d at 77-78). We agree with the Third Department and conclude that defendant here has no conviction for an “exclusion offense” because he has never been convicted of a crime that by its very nature makes it impossible for the offender to receive a merit time allowance under the Correction Law, notwithstanding that defendant happens to be unable to receive such an allowance due to his persistent felony offender adjudication.

As reflected in the divergent views of the Appellate Division Departments, there is some ambiguity in the critical subparagraph of CPL 440.46 (5) (a), which defines an “exclusion offense” as an “offense for which a merit time allowance is not available pursuant to [Correction Law § 803 (1) (d) (ii)]” (CPL 440.46 [5] [a] [ii]). Certainly, that language suggests that a defendant has a conviction for an “exclusion offense” only if the defendant’s “offense,” i.e., his or her criminal conduct (Penal Law § 10.00 [1]), constitutes a crime that necessarily causes a person convicted of it to lose any chance of obtaining a merit time allowance. On the other hand, the same subparagraph’s citation to Correction Law § 803 (1) (d) (ii) leads to the opposite conclusion, for that statute, when read literally, prevents a defendant from obtaining a merit time allowance based on the sentence authorized or imposed for his or her offense rather than the offense itself (*see* Correction Law § 803 [1] [d] [ii]).

That being so, one could reasonably find, as the Second Department did and the People argue, that CPL 440.46 (5) (a) uses the combination of the term “offense” and the Correction Law’s sentence-based merit time restrictions to preclude resentencing for any defendant whose offense actually results in a sentence that bars the receipt of a merit time allowance. However, as the Third Department found and defendant argues, it is just as reasonable to treat the resentencing exclusion as dependent on the nature of the defendant’s “offense” rather than the merit time implications of his or her sentence, such that the exclusion can be triggered only by a conviction for one of the “offenses” listed in Correction Law § 803 (1) (d) (ii) which automatically render a merit time allowance unavailable.

In choosing between these two plausible readings of the statute, we are guided by the precept that the plain terms of the 2009 DLRA, like any statute, should be interpreted in a manner that effectuates the intent of the legislature (*see People v Mitchell*, 15 NY3d 93, 97 [2010]; *People v Robinson*, 95 NY2d 179, 182 [2000]). Although there is virtually no official legislative history of the particular resentencing exclusion at issue here, we may look to the broader purpose of the DLRA as a whole for guidance in divining the meaning of the exclusion. Indeed, in our prior decisions interpreting the DLRA resentencing exclusions, we have relied on the legislative intent underlying the remedial framework of the 2009 DLRA, which we summarized in detail (*see People v Sosa*, 18 NY3d 436, 441-442 [2012]; *People v Paulin*, 17 NY3d 238, 244 [2011]). As we have made clear, when the legislature enacted the 2009 DLRA, it sought to ameliorate the excessive punishments meted out to low-level, nonviolent drug offenders under the so-called Rockefeller Drug Laws, and therefore the statute is designed to spread relief as widely as possible, within the bounds of reason, to its intended beneficiaries (*see Sosa*, 18 NY3d at 438, 441-442; *Paulin*, 17 NY3d at 244; *see also* Assembly Sponsor’s Mem, Bill Jacket, L 2004, ch 738 at 6 [discussing the similar legislative intent behind the Drug Law Reform Act of 2004]).

We adopt defendant’s interpretation of the relevant resentencing exclusion under the 2009 DLRA because it is more consistent with the statute’s remedial purpose than the People’s interpretation. As interpreted by defendant, the statute would grant the benefits of remedial resentencing to a broad array of nonviolent offenders, including those who could have received a merit time allowance had they not been sentenced as persistent

felony offenders, and resentencing would be categorically prohibited for only a small subset of offenders who have been convicted of serious offenses that by operation of law must result in merit-time-ineligible sentences. By contrast, the People's reading of the statute would deny resentencing to all persistent felony offenders and permit it for just a limited group of offenders who are eligible for a merit time allowance, thereby depriving a substantial number of nonviolent drug offenders of the relief which the legislature envisioned.¹

In addition to the legislative intent behind the 2009 DLRA, the overall character of the statute's various exclusions persuades us that the merit-time-related exclusion applies only to offenders who have convictions for the serious and violent crimes listed in Correction Law § 803 (1) (d) (ii). In that regard, CPL 440.46 (5) generally excludes certain offenders from resentencing based on the violent or highly unsavory nature of the crimes they have committed. For example, CPL 440.46 (5) bars resentencing for any offender who has a conviction for "a *violent* felony offense," and even the exclusions premised on an offender's recidivist sentencing status rely on the violent nature of the offender's criminal conduct, for they preclude resentencing based on the offender's conviction for a "second *violent* felony offense" or "persistent *violent* felony offense" (CPL 440.46 [5] [a], [b] [emphasis supplied]).² Given the legislature's evident conclusion that the violent nature of an offender's misconduct should render him or her ineligible for resentencing, the legislature likely took the same view in crafting the merit-time-related exclusion. Therefore, it is reasonable to think that the legislature cited Correction Law § 803 (1) (d) (ii) simply to prevent the resentencing of offenders who, by their commission of the mostly violent and sexual offenses mentioned in that statute, have shown themselves undeserving of resentencing.

1. Although quite a few persistent felony offenders are not low-level offenders deserving of resentencing, a resentencing court may account for that fact by denying a persistent felon's resentencing application on substantial justice grounds where appropriate (*see* CPL 440.46 [3]; *see also* L 2004, ch 738, § 23).

2. Notably, although CPL 440.46 (5) (b) effectively prohibits resentencing for offenders who have certain predicate felony offender adjudications, such as an adjudication as a second violent felony offender, it does not include the People's proposed exclusion for any offender who has been adjudicated a persistent felony offender. This omission further suggests that the legislature did not want to preclude resentencing for offenders who, like defendant, have received severe recidivist sentencing adjudications but have not committed violent, sexual or other unusually serious crimes.

When viewed in context, then, the merit-time-related exclusion follows the offense-based approach of the other exclusions by precluding resentencing only for individuals whose offenses are so serious as to make it impossible for them to receive a merit time allowance under the Correction Law. Accordingly, while a defendant convicted of a class A-I felony or any of the other serious crimes mentioned in Correction Law § 803 (1) (d) (ii) cannot be resentenced under the 2009 DLRA, persistent felony offenders who have no such convictions are eligible for resentencing.

Here, defendant has never been convicted of any of the crimes which eliminate the possibility of a merit time allowance under Correction Law § 803 (1) (d) (ii) within the relevant time period, and he meets all other eligibility criteria under the 2009 DLRA. Thus, we conclude that defendant is eligible for resentencing. In light of that determination, we find it unnecessary to consider defendant's remaining arguments regarding his eligibility for resentencing.

III

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH, PIGOTT and RIVERA concur.

Order affirmed.

[21 NE3d 218, 996 NYS2d 589]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v SAMUEL
McLEAN, Appellant.

Argued September 10, 2014; decided October 21, 2014

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the Third Judicial Department, from an order of that Court, entered August 8, 2013. The Appellate Division affirmed an order of the Schenectady County Court (Karen A. Drago, J.), which had denied defendant's motion pursuant to CPL 440.10 to vacate the judgment convicting him of murder in the second degree (two counts), attempted robbery in the first degree (three counts), criminal possession of a weapon in the second degree (three counts), criminal possession of a weapon in the third degree (six counts), conspiracy in the fourth degree and criminal mischief in the third degree, and/or to set aside his sentence.

People v McLean, 109 AD3d 670, affirmed.

HEADNOTE

Crimes — Right to Counsel — Representation on Unrelated Matter — Police Inquiry as to Continued Existence of Attorney-Client Relationship

In the prosecution of defendant for murder and related crimes in connection with a fatal shooting that defendant had previously talked to the police about, in the presence of his lawyer, as part of a cooperation agreement while awaiting sentencing on an unrelated robbery charge, the police did not violate defendant's right to counsel by questioning him three years later about the shooting outside the presence of the lawyer, as the lawyer advised the police that he no longer represented defendant. When police are told by a suspect's lawyer that the lawyer no longer represents the suspect, they may question the suspect without violating his or her right to counsel. Here, by asking the lawyer whether the attorney-client relationship had ceased and getting an unequivocal answer, the police discharged their burden of determining whether the attorney-client relationship had terminated. Although the police could have done more and explained to the lawyer why they wanted to talk to defendant, or asked defendant himself whether the relationship had ended, they were not required to take all imaginable steps to protect defendant's right to counsel.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 921, 922, 1097–1099.
CARMODY-WAIT 2d, Right to Counsel §§ 184:13, 184:16,
184:17, 184:20–184:23.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 6.1, 11.1, 11.3.

NY JUR 2d, Criminal Law: Procedure §§ 742, 797, 798, 833.

ANNOTATION REFERENCE

See ALR Index under Attorneys; Investigations and Interrogations.

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POINTS OF COUNSEL

Danielle Neroni Reilly, Albany, for appellant. I. Appellant's right to counsel indelibly attached when his attorney entered the criminal matter under investigation, and had not been terminated when appellant was questioned three years later. (*People v West*, 81 NY2d 370; *People v Harris*, 77 NY2d 434; *People v Settles*, 46 NY2d 154; *People v Cunningham*, 49 NY2d 203; *People v Di Biasi*, 7 NY2d 544; *People v Grice*, 100 NY2d 318; *People v Hobson*, 39 NY2d 479; *People v Schaeffer*, 56 NY2d 448; *People v Marrero*, 51 NY2d 56.) II. Appellant's trial counsel was ineffective for failing to raise the right to counsel issue prior to appellant's guilty plea. (*Hill v Lockhart*, 474 US 52; *People v Baldi*, 54 NY2d 137; *Strickland v Washington*, 466 US 668; *People v Turner*, 5 NY3d 476; *People v Caban*, 5 NY3d 143; *People v Carncross*, 14 NY3d 319; *People v Hobot*, 84 NY2d 1021; *People v Kinchen*, 60 NY2d 772; *People v Sanchez*, 15 NY2d 387; *People v Benevento*, 91 NY2d 708.)

Robert M. Carney, District Attorney, Schenectady (*Gerald A. Dwyer* of counsel), for respondent. I. Defendant's right to counsel did not attach when he cooperated with the homicide investigation as part of his plea bargain in an unrelated case. (*People v West*, 81 NY2d 370; *People v Lopez*, 16 NY3d 375; *People v Booker*, 53 AD3d 697; *People v Arthur*, 22 NY2d 325; *People v Failla*, 14 NY2d 178; *People v Bing*, 76 NY2d 331; *People v Grice*, 100 NY2d 318; *People v Robles*, 72 NY2d 689; *People v Burdo*, 91 NY2d 146; *People v Hobson*, 39 NY2d 479.) II. Any entry by counsel into the homicide was limited and terminated upon the conclusion of defendant's robbery case. (*People v Paulin*, 25 NY2d 445; *People v Morales*, 42 NY2d 129; *People v Porter*, 9 NY3d 966; *Matter of Jimmy D.*, 15 NY3d 417;

People v Marrero, 51 NY2d 56; *People v Callicutt*, 85 AD3d 1326; *People v Singer*, 44 NY2d 241.) III. The police did not violate defendant's right to counsel, because they had no knowledge of any entry by an attorney when they took a statement from him in 2006. (*People v Arthur*, 22 NY2d 325; *People v Carranza*, 3 NY3d 729; *People v Lopez*, 16 NY3d 375; *People v Bongarzone-Suarrcy*, 6 NY3d 787; *People v Pinzon*, 44 NY2d 458; *People v Bertolo*, 65 NY2d 111; *People v West*, 81 NY2d 370; *People v Porter*, 9 NY3d 966; *Matter of Jimmy D.*, 15 NY3d 417; *People v Robles*, 72 NY2d 689.) IV. If there was a violation of defendant's right to counsel, it constituted harmless error. (*People v Lopez*, 16 NY3d 375; *People v Crimmins*, 36 NY2d 230; *People v Goldstein*, 6 NY3d 119; *People v Coles*, 62 NY2d 908.) V. The defendant received effective assistance of trial counsel. (*People v Benvenuto*, 91 NY2d 708; *People v Stultz*, 2 NY3d 277; *People v Taylor*, 1 NY3d 174; *People v Lane*, 60 NY2d 748; *People v Angelakos*, 70 NY2d 670; *People v Baldi*, 54 NY2d 137; *People v Caban*, 5 NY3d 143; *People v Douglas*, 38 AD3d 1063; *People v Victor*, 262 AD2d 872.) VI. Unknowing and unconsented entry by counsel will negatively affect the criminal justice system in New York State.

OPINION OF THE COURT

SMITH, J.

We hold that when police are told by a suspect's lawyer that the lawyer no longer represents him, they may question the suspect without violating his right to counsel.

I

In 2003, defendant was being prosecuted for robbery. He was represented by Steven Kouray, a part-time deputy public defender. Defendant told Kouray that he had information about an unrelated crime, the murder of a young man named Leonder Goodwin, and asked Kouray to see if that information could be used to get him a more lenient sentence in the robbery case. Kouray approached the District Attorney's Office and negotiated a plea bargain, under which defendant pleaded guilty to robbery. His sentence was capped at 12 years, with the understanding that he could get less time if he provided helpful information about the Goodwin murder.

After entering his plea, defendant met with Detective John Sims in Kouray's presence in October of 2003. Defendant told Sims, in substance, that on the night of the murder he had been

walking to his niece's house when he saw two men he recognized, Antoan Baker and "Kendu," shoot a "kid." He said that he met Baker and Kendu shortly after the shooting, discussed the incident, and discovered that Kendu was carrying "a gun that used to be mine." Defendant said he later retrieved the gun and threw it away in a sewer. Defendant identified Baker and Kendu from photo arrays and led the police to the sewer where he said he had dropped the gun, but the gun was not recovered.

Sims evidently found defendant's story unconvincing. An assistant district attorney reported to County Court that defendant's information "was not truthful information," and defendant received a 12-year sentence for the robbery.

In 2006, having been told by Antoan Baker that defendant himself took part in the Goodwin murder, Sims decided that he would like to speak to defendant again. The District Attorney instructed Sims that he must first "check with Mr. Kouray to see whether he continued to represent him or what the nature of his representation was." Sims and Detective Michael Brown then visited Kouray at his office and asked whether Kouray was still representing defendant. Kouray, according to Sims, answered "No, I'm not," adding: "I represented Mr. McLean in the robbery . . . [y]ou can go talk to him if you want to." Kouray acknowledged that Sims or Brown had asked him whether he still represented defendant. Kouray's recollection of his response was: "He's been sentenced. The robbery case is over."

After speaking to Kouray, Sims and Brown went to see defendant in prison. No lawyer was present. Sims and Brown gave defendant *Miranda* warnings, but did not ask if Kouray still represented him, and defendant volunteered nothing on that subject. Told that Baker was implicating him in the Goodwin homicide, defendant gave a new version of events: He said that he was in a car with Baker, Kendu and a fourth man, intending to commit a robbery. Defendant said that Kendu borrowed defendant's gun, and that Baker and Kendu got out of the car and opened fire on a group of "kids," one of whom fell.

Defendant was indicted for murder and other crimes in connection with Goodwin's death. After unsuccessfully moving to suppress his 2006 statement to Sims and Brown, he pleaded guilty. He argued on direct appeal that the taking of that statement violated his right to counsel, but both the Appellate Division (*People v McLean*, 59 AD3d 861 [3d Dept 2009]) and this

Court (15 NY3d 117 [2010]) found the record insufficient to permit review of the claim.

Defendant then moved in County Court to set aside his conviction pursuant to CPL 440.10, again arguing that the 2006 interview violated his right to counsel. County Court held an evidentiary hearing, at which Sims and Kouray described their 2006 conversation in the language quoted above. The court, apparently regarding the two versions as consistent, gave “full credence” to both. It denied the motion, and the Appellate Division, with one Justice dissenting, affirmed (*People v McLean*, 109 AD3d 670 [2013]). The dissenting Justice granted defendant leave to appeal to this Court (2013 NY Slip Op 98701[U] [2013]), and we now affirm.

II

Defendant claims that Sims’s and Brown’s questioning of him in 2006 violated the rule that, once an attorney has entered a proceeding, the defendant cannot be questioned in the absence of counsel, unless he affirmatively waives his right to counsel in the attorney’s presence (*People v Arthur*, 22 NY2d 325, 329 [1968]; *People v West*, 81 NY2d 370, 373-374 [1993]). The People respond with three arguments, made in the alternative: They say that Kouray never entered the homicide case as defendant’s lawyer; that if he did, he did so only for a limited purpose (negotiating a disposition of the robbery case) and that the representation terminated when that purpose was accomplished; and that, in any event, the police reasonably concluded, after talking to Kouray, that he was no longer defendant’s lawyer. We are persuaded by the third of these arguments, and need not consider the first two.

West is the most relevant precedent. There, the defendant had been represented by counsel in a 1982 lineup, which did not result in any charge against him. In 1985 and 1986, the police, having “made no attempt to determine whether defendant was still represented by his lawyer,” arranged for an informant to speak to the defendant and to tape record the conversations (81 NY2d at 372). We held that the police officers’ failure to make inquiry required suppression of the defendant’s statements, regardless of what the inquiry would have shown: “Should the police have desired to question after defendant’s right had attached, it was their burden to determine whether the attorney-client relationship had terminated” (*id.* at 380).

The rule of *West* places a significant burden on the police, but we made clear that the burden is not impossible to sustain. We

rejected the suggestion, made by Judge Simons in dissent, that under our holding “the right to counsel is interminable” (*id.*). It would be a different case, we explained, if the police, when they arranged for the tape recordings, “had any reason to believe that a known attorney-client relationship in the matter had ceased” (*id.* at 381).

Here, the police did have a reason—an excellent one—to believe that the attorney-client relationship had ceased: the attorney had told them so. By asking the question and getting an unequivocal answer, the police discharged their burden. It is no doubt true that they could have done more. They could have explained to Kouray exactly why they were eager to talk to defendant, or they could have asked defendant himself whether the relationship had reached an end. Perhaps had they done so, they would have received a different answer. But the police are not required to take all imaginable steps to protect a defendant’s right to counsel. Where they follow the rules laid down in our cases—rules that are, in general, highly protective of the attorney-client relationship—they need do no more (*see People v Booker*, 53 AD3d 697, 699 [3d Dept 2008] [holding that the police were entitled to rely on an attorney’s assurance that the defendant had decided, after consultation with the attorney, to waive his right to counsel]).

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN (dissenting). When this case was previously before us, the majority found it necessary to remit for a CPL 440.10 hearing, while I joined Judge Jones’s dissent, opining that defendant had been represented by counsel in the murder case and that his later, uncounseled statements had been obtained in violation of his right to counsel (15 NY3d 117, 125 [2010]).

The more specific issue presented here, as limited by the majority opinion, is whether, given the uncertainty as to defendant’s representational status, the police reasonably concluded that they could question defendant about the murder. It is well settled that where, as here, an ambiguity exists as to whether a defendant is represented by counsel with respect to a particular matter, the burden is on the police to ascertain whether that representation has terminated before questioning the defendant on that matter outside the presence of counsel (*see People v West*, 81 NY2d 370, 376 [1993]). The police inquiry here fell

short of what was necessary to honor defendant's cherished right to counsel.

In 2003, defendant was represented by Steven Kouray in connection with a robbery charge. Seeking a reduced sentence on the robbery, defendant offered to provide information on the unsolved 2002 murder of Leonder Goodwin. Kouray contacted the District Attorney's Office on defendant's behalf and accompanied him to meet with homicide investigator Sims. Defendant was given his *Miranda* warnings before speaking with the officer. During the interview, Kouray periodically conferred with defendant and advised him not to answer certain questions. They also went over the written statement together before defendant signed it. In addition, Kouray accompanied defendant the following day when he identified two individuals from a photo array and on his ride-along with the police to show them where the murder weapon had been discarded. At the time, Kouray apparently believed that defendant was only an eyewitness to the murder. Defendant's information was not deemed credible and he was therefore afforded no leniency when he was sentenced on the robbery charge in June 2004.

In December 2006, the police considered defendant a suspect in the Goodwin murder and wanted to interview him again. On instructions from the District Attorney, Investigators Sims and Brown went to see Kouray before questioning the defendant and inquired whether Kouray still represented him. According to Sims, he mentioned the "Goodwin case," but did not say anything about a murder. Kouray responded that he no longer represented defendant and made reference to the robbery case having been concluded.

The investigators then went to speak with defendant at Green Meadow Correctional Facility; they did not ask defendant whether he was represented by counsel. Defendant waived his *Miranda* rights and gave a statement incriminating himself in the Goodwin murder.

"New York has long viewed the right to counsel as a cherished and valuable protection that must be guarded with the utmost vigilance . . . [T]he right to counsel is referred to as 'indelible' because, once it 'attaches,' interrogation is prohibited unless the right is waived in the presence of counsel" (*People v Lopez*, 16 NY3d 375, 380 [2011] [citations omitted]). The rule precluding officers from questioning a represented defendant derives from the theory that, by obtaining counsel with regard to "a particular matter, defendant [has] manifested his belief that he

was unable to deal with the coercive power of the authorities without legal assistance” (*West*, 81 NY2d at 375).

“Once an attorney has appeared on the defendant’s behalf we have refused to allow the police to rely on arguable ambiguities in the attorney-client relationship in order to justify police questioning of the defendant without the attorney being present. We have indicated that if the police are uncertain as to the scope of the attorney’s representation, the defendant should not be questioned” (*People v Marrero*, 51 NY2d 56, 59 [1980] [citations omitted]).

Where it is likely that defendant is represented by counsel, the police have the obligation to make a reasonable inquiry into the status of that representation (*see e.g. Lopez*, 16 NY3d at 383).

Here, the limited inquiry made of Kouray did nothing to dispel the ambiguity as to whether defendant was represented by counsel on the homicide. Although the investigator inquired whether Kouray continued to represent defendant, the question was not asked in a way that was designed to elicit an informed response. It was three years earlier when Kouray had appeared with defendant in the context of the homicide investigation. The investigator’s reference to the murder victim’s name, without more, was unlikely to bring to mind Kouray’s involvement in a remote matter in which he believed his client was only tangentially involved. Indeed, despite Kouray’s response that his representation on the *robbery* had concluded, which should have alerted the officers to the continuing ambiguity with respect to any representation on the homicide, they made no further attempt to clarify the situation. At a minimum, this halfhearted effort to ascertain defendant’s representational status falls well short of scrupulously honoring his right to counsel.

The majority recognizes that the officers likely would have received a different answer if they chose to pursue the issue further, but still finds that this perfunctory inquiry was adequate to satisfy their responsibility (*see majority op* at 130). This undemanding standard is insufficiently protective of defendant’s right to counsel.

Moreover, the investigators could have dispelled any remaining ambiguity by asking defendant himself whether he was represented by counsel (*see People v Lucarano*, 61 NY2d 138, 147 [1984]). As we have previously held, once a defendant denies

that he is represented, the officers need inquire no further (*see Lucarano*, 61 NY2d at 148). This does not place any great burden on the police and will, in most cases, result in a clear answer as to defendant's representational status. "The value of this protection to the individual far exceeds the inconvenience caused by requiring that the police make a simple inquiry of defendant" (*Lucarano*, 61 NY2d at 147). This is the bare-bones minimum that should be expected of the police.

For the reasons previously stated, I would find that the police could not rely on Kouray's statement to reach the conclusion that he was no longer defendant's lawyer and would grant his CPL 440.10 motion.

Judges GRAFFEO, READ, PIGOTT and ABDUS-SALAAM concur; Chief Judge LIPPMAN dissents in an opinion in which Judge RIVERA concurs.

Order affirmed.

[21 NE3d 209, 996 NYS2d 580]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v WILLIAM O'DANIEL, Appellant.

Argued September 16, 2014; decided October 21, 2014

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered April 11, 2013. The Appellate Division affirmed a judgment of the Clinton County Court (Patrick R. McGill, J.), which had convicted defendant, upon a jury verdict, of rape in the first degree (two counts), attempted rape in the first degree, sexual abuse in the first degree (two counts) and endangering the welfare of a child (two counts).

People v O'Daniel, 105 AD3d 1144, affirmed.

HEADNOTE

Crimes — Right to Counsel — Representation by Second Chair Due to Lead Counsel's Health Problems — Defendant Not Denied Reasonable Opportunity to Retain Counsel of His Choosing

In a prosecution for rape, among other crimes, defendant's constitutional right to be represented by retained counsel of his choosing was not violated by County Court's denial of adjournment motions made a week before trial and the day trial was to begin by defense counsel, who was representing defendant as "second chair" due to the poor health of lead counsel retained by defendant, notwithstanding that the court did not inquire whether defendant sought an adjournment so that he could have the opportunity to retain new counsel. Considering together the adjournment motion colloquies, no communication was made to County Court from which it would appear that defendant was asking for the opportunity to retain new counsel, or for an adjournment in the hope that lead counsel would recover quickly enough to become his trial counsel. Rather, defendant simply sought an adjournment to give substitute counsel, who first reviewed defendant's file 12 days before the trial began, more time to prepare. Under the circumstances, there was no obligation on the part of County Court to inquire as to whether defendant was seeking new counsel.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law § 1102.

CARMODY-WAIT 2d, Right to Counsel §§ 184:103, 184:104, 184:106.

LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) § 11.4.

NY JUR 2d, Criminal Law: Procedure §§ 745, 746, 756, 758.

ANNOTATION REFERENCE

See ALR Index under Attorneys.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: right /3 choice /3 counsel & health

POINTS OF COUNSEL

Bruce R. Bryan, Syracuse, for appellant. I. The court violated William O'Daniel's right to his choice of counsel when retained counsel became gravely ill and was hospitalized. (*People v Arroyave*, 49 NY2d 264; *United States v Gonzalez-Lopez*, 548 US 140; *People v Price*, 262 NY 410; *People v McLaughlin*, 291 NY 480; *People v Sides*, 75 NY2d 822; *Powell v Alabama*, 287 US 45; *Chandler v Fretag*, 348 US 3; *Wheat v United States*, 486 US 153; *Caplin & Drysdale, Chartered v United States*, 491 US 617; *United States v Morrison*, 449 US 361.) II. William O'Daniel was otherwise denied his constitutional and statutory rights to counsel. (*People v Henriquez*, 3 NY3d 210; *Penson v Ohio*, 488 US 75; *People v Cunningham*, 49 NY2d 203; *Maine v Moulton*, 474 US 159; *Powell v Alabama*, 287 US 45; *People v Ross*, 67 NY2d 321; *Padilla v Kentucky*, 559 US 356; *Demov, Morris, Levin & Shein v Glantz*, 53 NY2d 553; *Cuevas v Cuevas*, 110 AD2d 873; *Moray v Koven & Krause, Esqs.*, 15 NY3d 384.) III. Alternatively, William O'Daniel was rendered ineffective assistance of counsel. (*Strickland v Washington*, 466 US 668; *People v Turner*, 5 NY3d 476; *People v Baldi*, 54 NY2d 137; *People v Benevento*, 91 NY2d 708; *People v Feliciano*, 17 NY3d 14; *People v Stultz*, 2 NY3d 277; *People v Caban*, 5 NY3d 143; *People v Rogers*, 8 AD3d 888; *People v Baba-Ali*, 179 AD2d 725; *People v Hull*, 71 AD3d 1336.)

Andrew J. Wylie, District Attorney, Plattsburgh (*Jaime A. Douthat* of counsel), for respondent. I. Defendant had no absolute statutory or constitutional right to be represented by James Martineau, Esq. at trial, and the record demonstrates that the trial court did not abuse its discretion when it declined to grant yet another adjournment on the eve of trial, 15-plus months after indictment. (*People v Wolf*, 98 NY2d 105; *People v Padro*, 75 NY2d 820; *People v Carroll*, 3 NY2d 686; *People v Arroyave*, 49 NY2d 264; *Morris v Slappy*, 461 US 1; *People v Grif-fin*, 20 NY3d 626; *Matter of Anthony M.*, 63 NY2d 270; *United States v Gonzalez-Lopez*, 548 US 140; *United States v Brumer*,

528 F3d 157; *People v Sides*, 75 NY2d 822.) II. The record on appeal does not support either of defendant's two claims of ineffective assistance of counsel. (*People v Baldi*, 54 NY2d 137; *People v Benevento*, 91 NY2d 708; *People v Turner*, 5 NY3d 476; *People v Calderon*, 66 AD3d 314, 13 NY3d 858; *People v Caban*, 5 NY3d 143; *People v Rivera*, 71 NY2d 705; *People v Hobot*, 84 NY2d 1021; *People v Love*, 57 NY2d 998; *Gersten v Senkowski*, 426 F3d 588; *People v Denny*, 95 NY2d 921.)

OPINION OF THE COURT

PIGOTT, J.

Defendant, facing two counts of rape in the first degree, one count of attempted rape in the first degree, two counts of sexual abuse in the first degree, and two counts of endangering the welfare of a child, retained attorney Martineau to represent him. Martineau was suffering at the time from a debilitating medical condition. On March 1, 2010, Martineau requested an adjournment of defendant's trial, scheduled to begin the following week in County Court, due to a "flare-up" of his medical condition. The request was granted.

On April 28, 2010, following a hospitalization, Martineau requested another adjournment on medical grounds, but also mentioned that if adjournment were problematic for County Court then he would "advise [his] client and assist him in attempting to obtain substitute counsel in an effort to move this matter along." The trial was rescheduled to August 16, and finally, after the People sought an adjournment, to October 12, 2010.

In the fall of 2010, Martineau's health was again poor. At the suggestion of County Court, Martineau identified a "second chair" who would take over if his health worsened: attorney Bruno, who had represented defendant at his arraignment. Martineau took a turn for the worse and defendant's file was delivered to Bruno's office on September 30. Bruno met with defendant the following day.

On October 5, 2010, a week before trial was due to start, attorney Bruno represented defendant at a conference in County Court. On behalf of defendant, Bruno moved to adjourn the trial date, mentioning that defendant believed "that the legal system . . . [was] being unfair to him because of Mr. Martineau's health." However, Bruno also informed the court that he had "reviewed [defendant's] entire file" and was "confident" that, should the motion be denied, he would "be prepared and

ready to go forward to trial” the following week. Bruno added that he had explained to defendant that County Court had an “obligation to move matters along in a timely fashion.” The People opposed the adjournment motion, and County Court denied it.

On October 12, 2010, the day trial was to begin, Bruno “renew[ed] the motion to adjourn the trial,” on behalf of defendant, stating that defendant “from his perspective, is of the opinion that we need more time to prepare for the trial.” Again, the People opposed the motion, and County Court denied it, noting that Bruno had not indicated “that he is unable to proceed directly” or “that he is in need of extra time with regard to a specific need to prepare in some specific way.” Jury selection began, and the trial followed.

The jury found defendant guilty of all charges. Defendant moved to set aside the verdict under CPL 330.30. Bruno and Martineau filed affidavits stating that the latter had been unable to assist with the trial; that Bruno had first reviewed defendant’s file 12 days before the trial began; and that until a few days before trial defendant expected Martineau to be his trial attorney. Defendant contended that County Court’s denial of the October motions for adjournment violated his right to the retained attorney of his choice. County Court denied the CPL 330.30 motion and in March 2011, with the now-recovered Martineau serving as defendant’s counsel, imposed sentence.

Defendant appealed, raising several challenges, principally that County Court violated his right to choice of counsel. Defendant contends that County Court did so when it denied the October adjournment requests without making any inquiry into defendant’s choice of counsel.

The Appellate Division affirmed County Court’s judgment, observing with respect to defendant’s primary argument that the record contained no

“indication that defendant was unwilling to proceed to trial with Bruno as counsel or, more to the point, that he sought further adjournment of the trial date for the express purpose of retaining another attorney. Rather, defendant . . . instructed Bruno to seek two further adjournments in order to give Bruno more time to prepare. Bruno, however, voiced no concerns as to his readiness to proceed. To the contrary, Bruno indicated . . . that he had reviewed

defendant's 'entire file,' met with defendant 'quite frequently' and was 'confident' that, if the trial proceeded as scheduled, he would be 'prepared and ready to go forward' '' (105 AD3d 1144, 1146-1147 [3d Dept 2013]).

A Judge of this Court granted defendant leave to appeal (21 NY3d 1018 [2013]). We now affirm.

A defendant who does not require appointed counsel has a right under both Federal and State Constitutions to choose who will represent him (*see United States v Gonzalez-Lopez*, 548 US 140, 144 [2006]; *People v Arroyave*, 49 NY2d 264, 270 [1980]). "The constitutional guarantee to be represented by counsel of one's own choosing is a fundamental right" (*Arroyave*, 49 NY2d at 273). Nevertheless, "the right to counsel of choice is qualified, and may cede, under certain circumstances, to concerns of the efficient administration of the criminal justice system" (*People v Griffin*, 20 NY3d 626, 630 [2013]).

In particular, we have held that a defendant may not use the right to counsel of choice

"as a means to delay judicial proceedings. The efficient administration of the criminal justice system is a critical concern to society as a whole, and unnecessary adjournments for the purpose of permitting a defendant to retain different counsel will disrupt court dockets, interfere with the right of other criminal defendants to a speedy trial, and inconvenience witnesses, jurors and opposing counsel" (*Arroyave*, 49 NY2d at 271).

In short, appellate courts must recognize "a trial court's wide latitude in balancing the right to counsel of choice against the needs of fairness and against the demands of its calendar" (*Gonzalez-Lopez*, 548 US at 152 [citations omitted]).

Significantly, in the present case, defendant does not contend that he expressly requested new counsel on October 5 or October 12, 2010 and that the request was wrongly denied. Rather, defendant's principal argument is that when he moved, through counsel, for adjournment, County Court was obliged to inquire of him whether he was in fact seeking new counsel. We disagree.

When newly retained defense counsel requests an adjournment of trial and states that defendant believes that the trial would otherwise be unfair, the better practice would be to

inquire of counsel and, if necessary, defendant as to whether defendant seeks an adjournment so that he may have the opportunity to retain new counsel or so that his counsel may become better prepared for trial. However, in this case, County Court did not violate any of defendant's constitutional rights by denying the adjournment motions without that inquiry. On the record before us on direct appeal, when the colloquies of October 5 and October 12 are considered together, no communication was made to County Court from which it would appear that defendant was asking for the opportunity to retain new counsel, or for an adjournment in the hope that Martineau would recover quickly enough to become his trial counsel. Rather, defendant simply sought an adjournment to give Bruno more time to prepare. Under these circumstances, there was no obligation on the part of County Court to inquire as to whether defendant was seeking new counsel.

Defendant's remaining contentions lack merit.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN (dissenting). There is no dispute that the Sixth Amendment right to counsel entails the right of a criminal defendant to be represented by the attorney he or she has retained (see *United States v Gonzalez-Lopez*, 548 US 140, 144 [2006]). Nor, after *Gonzalez-Lopez*, is it debatable that the wrongful refusal of a court to honor a defendant's prerogative to retain his or her lawyer is per se reversible, error of this description having been deemed structural for its potential to subvert the very framework of a criminal proceeding in ways resistant to harmless error analysis (*id.* at 150). But here, on facts establishing that defendant was, without compelling justification, forced to proceed to trial with an attorney other than the one he had retained, the majority denies relief.

Mr. Martineau was defendant's attorney of record and Mr. Bruno, who stood in for him at defendant's trial, was never substituted for Martineau, or even retained as cocounsel by defendant. All concerned, most notably the trial court, which had itself set in motion the sequence leading to Mr. Bruno's assumption of the role of trial counsel,¹ knew that Mr. Bruno was not

1. Mr. Bruno's introduction to the matter was in response to the trial judge's suggestion to attorney Martineau that, in view of his still tenuous health as of September 2010, he "seek out a second chair." The suggestion,

(n. cont'd)

appearing at defendant's behest but at the request of Mr. Martineau to accommodate the trial court's concern with meeting "Standards and Goals."

Even if defendant's October 5th adjournment request had been ambiguous as to whether it involved an assertion of his right to retain his own lawyer, his subsequent request for a trial postponement, made just one week later, immediately before the commencement of the trial, could have left no doubt that defendant was invoking his right to be represented by an attorney of his choosing. At that time, Bruno, at defendant's insistence, requested a stay, urging that one was mandatory pursuant to CPLR 321 (c), which, in substance, requires a 30-day stay of proceedings against a party whose attorney becomes disabled to permit that party to retain other counsel. After reading verbatim the relevant portion of the statute,² Bruno reiterated that Mr. Martineau, whom all concerned understood to be disabled, "is retained counsel by Mr. O'Daniel."

Defendant makes a plausible argument that CPLR 321 is applicable in criminal proceedings³ and that the trial court was therefore obliged, in light of Mr. Martineau's disability, to stay the proceedings so that he could retain new counsel. But even if CPLR 321 is not applicable in criminal matters, the salient point is that defendant's reliance upon it should have placed the court on unequivocal notice that defendant was asking for an opportunity to decide for himself who would represent him at trial. To the extent that he was reasonably able to do so through a reluctant interlocutor not of his choosing whom he may very

the court explained, was made "purely [as] a matter of fairness and Standards and Goals."

2. The relied upon statute stipulates that

"If an attorney dies, becomes physically or mentally incapacitated, or is removed, suspended or otherwise becomes disabled at any time before judgment, no further proceeding shall be taken in the action against the party for whom he appeared, without leave of the court, until thirty days after notice to appoint another attorney has been served upon that party either personally or in such manner as the court directs" (CPLR 321 [c]).

3. Defendant points out that article I, section 6 of the State Constitution provides that "*In any trial in any court whatever the party accused shall be allowed to appear and defend in person and with counsel as in civil actions*" (emphasis added). The argument is thus made that if a stay is required in civil actions to allow representation by counsel—which is to say by chosen counsel—when a defendant's attorney becomes disabled, the same rule must be applicable in criminal proceedings.

well have elected not to retain,⁴ defendant had asserted his fundamental right to select his own lawyer, and the court was bound to honor that right unless there was some compelling reason not to (see *People v Griffin*, 20 NY3d 626, 630 [2013]; *People v Knowles*, 88 NY2d 763, 769 [1996]).

The closest the court came to identifying such a reason was when it noted that the case had been pending a long time and that fairness required a trial without further delay. But the lengthy pendency of the prosecution was attributable to adjournments requested by both sides and there was, in the context of a postponement request by defendant, no apparent urgency to try the matter, which was based on relatively recent allegations of misconduct said to have taken place years before. We have, of course, observed that a defendant's right to choose his attorney "is qualified in the sense that a defendant may not employ such right as a means to delay judicial proceedings" (*People v Arroyave*, 49 NY2d 264, 271 [1980]), but here it is clear that defendant's request for a stay expressly to enable the exercise of his right to choose his lawyer, was not a dilatory tactic. The serious deterioration in attorney Martineau's condition barely two weeks prior to the October 12, 2010 trial date was not a circumstance over which defendant had any control and there is no record support for the suggestion that, in requesting an additional postponement of the trial just days after learning that Mr. Martineau would be unable to appear for him if the trial commenced on October 12th, defendant was engaging in an eleventh hour manipulation to prolong his period of release on bail. The court was not obliged to put off the trial indefinitely, but it was required, given the fundamental, indeed structural right implicated, at least to inquire whether Mr. Martineau could be expected to recover and try the case within a reasonable time⁵ and, if that did not seem likely, to afford defendant a reasonable opportunity himself to retain substitute counsel. I do not believe that forcing defendant forthwith to trial with a lawyer he had not retained was a constitutionally permissible alternative.

4. Defendant it appears had previously been represented by Mr. Bruno in a Family Court matter. It is thus likely that his decision to hire Mr. Martineau in this very serious criminal matter reflected a considered preference for his representational skill set over that of Mr. Bruno.

5. It appears that Martineau recuperated sufficiently to resume his professional responsibilities by December 2010, and, in fact was present at defendant's sentencing in March 2011 at which time he thanked Bruno for standing in for him "on very short notice."

Judges GRAFFEO, READ, SMITH, RIVERA and ABDUS-SALAAM
concur; Chief Judge LIPPMAN dissents in an opinion.

Order affirmed.

[21 NE3d 237, 996 NYS2d 608]

ROBERTO RAMOS et al., Individually and on Behalf of All Other
Persons Similarly Situated, Appellants, v SIMPLEXGRINNELL
LP et al., Respondents.

Argued September 16, 2014; decided October 23, 2014

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review two questions certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following questions were certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “1. What deference, if any, should a court pay to an agency’s decision, made for its own enforcement purposes, to construe section 220 of the NYLL prospectively only, when the court is deciding the meaning of that section for a period of time arising before the agency’s decision? 2. Does a party’s commitment to pay prevailing wages pursuant to NYLL section 220 bind it to pay those wages only for work activities that were clearly understood by the parties to be covered by section 220, or does it require the party to pay prevailing wages for all the work activities that are ultimately deemed by a court or agency to be ‘covered’ by that portion of the statute?”

HEADNOTES

Labor — Prevailing Rate of Wages — Deference to Decision of Department of Labor

1. In a federal lawsuit involving the issue of whether New York’s “prevailing wage” statute, which requires that certain employees upon “public works” be paid “not less than the prevailing rate of wages” as defined by law (Labor Law § 220 [3] [a]), was applicable to workers engaged in the testing and inspection of certain fire protection equipment, no deference should be given to the New York State Department of Labor’s opinion letter stating that the workers were covered but that its opinion “shall be applied prospectively to contracts that are put out for bid after January 1, 2010,” as the Department submitted an amicus brief to the Court of Appeals in which it renounced any claim to deference in the litigation. The Court of Appeals will not give the agency more deference than it is asking for. It is inherent in the very idea of deference to an administrative agency that the agency has determined that its view of the law merits deference.

Labor — Prevailing Rate of Wages — Work Activities Covered by Statute as Reasonably Interpreted

2. A party’s commitment to pay prevailing wages pursuant to Labor Law § 220 (3) (a) binds it to pay those wages for all the work that is covered by the

statute as the statute is reasonably interpreted, and not just for work activities that were clearly understood by the parties to be covered by the statute. An agreement to comply with a statute is an agreement to comply with it as correctly interpreted, whether or not the correct interpretation was known to the parties at the time of contracting. That is particularly clear where, as here, a contractual clause agreeing to comply is required by the statute itself (*see* Labor Law § 220 [2]). The legislature surely meant that the parties must agree to comply with the law as correctly understood, not as the parties may have misunderstood it.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Public Works and Contracts §§ 213, 214, 224.

McKINNEY'S, Labor Law § 220 (2), (3) (a).

NY JUR 2d, Public Works and Contracts §§ 94, 95, 97, 99.

ANNOTATION REFERENCE

What projects involve work subject to state statutes requiring payment of prevailing wages on public works projects. 10 ALR5th 337.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: prevailing /2 wage & deference /s agency department

POINTS OF COUNSEL

Fay Law Group PLLC, Washington, D.C. (*Raymond C. Fay* of counsel), and *Beranbaum Menken LLP*, New York City (*Bruce E. Menken* and *Jason Rozger* of counsel), for appellants. I. The Court should not defer to an administrative agency enforcement timetable in interpreting the meaning of the statute. (*Chevron U.S.A. Inc. v Natural Resources Defense Council, Inc.*, 467 US 837; *Matter of Toys "R" Us v Silva*, 89 NY2d 411; *Fata v S.A. Healy Co.*, 289 NY 401; *Wright v Wright Stucco*, 50 NY2d 837; *Cox v NAP Constr. Co., Inc.*, 10 NY3d 592; *De La Cruz v Caddell Dry Dock & Repair Co., Inc.*, 22 AD3d 404, 95 AD3d 297, 21 NY3d 530; *Kuhn v Fairmont Coal Co.*, 215 US 349; *Gurnee v Aetna Life & Cas. Co.*, 55 NY2d 184.) II. Parties subject to Labor Law § 220 must pay prevailing wages for all work covered by the statute. (*Resolution Trust Corp. v Diamond*, 45 F3d 665; *People ex rel. Rodgers v Coler*, 166 NY 1; 2 *Tudor City Place Assoc. v 2 Tudor City Tenants Corp.*, 924 F2d 1247; *Bucci v Village of Port Chester*, 22 NY2d 195.)

Ogletree, Deakins, Nash, Smoak & Stewart, P.C., Morristown, New Jersey (*Peter O. Hughes* and *Grant D. Petersen* of counsel), for respondents. I. The New York Department of Labor's determination that its new rule be applied prospectively only is entitled to deference and should be applied here. (*Matter of New York State Superfund Coalition, Inc. v New York State Dept. of Envtl. Conservation*, 18 NY3d 289; *Matter of New York State Assn. of Life Underwriters v New York State Banking Dept.*, 83 NY2d 353; *Samiento v World Yacht Inc.*, 10 NY3d 70; *Matter of Agency Constr. Corp. v Hudacs*, 205 AD2d 980; *Gurnee v Aetna Life & Cas. Co.*, 55 NY2d 184; *Matter of Lantry v State of New York*, 6 NY3d 49; *Matter of Gilmore v Preferred Acc. Ins. Co.*, 283 NY 92; *Matter of Europe v Addison Amusements, Inc.*, 231 NY 105; *De La Cruz v Caddell Dry Dock & Repair Co., Inc.*, 21 NY3d 530; *Matter of Twin State CCS Corp. v Roberts*, 72 NY2d 897.) II. A party's obligation to pay prevailing wages is no greater than what the New York Department of Labor designated was covered at the time the contract was entered. (*Fata v S.A. Healy Co.*, 289 NY 401; *Dunning v Leavitt*, 85 NY 30; *Artwear, Inc. v Hughes*, 202 AD2d 76; *BAIL Banking Corp. v UPG, Inc.*, 985 F2d 685; *Dolman v United States Trust Co. of N.Y.*, 2 NY2d 110; *Greenfield v Philles Records*, 98 NY2d 562; *Sutton v East Riv. Sav. Bank*, 55 NY2d 550; *Madison Ave. Leasehold, LLC v Madison Bentley Assoc. LLC*, 30 AD3d 1; *Huskission v Sentry Ins.*, 123 AD2d 832; *Pioneer Transp. Corp. v Kaladjian*, 105 AD2d 698.)

Eric T. Schneiderman, Attorney General, New York City (*Judith N. Vale*, *Barbara D. Underwood* and *Steven C. Wu* of counsel), for New York State Department of Labor, amicus curiae. I. The opinion letter's description of the New York State Department of Labor's own enforcement discretion is not pertinent to private actions. (*Barenboim v Starbucks Corp.*, 21 NY3d 460; *Samiento v World Yacht Inc.*, 10 NY3d 70; *Matter of Chesterfield Assoc. v New York State Dept. of Labor*, 4 NY3d 597; *Matter of Lantry v State of New York*, 6 NY3d 49.) II. The scope of Labor Law § 220 is not limited by an employer's subjective understanding of its contractual promise to pay prevailing wages. (*Matter of New York Charter School Assn. v Smith*, 15 NY3d 403; *Matter of Sarkisian Bros. v Hartnett*, 172 AD2d 895; *Brian Hoxie's Painting Co. v Cato-Meridian Cent. School Dist.*, 76 NY2d 207; *Matter of Pegasus Cleaning Corp. v Smith*, 73 AD3d 1328; *Matter of Twin State CCS Corp. v Roberts*, 72 NY2d 897; *Village of Medina v Dingledine*, 211 NY 24.)

OPINION OF THE COURT

SMITH, J.

The United States Court of Appeals for the Second Circuit has asked us what deference a court should pay to an agency's decision, made for its own enforcement purposes, to construe a statute prospectively only. The agency in question, the New York State Department of Labor, has submitted an amicus brief to us in which it renounces any claim to deference in this litigation. This leads us to give a narrow answer to the Second Circuit's question: We will not give the agency more deference than it claims for itself.

I

In this lawsuit, the federal courts have been called on to interpret New York's "prevailing wage" statute, which requires that certain employees upon "public works" be paid "not less than the prevailing rate of wages" as defined by law (Labor Law § 220 [3] [a]). The statute has been held applicable only to workers employed in construction, maintenance or repair work (see *Matter of Golden v Joseph*, 307 NY 62, 66-67 [1954]; *Matter of Pinkwater v Joseph*, 300 NY 729 [1950]). The dispute between the parties, to the extent relevant here, is whether workers engaged in the testing and inspection of certain fire protection equipment are covered by the statute. On December 31, 2009, the Department's Commissioner issued an opinion letter saying that the workers were covered, but that "because there has been much confusion in the past about the Departments [sic] position as to the applicability of the prevailing wage law to this work, this opinion shall be applied prospectively to contracts that are put out for bid after January 1, 2010."

The Second Circuit held that the Department's "substantive construction of the statute (as covering testing and inspection work)" is entitled to deference (*Ramos v SimplexGrinnell LP*, 740 F3d 852, 856 [2d Cir 2014]). The court was in doubt, however, as to whether it should defer to the Department's ruling that its opinion would be applied prospectively only, and it therefore certified the following question to us:

"What deference, if any, should a court pay to an agency's decision, made for its own enforcement purposes, to construe section 220 of the [New York Labor Law] prospectively only, when the court is deciding the meaning of that section for a period of

time arising before the agency’s decision?” (*Id.* at 859.)

[1] In its amicus brief in this Court, the Department asserts that no deference is due to it by the courts deciding this litigation. It says that its prospectivity ruling “has no relevance to a private contract action such as this one” and therefore “provides no occasion for deference” (brief for amicus curiae New York State Department of Labor at 16, 17). We conclude that this determines our answer to the Second Circuit’s question. We will not give the agency more deference than it is asking for. It is inherent in the very idea of deference to an administrative agency that the agency has determined that its view of the law merits deference.

We add a word to make clear the very limited nature of our decision. The agency appears to assume that, while it renounces deference in “private litigation,” it may nevertheless seek deference when the issue is “its own enforcement of Labor Law § 220” (*id.* at 15-16). Thus, it seems that in the Department’s view a court that did not defer to the agency in a suit initially brought in court would nevertheless defer in its review of an administrative determination—so that cases might come out differently, on identical facts, depending on whether they were originally lawsuits or administrative proceedings. We have no occasion to consider the correctness of this assumption. Obviously, the fact that we will not give an agency more deference than it seeks does not mean that it cannot be given less.

II

The Second Circuit has also asked us another question, prompted by the opinion of the Federal District Court that was before it on appeal (*Ramos v SimplexGrinnell LP*, 796 F Supp 2d 346 [ED NY 2011]). The District Court held that, even if Labor Law § 220, correctly understood, covered testing and inspection work, plaintiffs could still not show that defendant breached its contracts with public entities to pay prevailing wages as required by section 220. The District Court’s reasoning was that, because of the acknowledged confusion surrounding this question until the Commissioner’s opinion was issued, defendant did not have reason to believe when it entered the contracts that its obligation included testing and inspection work (*id.* at 368).

The Second Circuit doubted the correctness of the District Court’s conclusion, saying:

“At least as plausible a reading of the statute would seem to be that when an employer agrees to be bound to pay prevailing wages pursuant to section 220 . . . that employer has agreed to pay such a wage for all work that is covered by the statute as the statute is reasonably interpreted” (740 F3d at 859).

The Second Circuit therefore certified to us the question:

“Does a party’s commitment to pay prevailing wages pursuant to [New York Labor Law] section 220 bind it to pay those wages only for work activities that were clearly understood by the parties to be covered by section 220, or does it require the party to pay prevailing wages for all the work activities that are ultimately deemed by a court or agency to be ‘covered’ by that portion of the statute?” (*Id.* at 859-860.)

[2] We adopt the reading that the Second Circuit found “[a]t least as plausible” as the alternative (*id.* at 859). An agreement to comply with a statute is an agreement to comply with it as correctly interpreted, whether or not the correct interpretation was known to the parties at the time of contracting. This is particularly clear where, as here, a contractual clause agreeing to comply is required by the statute itself (*see* Labor Law § 220 [2]). The legislature surely meant that the parties must agree to comply with the law as correctly understood, not as the parties may have misunderstood it.

The certified questions should be answered in accordance with this opinion.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, PIGOTT, RIVERA and ABDUS-SALAAM concur.

Following certification of questions by the United States Court of Appeals for the Second Circuit and acceptance of the questions by this Court pursuant to section 500.27 of this Court’s Rules of Practice, and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, certified questions answered in accordance with the opinion herein.

[21 NE3d 223, 996 NYS2d 594]

MOTOROLA CREDIT CORPORATION, Appellant-Respondent, et al.,
Plaintiff-Counter-Defendant, et al., Counter-Defendants, v
STANDARD CHARTERED BANK, Respondent-Appellant, et al.,
Defendants-Counter-Claimants, et al., Defendants.

Argued September 16, 2014; decided October 23, 2014

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review a question certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following question was certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “[W]hether the separate entity rule precludes a judgment creditor from ordering a garnishee bank operating branches in New York to restrain a debtor’s assets held in foreign branches of the bank.”

HEADNOTE

Judgments — Supplementary Proceedings — Service of Restraining Notice on Garnishee Bank’s New York Branch — Effect on Foreign Branches — Separate Entity Rule

A judgment creditor’s service of a CPLR 5222 restraining notice on a garnishee bank’s New York branch is ineffective under the separate entity rule to freeze assets held in the bank’s foreign branches. The separate entity rule, a firmly established principle of New York law with a history of application both before and after the adoption of the CPLR, provides that even when a bank garnishee with a New York branch is subject to personal jurisdiction, its other branches are to be treated as separate entities for certain purposes, particularly with respect to CPLR article 62 prejudgment attachments and article 52 postjudgment restraining notices and turnover orders. As a long-standing common-law doctrine, the separate entity rule functions as a limiting principle in the context of international banking. The reasons that led to the adoption of the rule, i.e., the risk of competing claims and the possibility of double liability in separate jurisdictions, and the reality that foreign branches are subject to a multitude of legal and regulatory regimes, remain significant concerns. By limiting the reach of a CPLR 5222 restraining notice in the foreign banking context, the separate entity rule promotes international comity and serves to avoid conflicts among competing legal systems. Moreover, notwithstanding technological advancements and centralized banking, courts have continued to recognize the practical constraints and costs associated with conducting a worldwide search for a judgment debtor’s assets.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Banks and Financial Institutions § 765; AM

JUR 2d, Executions and Enforcement of Judgments §§ 173, 626.

CARMODY-WAIT 2d, Enforcement of Judgments §§ 64:333, 64:334, 64:338.

McKINNEY'S, CPLR 5222.

NY JUR 2d, Enforcement and Execution of Judgments §§ 100, 101, 209, 210, 219.

ANNOTATION REFERENCE

See ALR Index under Attachment and Garnishment; Banks; Executions.

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/2 entity

POINTS OF COUNSEL

Fried, Frank, Harris, Shriver & Jacobson LLP (Howard H. Stahl, of the District of Columbia bar, admitted pro hac vice, Jerald S. Howe, Jr., of the District of Columbia bar, admitted pro hac vice, George R. Calhoun, V, of the District of Columbia bar, admitted pro hac vice, and Douglas W. Baruch of counsel), for appellant-respondent. I. Under the plain language of CPLR 5222 (b), the postjudgment restraint was proper. (*Tire Eng'g & Distrib. L.L.C. v Bank of China Ltd.*, 740 F3d 108; *Commonwealth of the N. Mariana Is. v Canadian Imperial Bank of Commerce*, 21 NY3d 55; *Koehler v Bank of Bermuda Ltd.*, 12 NY3d 533; *Matter of Goebel*, 295 NY 73; *Matter of Tucker v Board of Educ., Community School Dist. No. 10*, 82 NY2d 274; *Bright Homes v Wright*, 8 NY2d 157; *Matter of Amorosi v South Colonie Ind. Cent. School Dist.*, 9 NY3d 367; *Pultz v Economakis*, 10 NY3d 542; *People v Finnegan*, 85 NY2d 53.) II. There is no support for postjudgment application of the “separate entity rule.” (*Tire Eng'g & Distrib. L.L.C. v Bank of China Ltd.*, 740 F3d 108; *McCloskey v Chase Manhattan Bank*, 11 NY2d 936; *Eitzen Bulk A/S v Bank of India*, 827 F Supp 2d 234; *JW Oilfield Equip., LLC v Commerzbank, AG*, 764 F Supp 2d 587; *Edman & Co., LLC v Z & M Media, LLC*, 2012 NY Slip Op 32918[U]; *Global Tech., Inc. v Royal Bank of Can.*, 34 Misc 3d 1209[A], 2012 NY Slip Op 50023[U]; *Digitrex, Inc. v Johnson*, 491 F Supp 66.)

Sullivan & Cromwell LLP, New York City (Bruce E. Clark, H. Rodgin Cohen, Sharon L. Nelles, Bradley P. Smith and Patrick

B. Berarducci of counsel), for respondent-appellant. I. As a protection against double liability, the separate entity rule is deeply rooted in New York banking law. (*Koehler v Bank of Bermuda Ltd.*, 12 NY3d 533; *Commonwealth of the N. Mariana Is. v Canadian Imperial Bank of Commerce*, 21 NY3d 55; *Bingham v New York City Tr. Auth.*, 8 NY3d 176; *Chrzanowska v Corn Exch. Bank*, 173 App Div 285; *Bluebird Undergarment Corp. v Gomez*, 139 Misc 742; *Petrogradsky Mejdunarodny Kommerchesky Bank v National City Bank of N.Y.*, 253 NY 23; *Moscow Fire Ins. Co. v Bank of N.Y. & Trust Co.*, 280 NY 286; *Vladikavkazsky Ry. Co. v New York Trust Co.*, 263 NY 369; *Sokoloff v National City Bank of N.Y.*, 239 NY 158, 250 NY 69; *State of New York v Cortelle Corp.*, 38 NY2d 83.) II. The New York Legislature recognized and retained the separate entity rule when it enacted the Uniform Commercial Code and the Civil Practice Law and Rules in 1962. (*Arbegast v Board of Educ. of S. New Berlin Cent. School*, 65 NY2d 161; *Horn Waterproofing Corp. v Bushwick Iron & Steel Co.*, 66 NY2d 321; *Chrzanowska v Corn Exch. Bank*, 173 App Div 285; *Cronan v Schilling*, 282 App Div 940; *Bluebird Undergarment Corp. v Gomez*, 139 Misc 742; *Matter of Goebel*, 295 NY 73; *ABN AMRO Bank, N.V. v MBIA Inc.*, 17 NY3d 208; *Transit Commn. v Long Is. R.R. Co.*, 253 NY 345; *People v Farini*, 239 NY 411; *Beauvais v Allegiance Sec., Inc.*, 942 F2d 838.) III. The separate entity rule remains important today, particularly with respect to international banking. (*Det Bergenske Dampskibsselskab v Sabre Shipping Corp.*, 341 F2d 50; *Cronan v Schilling*, 282 App Div 940; *McCloskey v Chase Manhattan Bank*, 11 NY2d 936; *Clinton Trust Co. v Compania Azucarera Cent. Ramona S.A.*, 172 Misc 148, 258 App Div 780; *Bluebird Undergarment Corp. v Gomez*, 139 Misc 742; *Allied Mar., Inc. v Descatrade SA*, 620 F3d 70; *Therm-X-Chem. & Oil Corp. v Extebank*, 84 AD2d 787; *Gutekunst v Continental Ins. Co.*, 486 F2d 194; *Matter of National Union Fire Ins. Co. of Pittsburgh, Pa. v Advanced Empl. Concepts*, 269 AD2d 101; *Morgenthau v Avion Resources Ltd.*, 49 AD3d 50.) IV. *Koehler v Bank of Bermuda Ltd.* (12 NY3d 533 [2009]) and *Commonwealth of the N. Mariana Is. v Canadian Imperial Bank of Commerce* (21 NY3d 55 [2013]) did not undermine the separate entity rule, nor should they be so construed in light of the Supreme Court's decision in *Daimler AG v Bauman* (571 US —, 134 S Ct 746 [2014]). (*K2 Inv. Group, LLC v American Guar. & Liab. Ins. Co.*, 22 NY3d 578; *Mashreqbank PSC v Ahmed Hamad Al Gosaibi & Bros. Co.*, 23 NY3d

129; *Global Tech., Inc. v Royal Bank of Can.*, 34 Misc 3d 1209[A], 2012 NY Slip Op 50023[U]; *JW Oilfield Equip., LLC v Commerzbank, AG*, 764 F Supp 2d 587; *Parbulk II AS v Heritage Mar., SA*, 35 Misc 3d 235; *Samsun Logix Corp. v Bank of China*, 31 Misc 3d 1226[A], 2011 NY Slip Op 50861[U]; *Eitzen Bulk A/S v Bank of India*, 827 F Supp 2d 234; *Flanagan v Mount Eden Gen. Hosp.*, 24 NY2d 427; *Arbegast v Board of Educ. of S. New Berlin Cent. School*, 65 NY2d 161; *Bryant v Finnish Natl. Airline*, 15 NY2d 426.) V. Other jurisdictions recognize the separate entity rule and the principle that garnishee banks should not be subjected to inconsistent legal obligations. (*K2 Inv. Group, LLC v American Guar. & Liab. Ins. Co.*, 22 NY3d 578; *Hilao v Estate of Marcos*, 95 F3d 848; *Clinton Trust Co. v Compania Azucarera Cent. Ramona S.A.*, 172 Misc 148; *Bluebird Undergarment Corp. v Gomez*, 139 Misc 742; *Marisco, Ltd. v American Samoa Govt.*, 889 F Supp 2d 1244; *Woodlands, Ltd. v Westwood Ins. Co., LTD.*, 965 F Supp 13.) VI. The separate entity rule prevents New York's judgment-enforcement procedures from conflicting with federal due process protections against double liability. (*Western Union Telegraph Co. v Pennsylvania*, 368 US 71; *Harris v Balk*, 198 US 215; *Burger King Corp. v Rudzewicz*, 471 US 462; *Lugar v Edmondson Oil Co.*, 457 US 922; *Naoko Ohno v Yuko Yasuma*, 723 F3d 984; *Overstock.com, Inc. v New York State Dept. of Taxation & Fin.*, 20 NY3d 586.)

White & Case LLP, New York City (Dwight A. Healy, Ernest T. Patrikis, Owen C. Pell and Marika M. Lyons of counsel), for Institute of International Bankers and others, amici curiae. I. There are significant policy considerations that support the separate entity rule and those policy considerations apply with equal force in the context of postjudgment restraints. (*Ayyash v Koleilat*, 38 Misc 3d 916, 115 AD3d 495; *Clinton Trust Co. v Compania Azucarera Cent. Ramona S.A.*, 172 Misc 148, 258 App Div 780; *F. Hoffmann-La Roche Ltd v Empagran S. A.*, 542 US 155; *Trade Dev. Bank v Continental Ins. Co.*, 469 F2d 35; *Matter of Two Grand Jury Subpoenas Duces Tecum [Union Bank of Switzerland]*, 158 Misc 2d 222; *Cronan v Schilling*, 282 App Div 940; *Parbulk II AS v Heritage Mar., SA*, 35 Misc 3d 235; *Matter of Waite*, 99 NY 433; *Disconto Gesellschaft v Umbreit*, 208 US 570; *Clarkson Co., Ltd. v Shaheen*, 544 F2d 624.) II. *Daimler AG v Bauman* (571 US —, 134 S Ct 746 [2014]) highlights the appropriateness and importance of the separate entity rule, particularly for banks headquartered or incorporated in New York. (*Barrow S. S. Co. v Kane*, 170 US 100; *Tauza v Susquehanna Coal Co.*, 220 NY 259; *Hoffritz for Cutlery, Inc. v*

Amajac, Ltd., 763 F2d 55; *Landoil Resources Corp. v Alexander & Alexander Servs.*, 77 NY2d 28; *Tire Eng'g & Distrib. L.L.C. v Bank of China Ltd.*, 740 F3d 108; *Licci ex rel. Licci v Lebanese Can. Bank, SAL*, 673 F3d 50; *Gager v White*, 53 NY2d 475; *Insurance Corp. of Ireland v Compagnie des Bauxites de Guinee*, 456 US 694; *Doubet LLC v Trustees of Columbia Univ. in the City of N.Y.*, 99 AD3d 433; *Indosuez Intl. Fin. v National Reserve Bank*, 98 NY2d 238.) III. Motorola Credit Corporation's efforts to diminish the long-standing recognition of the separate entity rule are misplaced. (*Matter of National Union Fire Ins. Co. of Pittsburgh, Pa. v Advanced Empl. Concepts*, 269 AD2d 101; *Therm-X-Chem. & Oil Corp. v Extebank*, 84 AD2d 787; *Cronan v Schilling*, 282 App Div 940; *Clinton Trust Co. v Compania Azucarera Cent. Ramona S.A.*, 172 Misc 148, 258 App Div 780; *Det Bergenske Dampskibsselskab v Sabre Shipping Corp.*, 341 F2d 50; *Fidelity Partners, Inc. v Philippine Export & Foreign Loan Guar. Corp.*, 921 F Supp 1113; *McCloskey v Chase Manhattan Bank*, 11 NY2d 936; *Allied Mar., Inc. v Descatrade SA*, 620 F3d 70; *Bluebird Undergarment Corp. v Gomez*, 139 Misc 742; *Morgenthau v Avion Resources Ltd.*, 49 AD3d 50.)

Cravath, Swaine & Moore LLP, New York City (Timothy G. Cameron of counsel), for Government of the United Kingdom of Great Britain and Northern Ireland, amicus curiae. I. The separate entity rule recognizes and protects the important sovereign interests of other nations, avoids subjecting banks to inconsistent laws and is consistent with comity. (*Hilton v Guyot*, 159 US 113; *F. Hoffmann-La Roche Ltd v Empagran S. A.*, 542 US 155; *Byblos Bank Europe, S.A. v Sekerbank Turk Anonym Syrketi*, 10 NY3d 243; *Ayyash v Koleilat*, 38 Misc 3d 916, 115 AD3d 495.) II. The separate entity rule appropriately constrains the extraterritorial application of U.S. laws. (*Morrison v National Australia Bank Ltd.*, 561 US 247; *F. Hoffmann-La Roche Ltd v Empagran S. A.*, 542 US 155; *Global Reins. Corp.-U.S. Branch v Equitas Ltd.*, 18 NY3d 722.)

Jones Day, New York City (Lee M. Pollack, Lee A. Armstrong and Sevan Ogulluk of counsel), for Central Bank of Jordan, amicus curiae. I. The separate entity rule respects the sovereignty of nations and their citizens. (*Hilton v Guyot*, 159 US 113.) II. The separate entity rule does not unduly burden the process of international judgment enforcement. (*CIBC Mellon Trust Co. v Mora Hotel Corp.*, 100 NY2d 215.)

Davis Polk & Wardwell LLP, New York City (James L. Kerr, Karen E. Wagner and Margaret E. Tahyar of counsel), for Com-

mittee on Banking Law of the Association of the Bar of the City of New York, amicus curiae. I. The separate entity rule reflects a construction of CPLR article 52 that gives proper effect to all of its provisions. (*Padula v Lilarn Props. Corp.*, 84 NY2d 519; *Koehler v Bank of Bermuda Ltd.*, 12 NY3d 533; *Tire Eng'g & Distrib. L.L.C. v Bank of China Ltd.*, 740 F3d 108; *Global Reins. Corp.-U.S. Branch v Equitas Ltd.*, 18 NY3d 722; *Ewen v Thompson-Starrett Co.*, 208 NY 245; *Commonwealth of the N. Mariana Is. v Canadian Imperial Bank of Commerce*, 21 NY3d 55; *Abood v Hospital Ambulance Serv.*, 30 NY2d 295; *Matter of Kaplan v Peyser*, 273 NY 147; *Matter of Beach v Shanley*, 62 NY2d 241; *Cook v H. R. H. Constr. Corp.*, 32 AD2d 806.) II. CPLR article 52 must be construed to avoid subjecting garnish-ees to an unconstitutional risk of double liability. (*Harris v Balk*, 198 US 215; *Hotel 71 Mezz Lender LLC v Falor*, 14 NY3d 303; *Drake v De Silva*, 124 App Div 95; *Western Union Telegraph Co. v Pennsylvania*, 368 US 71; *United States v First Nat. City Bank*, 379 US 378; *Cities Service Co. v McGrath*, 342 US 330; *Diamond v Oreamuno*, 24 NY2d 494; *Solicitor for Affairs of His Majesty's Treasury v Bankers Trust Co.*, 304 NY 282; *Russian Reins. Co. v Stoddard*, 240 NY 149.) III. Banking Law § 204-a (3) (a) and (1) provide statutory support for the separate entity rule. (*Trinh v Citibank, N.A.*, 850 F2d 1164; *Wells Fargo Asia Ltd. v Citibank, N.A.*, 936 F2d 723; *Brill v Chase Manhattan Bank*, 14 AD2d 852; *Trujillo-M v Bank of Nova Scotia*, 51 Misc 2d 689, 29 AD2d 847; *Pineiro v Chase Manhattan Bank, N. A.*, 52 AD2d 794; *Matter of Istim, Inc. v Chemical Bank*, 78 NY2d 342.) IV. The Uniform Foreign Country Money-Judgments Recognition Act contained in CPLR article 53 is wholly inconsistent with the extraterritorial enforcement of judgments. (*Greschler v Greschler*, 51 NY2d 368; *Sung Hwan Co., Ltd. v Rite Aid Corp.*, 7 NY3d 78.) V. Principles of comity are well-served by the separate entity rule. (*Matter of Gotlib v Ratsutsky*, 83 NY2d 696; *Perez v Chase Manhattan Bank*, 61 NY2d 460; *Republic of Argentina v City of New York*, 25 NY2d 252; *Ehrlich-Bober & Co. v University of Houston*, 49 NY2d 574; *F. Hoffmann-La Roche Ltd v Empagran S. A.*, 542 US 155; *Global Reins. Corp.-U.S. Branch v Equitas Ltd.*, 18 NY3d 722; *The Paquete Habana*, 175 US 677; *Japan Line, Ltd. v County of Los Angeles*, 441 US 434; *Ehrenfeld v Bin Mahfouz*, 9 NY3d 501; *Matter of Holmes v Winter*, 22 NY3d 300.)

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(*Scott D. Musoff, Timothy G. Nelson and Amanda Raymond*)

Kalantirsky of counsel), and *Ira D. Hammerman*, Washington, D.C., and *Kevin Carroll*, Washington, D.C., for Securities Industry and Financial Markets Association, amicus curiae. I. In the interests of business certainty, the separate entity rule, a long-standing rule of law in this state, should be preserved. (*J. Zeevi & Sons v Grindlays Bank [Uganda]*, 37 NY2d 220; *IRB-Brasil Resseguros, S.A. v Inepar Invs., S.A.*, 20 NY3d 310; *Matter of Eckart*, 39 NY2d 493; *Matter of Southeast Banking Corp.*, 93 NY2d 178; *Cronan v Schilling*, 282 App Div 940; *Chrzanowska v Corn Exch. Bank*, 173 App Div 285, 225 NY 728; *Therm-X-Chem. & Oil Corp. v Extebank*, 84 AD2d 787; *Bluebird Undergarment Corp. v Gomez*, 139 Misc 742; *Clinton Trust Co. v Compania Azucarera Cent. Ramona S.A.*, 172 Misc 148.) II. Sound public policy reasons support continuing to treat bank branches as separate entities for purposes of CPLR article 52. (*Mashreqbank PSC v Ahmed Hamad Al Gosaibi & Bros. Co.*, 23 NY3d 129; *Shipping Corp. of India Ltd. v Jaldhi Overseas Pte Ltd.*, 585 F3d 58; *Cala Rosa Mar. Co. Ltd. v Sucres Et Deneres Group*, 613 F Supp 2d 426; *Ayyash v Koleilat*, 38 Misc 3d 916, 115 AD3d 495; *Commonwealth of the N. Mariana Is. v Canadian Imperial Bank of Commerce*, 21 NY3d 55; *United States v Philadelphia Nat. Bank*, 374 US 321; *Samsun Logix Corp. v Bank of China*, 31 Misc 3d 1226[A], 2011 NY Slip Op 50861[U]; *JPMorgan Chase Bank, N.A. v Motorola, Inc.*, 47 AD3d 293; *Western Union Telegraph Co. v Pennsylvania*, 368 US 71.) III. *Koehler v Bank of Bermuda Ltd.* (12 NY3d 533 [2009]) did not abrogate the separate entity rule. (*Global Tech., Inc. v Royal Bank of Can.*, 34 Misc 3d 1209[A], 2012 NY Slip Op 50023[U]; *Matter of National Union Fire Ins. Co. of Pittsburgh, Pa. v Advanced Empl. Concepts*, 269 AD2d 101; *Edmant & Co., LLC v Z & M Media, LLC*, 2012 NY Slip Op 32918[U]; *Ayyash v Koleilat*, 38 Misc 3d 916, 115 AD3d 495; *Samsun Logix Corp. v Bank of China*, 31 Misc 3d 1226[A], 2011 NY Slip Op 50861[U]; *Parbulk II AS v Heritage Mar., SA*, 35 Misc 3d 235; *Dewar v Bangkok Bank Pub. Co. Ltd., N.Y. Branch*, 37 Misc 3d 1231[A], 2012 NY Slip Op 52254[U]; *Matter of International Legal Consulting Ltd. v Malabu Oil & Gas Ltd.*, 35 Misc 3d 1203[A], 2012 NY Slip Op 50546[U].) IV. Considerations of comity, limitations on extraterritoriality and recent Supreme Court precedent all disfavor Motorola Credit Corporation's interpretation. (*Global Reins. Corp.-U.S. Branch v Equitas Ltd.*, 18 NY3d 722; *Morrison v National Australia Bank Ltd.*, 561 US 247; *Banco Ambrosiano v Artoc Bank & Trust*, 62 NY2d 65; *City of Pontiac Policemen's & Firemen's Retirement Sys. v UBS AG*, 752 F3d

173; *Sonera Holding B.V. v Cukurova Holding A.S.*, 750 F3d 221; *Matter of National Union Fire Ins. Co. of Pittsburgh, Pa. v Advanced Empl. Concepts*, 269 AD2d 101; *Global Tech., Inc. v Royal Bank of Can.*, 34 Misc 3d 1209[A], 2012 NY Slip Op 50023[U].) V. The legislature intended for bank branches to be treated as separate entities. (*Arbegast v Board of Educ. of S. New Berlin Cent. School*, 65 NY2d 161; *Hammelburger v Four-some Inn Corp.*, 54 NY2d 580; *Easley v New York State Thruway Auth.*, 1 NY2d 374; *Transit Commn. v Long Is. R.R. Co.*, 253 NY 345; *Matter of Delmar Box Co. [Aetna Ins. Co.]*, 309 NY 60; *Engle v Talarico*, 33 NY2d 237; *Matter of New York State Assn. of Life Underwriters v New York State Banking Dept.*, 83 NY2d 353; *Matter of Kaplan v Peyser*, 273 NY 147; *Dyer v Broadway Cent. Bank*, 252 NY 430.)

OPINION OF THE COURT

GRAFFEO, J.

In this case, the United States Court of Appeals for the Second Circuit asks us whether the “separate entity” rule prevents a judgment creditor from ordering a garnishee bank operating branches in New York to restrain a judgment debtor’s assets held in foreign branches of the bank. We conclude that it does.

I

Between April 1998 and September 2000, several members of the Uzan family (the Uzans) induced plaintiff Motorola Credit Corporation (Motorola) to loan over \$2 billion to a Turkish telecommunications company they controlled, purportedly to finance a major expansion of the company’s operations. Unbeknownst to Motorola, the Uzans diverted a substantial portion of these funds to themselves and other entities they controlled. In 2003, after discovering that the Uzans had “perpetrated a huge fraud” and concealed “their scheme through an almost endless series of lies, threats, and chicanery,” the United States District Court for the Southern District of New York entered a judgment in Motorola’s favor for compensatory damages of about \$2.1 billion (*Motorola Credit Corp. v Uzan*, 274 F Supp 2d 481, 490 [SD NY 2003]). Three years later, the District Court awarded Motorola an additional \$1 billion in punitive damages (see *Motorola Credit Corp. v Uzan*, 413 F Supp 2d 346 [SD NY 2006]).

The Uzans have gone to great lengths to avoid satisfying the judgments and remain in contempt for failure to comply with

the District Court's orders, subjecting them to arrest if they enter the United States. As a result of enforcement obstacles, Motorola has pursued collection of the judgments through third-party discovery and the District Court has conducted postjudgment proceedings ex parte and under seal. In February 2013, the District Court entered an order pursuant to Federal Rules of Civil Procedure rules 65 and 69 and CPLR 5222 restraining the Uzans and anyone with notice of the order from selling, assigning or transferring their property.

Motorola served the restraining order on the New York branch of defendant Standard Chartered Bank (SCB), a foreign bank incorporated and headquartered in the United Kingdom. SCB, which had no connection to Motorola's loan to the Uzans or the underlying litigation, did not locate any Uzan property at its New York branch. Two months later, a global search of its branches revealed Uzan-related assets valued at roughly \$30 million in its branches in the United Arab Emirates (U.A.E.). SCB froze those assets in accordance with the restraining order, but regulatory authorities in the U.A.E. and Jordan quickly intervened. The Central Bank of Jordan sent a bank examiner to seize documents at SCB's Jordan branch, while the U.A.E. Central Bank unilaterally debited about \$30 million from SCB's account with the bank.

In May 2013, SCB sought relief from the restraining order, claiming in the District Court that the restraint of the \$30 million in assets violated U.A.E. law and subjected it to double liability. SCB also contended that, under New York's separate entity rule, service of the restraining order on SCB's New York branch was effective only as to assets located in accounts at that branch and could not freeze funds situated in foreign branches. In opposition, Motorola asserted that the separate entity rule was no longer valid law in light of *Koehler v Bank of Bermuda Ltd.* (12 NY3d 533 [2009]), where we held that a judgment creditor could seek the turnover of stock certificates located outside the country so long as the court had personal jurisdiction over the garnishee. In a sealed order, the District Court agreed with SCB and concluded that the separate entity rule precluded Motorola from restraining assets at SCB's foreign branches. Nevertheless, the District Court stayed the release of the restraint pending the outcome of Motorola's appeal.

The Second Circuit, recognizing that we have never explicitly addressed the separate entity doctrine and finding that its viability was unclear in the wake of *Koehler*, certified the following question to us:

“[W]hether the separate entity rule precludes a judgment creditor from ordering a garnishee bank operating branches in New York to restrain a debtor’s assets held in foreign branches of the bank” (740 F3d 108, 118 [2d Cir 2014]).

We accepted certification (22 NY3d 1113 [2014]).¹

II

Motorola, as the judgment creditor, argues that the service of a CPLR 5222 restraining notice on the New York branch of a foreign bank garnishee is sufficient to freeze the funds of the judgment debtor in any branch account with the bank, regardless of where the assets are located. Motorola questions whether the separate entity rule, which is not mentioned in CPLR article 52, was ever the law of New York and asserts that, even if it was, we necessarily abolished it in *Koehler*. In any event, Motorola asks us to disavow the separate entity doctrine as outmoded and unnecessary.

As the garnishee bank, SCB responds that the separate entity rule is deeply rooted in New York banking law and that foreign banks have reasonably relied on it over the years when deciding whether to open branches and conduct business in New York. Supported by several amici curiae, SCB asserts that *Koehler* did not discard the separate entity rule and urges that the rule remains vital in the context of international banking. Unlike our dissenting colleagues, we conclude that SCB has the better argument.

The separate entity rule, as it has been employed by lower New York courts and federal courts applying New York law, provides that even when a bank garnishee with a New York branch is subject to personal jurisdiction, its other branches are to be treated as separate entities for certain purposes, particularly with respect to CPLR article 62 prejudgment attachments and article 52 postjudgment restraining notices and turnover orders (see *Matter of National Union Fire Ins. Co. of Pittsburgh, Pa. v Advanced Empl. Concepts*, 269 AD2d 101 [1st Dept 2000]; *Therm-X-Chem. & Oil Corp. v Extebank*, 84 AD2d 787 [2d Dept 1981]; *Allied Mar., Inc. v Descatrade SA*, 620 F3d 70, 74 [2d Cir

1. The Second Circuit also certified a related question in a companion case involving the application of the separate entity rule in the CPLR 5225 turnover context (see *Tire Eng’g & Distrib. L.L.C. v Bank of China Ltd.*, 740 F3d 108 [2d Cir 2014]), but that certified question was later withdrawn (22 NY3d 1152 [2014]).

2010)). In other words, a restraining notice or turnover order served on a New York branch will be effective for assets held in accounts at that branch but will have no impact on assets in other branches.²

Courts and commentators traditionally have ascribed three basic rationales for the separate entity doctrine. First, courts applying the rule have emphasized the importance of international comity and the fact that “any banking operation in a foreign country is necessarily subject to the foreign sovereign’s own laws and regulations” (*Global Tech., Inc. v Royal Bank of Can.*, 34 Misc 3d 1209[A], 2012 NY Slip Op 50023[U], *3 [Sup Ct, NY County 2012] [internal quotation marks and citation omitted]). Second, it was viewed as necessary to protect banks from being “subject . . . to competing claims” and the possibility of double liability (*Shaheen Sports, Inc. v Asia Ins. Co., Ltd.*, 2012 WL 919664, *5, 2012 US Dist LEXIS 36720, *14 [SD NY, Mar. 14, 2012, Nos. 98-CV-5951 (LAP), 11-CV-920 (LAP)]), a concern strenuously voiced by the amici in this case. And third, the rule has been justified based on the “intolerable burden” that would otherwise be placed on banks to monitor and ascertain the status of bank accounts in numerous other branches (*Cronan v Schilling*, 100 NYS2d 474, 476 [Sup Ct, NY County 1950], *affd without op* 282 App Div 940 [1st Dept 1953]; *see generally* Geoffrey Sant, *The Rejection of the Separate Entity Rule Validates the Separate Entity Rule*, 65 SMU L Rev 813, 814 [2012]).

The existence of the separate entity rule as a component of New York’s common law can be traced back to a 1916 decision (*see Chrzanowska v Corn Exch. Bank*, 173 App Div 285, 291 [1st Dept 1916], *affd without op* 225 NY 728 [1919] [“With respect to the question presented for decision, the different branches were as separate and distinct from one another as from any other bank”]). It was first applied in the postjudgment context a few decades later in *Walsh v Bustos*, where the court concluded that a restraining order served on a New York branch of the

2. Most cases applying the separate entity rule involved bank branches in foreign countries, but some have applied the rule to bar a restraint even where the unserved branch is located in New York (*see e.g. Det Bergenske Dampskibsselskab v Sabre Shipping Corp.*, 341 F2d 50, 53-54 [2d Cir 1965]). In this case, we have no occasion to address whether the separate entity rule has any application to domestic bank branches in New York or elsewhere in the United States. The narrow question before us is whether the rule prevents the restraint of assets held in foreign branch accounts, and we limit our analysis to that inquiry.

bank garnishee did not “extend to the deposits of the judgment debtor in the Mexican branch of this foreign bank” (46 NYS2d 240, 241 [NY City Ct 1943]). By the 1950s and 1960s, the separate entity rule was described by state and federal courts as “well established” (*Cronan*, 100 NYS2d at 476) and supported by “a consistent line of authority” (*Det Bergenske Dampskibsselskab v Sabre Shipping Corp.*, 341 F2d 50, 53 [2d Cir 1965]). And its endurance continues into the twenty-first century in the postjudgment context (see *Gliklad v Bank Hapoalim B.M.*, 2014 NY Slip Op 32117[U] [Sup Ct, NY County 2014]; *Parbulk II AS v Heritage Mar., SA*, 35 Misc 3d 235, 238-239 [Sup Ct, NY County 2011]; *Fidelity Partners, Inc. v Philippine Export & Foreign Loan Guar. Corp.*, 921 F Supp 1113, 1119-1120 [SD NY 1996]). Although we have not expounded on the separate entity rule,³ contrary to Motorola’s suggestion, it is a firmly established principle of New York law, with a history of application both before and after the 1962 adoption of the CPLR.

Motorola argues that we abrogated the rule five years ago in *Koehler v Bank of Bermuda Ltd.* (12 NY3d 533 [2009]), a case in which a judgment creditor secured a CPLR 5225 turnover order directing a garnishee bank in Bermuda to deliver stock certificates belonging to the judgment debtor. The bank consented to personal jurisdiction based on the presence of a subsidiary in New York.⁴ The question certified to us by the Second Circuit was “whether a court sitting in New York may order a bank

3. We affirmed, without opinion, in two cases involving the separate entity rule (see *McCloskey v Chase Manhattan Bank*, 11 NY2d 936 [1962]; *Chrzanoska v Corn Exch. Bank*, 225 NY 728 [1919]).

4. Similarly, in this case personal jurisdiction over SCB was predicated on the presence of its New York branch. The District Court noted that SCB did not dispute that personal jurisdiction existed on this basis. Motorola, too, asserts in its brief that SCB “has never contested personal jurisdiction.” However, SCB now appears to challenge personal jurisdiction in light of the U.S. Supreme Court’s nascent decision in *Daimler AG v Bauman*, which held that general jurisdiction over a foreign corporation may not be predicated solely on the ground that the corporation “engages in a substantial, continuous, and systematic course of business” in the state (571 US —, —, 134 S Ct 746, 761 [2014] [internal quotation marks and citation omitted]). Rather, as a matter of due process, general jurisdiction exists only if the corporation is “essentially at home in the forum State” (571 US at —, 134 S Ct at 761 [internal quotation marks and citation omitted]), typified by “the place of incorporation and principal place of business” (571 US at —, 134 S Ct at 760). Here, SCB observes that it is incorporated under the laws of the United Kingdom and headquartered there. Whether New York has personal jurisdiction over SCB—and whether SCB may still litigate the federal constitutional issue at this juncture—are questions that must be resolved by the federal courts. The sole issue before us on this certified question is whether the common-law separate

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over which it has personal jurisdiction to deliver stock certificates owned by a judgment debtor (or cash equal to their value) to a judgment creditor, pursuant to CPLR article 52, when those stock certificates are located outside New York” (*id.* at 536). We answered that inquiry in the affirmative, concluding that “the Legislature intended CPLR article 52 to have extraterritorial reach” and that “the key to the reach of the turnover order is personal jurisdiction over a particular defendant” (*id.* at 539-540). Because the bank admitted that the New York courts had secured personal jurisdiction over it, the turnover order was properly directed at the stock certificates in Bermuda.

Notably absent from our decision in *Koehler* was any discussion of the separate entity rule. We discern two reasons for our silence on the subject. As an initial matter, the foreign bank did not raise the issue so we had no occasion to examine the doctrine. Second, the separate entity rule, as it has been applied by the courts, would not have aided the bank in *Koehler* because that case involved neither bank branches nor assets held in bank accounts.⁵ In short, we did not analyze, much less overrule, the separate entity doctrine in *Koehler*. Nor, as the dissent believes, is the rule irreconcilable with our holding in *Koehler* that the scope of CPLR article 52 is generally tied to the exercise of personal jurisdiction over a garnishee. As a long-standing common-law doctrine, the separate entity rule functions as a limiting principle in the context of international banking, particularly in situations involving attempts to restrain assets held in a garnishee bank’s foreign branches. We therefore reject Motorola’s view that *Koehler* decided the issue before us.

Motorola and the dissent further submit that the separate entity rule is incompatible with CPLR article 52 because nothing in CPLR 5222, governing postjudgment restraining notices, expressly embraces the rule. Motorola cites *Commonwealth of the N. Mariana Is. v Canadian Imperial Bank of Commerce*, where we stated, in determining the expanse of CPLR article 52, that the “starting point is the language itself, giving effect to the plain meaning thereof” (21 NY3d 55, 60 [2013] [internal

entity rule prevents Motorola’s restraint of assets held by SCB’s foreign branches.

5. It would appear that the judgment creditor in *Koehler* also served the bank itself in Bermuda, not only its New York subsidiary, providing yet another reason for the inapplicability of the separate entity rule in that case (*see Koehler v Bank of Bermuda Ltd.*, 2005 WL 551115, *12, 2005 US Dist LEXIS 3760, *35 [SD NY, Mar. 9, 2005, No. M18-302 (CSH)] [“Assuming service to be proper, the separate entity rule has no role to play in this case”]).

quotation marks and citation omitted]). But Motorola's reliance on *Canadian Imperial Bank* is misplaced because the separate entity rule predates the CPLR by several decades and the issue is not one of statutory construction but, rather, whether to retain a common-law principle.

Finally, we decline Motorola's invitation to cast aside the separate entity rule. As discussed, the doctrine has been a part of the common law of New York for nearly a century. Courts have repeatedly used it to prevent the postjudgment restraint of assets situated in foreign branch accounts based solely on the service of a foreign bank's New York branch. Undoubtedly, international banks have considered the doctrine's benefits when deciding to open branches in New York, which in turn has played a role in shaping New York's "status as the preeminent commercial and financial nerve center of the Nation and the world" (*Ehrlich-Bober & Co. v University of Houston*, 49 NY2d 574, 581 [1980]).

In large measure, the underlying reasons that led to the adoption of the separate entity rule still ring true today. The risk of competing claims and the possibility of double liability in separate jurisdictions remain significant concerns, as does the reality that foreign branches are subject to a multitude of legal and regulatory regimes. By limiting the reach of a CPLR 5222 restraining notice in the foreign banking context, the separate entity rule promotes international comity and serves to avoid conflicts among competing legal systems (*see generally Daimler AG v Bauman*, 571 US —, —, 134 S Ct 746, 763 [2014] [recognizing the importance of considering "the risks to international comity"]). And although Motorola suggests that technological advancements and centralized banking have ameliorated the need for the doctrine, courts have continued to recognize the practical constraints and costs associated with conducting a worldwide search for a judgment debtor's assets (*see Samsun Logix Corp. v Bank of China*, 31 Misc 3d 1226[A], 2011 NY Slip Op 50861[U], *4 [Sup Ct, NY County 2011] [stating that "the Banks submitted numerous affidavits to the effect that the computer systems in the New York branches of the Banks do not provide access to customer account information at the head office or at branches outside of the United States"]⁶).

6. As the dissent highlights, one court questioned the validity of the separate entity rule in light of computerized banking (*see Digitrex, Inc. v Johnson*,

(n. cont'd)

Indeed, as the District Court observed, the facts of this case aptly demonstrate that the policies implicated by the separate entity rule run deeper than the ability of a bank to communicate across branches. In seeking to comply with the restraining order, SCB faced regulatory and financial repercussions abroad. Representatives of the Central Bank of Jordan compelled SCB to disclose records and directed SCB to immediately unfreeze the assets. The U.A.E. Central Bank, which possesses regulatory oversight in that nation, would not allow SCB's Uzan-related payment obligation to remain unsatisfied. As a result, the U.A.E. Central Bank debited SCB's account with that bank for an amount equivalent to the frozen funds—approximately \$30 million. In essence, SCB was placed in the difficult position of attempting to comply with the contradictory directives of multiple sovereign nations.

Consequently, in contrast to the dissent, we believe that abolition of the separate entity rule would result in serious consequences in the realm of international banking to the detriment of New York's preeminence in global financial affairs. For all of these reasons, we conclude that a judgment creditor's service of a restraining notice on a garnishee bank's New York branch is ineffective under the separate entity rule to freeze assets held in the bank's foreign branches.

Accordingly, the certified question should be answered in the affirmative.

ABDUS-SALAAM, J. (dissenting). Today, in the year 2014, the majority for the first time expressly adopts the separate entity rule for postjudgment enforcement proceedings under CPLR article 52. The rule has no statutory basis and was initially formulated by the lower courts nearly a century ago based on a rationale that has no application to these modern times. In choosing this outmoded rule, the majority has engaged in improper judicial legislation, avoided the clear import of our recent decision in *Koehler v Bank of Bermuda Ltd.* (12 NY3d

491 F Supp 66 [SD NY 1980]). But courts subsequently limited the so-called *Digitrex* exception to cases where “(1) the restraining notice is served on the bank's main office; (2) the bank's main office and branches are within the same jurisdiction; and (3) the bank branches are connected to the main office by high-speed computers and are under the centralized control of the main office” (*Limonium Mar., S.A. v Mizushima Marinera, S.A.*, 961 F Supp 600, 607 [SD NY 1997]; see also *Matter of National Union Fire Ins. Co. of Pittsburgh, Pa. v Advanced Empl. Concepts*, 269 AD2d 101, 102 [1st Dept 2000]).

533 [2009]) and given short shrift to the compelling public policy reasons to reject such a rule.

The majority has, in this particular case, permitted the judgment debtors, individuals who owe plaintiff over \$2 billion in consequential damages and \$1 billion in punitive damages, who are subject to arrest orders from the United States District Court for the Southern District of New York and The English High Court of Justice, and who have been convicted of multibillion dollar bank frauds in Turkey, to evade enforcement proceedings in New York. As was described by the Second Circuit, “[r]elying on their vast personal wealth, the Uzans have time and again deployed their lawyers to raise legal roadblocks to the enforcement of the judgment against them. They have persistently endeavored to evade the lawful jurisdiction of the District Court and undermine its careful and determined work” (*Motorola Credit Corp. v Uzan*, 561 F3d 123, 127 [2d Cir 2009]). Standard Chartered Bank, by persuading the majority of this Court to adopt the obsolete separate entity rule, has aided its fugitive customers by erecting a monumental roadblock to plaintiff’s enforcement of the staggering judgment.

In broader terms, today’s holding permits banks doing business in New York to shield customer accounts held in branches outside of this country, thwarts efforts by judgment creditors to collect judgments, and allows even the most egregious and flagrant judgment debtors to make a mockery of our courts’ duly entered judgments. In an age where banks are being held more accountable than ever for their actions vis-à-vis their customers,¹ today’s holding is a deviation from current public policy regarding the responsibilities of banks and a step in the wrong direction.

1. See e.g. USA PATRIOT Act of 2001, Pub L 107-56, tit III, § 302 (b) (1), (4), (11), 115 US Stat 272 (amending Bank Secrecy Act to, among other things, “increase the strength of United States measures to prevent, detect, and prosecute international money laundering and the financing of terrorism,” “provide a clear national mandate for subjecting to special scrutiny those foreign jurisdictions, financial institutions operating outside of the United States, and classes of international transactions or types of accounts that pose particular, identifiable opportunities for criminal abuse,” and “to ensure that all appropriate elements of the financial services industry are subject to appropriate requirements to report potential money laundering transactions to proper authorities, and that jurisdictional disputes do not hinder examination of compliance by financial institutions with relevant reporting requirements”); 31 CFR 1020.220 (requiring risk-based customer verification procedures).

I

CPLR Article 52 Neither Expressly Nor Impliedly Incorporates
a Separate Entity Rule

I begin my analysis of CPLR 5222 (b) with the generally accepted premise that the “starting point” is “the language itself, giving effect to the plain meaning thereof” (*Commonwealth of the N. Mariana Is. v Canadian Imperial Bank of Commerce*, 21 NY3d 55, 60 [2013] [internal quotation marks and citation omitted]). The statute provides, in pertinent part, with respect to third parties served with a postjudgment restraining notice:

“All property in which the judgment debtor or obligor is known or believed to have an interest then in and thereafter coming into the possession or custody of such a person, including any specified in the notice, and all debts of such a person, including any specified in the notice, then due and thereafter coming due to the judgment debtor or obligor, shall be subject to the notice.”

Nothing in the statute exempts third parties that are banks, or branches of banks, from complying with the restraining notice. As the Second Circuit noted in the companion case *Tire Eng’g & Distrib. L.L.C. v Bank of China Ltd.* (740 F3d 108, 115 [2d Cir 2014]), the separate entity rule “is not the product of a textual analysis of the CPLR” but is instead a “judicially created doctrine” that is “not tethered to the CPLR’s text.”

This Court has consistently clung to the principle of plain statutory construction (*see e.g. Matter of Di Brizzi [Proskauer]*, 303 NY 206, 214 [1951] [although the statute was enacted due to a war emergency, because the legislature utilized general terms, and did not, either expressly or by implication, limit its operation to a time of war, we may not do so]; *Matter of Tucker v Board of Educ., Community School Dist. No. 10*, 82 NY2d 274, 278 [1993] [“where . . . the statute unequivocally describes in general terms the particular situation in which it is to apply and nothing indicates a contrary legislative intent, the courts should not impose limitations on the clear statutory language”]).

We have also resisted the temptation to legislate, mindful that “[c]ourts are not supposed to legislate under the guise of interpretation, and in the long run it is better to adhere closely to this principle and leave it to the Legislature to correct evils if any exist” (*Bright Homes v Wright*, 8 NY2d 157, 162 [1960]; *see*

also *Matter of Amorosi v South Colonie Ind. Cent. School Dist.*, 9 NY3d 367, 372 [2007] [“the courts are not free to legislate and if any unsought consequences result, the Legislature is best suited to evaluate and resolve them”). The majority avoids any analysis of the statute, reasoning that the separate entity rule is a creation of common law, which predates the CPLR by several decades. But the point about the rule predating the CPLR is, to my mind, good reason for us to conclude that the separate entity rule should be rejected, not embraced. The fact remains that the rule finds no support in the statutory framework of CPLR article 52, and imports an exception to the statutory enforcement scheme. Such an exception is solely the prerogative of the legislature, not this Court.

II

The Separate Entity Rule is Obsolete and Runs Counter to Public Policy

Lower courts in the early part of the last century began to apply a separate entity rule on the theory that one bank branch had no way to ascertain the status of a debtor’s account at another branch. Some subsequent courts followed suit. The majority believes that this Court should adopt the rule today in the name of stare decisis (majority op at 162) for the benefit of the banks who prefer this extensive limitation on their obligations. Initially, I note that the adoption of the rule by some lower New York courts and some federal courts does not mean that the rule is entitled to stare decisis effect. More fundamentally, I cannot agree that the majority’s stare decisis rationale is a good reason to place our imprimatur on an anachronistic rule that greatly diminishes the scope and reach of postjudgment enforcement proceedings.

Notably, some of the first cases enunciating a separate entity rule² relied upon *Chrzanowska v Corn Exch. Bank* (173 App Div 285 [1916], *affd without op* 225 NY 728 [1919]). That 1916 First Department decision held that different branches of a bank are “separate and distinct from one another as from any other bank” because “[t]he Legislature did not intend, we think, either to authorize or require a bank having branches to cash

2. These cases include *Clinton Trust Co. v Compania Azucarera Cent. Ramona S.A.* (172 Misc 148 [Sup Ct, NY County 1939], *affd without op* 258 App Div 780 [1st Dept 1939]) and *Bluebird Undergarment Corp. v Gomez* (139 Misc 742 [NY City Ct 1931]).

checks and make loans to a depositor at any branch at which he may see fit to call, for to do so would produce endless confusion” (173 App Div at 291). This observation is an indication of just how much, with the advent of modern technology, the world in general, and the banking industry in particular, has changed since 1916. It also tells us that the underpinnings of the rationale for the separate entity rule have long since decayed.

In 1950, a trial court in New York County applied the reasoning of *Chrzanowska* when it held:

“Unless each branch of a bank is treated as a separate entity for attachment purposes, no branch could safely pay a check drawn by its depositor without checking with all other branches and the main office to make sure that no warrant of attachment had been served upon any of them. Each time a warrant of attachment is served upon one branch, every other branch and the main office would have to be notified. This would place an intolerable burden upon banking and commerce, particularly where the branches are numerous, as is often the case” (*Cronan v Schilling*, 100 NYS2d 474, 476 [Sup Ct, NY County 1950]).

In this day of centralized banking and advanced technology, bank branches can communicate with each other in a matter of seconds. Banks are no longer faced with this “intolerable burden” when served with a restraining notice. That the separate entity rule no longer made practical sense was recognized over 30 years ago by the United States District Court for the Southern District of New York, when it noted in *Digitrex, Inc. v Johnson* (491 F Supp 66, 68 [SD NY 1980]) that “operations at most if not all New York City commercial banks . . . have become largely computerized” and concluded that “it is clear that the argument in favor of the rule set forth in 1950 in *Cronan* . . . is no longer persuasive.” The First Department agreed in *S & S Mach. Corp. v Manufacturers Hanover Trust Co.* (219 AD2d 249 [1st Dept 1996]), when it applied the *Digitrex* rule to a postjudgment restraining notice and information subpoena:

“The *Digitrex* court argued persuasively that the old New York rule, requiring that the judgment creditor serve his postjudgment process on the particular branch of the bank where the judgment debtor’s assets were located, was obsolete in an era when large commercial banks use centralized com-

puter databases to handle their accounts” (219 AD2d at 252).

And as the Second Circuit aptly noted in this case, “the original basis for the separate entity rule may have weakened or even disappeared over time” (740 F3d at 117).

While the long-standing nature of certain common-law rules is important, that should not prevent this Court from being flexible enough to acknowledge that the world has changed and that the law must change with it. As Judge Cardozo once observed:

“I think that when a rule, after it has been duly tested by experience, has been found to be inconsistent with the sense of justice or with the social welfare, there should be less hesitation in frank avowal and full abandonment. We have had to do this sometimes in the field of constitutional law. Perhaps we should do so oftener in fields of private law where considerations of social utility are not so aggressive and insistent. There should be greater readiness to abandon an untenable position when the rule to be discarded may not reasonably be supposed to have determined the conduct of the litigants, *and particularly when in its origin it was the product of institutions or conditions which have gained a new significance or development with the progress of the years*” (Cardozo, *The Nature of the Judicial Process* at 150-151 [1921 ed] [emphasis added]).

Our society has most certainly evolved since the separate entity rule was first formulated, and the initial reasons for the rule no longer exist. The majority notes that banks have been relying on the separate entity doctrine for years and posits that any change might negatively impact the banking industry in New York. But while banks may place some technical reliance on the separate entity rule, they cannot rely on blind and unwavering adherence to legal norms birthed in the bygone era which that rule represents, for the government, banks and bank customers have shifted their practices and expectations to conform to a very different modern reality. Banks in the United States are now subject to complex and far-reaching government regulations regarding their relationships with their customers. Yet banks continue to do business in this country.

Both the New York and federal government have brought enforcement actions against banks under the Bank Secrecy Act.

Standard Chartered Bank in particular agreed to a settlement in 2012 with the New York State Department of Financial Services (DFS) which included a civil penalty of \$340 million and the installation of a monitor to report directly to the DFS and to evaluate the bank's money-laundering risk controls (*see* Press Release, NY Department of Financial Services, *Statement from Benjamin M. Lawsky, Superintendent of Financial Services, Regarding Standard Chartered Bank*, Aug. 14, 2012, available at <http://www.dfs.ny.gov/about/press/pr1208141.htm>).

Additionally, “[i]n 2012, HSBC Holdings PLC paid \$1.9 billion after admitting violations of the Bank Secrecy Act and other laws. Regulators also reached a smaller settlement with Standard Chartered PLC and cited Citigroup Inc. and J.P. Morgan Chase & Co. for deficient money-laundering controls” (Andrew Grossman, *Banks Face New U.S. Moves Against Laundering*, Wall St J, Jan. 9, 2014). Recently, in September 2014, a jury in the United States District Court for the Eastern District of New York found Arab Bank civilly liable for the material support of 24 Hamas terror attacks, in violation of the civil provisions of the Anti-Terrorism Act (Andrew Keshner, *Arab Bank Found Liable for Terror Support*, NYLJ, Sept. 23, 2014 [discussing verdict in *Linde v Arab Bank*, 04-CV-2799]) and the United States Court of Appeals for the Second Circuit reinstated claims by victims of terrorist attacks against the National Westminster Bank for supporting Hamas by handling money for the Palestine Relief & Development Fund (*Weiss v National Westminster Bank PLC*, 768 F3d 202 [2d Cir 2014]).

Banks have apparently adjusted to the societal expectation that they will be responsible corporate citizens, presumably by using modern technology and a reasonable share of their resources to shoulder the burden of compliance with a regulatory regime of global reach. In this environment, surely every bank knows that it no longer exists in a world where it can shrug off a duly entered judgment for assets in its collective coffers on the theory that it would have to resort to a long game of international telephone tag, as opposed to a brief search of its computer database, to restrain funds subject to collection. The difficulties that banks will face should we require foreign branches to comply with postjudgment proceedings to enforce the rights of judgment creditors will likely pale in comparison to banks' efforts to comply with the USA PATRIOT Act and the Bank Secrecy Act.

In my view, any burden imposed on the banks is far outweighed by the rights of judgment creditors to enforce their judgments. While this case involves a judgment entered in favor of a big corporation, our holding will affect all sorts of judgment creditors. Take, for example, employees who wend their way through the court system and eventually obtain a substantial judgment against their employer for labor law and human rights violations, only to find that the employer has removed all assets from bank accounts located in New York, and placed them in a foreign branch. By the majority's reckoning, these employees can find no relief in postjudgment enforcement proceedings, because it is too burdensome or problematic for the banks to enforce a restraining order in a foreign bank branch.

III

A Blanket and All-Encompassing Separate Entity Rule is Not Necessary to Promote Comity

The majority reasons that the separate entity rule promotes comity. But while the majority would apply the separate entity rule in *all* instances where a judgment creditor seeks to reach assets held in a foreign branch, there are many countries where banks would not face conflicting laws, and where complying with a restraining notice would be consistent with the law where the foreign branch is located. Thus, there is no need for the broad sweep employed by the majority to promote comity. "International comity comes into play only when there is a true conflict between American law and that of a foreign jurisdiction" (*In re Maxwell Communication Corp. plc* by *Homan*, 93 F3d 1036, 1049 [2d Cir 1996]). That CPLR article 52 might conflict with some other country's laws does not require that the separate entity rule be imposed to protect accounts of judgment debtors deposited anywhere outside of the United States. The majority's use of the separate entity rule to address potential comity issues is akin to using a cannon to kill a fly. Less extreme measures are more appropriate and just as effective.

As for jurisdictions where a bank is faced with potential liabilities for complying with a restraining notice, CPLR 5240 gives a court discretion to deny, limit, condition or modify the use of any enforcement procedure. Thus, we need not adopt a categorical separate entity rule in the name of comity. A bank's concerns about double liability and other exposure may be ad-

dressed by a court.³ Banks do not need to be protected through application of this wide-ranging separate entity rule.

IV

The Majority's Reasoning Cannot be Reconciled with *Koehler*

Putting aside the obvious obsolescence and lack of necessity for the separate entity rule, our decision in *Koehler* makes it clear that we believe “that the Legislature intended CPLR article 52 to have extraterritorial reach” (12 NY3d at 539). Answering a question certified to us by the Second Circuit involving a garnishee bank and a turnover proceeding pursuant to CPLR 5225, we held that “the principle that a New York court may issue a judgment ordering the turnover of out-of-state assets is not limited to judgment debtors, but applies equally to garnishees” (*id.* at 541). Our reasoning was based on the words of the statute.

“CPLR article 52 contains no express territorial limitation barring the entry of a turnover order that requires a garnishee to transfer money or property into New York from another state or country. It would have been an easy matter for the Legislature to have added such a restriction to the reach of article 52 and there is no basis for us to infer it from the broad language presently in the statute” (*id.* at 539).

The majority, focused on the common law, is unconcerned with the wording of the statute. But *Koehler*'s reasoning that the statutory language answered the certified question with respect to CPLR 5225 should apply with equal force in our examination of CPLR 5222. Although the *Koehler* court did not address the separate entity rule, *Koehler*'s interpretation of CPLR article 52 and its holding that article 52 has extraterritorial reach cannot be reconciled with today's decision adopting the separate entity rule. The scope of the *Koehler* majority's decision was understood by the *Koehler* dissent:

3. In this case, the District Court was unpersuaded by Standard Chartered Bank's “dire predictions” that it would be subject to double liability, and further noted that even assuming this would occur, banks assume that risk in New York as an ordinary cost of doing business in multiple jurisdictions (978 F Supp 2d 205, 210 [SD NY 2013]). Furthermore, as plaintiff argues, Standard Chartered Bank has not demonstrated that it is actually subject to any liability in light of the indemnification agreement that it has with the Jordan Dubai Islamic Bank, an Uzan proxy subject to the District Court's freeze order.

“If the bank has a New York branch—either one that is not separately incorporated, or a subsidiary with which the parent’s relationship is close enough to subject the parent to New York jurisdiction—the judgment creditor, having registered the judgment in New York, can obtain an order requiring the asset to be delivered here” (12 NY3d at 542 [Smith, J., dissenting]).

This is precisely the point that the majority here has overlooked.

That recognition of the separate entity rule is inconsistent with *Koehler* is reflected not only in the *Koehler* dissent’s observation, but in legislation proposed by The Clearing House Association and the Institute of International Bankers (both appear as amici curiae in support of Standard Chartered Bank in this action) to “correct” our decision in *Koehler* by adding language to CPLR 5222 (b) providing that a restraining notice served on a bank shall have no effect with respect to property or accounts held at a branch or office of the bank outside the state (see Letter from The Clearing House Association LLC and Institute of International Bankers addressed to Governor David Paterson, Jan. 19, 2010, available at http://c.ymcdn.com/sites/iib.site-ym.com/resource/resmgr/imported/20100119Letter_Paterson.pdf). Additionally, legislation proposed by Senator Farley in June 2013 (2013 NY Senate Bill S5734) sought to amend CPLR 5222 to provide that a restraining notice that seeks to restrain property or money outside the United States shall have no effect except to the extent that it is served on the judgment debtor. This underscores that the majority’s adoption of the separate entity rule is inconsistent with *Koehler*, and that any implementation of the rule must be done through amendment to CPLR article 52 by the legislature, not this Court.

V

Conclusion

Enforcement of money judgments is an integral and vital part of our legal system, as evidenced by the extensive postjudgment enforcement scheme of CPLR article 52. A separate entity rule that shields assets in foreign banks will serve primarily to protect defiant judgment debtors, such as the Uzans, who have the means to maintain considerable amounts of money in

foreign accounts, to frustrate collection of large judgments, and to immunize banks who benefit from doing business in New York from their responsibilities under the statutory enforcement provisions.

Therefore, I would answer the certified question “No.”

Chief Judge LIPPMAN and Judges READ, SMITH and RIVERA concur with Judge GRAFFEO; Judge ABDUS-SALAAM dissents in an opinion in which Judge PIGOTT concurs.

Following certification of a question by the United States Court of Appeals for the Second Circuit and acceptance of the question by this Court pursuant to section 500.27 of this Court’s Rules of Practice, and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, certified question answered in the affirmative.

[21 NE3d 239, 996 NYS2d 610]

In the Matter of STATE OF NEW YORK, Respondent, v DONALD DD., Appellant.

In the Matter of STATE OF NEW YORK, Respondent, v KENNETH T., Appellant.

Argued September 18, 2014; decided October 28, 2014

SUMMARY

APPEAL, in the first above-entitled proceeding, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered June 6, 2013. The Appellate Division affirmed an order of the Supreme Court, Greene County (Daniel K. Lalor, J.), entered in a proceeding pursuant to Mental Hygiene Law article 10, which, upon a jury verdict finding that respondent suffered from a mental abnormality, and after a dispositional hearing, had (1) determined that respondent was a dangerous sex offender requiring confinement, and (2) committed him to a secure treatment facility.

APPEAL, in the second above-entitled proceeding, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered May 8, 2013. The Appellate Division affirmed an order of the Supreme Court, Queens County (Stephen A. Knopf, J.), entered in a proceeding pursuant to Mental Hygiene Law article 10, which, upon a finding, after a nonjury trial, that respondent suffered from a mental abnormality, and after a dispositional hearing, (1) determined that respondent was a dangerous sex offender requiring confinement, and (2) committed him to a secure treatment facility.

Matter of State of New York v Donald DD., 107 AD3d 1062, reversed.

Matter of State of New York v Kenneth T., 106 AD3d 829, reversed.

HEADNOTES

Crimes — Sex Offenders — Civil Commitment or Supervision — Mental Abnormality

1. In a proceeding pursuant to Mental Hygiene Law article 10 for the civil management of respondent, who was diagnosed by petitioner's expert as suffering from paraphilia not otherwise specified and antisocial personality disorder, the evidence was legally insufficient to support the conclusion that

respondent's mental conditions resulted in his having serious difficulty in controlling conduct constituting a sex offense. As evidence that respondent had serious difficulty in controlling conduct amounting to sex offenses, petitioner's expert identified the fact that respondent, who had been convicted of rape and attempted rape in two separate incidents, carried out both offenses in a way that would allow for identification by his victims, and the fact that he committed the second rape despite having spent many years in prison for the earlier crime. Circumstances of that nature, however, are insufficient to show, by clear and convincing evidence, that a person has serious difficulty in controlling his or her sexual urges within the meaning of Mental Hygiene Law § 10.03 (i). Sex offenders in general are not notable for their self-control and are not highly risk-averse, but beyond those truisms it is rarely if ever possible to say, from the facts of a sex offense alone, whether the offender had great difficulty in controlling his or her urges or simply decided to gratify them, though the offender knew he or she was running a significant risk of arrest and imprisonment. The expert's testimony that respondent lacked "internal controls such as a conscience that might curb his impulses" was not a basis from which serious difficulty in controlling sexual conduct may be rationally inferred.

Crimes — Sex Offenders — Civil Commitment or Supervision — Mental Abnormality

2. In a proceeding pursuant to Mental Hygiene Law article 10 for the civil management of respondent, who was diagnosed by petitioner's experts as suffering from antisocial personality disorder (ASPD), Supreme Court erred in using an ASPD diagnosis, together with testimony concerning respondent's sex crimes, but without evidence of some independent mental abnormality diagnosis, to ground a finding of mental abnormality within the meaning of Mental Hygiene Law § 10.03 (i). As a matter of substantive due process the evidence of a respondent's serious difficulty in controlling behavior, when viewed in light of such features of the case as the nature of the psychiatric diagnosis, and the severity of the mental abnormality itself, must be sufficient to distinguish the dangerous sexual offender whose serious mental illness, abnormality, or disorder subjects him or her to civil commitment from the dangerous but typical recidivist convicted in an ordinary criminal case. ASPD means little more than a deep-seated tendency to commit crimes, and a diagnosis of ASPD alone does not distinguish the sex offender whose mental abnormality subjects him or her to civil commitment from the typical recidivist convicted in an ordinary criminal case. Its use in civil confinement proceedings, as the single diagnosis underlying a finding of mental abnormality as defined by Mental Hygiene Law article 10, proves no sexual abnormality. Moreover, the experts agreed, when pressed, that ASPD alone is not a "condition, disease or disorder that affects the emotional, cognitive, or volitional capacity of a person in a manner that predisposes him or her to the commission of conduct constituting a sex offense and that results in that person having serious difficulty in controlling such conduct" (Mental Hygiene Law § 10.03 [i]).

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Mentally Impaired Persons §§ 125, 127.

McKINNEY'S, Mental Hygiene Law § 10.03 (i).

NY JUR 2d, Penal and Correctional Institutions §§ 45, 48–52.

ANNOTATION REFERENCE

See ALR Index under Incompetent or Insane Persons.

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POINTS OF COUNSEL

George J. Hoffman, Jr., Albany, for appellant in the first above-entitled proceeding. Donald DD.'s diagnosis with antisocial personality disorder, together with his minimal sexual offense history and the absence of an accompanying diagnosis with a sexual based disorder, cannot support the statutorily required finding of mental abnormality. (*Kansas v Hendricks*, 521 US 346; *Kansas v Crane*, 534 US 407; *Foucha v Louisiana*, 504 US 71; *Matter of State of New York v Shannon S.*, 20 NY3d 99; *Matter of State of New York v Floyd Y.*, 22 NY3d 95; *Matter of State of New York v Enrique D.*, 22 NY3d 941; *United States v Wilkinson*, 646 F Supp 2d 194; *United States v Begay*, 880 F Supp 2d 707; *United States v Graham*, 683 F Supp 2d 129; *United States v Timms*, 664 F3d 436.)

Eric T. Schneiderman, Attorney General, Albany (*Kathleen M. Treasure*, *Barbara D. Underwood*, *Andrea Oser* and *Nancy A. Spiegel* of counsel), for respondent in the first above-entitled proceeding. The jury's verdict that Donald DD. suffers from a mental abnormality is soundly based and should not be disturbed. (*Morales v County of Nassau*, 94 NY2d 218; *Matter of State of New York v Shannon S.*, 20 NY3d 99; *United States v Caporale*, 701 F3d 128; *Brown v Watters*, 599 F3d 602; *Drake v Portuondo*, 321 F3d 338; *Young v Murphy*, 615 F3d 59; *Adams v Bartow*, 330 F3d 957; *Linehan v Milczark*, 315 F3d 920; *McGee v Bartow*, 593 F3d 556; *Kansas v Hendricks*, 521 US 346.)

Lesley M. DeLia, Mental Hygiene Legal Service, Mineola (*Ana Vuk-Pavlovic* and *Dennis B. Feld* of counsel), for appellant in the second above-entitled proceeding. Where the State's expert assigned paraphilia not otherwise specified to Kenneth T. based on nothing more than his past sex crimes, and where the testimony did not show that antisocial personality disorder caused Kenneth T. to sexually offend or even that it was properly diagnosed, the evidence was legally insufficient to support a finding that Kenneth T. had a mental abnormality. (*Addington v Texas*, 441 US 418; *Humphrey v Cady*, 405 US 504; *Matter of*

State of New York v Floyd Y., 22 NY3d 95; *Kansas v Hendricks*, 521 US 346; *Vitek v Jones*, 445 US 480; *Foucha v Louisiana*, 504 US 71; *Kansas v Crane*, 534 US 407; *Varner v Monohan*, 460 F3d 861; *People v C.M.*, 23 Misc 3d 1125[A], 2009 NY Slip Op 50935[U]; *Matter of Storar*, 52 NY2d 363.)

Eric T. Schneiderman, Attorney General, New York City (*Bethany A. Davis Noll*, *Barbara D. Underwood* and *Steven C. Wu* of counsel), for respondent in the second above-entitled proceeding. I. Kenneth T.'s categorical challenge to his psychiatric diagnoses does not undermine Supreme Court's mental abnormality finding. (*Matter of State of New York v Shannon S.*, 20 NY3d 99; *Daubert v Merrell Dow Pharmaceuticals, Inc.*, 509 US 579; *People v Wesley*, 83 NY2d 417; *Matter of George L.*, 85 NY2d 295; *People v Brown*, 97 NY2d 500; *Adamy v Ziriakus*, 92 NY2d 396; *United States v Barrow*, 400 F3d 109; *Crawford v Merrill Lynch, Pierce, Fenner & Smith*, 35 NY2d 291; *Board of Educ. of Belmont Cent. School Dist. v Gootnick*, 49 NY2d 683; *People v Jovanovic*, 263 AD2d 182.) II. The un rebutted evidence at trial more than adequately supports Supreme Court's finding of mental abnormality. (*Matter of Hofbauer*, 47 NY2d 648; *United States v Carta*, 592 F3d 34; *Young v Murphy*, 615 F3d 59.)

OPINION OF THE COURT

PIGOTT, J.

In *Matter of State of New York v Donald DD.*, we hold that, in a Mental Hygiene Law article 10 trial, evidence that a respondent suffers from antisocial personality disorder cannot be used to support a finding that he has a mental abnormality as defined by Mental Hygiene Law § 10.03 (i), when it is not accompanied by any other diagnosis of mental abnormality. We dismiss the proceeding in *Matter of State of New York v Kenneth T.* on the ground of legal insufficiency. We begin our discussion with that appeal.

I.

On December 16, 1982, respondent Kenneth T., 27, brandished a knife and forced a 17-year-old girl to accompany him to a rooftop, where he raped her. He also stole her coat. Kenneth T. was arrested after being seen wearing the coat, and his victim identified him in a lineup. In November 1983, following trial, he was convicted of rape in the first degree, robbery in the first degree, and possession of stolen property in the third degree, and sentence was imposed.

In September 1999, Kenneth T. was conditionally released to parole, having served some 17 years in prison. On October 31, 2000, Kenneth T., while employed at a university cafeteria, offered a female student a ride to the train station. He drove to a parking lot, ordered the woman out of his car, threw her to the ground, and attempted to rape her. The woman resisted, biting one of Kenneth T.'s fingers when he tried to cover her mouth and leaving a bite mark on the finger. She was able to escape when a passerby observed the commotion. Kenneth T. was arrested, and pleaded guilty to attempted rape in the first degree. In January 2001, he was sentenced to eight years' imprisonment to be followed by five years' postrelease supervision.

During his incarcerations, Kenneth T. incurred disciplinary "tickets," the most serious offenses being assault on staff, disobeying a direct order, and harassment, and he was removed from sex offender counseling for disciplinary reasons on three occasions. However, he was not accused of any sexual "acting out" while in prison.

II.

In October 2008, as he was about to be released to postrelease supervision, the State commenced this civil commitment proceeding against Kenneth T. under Mental Hygiene Law article 10. At a probable cause hearing, Dr. Paul Etu, a board-certified psychologist who had interviewed Kenneth T. and reviewed his records, testified that in his opinion Kenneth T. suffered from a mental abnormality as defined by Mental Hygiene Law § 10.03 (i). Among other things, Dr. Etu testified that Kenneth T. had told him that he had difficulty controlling his sexual impulses. Supreme Court found probable cause to believe that Kenneth T. was a sex offender requiring civil management.

Following the hearing, Kenneth T. was committed to a secure treatment facility pending the conclusion of the article 10 proceeding. In June 2010, a bench trial was held in Supreme Court, pursuant to Mental Hygiene Law § 10.07, on the issue of whether Kenneth T. suffered from a mental abnormality within the meaning of Mental Hygiene Law § 10.03 (i).

The State presented a licensed psychologist, Dr. Stuart Kirschner, who had interviewed Kenneth T. and reviewed his records. Dr. Kirschner opined that Kenneth T. had two disorders that, together, predisposed him to the commission of conduct constituting a sex offense and resulted in his having serious dif-

ficulty in controlling that conduct: “paraphilia^[1] not otherwise specified” (paraphilia NOS) and “antisocial personality disorder” (ASPD).

Dr. Kirschner defined “paraphilia NOS” using the “broad criteria” that characterize paraphilia in general: “sexual fantasies, urges or behaviors directed . . . at inanimate objects or non-consenting partners or minors.” Specifically, Dr. Kirschner testified that in his opinion Kenneth T. had “sexual fantasies, urges or behaviors involving non-consenting partners.” Challenged on cross-examination as to whether he could diagnose paraphilia NOS without any direct evidence that Kenneth T. was sexually aroused by nonconsensual sexual activity, Dr. Kirschner suggested that such arousal could be inferred simply from “the way [Kenneth T.] conducted himself during . . . the two offenses.” However, Dr. Kirschner admitted that he was “not sure” whether Kenneth T. found the nonconsensual aspect of his crimes sexually arousing.

With respect to ASPD, Dr. Kirschner testified that this disorder is characterized by “violations of the law, disregard for the truth, lack of remorse, irritability and aggressiveness,” as well as “irresponsibility in the sense that the person does not meet financial responsibilities.”² Dr. Kirschner opined that Kenneth T. met “[p]retty much all of” these criteria of ASPD.

Dr. Kirschner conceded that ASPD could be found in most prison inmates (“probably . . . 80 percent”). He also testified that ASPD does not “in and of itself” show mental abnormality as defined by Mental Hygiene Law article 10.

Dr. Kirschner attached special significance to the fact that, in his view, Kenneth T. suffered both from paraphilia and from ASPD. He testified that the paraphilia predisposed Kenneth T. to commit rape, and his ASPD gave rise to a serious difficulty in controlling the urge to rape. Dr. Kirschner identified Kenneth

1. According to the Diagnostic and Statistical Manual of Mental Disorders, “[t]he essential features of a Paraphilia are recurrent, intense sexually arousing fantasies, sexual urges, or behaviors generally involving 1) nonhuman objects, 2) the suffering or humiliation of oneself or one’s partner, or 3) children or other nonconsenting persons that occur over a period of at least 6 months” (American Psychiatric Association, Diagnostic and Statistical Manual of Mental Disorders 566 [4th ed Text Rev 2000]).

2. In addition, psychologist witnesses in the cases before us have testified that in order for a person to be properly diagnosed with ASPD, he or she must be 18 or older, his or her antisocial acts must not have been committed while in a manic or psychotic state, and there must be some evidence of conduct disorder prior to the age of 15.

T.'s ASPD with a lack of "ability to think before he acts," "internal [braking] mechanism," or "internal controls such as a conscience that might curb his impulses."

As evidence that Kenneth T. had serious difficulty in controlling his sexual misconduct, Dr. Kirschner identified two factors. The first was that Kenneth T. carried out offenses in circumstances that would allow for his identification by the victims. (In particular, Kenneth T. committed the first offense in a neighborhood that he frequented, and afterwards wore a coat he had taken from the victim, while the second victim was a woman who knew Kenneth T. and could easily give the police information leading to his arrest.) The second was the fact that Kenneth T. attempted the second rape despite having spent some 17 years in prison for the earlier crime.

Following the bench trial, Supreme Court concluded that Kenneth T. had a condition, disease or disorder that predisposed him to the commission of conduct constituting a sex offense and resulted in his having serious difficulty in controlling such conduct. Kenneth T. moved to set aside the verdict, arguing that the evidence was legally insufficient. Kenneth T. contended that Dr. Kirschner believed him to have a mental abnormality under Mental Hygiene Law article 10 purely on the basis of his crimes—crimes that in themselves did not distinguish him adequately from recidivist rapists who do not suffer from mental abnormality of this kind. Supreme Court denied the motion.

A dispositional hearing was held, pursuant to Mental Hygiene Law § 10.07 (f), and Supreme Court found that Kenneth T. suffered from a mental abnormality involving such a strong predisposition to commit sex offenses, and such an inability to control behavior, that he was likely to be a danger to others and to commit sex offenses if not confined to a secure treatment facility (*see* Mental Hygiene Law § 10.03 [e]). Accordingly, Supreme Court ordered that Kenneth T. be confined.

Kenneth T. appealed. The Appellate Division affirmed Supreme Court's order (106 AD3d 829 [2d Dept 2013]), ruling that "Supreme Court's finding that the State established, by clear and convincing evidence, that the appellant suffers from a 'mental abnormality,' as that term is defined in Mental Hygiene Law § 10.03 (i), was warranted by the facts" (*id.* at 830).

We granted Kenneth T. leave to appeal, and now reverse.

III.

On July 26, 2002, respondent Donald DD., then 18, had sexual intercourse with a 14-year-old acquaintance. As she later recalled, she “fell for his wit and . . . had sex with him.” Donald DD. then asked the girl whether her 12-year-old cousin would have sex with him. The younger girl was afraid, and did not resist when Donald DD. partially inserted his penis into her vagina. The two girls told the authorities what had occurred, and Donald DD. was arrested. At the time, Donald DD. was on probation, following a conviction of criminal contempt in the second degree for violating an order of protection obtained against him by an ex-girlfriend.

Donald DD. pleaded guilty to rape in the second degree (Penal Law § 130.30 [1] [being 18 years old or more, he or she engages in sexual intercourse with another person less than 15 years old]), attempted rape in the second degree (under the same statute), and endangering the welfare of a child. In January 2004, he was convicted and sentenced to six months’ imprisonment and 10 years’ probation.

On July 1, 2004, after release from prison, Donald DD. persuaded a young woman, a close friend of his wife, to accompany him on a walk to a local cemetery. There, he kissed the woman and, ignoring her repeated protests, had sexual intercourse with her. Afterwards, the woman returned to Donald DD.’s house with him; when she was leaving, he said he knew she was “good at keeping secrets” and added that they would “both be in trouble” if she revealed what had happened. The young woman, however, sought medical help and gave a statement to the police. Donald DD. was arrested.

Donald DD. pleaded guilty to sexual abuse in the second degree. He was sentenced to six months’ imprisonment; he remained on probation upon release. Donald DD.’s probation was revoked in the summer of 2006, after he was arrested following an incident in which he threw stones or rocks at an acquaintance’s car, injuring a passenger.

In April 2007, Donald DD. was resentenced on the January 2004 convictions, to 1 to 3 years’ imprisonment. He participated in sex offender treatment while incarcerated.

In the spring of 2008, Donald DD. was evaluated for civil management under Mental Hygiene Law article 10. A psychiatric examiner, Dr. Mark Cederbaum, opined that Donald DD. suffered from ASPD, but did *not* have a mental abnormality within the meaning of Mental Hygiene Law § 10.03 (i).

Donald DD. was conditionally released to parole supervision in June 2008. Donald DD.'s special conditions of release included that he "not be in contact with" anyone under 18, "without the presence of an adult." Donald DD. and his wife had two children, a five-year-old boy and a three-year-old girl. His wife's sister had primary physical custody of the children, but they spent weekends at the apartment in which Donald DD. and his wife lived. In December 2008, the state police and the county child protective services investigated allegations by Donald DD.'s children that one evening when he was alone with them, Donald DD. had touched their "privates" and encouraged them to touch each other's and his "privates." Additionally, Donald DD.'s wife told the police that on occasions when she did not want to have sex with Donald DD., he would force himself on her.

The District Attorney decided not to pursue criminal charges against Donald DD. However, his parole was revoked, and he was returned to custody to serve the remainder of his 2007 maximum sentence.

IV.

In June 2009, the State commenced this civil commitment proceeding against Donald DD. under Mental Hygiene Law article 10. Following a probable cause hearing, Donald DD. was committed to a secure treatment facility pending the conclusion of the proceeding. On March 2, 2010, a jury trial commenced in Supreme Court, pursuant to Mental Hygiene Law § 10.07, on the issue of whether Donald DD. suffered from a mental abnormality as defined by Mental Hygiene Law § 10.03 (i).

The State presented two licensed psychologists, Dr. Christopher Kunkle and Dr. Richard Hamill, as witnesses, both of whom had interviewed Donald DD. and reviewed his records. Dr. Kunkle and Dr. Hamill opined that Donald DD. suffered from ASPD, defined as set forth above. They described the disorder as "characterized by a pervasive pattern of disregard for others and violation of the law" and testified that an individual who meets at least three of seven specific criteria may be diagnosed with the disorder. The criteria, as the State's experts explained, may be summed up as: failure to conform to social norms and laws, impulsivity, aggressiveness, disregard for the safety of self or others, lack of remorse, deceitfulness, and irresponsibility.

Dr. Kunkle concluded that Donald DD. had all seven traits, while Dr. Hamill concluded that he had at least six.³

Dr. Kunkle noted that “a very small portion of individuals with antisocial personality disorders . . . are actually incarcerated for a sexual offense,” estimating that the proportion was 7%. As he explained, “[s]ome sex offenders have antisocial personality disorder, some don’t. Some with antisocial personality disorder commit sex offenses and some don’t.” However, Dr. Kunkle stated that Donald DD.’s ASPD predisposed him to commit conduct constituting a sex offense:

“In [Donald DD.’s] case, his disorder predisposes him in a way because his behavior has shown you that. His behavior has shown you what goes on inside his mind, and he acts upon the urges that he has. When [Donald DD.] has a sexual urge towards 12 and 14 year old girls, a wife’s friend, his own children, he acts upon that urge and neglects the laws that govern.”

Asked about the concept of paraphilia, Dr. Kunkle testified that he had *not* diagnosed Donald DD. with paraphilia, which he defined as “a sexual disorder where the person has abnormal sexual interests.” He opined that, although ASPD is not a paraphilia, it can nevertheless be a mental abnormality within the meaning of Mental Hygiene Law § 10.03 (i). He testified that

“[i]f someone has antisocial personality disorder and they showed a pattern where they continuously act in a way that they violate laws and those violations are sexual, then they have shown that through their antisocial personality disorder they are predisposed to commit sexual crimes.”

Dr. Kunkle further opined that Donald DD.’s ASPD resulted in his having serious difficulty in controlling his sex-offending conduct. He pointed to Donald DD.’s tendency to commit both sexual and non-sexual offenses, in spite of past incarcerations, despite sex offender treatment, and while on probation, as evidence that the ASPD was “driving” his illegal actions.

Consistently with Dr. Kunkle’s testimony, Dr. Hamill observed that “the large majority, 93 percent of those diagnosed with

3. In addition, both experts opined that Donald DD. suffered from an extreme form of ASPD known as psychopathy. However, they did not testify that this finding materially affected their conclusions regarding Donald DD.’s mental abnormality under article 10.

[ASPD,] are not sex offenders.” Dr. Hamill accepted the proposition that ASPD does not “in and of itself predispose a person to commit conduct constituting a sex offense.” Nonetheless, he opined that ASPD predisposed Donald DD. to engage in conduct constituting a sex offense. Asked what had led him to this conclusion, Dr. Hamill mentioned the fact that Donald DD.’s victims were “male and female and in three major age groups.”

Dr. Hamill further opined that Donald DD.’s ASPD resulted in his having serious difficulty in controlling his sex-offending conduct. He testified that the ASPD affected Donald DD.’s emotional, cognitive, and volitional capacities: “predispos[ing] him to act out impulsively in an aggressive manner,” creating “cognitive distortions,” and inhibiting his “ability to control [his] behavior and keep it according to . . . [his] sense of right and wrong.”

Finally, the State called Dr. Mark Cederbaum, who had examined Donald DD. in 2008 and found no mental abnormality. Dr. Cederbaum stated that he could no longer stand by his original opinion, especially in light of the recent allegations that Donald DD. had sexually abused his own children and engaged in spousal rape.⁴

For his part, Donald DD. presented the testimony of a licensed psychologist, Dr. Joseph J. Plaud, who had also examined Donald DD. and reviewed his records. Dr. Plaud opined that there was no evidence that Donald DD. suffered from a condition that predisposed him to commit sex offenses and caused him to have serious difficulty controlling this conduct. Rather, Dr. Plaud saw Donald DD. as an opportunistic offender.

With respect to ASPD, Dr. Plaud opined that the condition “is not particular to sexual control. I would say the vast majority of individuals in all the state prisons in this state could be diagnosed with antisocial personality disorder. By definition they all have difficulty conforming their behavior to the law.” He explained that ASPD can act “in combination with . . . a diagnosable sexual disorder, and . . . can add extra fuel to the fire, if you will,” but cannot “in and of itself . . . predict sexual impulse control.”

Donald DD. himself testified, admitting to the sexual crimes involving the 14 year old and 12 year old but protesting that he

4. No objections were raised to the admission of evidence of uncharged sexual misconduct (*see generally Matter of State of New York v Floyd Y.*, 22 NY3d 95 [2013]).

had not known their ages, and insisting that the sexual activity with his wife's friend in the cemetery had been consensual.

The jury found that Donald DD. had a condition, disease or disorder that predisposed him to the commission of conduct constituting a sex offense and resulted in his having serious difficulty in controlling such conduct. Donald DD. moved to set aside the verdict, contending, *inter alia*, that ASPD is an inapplicable predicate for a finding of mental abnormality because it is "not a sexual disorder." Supreme Court denied the motion.

Following a dispositional hearing, Supreme Court found that Donald DD. suffered from a mental abnormality involving such a strong predisposition to commit sex offenses, and such an inability to control behavior, that he was likely to be a danger to others and to commit sex offenses if not confined to a secure treatment facility. Accordingly, Supreme Court ordered that Donald DD. be confined.

Donald DD. appealed, again challenging the use of ASPD as a basis for the jury's finding of mental abnormality.

The Appellate Division affirmed Supreme Court's order (107 AD3d 1062 [3d Dept 2013]), holding that a mental condition need not itself have any sexual component in order to predispose a person to the commission of conduct constituting a sex offense and result in that person's having serious difficulty in controlling such conduct. The Appellate Division reasoned that ASPD

"affects the emotional and volitional capacity of its sufferers by predisposing them to act upon their urges in an aggressive manner. Petitioners' experts found respondent to have inappropriate sexual urges given his pattern of engaging in sex offenses, and that the disorder caused him to disregard any restraints he may have had against acting upon them. Those experts further opined that respondent's repeated commission of sex offenses demonstrated his serious difficulty in restraining those impulses, particularly because he acted upon them despite knowing that he was under supervision and having already undergone sex offender treatment" (*id.* at 1064 [internal quotation marks omitted]).

We granted Donald DD. leave to appeal, and now reverse.

V.

Kenneth T.'s article 10 trial differed from Donald DD.'s in that the factfinder heard evidence that Kenneth T. suffered not only from ASPD but also from paraphilia NOS. In *Matter of*

State of New York v Shannon S. (20 NY3d 99 [2012]), this Court held that “any issue pertaining to the reliability of paraphilia NOS as a predicate condition for a finding of mental abnormality” may be “viewed as a factor relevant to the weight to be attributed to the diagnosis, an issue properly reserved for resolution by the factfinder” (*id.* at 107). The Court observed that

“[a]ny professional debate over the viability and reliability of paraphilia NOS is subject to the adversarial process which, by vigorous cross-examination, would expose the strengths and weaknesses of the professional medical opinions offered in reaching a considered legal determination as to whether a respondent suffers a mental abnormality, as defined by statute” (*id.* [internal quotation marks omitted]).

Paraphilia NOS is a controversial diagnosis. It is listed in the current edition of the American Psychiatric Association’s Diagnostic and Statistical Manual of Mental Disorders, but only as a “catch-all” category for paraphilias that are not specifically enumerated elsewhere in the manual because they are “less frequently encountered” (American Psychiatric Association, Diagnostic and Statistical Manual of Mental Disorders 567 [4th ed Text Rev 2000]). The examples given include necrophilia (sexual attraction to corpses) and zoophilia (sexual attraction to animals) (*see id.* at 576). In the dissent in *Shannon S.*, three members of this Court who are now in the majority stated our view that the paraphilia NOS diagnosis presented by Dr. Kirschner⁵ and another expert witness in that case “amount[ed] to junk science devised for the purpose of locking up dangerous criminals” and we expressed “grave doubt” whether such a “diagnosis would survive a *Frye* hearing to determine whether it is ‘sufficiently established to have gained general acceptance’ in the psychiatric community” (*Shannon S.*, 20 NY3d at 110 [Smith, J., dissenting, joined by Lippman, Ch. J., and Pigott, J.], quoting *Frye v United States*, 293 F 1013, 1014 [DC Cir 1923]).⁶

5. It appears that Dr. Kirschner has frequently testified for the State in Mental Hygiene Law article 10 trials.

6. Prominent members of the psychiatric community have criticized the practice of diagnosing so-called “paraphilia NOS nonconsent” on the basis of a history of committing sex crimes (Allen Frances & Michael B. First, *Paraphilia NOS, Nonconsent: Not Ready for the Courtroom*, 39 J Am Acad Psychiatry L 555 [Dec. 2011]; Allen Frances et al., *Defining Mental Disorder When It Really Counts: DSM-IV-TR and SVP/SDP Statutes*, 36 J Am Acad Psychiatry L 375 [Sept. 2008]).

Nonetheless, we do not overrule *Shannon S.* The doctrine of stare decisis governs here, “rest[ing] upon the principle that a court is an institution, not merely a collection of individuals, and that governing rules of law do not change merely because the personnel of the court changes” (*People v Bing*, 76 NY2d 331, 338 [1990]). Stare decisis is “the preferred course because it promotes the evenhanded, predictable, and consistent development of legal principles, fosters reliance on judicial decisions, and contributes to the actual and perceived integrity of the judicial process” (*Payne v Tennessee*, 501 US 808, 827 [1991]). We perceive no compelling justification for overruling *Shannon S.*’s holding that a diagnosis of paraphilia NOS was sufficient to support a finding of mental abnormality on the record in that case. We did not, however, decide in *Shannon S.* the question that would be decided at a *Frye* hearing: whether the diagnosis of paraphilia NOS, as testified to by the State’s experts, has received general acceptance in the psychiatric community. Nor do we decide that question today, because here, as in *Shannon S.*, no *Frye* hearing was requested or held.

[1] In the present case, it is unnecessary for us to decide any issue concerning paraphilia NOS, because we need not decide whether there was legally sufficient evidence that Kenneth T. had a condition “that predispose[d] him . . . to the commission of conduct constituting a sex offense” within the meaning of Mental Hygiene Law § 10.03 (i). Rather, we hold that, even assuming that mental abnormality was demonstrated to that extent, there was not clear and convincing evidence that Kenneth T. had “serious difficulty in controlling” his sexual misconduct within the meaning of section 10.03 (i).

As evidence that Kenneth T. had serious difficulty in controlling conduct amounting to sex offenses, Dr. Kirschner identified the fact that Kenneth T. carried out both offenses in a way that would allow for identification by his victims, and the fact that he attempted the second rape despite having spent many years in prison for the earlier crime. It is evident that circumstances of this nature are insufficient to show, by clear and convincing evidence, that a person has serious difficulty in controlling his sexual urges within the meaning of Mental Hygiene Law § 10.03 (i). A rapist who killed his victims so that they could not identify him may have serious difficulty controlling his sexual urges. Conversely, one who raped an acquaintance and permitted her to escape may not have serious difficulty controlling his sexual urges within the meaning of article 10. A person who commit-

ted a rape soon after serving a very short sentence for sexual abuse may have serious difficulty in controlling his sexual misconduct. Conversely, one who committed a rape soon after serving a very lengthy sentence may not have serious difficulty controlling his sexual urges. Rather, the rape may be a crime of opportunity, and the defendant willing to risk the prospect of a return to incarceration.

Undoubtedly, sex offenders in general are not notable for their self-control. They are also, in general, not highly risk-averse. But beyond these truisms, it is rarely if ever possible to say, from the facts of a sex offense alone, whether the offender had great difficulty in controlling his urges or simply decided to gratify them, though he knew he was running a significant risk of arrest and imprisonment.

We do not decide on this occasion from what sources sufficient evidence of a serious difficulty controlling sex-offending conduct may arise, but they cannot consist of such meager material as that a sex offender did not make efforts to avoid arrest and reincarceration. A detailed psychological portrait of a sex offender would doubtless allow an expert to determine the level of control the offender has over his sexual conduct. However, Dr. Kirschner's testimony that Kenneth T. lacked "internal controls such as a conscience that might curb his impulses" is not a basis from which serious difficulty in controlling sexual conduct may be rationally inferred. It is as consistent with a rapist who could control himself but, having strong urges and an impaired conscience, decides to force sex upon someone, as it is with a rapist who cannot control his urges. Even viewed in the light most favorable to the State, this testimony is legally insufficient to support the conclusion that Kenneth T.'s mental conditions resulted in his having serious difficulty in controlling conduct constituting a sex offense.⁷ Therefore, the State's petition against Kenneth T. under Mental Hygiene Law article 10 should be dismissed.

VI.

[2] Donald DD.'s appeal presents us with an opportunity to decide a question left open in *Matter of State of New York v*

7. A transcript of Dr. Etu's testimony at the probable cause hearing was introduced at trial. However, we do not consider Dr. Etu's bare testimony that Kenneth T. had told him he had "difficulty" controlling his sexual impulses to be sufficient proof that Kenneth T. had serious difficulty controlling his sex-offending conduct within the meaning of Mental Hygiene Law article 10.

John S. (23 NY3d 326 [2014]), namely whether a civil commitment under Mental Hygiene Law article 10 may be based solely on a diagnosis of ASPD, together with evidence of sexual crimes.⁸ We hold that it cannot.

The United States Supreme Court, in its rulings upholding a Kansas civil confinement statute against constitutional challenge (see *Kansas v Hendricks*, 521 US 346 [1997]; *Kansas v Crane*, 534 US 407 [2002]), has held that as a matter of substantive due process the evidence of a respondent's "serious difficulty in controlling behavior . . . when viewed in light of such features of the case as the nature of the psychiatric diagnosis, and the severity of the mental abnormality itself, must be sufficient to distinguish the dangerous sexual offender whose serious mental illness, abnormality, or disorder subjects him to civil commitment *from the dangerous but typical recidivist convicted in an ordinary criminal case*" (*Crane*, 534 US at 413 [emphasis added]; see also *Hendricks*, 521 US at 360). "That distinction is necessary lest 'civil commitment' become a 'mechanism for retribution or general deterrence'—functions properly those of criminal law, not civil commitment" (*Crane*, 534 US at 412, quoting *Hendricks*, 521 US at 373 [Kennedy, J., concurring]). We must interpret the Mental Hygiene Law article 10 statute on the assumption that it accords with these constitutional requirements.

In his testimony in the *Kenneth T.* trial, the State's expert Dr. Kirschner said that the proportion of people currently in prison (or who have been imprisoned) who could be diagnosed with ASPD is "probably about as high as 80 percent." The Supreme Court and other courts have postulated figures ranging from 40% to 70% (see e.g. *Crane*, 534 US at 412, citing P. Moran, *The Epidemiology of Antisocial Personality Disorder*, 34 Soc Psychiatry & Psychiatric Epidemiology 231, 234 [1999] [40-60% of male prison population diagnosable with ASPD]; *United States v Wilkinson*, 646 F Supp 2d 194, 209 [D Mass 2009], citing Jack Vognsen & Amy Phenix, *Antisocial Personality Disorder is Not Enough: A Reply to Sreenivasan, Weinberger, and Garrick*, 32 J Am Acad Psychiatry L 440, 442 [Dec. 2004] [50-70%]).

8. It is necessary to discuss our ruling in *John S.* briefly. The Court did not address, in that appeal, the question whether a civil commitment under Mental Hygiene Law article 10 may be based solely on a diagnosis of ASPD and evidence of sex crimes, because a majority of the Court concluded that *John S.* had not argued that it may not. Consequently, our decision was limited to the question of legal sufficiency.

These statistics are compelling. A diagnosis of ASPD alone—that is, when the ASPD diagnosis is not accompanied by a diagnosis of any other condition, disease or disorder alleged to constitute a mental abnormality—simply does not distinguish the sex offender whose mental abnormality subjects him to civil commitment from the typical recidivist convicted in an ordinary criminal case. ASPD “means little more than a deep-seated tendency to commit crimes” (*Shannon S.*, 20 NY3d at 110 [Smith, J., dissenting, joined by Lippman, Ch. J., and Pigott, J.]). Its use in civil confinement proceedings, as the single diagnosis underlying a finding of mental abnormality as defined by Mental Hygiene Law article 10, proves no sexual abnormality. It therefore cannot be the sole diagnosis that grounds such a finding.

We believe that an ASPD diagnosis has so little relevance to the controlling legal criteria of Mental Hygiene Law § 10.03 (i) that it cannot be relied upon to show mental abnormality for article 10 purposes. As Donald DD.’s counsel expressed the objection, ASPD is “not a sexual disorder.” Our conclusion is not based on research that is outside of the record, or our own armchair psychology, or even common sense (though all of these point in the same direction). Instead, we base it on the expert testimony in the appeals before us.

The State’s expert in the *Kenneth T.* case, Dr. Kirschner, testified that ASPD does not “in and of itself” show mental abnormality as defined by Mental Hygiene Law article 10. Dr. Hamill, the State’s expert in *Donald DD.*, conceded that ASPD does not “in and of itself predispose a person to commit conduct constituting a sex offense,” noting, along with his co-witness, that a very small proportion—7%—of individuals with ASPD are convicted of a sexual offense. Dr. Plaud, testifying for Donald DD., opined that while ASPD can act “in combination with . . . a diagnosable sexual disorder” to produce a potent abnormal condition, it cannot “in and of itself . . . predict sexual impulse control.”

We do not believe that the experts were merely stating the obvious truth that a diagnosis of ASPD without any evidence of sexual crimes is insufficient to show mental abnormality. Rather, it is clear that the experts—even experts whose usual role is to testify that a respondent suffers from a mental abnormality for article 10 purposes—agree, when pressed, that ASPD alone is not a “condition, disease or disorder that affects the emotional, cognitive, or volitional capacity of a person in a manner that

predisposes him or her to the commission of conduct constituting a sex offense and that results in that person having serious difficulty in controlling such conduct” (Mental Hygiene Law § 10.03 [i] [emphasis added]).

Our conclusion is *not* that ASPD is in itself an unreliable diagnosis rejected by the psychiatric profession. ASPD is not analogous to the diagnoses we considered hypothetically in *Shannon S.* that are “premised on such scant or untested evidence and . . . so devoid of content, or so near-universal in their rejection by mental health professionals, as to be violative of constitutional due process” (*Shannon S.*, 20 NY3d at 106-107 [internal quotation marks and brackets omitted]). The problem is that ASPD establishes only a general tendency toward criminality, and has no necessary relationship to a difficulty in controlling one’s sexual behavior.

Finally, our conclusion does not conflict with the holding in *Shannon S.* The diagnosis of paraphilia NOS, whatever its strength or weakness as an evidentiary matter, is, at the very least, potentially relevant to a finding of predisposition to conduct constituting a sex offense. The same is not true of ASPD.

For the reasons stated above, Supreme Court erred in using an ASPD diagnosis, together with testimony concerning Donald DD.’s sex crimes, but without evidence of some independent mental abnormality diagnosis, to ground a finding of mental abnormality within the meaning of Mental Hygiene Law article 10.

Accordingly, in each appeal, the order of the Appellate Division should be reversed, without costs, and the petition dismissed.

GRAFFEO, J. (dissenting in *Donald DD.* and concurring in *Kenneth T.*). In *Matter of State of New York v Donald DD.* we are presented with a jury verdict, rendered after a Mental Hygiene Law article 10 trial, determining that Donald DD. suffered from a mental abnormality. The diagnosis proffered by experts to support this finding was antisocial personality disorder (ASPD). I believe that ASPD may be a viable predicate for a determination of mental abnormality in certain cases since such a diagnosis is consistent with the statutory definition and its use in the article 10 context does not offend principles of substantive due process. I therefore dissent in *Matter of State of New York v Donald DD.*

A related issue is presented in *Matter of State of New York v Kenneth T.* Following a bench trial, Kenneth T. was found to have a mental abnormality. The State's expert diagnosed Kenneth T. with ASPD and paraphilia not otherwise specified (NOS), based on his alleged attraction to nonconsenting partners. I agree with the majority that the State did not present legally sufficient evidence to support the finding of a mental abnormality in this case, but I rely on different grounds for the reversal.

I.

In 2007, the legislature enacted the Sex Offender Management and Treatment Act (SOMTA) as part of “comprehensive reforms to enhance public safety” by authorizing the civil management of sex offenders (Senate Introducer's Mem in Support, Bill Jacket, L 2007, ch 7 at 15). SOMTA was the result of a legislative determination that “[c]ivil and criminal processes have distinct but overlapping goals, and both should be part of an integrated approach that is based on evolving scientific understanding, flexible enough to respond to current needs of individual [sex] offenders, and sufficient to provide meaningful treatment and to protect the public” (Mental Hygiene Law § 10.01 [a]). To that end, the legislature formulated a two-tiered civil management scheme for certain recidivistic sex offenders that “pose a danger to society” due to “mental abnormalities that predispose them to engage in repeated sex offenses” (*id.* § 10.01 [a], [b], [c]).

In an effort to balance the significant civil liberties and treatment needs of sex offenders with the State's interest in protecting potential victims and preventing sexual assaults, Mental Hygiene Law article 10 contains a detailed procedure for the evaluation of detained sex offenders by mental health professionals before release from incarceration. The Office of Mental Health (OMH) initiates a case review of high risk offenders to assess whether any should be recommended for treatment in the community or civil commitment (*see id.* § 10.05 [a], [b], [d], [e]). Two levels of case review by qualified personnel are undertaken, which usually includes a psychiatric examination of the candidate, to identify sex offenders who may have a mental abnormality (*see id.* § 10.05 [d]-[f]). If the candidate is deemed eligible for civil management, OMH notifies the offender of this status (*see id.* § 10.05 [g]). OMH also submits its recommendation to the Attorney General's Office, which may, in its discre-

tion, file a petition seeking civil management of the offender (*see id.* §§ 10.05 [g]; 10.06 [a]). If a petition is filed, the candidate for civil commitment receives appointed counsel and, within 30 days, the court holds a hearing to determine whether there is probable cause to believe that the offender requires civil management (*id.* § 10.06 [c], [g], [k]). In the event that probable cause is found, a jury ultimately resolves the question “whether the respondent is a detained sex offender who suffers from a mental abnormality” (*id.* § 10.07 [a]).¹ Thus, the statutory scheme requires that OMH, the Attorney General’s Office, and a jury determine, as a threshold matter, that a sex offender suffers from a mental abnormality before that individual may be subjected to any category of civil management.

Following a finding of mental abnormality and after the presentation of additional evidence, the court considers which of two available dispositions is appropriate: (1) strict and intensive supervision and treatment (SIST) or (2) civil confinement in an OMH facility (*see id.* § 10.07 [f]; *Matter of State of New York v Nelson D.*, 22 NY3d 233, 238 [2013]). An offender ordered to participate in SIST returns to the community under the supervision of parole officers and must abide by specified conditions and comply with a course of treatment prescribed by the individual’s treating medical professional (*see* Mental Hygiene Law § 10.11 [a]).²

If the court determines, by clear and convincing evidence, that the individual is a “[d]angerous sex offender requiring confinement,” it must order the person confined to a secure treatment facility (*id.* § 10.03 [e]; *see id.* § 10.07 [f]). In these cases, the court must find that the offender’s mental abnormality involves “such a strong predisposition to commit sex offenses, and such an inability to control behavior, that the person is likely to be a danger to others and to commit sex offenses if not confined” (*id.* §§ 10.03 [e]; 10.07 [f]).

Neither disposition, however, terminates the court’s review of an offender’s civil management program. An offender may petition the court for discharge at any time and is entitled to an annual review and an evidentiary hearing at least once each year

1. A sex offender may waive the right to have mental abnormality determined by a jury and elect a non-jury trial (*see* Mental Hygiene Law § 10.07 [d]).

2. Examples of these conditions include electronic monitoring, polygraph monitoring, residency limitations, prohibition of contact with past or potential victims and parole supervision (*see* Mental Hygiene Law § 10.11).

(see *id.* § 10.09). These safeguards are designed to ensure that only persons who continue to suffer from mental abnormalities and cannot control their sexual misconduct remain subject to civil management.

I now turn to the cases before us.

II.

In *Matter of State of New York v Donald DD.*, the majority holds that a detained sex offender cannot be subjected to civil management solely because the individual is diagnosed as suffering from antisocial personality disorder (ASPD) (see majority op at 188-191). I agree with this statement. The State cannot civilly confine or supervise someone under article 10 of the Mental Hygiene Law simply because that person has been diagnosed with a disorder or condition, paraphiliac or otherwise. Rather, under the Mental Hygiene Law and principles of due process, the State can only civilly manage a sex offender who has a mental abnormality, which requires not just the diagnosis of a predicate disorder but also proof that the disorder predisposes the offender to commit sexual misconduct related to serious difficulty controlling such behavior (see Mental Hygiene Law § 10.03 [i]).

As I read the majority's opinion, it is declaring that because ASPD does not always predispose an individual to commit sex crimes, ASPD can never qualify as a predicate disorder in a civil management proceeding. The fundamental flaw in this view is that it equates a "congenital or acquired condition, disease or disorder" with a "mental abnormality," thereby requiring that the predicate disorder itself inherently include the additional predisposition and impulse control elements of Mental Hygiene Law § 10.03 (i) (see majority op at 177, 190-191). This interpretation directly conflicts with the language of the statute and unduly narrows the definition of mental abnormality in a manner that principles of substantive due process do not require.

I begin my analysis with the federal case law that has served as the backdrop to the definition of "mental abnormality" in Mental Hygiene Law § 10.03 (i). In *Kansas v Hendricks*, the United States Supreme Court upheld a statute providing for the civil confinement of sexually violent predators who suffered from a "mental abnormality," the definition of which was similar to that which was subsequently enacted in Mental Hygiene Law § 10.03 (i) (521 US 346, 352 [1997]). In rejecting a substantive due process challenge to the Kansas statute, the Supreme

Court recognized that legal definitions of terms such as mental abnormality “need not mirror those advanced by the medical profession” (*id.* at 359). The Court therefore concluded that the civil confinement statute satisfied due process requirements because it did not predicate civil confinement on a finding of dangerousness alone but also required “proof of some additional factor, such as a . . . ‘mental abnormality’ ” that made it difficult for an offender to control dangerous sexual behavior (*id.* at 358-359). As applied to the facts in *Hendricks*, the Court held that the offender’s “admitted lack of volitional control, coupled with a prediction of future dangerousness, adequately distinguish[ed] [him] from other dangerous persons who are perhaps more properly dealt with exclusively through criminal proceedings” (*id.* at 360).

Later, in *Kansas v Crane* (534 US 407 [2002]), the United States Supreme Court again reviewed Kansas’s confinement statute. In addressing a constitutional challenge, the Supreme Court clarified that, although a State must connect a mental condition and dangerousness finding to an inability to control sexual behavior, the State need not prove that a sex offender lacks total control over the offensive conduct (*see id.* at 410-413). A “serious difficulty in controlling behavior,” the Court postulated, can be adequate “when viewed in light of such features of the case as the nature of the psychiatric diagnosis, and the severity of the mental abnormality itself, . . . to distinguish the dangerous sexual offender whose serious mental illness, abnormality, or disorder subjects him to civil commitment from the dangerous but typical recidivist convicted in an ordinary criminal case” (*id.* at 413). Significantly, the Court emphasized that “the States retain considerable leeway in defining the mental abnormalities and *personality disorders* that make an individual eligible for commitment” (*id.* [emphasis added]).

The adoption of New York’s civil management scheme reflects this federal precedent. The statute requires that all offenders subject to civil management, including SIST, must be found to have a mental abnormality as a threshold qualification. Mental Hygiene Law § 10.03 (i) defines a mental abnormality as

“a congenital or acquired condition, disease or disorder that affects the emotional, cognitive, or volitional capacity of a person in a manner that predisposes him or her to the commission of conduct

constituting a sex offense and that results in that person having serious difficulty in controlling such conduct.”

Article 10 authorizes civil confinement only of those sex offenders whose “mental abnormality” involves such a strong disposition to commit sexual misconduct and inability to control behavior that the person is dangerous to society (Mental Hygiene Law §§ 10.03 [e]; 10.07 [f]). Drawing from *Hendricks* and *Crane*, the statutory structure does not run afoul of substantive due process because it requires the State to prove that the individual is dangerous, and the dangerousness must be coupled with a mental abnormality, which—by definition—incorporates a requirement that the offender have serious difficulty with behavioral control. Thus, where the State’s evidence conforms to the statutory definition of a mental abnormality, i.e., the State shows that the offender suffers from any “congenital or acquired condition, disease or disorder” that predisposes the person to sexual misconduct and results in difficulty controlling sexual urges, due process is satisfied and the offender may be subjected to either SIST or civil confinement depending on the risk of danger to the community (*id.* § 10.03 [i]).

The majority concludes that ASPD “cannot be used to support a finding that [an offender] has a mental abnormality . . . when it is not accompanied by any other diagnosis of mental abnormality” (majority op at 177). The obvious flaw in this position is that a “congenital or acquired . . . disorder” is, under the language of Mental Hygiene Law § 10.03 (i), only one element of a mental abnormality finding—not the equivalent thereof. In conflating the predicate disorder with the mental abnormality, the majority implicitly injects a requirement that the underlying disorder be “sexually-related” into Mental Hygiene Law § 10.03 (i) on the mistaken premise that such a requirement is necessary to distinguish an offender subject to civil management from a “typical recidivist convicted in an ordinary criminal case” (majority op at 189). Neither the plain language of the statute nor due process compels this conclusion (*see* Mental Hygiene Law § 10.03 [i]; *see generally* *Crane*, 534 US at 411-414; *Hendricks*, 521 US at 357-360). Instead, it is the effect of the condition—sexually-related or not—on the offender’s capacities and ability to control sexual impulses that is key. Where a disorder predisposes a person to sex offending by impacting the individual’s cognitive, volitional, or emotional

capacities, it is the interplay of these factors and the concomitant impulse control problems—not the inherently sexual nature of the predicate disorder—that distinguishes an offender subject to management from a “dangerous but typical recidivist” (*Crane*, 534 US at 413). Whether a disorder such as ASPD has the necessary effect on the offender to support a mental abnormality finding must therefore be determined on a case-by-case basis.³

The majority’s misreading of the Mental Hygiene Law does not simply mean that a sex offender cannot be civilly confined where ASPD is the predicate disorder for a mental abnormality finding, although that is the result in this particular case. Because a finding of mental abnormality is a precursor to a determination of whether SIST is appropriate, the majority necessarily holds that offenders cannot be compelled to participate in SIST on the basis of an ASPD diagnosis. This outcome is unfortunate since the elimination of treatment after release into the community exposes these offenders to a greater risk of re-offending and is detrimental to the protection of the public.

The majority assures us that it is not basing its conclusion that ASPD is per se insufficient as a predicate disorder in the civil management context on research not properly before us or their “own armchair psychology” (majority op at 190). The majority purports to rely on the testimony of the State’s experts at Donald DD.’s mental abnormality trial (*see* majority op at 190). Dr. Hamill did concede that “ASPD does not ‘in and of itself predispose a person to commit conduct constituting a sex offense’ ” (majority op at 184). But the majority’s interpretation of this testimony as some type of concession that ASPD may never constitute a condition that predisposes an individual to sex offending is, at best, a mischaracterization of the stated opinion (*see* majority op at 190-191), and reflects its flawed equation of the predicate “disorder” or “condition” to a “mental abnormality” (Mental Hygiene Law § 10.03 [i]). Taking Dr. Hamill’s testimony in context, the expert was accurately stating that, absent evidence connecting an ASPD diagnosis to a predisposition for committing sex offenses and lack of control, such diagnosis, like any other, does not satisfy the statutory definition of mental abnormality. By contrast, where the additional mental abnormality elements are present, ASPD may be a valid

3. As the majority acknowledges (*see* majority op at 191), ASPD is not a diagnosis premised on “junk science” or one that has been uniformly rejected by the mental health community (*see Matter of State of New York v Shannon S.*, 20 NY3d 99, 106 [2012], *cert denied* 568 US —, 133 S Ct 1500 [2013]).

diagnosis in a civil management case. For this reason, Dr. Hamill opined that Donald DD.'s ASPD did predispose him to commit sex offenses and caused him to have serious difficulty controlling his sexual impulses.

With regard to the majority's concern that ASPD is too prevalent a diagnosis to distinguish sex offenders subject to civil management from the mental condition of many others in the prison population, it is the impaired impulse control that provides the necessary distinction. The prevalence of ASPD among non-sex offenders and whether ASPD generally predisposes all who suffer from it to the commission of sex offenses is irrelevant. Mental Hygiene Law § 10.03 (i) and due process require only that the State prove that the predicate disorder—here ASPD—affects the emotional, cognitive, or volitional capacity of the specific offender in such a manner that it predisposes the offender to commit sex offenses and have serious difficulty controlling sexual impulses (*see* Mental Hygiene Law § 10.03 [i]). In other words, the crucial distinction between other criminal recidivists and those subject to civil management is not whether the two categories of offenders carry a similar diagnosis but whether their mental condition—as evaluated by experts—affects them in such a way that the remaining mandatory elements of a mental abnormality are present.

Reading Mental Hygiene Law § 10.03 (i) within the confines of due process to permit the use of ASPD in the mental hygiene context does not permit the State to use article 10 to unjustly confine vast numbers of persons convicted of sex offenses. Although a certain percentage of the incarcerated may meet the diagnostic criteria for ASPD, the disorder concededly manifests in such a manner as to predispose the individual to the commission of sex offenses in a limited subset of ASPD sufferers (*see* majority op at 190). Those few who meet the ASPD diagnostic criteria and whose disorder manifests in such a way that the additional elements of a mental abnormality exist are sufficiently distinguishable from recidivists on a broader level. Notably, courts of other states have upheld civil confinement on an ASPD diagnosis standing alone (*see Commonwealth v Mazzarino*, 81 Mass App Ct 358, 369, 963 NE2d 112, 121 [2012], *review denied* 462 Mass 1109, 970 NE2d 333 [2012]; *In re Civil Commitment of K.J.W.*, 2012 WL 5372393, *2-3, 2012 NJ Super Unpub LEXIS 2443, *3-7 [App Div 2012]; *In re Detention of Shaw*, 165 Wash App 1021 [2011]; *In re Detention of Barnes*, 689 NW2d 455, 459 [Iowa 2004]; *In re Commitment of Adams*, 223 Wis 2d 60, 65-71,

588 NW2d 336, 338-341 [Ct App 1998]). Despite the majority's dissatisfaction with the implications of article 10, our analysis must be based on the law as the legislature and Governor saw fit to enact because the statute—and the viability of ASPD as a predicate disorder under the statutory definition of mental abnormality—comports with due process. Consequently, where the State presents clear and convincing evidence through expert testimony linking an offender's ASPD to a predisposition for the commission of sex offenses and an inability to control his or her conduct, the mental abnormality finding should be upheld.

Examined in this light, the State's evidence in Donald DD.'s case was clearly legally sufficient (*see Matter of State of New York v John S.*, 23 NY3d 326, 349 [2014], *rearg denied* 24 NY3d 933 [2014]). Three psychologists, Drs. Hamill, Kunkle, and Cederbaum, diagnosed Donald DD. with ASPD and explained their basis for that diagnosis, namely Donald DD.'s criminal history, violent conduct, inability to maintain consistent long-term employment, failure to show remorse, and tendency to blame his victims. Although Drs. Kunkle and Hamill agreed that a diagnosis of ASPD does not automatically mean that an individual suffers from a mental abnormality, in Donald DD.'s case, they concluded that ASPD predisposed him to commit sex offenses because it caused him to act out in a sexually aggressive manner against victims ranging in age. In addition, Dr. Hamill testified that Donald DD.'s ASPD affected his cognition and "emotionality" so that he had "cognitive distortions," which resulted in his inability to understand that his sexual misconduct was improper and allowed him to "give [himself] permission to act" in a sexually offensive manner. Drs. Kunkle and Hamill also testified that Donald DD. had serious difficulty controlling his sexual urges as a result of his ASPD, as evidenced by the early onset of his illegal sexual conduct, and his commission of sexual offenses while married and under parole or probation supervision. And, although Donald DD. presented an expert witness who disputed the State's proof, this conflicting testimony presented a question for the factfinder to resolve. Accordingly, on this record, I would uphold the jury's mental abnormality finding.

III.

Turning to the second case before us, in *Matter of State of New York v Kenneth T.*, I agree that it is necessary to reverse the finding of mental abnormality on legal insufficiency

grounds. I do not, however, concur with the majority that the State failed to present legally sufficient evidence to demonstrate that Kenneth T. had serious difficulty controlling his sexual impulses.

The evidence proffered to the factfinder at Kenneth T.'s trial established that he committed his first violent sex offense while on parole for a non-sex offense crime, during daylight hours and in an area that he frequented. Dr. Kirschner opined that these circumstances indicated that Kenneth T. had difficulty controlling his impulses because the likelihood that he would be recognized in an area that he frequented "did not serve as a deterrent," as it perhaps would to a person who simply saw an opportunity to act out with impunity. Thus, Dr. Kirschner opined that Kenneth T. lacks sufficient impulse control and "has very little braking mechanism to stop his impulses once [they are] set in motion."

The circumstances of Kenneth T.'s second offense also support Dr. Kirschner's conclusion that Kenneth T. had serious difficulty controlling his sexual urges. Kenneth T. committed his second sexual act a mere 13 months after being released from 17 years of incarceration, which was apparently the consequence of his failure to curb his sexual impulses—he attempted to rape a female student who could easily identify him as an employee of the university that she attended. This offense took place in a public parking lot in the vicinity of Kenneth T.'s home. At the time, Kenneth T. was on parole and subject to sex offender registration. Dr. Kirschner testified that the circumstances of this sexual attack against someone who was familiar with him, and in a public place where he could be identified by a passerby who recognized him, demonstrated Kenneth T.'s "[p]oor impulse control" and that his ASPD affected his "volitional capacity."

The majority concludes that this evidence is legally insufficient to support a finding that Kenneth T. had "serious difficulty in controlling his sexual misconduct" because it is just as likely that he consciously chose to disregard his impulses (*see* majority op at 188). This rationale establishes an impossible standard. The majority fails to indicate exactly what other type of evidence a factfinder may rely upon to determine an offender's inability to control sexual behaviors, short of a clear admission from the offender regarding a lack of control over urges (*see* majority op at 188). Indeed, Dr. Etu reported that Kenneth T. admitted that he had "difficulty controlling his sexual impulses" (*see* majority op at 188 n 7). Contrary to the

majority's position, the circumstances surrounding the recurrence of criminal sexual conduct despite the prior imposition of severe sanctions for similar behavior are factors that are directly relevant to evaluating whether an offender struggles to control his sexual conduct (*see John S.*, 23 NY3d at 349; *Matter of State of New York v Shannon S.*, 20 NY3d 99, 108 [2012], *cert denied* 568 US —, 133 S Ct 1500 [2013]). I therefore cannot agree that the evidence was legally insufficient to demonstrate that Kenneth T. had serious difficulty controlling his behavior. But my analysis does not end here.

I conclude that the determination of mental abnormality must be reversed since the State failed to present legally sufficient evidence to support its proffered diagnosis of paraphilia NOS, nonconsenting partners. Like the majority (*see majority op at* 186-187), I do not believe that resolution of Kenneth T.'s case requires us to revisit our holding in *Matter of State of New York v Shannon S.* (20 NY3d 99 [2012]). There, a majority of this Court rejected the respondent's challenge to the viability of paraphilia NOS as a predicate condition, holding that a condition need not be listed in the Diagnostic and Statistical Manual of Mental Disorders to so qualify (*see id.* at 106). Further, we explained that "[a]ny professional debate over the viability and reliability" of predicate conditions is an issue properly reserved for resolution by the factfinder (*id.* at 107). Those same principles apply in this case, but the State must present "an adequate record" for the factfinder and reviewing courts to assess the applicability of the asserted diagnosis (*id.*). In this respect, assuming without deciding that paraphilia NOS, nonconsenting, is a valid diagnosis, the evidence presented was insufficient.

At Kenneth T.'s trial, Dr. Kirschner testified that paraphilia NOS generally involved "sexual fantasies, urges or behaviors directed . . . at inanimate objects or non-consenting partners or minors" and that Kenneth T., specifically, "has sexual fantasies, urges or behaviors involving non-consenting partners." Although Dr. Kirschner claimed that he could "infer[]" that Kenneth T. had paraphilia NOS, nonconsenting, from "the evidence or the record," he also stated that he was "not sure" he would infer that Kenneth T. was aroused by the nonconsensual nature of his sexual misconduct. Dr. Kirschner admitted that he did not believe that it "really . . . matter[ed]" whether Kenneth T.'s sexual crimes were the result of a paraphilia and he conceded that, on these facts, he could not distinguish Kenneth T. from a rapist motivated by a need for power and control

rather than paraphiliac urges. In his view, whether Kenneth T.'s predisposition to commit sex crimes was caused by a "congenital or acquired condition, disease or disorder" was irrelevant (Mental Hygiene Law § 10.03 [i]). According to his testimony, paraphilia NOS, nonconsenting, may be diagnosed through evidence of the offender's fantasies and feelings related specifically to the nonconsensual aspect of an offense. Any such proof, however, was admittedly lacking here. Because Dr. Kirschner grounded his opinion that Kenneth T. suffered from a mental abnormality on both the ASPD and paraphilia NOS diagnoses and the two cannot be separated based on the testimony adduced, the mental abnormality finding must be reversed.

IV.

For the foregoing reasons, I respectfully dissent in *Matter of State of New York v Donald DD.* and concur in result only in *Matter of State of New York v Kenneth T.*

Chief Judge LIPPMAN and Judges SMITH and RIVERA concur; Judge GRAFFEO dissents in an opinion in which Judges READ and ABDUS-SALAAM concur.

In *Matter of State of New York v Donald DD.*: Order reversed, without costs, and petition dismissed.

Chief Judge LIPPMAN and Judges SMITH and RIVERA concur; Judge GRAFFEO concurs in an opinion in which Judges READ and ABDUS-SALAAM concur.

In *Matter of State of New York v Kenneth T.*: Order reversed, without costs, and petition dismissed.

[21 NE3d 995, 997 NYS2d 334]

JOHN W. GRACE, Respondent, v MICHAEL R. LAW et al., Appellants.

Argued September 17, 2014; decided October 21, 2014

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Fourth Judicial Department, from an order of that Court, entered July 19, 2013. The Appellate Division affirmed so much of an order of the Supreme Court, Erie County (Shirley Troutman, J.), as had (1) denied the motion of defendants Robert L. Brenna, Jr., and Brenna, Brenna & Boyce, PLLC for summary judgment; and (2) denied that part of the cross motion of defendants Michael R. Law and Phillips Lytle LLP seeking summary judgment. The following question was certified by the Appellate Division: “Was the order of this Court entered July 19, 2013, properly made?”

Grace v Law, 108 AD3d 1173, affirmed.

HEADNOTES

Attorney and Client — Malpractice — Client’s Failure to Pursue Appeal in Underlying Action — Likely to Succeed Standard

1. A client who fails to pursue an appeal in an underlying action is barred from maintaining a legal malpractice action against his or her attorneys only where the client was likely to have succeeded on appeal in the underlying action. Prior to commencing a legal malpractice action, a party who is likely to succeed on appeal of the underlying action should be required to press an appeal. However, if the client is not likely to succeed, he or she may bring a legal malpractice action without first pursuing an appeal of the underlying action. This standard will obviate premature legal malpractice actions by allowing the appellate courts to correct any trial court error and allow attorneys to avoid unnecessary malpractice lawsuits by being given the opportunity to rectify their clients’ unfavorable result.

Attorney and Client — Malpractice — Summary Judgment Motion — Failure to Show That Plaintiff was Likely to Succeed on Appeal in Underlying Action

2. In a legal malpractice action commenced by plaintiff against defendants, who represented him in an underlying medical malpractice action in which plaintiff withdrew his final claim and failed to pursue an appeal after other claims against the allegedly negligent doctor and her private university employer were dismissed as time-barred and a claim against the government agency with which the doctor contracted was dismissed for lack of jurisdiction, the Appellate Division properly held that defendants were not entitled to summary judgment dismissing the complaint inasmuch as they failed to provide sufficient evidence to determine that plaintiff would have been successful on appeal. A client who fails to pursue an appeal in an underlying action is

barred from maintaining a legal malpractice action against his or her attorneys only where the client was likely to have succeeded on appeal in the underlying action. The court in the medical malpractice action determined that the doctor was an independent contractor rather than an employee of the agency, and thus, jurisdiction was lacking for plaintiff's claim that the agency was liable for the doctor's actions. While defendants submitted the contract between the agency and the doctor, which indicated that the doctor was required to work at the clinic six days per month, that she was under the general direction of the agency, and that the university paid her salary but was reimbursed by the agency, that information was insufficient to definitively determine whether the doctor was an employee of the agency.

Limitation of Actions — Legal Malpractice — Continuous Representation

3. In a legal malpractice action in which defendants, who initially undertook to represent plaintiff in an underlying medical malpractice action but then withdrew as counsel upon learning that the allegedly negligent doctor was employed by one of their existing clients, the Appellate Division properly denied defendants' motion for summary judgment on the ground that plaintiff's claims against them were time-barred. The rule of continuous representation tolls the running of the three-year statute of limitations on a legal malpractice claim until the ongoing representation is completed. While defendants claimed that plaintiff should have known about their inability to represent him on a date that fell outside the limitations period, plaintiff, by demonstrating that the official order substituting counsel was issued on a date within the limitations period, raised a triable issue of fact as to whether the doctrine of continuous representation tolled the statute of limitations because it was unclear when defendants' representation of plaintiff ended.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Attorneys at Law §§ 201, 203, 210, 220–224, 230; AM JUR 2d, Summary Judgment §§ 17, 23.
CARMODY-WAIT 2d, Officers of Court §§ 3:453, 3:454;
CARMODY-WAIT 2d, Limitation of Actions § 13:336;
CARMODY-WAIT 2d, Summary Judgment §§ 39:54, 39:170.
DOBBS LAW OF TORTS §§ 246, 718, 722, 723, 728.
NY JUR 2d, Limitations and Laches § 232; NY JUR 2d, Malpractice §§ 43, 79, 80, 91, 95–97; NY JUR 2d, Summary Judgment and Pretrial Motions to Dismiss §§ 33, 35, 46, 80.
NEW YORK LAW OF TORTS §§ 13:31, 13:34, 13:37.
SIEGEL, NY PRAC §§ 42, 43, 278, 281.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Attorney Malpractice; Limitation of Actions; Summary Judgment.

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POINTS OF COUNSEL

Michael Hutter, Albany, and *Phillips Lytle LLP*, Buffalo (*Kevin J. English* and *Andrew P. Devine* of counsel), for Michael R. Law and another, appellants. I. Under New York law, John W. Grace waived his legal malpractice claim. (*Rodriguez v Fredericks*, 213 AD2d 176; *Rudolf v Shayne, Dachs, Stanisci, Corker & Sauer*, 8 NY3d 438.) II. This Court should reject the “likely to succeed on appeal” standard. (*Rupert v Gates & Adams, PC.*, 83 AD3d 1393; *Rodriguez v Fredericks*, 213 AD2d 176; *Lurch v United States*, 719 F2d 333, 466 US 927.) III. The requirement of the full record from the underlying case conflicts with this Court’s holding in *Zuckerman v City of New York* (49 NY2d 557 [1980]). IV. John W. Grace’s discontinuance of his appeal and claim—which were not frivolous, and the record before the court gave reasonable cause to believe that a valid appeal and claim existed—precludes him from suing Michael R. Law and Phillips Lytle LLP. (*Sands v State of New York*, 49 AD3d 444; *Matter of Santana v New York State Thruway Auth.*, 92 Misc 2d 1.)

Smith, Sovik, Kendrick & Sugnet, P.C., Syracuse (*Kevin E. Hulslander* of counsel), for Robert L. Brenna, Jr., and another, appellants. I. If the Court finds that this is not a case of first impression, then *Rupert v Gates & Adams, PC.* (83 AD3d 1393 [2011]) and *Rodriguez v Fredericks* (213 AD2d 176 [1995]) control, and plaintiff’s claim for legal malpractice cannot proceed because plaintiff directed the termination of the underlying case. (*Andre v Pomeroy*, 35 NY2d 361; *Reinert v Town of Johnsbury*, 99 AD2d 572; *Alvarez v Prospect Hosp.*, 68 NY2d 320; *Zuckerman v City of New York*, 49 NY2d 557; *Raux v City of Utica*, 59 AD3d 984; *Kirbis v LPCiminelli, Inc.*, 90 AD3d 1581; *Persaud v Darbeau*, 13 AD3d 347; *Murray Warehouse v Abelow*, 170 AD2d 1027; *Forest City Enters., Inc. v Russo*, 8 Misc 3d 151; *Lue v Finkelstein & Partners, LLP*, 67 AD3d 1187.) II. If the Court finds that this is a case of first impression, then it should find that a party waives his right to commence a legal malpractice action where he terminates an underlying action in which a cause of action is ripe for trial and a meritorious appeal is pending. III. The public policy concerns raised by this matter necessitate a finding in favor of the appellants.

LoTempio & Brown, P.C., Buffalo (*Brian J. Bogner* of counsel), for respondent. I. Michael R. Law and Phillips Lytle LLP

abandoned their appeal with respect to the denial of their motion for summary judgment on the statute of limitations grounds. (*De Leon v New York City Tr. Auth.*, 50 NY2d 176; *Clarke v Dangelo*, 109 AD3d 1194; *Mills v Chauvin*, 103 AD3d 1041; *Rodriguez v Dormitory Auth. of the State of N.Y.*, 104 AD3d 529; *Goldstein v Held*, 52 AD3d 471.) II. The majority properly rejected the per se rule advocated by Michael R. Law and Phillips Lytle LLP. (*Rupert v Gates & Adams, P.C.*, 83 AD3d 1393; *Rodriguez v Fredericks*, 213 AD2d 176.) III. Pursuing the remaining claim against the Veterans Administration Hospital would not have led to a full recovery. IV. The meritorious appeal or reasonably prudent party standard should be rejected. (*Rudolf v Shayne, Dachs, Stanisci, Corker & Sauer*, 8 NY3d 438; *Velie v Ellis Law, P.C.*, 48 AD3d 674; *Boglia v Greenberg*, 63 AD3d 973; *Sands v State of New York*, 49 AD3d 444.) V. The majority's likely to succeed standard and previous would have succeeded standard should also be rejected. (*Brummer v Barnes Firm, P.C.*, 56 AD3d 1177.) VI. Even if this Court applies the would have succeeded standard, the likely to succeed standard, the meritorious appeal standard or the reasonably prudent party standard, the summary judgment motions were properly denied. (*Orphan v Pilnik*, 15 NY3d 907; *Gray v Williams*, 108 AD3d 1085; *Rodriguez v New York City Health & Hosps. Corp.*, 50 AD3d 464; *Evans v Holleran*, 198 AD2d 472; *Hylick v Halweil*, 112 AD2d 400; *Genesee/Wyoming YMCA v Bovis Lend Lease LMB, Inc.*, 98 AD3d 1242.) VII. The Fourth Department's decision does not conflict with this Court's prior ruling in *Zuckerman v City of New York* (49 NY2d 557 [1980]). VIII. The majority properly rejected the per se rule advocated by Robert L. Brenna, Jr., and Brenna, Brenna & Boyce, PLLC. (*Rupert v Gates & Adams, P.C.*, 83 AD3d 1393; *Rodriguez v Fredericks*, 213 AD2d 176.) IX. Pursuing the remaining claim against the Veterans Administration Hospital would not have led to a full recovery. X. There is no evidence that John W. Grace's current attorney directed Grace to discontinue the remaining cause of action against the Veterans Administration Hospital to pursue a claim against his former attorneys for legal malpractice.

OPINION OF THE COURT

ABDUS-SALAAM, J.

We are presented with an issue of first impression for this Court:

What effect does a client's failure to pursue an appeal in an underlying action have on his or her ability to maintain a legal

malpractice lawsuit? We hold that the failure to appeal bars the legal malpractice action only where the client was likely to have succeeded on appeal in the underlying action.

I

In October 2002, plaintiff John W. Grace began receiving treatment for an eye condition at the Veterans Administration Rochester Outpatient Clinic (VA Clinic) from ophthalmologist Dr. Shobha Boghani. Plaintiff's July 2003 appointment with her, however, was cancelled and not rescheduled for approximately one year. When plaintiff returned in August 2004, another VA ophthalmologist scheduled a consultation for plaintiff with Rochester Eye Associates. During that appointment, plaintiff was diagnosed with neovascular glaucoma, which ultimately left him blind in his right eye. At some point, plaintiff apparently learned that his blindness may have been prevented had it been detected earlier.

In August 2006, plaintiff retained Robert L. Brenna, Jr. and Brenna, Brenna & Boyce, PLLC (the Brenna defendants), to bring an administrative proceeding against the Veterans Administration (the VA) for malpractice due to its alleged failure to diagnose the eye condition and follow up with plaintiff after the VA canceled his July 2003 appointment. When delays occurred in the proceeding that the Brenna defendants brought on plaintiff's behalf, they recommended that plaintiff retain Michael R. Law and Phillips Lytle LLP (the Law defendants) to pursue a medical malpractice action against the VA.

In January 2008, plaintiff, represented by the Law defendants, filed an action in federal court against the United States and the VA under the Federal Tort Claims Act for medical malpractice and negligence in cancelling his July 2003 appointment (hereinafter the underlying action). At some point, the Law defendants learned that Dr. Boghani was not employed by the VA but was instead an employee of the University of Rochester (University), one of their existing clients. Because of this conflict, they informed plaintiff that they could no longer represent him. The Brenna defendants resumed representation of plaintiff. On December 8, 2008, an order was signed by the District Court, directing the substitution of counsel.

The VA was granted leave to commence a third-party action against Dr. Boghani and the University. Plaintiff amended his complaint to add Dr. Boghani and the University as defendants. Dr. Boghani and the University moved for summary judgment

dismissing the claims against them as time-barred. The VA also moved for summary judgment based upon lack of jurisdiction, alleging that it was not liable to plaintiff because Dr. Boghani was not its employee.

Holding that plaintiff's claims against Dr. Boghani and the University were time-barred, the United States District Court for the Western District of New York granted defendants' motion for summary judgment (*see Grace v United States*, 754 F Supp 2d 585, 602 [WD NY 2010]). The court determined that Dr. Boghani was an independent contractor, not an employee of the VA, and thus, jurisdiction was lacking for plaintiff's claim that it was liable for Dr. Boghani's actions. The court granted the VA's motion for summary judgment to that extent (*see id.* at 597-598). Plaintiff's remaining claim for malpractice based on the VA's failure to reschedule his appointment, however, survived the VA's motion.

Thereafter, Brenna sent plaintiff a letter which stated that plaintiff was unlikely to succeed on the remaining claim against the VA, and that a trial on that claim would be lengthy and, due to expert costs, expensive. Plaintiff thus directed the Brenna defendants to discontinue the underlying action.

Subsequently, plaintiff retained his current counsel to sue the Brenna defendants and the Law defendants for legal malpractice in failing to timely sue Dr. Boghani and the University. The Law defendants answered that plaintiff was estopped from commencing this action because he failed to appeal the underlying action. They later moved for leave to amend their answer to assert a statute of limitations defense, and upon amendment, for summary judgment in their favor, dismissing the complaint. The Brenna defendants also moved for summary judgment. They argued that plaintiff voluntarily discontinued the underlying action, thus forfeiting any right he may have had to pursue this legal malpractice action, and that they were not responsible for the Law defendants' failure to initially sue Dr. Boghani and the University because they did not initiate the action.

Supreme Court granted the Law defendants' motion to amend their answer, denied their motion for summary judgment, and denied the Brenna defendants' motion for summary judgment. Both defendants appealed.

The Appellate Division, with one justice dissenting, affirmed the Supreme Court order (*Grace v Law*, 108 AD3d 1173 [4th Dept 2013]). The court observed that while this is an issue of

first impression in New York, a per se rule that failure to appeal in an underlying action bars a legal malpractice claim has been rejected by several of our sister states. The court concluded that “defendants failed to establish that plaintiff was likely to succeed on an appeal . . . and, therefore, that their alleged negligence was not a proximate cause of his damages” (*id.* at 1176). The court determined that the record was insufficient to hold that defendants’ “representation of plaintiff did not preclude him from prevailing in the underlying lawsuit or upon appeal” (*id.* [brackets omitted]). In denying the Law defendants’ motion for summary judgment, the court held that “the continuous representation doctrine applied to toll the statute of limitations” (*id.* at 1177).¹

The Appellate Division granted defendants’ motions for leave to appeal to this Court (109 AD3d 1222 [2013]), and certified the question of whether the order was properly made.

II

While this Court has not had occasion to enunciate the appropriate standard for bringing legal malpractice lawsuits in the circumstances presented here, the Appellate Division Departments have examined similar circumstances (*see Rupert v Gates & Adams, PC.*, 83 AD3d 1393 [4th Dept 2011]; *Rodriguez v Fredericks*, 213 AD2d 176 [1st Dept 1995]). Those decisions—presented in the settlement context—generally stand for the proposition that an attorney should be given the opportunity to vindicate him or herself on appeal of an underlying action prior to being subjected to a legal malpractice suit.

Defendants contend that a plaintiff forfeits his or her opportunity to commence a legal malpractice action when he or she fails to pursue a nonfrivolous or meritorious appeal that a reasonable lawyer would pursue (*see Sands v State of New York*, 49 AD3d 444, 444 [1st Dept 2008]; *see also MB Indus., LLC v CNA Ins. Co.*, 74 So 3d 1173 [La 2011]; *Rondeno v Law Off. of William S. Vincent, Jr.*, 111 So 3d 515, 524 [La Ct App, 4th Cir 2013]). In contrast, plaintiff urges us to adopt a “likely to succeed” standard. Courts applying the “likely to succeed” standard analyze whether a client can commence a legal malpractice action without taking an appeal in the underlying action based

1. The dissenting justice concluded that a nonfrivolous appeal standard should be applied, and because plaintiff’s claims in the underlying action were not frivolous, he should be required to appeal prior to bringing the legal malpractice suit.

upon the likelihood of success on that underlying appeal. In *Hewitt v Allen* (118 Nev 216, 43 P3d 345 [2002]), the Supreme Court of Nevada held that the voluntary dismissal of an underlying appeal does not constitute abandonment where the appeal “would be fruitless or without merit” (118 Nev at 218, 43 P3d at 346). The United States District Court for the District of Nevada interpreted *Hewitt* to mean that a defendant would have to show that the pending appeal was “likely” to succeed (*U-Haul Co. of Nevada, Inc. v Gregory J. Kamer, Ltd.*, 2013 WL 4505800, *2, 2013 US Dist LEXIS 119448, *5-6 [D Nev, Aug. 21, 2013, No. 2:12-CV-00231-KJD-CWH]). Florida courts have held that “[w]here a party’s loss results from judicial error occasioned by the attorney’s curable, nonprejudicial mistake in the conduct of the litigation, and the error would most likely have been corrected on appeal, the cause of action for legal malpractice is abandoned if a final appellate decision is not obtained” (*Segall v Segall*, 632 So 2d 76, 78 [Fla Dist Ct App, 3d Dist 1993]; see *Technical Packaging, Inc. v Hanchett*, 992 So 2d 309, 316 [Fla Dist Ct App, 2d Dist 2008]; *Eastman v Flor-Ohio, Ltd.*, 744 So 2d 499, 504 [Fla Dist Ct App, 5th Dist 1999]).

Defendants argue that the “likely to succeed” standard should not be adopted because it requires courts to speculate on the outcome of the underlying appeal. They posit, nevertheless, that even were we to adopt the “likely to succeed” standard, plaintiff could have succeeded on an appeal of the underlying action and, thus, should not be allowed to sue them for legal malpractice.

[1] Here, the Appellate Division adopted the likely to succeed standard employed by our sister states with a proximate cause element.² We agree that this is the proper standard, and that prior to commencing a legal malpractice action, a party who is likely to succeed on appeal of the underlying action should be required to press an appeal. However, if the client is not likely to succeed, he or she may bring a legal malpractice action without first pursuing an appeal of the underlying action.

On balance, the likely to succeed standard is the most efficient and fair for all parties. This standard will obviate premature legal malpractice actions by allowing the appellate courts to correct any trial court error and allow attorneys to avoid unnecessary malpractice lawsuits by being given the opportunity to rectify their clients’ unfavorable result. Contrary

2. Utah courts too consider proximate cause in analyzing this issue (see *Crestwood Cove Apts. Bus. Trust v Turner*, 164 P3d 1247 [Utah 2007]).

to defendants' assertion that this standard will require courts to speculate on the success of an appeal, courts engage in this type of analysis when deciding legal malpractice actions generally (see *Davis v Klein*, 88 NY2d 1008, 1009-1010 [1996] ["In order to establish a prima facie case of legal malpractice, a plaintiff must demonstrate that the plaintiff would have succeeded on the merits of the underlying action but for the attorney's negligence"]; see also *Rudolf v Shayne, Dachs, Stanisci, Corker & Sauer*, 8 NY3d 438, 442-443 [2007]; *McKenna v Forsyth & Forsyth*, 280 AD2d 79, 82 [4th Dept 2001]). We reject the nonfrivolous/meritorious appeal standard proposed by defendants as that would require virtually any client to pursue an appeal prior to suing for legal malpractice.

III

[2] Applying the likely to succeed standard to the merits of this case, the Appellate Division reached the correct result.

On this record, defendants failed to provide sufficient evidence to determine that plaintiff would have been successful on appeal in demonstrating that Dr. Boghani was a VA employee, rather than an independent contractor counsel was required to name as a defendant separate from the VA (see *Leone v United States*, 910 F2d 46, 50 [2d Cir 1990], *cert denied* 499 US 905 [1991]; see also *United States v Orleans*, 425 US 807, 813 [1976]). As support, defendants submitted the contract between the VA and the University, which indicates, among other things, that Dr. Boghani was required to work at the VA Clinic six days per month, was under the general direction of the VA, and the University paid Dr. Boghani's salary but was reimbursed by the VA. This information is insufficient to definitively determine whether Dr. Boghani was a VA employee, and thus, the Appellate Division correctly held that defendants failed to meet their summary judgment burden on this issue.

[3] Regarding the Law defendants' motion for summary judgment on the ground that plaintiff's claims against them are time-barred, the statute of limitations in a legal malpractice action is three years from the accrual of the claim (see CPLR 214). Plaintiff commenced this action on December 5, 2011. The Law defendants claim that plaintiff should have known as early as September 26, 2008, that they would no longer be able to represent him and that the Brenna defendants would be taking over the case. Plaintiff, however, claims that he did not learn of the substitution of counsel until December 8, 2008, when the of-

ficial stipulated order substituting counsel was issued by the District Court.

“[T]he rule of continuous representation tolls the running of the [s]tatute of [l]imitations on the malpractice claim until the ongoing representation is completed” (*Shumsky v Eisenstein*, 96 NY2d 164, 167-168 [2001]). Plaintiff has raised a triable issue of fact as to whether the doctrine of continuous representation tolled the statute of limitations because it is unclear when the Law defendants’ representation of plaintiff ended. Therefore, the Appellate Division properly denied the Law defendants’ motion for summary judgment based on the statute of limitations.

Accordingly, the Appellate Division order should be affirmed, with costs, and the certified question answered in the affirmative.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH and RIVERA concur; Judge PIGOTT taking no part.

Order affirmed, with costs, and certified question answered in the affirmative.

[21 NE3d 1028, 997 NYS2d 367]

KENT FREZZELL, Appellant, v CITY OF NEW YORK et al., Respondents.

Argued October 15, 2014; decided November 20, 2014

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered April 23, 2013. The Appellate Division, with two Justices dissenting, affirmed an order of the Supreme Court, New York County (Geoffrey D. Wright, J.; op 2011 NY Slip Op 34148[U] [2011]), which had granted defendants' motion for summary judgment dismissing the complaint.

Frezzell v City of New York, 105 AD3d 620, affirmed.

HEADNOTE

Municipal Corporations — Tort Liability — Emergency Vehicles — “Reckless Disregard” as Standard for Liability — Patrol Vehicle Responding to Radio Call for Assistance Apprehending Armed and Fleeing Suspect

In an action arising after a patrol vehicle driven against the flow of traffic on a one-way street by defendant police officer collided with a patrol vehicle driven in the opposite direction by plaintiff police officer while both vehicles were responding to an urgent radio call for help in apprehending an armed and fleeing suspect, defendant officer and defendant municipality established that defendant officer's conduct did not amount to reckless disregard of a highly probable risk of harm with conscious indifference to the outcome for purposes of imposing liability under Vehicle and Traffic Law § 1104 (e), and plaintiff failed to raise a triable issue of fact in opposition. The evidence revealed that defendant officer slowed down as he turned on the one-way street and was driving below the speed limit on a clear and dry evening when the accident occurred. In addition, both defendant and his partner testified as to the preventative measures defendant took to avoid the collision, namely braking hard and veering to the side of the street. There were no triable issues of fact regarding whether defendant's vehicle was using its emergency lights and siren at the time of the accident. Notwithstanding an accident report indicating that defendant might have had to negotiate around a parked emergency services unit vehicle on the one-way street, plaintiff saw defendant's vehicle approach and turn onto the street, indicating that the line of vision was not completely obstructed, and plaintiff and defendant both claimed that the accident occurred “three or four” or “several” car-lengths down the street—not at the corner of the intersection. Finally, whether defendant should have responded to the radio call at all was an issue beyond the scope of the statute.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Automobiles and Highway Traffic §§ 945, 946;

AM JUR 2d, Municipal, County, School, and State Tort Liability §§ 418–420.

DOBBS LAW OF TORTS §§ 140, 143.

McKINNEY'S, Vehicle and Traffic Law § 1104 (e).

NY JUR 2d, Automobiles and Other Vehicles §§ 711, 781;

NY JUR 2d, Government Tort Liability §§ 148, 149.

NEW YORK LAW OF TORTS §§ 17:15, 17:65.

ANNOTATION REFERENCE

See ALR Index under Automobiles and Highway Traffic; Police and Law Enforcement Officers.

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Database: NY-ORCS

Query: police /s vehicle /s reckless /2 disregard /s liability
& duty /s emergency

POINTS OF COUNSEL

Parker Waichman, LLP, Port Washington (*Jay L.T. Breakstone* and *Brett A. Zekowski* of counsel), for appellant. Material questions of fact precluded the grant of summary judgment as a matter of law. (*Alvarez v Prospect Hosp.*, 68 NY2d 320; *Winegrad v New York Univ. Med. Ctr.*, 64 NY2d 851; *Zuckerman v City of New York*, 49 NY2d 557; *Sillman v Twentieth Century-Fox Film Corp.*, 3 NY2d 395; *William J. Jenack Estate Appraisers & Auctioneers, Inc. v Rabizadeh*, 22 NY3d 470; *Saarinen v Kerr*, 84 NY2d 494; *Corallo v Martino*, 58 AD3d 792; *Burrell v City of New York*, 49 AD3d 482; *Badalamenti v City of New York*, 30 AD3d 452; *O'Connor v City of New York*, 280 AD2d 309.)

Zachary W. Carter, Corporation Counsel, New York City (*Victoria Scalzo* and *Kristin M. Helmers* of counsel), for respondents. I. This Court lacks jurisdiction to hear this appeal because no question of law is presented and, therefore, the appeal should be dismissed. (*Guaspari v Gorsky*, 29 NY2d 891; *Merrill v Albany Med. Ctr. Hosp.*, 71 NY2d 990; *Matter of Rashaun S.*, 10 NY3d 895.) II. The Appellate Division correctly affirmed the Supreme Court's finding that defendants established their entitlement to summary judgment based on an absence of proof of recklessness and because plaintiff failed to demonstrate the existence of a triable issue of fact. (*Saarinen v Kerr*, 84 NY2d 494; *Kabir v County of Monroe*, 16 NY3d 217; *Stanton v State of New York*, 26 NY2d 990; *Szczerbiak v Pilat*, 90 NY2d 553; *Wil-*

liams v City of New York, 2 NY3d 352; *Desmond v City of New York*, 88 NY2d 455; *O'Connor v City of New York*, 280 AD2d 309, 96 NY2d 716; *Burrell v City of New York*, 49 AD3d 482; *Badalamenti v City of New York*, 30 AD3d 452; *Corallo v Martino*, 58 AD3d 792.)

OPINION OF THE COURT

GRAFFEO, J.

On this appeal, we are asked if defendants were entitled to summary judgment on the issue of whether the police officer's operation of his patrol vehicle rose to the level of "reckless disregard" necessary for liability under Vehicle and Traffic Law § 1104. We conclude that defendants met their burden and plaintiff failed to raise a triable issue of fact. We therefore affirm the Appellate Division order.

On September 20, 2006, around 10:00 p.m., New York City police officer Steve Tompos and his partner Richard Brunjes were patrolling in Central Park when they received an urgent radio call from a fellow officer indicating that he was engaged in a foot pursuit of a man with a gun near a public housing development a few blocks away and needed assistance. According to Tompos, within seconds of the radio transmission, Brunjes "threw the master switch" to activate the vehicle's lights and turned on the siren. Tompos drove the patrol car from the park to Columbus Avenue and continued north against the legal flow of traffic. At the first intersection, Tompos turned left onto West 104th Street, heading westbound on the eastbound one-way street.

Plaintiff Kent Frezzell and his partner, both on-duty police officers, responded to the same radio call. Frezzell was driving his patrol vehicle eastbound on West 104th Street when the vehicle operated by Tompos headed down the same street in the opposite direction. Frezzell and Tompos saw each other's vehicles just seconds before impact and both attempted evasive maneuvers. The resulting collision caused injuries to the occupants of both cars.

Frezzell subsequently commenced this action against Tompos and the City of New York, asserting a General Municipal Law § 205-e claim predicated upon violations of Vehicle and Traffic

Law § 1104.* Following discovery, Tompos and the City moved for summary judgment, requesting dismissal of the cause of action under the “reckless disregard” standard of Vehicle and Traffic Law § 1104 that applied to the evaluation of Frezzell’s claim. Tompos and the City supported their motion with accident reports, witness statements, the transcript of Frezzell’s General Municipal Law § 50-h hearing testimony, and the deposition transcripts of the parties and vehicle occupants. In opposition, Frezzell proffered an affidavit explaining how the accident occurred and submitted one accident report.

Supreme Court granted Tompos’s and the City’s motion, emphasizing that Tompos’s vehicle was traveling at only 15 to 20 miles per hour at the time of the accident and that Tompos had attempted to avoid colliding with the vehicle operated by Frezzell. The court concluded that “[a]t best, [Frezzell] has alleged mere negligence, which under . . . Vehicle and Traffic Law [§ 1104 (e)] is not sufficient.” (2011 NY Slip Op 34148[U], *3 [2011].)

The Appellate Division affirmed, with two Justices dissenting (105 AD3d 620 [1st Dept 2013]). The majority determined that “Tompos . . . did not act in ‘reckless disregard for the safety of others’ while operating his vehicle” and highlighted testimony supporting the assertion that the emergency lights and siren had been activated in the patrol car, Tompos had reduced his speed while turning onto West 104th Street, and he veered away from Frezzell’s vehicle in an attempt to prevent the accident (*id.* at 620). Holding that Frezzell did not raise any triable issues of fact in the absence of non-speculative evidence that Tompos’s view was obstructed or that he was speeding, the majority held that Tompos and the City were entitled to summary judgment dismissing the complaint (*see id.* at 620-621).

The dissenters would have denied dismissal of the complaint on the basis of issues of fact, surmising that a reasonable jury could have found that the circumstances surrounding Tompos’s entry onto West 104th Street evinced a reckless disregard for the safety of others (*see id.* at 623 [Manzanet-Daniels, J., dissenting]). More particularly, the dissent identified questions concerning whether an emergency services unit (ESU) vehicle obstructed Tompos’s view of the intersection and whether Tompos or his partner had turned on the emergency lights and siren (*see id.* at 622).

* Frezzell asserted other causes of action in his complaint that have been disposed of on other grounds and which are not at issue on this appeal.

Plaintiff now appeals to this Court as a matter of right, pursuant to CPLR 5601 (a).

Vehicle and Traffic Law § 1104 grants the driver of an authorized emergency vehicle special driving privileges when involved in an emergency operation. Those privileges include passing through red lights and stop signs, exceeding the speed limit and disregarding regulations governing the direction of movement or turning in specified directions (*see* Vehicle and Traffic Law § 1104 [a], [b]). But drivers of emergency vehicles are not relieved of their duty to drive “with due regard for the safety of all persons” and section 1104 does not “protect the driver from the consequences of his reckless disregard for the safety of others” (Vehicle and Traffic Law § 1104 [e]).

This “reckless disregard” standard demands “more than a showing of a lack of ‘due care under the circumstances’—the showing typically associated with ordinary negligence claims” (*Saarinen v Kerr*, 84 NY2d 494, 501 [1994]). Rather, for liability to be predicated upon a violation of Vehicle and Traffic Law § 1104, there must be evidence that “‘the actor has intentionally done an act of an unreasonable character in disregard of a known or obvious risk that was so great as to make it highly probable that harm would follow’ and has done so with conscious indifference to the outcome” (*id.*, quoting Prosser & Keeton, Torts § 34 at 213 [5th ed]). This heightened standard is grounded in the legislature’s recognition that, although the exercise of the privileges granted in section 1104 may increase the risks to pedestrians and other drivers, emergency personnel “should be afforded a qualified privilege to disregard [certain traffic] laws where necessary to carry out their important responsibilities” (*Saarinen*, 84 NY2d at 502). This approach avoids “judicial ‘second-guessing’ of the many split-second decisions that are made in the field under highly pressured conditions” and mitigates the risk that possible liability could “deter emergency personnel from acting decisively and taking calculated risks in order to save life or property or to apprehend miscreants” (*id.*).

It is undisputed that Tompos’s act of driving against the flow of traffic on West 104th Street is privileged and must be reviewed under the heightened “reckless disregard” standard of Vehicle and Traffic Law § 1104 (e). Whether the standard was met here is a fact-specific inquiry and our analysis is focused on the precautionary measures taken by Tompos to avoid causing harm to the general public weighed against his duty to respond

to an urgent emergency situation (*see Szczerbiak v Pilat*, 90 NY2d 553, 557 [1997]; *Campbell v City of Elmira*, 84 NY2d 505, 512 [1994]; *Saarinen*, 84 NY2d at 503).

On this record, we conclude that Tompos and the City met their burden of establishing that the officer's conduct did not amount to reckless disregard of a highly probable risk of harm "with conscious indifference to the outcome" (*Saarinen*, 84 NY2d at 501). The evidence revealed that Tompos slowed down as he turned on West 104th Street and was driving below the speed limit on a clear and dry evening when the accident occurred. Furthermore, the testimony of Tompos and Brunjes established that their vehicle was moving at a speed between 10 and 25 miles per hour in a 30-mile-per-hour zone. Frezzell's allegation that Tompos was traveling at a "high rate of speed" is insufficient to create a material question of fact in light of his admission that he could not estimate Tompos's speed or "what [Tompos's vehicle] was doing." In addition, both Tompos and Brunjes testified as to the preventative measures Tompos took to avoid the collision, namely braking hard and veering to the side of the street. Frezzell introduced no proof contradicting these assertions.

Furthermore, the record in this case does not support Frezzell's contention that there are triable issues of fact regarding whether Tompos's vehicle was using its emergency lights and siren at the time of the accident. Although Brunjes did not specifically recall having turned on the lights and siren when they responded to the call, Tompos unequivocally stated several times that Brunjes had done so and that these signals remained in operation. Nor did Frezzell contradict this testimony since he could not state whether he observed the lights and siren on Tompos's vehicle. Despite evidence that an accident report did not indicate that the patrol car's siren was set to "constant"—as opposed to intermittent—use, this alone does not rise to the level of recklessness, particularly in light of the testimony that sirens were heard from "[e]very different direction" prior to the collision. Moreover, section 1104 statutorily exempts police vehicles from the requirement that audible signals be emitted while an emergency vehicle is in motion (*see Vehicle and Traffic Law* § 1104 [c]).

Frezzell relies heavily on a report indicating that Tompos may have had to negotiate around a parked ESU vehicle on West 104th Street and contends that this obstacle obstructed Tompos's view when he turned onto the road. Yet, Frezzell saw

Tompos's vehicle drive down Columbus Avenue and turn onto West 104th Street, indicating that the line of vision was not completely obstructed. In any event, Frezzell and Tompos both claimed that the accident occurred "three or four car-lengths" or "several" car-lengths down the street—not at the corner of the intersection. If Tompos had to maneuver around a parked ESU truck further down the street, this amounted, at most, to negligence, not reckless disregard for the safety of others, particularly when viewed in light of the seriousness and immediacy of the situation to which Tompos was responding (see *Szczerbiak*, 90 NY2d at 557; *Saarinen*, 84 NY2d at 502-503).

Nor may liability in this case be predicated upon the decision by Tompos and Brunjes to respond to their fellow officer's call for help in apprehending an armed and fleeing suspect. Plaintiff argues that Tompos and Brunjes were reckless in joining the pursuit because it originated outside of their assigned patrol area and they allegedly failed to alert other officers in the vicinity to their location. But whether Tompos should have responded at all is an issue beyond the scope of Vehicle and Traffic Law § 1104. Frezzell did not identify any policy or departmental rule or regulation that Tompos's decision to join the pursuit violated, and both Tompos and Brunjes asserted that they had responded to emergency calls outside of their designated precinct boundaries on other occasions and were unaware of any policy prohibiting such conduct.

In the absence of any material questions of fact regarding whether Tompos was speeding in poor road or traffic conditions, was inattentive, or otherwise proceeded in an unreasonably dangerous manner without caution or care for the safety of bystanders and motorists, it cannot be said that Tompos acted with "conscious indifference to the outcome" (*Saarinen*, 84 NY2d at 501; see *Szczerbiak*, 90 NY2d at 557; *Quock v City of New York*, 110 AD3d 488, 489 [1st Dept 2013]; compare *Campbell*, 84 NY2d at 508, 511-512 [disputed issues of fact concerning whether fire truck driver checked the color of the traffic light, looked for oncoming traffic, accelerated, or utilized emergency signals when crossing intersection against the right-of-way]). Defendants were therefore entitled to summary judgment (see *Alvarez v Prospect Hosp.*, 68 NY2d 320, 324 [1986]).

Accordingly, the Appellate Division order should be affirmed, with costs.

Chief Judge LIPPMAN and Judges READ, SMITH, PIGOTT, RIVERA and ABDUS-SALAAM concur.

Order affirmed, with costs.

[21 NE3d 1012, 997 NYS2d 351]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v DANIEL
A. LUDWIG, Appellant.

Argued September 17, 2014; decided October 23, 2014

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered March 15, 2013. The Appellate Division affirmed a judgment of the Monroe County Court (James J. Piampiano, J.), which had convicted defendant, upon a jury verdict, of predatory sexual assault against a child.

People v Ludwig, 104 AD3d 1162, affirmed.

HEADNOTES

Crimes — Witnesses — Prior Consistent Statement — Prior Consistent Statements of Child Sexual Abuse Victim Did Not Constitute Improper Bolstering — Evidence Admitted to Explain How Investigation Started

1. In a prosecution for predatory sexual assault against a child arising after defendant sexually abused complainant, his daughter, when she was in the third and fourth grades, County Court did not abuse its discretion by permitting the People to elicit testimony from complainant's older half brother and mother about her prior consistent statements disclosing the abuse to them. The challenged testimony was admissible for the legitimate, nonhearsay purpose of explaining to the jury how and when the sexual abuse came to light, which resulted in an investigation and defendant's eventual arrest. Nonspecific testimony about a child victim's reports of sexual abuse does not constitute improper bolstering when offered for the relevant, nonhearsay purpose of explaining the investigative process and completing the narrative of events leading to the defendant's arrest. In the challenged testimony here, complainant's half brother and mother did not recite any details of the sexual abuse to which complainant testified in court. They merely stated that complainant claimed that she had been made to engage in oral sex with defendant, and they described complainant's appearance during her disclosure and explained what actions her disclosure prompted them to take. Because defendant claimed at trial that complainant had made up the allegations, the circumstances of complainant's disclosure were relevant to her credibility and the jury's assessment of her alleged motive to lie, and the challenged testimony was necessary to depict for the jury the circumstances attendant to the disclosure that triggered the investigation.

Crimes — Witnesses — Prior Inconsistent Statement — Prior Allegedly Inconsistent Statement of Child Sexual Abuse Victim Constituted Inadmissible Hearsay

2. In a prosecution for predatory sexual assault against a child arising after defendant sexually abused complainant, his daughter, when she was in the

third and fourth grades, County Court did not abuse its discretion by precluding defendant's mother from testifying about a prior allegedly inconsistent statement made by complainant as the proffered testimony—that defendant's mother overheard complainant state that “she only tells what her mother tells she can say” during a conversation regarding complainant's mother's potential pregnancy—was inadmissible hearsay not subject to any exception. Given the context in which it was made, the statement did not suggest that complainant lied in general or that she fabricated sexual abuse accusations against defendant in particular. Moreover, the hearsay evidence was plainly offered for its truth, given that the point of the proposed testimony was to convince the jury that complainant's account of sexual abuse by defendant was instigated by his estranged wife—complainant's mother. Although defendant claimed to be proffering the testimony for impeachment purposes because complainant on cross-examination had denied having the conversation and making the statement, any possible impeachment was solely on the collateral issue of what complainant may have said about whether her mother was pregnant.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Evidence §§ 678–680, 685, 708, 712, 713.
CARMODY-WAIT 2d, Particular Types of Evidence
§§ 194:119, 194:265.
LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) § 24.4.
NY JUR 2d, Criminal Law: Procedure §§ 2149, 2327, 2328,
2364, 2377.

ANNOTATION REFERENCE

See ALR Index under Hearsay; Impeachment of Witnesses; Prior Testimony or Statement; Witnesses.

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POINTS OF COUNSEL

Easton Thompson Kasperek Shiffrin LLP, Rochester (Brian Shiffrin of counsel), for appellant. I. It was reversible error to permit the prosecutor to elicit, over repeated objections, prejudicial testimony from two witnesses about prior consistent statements of the complainant which bolstered the complainant's credibility. (*People v Fisher*, 18 NY3d 964; *People v Rosario*, 17 NY3d 501; *People v McClean*, 69 NY2d 426; *People v McDaniel*, 81 NY2d 10; *People v Concepcion*, 17 NY3d 192; *People v LaFontaine*, 92 NY2d 470; *People v Resek*, 3 NY3d 385; *People v Davis*,

44 NY2d 269; *People v Katz*, 209 NY 311.) II. The court below improperly precluded Daniel A. Ludwig from introducing testimony from the complainant's grandmother that the complainant had stated that she would only tell what her mother told her to say. (*People v Carroll*, 95 NY2d 375; *People v Knight*, 80 NY2d 845; *People v Wise*, 46 NY2d 321; *People v Hudy*, 73 NY2d 40; *People v Dawson*, 50 NY2d 311; *People v Cade*, 73 NY2d 904; *People v Concepcion*, 175 AD2d 324; *People v Carter*, 227 AD2d 661; *People v Sales*, 197 AD2d 360.)

Sandra Doorley, District Attorney, Rochester (*Matthew Dunham* and *Geoffrey Kaeuper* of counsel), for respondent. I. The trial court properly admitted testimony from the complainant's mother and another one of her children regarding the complainant's disclosure of the sexual abuse. (*People v Huertas*, 75 NY2d 487; *People v Smith*, 22 NY3d 462; *People v Kello*, 96 NY2d 740; *People v Crimmins*, 36 NY2d 230; *People v Ficarrotta*, 91 NY2d 244; *Matter of Janiece B. [James D.B.]*, 93 AD3d 1335.) II. The court properly precluded as hearsay testimony from the complainant's grandmother about an unrelated statement allegedly made by the complainant. (*People v Pavao*, 59 NY2d 282; *People v Schwartzman*, 24 NY2d 241; *People v Inniss*, 83 NY2d 653; *People v Carroll*, 95 NY2d 375; *People v Knight*, 80 NY2d 845; *People v Cade*, 73 NY2d 904; *People v Wise*, 46 NY2d 321.)

OPINION OF THE COURT

READ, J.

In this child sexual abuse case, County Court permitted the People to elicit testimony about complainant's prior consistent statements disclosing the abuse, and precluded defendant's mother from testifying about a prior allegedly inconsistent statement made by complainant. We conclude that the trial judge did not abuse his discretion when he made these evidentiary rulings. The challenged testimony was admissible for the nonhearsay purpose of explaining to the jury how and when the sexual abuse came to light, resulting in an investigation and defendant's eventual arrest; and defendant's mother's proffered testimony was inadmissible hearsay not subject to any exception.

I

Complainant, who was born in 1998, resided with her father, defendant Daniel A. Ludwig, and her mother until April 25, 2008, when defendant moved out of the marital home and into

the basement of his mother's house. Complainant, who was in third grade when her parents separated, lived with her mother, but she and her younger brother and sister visited their father on weekends. Defendant and complainant's younger brother slept in the basement, while complainant and her younger sister slept upstairs. The basement was roughly divided into a laundry and bathroom on one side, and two beds (one for defendant, the other for complainant's younger brother), two televisions and a computer on the other side.

According to complainant, defendant sexually abused her when she was in third and fourth grades. The abuse always took place in defendant's basement living quarters. The first time, she had been playing upstairs with her younger sister when defendant called her down to the basement. Defendant was only wearing underwear, and complainant, seeing this, "got scared" and "tried to get back upstairs." But defendant called her back, and she returned "to see what he wanted." Defendant stood up, pulled down his underwear and told complainant to kneel, "grabbed [her] hair" and directed her to suck his penis, which she did for "at least a minute or two minutes." After such incidents, she "would usually go upstairs and just try not to think about it and just play" with her siblings.

Complainant recalled another specific occasion when defendant sexually abused her. She was watching an episode of the "Wizards of Waverly Place," a children's program broadcast on ABC's Disney Channel, in her bedroom; the plot involved a tutor and the color green. Defendant summoned complainant down to the basement and "did the same thing that the first time it happened." This incident took place during complainant's school vacation period between fourth and fifth grades, the summer of 2009. On another occasion soon afterwards, complainant was already in the basement when defendant went into the bathroom and called her to follow him. When defendant pulled his pants down, complainant objected "Why do I need to do it?" and defendant backed off. This was the last time he attempted to sexually abuse her.

Complainant kept the sexual abuse a secret because "[she] was scared" and "afraid" that defendant "would do something to [her]" if she confided in anyone. But during the summer after the abuse ceased, on August 3, 2010, complainant let the secret slip. That day, she and her half brother, who is three years older, were playing in the backyard of their mother's home. Complainant remarked to her half brother that "the backyard

smelled like something weird.” He asked “Like what?” and complainant “kind of said what happened with [her] dad.” Her half brother went “inside to the living room” and repeated complainant’s disclosure to their half sister, who informed their mother. Complainant acknowledged that when her mother asked her, she confirmed the sexual abuse; this was the “only time” she ever addressed this topic with her mother.

In October 2010, defendant was indicted on one count of predatory sexual assault against a child (Penal Law § 130.96); specifically, that between April 25, 2008 and June 30, 2009, defendant, being 18 years of age or more, committed the crime of course of sexual conduct against a child in the first degree (Penal Law § 130.75 [1] [b]) in that he engaged in two or more acts of sexual conduct, which included at least one act of sexual intercourse, oral sexual conduct, anal sexual conduct or aggravated sexual contact, with complainant, who was less than 13 years old. At defendant’s jury trial in County Court in August 2011, she testified on direct examination as narrated above.

On cross-examination, the defense attorney and complainant engaged in the following colloquy:

“[DEFENSE ATTORNEY] Do you remember having a conversation with your Aunt [P.] about whether your mother was pregnant?

“[COMPLAINANT] No.

“[DEFENSE ATTORNEY] No? Do you remember telling your Aunt [P.] that your mother wasn’t pregnant?

“[COMPLAINANT] No.

“[DEFENSE ATTORNEY] Do you remember telling your Aunt [P.] that you only tell what your mother tells you to say?

“[COMPLAINANT] No.”

On redirect examination, the prosecutor tried to coax complainant into elaborating on her testimony that the backyard smelled “weird” by asking if she could “remember” or “describe” the smell. Complainant demurred. When the prosecutor then asked if the smell “remind[ed]” her of anything, complainant responded that “[t]he smell only reminded me of what happened with my dad.”

After complainant’s testimony, the People called her half brother to the witness stand. He recounted that in August 2010,

while playing with complainant in the backyard of their mother's home, she remarked that "it smelled like penis in the backyard," and he "asked her how she knew." When the prosecutor asked him for complainant's reply, her half brother said that complainant "hesitated a little." At this point, before the half brother could finish his answer, the defense attorney jumped in and objected, and the trial judge excused the jury and the witness from the courtroom.

The defense attorney argued that what complainant may have told her half brother did not fall within the prompt outcry exception to the hearsay rule because the most recent alleged incident of abuse had taken place 14 months before the backyard conversation. The prosecutor responded that the testimony went to "the state of mind of the witness [and] how he reacted to [the disclosure], what he did when he did it," not to prove the truth of the matter.

The trial judge agreed with the People that the half brother's testimony was not being elicited for its truth, and offered to give a limiting instruction to inform the jury that the testimony was only being introduced "for the fact that upon hearing it he then did something." The judge added that he thought he had already heard what that something was—i.e., that the half brother "reported [complainant's disclosure] to his mother." The defense attorney protested that

"the fact that the backyard smelled like penis . . . [t]hat's not what I wanted to be heard on. [Complainant's half brother] is going on to discuss any further conversation that he had with [complainant] that she was—you know, she was hesitant. She was—God only knows what. If he wants to describe observations, that's one thing. But the content of her communication with him is inadmissible hearsay."

The defense attorney asked the trial judge not to instruct the jury as to why the testimony was being offered because there was no reason to "highlight the issue." The judge replied that his proposed instruction was

"not about highlighting any issues; it's about giving [the jury] an instruction that the question is permissible, but not for their consideration as to whether, in fact, [the backyard] did smell like it back there, but, rather, the anticipatory question as to after [the complainant] having said that[,] what he did."

After the jury returned to the courtroom, the trial judge issued such an instruction.

Complainant's half brother then related, over repeated objections, further conversation in the backyard with complainant, and later with their mother; to wit, that when he asked complainant "how she knew what it smelled like," she told him that "she sucked a penis"; that he badgered her to tell him whom she had done this with, and complainant finally divulged "My dad"; that when he then questioned whether complainant was "kidding" or "joking," she replied that she was not; that he "told [complainant] to tell [their] mom, but she wouldn't"; and that he finally repeated complainant's comments to their mother.

The prosecutor then called complainant's mother. She testified that she was in the kitchen of her home on August 3, 2010 when her son, followed by complainant, appeared and announced that "[complainant] needed to tell [her] something"; and that complainant stood with "her fist in her mouth" and "kept shaking her head . . . no, but with her hand in her mouth," as though she might have "hurt her hand," while her half brother kept urging her "to tell mom." Eventually, complainant's half brother revealed that complainant had "said the backyard smelled like penis." Complainant's mother asked her daughter if she had said this, and complainant "shook her head yes."

When the prosecutor questioned complainant's mother about what her son told her next, the defense attorney again objected. The trial judge overruled the objection and complainant's mother answered that her son said that complainant "had given [defendant] a blow job." Over another objection, she testified that complainant responded affirmatively when she asked if this was true. Complainant's mother "asked her at least one more time if it was all true. And [complainant] said 'Yes.'" According to complainant's mother, she never again mentioned the matter to her daughter.

After this revelation, complainant's mother telephoned one of defendant's sisters, whom she "look[ed] up to . . . in some way," and a friend, and communicated what she had just learned. She did not report complainant's allegation to the authorities, but her friend did. At about 2:00 a.m. the next morning, defendant called her, explaining that "he couldn't sleep." He denied sexually abusing complainant, and suggested

that she “was just misconstruing the fact that she had caught him [masturbating] a few other times.”

The People also called Elizabeth Opp, employed by Monroe County as a child protective services caseworker, and Nicole Thomson, a sex abuse crisis intervention specialist at the Catholic Family Center in Rochester. They both testified about their interviews of complainant in August 2010, soon after the sexual abuse allegations surfaced. Opp and Thomson were not asked to repeat statements that complainant made to them during these interviews; rather, they described her demeanor when they brought up the allegations of oral sex.

According to Opp, when her conversation with complainant turned to this topic, complainant tilted her head down and became “very closed off, turning away . . . didn’t want to talk, didn’t want to engage anymore.” Thomson characterized complainant as “very hesitant” when the subject of the sexual abuse was broached, meaning “[s]he would lower her head. She would avoid eye contact. She would push back in her chair. She would try to . . . make more space between herself and me.” Thomson further testified that complainant exhibited symptoms consistent with post-traumatic stress disorder.

Thomson also met with defendant at his request. She “asked him if he could think of any reason why [complainant] would have made this up or any reason why [she] would have said these things that he said weren’t true.” Defendant again attributed complainant’s allegation to a misunderstanding, telling Thomson that “he sometimes masturbated in the shower when the kids were at the house and that if he had been masturbating in the bathroom and [complainant] came into the bathroom that he may not have stopped when she asked a question.”

Dr. Danielle Thomas-Taylor, a pediatrician with specialized training in evaluating children suspected of being abused, explained that an examination of complainant yielded no physical signs of sexual abuse, and why this was not unexpected given the nature of the allegations and the lapse of time. Stefan Perkowski, a social worker with expertise in child sexual abuse, gave expert testimony about child sexual abuse accommodation syndrome (CSAAS). According to Perkowski, CSAAS is generally accepted as valid within the community of child sexual abuse therapists, and accounts for why children delay reporting and try to block out details of the abuse. And finally, District Attorney Investigator Robert Siersma testified that he had

watched an episode of the “Wizards of Waverly Place” titled “Tutor, My Tutor” where characters donned green costumes; the People introduced into evidence a business record from ABC to show that this particular episode had aired in the summer of 2009.

Defendant’s only witness was his mother. She testified generally about the frequency of complainant’s and her siblings’ weekend visits with defendant, and the activities that the family engaged in. Defendant’s mother also testified that complainant was a “[v]ery normal, typical grandchild,” who “did tell lies about some activities that she would be involved in,” such as whether she had completed assigned chores or homework. At one point, the defense attorney made an offer of proof that defendant’s mother had overheard complainant tell one of her aunts on Father’s Day weekend in 2011, two months before the trial, that “she only tells what her mother tells she can say.” The defense attorney took the position that since complainant on cross-examination had denied having this conversation, defendant was allowed to “impeach [complainant’s] credibility” with the testimony of his mother, who was “physically present and heard this child say these words.” The prosecutor objected on hearsay grounds, and the trial judge ruled that the testimony was inadmissible hearsay.

The jury convicted defendant as charged, and the trial judge subsequently sentenced him to an indeterminate term of imprisonment of from 16 years to life. On his subsequent appeal, defendant contended that he was denied a fair trial by the prosecutor’s references during opening argument to complainant’s prior consistent statements, and the testimony of five witnesses (complainant, her half brother, her mother, Opp and Thomson) who improperly bolstered complainant’s credibility by repeating the prior consistent statements; and that his mother should have been permitted to testify about the prior inconsistent statement that she claimed to have overheard complainant make.

The Appellate Division unanimously affirmed in a decision issued in March 2013 (104 AD3d 1162 [4th Dept 2013]). The court first noted that defendant’s improper bolstering claims were preserved only as to the testimony of complainant’s half brother and mother, and in any event, Opp and Thomson merely described complainant’s demeanor when they brought up her allegations of oral sexual abuse. The Appellate Division then concluded that the objected-to testimony, as well as complain-

ant's testimony, "did not constitute improper bolstering inasmuch as the evidence was not admitted for its truth[,] [but rather] to explain how the victim eventually disclosed the abuse and how the investigation started" (*id.* at 1163 [citations omitted]). Further, since the prior-consistent-statement testimony from the relevant witnesses was proper, defendant's attorney was not ineffective for failing to object to it or to the prosecutor's opening statement.

The court also rejected defendant's claim that the trial judge improperly precluded his mother from testifying about complainant's purported prior inconsistent statement. The Appellate Division observed that defendant failed to preserve any claim that this ruling denied him his right to present a defense, or that the testimony was admissible to establish that complainant had a reason to fabricate her allegations. And when the People objected to the testimony on hearsay grounds, the defense attorney failed to articulate any applicable exception to the hearsay rule. Finally, the Appellate Division declined to review this claim as a matter of discretion in the interest of justice, and rejected defendant's remaining claims as either without merit or unpreserved.

On August 16, 2013, a Judge of this Court granted defendant permission to appeal (21 NY3d 1043 [2013]). We now affirm.

II

Prior Consistent Statements

As we observed in *People v Smith* (22 NY3d 462, 465 [2013]),

"[t]he term 'bolstering' is used to describe the presentation in evidence of a prior consistent statement—that is, a statement that a testifying witness has previously made out of court that is in substance the same as his or her in-court testimony."

While such statements are generally precluded by the hearsay rule absent an applicable exception, prior consistent statements are notably less prejudicial to the opposing party than other forms of hearsay, since by definition the maker of the statement has said the same thing in court as out of it, and so credibility can be tested through cross-examination (*id.* at 465-466). As a result, "in many cases, the admission of purely redundant hearsay creates no greater evil than waste of time" (*id.* at 466). Still, there exists a risk that a prior consistent statement "may, by simple force of repetition, give to a jury an exaggerated idea of the probative force of a party's case" (*id.*).

Here, defendant contends that the trial judge countenanced improper bolstering when he permitted complainant's half brother and mother to testify that complainant revealed to them on August 3, 2010 that she had performed oral sex on defendant. Of course, if complainant's disclosure was offered for the truth of the matter asserted—that the abuse actually happened—her own testimony fell outside any hearsay exception (*see People v McDaniel*, 81 NY2d 10, 16 [1993]). Defendant did not object to complainant's testimony, though. The hearsay that he complains about was, therefore, already admitted. Defendant's real grievance is that other witnesses repeated the hearsay. But since defendant claimed that complainant had made up the allegations (by trial, he had abandoned the fantastic notion that she might have misperceived his behavior), the circumstances of her disclosure were relevant to her credibility.

In the challenged testimony, complainant's half brother and mother did not recite any details of the sexual abuse to which complainant testified in court—indeed, they could not have done so because she supplied them with no information beyond a bare allegation. They did, however, describe complainant's appearance: according to her half brother, complainant “hesitated” and, after telling him that she had performed oral sex, was reluctant to speak further; according to complainant's mother, when pushed by her half brother to “tell mom what you just told me,” complainant stood mute with her fist in her mouth, causing her mother to think at first that she had injured her hand. Finally, the witnesses explained what actions complainant's disclosure prompted them to take: the half brother pressed complainant to repeat the allegation to their mother, and, when she was unwilling, told their mother himself; complainant's mother immediately shared the allegation with a trusted sister of defendant's and a friend, which led to the investigation resulting in the charge against defendant.

[1] New York courts have routinely recognized that “nonspecific testimony about [a] child-victim's reports of sexual abuse [does] not constitute improper bolstering [when] offered for the relevant, nonhearsay purpose of explaining the investigative process and completing the narrative of events leading to the defendant's arrest” (*People v Rosario*, 100 AD3d 660, 661 [2d Dept 2012]; *see also People v Gregory*, 78 AD3d 1246, 1246 [3d Dept 2010] [a police officer's testimony about the victim's comments did not “improperly bolster() the victim's version of events (when) admitted not for its truth but for the narrow

purpose of explaining an officer's actions and the sequence of events in an investigation, and the testimony is accompanied by an appropriate limiting instruction'')]. Here, the objected-to testimony fulfilled these legitimate nonhearsay purposes.

At trial, defendant argued that complainant was lying because otherwise she would have reported his alleged sexual misconduct right away, and he proposed a host of reasons why complainant (and/or her mother) might wrongfully accuse him of sexual abuse. As a result, the challenged testimony was necessary—not to show that defendant made complainant “suck his penis,” but to depict for the jury the circumstances attendant to the disclosure that triggered the investigation. This evidence was relevant to the jury's assessment of complainant's alleged motive to lie. As already noted, the witnesses did not recite prejudicial details of the alleged abuse; they merely stated that complainant claimed that she had been made to engage in oral sex with defendant.

My concurring colleague expresses puzzlement that we sanction the admission into evidence of complainant's prior consistent statements here since we did not do so in *People v Rosario* (17 NY3d 501 [2011]) and its companion case, *People v Parada*, where, in his view, the “facts are substantially identical, in relevant ways” to those in this case (concurring op at 233). But in both cases, prior consistent statements were improperly introduced into evidence in the People's direct case as prompt outcry exceptions to the hearsay rule; the statements at issue were not, and indeed could not have been, offered for the nonhearsay purpose relied upon by the People here.

The disputed prior consistent statement in *Rosario* was contained in a note that the complainant wrote and gave to her boyfriend about a year before she disclosed the sexual abuse to two police officers with whom she had become friendly through her participation in a police-sponsored program for teenagers. The note was thought to be destroyed or lost and was not presented to the prosecutor until the eve of the boyfriend's testimony at trial, a year after the complainant reported the abuse to the police officers and two years after the note was alleged to have been written. In short, the People did not, and indeed, could not, claim that the admission of the note would serve the “nonhearsay purpose of explaining the investigative process and completing the narrative of events leading to the defendant's arrest” (*Rosario*, 100 AD3d at 661). The police officers to whom the complainant confided the sexual abuse testi-

fied at trial about the facts and circumstances of her disclosures to them without objection.

In *Parada*, the complainant disclosed the sexual abuse to a young cousin at a time when the abuse was continuing, and to an aunt, about two years after it ended. She swore both to secrecy, which they honored. About a month or so after the complainant's conversation with her aunt, though, she revealed the abuse to her mother, who then contacted the police. We concluded that the disclosure to the cousin qualified as a prompt outcry, and that the disclosure to the aunt did not, but that its admission into evidence was harmless error. At trial, the complainant's mother narrated the facts and circumstances of her daughter's disclosure of the abuse to her, just as complainant's mother did here. The defense attorney twice objected to this testimony, without stating any basis. The objections were overruled, and the defendant did not argue to us that the mother's testimony was improperly admitted hearsay.

Prior Inconsistent Statement

[2] Defendant's mother was prepared to testify that she overheard complainant state that "she only tells what her mother tells she can say." Complainant allegedly made this comment during a conversation with an aunt (defendant's sister) regarding complainant's mother's potential pregnancy. Given this context, the statement does not suggest that complainant lies in general, or fabricated sexual abuse accusations against defendant in particular. Any claim that the statement (which complainant denied making) tends to show that she is untruthful or uncommonly biddable seriously distorts its meaning. And this hearsay evidence was plainly offered for its truth. The point of the proposed testimony was to convince the jury that complainant's account of sexual abuse at defendant's hands was instigated by his estranged wife. In short, while defendant claimed to be proffering this testimony for impeachment purposes, any possible impeachment was solely on the collateral issue of what complainant may have said about whether her mother was pregnant. The case would be different if defendant had offered to prove that complainant admitted that she said only what her mother told her to say about defendant's alleged acts of sexual abuse.

Accordingly, the order of the Appellate Division should be affirmed.

SMITH, J. (concurring). I find this a puzzling case, because its facts are substantially identical, in relevant ways, to those in

People v Rosario (17 NY3d 501 [2011]) and *Rosario*'s companion case, *People v Parada*—but the result here is the exact opposite. Each of those previous cases, like this case, was a prosecution for sexual abuse of a child victim. In each, the victim was the People's main witness. In each case, the People offered in evidence a prior consistent statement by the victim, in which she had disclosed the abuse to a friend or relative. In each of those cases, as in this one, the out-of-court statement provided compelling evidence that the child was telling the truth, and had neither invented her story out of spite nor been coached or pressured by anyone to tell it.

In *Rosario* and *Parada*, the majority held the children's statements inadmissible, rejecting the People's argument that they were within the "prompt outcry" exception to the hearsay rule. I dissented in *Rosario*, and concurred in the result in *Parada* (where the majority found the error to be harmless) (see 17 NY3d at 515-521). I acknowledged that the prompt outcry exception, as traditionally understood, did not fit the cases, but I said that the exception should be broadened, arguing that to keep the children's out-of-court statements from the jury was unfair to the People and the victims, and risked a miscarriage of justice.

The only significant difference between this case and the two earlier ones seems to be that the People here do not rely on the prompt outcry exception to the hearsay rule, but assert that no exception is necessary because the out-of-court statement was not hearsay at all—that it was offered not to prove its truth, but for a nonhearsay purpose. The majority accepts this argument, quoting an Appellate Division case (also called, by coincidence, *People v Rosario*) that says such out-of-court statements serve to explain "the investigative process" and to complete "the narrative of events leading to the defendant's arrest" (majority op at 231, quoting 100 AD3d 660, 661 [2012]). The majority adds that the out-of-court statement was "relevant to the jury's assessment of complainant's alleged motive to lie" (majority op at 232).

I am unable to follow the majority's logic. Why did "the investigative process" here need explaining? What narrative was there to complete? The jury obviously knew that the victim had disclosed the abuse some time before the trial—what did it care when and how she did so, unless the nature and circumstances of the earlier disclosure persuaded the jury it was truthful? We have at times countenanced the admission of out-of-

court statements by alleged victims made to police officers, on the theory that it was important for the jury to understand that the police had a good reason for their actions (see *People v Morris*, 21 NY3d 588, 596 [2013]; *People v Tosca*, 98 NY2d 660 [2002]). Thus, the out-of-court statements in those cases were held to serve a purpose that did not depend on their truthfulness: whether true or false, they motivated the police to do what they did, and the motive of the police was something the jury might need to know. But the disclosure here was not made to the police: it was made to the victim's brother and mother. The jury had no reason to know their motives—or, indeed, to know or care what they did in response to the disclosure of abuse.

As for the victim's "alleged motive to lie," how was the jury supposed to use the out-of-court disclosure to assess it without making any judgment about whether the disclosure was truthful or not? I would see the majority's point if defendant had alleged a motive to lie that arose after the out-of-court statement—that would make the statement admissible under the recent fabrication exception to the hearsay rule (*People v McClean*, 69 NY2d 426, 428 [1987]). But there is no claim of recent fabrication in this case.

Despite what I consider to be flaws in the majority's reasoning, I welcome the rule that this case seems to establish: that, at least in child sex abuse cases, testimony to the victim's out-of-court disclosure of the abuse will be admissible where it is relevant to the victim's credibility. I think, for the reasons given in my *Rosario* opinion, that such testimony enhances the likelihood of a trial that is fair to both sides. There is one important caveat, which I think is implicit in the majority opinion: the rule is limited to prior statements of a testifying witness. Prior consistent statements are, as the majority explains, a relatively benign form of hearsay (majority op at 230). It would be very different—and, in my view, would conflict unacceptably with the basic premise of the hearsay rule—to admit on a similar theory an out-of-court statement by a declarant not subject to cross-examination.

Chief Judge LIPPMAN (dissenting). The majority eviscerates the hearsay rule and allows wholesale circumvention of the prompt outcry rule by countenancing the admission of prior consistent statements that provide a "narrative" or "investigative purpose" even where the investigative purpose is not in is-

sue. As the concurrence makes plain, these statements are obviously introduced to bolster the complainant's credibility and establish the truth of the accusation. Yet I disagree with the concurrence in its proposed expansion of the prompt outcry rule beyond all recognition. Therefore, I dissent and would hold that the trial court's admission of the half brother's and mother's testimony, during which they repeated the complainant's out-of-court statements, unfairly bolstered the complainant's testimony and constituted reversible error.

The majority would have us believe that these statements are not hearsay because they are part of a "narrative" or set forth an "investigative purpose," and are not introduced for their truth. But the complainant's out-of-court statements repeatedly communicated to the jury by her half brother and mother were introduced to describe what abuse occurred. The mother's and half brother's repetition of these statements would have been useless to the People unless the jury accepted them as true. They constitute double hearsay that did not fall within any exception to the rule. The complainant had already described the crime on the stand, and recounted how she reported the abuse, without any substantial challenge by defense counsel. Where there was no basis to rehabilitate the complainant, the only possible purpose of admitting the half brother's and mother's testimony was to reinforce the complainant's statements and make her appear more reliable. As we observed in *People v McDaniel* (81 NY2d 10, 16 [1993]), improper bolstering is prohibited because of the concern that untrustworthy testimony may appear more reliable simply because it has been repeated.

Out-of-court statements offered for the truth of the matters they assert are hearsay and "may be received in evidence only if they fall within one of the recognized exceptions to the hearsay rule, and then only if the proponent demonstrates that the evidence is reliable" (*Nucci v Proper*, 95 NY2d 597, 602 [2001]). The hearsay rule guards against "traditional testimonial infirmities" such as insincerity, ambiguity, and faulty memory or perception (*id.* at 604), some of which are implicated here. In *Nucci*, proffered out-of-court statements made several days after a medical malpractice incident were reported by the plaintiff's relative who "may have had a strong motive to shade her testimony" (*id.* at 603). In that case, we emphasized that "[s]ome of the statements involved double hearsay," a further ground to question their reliability (*id.*).

The “investigative” or “narrative” rationale the majority advances today swallows the hearsay rule. Any statement that explains a narrative tangentially related to a crime could be admitted into evidence pursuant to the majority’s reasoning. Without confining the exception to a narrow set of circumstances, such as sexual abuse cases where the investigation is in issue, the majority countenances the wholesale admission of hearsay. Indeed, a narrative is defined as “a story,” “an account of a series of events, facts, etc., given in order and with the establishing of connections between them” (Oxford English Dictionary [3d ed 2003]), and “a[n] . . . account of events, experiences, or the like, whether true or fictitious.”* Such broad opportunity for the admission of hearsay creates a danger of false and fabricated accusations spread amongst family and friends who would then enhance the complainant’s reliability.

Moreover, in the few cases where the investigative purpose rule has been applied, that purpose was in issue and the court provided a proper limiting instruction to the jury prescribing the use of the statement for a narrow purpose and not for its truth. For example, as the majority points out, in *People v Gregory* (78 AD3d 1246, 1246 [3d Dept 2010], *lv denied* 16 NY3d 831 [2011]), a police officer’s testimony about the victim’s comments explained the officer’s actions and the sequence of events in an investigation. Accompanying the testimony was an appropriate limiting instruction prohibiting the jury from accepting the statement for its truth. Here, the danger of the hearsay was missed entirely and the limiting instruction was plainly inadequate; the jury was only told that the statements were not to be used as proof that the backyard smelled, and there was no instruction barring the jury’s use of the remaining statements to prove that the abuse actually occurred.

Extending the “prompt outcry” rule to these circumstances, as suggested by the concurrence, is just another recipe for the admission of false and fabricated accusations. Any disclosure made by the victim about a crime before the crime was reported to authorities would, under this formulation, be admissible. Currently, the prompt outcry rule “permits evidence that a timely complaint was made” (*People v Rosario*, 17 NY3d 501, 511 [2011] [internal quotation marks and citation omitted]). The reporting must occur shortly after the crime (*see People v McDaniel*, 81 NY2d at 17 [victim reported the abuse the morn-

* Webster’s Unabridged Dictionary (2d ed 1998).

ing after it occurred]; *Rosario*, 17 NY3d at 513 [victim's statement inadmissible where as long as five months elapsed between the abuse and the report]). Further, only the fact of a complaint, not its accompanying details, may be elicited (see *McDaniel*, 81 NY2d at 17; *People v Rice*, 75 NY2d 929, 932 [1990]). We have never before held that the prompt outcry rule applies to reports this far removed from the crime—over a year after the abuse—and containing such graphic description of the crime.

The erroneous admission of the half brother's and mother's statements here severely prejudiced defendant because, apart from the complainant, there were no witnesses to the crime. Without other corroborating evidence, the repeated communication of the complainant's out-of-court statements constitutes reversible error (see *McDaniel*, 81 NY2d at 20).

For the reasons stated above, I dissent and would reverse and remand for a new trial.

Judges GRAFFEO, PIGOTT and ABDUS-SALAAM concur; Judge SMITH concurs in result in an opinion; Chief Judge LIPPMAN dissents in an opinion in which Judge RIVERA concurs.

Order affirmed.

[21 NE3d 1000, 997 NYS2d 339]

PAUL M. ELLINGTON, Appellant, v EMI MUSIC, INC., et al., Defendants, and EMI MILLS MUSIC, INC., Respondent.

Argued September 11, 2014; decided October 23, 2014

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered May 2, 2013. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Bernard J. Fried, J.; op 33 Misc 3d 1209[A], 2011 NY Slip Op 51827[U] [2011]), which had dismissed the amended complaint.

Ellington v EMI Music Inc., 106 AD3d 401, affirmed.

HEADNOTES

Contracts — Ambiguous Contracts — Songwriter Royalty Agreement — Terms Governing Royalties from Foreign Subpublishers

1. In a breach of contract action to recover royalties allegedly due under a 1961 agreement in which plaintiff's grandfather, a renowned songwriter, gave defendant's predecessor in interest and other named music publishers the copyrights to certain musical compositions, the royalty provision providing that the music publishers will pay to plaintiff's grandfather and designated members of his family 50% of "the net revenue actually received" by the music publishers from foreign publication of the compositions was not ambiguous. In the years after the agreement was executed, defendant had begun using affiliated foreign subpublishers who retained 50% of the royalties generated from the foreign sale of the relevant compositions, with the remaining 50% split equally between defendant and the songwriter's family members. Plaintiff claimed that the amount retained by the affiliated subpublishers prior to remittal of the remainder to defendant should constitute an amount received by defendant. However, the royalty provision made no distinction between affiliated and unaffiliated foreign subpublishers. The agreement contemplated that the royalties paid to the family members would be based on the revenue remitted to defendant itself. Although at the time the agreement was executed the parties apparently did not contemplate that defendant would affiliate itself with foreign subpublishers, the percentage retained by the affiliated subpublishers was not an amount actually received by defendant, but a fee for the subpublishers' services. The agreement did not prevent defendant from using affiliated foreign subpublishers and it did not prevent the affiliated foreign subpublishers from retaining a portion of the total sale owed to them.

Contracts — Ambiguous Contracts — Songwriter Royalty Agreement — Terms Governing Royalties from Foreign Subpublishers

2. In a breach of contract action to recover royalties allegedly due under a 1961 agreement in which plaintiff's grandfather, a renowned songwriter, gave defendant's predecessor in interest and other music publishers the copyrights to certain musical compositions, subject to the payment of royalties equal to

50% of “the net revenue actually received” by the music publishers from foreign publication of the compositions, the provision defining the group of music publishers as those specifically named in the agreement, their predecessors in interest and “any other affiliate” was not ambiguous and included only those affiliates in existence at the time the contract was executed. In the years after the agreement was executed, defendant had begun using affiliated foreign subpublishers who retained 50% of the royalties generated from the foreign sale of the relevant compositions, with the remaining 50% split equally between defendant and the songwriter’s family members. Plaintiff claimed that the affiliated foreign subpublishers were included in the term “any other affiliate.” However, the parties did not include any forward looking language in the agreement. The clause granting ownership of the copyrights, which stated that the named music publishers “or any of their predecessors in interest or any other affiliated companies . . . not specifically mentioned, were and are now possessed of and are entitled to the original copyrights,” indicated that the parties intended as members of the group of music publishers were entities who owned the copyright in the musical compositions. The affiliated foreign subpublishers, who were not affiliates at the time the agreement was executed, did not acquire the copyrights. If the parties to the agreement intended to bind future affiliates they would have included language expressing that intent.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Contracts §§ 329, 330; AM JUR 2d, Copyright and Literary Property §§ 25, 26, 173, 174.
NY JUR 2d, Contracts §§ 209, 210, 288; NY JUR 2d, Literary and Artistic Property §§ 30, 31.
WILLISTON ON CONTRACTS (4th ed) § 30:4.

ANNOTATION REFERENCE

See ALR Index under Contracts; Copyright and Literary Property; Royalties.

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POINTS OF COUNSEL

Scarola Malone & Zubatov LLP, New York City (*Richard J.J. Scarola* and *Alexander Zubatov*), for appellant. I. EMI’s hiring and paying its own wholly-owned affiliates to engage in foreign royalty collection is a breach of contract. (*Croce v Kurnit*, 737 F2d 229; *Nolan v Sam Fox Publ. Co., Inc.*, 499 F2d 1394; *Reape v New York News*, 122 AD2d 29; *Sutton v East Riv. Sav. Bank*, 55 NY2d 550; *Tougher Heating & Plumbing Co. v State of New York*, 73 AD2d 732; *River View Assoc. v Sheraton Corp. of Am.*,

33 AD2d 187.) II. At best for EMI, the agreement's language is ambiguous and cannot be resolved in its favor on a motion to dismiss. (*Granite Partners, L.P. v Bear, Stearns & Co. Inc.*, 17 F Supp 2d 275.) III. EMI's non-market-rate deals with its own wholly-owned affiliates, diluting plaintiff's negotiated 50% share of royalties while increasing its own, violates the implied covenant of good faith and fair dealing. (*511 W. 232nd Owners Corp. v Jennifer Realty Co.*, 98 NY2d 144; *Sorenson v Bridge Capital Corp.*, 52 AD3d 265; *Skillgames, LLC v Brody*, 1 AD3d 247; *Tractebel Energy Mktg., Inc. v AEP Power Mktg., Inc.*, 487 F3d 89; *Leon v Martinez*, 84 NY2d 83; *Dalton v Educational Testing Serv.*, 87 NY2d 384.) IV. EMI's motion should not have been granted in the absence of discovery. (*Ackerman v 305 E. 40th Owners Corp.*, 189 AD2d 665; *Goshen v Mutual Life Ins. Co. of N.Y.*, 98 NY2d 314.) V. The "affiliates" language in the agreement's preamble presents yet another basis on which this action should be permitted to go forward. (*VKK Corp. v National Football League*, 244 F3d 114; *GTE Wireless, Inc. v Cellexis Intl., Inc.*, 341 F3d 1.)

Pryor Cashman LLP, New York City (*Donald S. Zakarin, Bryan T. Mohler and Benjamin S. Akley* of counsel), for respondent. I. The undisputed documentary evidence conclusively establishes that Mills Music, Inc. (EMI) did not breach the 1961 agreement. (*Brooke Group v JCH Syndicate* 488, 87 NY2d 530; *Greenfield v Philles Records*, 98 NY2d 562; *Silvester v Time Warner*, 1 Misc 3d 250, 14 AD3d 430; *Reape v New York News*, 122 AD2d 29; *Sutton v East Riv. Sav. Bank*, 55 NY2d 550; *Tougher Heating & Plumbing Co. v State of New York*, 73 AD2d 732; *River View Assoc. v Sheraton Corp. of Am.*, 33 AD2d 187, 27 NY2d 718; *Elezaj v Carlin Constr. Co.*, 89 NY2d 992; *Matter of SoHo Alliance v New York City Bd. of Stds. & Appeals*, 95 NY2d 437; *Kass v Kass*, 91 NY2d 554.) II. Paul M. Ellington has neither pleaded nor preserved a good faith and fair dealing claim, which in any event is meritless. (*Hecker v State of New York*, 20 NY3d 1087; *Elezaj v Carlin Constr. Co.*, 89 NY2d 992; *Matter of SoHo Alliance v New York City Bd. of Stds. & Appeals*, 95 NY2d 437.) III. Foreign subpublishers that are EMI companies are not "affiliates" under the 1961 agreement. (*VKK Corp. v National Football League*, 244 F3d 114; *In re New York City Asbestos Litig.*, 41 AD3d 299.)

OPINION OF THE COURT

ABDUS-SALAAM, J.

In this breach of contract action, we have been asked to interpret the terms of a royalty provision contained in a 1961

United States copyright renewal agreement between the legendary Edward Kennedy “Duke” Ellington (Duke Ellington) and Mills Music, Inc. (now EMI). We hold that the disputed terms of the Agreement are clear and unambiguous. Thus, we affirm the Appellate Division.

I

Plaintiff Paul Ellington, an heir and grandson of Duke Ellington, commenced this breach of contract action to recover royalties allegedly due under a royalty provision contained in a copyright renewal agreement dated December 19, 1961. The Agreement designates Duke Ellington and named members of his family as the “First Parties.” The Agreement is expressly binding upon all of Duke Ellington’s heirs and assigns. The Agreement defines “Second Party” as consisting of a group of music publishers including Mills Music, Inc. (whose successor in interest is respondent EMI) as well as “AMERICAN ACADEMY OF MUSIC, INC., GOTHAM MUSIC SERVICE, INC., and their predecessors in interest, and any other affiliate of Mills Music, Inc.” (Agreement, preamble).

The Agreement assigned to the Second Party the right to renew the United States copyright to certain musical compositions written by Duke Ellington, specified in Schedules 1, 2, and 3 of the Agreement, subject to the payment of royalties. Accordingly, the music publishers designated as the Second Party owned the copyright to the relevant compositions and were required to renew the copyrights on behalf of Duke Ellington. Specifically, the Agreement states that Duke Ellington confirms that “Mills Music, Inc., American Academy of Music, Inc., and Gotham Music Service, Inc., or any of their predecessors in interest or any other affiliated companies of Mills Music, Inc., not specifically mentioned, were and are now possessed of and are entitled to the original copyrights of the [relevant] musical compositions” (Agreement ¶ 5).

Paragraph 3 (a) of the Agreement, the royalty provision at issue, requires the Second Party to pay the First Parties “a sum equal to fifty (50%) percent of the net revenue *actually* received by the Second Party from . . . foreign publication” of the relevant musical compositions (Agreement ¶ 3 [a] [emphasis added]). This type of provision is known as a “net receipts” arrangement under which a composer, such as Duke Ellington, would collect royalties based on income received by a publisher after the deduction of fees charged by foreign subpublishers (*see*

e.g. Jobim v Songs of Universal, Inc., 732 F Supp 2d 407, 413 [SD NY 2010]). At the time the Agreement was executed, foreign subpublishers were typically unaffiliated with domestic music publishers. Recently, however, many domestic publishers, including EMI, have affiliated with foreign subpublishers and it is this development that forms the basis of plaintiff's claim of breach of contract.

Pursuant to limited audit rights allowed by contract, plaintiff requested an audit of EMI. During the audit plaintiff discovered that EMI had begun using affiliated foreign subpublishers, who retained 50% of the royalties generated from the foreign sale of the relevant musical compositions originally retained by the unaffiliated subpublishers. The remaining 50% was split equally between EMI and the First Parties as required by the royalty provision.

Plaintiff commenced this action against EMI alleging breach of contract and fraudulent concealment, and also requested declaratory and injunctive relief.¹ Plaintiff claimed that by using affiliated foreign subpublishers, EMI was double-dipping into the entire pot of revenue generated from the foreign sale of the relevant musical compositions. Essentially, plaintiff claims that the amount retained by the affiliated foreign subpublishers prior to remittal of the remainder to EMI is an amount received by EMI, and therefore, when using affiliated foreign subpublishers, EMI should remit to the First Parties half of the entire amount generated from the foreign sale of the relevant musical compositions. By failing to do so, he alleges that EMI has breached the Agreement by diluting his share of the royalties.

EMI moved to dismiss plaintiff's complaint pursuant to CPLR 3211 (a) (1) and (7), arguing that its method of accounting and payment is consistent with the terms and conditions of the Agreement. In opposition, plaintiff argued that the terms of the Agreement are ambiguous and he therefore needed discovery.

Supreme Court granted EMI's motion, and dismissed the amended complaint in its entirety (*Ellington v EMI Music, Inc.*, 33 Misc 3d 1209[A], 2011 NY Slip Op 51827[U] [Sup Ct, NY County 2011]). The court held that "[t]he royalty payment provision is clear and unambiguous" (*id.* at *4). "[T]he contracting parties made no distinction in the royalty payment terms based on whether the foreign subpublishers are affiliated or unaffiliated with the [domestic] publisher" and thus, the court

1. Plaintiff abandoned his fraudulent concealment claim.

determined “it would be improper at any time, but especially now, some 50 years after the date of the [Agreement]’s execution, to read such a distinction into the [Agreement]” (*id.*). The court also held that “[a]bsent explicit language demonstrating the parties’ intent to bind future affiliates of the contracting parties, the term ‘affiliates’ [in the definition of Second Party] includes only those affiliates in existence at the time that the contract was executed” (*id.* at *5).

The Appellate Division affirmed (*Ellington v EMI Music Inc.*, 106 AD3d 401 [1st Dept 2013]), holding that Supreme Court “correctly determined that the [A]greement’s definition of ‘Second Party’ included only the parties named therein and ‘other affiliates of [EMI]’ that were in existence at the time the [A]greement was executed,” which “did not include foreign sub-publishers that had no existence or affiliation with [EMI] at the time of contract” (*id.* at 403). This Court granted plaintiff leave to appeal (21 NY3d 865 [2013]).

II

Where the terms of a contract are clear and unambiguous, the intent of the parties must be found within the four corners of the contract, giving a practical interpretation to the language employed and reading the contract as a whole (*see Greenfield v Philles Records*, 98 NY2d 562, 569 [2002]; *W.W.W. Assoc. v Giancontieri*, 77 NY2d 157, 162-163 [1990]). “The words and phrases used by the parties must, as in all cases involving contract interpretation, be given their plain meaning” (*Brooke Group v JCH Syndicate* 488, 87 NY2d 530, 534 [1996]; *see Quadrant Structured Prods. Co., Ltd. v Vertin*, 23 NY3d 549, 564 [2014]; *J. D’Addario & Co., Inc. v Embassy Indus., Inc.*, 20 NY3d 113, 119 [2012]).

An agreement is unambiguous “if the language it uses has ‘a definite and precise meaning, unattended by danger of misconception in the purport of the [agreement] itself, and concerning which there is no reasonable basis for a difference of opinion’ ” (*Greenfield*, 98 NY2d at 569, quoting *Breed v Insurance Co. of N. Am.*, 46 NY2d 351, 355 [1978]). Ambiguity in a contract arises when the contract, read as a whole, fails to disclose its purpose and the parties’ intent (*see Brooke Group v JCH Syndicate* 488, 87 NY2d 530, 534 [1996]), or when specific language is “susceptible of two reasonable interpretations” (*State of New York v Home Indem. Co.*, 66 NY2d 669, 671 [1985]; *see Chimart Assoc. v Paul*, 66 NY2d 570, 573 [1986]). “The best evidence of

what parties to a written agreement intend is what they say in their writing . . . a written agreement that is complete, clear and unambiguous on its face must be enforced according to the plain meaning of its terms” (*Greenfield*, 98 NY2d at 569 [citation and internal quotation marks omitted]).

Plaintiff argues that two terms in the Agreement are ambiguous: (1) the phrase “net revenue actually received” in the royalty provision and (2) the term “any other affiliate” in the definition of Second Party.

A. “Net Revenue Actually Received”

As stated, the royalty provision provides that the “Second Party” will pay to the “First Parties” “a sum equal to fifty (50%) percent of the net revenue *actually* received by the Second Party from . . . foreign publication” (Agreement ¶ 3 [a] [emphasis added]). This language is not ambiguous, as a plain reading of the provision indicates that plaintiff, through payment to the First Parties, is entitled to receive 50% of the net revenue actually received from foreign subpublishers.

The Agreement does not state what percentage of the net receipts generated from the foreign sale of the relevant musical compositions is to be retained by the foreign subpublishers. Rather, it states only that whatever amount EMI actually received would be split equally with the First Parties. The Agreement contemplates that the royalties paid to the First Parties would be based on the revenue remitted to EMI itself. Although at the time the Agreement was executed the parties apparently did not contemplate that EMI would affiliate itself with foreign subpublishers, the percentage retained by the affiliated foreign subpublishers is not an amount actually received by EMI, but a fee for the subpublishers’ services.

[1] The royalty provision makes no distinction between affiliated and unaffiliated foreign subpublishers. Therefore, the courts below properly declined to read such a distinction into the contract as it does not appear to have been the intent of the parties that such a distinction be included, primarily because they were understandably unaware that such a change in the industry would occur. Nonetheless, the Agreement does not prevent EMI from using affiliated foreign subpublishers, and it does not prevent the affiliated foreign subpublishers from retaining a portion of the total sale owed to them for their ser-

vices, prior to remitting the remainder to EMI.² Thus, the phrase “net revenue actually received” is not ambiguous.

B. “Any Other Affiliate”

The second phrase plaintiff claims is ambiguous is within the definition of Second Party. The Agreement defines “Second Party” as consisting of a group of music publishers including “MILLS MUSIC, INC., a New York corporation, AMERICAN ACADEMY OF MUSIC, INC., GOTHAM MUSIC SERVICE, INC., and their predecessors in interest, and any other affiliate” (Agreement, preamble). Plaintiff asserts that the affiliated foreign subpublishers are included in the term “any other affiliate.”

[2] Absent explicit language demonstrating the parties’ intent to bind future affiliates of the contracting parties, the term “affiliate” includes only those affiliates in existence at the time that the contract was executed (*VKK Corp. v National Football League*, 244 F3d 114, 130-131 [2d Cir 2001] [“The Release’s reference to ‘affiliates’ (is) stated in the present tense. Nothing . . . indicates the inclusion of future rather than present members”]; *Budget Rent A Car Sys., Inc. v K&T, Inc.*, 2008 WL 4416453, *4, 2008 US Dist LEXIS 73024, *10-11 [D NJ, Sept. 24, 2008, No. 2:05-CV-3655 (WJM)(RJH)] [the exclusive license at issue was not violated here because “(n)othing in the License Agreement suggests that the parties intended the License Agreement to extend to future corporate parents or affiliates”]).

Furthermore, the parties did not include any forward looking language. If the parties intended to bind future affiliates they would have included language expressing that intent. Absent such language, the named entities and other affiliated companies of EMI’s predecessor which existed at the time are bound by the provision, not entities that affiliated with EMI after execution of the Agreement. As it is undisputed that the affiliated foreign subpublishers at issue here were not affiliates at the time the Agreement was executed, they are not members of the Second Party.

2. Plaintiff’s argument that defendant may have breached the covenant of good faith and fair dealing by paying its affiliated foreign subpublishers rates that far exceed the market rate paid to unaffiliated subpublishers was raised for the first time in this Court, and is unpreserved. Although the parties mentioned in their Appellate Division briefs a hypothetical case where EMI may have breached the covenant of good faith and fair dealing, plaintiff did not plead that claim and did not squarely make that claim prior to his appeal to this Court.

Additionally, the use of present tense language in the Agreement also demonstrates that the parties intended that the Agreement would bind only affiliates in existence at the time of the Agreement. A later clause in the Agreement states that Duke Ellington confirms that “Mills Music, Inc., American Academy of Music, Inc., and Gotham Music Service, Inc., or any of their predecessors in interest or any other affiliated companies of [EMI] not specifically mentioned, *were and are now* possessed of and are entitled to the original copyrights of the [relevant] musical compositions” (Agreement ¶ 5 [emphasis added]). This language indicates that the parties intended that the members of the Second Party were to be entities who own the copyright in the relevant musical compositions, rather than entities, who for any number of reasons, may be affiliated with the publisher. As the affiliated foreign subpublishers do not acquire a United States copyright to the relevant compositions, the parties likely would not have intended them to be members of the Second Party. The role of the affiliated foreign subpublishers is simply to provide subpublication services in their respective countries. EMI still retains the copyright to the relevant musical compositions.

III

We conclude that the terms “net revenue actually received” in paragraph 3 (a) and “any other affiliate” in the definition of Second Party are not ambiguous.

We note that the globalization of the music industry has rendered this “net receipts” arrangement much more favorable to music publishers than to artists.³ Nonetheless, we must examine the parties’ intentions based on the plain language within the four corners of the Agreement. In 1961, Ellington and Mills Music, Inc. agreed that they would share equally the royalties that Mills Music, Inc. actually received from the foreign sale of the relevant musical compositions. EMI’s corporate reconfiguration did not, as the dissent suggests, “avoid the understanding of the parties” (dissenting op at 253). Rather, the parties merely did not account for the possibility that the publisher would

3. According to the parties, rather than the “net receipts” type of arrangement at issue in this case, agreements between artists and music publishers now usually employ an “at source” formula, under which an artist “collect[s] royalties based on a percentage of income determined before licensing fees are deducted” (*Jobim v Songs of Universal, Inc.*, 732 F Supp 2d 407, 413 [SD NY 2010]).

eventually affiliate with foreign subpublishers. The terms of the contract are clear and unambiguous and the Appellate Division correctly held that plaintiff has not stated a cause of action for breach of the agreement.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

SMITH, J. (concurring). I agree with the majority's result, but not its reasoning. As a general proposition, it seems wrong to me that, when a contract is written to bind "any . . . affiliate" of a party, its effect should be limited to affiliates in existence at the time of contracting. That invites parties to create new affiliates, and to have them do what the old affiliates are prohibited by the contract from doing.

Nor does the Agreement's use of the present tense in referring to EMI's affiliates suggest to me that later-created affiliates were to be outside its scope. If I say "I have three grandchildren" I am making a statement of fact; I am not restricting the definition of "grandchild" so as to exclude any who might later be born.

Indeed, if the facts of this case were a bit different, I very much doubt that the majority would give "affiliate" such a restrictive reading. Suppose that EMI had created new affiliates and arranged for them to receive not the 50% of royalties that unaffiliated foreign subpublishers had previously received, but 90%. If the new affiliates had no obligation to the Ellington family under the agreement, the family's share would be reduced to 5%—obviously contrary to what the parties intended.

What persuades me nevertheless to concur in the result here is the parties' practical construction of the Agreement. For many years before this litigation began, EMI provided semiannual royalty statements to the Ellington estate, and later to plaintiff individually, which clearly disclosed that affiliated subpublishers were getting the same 50% of foreign royalties that unaffiliated ones previously got. These disclosures go back at least to 1994, and plaintiff personally received them beginning in 2002. The record discloses no complaint by anyone about the split until September of 2008, and plaintiff offers no explanation for his and his predecessor's many years of acquiescence. This persuades me that the parties always understood that 50% of foreign royalties could be paid to foreign subpublishers—affiliated or not—before plaintiff's share of the royalties was computed.

RIVERA, J. (dissenting). I disagree with the majority that respondent EMI has carried its burden on this motion to dismiss because, in my opinion, the term “affiliate” as used in the Agreement may be interpreted as appellant suggests to include EMI’s foreign affiliated entities. This reasonable interpretation of the Agreement supports a conclusion that appellant has sufficiently pleaded a cause of action for breach of contract. To hold otherwise, as the majority does here, forecloses appellant from pursuing his claim that EMI has avoided its obligations under the Agreement by employing music industry business models that increase revenue for publishers, to the detriment of creative artists. Therefore, I dissent.

Our review of this appeal, which is from dismissal of the complaint pursuant to CPLR 3211 (a) (1) and (7), requires that we “must accept as true the facts as alleged in the complaint and submissions in opposition to the motion, accord plaintiffs the benefit of every possible favorable inference and determine only whether the facts as alleged fit within any cognizable legal theory” (*Whitebox Concentrated Convertible Arbitrage Partners, L.P. v Superior Well Servs., Inc.*, 20 NY3d 59, 63 [2012]). “[T]he pleading is to be afforded a liberal construction” (*Leon v Martinez*, 84 NY2d 83, 87 [1994]; *Goshen v Mutual Life Ins. Co. of N.Y.*, 98 NY2d 314 [2002]; see CPLR 3026), and “[u]nder CPLR 3211 (a) (1), a dismissal is warranted only if the documentary evidence submitted conclusively establishes a defense to the asserted claims as a matter of law” (*Leon v Martinez*, 84 NY2d 83, 87-88 [1994], citing *Heaney v Purdy*, 29 NY2d 157 [1971]). Unlike on a motion for summary judgment where the court “searches the record and assesses the sufficiency of the parties’ evidence,” on a motion to dismiss the court “merely examines the adequacy of the pleadings” (*State of New York v Barclays Bank of N.Y.*, 151 AD2d 19, 21 [3d Dept 1989], *affd* 76 NY2d 533 [1990]).

The Court has previously faced questions regarding the application of existing legal doctrines to agreements which predated industry-wide developments, and has reaffirmed the vitality of traditional contract precepts in the face of even unanticipated changes. For example, in *Greenfield v Philles Records* we said that, “[d]espite the technological innovations that continue to revolutionize the recording industry, long-settled common-law contract rules still govern the interpretation of agreements between artists and their record producers” (98 NY2d 562, 569 [2002]).

Under our law, where the parties to a breach of contract action dispute the intended meaning of the agreement, we look to the contract itself to determine if the terms are unambiguous, giving the words of the contract their “plain meaning” (*Quadrant Structured Prods. Co., Ltd. v Vertin*, 23 NY3d 549, 559-560 [2014] [“a written agreement that is complete, clear and unambiguous on its face must be enforced according to the plain meaning of its terms” (citations omitted)]). If the terms are ambiguous, dismissal of the complaint under CPLR 3211 must be denied (*see Telerep, LLC v U.S. Intl. Media, LLC*, 74 AD3d 401, 402 [1st Dept 2010]). Ambiguity exists when, looking within the four corners of the document, the terms are reasonably susceptible of more than one interpretation (*see Greenfield*, 98 NY2d at 569; *Chimart Assoc. v Paul*, 66 NY2d 570, 573 [1986]).

Applying these contract principles to this Agreement, and reading the complaint liberally, as the Court is required to do, I would conclude that the Agreement contains unclear and contradictory language which renders the term “affiliate” ambiguous. I would therefore reverse the Appellate Division.

At the heart of the parties’ dispute is the intent of the Agreement’s foreign publication royalties provision. Respondent EMI argues that under this provision the parties share the net revenues actually received, meaning the revenues that EMI receives after the costs and fees for foreign publication are deducted. Appellant agrees, but claims that EMI has sought to garner a greater share of the revenues by using its own affiliates, rather than unaffiliated entities, to conduct the foreign publication process. This, appellant maintains, is in direct contravention of the intent of the parties because at the time the parties entered the Agreement they intended to share the costs and fees charged only by unaffiliated entities.

Appellant argues, and EMI concedes, that there have been changes in the manner in which publishers pursue foreign publication of creative works such as those involved in this case. According to appellant, over time the music publishers began to use their own affiliates for foreign publication. By so doing, the music publishers, including EMI, captured a greater share of the revenue for themselves by claiming net revenues as well as the fees formerly charged by the unaffiliated foreign entities. (*See also* Ira B. Selsky, *Music Publishing in the International Marketplace*, 17 Whittier L Rev 293, 298 [1995].) Appellant claims EMI’s share comes at a cost to the Ellington family

members and their successors because EMI does not include as part of the “net revenue actually received” the revenue EMI’s foreign affiliates are paid for foreign publication.

Respondent EMI contends that the only affiliates referred to in the Agreement are those of EMI’s predecessor, Mills Music, Inc., which, according to EMI, cannot include foreign subpublishers. This merely begs the question of what is an affiliate. I find the failure to define affiliate in this Agreement indicates that the meaning is not as obvious and clear as EMI suggests, and very well supports appellant’s argument that affiliate includes foreign affiliates.

As a general matter, an “affiliate” is defined as a “corporation that is related to another corporation by shareholdings or other means of control; a subsidiary, parent, or sibling corporation” (Black’s Law Dictionary [9th ed 2009]; *see also VKK Corp. v National Football League*, 244 F3d 114, 130 [2d Cir 2001] [defining “affiliate” as “being close in connection, allied, associated, or attached as a member or branch”]). Nothing in this common definition suggests that an affiliate does not include a foreign affiliate. Courts may not redefine a term to suit one party’s argument, or choose to ignore the meaning generally attached to a term without some basis in the parties’ agreement. Therefore, there is an open question that cannot be answered on this motion to dismiss as to whether the parties intended to include foreign affiliates.

Respondent EMI argues, nevertheless, that, in context, the Agreement’s references make clear that foreign affiliates are excluded from that term’s coverage. I cannot find such absolute clarity in the text of the Agreement. For example, although EMI asserts that the only affiliates are those of Mills Music, the Agreement does not appear to be so limited. For example, the second “Whereas” clause refers to “the Second Party or any of its affiliated companies.” If, as EMI claims, the only affiliates covered by the Agreement are those of Mills Music, there is no need to reference affiliated companies of the Second Party, which consists of several other music publishers in addition to Mills Music. Perhaps this reference is merely redundant or superfluous; or perhaps it refers to affiliates of the other companies listed in the Preamble as “Second Party” entities.

In response to appellant’s contention that EMI uses foreign subpublisher affiliates to avoid its obligations under the contract and reduce the revenues due to appellant, EMI claims that the

Agreement includes only affiliates in existence at the time of the formation of the contract. However, the purpose of the Agreement, as well as the custom in the music industry, supports appellant's interpretation.

Under the Agreement, Ellington family members transferred to the music publishers their interests in certain of Duke Ellington's creative works; works which at the time, and today, are undeniably of great creative and monetary value. In return, the music publishers agreed to provide royalties from various sales of these works, including revenues from foreign publication. Appellant argues that Duke Ellington and his family did not intend to enter an Agreement which promised them royalties, but permitted the music publishers, through corporate sleight of hand, to increase the publishers' revenues while reducing the Ellingtons' royalties.

Appellant further asserts, and EMI does not dispute, that at the time the parties entered the Agreement Mills Music followed the general industry practice of using foreign unaffiliated subpublishers for foreign publication. The existence of this music industry custom, understood by the parties to be the operative business model and the way things were done, supports appellant's claim that all the parties to the Agreement understood that foreign subpublishers would be used, and their fees would be discounted from the revenue. "When trade usage is widespread, there is a presumption that the parties intended its incorporation by implication, unless the contract negates this implication" (see *Jobim v Songs of Universal, Inc.*, 732 F Supp 2d 407, 417 [SD NY 2010], citing Contract Law § 9:25 [28 West's NY Prac Series]).

Respondent EMI argues that nothing in the contract prohibits it from modifying its practices and adapting to industry changes. It contends that appellant is in reality arguing to reform the Agreement from a net revenue contract to an at source contract. This argument is simply an attempt to distract attention from the real issue in the case. Appellant does not dispute that the foreign publication provision applies a net receipt methodology for determining royalties. Rather, he argues that EMI has manipulated the agreed-to net receipt provision to exclude revenues EMI actually receives through its foreign affiliate. The Agreement lends itself to more than one interpretation concerning the net revenue sharing provision, and appellant's interpretation seems reasonable, or at least as reasonable as the one proposed by EMI.

As a final note, appellant's claims should give us pause because they suggest this is not, as the majority seems to believe, the unintended results of "the globalization of the music industry" that renders the Agreement "more favorable to music publishers than to artists" (majority op at 247 [footnote omitted]). Indeed, I share the concurring opinion's sense that there is something troubling about interpreting "affiliate" in the context of this Agreement, as the majority does, to include only those affiliates in existence at the formation of the contract (concurring op at 248). This interpretation sets the stage for the type of abuse alleged here, namely corporate reconfigurations that avoid the understanding of the parties.

Judges GRAFFEO, READ and PIGOTT concur; Judge SMITH concurs in result in an opinion; Judge RIVERA dissents and votes to reverse in an opinion in which Chief Judge LIPPMAN concurs.

Order affirmed, with costs.

[22 NE3d 179, 997 NYS2d 671]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v GENNA
A. TURNER, Appellant.

Argued September 17, 2014; decided October 23, 2014

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the Fourth Judicial Department, from an order of that Court, entered June 14, 2013. The Appellate Division affirmed a judgment of the Monroe County Court (Melchor E. Castro, J., at suppression hearing; Vincent M. Dinolfo, J., at plea and sentence), which had convicted defendant, upon her plea of guilty, of attempted murder in the second degree, burglary in the first degree and criminal contempt in the first degree.

People v Turner, 107 AD3d 1543, reversed.

HEADNOTES

Crimes — Plea of Guilty — Failure to Advise Defendant of Postrelease Supervision — Preservation Requirement

1. Where a defendant is unaware of the postrelease supervision (PRS) component of a sentence at the time he or she enters a guilty plea, the court must notify the defendant of the PRS term sufficiently in advance of its imposition that he or she has the opportunity to object to the deficiency in the plea proceeding. In the absence of such an opportunity, preservation for appellate review of a claim that the plea was not knowingly and voluntarily entered is unnecessary. Thus, in a prosecution for attempted murder, among other crimes, defendant was not required to preserve her challenge to the voluntariness of her plea where the court did not advise her at the time of her plea that her sentence would include any PRS and only notified her of the PRS term in the middle of sentencing, notwithstanding that she submitted to sentencing with the PRS addition. To meet due process requirements, a defendant entering a guilty plea must be aware of the PRS component of the sentence. A defendant cannot be expected to move to withdraw a plea on a ground of which he or she has no knowledge. The failure to seek to withdraw a plea on a ground of which the defendant has no knowledge does not preclude appellate review of the due process claim. Here, defendant did not have sufficient knowledge of the terms of the plea at the plea allocution and, when later advised, did not have sufficient opportunity to move to withdraw her plea. Moreover, the prosecutor, not the court, led the sentencing colloquy and may have misled defendant by telling her that PRS was “part of her plea.”

Crimes — Confession — Statements Attenuated from Improper Arrest

2. In a prosecution for attempted murder, among other crimes, the denial of the branch of defendant’s suppression motion challenging the admissibility of her confession was not disturbed where there was record support for the affirmed finding that the custodial confession was attenuated from the illegal

arrest. Because application of the attenuation doctrine involved a mixed question of law and fact, the Court of Appeals could reverse the lower court's attenuation finding only if there was no evidence in the record to support the decision.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 627, 647; AM JUR 2d, Arrest § 129; AM JUR 2d, Criminal Law §§ 630, 689, 690; AM JUR 2d, Evidence §§ 643, 651, 764; AM JUR 2d, Trial § 48.

CARMODY-WAIT 2d, Confessions; Privilege Against Self-Incrimination §§ 176:64, 176:100; CARMODY-WAIT 2d, Pleas and Plea Bargaining §§ 182:62, 182:70, 182:88; CARMODY-WAIT 2d, Particular Types of Evidence § 194:285; CARMODY-WAIT 2d, Appeals in Criminal Cases § 207:169.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 9.4, 21.3–21.5, 24.4, 27.5.

NY JUR 2d, Criminal Law: Procedure §§ 627, 1485, 1513, 1527, 2226, 3638.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Confessions and Admissions; Guilty Pleas; Parole, Probation, and Pardon.

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Query: plea /4 invol! & noti! /5 prs & preserv!

POINTS OF COUNSEL

Charles T. Noce, Conflict Defender, Rochester (Kimberly J. Czapranski of counsel), for appellant. I. Where there was no mention of postrelease supervision as part of the plea allocution, and Genna A. Turner was only notified of this aspect of her sentence immediately prior to being sentenced, reversal is required. (*People v Turner*, 107 AD3d 1543; *People v Louree*, 8 NY3d 541; *People v Catu*, 4 NY3d 242; *People v Murray*, 15 NY3d 725; *People v McAlpin*, 17 NY3d 936; *People v Pett*, 77 AD3d 1281; *Johnson v Zerbst*, 304 US 458; *People v McDermott*, 68 AD3d 1453.) II. The arrest of Genna A. Turner, properly determined to be without requisite probable cause, tainted all evidence subsequently obtained; and the determination that the station house statement obtained soon thereafter was suf-

ficiently “attenuated” from the arrest was incorrect. (*Brown v Illinois*, 422 US 590; *Dunaway v New York*, 442 US 200; *People v Havelka*, 45 NY2d 636; *People v Bradford*, 15 NY3d 329; *People v Conyers*, 68 NY2d 982; *People v Gethers*, 86 NY2d 159; *People v Johnson*, 66 NY2d 398; *People v Jones*, 21 NY3d 449; *Mapp v Ohio*, 367 US 643; *Wong Sun v United States*, 371 US 471.)

Sandra Doorley, District Attorney, Rochester (*Matthew Dunham* of counsel), for respondent. I. Defendant was required to preserve her contention that her plea was not knowing, voluntary and intelligent based upon the trial court’s failure to inform her that she would be subject to a term of postrelease supervision. (*People v Catu*, 4 NY3d 242; *People v Louree*, 8 NY3d 541; *People v Murray*, 15 NY3d 725; *People v Peque*, 22 NY3d 168; *People v Lopez*, 71 NY2d 662; *People v McAlpin*, 17 NY3d 936; *People v Seaberg*, 74 NY2d 1; *People v Lopez*, 28 NY2d 148.) II. There is record support for the Appellate Division’s conclusion that defendant’s station house confession was sufficiently attenuated from her initial detention by the police. (*People v Bradford*, 15 NY3d 329; *Brown v Illinois*, 422 US 590; *People v Johnson*, 66 NY2d 398; *Matter of Leroy M.*, 16 NY3d 243; *People v Conyers*, 68 NY2d 982; *People v Jones*, 21 NY3d 449; *People v Martinez*, 80 NY2d 444; *People v Cantor*, 36 NY2d 106; *People v Quinones*, 12 NY3d 116; *People v Rogers*, 52 NY2d 527.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

The primary issue presented by this appeal is whether defendant was required to preserve her claim that her plea was not knowingly and voluntarily entered where she first received notice of the imposition of a term of postrelease supervision (PRS) at sentencing, and submitted to sentencing with the PRS addition. We reverse, vacate the plea, and remit for further proceedings, holding that the court must notify defendant of a term of PRS sufficiently in advance of its imposition that defendant has the opportunity to object to the deficiency in the plea proceeding. In the absence of such an opportunity, preservation is unnecessary.

In 2010, defendant assaulted her friend with a knife and then fled the scene. Shortly thereafter, a police officer noticed defendant pacing back and forth in a parking lot about a mile away. Without asking her any questions, the officer handcuffed defendant and placed her in the back of his patrol car. She then offered to show the officer where she stashed the knife. After

locating the knife, the officer arranged a showup identification during which the victim identified defendant as her assailant. Forty minutes after the arrest, defendant was placed in an interrogation room. About 20 minutes later, she waived her *Miranda* rights and, during light banter with the officers, she confessed to the crime. She added that she committed the crime with the hope that she would go to jail and be killed in prison.

Finding that the arrest lacked probable cause, County Court suppressed the knife and the incriminating statement defendant made in the patrol car. However, County Court did not suppress defendant's interrogation statements, ruling they were attenuated from the illegal arrest.

Thereafter, defendant pleaded guilty to an indictment charging her with attempted murder in the second degree with the understanding that the court would impose a sentence of 15 years' imprisonment. The court failed to mention the period of PRS at the plea hearing.

In the middle of the subsequent sentencing proceeding, the following colloquy transpired:

"PROSECUTOR: Judge, I believe—I can't recall if the post-release supervision period was discussed at the time of plea. I think we should probably make a record of that now so it is clear.

"COURT: I intend to make a five year period of post release supervision.

"PROSECUTOR: Ms. Turner, have you had a chance to talk about that with your attorney?

"DEFENDANT: Yes.

"PROSECUTOR: Do you understand that[] that's part of your plea, at the end of your prison sentence you will be on parole supervision for a period of five years?

"DEFENDANT: Correct.

"PROSECUTOR: You still wish to go through with sentencing today?

"DEFENDANT: Yes."

County Court imposed the sentence promised at the plea, plus the five years of PRS.

On appeal, defendant argued, among other things, that her plea was involuntary while the People countered that defend-

ant's claim was unpreserved for appellate review. The Appellate Division affirmed the judgment. The majority extended the holding in *People v Murray* (15 NY3d 725 [2010]), ruling defendant's failure to object to the imposition of PRS, despite her opportunity to do so, rendered her challenge unpreserved (107 AD3d 1543, 1547 [4th Dept 2013]). Noting that defendant indicated that she knew of the PRS term before sentencing was imposed, the majority reasoned that "defendant could have sought relief from the sentencing court in advance of the sentence's imposition," and thus "*Louree's* rationale for dispensing with the preservation requirement is not presently applicable" (*id.* at 1547, quoting *Murray*, 15 NY3d at 727). Two Justices dissented from this ruling,* and this appeal is before us by leave of one of them (21 NY3d 1047 [2013]).

We held in *People v Catu* that "[a] trial court has the constitutional duty to ensure that a defendant, before pleading guilty, has a full understanding of what the plea connotes and its consequences" (4 NY3d 242, 244-245 [2005]). To meet due process requirements, a defendant "must be aware of the post-release supervision component of that sentence in order to knowingly, voluntarily and intelligently choose among alternative courses of action" (*id.* at 245). Without such procedures, vacatur of the plea is required (*id.*).

A defendant cannot be expected to object to a constitutional deprivation of which she is unaware. As we recognized in *People v Louree*, where the defendant was only notified of the PRS term at the end of the sentencing hearing, the defendant "can hardly be expected to move to withdraw [the] plea on a ground of which [he or she] has no knowledge" (8 NY3d 541, 546 [2007]). And, in that circumstance, the failure to seek to withdraw the plea or to vacate the judgment does not preclude appellate review of the due process claim.

The People would have us analogize this case to *People v Murray* (15 NY3d 725 [2010]), where we held that the defendant's challenge to his plea on due process grounds was not preserved because he was informed at the plea allocution that he would receive a two-year PRS term, but then was notified at the outset of the sentencing proceeding that he would receive a three-year term. We are not persuaded. The defendant in *Murray* knew that PRS would be a part of the sentence when he accepted the

* The Appellate Division was unanimous in upholding County Court's suppression ruling.

plea and was therefore mindful that his imprisonment might be extended if he were to violate the terms of his PRS. Because Murray was notified of the PRS term at the plea allocution, and was advised at the commencement of the sentencing hearing that the PRS term had changed, preservation by an objection was both possible and necessary (*see Murray*, 15 NY3d at 726-727).

[1] Here, the court did not advise defendant at the time of her plea that her sentence would include any PRS, and only notified her of her PRS term in the middle of sentencing. The same reasoning that applied in *Catu* and *Louree* applies here: the defendant did not have sufficient knowledge of the terms of the plea at the plea allocution and, when later advised, did not have sufficient opportunity to move to withdraw her plea. Moreover, the prosecutor, not the court, led the sentencing colloquy and may have misled defendant by telling her that PRS was “part of her plea.”

[2] Turning to defendant’s challenge to the admissibility of her confession, we do not disturb the denial of this branch of the suppression motion. Because application of the attenuation doctrine in this case involves a mixed question of law and fact (*see e.g. People v Divine*, 6 NY3d 790, 791 [2006]), the Court may reverse the lower court’s attenuation finding only if there is no evidence in the record to support the decision (*see People v Bradford*, 15 NY3d 329, 333 [2010]). Here, there is record support for the affirmed finding that the custodial confession was attenuated from the illegal arrest.

Accordingly, the order of the Appellate Division should be reversed, defendant’s plea vacated, and the case remitted to County Court for further proceedings on the indictment.

ABDUS-SALAAM, J. (dissenting). While I agree with the majority that defendant’s confession was admissible and that branch of her suppression motion was properly denied, I believe that her *Catu* (*People v Catu*, 4 NY3d 242 [2005]) argument required preservation in a manner consistent with the preservation rules that apply to challenges to the voluntariness of a guilty plea (*see People v Peque*, 22 NY3d 168, 182 [2013] [“Under certain circumstances, this preservation requirement extends to challenges to the voluntariness of a guilty plea”]; *see also People v Tyrell*, 22 NY3d 359, 364 [2013]; *People v Clarke*, 93 NY2d 904, 906 [1999]). Because the argument was unpreserved, I would affirm the Appellate Division order in its entirety.

Although the facts and arguments on the merits differ somewhat, this case is analogous to *People v Murray* (15 NY3d 725 [2010]). There we held that preservation of the defendant's objection to postrelease supervision (PRS) was deemed to be required where defendant was informed in advance of his plea that he was facing a two-year period of PRS, but was then informed during sentencing that a three-year period of PRS would be imposed. We distinguished *People v Louree* (8 NY3d 541, 546 [2007]), noting that "[b]ecause [the] defendant could have sought relief from the sentencing court in advance of the sentence's imposition, *Louree's* rationale for dispensing with the preservation requirement"—that a defendant cannot move to withdraw his or her plea on a ground of which he or she has no knowledge—"is not presently applicable" (15 NY3d at 727).

To be sure, as noted, the facts here differ from *Murray*, in that *Murray* was informed prior to his plea that some period of PRS would attach to his sentence, whereas defendant here was not informed of PRS until sentencing. In other words, *Murray* did not involve a *Catu* error per se, but rather featured the somewhat related error we identified in *People v Boyd* (12 NY3d 390 [2009]). Despite the distinction between the substantive defects in the plea and sentencing proceeding here and in *Murray*, the principal logic of *Murray* is that preservation is required where the defendant has sufficient opportunity to object to PRS or withdraw his or her plea.

During sentencing, defendant was informed of the five-year period of PRS that attached to her guilty plea, and she had the opportunity to object to the imposition of PRS or to withdraw her plea. At the sentencing hearing, after being informed by the prosecutor that PRS had not been discussed during the plea allocution, the trial judge stated to defendant, "I intend to make a five year period of [PRS]." The prosecutor asked defendant whether she had discussed PRS with her attorney, to which she answered "Yes." The prosecutor then clarified by asking defendant whether she understood that PRS was a part of her plea, and that "at the end of [her] prison sentence [she would] be on parole supervision for a period of five years." Defendant responded, "Correct." The prosecutor asked defendant whether she wished to continue with the sentencing, and she answered, "Yes."

Louree recognized that a defendant has the opportunity to withdraw a plea "any time *before* the imposition of sentence" (8 NY3d at 545-546). After discussing PRS, but before the sentence

was actually imposed here, defendant's counsel asked the trial court a number of questions concerning completion of the plea-in-satisfaction form, counsel requested that a letter written by defendant be made part of the sentencing memorandum, and also requested that the trial court make a recommendation to the Department of Corrections that defendant be designated a special needs inmate. Defendant had ample opportunity to object to the imposition of PRS or to withdraw her plea before the sentence was imposed. Thus, preservation of her *Catu* argument was required, and defendant did not preserve that argument.

In finding the error unpreserved, I do not wish to suggest any endorsement of the trial judge's failure to more directly discuss the parameters of the plea and sentence with defendant at the sentencing proceeding. We held in *Louree* that a trial judge is charged with ensuring that a defendant's plea is knowing, voluntary and intelligent (8 NY3d at 545-546). It would certainly have been a better practice at sentencing for the trial judge, rather than the prosecutor, to have conducted the questioning.

Nonetheless, the trial judge here clearly stated to the defendant that he intended to impose a five-year period of PRS to defendant's sentence. The trial judge presided over the colloquy between the prosecutor and defendant, where defendant indicated that she understood PRS, had spoken with counsel about PRS, and stated that she wished to continue with sentencing. Based on that discussion, the trial judge would have no reason to believe that defendant should be offered her plea back or that she intended to withdraw her plea.

Because defendant had ample opportunity to object to the imposition of PRS and to request withdrawal of her plea, she was required to preserve her *Catu* argument. Therefore, I dissent and would affirm the Appellate Division order.

Judges GRAFFEO, READ, PIGOTT and RIVERA concur; Judge ABDUS-SALAAM dissents in an opinion in which Judge SMITH concurs.

Order reversed, defendant's plea vacated and case remitted to County Court, Monroe County, for further proceedings on the indictment.

[22 NE3d 999, 998 NYS2d 131]

ROBERT DAVIS et al., Appellants, v JAMES BOEHEIM et al.,
Respondents.

Argued September 9, 2014; decided October 21, 2014

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered October 4, 2013. The Appellate Division, with two Justices dissenting, affirmed an order of the Supreme Court, Onondaga County (Brian F. DeJoseph, J.), which had granted defendants' motion to dismiss the complaint.

Davis v Boenheim, 110 AD3d 1431, reversed.

HEADNOTE**Libel and Slander — Actionable Words — Statements Reasonably Susceptible of Defamatory Connotation**

Plaintiffs' complaint sufficiently pleaded a cause of action for defamation based on statements made by defendant head university basketball coach to the media in response to plaintiffs' allegations of sexual abuse by the associate head coach who was also defendant's longtime friend, inasmuch as the challenged statements, in which defendant called plaintiffs liars and stated that their allegations were financially motivated, were reasonably susceptible of a defamatory connotation. Only statements alleging facts can properly be the subject of a defamation action, but an opinion that implies that it is based upon facts which justify the opinion but are unknown to those reading or hearing it is an actionable mixed opinion. The dispositive inquiry is whether, on the basis of the over-all context in which the assertions were made, a reasonable reader could have concluded that the statements were conveying facts about the plaintiff. Here, defendant's use of specific, easily understood language to communicate that plaintiffs lied, that their motive was financial gain and that one plaintiff had made prior similar statements for the same reason weighed in favor of treating the statements as factual. They were clear statements of the plaintiffs' actions and the driving force for their abuse allegations and they were capable of being proven true or false. Moreover, defendant's statements and the context in which they were communicated suggested that he was relying on undisclosed facts to justify his statements. His initial statement, which contained information about the university's investigation, was released before the university's statement and was published on its website, thereby confirming defendant's status as a well respected member of the university and suggesting that he had access to facts not available to the public. That defendant denied knowledge of facts or prefaced statements with "I believe" was insufficient to transform them into pure opinion.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Libel and Slander §§ 118–123, 125, 159, 160,
193, 417.

DOBBS LAW OF TORTS §§ 524–526, 567, 569.

NY JUR 2d, Defamation and Privacy §§ 6–10, 15, 18, 38, 39,
70–72, 252, 254, 259.

NEW YORK LAW OF TORTS §§ 1:43, 1:48.

ANNOTATION REFERENCE

See ALR Index under Belief or Opinion; Libel and Slander.

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POINTS OF COUNSEL

Cuti Hecker Wang LLP, New York City (*Mariann Meier Wang* of counsel), and *Allred, Maroko & Goldberg*, Los Angeles, California (*Gloria Allred* of counsel), for appellants. I. The governing standards of review were not applied. (*Leon v Martinez*, 84 NY2d 83; *Silsdorf v Levine*, 59 NY2d 8; 511 W. 232nd Owners Corp. v Jennifer Realty Co., 98 NY2d 144; *Lawrence v Graubard Miller*, 11 NY3d 588; *Armstrong v Simon & Schuster*, 85 NY2d 373; *Thomas H. v Paul B.*, 18 NY3d 580; *Gross v New York Times Co.*, 82 NY2d 146; *November v Time Inc.*, 13 NY2d 175; *Sweeney v Prisoners' Legal Servs. of N.Y.*, 146 AD2d 1; *Carney v Memorial Hosp. & Nursing Home of Greene County*, 64 NY2d 770.) II. The plain text establishes that the challenged statements are provable statements of fact. (*Thomas H. v Paul B.*, 18 NY3d 580; *Alianza Dominicana, Inc. v Luna*, 229 AD2d 328; *Armstrong v Simon & Schuster*, 85 NY2d 373; *Gross v New York Times Co.*, 82 NY2d 146; *Brach v Congregation Yetev Lev D'Satmar*, 265 AD2d 360; *Cappellino v Rite-Aid of N.Y.*, 152 AD2d 934; *Kaminester v Weintraub*, 131 AD2d 440; *Petrus v Smith*, 91 AD2d 1190; *Mase v Reilly*, 206 App Div 434; *Celle v Filipino Reporter Enters. Inc.*, 209 F3d 163.) III. James Boenheim's statements are actionable as mixed opinion. (*Silsdorf v Levine*, 59 NY2d 8; *Gross v New York Times Co.*, 82 NY2d 146; *Steinhilber v Alphonse*, 68 NY2d 283; *Chalpin v Amordian Press*, 128 AD2d 81; *Zulawski v Taylor*, 63 AD3d 1552; *Rossi v Attanasio*, 48 AD3d 1025; *Clark v Schuylerville Cent. School Dist.*, 24 AD3d 1162; *Arts4All, Ltd. v Hancock*, 5 AD3d 106; *Gjonlekaj v Sot*, 308 AD2d 471; *Gisel v Clear Channel Communications, Inc.*, 94 AD3d 1525.) IV. The context could have led a reasonable reader to conclude that James Boenheim's statements were factual. (*Mann v Abel*, 10 NY3d 271; *Brian v Richardson*, 87

NY2d 46; *Gross v New York Times Co.*, 82 NY2d 146; *600 W. 115th St. Corp. v Von Gutfeld*, 80 NY2d 130; *Immuno AG. v Moor-Jankowski*, 77 NY2d 235; *Steinhilber v Alphonse*, 68 NY2d 283; *Silsdorf v Levine*, 59 NY2d 8; *McNamee v Clemens*, 762 F Supp 2d 584; *Guerrero v Carva*, 10 AD3d 105; *Curry v Roman*, 217 AD2d 314.)

Debevoise & Plimpton LLP, New York City (*Helen V. Cantwell*, *Mary Beth Hogan*, *Andrew M. Levine* and *Miranda H. Turner* of counsel), *Dinsmore & Shohl LLP*, Pittsburgh, Pennsylvania (*C. James Zeszutek* of counsel), and *Hancock Estabrook, LLP*, Syracuse (*Janet D. Callahan* and *Timothy P. Murphy* of counsel), for respondents. I. Both lower courts applied the appropriate standard of review. (*Armstrong v Simon & Schuster*, 85 NY2d 373; *Silsdorf v Levine*, 59 NY2d 8; *Biro v Condé Nast*, 883 F Supp 2d 441; *Goetz v Kunstler*, 164 Misc 2d 557; *Immuno AG. v Moor-Jankowski*, 77 NY2d 235; *Mann v Abel*, 10 NY3d 271; *Aronson v Wiersma*, 65 NY2d 592; *Leder v Spiegel*, 31 AD3d 266, 9 NY3d 836; *Lenz Hardware v Wilson*, 94 NY2d 913; *Golub v Enquirer/Star Group*, 89 NY2d 1074.) II. As the Appellate Division properly concluded, the content of James Boenheim's statements demonstrates that he was stating an opinion. (*Mann v Abel*, 10 NY3d 271; *Gross v New York Times Co.*, 82 NY2d 146; *Steinhilber v Alphonse*, 68 NY2d 283; *600 W. 115th St. Corp. v Von Gutfeld*, 80 NY2d 130; *Varrenti v Gannett Co., Inc.*, 33 Misc 3d 405; *Stroup v Nazzaro*, 91 AD3d 1367; *Ram v Moritt*, 205 AD2d 516; *Independent Living Aids, Inc. v Maxi-Aids, Inc.*, 981 F Supp 124; *El-Amine v Avon Prods.*, 293 AD2d 283; *Rizzuto v Nexxus Prods. Co.*, 641 F Supp 473.) III. The courts below correctly determined that the immediate and broader context of James Boenheim's statements signaled to the reasonable reader that he was expressing constitutionally protected opinion. (*Mann v Abel*, 10 NY3d 271; *Brian v Richardson*, 87 NY2d 46; *Gentile v Grand St. Med. Assoc.*, 79 AD3d 1351; *Independent Living Aids, Inc. v Maxi-Aids, Inc.*, 981 F Supp 124; *Goetz v Kunstler*, 164 Misc 2d 557; *McNamee v Clemens*, 762 F Supp 2d 584; *600 W. 115th St. Corp. v Von Gutfeld*, 80 NY2d 130; *Immuno AG. v Moor-Jankowski*, 77 NY2d 235; *Steinhilber v Alphonse*, 68 NY2d 283; *Gross v New York Times Co.*, 82 NY2d 146.) IV. James Boenheim's statements, when taken as a whole and read in their full context, are not actionable as any type of mixed opinion. (*Lapine v Seinfeld*, 31 Misc 3d 736; *Bruno v New York Daily News Co.*, 89 AD2d 260; *Steinhilber v Alphonse*, 68 NY2d 283; *Gisel v Clear Channel Communications, Inc.*, 94 AD3d 1525; *Zulawski v Taylor*, 63 AD3d 1552;

Rossi v Attanasio, 48 AD3d 1025; *Chalpin v Amordian Press*, 128 AD2d 81; *McGill v Parker*, 179 AD2d 98; *OFSI Fund II, LLC v Canadian Imperial Bank of Commerce*, 82 AD3d 537; *Karaduman v Newsday, Inc.*, 51 NY2d 531.)

OPINION OF THE COURT

RIVERA, J.

On this appeal from a pre-answer dismissal of plaintiffs' defamation action, we conclude that the challenged statements are reasonably susceptible of a defamatory connotation, and not otherwise privileged, nonactionable "pure opinion." Therefore, we reverse the Appellate Division.

I.

Plaintiffs Robert Davis and his stepbrother Michael Lang sued defendants Syracuse University and James Boeheim, the University's head basketball coach, for defamation based on statements by Boeheim made in response to Davis' and Lang's allegations of sexual molestation by Bernie Fine, Boeheim's longtime friend and the team's associate head coach. Plaintiffs claimed that Fine used his position and authority within the University's basketball program to gain access to and control over Davis and Lang for purposes of sexually molesting them.

According to plaintiffs, from the time Davis and Lang were children in the 1980s, Fine lured them with opportunities to attend the games and assist the team as "ball boys." For years the sexual abuse continued, on and off campus, on team trips away from the University, in Fine's car and in his home. Davis alleged that in his case the abuse continued for almost two decades, commencing when he was about 11 years old. Plaintiffs further alleged that Boeheim had observed Davis with Fine at practices, at games, and on trips with the team, including once in Fine's hotel room during the 1987 NCAA Final Four.

The plaintiffs did not make their claims known or public until they were adults, years after the abuse ended. In 2002, Davis went to the Syracuse Police Department, but the Department failed to investigate or take any action on his allegations, informing him that the statute of limitations for child sexual abuse had expired. Davis decided to go to the media, and reported the abuse to the Syracuse Post-Standard, a daily newspaper servicing the Syracuse area, and ESPN, a national sports television channel. In 2003, ESPN interviewed Davis but failed to publicize his allegations.

In September 2005, Davis reported the sexual abuse to the University's new Chancellor. At the University's request, Davis met with a University lawyer and provided names of individuals who Davis claimed could corroborate his allegations of abuse. A few months later the University informed Davis by letter that it had concluded his allegations were unfounded and had closed the matter.

Plaintiffs' claims became public in 2011 after unrelated allegations by other victims of sexual abuse surfaced against another coach at another well known university. In that year, similar claims surfaced of sexual abuse of multiple victims by former Penn State University assistant football coach Jerry Sandusky. As with the plaintiffs' claims against Fine, the Penn State sexual abuse scandal involved allegations that Sandusky had used the University's football program in order to gain access to underage victims. Penn State's head football coach, Joe Paterno, was alleged to have covered up the abuse.

The Penn State scandal renewed national and local media interest in plaintiffs' allegations. Within two weeks of the initial breaking news coverage of the Penn State story, and as the media focus on the Penn State allegations continued, ESPN issued a news report about the allegations against Fine. The story also relayed Davis' statement that Boeheim saw Davis lying on Fine's hotel room bed during the 1987 NCAA Final Four.

The day after the ESPN story, the University released a statement in which it described its 2005 four-month investigation into Davis' allegations. The University stated that it had interviewed persons named by Davis, but was unable to corroborate the claims. The University further stated that it would have acted had it found any evidence or corroboration of the allegations in 2005.

The same day the ESPN story broke, and before the University's statement went public, Boeheim issued a one-paragraph statement, released by the Syracuse University news service, in which he too announced that the University had investigated the allegations and had concluded they were unfounded. Boeheim further declared that "Bernie [Fine] has my full support," and that he had known Fine for over 40 years and had "never seen or witnessed anything to suggest that [Fine] would be involved in any of the activities alleged." Boeheim stated that if he had "seen or suspected anything, I would have taken action."

Boeheim made several other statements to reporters, which were quoted in the print and online versions of the New York Times, on the Syracuse Post-Standard's website Syracuse.com, on SportingNews.com, and on ESPN.com. In these statements, Boeheim reasserted his support for Fine and his denial of any knowledge of the claimed events as described by Davis. He also called Davis and Lang liars, and stated that their allegations were financially motivated.

Davis and Lang commenced this action against Boeheim and the University for defamation, claiming that several of Boeheim's statements to ESPN, the Post-Standard, and the New York Times, were false and defamatory, and had caused them economic, emotional and reputational harm. The University and Boeheim filed a motion to dismiss pursuant to CPLR 3211 (a) (7), on the grounds that the statements were not defamatory as a matter of law because they constituted nonactionable opinion, not facts. Supreme Court granted the motion concluding that a reasonable reader would conclude that Boeheim's statements were "a biased and personal opinion on the accusations against Bernie Fine, not fact."

The Appellate Division affirmed in a split 3-2 decision. The majority concluded that although Boeheim's statements that Davis fabricated allegations and was motivated by financial gain had certain factual elements, based on "the content of the communication as a whole, as well as its tone and apparent purpose," and "the over-all context in which the assertions were made," a reasonable reader would have believed that the challenged statements were conveying opinion and not facts (*Davis v Boeheim*, 110 AD3d 1431, 1432, 1433 [4th Dept 2013]). The dissent concluded that dismissal on a pre-answer motion to dismiss was error because Boeheim's statements that Davis was lying about Fine to get money, and that he had done so in the past, constituted opinion that implies a basis in facts not disclosed to the reader or listener, and thus constituted actionable "mixed opinion."

Davis and Lang contend that the Appellate Division erred because the complaint sufficiently pleads a cause of action for defamation against Boeheim and the University based on statements that are defamatory facts or, alternatively, mixed opinion. We agree the complaint is sufficient to survive the motion to dismiss, and reverse the Appellate Division.

II.

This appeal comes to us on a pre-answer motion to dismiss pursuant to CPLR 3211 (a) (7), a procedural posture which requires that “we accept as true each and every allegation made by plaintiff and limit our inquiry to the legal sufficiency of plaintiff’s claim” (*Silsdorf v Levine*, 59 NY2d 8, 12 [1983]; see also *Armstrong v Simon & Schuster*, 85 NY2d 373, 379 [1995]). Unlike on a motion for summary judgment where the court “searches the record and assesses the sufficiency of the parties’ evidence,” on a motion to dismiss the court “merely examines the adequacy of the pleadings” (*State of New York v Barclays Bank of N.Y.*, 151 AD2d 19, 21 [3d Dept 1989], *affd* 76 NY2d 533 [1990]). In determining the sufficiency of a defamation pleading, we consider “whether the contested statements are reasonably susceptible of a defamatory connotation” (*Armstrong*, 85 NY2d at 380, citing *Weiner v Doubleday & Co.*, 74 NY2d 586, 592 [1989]). As we have previously stated, “[i]f, upon any reasonable view of the stated facts, plaintiff would be entitled to recovery for defamation, the complaint must be deemed to sufficiently state a cause of action” (*Silsdorf*, 59 NY2d at 12, citing *219 Broadway Corp. v Alexander’s, Inc.*, 46 NY2d 506, 509 [1979]). We apply this liberal standard fully aware that permitting litigation to proceed to discovery carries the risk of potentially chilling free speech, but do so because, as we have previously stated, “we recognize as well a plaintiff’s right to seek redress, and not have the courthouse doors closed at the very inception of an action, where the pleading meets [the] minimal standard necessary to resist dismissal of [the] complaint” (*Armstrong*, 85 NY2d at 379).

In order for the challenged statements to be susceptible of a defamatory connotation, they must come within the well established categories of actionable communications. Thus, a false statement “that tends to expose a person to public contempt, hatred, ridicule, aversion or disgrace constitutes defamation” (*Thomas H. v Paul B.*, 18 NY3d 580, 584 [2012]). “Since falsity is a necessary element of a defamation cause of action and only ‘facts’ are capable of being proven false, ‘. . . only statements alleging facts can properly be the subject of a defamation action’ ” (*Gross v New York Times Co.*, 82 NY2d 146, 152-153 [1993], citing *600 W. 115th St. Corp. v Von Gutfeld*, 80 NY2d 130, 139 [1992], and *Immuno AG. v Moor-Jankowski*, 77 NY2d 235, 254 [1991]).

A defamatory statement of fact is in contrast to “pure opinion” which under our laws is not actionable because “[e]xpressions of opinion, as opposed to assertions of fact, are deemed privileged and, no matter how offensive, cannot be the subject of an action for defamation” (*Mann v Abel*, 10 NY3d 271, 276 [2008]). For, “[h]owever pernicious an opinion may seem, we depend for its correction not on the conscience of judges and juries but on the competition of other ideas” (*Steinhilber v Alphonse*, 68 NY2d 283, 289 [1986], citing *Gertz v Robert Welch, Inc.*, 418 US 323, 339-340 [1974]). A pure opinion may take one of two forms. It may be “a statement of opinion which is accompanied by a recitation of the facts upon which it is based,” or it may be “[a]n opinion not accompanied by such a factual recitation” so long as “it does not imply that it is based upon undisclosed facts” (*Steinhilber*, 68 NY2d at 289, citing *Ollman v Evans*, 750 F2d 970, 976 [DC Cir 1984]).

While a pure opinion cannot be the subject of a defamation claim, an opinion that “implies that it is based upon facts which justify the opinion but are unknown to those reading or hearing it, . . . is a ‘mixed opinion’ and is actionable” (*Steinhilber*, 68 NY2d at 289, citing *Hotchner v Castillo-Puche*, 551 F2d 910, 913 [2d Cir 1977], *cert denied sub nom. Hotchner v Doubleday & Co.*, 434 US 834 [1977], and *Cianci v New Times Pub. Co.*, 639 F2d 54, 64, 65 [2d Cir 1980]). This requirement that the facts upon which the opinion is based are known “ensure[s] that the reader has the opportunity to assess the basis upon which the opinion was reached in order to draw [the reader’s] own conclusions concerning its validity” (*Silsdorf*, 59 NY2d at 13-14). What differentiates an actionable mixed opinion from a privileged, pure opinion is “the implication that the speaker knows certain facts, unknown to [the] audience, which support [the speaker’s] opinion and are detrimental to the person” being discussed (*Steinhilber*, 68 NY2d at 290, citing *Rand v New York Times Co.*, 75 AD2d 417, 422 [1980], and *Silsdorf*, 59 NY2d at 14).

Distinguishing between fact and opinion is a question of law for the courts, to be decided based on “what the average person hearing or reading the communication would take it to mean” (*Steinhilber*, 68 NY2d at 290; *Mann*, 10 NY3d at 276 [“(w)hether a particular statement constitutes an opinion or an objective fact is a question of law”], citing *Rinaldi v Holt, Rinehart & Winston*, 42 NY2d 369, 381 [1977], *cert denied* 434 US 969 [1977]). “The dispositive inquiry . . . is ‘whether a reasonable

[reader] could have concluded that [the statements were] conveying facts about the plaintiff” (*Gross*, 82 NY2d at 152, citing *600 W. 115th St. Corp.*, 80 NY2d at 139).

We apply three factors in determining whether a reasonable reader would consider the statement connotes fact or nonactionable opinion:

“(1) whether the specific language in issue has a precise meaning which is readily understood; (2) whether the statements are capable of being proven true or false; and (3) whether either the full context of the communication in which the statement appears or the broader social context and surrounding circumstances are such as to signal . . . readers or listeners that what is being read or heard is likely to be opinion, not fact” (*Mann*, 10 NY3d at 276, quoting *Brian v Richardson*, 87 NY2d 46, 51 [1995]).

The third factor “lends both depth and difficulty to the analysis” (*Brian*, 87 NY2d at 51), and requires that the court consider the content of the communication as a whole, its tone and apparent purpose (*Brian*, 87 NY2d at 51; *Mann*, 10 NY3d at 276, quoting *Brian*, 87 NY2d at 51). Thus, we have adopted a holistic approach to this inquiry.

“Rather than sifting through a communication for the purpose of isolating and identifying assertions of fact, the court should look to the over-all context in which the assertions were made and determine on that basis ‘whether the reasonable reader would have believed that the challenged statements were conveying facts about the . . . plaintiff’ ” (*Brian*, 87 NY2d at 51, citing *Immuno AG.*, 77 NY2d at 254, and *Steinhilber*, 68 NY2d at 293; *Mann*, 10 NY3d at 276, quoting *Brian*, 87 NY2d at 51).

III.

In their complaint, Davis and Lang alleged that Boeheim made defamatory statements that they were liars seeking money. In support of their claim, they identified quotes from Boeheim in which he stated:

1. “This is alleged to have occurred . . . what? Twenty years ago? Am I in the right neighborhood? . . . So we are supposed to do what? Stop the presses 26 years later? For a false allegation? For

what I absolutely believe is a false allegation? I know [Davis is] lying about me seeing him in his hotel room. That's a lie. If he's going to tell one lie, I'm sure there's a few more of them."

2. "The Penn State thing came out and the kid behind this is trying to get money. He's tried before. And now he's trying again. . . . That's what this is about. Money."

3. "It is a bunch of a thousand lies that [Davis] has told. . . . He supplied four names to the university that would corroborate his story. None of them did . . . there is only one side to this story. He is lying." Boeheim continued, "I believe they saw what happened at Penn State, and they are using ESPN to get money. That is what I believe."

4. "You don't think it is a little funny that his cousin (relative) is coming forward?"

5. Boeheim stated that the timing of Lang's decision to speak out about his abuse seemed "a little suspicious."

Applying the aforementioned principles to this case, the first and second factors weigh in favor of finding that Boeheim's statements were factual assertions. With respect to the first factor, Boeheim used specific, easily understood language to communicate that Davis and Lang lied, their motive was financial gain, and Davis had made prior similar statements for the same reason. These are clear statements of the plaintiffs' actions and the driving force for their allegations against Fine. Consideration of the second factor similarly weighs in favor of treating Boeheim's statements as factual because the statements are capable of being proven true or false, as they concern whether plaintiffs made false sexual abuse allegations against Fine in order to get money, and whether Davis had made false statements in the past (*see McNamee v Clemens*, 762 F Supp 2d 584, 601 [ED NY 2011] [distinguishing general denials of accusations from specific statements that accuser "will be proven a liar and has lied in front of members of Congress" and holding the latter actionable]). Moreover, they were not "rhetorical hyperbole rather than objective fact" (*Ram v Moritt*, 205 AD2d 516, 517 [2d Dept 1994]; *see also Independent Living Aids, Inc. v Maxi-Aids, Inc.*, 981 F Supp 124, 128 [ED NY 1997] [epithet "liar," in context, where it reflects a mere denial of accusations, was

personal opinion and rhetorical hyperbole]). Our inquiry, however, does not rest on these two factors because the third factor in the analysis “is often the key consideration in categorizing a statement as fact or opinion” (*Thomas H.*, 18 NY3d at 585, citing *Immuno AG.*, 77 NY2d at 254). It is this third factor that the parties vigorously dispute, and which we conclude establishes the sufficiency of plaintiffs’ complaint.

Defendants contend that the context in which the statements were made leads inexorably to the conclusion that Boeheim’s statements are nonactionable pure opinion. They argue that a reader would consider Boeheim’s statements as an obvious and transparent effort to defend his longtime close friend and colleague against allegations of sexual abuse, as well as an effort to defend against suggestions that Boeheim knew about the alleged abuse and did nothing. They further argue that he specifically denied any special knowledge when he stated, “I know nothing” and “I really don’t have any facts.”

Essentially, defendants argue that because a reader could interpret the statement as pure opinion, the statement is as a consequence, nonactionable and was properly dismissed under CPLR 3211 (a) (7). However, on a motion to dismiss we consider whether any reading of the complaint supports the defamation claim. Thus, although “[i]t may well be that [the challenged statements] are subject to defendants’ interpretation . . . the motion to dismiss must be denied if the communication at issue, taking the words in their ordinary meaning and in context, is also susceptible to a defamatory connotation” (*Sweeney v Prisoners’ Legal Servs. of N.Y.*, 146 AD2d 1, 4 [3d Dept 1989], citing *Carney v Memorial Hosp. & Nursing Home of Greene County*, 64 NY2d 770, 772 [1985], and *Silsdorf*, 59 NY2d at 12-13). We find this complaint to meet this minimum pleading requirement.

Here, Boeheim stated that Davis and Lang lied and did so for monetary gain, and that Davis had done so in the past. Boeheim’s assertions that Davis previously made the same claims, for the same purpose, communicated that Boeheim was relying on undisclosed facts that would justify Boeheim’s statements that Davis and Lang were neither credible nor victims of sexual abuse.* That, as defendants argue, Boeheim denied knowledge of facts, or prefaced some statements by saying “I believe,” is

* Based on our conclusion that the complaint sufficiently states a claim for defamation, we need not address whether plaintiffs’ alternative theory of

insufficient to transform his statements into nonactionable pure opinion, because in context, a reasonable reader could view his statements as supported by undisclosed facts despite these denials (*Thomas H.*, 18 NY3d at 586).

The context further suggests to the reader that Boeheim spoke with authority, and that his statements were based on facts. Boeheim was a well respected, exalted member of the University and the Syracuse community-at-large, and as head coach of the team appeared well placed to have information about the charges. Boeheim's initial statement, which contained information about the University's investigation, was released on the school's website, confirming his status within the University. His statement contained information about Davis' allegations and the University's investigation, which a reader could understand was based on Boeheim's access to factual details unavailable to the public, facts which supported his assertions about Davis and his motive. That Boeheim's statement was issued prior to the University's first public statement about the investigation, further suggests that Boeheim had access to otherwise confidential information. Moreover, Boeheim worked with Fine for many years and claimed to "know" Davis from when Davis was a child assisting the team and serving as a babysitter, further suggesting that Boeheim had particular details upon which he relied in asserting that the allegations were untrue. In addition, Boeheim knowingly made these statements to reporters during the media investigation and coverage of the plaintiffs' allegations. Those statements were then published in news-related articles that described the allegations, comparing them to the Penn State victims' claims, and discussing the impact of the sexual abuse charges on the individuals involved. Although the placement of the articles is but one factor to be considered, because the articles cited by plaintiffs cannot be categorized as op-eds or letters to the editor, "the common expectations that apply to those more opinionated journalistic endeavors were inapplicable here (*see, Immuno AG. v Moor-Jankowski, supra*). Thus, the circumstances under which these accusations were published 'encourag[ed] the reasonable reader to be less skeptical and more willing to conclude that [they] stat[ed] or impl[ied] facts' " (*Gross*, 82 NY2d at 156, quoting *600 W. 115th St. Corp.*, 80 NY2d at 142).

mixed opinion based on distorted facts was preserved below and properly before us.

IV.

At this early stage of the litigation, on this pre-answer motion to dismiss and on the record before us, we cannot state as a matter of law that the statements are pure opinion. There is a reasonable view of the claims upon which Davis and Lang would be entitled to recover for defamation; therefore the complaint must be deemed to sufficiently state a cause of action (*Silsdorf*, 59 NY2d at 12). Accordingly, the Appellate Division order should be reversed, with costs, and the motion to dismiss the complaint denied.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH and ABDUS-SALAAM concur; Judge PIGOTT taking no part.

Order reversed, with costs, and defendants' motion to dismiss the complaint denied.

[22 NE3d 1018, 998 NYS2d 150]

In the Matter of New York City Asbestos Litigation.

MARY ANDRUCKI, Individually and as Administratrix of the Estate of GEORGE P. ANDRUCKI, Deceased, Appellants, v ALUMINUM COMPANY OF AMERICA et al., Defendants, and PORT AUTHORITY OF NEW YORK AND NEW JERSEY, Respondent.

Argued October 15, 2014; decided November 20, 2014

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered May 28, 2013. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, New York County (Martin Shulman, J., on motion for default judgment and determination of damages; Sherry Klein Heitler, J., on motion to dismiss; op 2011 NY Slip Op 32742[U] [2011]), which had awarded plaintiff compensatory damages against defendant Port Authority of New York and New Jersey in the principal sum of \$2,500,000; (2) vacated the judgment; (3) denied plaintiff's motion for a default judgment against defendant; and (4) granted defendant's motion to dismiss the complaint as against it for lack of subject matter jurisdiction.

Matter of New York City Asbestos Litig., 106 AD3d 617, reversed.

HEADNOTE

Public Authorities — Claims against Public Authorities — Compliance with Notice of Claim Requirements — Timely Notice of Claim for Personal Injuries Sufficient Notice of Additional Claim for Wrongful Death

Plaintiff, the administrator of her husband's estate, who had, with her husband, timely served a notice of claim for personal injuries on defendant Port Authority of New York and New Jersey after her husband was diagnosed with mesothelioma as a result of asbestos exposure while working on the World Trade Center construction site, was not required to serve a new notice of claim for wrongful death after her husband died. As a condition precedent to suit against defendant, a notice of claim specifying the claimant, the time and place where the claim arose, the nature of the claim, and "so far as then practicable" the items of damage or injuries sustained must be served upon defendant at least 60 days prior to commencement of the action (McKinney's Uncons Laws of NY §§ 7107, 7108 [L 1950, ch 301, §§ 7, 8]). Those statutory requirements were sufficiently met here by the explanation in the notice of claim that decedent had contracted malignant mesothelioma as a result of his exposure to asbestos on the World Trade Center site, and suffered physical and emotional injuries and incurred medical expenses as a result. Such infor-

mation was definite enough to fulfill the purpose of the notice of claim requirement, namely, to allow the State to investigate the claim against it and to estimate its potential liability. The difference between a notice of claim labeled “personal injury” and one labeled “wrongful death” was, under the circumstances of this case, essentially a formality, and the notice of claim for personal injuries was thus sufficient notice of the additional claim for wrongful death.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Municipal Corporations, Counties, and Other Political Subdivisions §§ 652, 656, 659.
McKINNEY’S, Unconsolidated Laws of NY §§ 7107, 7108.
NY JUR 2d, Counties, Towns, and Municipal Corporations § 1392; NY JUR 2d, Government Tort Liability § 383; NY JUR 2d, Public Authorities § 11.
NEW YORK LAW OF TORTS §§ 17:37, 17:39.
SIEGEL, NY PRAC § 32.

ANNOTATION REFERENCE

See ALR Index under Asbestos; Death and Death Actions; Notice of Claims; World Trade Center.

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POINTS OF COUNSEL

Weitz & Luxenberg, P.C., New York City (*Alani Golanski* and *Daniel T. Horner* of counsel), for appellants. I. The First Department’s ruling conflicts with long-settled law in New York that, for notice of claim purposes, the wrongful death action is a mere continuation of the main action previously noticed. (*Holmes v City of New York*, 269 App Div 95, 295 NY 615; *Mingone v State of New York*, 100 AD2d 897; *Billman v City of Port Jervis*, 23 Misc 3d 1127[A], 2009 NY Slip Op 50957[U]; *Moore v Melesky*, 14 AD3d 757; *Jae Woo Yoo v New York City Health & Hosps. Corp.*, 239 AD2d 267; *Wieder v New York City Health & Hosps. Corp.*, 183 AD2d 677; *Mack v City of New York*, 265 AD2d 308; *Matter of Scheel v City of Syracuse*, 97 AD2d 978; *Caffaro v Trayna*, 35 NY2d 245; *Shea v Incorporated Vil. of Head of Harbor*, 180 AD2d 675.) II. The First Department erred in concluding that strict construction of the suability statute somehow negated the “so far as then practicable” language charac-

terizing the statute's notice of claim requirements. (*Holmes v City of New York*, 269 App Div 95, 295 NY 615; *Mingone v State of New York*, 100 AD2d 897; *Luciano v Fanberg Realty Co.*, 102 AD2d 94; *Port Auth. of N.Y. & N.J. v Barry*, 15 Misc 3d 36; *Ofu-lue v Port Auth. of N.Y. & N.J.*, 307 AD2d 258; *Lyons v Port Auth. of N.Y. & N.J.*, 228 AD2d 250; *Miller v City of New York*, 187 Misc 926; *Parochial Bus Sys. v Board of Educ. of City of N.Y.*, 60 NY2d 539; *Giannone v Port Auth. of N.Y. & N.J.*, 127 AD2d 818; *Patel v Port Auth. of N.Y. & N.J.*, 184 AD2d 235.) III. The trial court providently exercised its discretion in granting plaintiff's motion for a default judgment. (*Koppell Riv. Realty, Inc. v Rodriguez*, 85 AD3d 520; *Wilf v Halpern*, 234 AD2d 154; *Holtz v Wilson*, 155 AD2d 803; *300 W. 46th St. Corp. v Clinton Hous. W. 46th St. Partners, L.P.*, 19 AD3d 136; *Lounsbury v Kiehl*, 255 AD2d 774; *Statom v Lumbermens Mut. Cas. Co.*, 106 Misc 2d 442; *Penn v Amchem Prods.*, 85 AD3d 475.)

Segal McCambridge Singer & Mahoney, Ltd., New York City (Christian H. Gannon, David S. Kostus and Kevin W. Turbert of counsel), for respondent. I. The First Department correctly found subject matter jurisdiction lacking. (*Hess v Port Authority Trans-Hudson Corporation*, 513 US 30; *Schillinger v United States*, 155 US 163; *Lyons v Port Auth. of N.Y. & N.J.*, 228 AD2d 250; *Giannone v Port Auth. of N.Y. & N.J.*, 127 AD2d 818; *Luciano v Fanberg Realty Co.*, 102 AD2d 94; *City of New York v Port Auth. of N.Y. & N.J.*, 284 AD2d 195.) II. Plaintiff misreads the suability statute and mischaracterizes its legislative history. (*Luciano v Fanberg Realty Co.*, 102 AD2d 94; *Patel v Port Auth. of N.Y. & N.J.*, 184 AD2d 235; *Port Auth. of N.Y. & N.J. v Barry*, 15 Misc 3d 36; *Migrant Props. v Port Auth. of N.Y. & N.J.*, 191 Misc 2d 334; *Tyrrell v Mayor of City of N.Y.*, 159 NY 239; *City of New York v Globe Neon Tube Corp.*, 147 Misc 515; *Matter of Bickerton v New York Theatre Co.*, 232 NY 1; *Tarbell v Ogdensburg Bridge & Port Auth.*, 23 AD2d 447.) III. As a bistate entity created in concert by the states of New York and New Jersey as well as Congress, the Port Authority cannot have its laws unilaterally changed by a compact state. (*Hess v Port Authority Trans-Hudson Corporation*, 513 US 30; *Rose v Port Auth. of N.Y. & N.J.*, 13 F Supp 2d 516; *Matter of Agesen v Catherwood*, 26 NY2d 521; *Matter of Malverty v Waterfront Commn. of N.Y. Harbor*, 71 NY2d 977; *Bailey v Port Auth. of N.Y. & N.J.*, 216 AD2d 42; *Evans v Port Auth. of N.Y. & N.J.*, 192 F Supp 2d 247; *Vernon v Port Auth. of N.Y. & N.J.*, 154 F Supp 2d 844; *Dezaio v Port Auth. of N.Y. & N.J.*, 205 F3d 62.) IV. Despite plaintiff's contentions, New Jersey law is generally not binding on the

New York courts. (*Rao v Port of N.Y. Auth.*, 122 F Supp 595; *Schillinger v United States*, 155 US 163; *Trippe v Port of N.Y. Auth.*, 14 NY2d 119; *Yonkers Contr. Co. v Port Auth. Trans-Hudson Corp.*, 93 NY2d 375; *Erie R. Co. v Tompkins*, 304 US 64; *Lyons v Port Auth. of N.Y. & N.J.*, 228 AD2d 250.) V. Plaintiff's original notice of claim cannot be used for the amended complaint under New York law. (*Holmes v City of New York*, 269 App Div 95; *Mingone v State of New York*, 100 AD2d 897; *Matter of Scheel v City of Syracuse*, 97 AD2d 978; *MacDonald v City of Beacon*, 269 App Div 754; *Aristide v City of New York*, 129 Misc 2d 483; *Gonzalez v New York City Hous. Auth.*, 77 NY2d 663; *Matter of Miller*, 158 Misc 775.) VI. Plaintiff's argument regarding the default judgment entered below is without merit.

OPINION OF THE COURT

SMITH, J.

A statute requires anyone who brings a lawsuit against the Port Authority of New York and New Jersey first to serve a notice stating the nature of the claim. We hold that under this statute a notice of a claim for personal injuries is a sufficient notice of a claim for wrongful death, where the person injured dies of his injuries between the service of the notice of claim and the beginning of the lawsuit.

I

The Port Authority was created in 1921 by a bistate compact between New York and New Jersey. As an agency of two sovereign states, it cannot be sued without a waiver of sovereign immunity. Such a waiver was enacted by both states' legislatures in 1950. The New York version of the legislation is found in sections 7101 through 7112 of McKinney's Unconsolidated Laws of NY (L 1950, ch 301, §§ 1-12).

Unconsolidated Laws § 7101 says that consent to suit against the Port Authority is given by New York "[u]pon the concurrence of the state of New Jersey." Sections 7102 through 7105 state exceptions to the consent that are not relevant here, and sections 7106 and 7107 state conditions to the consent. The condition at issue in this case is in section 7107, which says in relevant part:

"The foregoing consent is granted upon the condition that any suit, action or proceeding prosecuted

or maintained under this act shall be commenced within one year after the cause of action therefor shall have accrued, and *upon the further condition that in the case of any suit, action or proceeding for the recovery or payment of money*, prosecuted or maintained under this act, *a notice of claim shall have been served* upon the port authority by or on behalf of the plaintiff or plaintiffs at least sixty days before such suit, action or proceeding is commenced” (emphasis added).

The contents of a notice of claim are specified in section 7108:

“The notice of claim required by section [7107] shall be in writing, sworn to by or on behalf of the claimant or claimants, and shall set forth (1) the name and post office address of each claimant and of his attorney, if any, (2) the nature of the claim, (3) the time when, the place where and the manner in which the claim arose, and (4) the items of damage or injuries claimed to have been sustained so far as then practicable.”

II

George Andrucki, a sheet metal worker, was exposed to asbestos in the course of work on a number of projects, including the construction of the Port Authority’s World Trade Center in the early 1970s. Many years later, he was diagnosed with mesothelioma, allegedly a result of asbestos exposure. He received the diagnosis in late April of 2010, and it is undisputed that that is when Andrucki’s claim against the Port Authority accrued.

On October 4, 2010, Andrucki and his wife served on the Port Authority a “Notice of Claim for Personal Injury from Asbestos.” The notice briefly described Andrucki’s exposure to asbestos, and said that he was suffering from malignant mesothelioma and that plaintiffs had incurred physical and emotional injuries, medical expenses and loss of companionship and consortium. The following day, the Andruckis filed a lawsuit naming 17 defendants, including the Port Authority. It is undisputed that as to the Port Authority this October 5 filing was premature and may be treated as a nullity, because under Unconsolidated Laws § 7107 60 days must elapse between the notice of claim and the commencement of suit.

Andrucki died on November 27, 2010, and his widow became his administratrix. She did not serve a new notice of claim, but

amended the existing complaint to substitute herself for her husband as a plaintiff. The amended complaint continued Andrucki's personal injury action, which became a so-called "survivorship" claim for damages incurred in his lifetime (*see* EPTL 11-3.2 [b]), and added a claim for wrongful death. On January 18, 2011, Mrs. Andrucki filed a supplemental summons to add the Port Authority as a defendant in the lawsuit.

The Port Authority moved to dismiss the claims against it, asserting that plaintiffs (Mrs. Andrucki as administratrix and individually) had "failed to satisfy the conditions precedent" to the bringing of the action, "thus denying the Court subject matter jurisdiction." The motion had not been decided when the case came on for trial and the Port Authority, relying on its view that the court lacked jurisdiction, chose not to participate in the trial. After trial, Supreme Court denied the motion to dismiss and entered a default judgment against the Port Authority.

The Appellate Division reversed, holding that "plaintiffs should have served on the Port Authority a new notice of claim concerning the wrongful death and survivorship actions" (*Matter of New York City Asbestos Litig.*, 106 AD3d 617, 619 [1st Dept 2013]). We granted leave to appeal (21 NY3d 865 [2013]) and now reverse.

III

It is not disputed that the notice of claim at issue here would have been valid as to a personal injury case filed in Andrucki's lifetime. The issue is whether Andrucki's death required service of a new notice. We hold that it did not.

A similar issue was presented in *Holmes v City of New York* (269 App Div 95 [1945], *affd without op* 295 NY 615 [1945]), a case involving a notice of a claim against the City of New York filed pursuant to then Administrative Code of the City of New York § 394a-1.0 (c). In *Holmes*, the Appellate Division held that "an administrator can have the benefit of a notice of claim and intention to sue a municipality which was filed by his intestate prior to her death" (269 App Div at 96), and we affirmed. The Appellate Division reasoned that the wrongful death action was in substance "a continuation of the original cause of action" for personal injuries (269 App Div at 98). Plaintiffs assert that *Holmes* controls this case.

The Port Authority asks us to distinguish *Holmes* on the ground that the notice of claim requirement at issue here, un-

like the one in *Holmes*, is a condition attached to a waiver of sovereign immunity. Because the relevant statute limits the jurisdiction of the courts, the Port Authority argues that the doctrine of “substantial compliance,” which it says is the basis for the *Holmes* decision, may not be invoked. Although the New Jersey Supreme Court, interpreting New Jersey Statutes Annotated § 32:1-164, which is identical in wording to Unconsolidated Laws § 7108, has embraced the doctrine of substantial compliance (*Zamel v Port of New York Authority*, 56 NJ 1, 264 A2d 201 [1970]), the Port Authority says that New York courts take a stricter approach. In response, plaintiffs argue that we should conform our interpretation to New Jersey’s because the two states of which the Port Authority is an agency should interpret the statutes governing suits against the agency in the same way.

The Port Authority’s argument finds some support in our decisions involving suits against the State under the Court of Claims Act. We have repeatedly held that “[b]ecause suits against the State are allowed only by the State’s waiver of sovereign immunity and in derogation of the common law, statutory requirements conditioning suit must be strictly construed” (*Kolnacki v State of New York*, 8 NY3d 277, 280 [2007], quoting *Lichtenstein v State of New York*, 93 NY2d 911, 913 [1999]; see also *Lepkowski v State of New York*, 1 NY3d 201, 206-207 [2003], and earlier cases). We do not retreat from these holdings; nor do we imply that we would necessarily adopt in every case against the Port Authority the “substantial compliance” approach of the New Jersey court in *Zamel*. Plaintiffs are correct, however, in saying that consistency between the two states’ interpretations, where possible, is desirable, and we conclude that our precedents do not require us to hold this notice of claim insufficient.

Lepkowski and *Kolnacki* dismissed claims against the State for failure to comply with Court of Claims Act § 11 (b), which requires a claimant against the State to specify in a notice of claim the time and place where the claim arose, the items of damage or injuries allegedly sustained, and the total sum claimed. The notices in those cases did not contain that information. The claims in *Lepkowski* identified no specific times, places or amounts (see 1 NY3d at 207-208), and the *Kolnacki* claim was similarly deficient as to the amount; it alleged that “[t]he full extent of claimant’s injuries [is] not yet known,” and failed to provide “any estimate whatsoever” (see 8 NY3d at 279, 281).

Here, the relevant statutory requirements are that a notice must specify the claimant, the time and place where the claim arose, the nature of the claim, and “so far as then practicable” the items of damage or injuries sustained (*see* Uncons Laws § 7108 [quoted above at 279]). Those requirements were sufficiently met by the explanation in Andrucki’s notice of claim that he had contracted malignant mesothelioma as a result of his exposure to asbestos on the World Trade Center site in the early 1970s, and suffered physical and emotional injuries and incurred medical expenses as a result. This information was definite enough to fulfill the purpose of the notice of claim requirement: to allow the State to investigate the claim and to estimate its potential liability. It is hard to see how a later notice adding the information that the claimant had died of his disease could have been necessary to an investigation.

The Port Authority relies on the Appellate Division’s decisions in *Luciano v Fanberg Realty Co.* (102 AD2d 94 [1st Dept 1984]) and *Lyons v Port Auth. of N.Y. & N.J.* (228 AD2d 250 [1st Dept 1996]). We do not question the correctness of those decisions, but they do not support the Port Authority’s position here. In both *Luciano* and *Lyons*, the plaintiffs had violated the time requirements of Unconsolidated Laws § 7107. In *Luciano*, the plaintiff had let the time for filing a notice of claim run, then brought a lawsuit and sought to file a notice of claim *nunc pro tunc*. In *Lyons*, the plaintiff failed to allow the required 60 days between the notice of claim and the commencement of the action. The time requirements that the plaintiffs in those cases ignored are the core of the statute. By contrast, the difference between a notice of claim labeled “personal injury” and one labeled “wrongful death” is, under the circumstances of this case, essentially a formality.

Accordingly, the order of the Appellate Division should be reversed with costs, and the case remitted to the Appellate Division for consideration of issues raised but not determined on the appeal to that court.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, PIGOTT, RIVERA and ABDUS-SALAAM concur.

Order reversed, with costs, and case remitted to the Appellate Division, First Department, for consideration of issues raised but not determined on the appeal to that court.

[22 NE3d 1012, 998 NYS2d 144]

Matter of MARY VERONICA SANTIAGO-MONTEVERDE, Debtor.

MARY VERONICA SANTIAGO-MONTEVERDE, Appellant, v JOHN S.
PEREIRA, Chapter 7 Trustee, Respondent.

Argued October 14, 2014; decided November 20, 2014

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review a question certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following question was certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “Whether a debtor-tenant possesses a property interest in the protected value of her rent-stabilized lease that may be exempted from her bankruptcy estate pursuant to New York State Debtor and Creditor Law Section 282(2) as a ‘local public assistance benefit’?”

HEADNOTE

Bankruptcy — Property of Estate — Exemptions — Debtor’s Interest in Rent-Stabilized Lease

Debtor and Creditor Law § 282 (2) exempts a bankruptcy debtor’s interest in a rent-stabilized lease from the bankruptcy estate as a “local public assistance benefit.” Under the Bankruptcy Code, a debtor domiciled in New York may exempt certain property from the bankruptcy estate and has the option of choosing either the federal exemptions or those created by New York. Debtor and Creditor Law § 282 (2) provides that a debtor may exempt his or her “right to receive or . . . interest in . . . a local public assistance benefit.” The state legislature has concluded that rent stabilization is necessary to preserve affordable housing for low-income, working poor and middle class residents in New York City. The program is local in that it depends on periodic determinations by local authorities as to the continuing existence of an emergency in the jurisdiction, and it is public as it was enacted by the state legislature and implemented by state and local legislative and administrative bodies. It also provides assistance to a specific segment of the population. Although the program does not include payments to tenants like other listed exemptions, periodic payments are not a prerequisite to a benefit being in the nature of public assistance. When the legislature meant to refer only to “payments” in the Debtor and Creditor Law, it used that term, but used the broader term “benefit” in section 282 (2) (a). Moreover, nothing prevents a targeted regulation from qualifying as a public assistance benefit. Exemptions serve the purpose of protecting the debtor’s essential needs, and affordable housing is an essential need.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Bankruptcy §§ 131, 134, 614, 620, 691, 1242–

1243, 1282, 1334, 1395, 1412, 1594, 1660, 1681–1682, 1692, 1699, 1701, 1994, 2086–2087, 2218.

CARMODY-WAIT 2d, Enforcement of Judgments §§ 64:25, 64:77, 64:96–64:97, 64:100, 64:102, 64:118; CARMODY-WAIT 2d, Declaratory Judgments §§ 147:115, 147:119.

DOLAN, RASCH'S NEW YORK LANDLORD AND TENANT INCLUDING SUMMARY PROCEEDINGS (4th ed) §§ 2:40, 11:9, 22:10.

LIEN PRIORITIES IN NEW YORK (2013 ed) §§ 2:1, 2:8–2:9, 2:23, 2:25.

McKINNEY'S, Debtor and Creditor Law § 282 (2).

NY JUR 2d, Actions § 117; NY JUR 2d, Creditors' Rights and Remedies §§ 202, 212; NY JUR 2d, Landlord and Tenant §§ 425, 434, 868; NY JUR 2d, Public Welfare and Elder Assistance §§ 83, 443; NY JUR 2d, Real Property—Possessory and Related Actions § 11.

ANNOTATION REFERENCE

See ALR Index under Bankruptcy and Insolvency; Debtor and Creditor; Landlord and Tenant; Poor Persons; Rent Control.

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POINTS OF COUNSEL

Ronald J. Mann, of the Texas bar, admitted pro hac vice, and *Kathleen G. Cully PLLC*, New York City (*Kathleen G. Cully* of counsel), for appellant. I. The rent-stabilization program implements crucial local policies to protect New York City residents. (*Matter of Park W. Vil. v Lewis*, 62 NY2d 431; *Manocherian v Lenox Hill Hosp.*, 84 NY2d 385; *Federal Home Loan Mtge. Corp. v New York State Div. of Hous. & Community Renewal*, 87 NY2d 325; *Braschi v Stahl Assoc. Co.*, 74 NY2d 201; *Marigo Corp. v Lavian*, 277 AD2d 148; *Rima 106 v Alvarez*, 257 AD2d 201; *Matter of Viemeister*, 179 NY 235.) II. The rent-stabilization program provides a “local public assistance benefit.” (*Matter of State of New York v John S.*, 23 NY3d 326; *Matter of Tall Trees Constr. Corp. v Zoning Bd. of Appeals of Town of Huntington*, 97 NY2d 86; *Chatham Phenix Natl. Bank v Crosney*, 251 NY 189; *Schwartz v Holzman*, 69 F2d 814; *In re Keil*, 88 F2d 7; *KLC, Inc. v Trayner*, 426 F3d 172; *Manocherian v Lenox Hill Hosp.*, 84 NY2d 385; *Braschi v Stahl Assoc. Co.*, 74 NY2d 201;

People v Widmer, 137 AD2d 929.) III. It would be incongruous to permit creditors to profit from the interest in a rent-stabilized lease of a tenant in bankruptcy when they cannot reach that interest under state law. (*Marigo Corp. v Lavian*, 277 AD2d 148; *Braschi v Stahl Assoc. Co.*, 74 NY2d 201; *Kashi v Gratsos*, 712 F Supp 23.)

Troutman Sanders LLP, New York City (*J. David Dantzler, Jr., John P. Campo* and *Matthew DeFrancesco* of counsel), for respondent. I. A pending amendment to Debtor and Creditor Law § 282 seeks to exempt rent-stabilized leases from a debtor's bankruptcy assets, illustrating that the New York State Legislature did not intend to exempt such assets under the current version of Debtor and Creditor Law § 282 (2). II. The only legislative intent that is relevant to interpreting the term "local public assistance benefit" is that of Debtor and Creditor Law § 282 (2), the statute containing the disputed term. (*Manocherian v Lenox Hill Hosp.*, 84 NY2d 385; *Fort Stewart Schools v FLRA*, 495 US 641; *Braschi v Stahl Assoc. Co.*, 74 NY2d 201; *Riley v County of Broome*, 95 NY2d 455.) III. Both the actual meaning of the phrase "public assistance," as well as the application of the traditional canons of statutory construction support the lower court's conclusion that a rent-regulated lease would not constitute a "local public assistance benefit." (*Matter of Kese Indus. v Roslyn Torah Found.*, 15 NY3d 485; *National Football League v Vigilant Ins. Co.*, 36 AD3d 207; *Matter of Howard v Wyman*, 28 NY2d 434; *People v Shapiro*, 50 NY2d 747; *Barsh v Town of Union*, 126 AD2d 311; *Miranda v Norstar Bldg. Corp.*, 79 AD3d 42; *Team Mktg. USA Corp. v Power Pact, LLC*, 41 AD3d 939; *Uribe v Merchants Bank of N.Y.*, 91 NY2d 336; *Matter of Hoerger v Spota*, 109 AD3d 564, 21 NY3d 549; *Matter of Calenzo v Shah*, 112 AD3d 709.)

Eric T. Schneiderman, Attorney General, New York City (*Anisha S. Dasgupta, Barbara D. Underwood* and *Andrew Kent* of counsel), and *Zachary W. Carter*, Corporation Counsel, New York City (*Richard Dearing* and *Susan P. Greenberg* of counsel), for State of New York and another, amici curiae. I. State law plays an important role in the bankruptcy process. (*Central Va. Community College v Katz*, 546 US 356; *Butner v United States*, 440 US 48.) II. State law does not create any monetizable property interest in the circumvention of rent stabilization laws. (*Barnhill v Johnson*, 503 US 393; *Butner v United States*, 440 US 48; *In re Ground Round, Inc.*, 482 F3d 15; *In re Nejberger*, 934 F2d 1300; *In re Barnes*, 276 F3d 927; *In re Sanders*, 969 F2d 591;

Matter of Murphy v New York State Div. of Hous. & Community Renewal, 21 NY3d 649; *Riverside Syndicate, Inc. v Munroe*, 10 NY3d 18; *Thornton v Baron*, 5 NY3d 175; *Draper v Georgia Props.*, 230 AD2d 455, 94 NY2d 809.) III. Rent stabilization rights qualify for exemption from the bankruptcy estate under Debtor and Creditor Law § 282 (2). (*Matter of Tonis v Board of Regents of Univ. of State of N.Y.*, 295 NY 286; *Yates County Natl. Bank v Carpenter*, 119 NY 550; *Surace v Danna*, 248 NY 18; *Matter of Genesee Val. Trust Co. v Glazer*, 295 NY 219; *Tillotson v Wolcott*, 48 NY 188; *Tierney v Dowd & Co.*, 238 NY 282; *Pier-son v City of New York*, 56 NY2d 950; *Clark v Cuomo*, 66 NY2d 185; *Brooklyn Union Gas Co. v New York State Human Rights Appeal Bd.*, 41 NY2d 84; *Matter of Badem Bldgs. v Abrams*, 70 NY2d 45.) IV. Mary Santiago-Monteverde's senior citizen rent increase exemption benefits are plainly exempt under Debtor and Creditor Law § 282 (2). (*Nunez v Giuliani*, 91 NY2d 935.)

Latham & Watkins LLP, New York City (*Christopher R. Harris* and *Jennifer Greenberg* of counsel), for New York State Senator Brad Hoylman and others, amici curiae. I. Allowing Chapter 7 trustees to sell rent-stabilized leases would contradict the intent behind New York's rent stabilization program by eliminating a critical protection for lower-income residents and exacerbating the shortage of affordable housing. (*8200 Realty Corp. v Lindsay*, 27 NY2d 124; *Local Loan Co. v Hunt*, 292 US 234.) II. If rent-stabilized rights are property, they are exempt under Debtor and Creditor Law § 282 (2) because they are not subject to execution under CPLR 5201. (*Kashi v Gratsos*, 712 F Supp 23; *ABKCO Indus. v Apple Films*, 39 NY2d 670; *Butner v United States*, 440 US 48; *Marigo Corp. v Lavian*, 277 AD2d 148; *Rima 106 v Alvarez*, 257 AD2d 201.) III. This Court should not permit bankruptcy trustees and creditors to sell consumer protections that the New York State Legislature has provided for affordable housing. (*Butner v United States*, 440 US 48; *BFP v Resolution Trust Corporation*, 511 US 531.)

Thompson & Knight LLP, New York City (*Ira L. Herman* of counsel), for New York City Bankruptcy Assistance Project and another, amici curiae. The New York rent stabilization regime provides the lawful occupant(s) of an apartment with occupancy, renewal and succession rights that may not be monetized by a bankruptcy trustee. (*Cudar v Cudar*, 98 AD3d 27; *Kashi v Gratsos*, 712 F Supp 23; *ABKCO Indus. v Apple Films*, 39 NY2d 670; *Resolution Trust Corp. v Diamond*, 45 F3d 665; *Evans v Schneider*, 183 Misc 2d 114; *Baginski v Lysiak*, 154 Misc 2d 275; *NLRB*

v Bildisco & Bildisco, 465 US 513; *Aguaiza v Vantage Props., LLC*, 2009 NY Slip Op 31144[U]; *Integrated Solutions, Inc. v Service Support Specialties, Inc.*, 124 F3d 487; *Reid v DDEH 103 E. 102 LLC*, 20 Misc 3d 1139[A], 2008 NY Slip Op 51798[U].)

OPINION OF THE COURT

ABDUS-SALAAM, J.

The United States Court of Appeals for the Second Circuit has certified a question to this Court which requires us to resolve the following issue: May a bankruptcy debtor's interest in her rent-stabilized lease be exempted from her bankruptcy estate pursuant to New York State Debtor and Creditor Law § 282 (2) as a "local public assistance benefit?" We hold that section 282 (2) of the Debtor and Creditor Law exempts a debtor-tenant's interest in a rent-stabilized lease.

I.

The debtor Mary Santiago-Monteverde has lived in her apartment at 199 E. 7th Street in Manhattan for over 40 years. The apartment is rent-stabilized. After her husband died in June 2011, Santiago-Monteverde was unable to pay her credit card debts of approximately \$23,000 and filed for Chapter 7 bankruptcy. During the pendency of the bankruptcy proceedings, she remained current on her rent obligations. She initially listed her apartment lease on schedule G of her bankruptcy petition as a standard unexpired lease. Shortly thereafter, the owner of the apartment approached the bankruptcy trustee, respondent John S. Pereira, and offered to buy Santiago-Monteverde's interest in the lease. When the trustee advised her that he planned to accept the offer, she amended her filing to list the value of her lease on schedule B as personal property exempt from the bankruptcy estate under Debtor and Creditor Law § 282 (2) as a "local public assistance benefit."

The Bankruptcy Court granted the trustee's motion to strike the claimed exemption on the ground that the value of the lease did not qualify as an exempt "local public assistance benefit" (*In re Santiago-Monteverde*, 466 BR 621, 622 [SD NY 2012]). The court noted that Santiago-Monteverde's counsel did not dispute "that a rent-stabilized lease is property of the estate and that the Trustee may 'assume or reject any executory contract or unexpired lease of the debtor'" (*id.*, citing 11 USC § 365). The court reasoned that "[the] benefit of paying below market rent . . . is not a 'public assistance benefit' that is

entitled to any exemption in bankruptcy” and that the benefit “is a quirk of the regulatory scheme in the New York housing market, not an individual entitlement” (*id.* at 625).

The District Court affirmed the Bankruptcy Court (*In re Santiago-Monteverde*, 2012 WL 3966335, 2012 US Dist LEXIS 129481 [SD NY, Sept. 10, 2012, Castel, J., No. 12 Civ 4238(PKC)]), holding that “the value in securing a lawful termination of the rent-stabilized lease . . . is a collateral consequence of the regulatory scheme and not a ‘local public assistance benefit’ ” (2012 WL 3966335, *2, 2012 US Dist LEXIS 129481, *4).

On appeal to the Second Circuit, Santiago-Monteverde argued that “the lease (or its value) is a ‘local public assistance benefit’ because the value of the lease (in whole or in part) is traceable to the protections afforded to her under the [Rent Stabilization Code]” (747 F3d 153, 157 [2d Cir 2014]). Recognizing that this argument raises an open issue of New York law, the Second Circuit certified the following question to this Court: “Whether a debtor-tenant possesses a property interest in the protected value of her rent-stabilized lease that may be exempted from her bankruptcy estate pursuant to New York State Debtor and Creditor Law Section 282(2) as a ‘local public assistance benefit’?” (*id.* at 159).

II.

The Bankruptcy Code authorizes a bankruptcy trustee to “assume or reject any . . . unexpired lease of the debtor” (11 USC § 365 [a]). As was noted by the Second Circuit, there is limited case law from both New York courts and bankruptcy courts holding that a trustee’s authority under section 365 extends to rent-stabilized leases (*see 187 Concourse Assoc. v Bunting*, 175 Misc 2d 870 [Civ Ct, Bronx County 1997] and cases cited therein; *see also In re Toledano*, 299 BR 284, 292 [SD NY 2003]; *In re Stein*, 281 BR 845 [SD NY 2002]; *In re Yasin*, 179 BR 43, 49 [SD NY 1995]). In this case, the debtor’s counsel acknowledged at the hearing before the Bankruptcy Judge that a rent-stabilized lease is property of the estate and that the trustee had the power to assume the lease pursuant to section 365 (466 BR at 622).

Section 522 (b) of the Bankruptcy Code (11 USC) permits the debtor to exempt certain property from the bankruptcy estate, and section 522 (d) provides a list of property that may be exempt. However, the code also permits states to create their

own list of exemptions, and New York has done so. Debtor and Creditor Law § 282 sets forth the permissible exemptions in personal bankruptcy. Debtors domiciled in New York have the option of choosing either the federal exemptions or New York exemptions (11 USC § 522 [b]; Debtor and Creditor Law § 285). Debtor and Creditor Law § 282 (2), entitled “Bankruptcy exemption for right to receive benefits,” lists the following as exemptions:

“The debtor’s right to receive or the debtor’s interest in: (a) a social security benefit, unemployment compensation or a local public assistance benefit; (b) a veterans’ benefit; (c) a disability, illness, or unemployment benefit; (d) alimony, support, or separate maintenance, to the extent reasonably necessary for the support of the debtor and any dependent of the debtor; and (e) all payments under a stock bonus, pension, profit sharing, or similar plan or contract on account of illness, disability, death, age, or length of service.”

When the rent-stabilization regulatory scheme is considered against the backdrop of the crucial role that it plays in the lives of New York residents, and the purpose and effect of the program, it is evident that a tenant’s rights under a rent-stabilized lease are a local public assistance benefit.

The legislature has concluded that rent stabilization is necessary to preserve affordable housing for low-income, working poor and middle class residents in New York City. As we said in *Manocherian v Lenox Hill Hosp.* (84 NY2d 385, 389 [1994]), “[t]he rent stabilization system began in 1969 to ameliorate, over time, the intractable housing emergency in the City of New York” due to a housing shortage which was caused by continued high demand and decreasing supply. We noted in *Manocherian* that “[b]y regulating rents and providing occupants with statutory rights to tenancy renewals under rent stabilization . . . the State intended to protect dwellers who could not compete in an overheated rental market, through no fault of their own” (*id.* at 389).

The New York City Administrative Code provides that the City Council “finds that a serious public emergency continues to exist in the housing of a considerable number of persons within the city of New York,” and that “unless residential rents and evictions continue to be regulated and controlled, disruptive practices and abnormal conditions will produce serious

threats to the public health, safety and general welfare” (Rent Stabilization Law of 1969 [Administrative Code of City of NY] § 26-501).

The rent-stabilization program has all of the characteristics of a local public assistance benefit. It is plainly local in that it depends on periodic determinations by local authorities as to the continuing existence of an emergency in the particular jurisdiction. The program is public as it was enacted by the New York Legislature and implemented by legislative and administrative bodies at both the state and local level. Rent stabilization provides assistance to a specific segment of the population that could not afford to live in New York City without a rent regulatory scheme. And the regulatory framework provides benefits to a targeted group of tenants—it protects them from rent increases, requires owners to offer lease renewals and the right to continued occupancy, imposes strict eviction procedures, and grants succession rights for qualified family members.

The trustee argues that the benefits of rent stabilization are unlike the other exemptions listed in Debtor and Creditor Law § 282 (2), such as Social Security benefits, unemployment compensation, and alimony, support, or separate maintenance because those exemptions all involve periodic payments, while the rent-stabilization program does not involve payments to tenants. However, that argument ignores the reality of social programs such as food stamps, vouchers, medical care, discounted prescriptions, and the like, that do not involve payments to the recipients of the benefit. While many public assistance benefits are administered through programs that provide periodic cash payments, such payments are not a prerequisite to a benefit being in the nature of public assistance.

Furthermore, when the legislature meant to refer only to “payments” in the Debtor and Creditor Law, it used that term. For example, in section 282 (2) (e), it exempted certain “payments” under pension and other plans. But it used the broader term “benefit” in section 282 (2) (a), indicating that benefits and payments are not the same. Likewise, the legislature has demonstrated that the general term “public assistance” denotes more than cash payments. For example, the Social Services Law in effect when Debtor and Creditor Law § 282 (2) (a) was enacted provided that “[p]ublic assistance and care includes home relief, veteran assistance, aid to dependent children, medical assistance for needy persons, institutional care for adults and child care granted at public expense” (former Social Ser-

vices Law § 2 [18] [1982]). The current definition of public assistance is similar. Like other public assistance benefits exempted by New York law from a bankruptcy estate, the Rent Stabilization Law serves a select, defined group of New Yorkers who struggle, in this case, to afford suitable housing.

The trustee also argues that the benefit of a rent-stabilized tenancy cannot be a public assistance benefit because it is not subsidized by the government, as are the other benefits of Social Security and unemployment compensation listed in Debtor and Creditor Law § 282 (2). However, the rent-stabilization program is an exceptional regulatory scheme that enables a specifically targeted group of tenants to maintain housing in New York City. This uncommon regulatory program reflects the legislative intent to create a benefit for certain individuals who fall below certain income or rent thresholds, based upon the legislature's conclusion that there is a continuing housing emergency.

While the rent-stabilization laws do not provide a benefit *paid for* by the government, they do provide a benefit *conferred* by the government through regulation aimed at a population that the government deems in need of protection. Among other things, the Rent Stabilization Law caps legal rents. Although the population that benefits from rent stabilization may not meet the requirements for New York City public housing programs or Section 8 assistance, the government, recognizing that housing protection is necessary to benefit a specific group of tenants, has created a public assistance benefit through a unique regulatory scheme applied to private owners of real property.

There are other public assistance benefits that are, at least in part, regulatory in form. Medicare is an example of a government program that is not solely the creature of a government subsidy. Although the government does, to some extent, contribute to the cost of medical care for Medicare recipients, it also sets the rates that can be charged by doctors. Medicare, like the rent-stabilization program, is not strictly for the needy. It is a public assistance benefit that regulates what doctors can charge for services, while rent stabilization is a public assistance benefit that regulates the rents property owners can charge protected tenants. While the classic examples of public assistance benefits may be solely government subsidized, or a mixture of subsidy and regulation as with Medicare, nothing prevents a targeted regulation from qualifying as a public assistance benefit. The rare regulatory scheme of rent stabilization is such a benefit.

Finally, as was recently noted by the United States Supreme Court, exemptions serve the important purpose of protect[ing] the debtor's essential needs" (*Clark v Rameker*, 573 US —, —, 134 S Ct 2242, 2247 [2014] [internal quotation marks and citation omitted]). Affordable housing is an essential need. Mindful that exemption statutes are to be construed liberally in favor of debtors (*In re Miller*, 167 BR 782, 783 [SD NY 1994]), the certified question should be answered in accordance with this opinion.

SMITH, J. (dissenting). I dissent, because the majority grossly misreads Debtor and Creditor Law § 282 (2).

"Public assistance" is a common synonym for "welfare." It refers, in ordinary speech, to government subsidies for the poor, whether paid in cash or in kind. The majority quotes a list of examples from former Social Services Law § 2 (18): "home relief, veteran assistance, aid to dependent children, medical assistance for needy persons, institutional care for adults and child care granted at public expense" (see majority op at 290). The current version of the statute adds "safety net assistance" (Social Services Law § 2 [18]). Neither list includes rent control or rent stabilization, though they have long been and still are prominent features of life in New York. Nor does the statutory list include any other regulatory program not involving a government subsidy. In fact, I do not think I have ever seen or heard the words "public assistance" used to refer to such a program before this case, and the majority cites no example of such a use.

Ignoring the generally accepted meaning of "public assistance," the majority chooses to interpret "public assistance benefits" in the Debtor and Creditor Law literally. The rent stabilization program is public, in the way that all government regulation is public; it "provides assistance to a specific segment of the population" that is in economic need; and it "provides benefits" to that same segment (majority op at 290). The same could be said of a great many programs—e.g., minimum wage laws; antidiscrimination laws; workplace safety regulations—that no one would think of calling "public assistance."

I would like to try asking every rent-controlled or rent-stabilized tenant in New York: "Do you receive public assistance?" I would be surprised to find even one (apart from those receiving government subsidies from other programs) who answered yes.

Chief Judge LIPPMAN and Judges GRAFFEO, PIGOTT and RIVERA concur; Judge SMITH dissents and votes to answer the certified question in the negative in an opinion in which Judge READ concurs.

Following certification of a question by the United States Court of Appeals for the Second Circuit and acceptance of the question by this Court pursuant to section 500.27 of this Court's Rules of Practice, and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, certified question answered in accordance with the opinion herein.

[22 NE3d 1022, 998 NYS2d 154]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JULIAN SILVA, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v PAMELA HANSON, Appellant.

Argued October 23, 2014; decided November 24, 2014

SUMMARY

APPEAL, in the first above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered October 11, 2012. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Gregory Carro, J.), which had convicted defendant, upon a jury verdict, of criminal sale of a controlled substance in the first degree, criminal possession of a controlled substance in the third degree, attempted criminal possession of a weapon in the third degree and criminally using drug paraphernalia in the second degree.

APPEAL, in the second above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered November 14, 2012. The Appellate Division affirmed a judgment of the Supreme Court, Kings County (Neil Jon Firetog, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree and grand larceny in the fourth degree.

People v Silva, 99 AD3d 522, modified.

People v Hanson, 100 AD3d 771, reversed.

HEADNOTE

Crimes — Appeal — Preservation of Issue for Review — Mode of Proceedings Error — Failure to Affirmatively Acknowledge or Respond to Jury's Substantive Request for Information

A mode of proceedings error, for which a very narrow exception to the preservation rule exists, occurs under *People v O'Rama* (78 NY2d 270 [1991]) and its progeny when a trial court accepts a verdict without affirmatively acknowledging or responding to a jury's substantive request for information during deliberations. Accordingly, in separate prosecutions where nothing in the records affirmatively demonstrated that substantive jury notes, marked as court exhibits, were revealed to the attorneys or addressed by the trial courts, mode of proceedings errors occurred, thereby exempting the errors from the preservation rule and entitling defendants to new trials. A trial court's core

responsibility under CPL 310.30, the primary statutory authority governing the handling of requests for information from a deliberating jury, is both to give meaningful notice to counsel of the specific content of the jurors' request and to provide a meaningful response to the jury. Although not every violation of CPL 310.30 is immune from normal preservation principles, a failure to apprise counsel about the specific contents of a substantive note from a deliberating jury violates the fundamental tenets of CPL 310.30 and qualifies as a mode of proceedings error. The presumption of regularity cannot salvage such an error and the record therefore must indicate compliance with adequate procedures under *O'Rama* because reviewing courts cannot assume that the proper procedure was utilized when the record is devoid of information as to how jury notes were handled. In the cases here, the deficiencies in the handling of the jurors' requests could have been easily avoided by making a record of compliance with the *O'Rama* guidelines.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 511, 575, 618–619, 623, 662, 690, 703, 716, 721; AM JUR 2d, Criminal Law §§ 624, 981; AM JUR 2d, Trial §§ 340, 589, 1231, 1340–1341, 1464.
CARMODY-WAIT 2d, Charge and Instruction to Jury § 200:15; CARMODY-WAIT 2d, Jury Conduct and Deliberation §§ 201:5, 201:16–201:20; CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:14, 207:16, 207:18–207:22, 207:24, 207:29, 207:32, 207:36–207:39, 207:112, 207:117, 207:119, 207:150.
MCKINNEY'S, CPL 310.30.
NY JUR 2d, Criminal Law: Procedure §§ 2501, 2822–2825, 3455, 3465, 3468–3469, 3477, 3481, 3573, 3589.

ANNOTATION REFERENCE

Postretirement out-of-court communications between jurors and trial judge as grounds for new trial or reversal in criminal case. 43 ALR4th 410.

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POINTS OF COUNSEL

John R. Lewis, Sleepy Hollow, for appellant in the first above-entitled action. I. The Appellate Division simply ignored the *People v O'Rama* (78 NY2d 270 [1991]) line of cases in failing to vacate appellant's conviction on the basis of an insufficient rec-

ord, despite the trial court's having failed to inform counsel of a jury note or address the note in any way. (*People v Lewis*, 77 AD3d 579; *People v Kalinowski*, 84 AD3d 1739; *People v Galdametz*, 234 AD2d 608; *People v Mehmedi*, 69 NY2d 759; *People v Kisoona*, 8 NY3d 129; *People v Caban*, 78 AD3d 403; *People v Caballero*, 221 AD2d 459; *People v Vargas*, 278 AD2d 807; *People v Cruz*, 14 NY3d 814.) II. The prosecutor's closing summation was improper and prejudicial. (*People v Correal*, 160 AD2d 85; *People v Collins*, 12 AD3d 33; *People v Acosta*, 180 AD2d 505; *People v Johnson*, 114 AD2d 210; *People v Ortiz*, 116 AD2d 531; *People v Grice*, 100 AD2d 419; *People v Ashwal*, 39 NY2d 105; *People v Payne*, 187 AD2d 245; *People v Nevedo*, 202 AD2d 183; *People v Colon*, 46 AD3d 260.)

Cyrus R. Vance, Jr., District Attorney, New York City (Susan Axelrod and Hilary Hassler of counsel), for respondent in the first above-entitled action. I. The trial court's handling of the first jury note provides no basis for appellate relief. (*People v O'Rama*, 78 NY2d 270; *People v Kisoona*, 8 NY3d 129; *People v Velasquez*, 1 NY3d 44; *People v Dominique*, 90 NY2d 880; *People v Cruz*, 14 NY3d 814; *People v Cornado*, 60 AD3d 450; *People v Antommarchi*, 80 NY2d 247; *People v Tabb*, 13 NY3d 852; *People v Kinchen*, 60 NY2d 772; *People v McLean*, 15 NY3d 117.) II. Defendant's complaints about the prosecutor's summation are beyond the review powers of this Court and, in any event, are unavailing. (*People v Harris*, 98 NY2d 452; *People v Balls*, 69 NY2d 641; *People v Heide*, 84 NY2d 943; *People v Martin*, 50 NY2d 1029; *People v Padro*, 75 NY2d 820; *People v Williams*, 298 AD2d 172; *People v Molina*, 242 AD2d 453; *People v Galloway*, 54 NY2d 396; *People v Ashwal*, 39 NY2d 105; *People v Burke*, 72 NY2d 833.)

Lynn W.L. Fahey, Appellate Advocates, New York City (Steven R. Bernard of counsel), for appellant in the second above-entitled action. The trial court violated *People v O'Rama* (78 NY2d 270 [1991]) and CPL 310.30 by entirely failing to disclose or respond to jury notes requesting a readback, which were marked as court exhibits and placed on the exhibit list and in the Supreme Court file. (*People v Kisoona*, 8 NY3d 129; *People v Tabb*, 13 NY3d 852; *People v Piccione*, 78 AD3d 1518; *People v Caban*, 78 AD3d 403; *People v Lourido*, 70 NY2d 428; *People v Smith*, 248 AD2d 413; *People v Malloy*, 55 NY2d 296; *People v McNeil*, 228 AD2d 620; *People v Carrero*, 140 AD2d 533; *People v Bobadilla*, 254 AD2d 493.)

Kenneth P. Thompson, District Attorney, Brooklyn (Leonard Joblove and Rhea A. Grob of counsel), for respondent in the

second above-entitled action. The record is insufficient to establish defendant's claim that the trial court failed to disclose to defense counsel the content of two notes received from the jury during its deliberations. In addition, defendant has failed to preserve his claim that the trial court erred by taking the verdict without inquiring if the jury wanted the requested readback of testimony. (*People v Velasquez*, 1 NY3d 44; *People v Dominique*, 90 NY2d 880; *People v O'Rama*, 78 NY2d 270; *People v Cruz*, 14 NY3d 814; *People v McLean*, 15 NY3d 117; *People v Williams*, 88 AD3d 463, 21 NY3d 932; *People v Cornado*, 60 AD3d 450; *People v Kinchen*, 60 NY2d 772; *People v Hunter*, 17 NY3d 725; *People v Kisoon*, 8 NY3d 129.)

OPINION OF THE COURT

GRAFFEO, J.

In these cases, we must decide whether a mode of proceedings error occurs under *People v O'Rama* (78 NY2d 270 [1991]) and its progeny when a court accepts a verdict without affirmatively acknowledging or responding to a jury's substantive request for information during deliberations.

I

People v Julian Silva

Defendant Julian Silva was charged with weapon possession and various drug offenses, including criminal sale of a controlled substance in the first degree. During the morning of the second day of deliberations, the jury sent a note asking for "the wire transcript mentioning the gun" and the "judges [sic] instructions on count #3 - weapon possession." The note was marked as court exhibit 2, but nothing in the record affirmatively demonstrates that the court informed the parties about the jury's inquiry. About one hour later, the jury sent another note, marked as court exhibit 3, stating that a verdict had been reached. The jurors were brought to the courtroom, the verdict was announced and defendant was found guilty of first-degree drug sale, attempted third-degree weapon possession and other offenses.

On appeal to the Appellate Division, defendant claimed that the court's handling of the note marked as court exhibit 2 constituted a mode of proceedings error under *O'Rama*. Because it was "impossible to determine if the note was presented to the judge or if the jury reached a verdict without the judge being

aware they had submitted the note,” the Appellate Division rejected defendant’s assertion and affirmed (99 AD3d 522, 523 [1st Dept 2012]). A Judge of this Court granted defendant leave to appeal (21 NY3d 1020 [2013]).

People v Pamela Hanson

Defendant Pamela Hanson was charged with murdering an acquaintance. The jury sent a series of notes to the court during deliberations, and the second note, issued at 1:05 p.m., was marked as court exhibit 4 and requested “First Det. Statement.” The third note, sent at 1:21 p.m. and marked as court exhibit 5, read: “To clear up the first note, we would like to hear Det. Moss [sic] direct examination.” The jury’s fourth and final note, bearing the time 2:12 p.m. and marked court exhibit 6, informed the court that the jury had arrived at a verdict. The transcript does not show that the court was aware of the second or third jury note, or that the notes were shared with the parties before the jury convicted defendant of second-degree murder and fourth-degree grand larceny.

The Appellate Division affirmed (100 AD3d 771 [2d Dept 2012]) and a Judge of this Court granted defendant leave to appeal (21 NY3d 1016 [2013]).

II

Defendants assert that the trial courts committed mode of proceedings errors under the *O’Rama* rule by accepting the verdicts without acknowledging or responding to jury notes that requested specific information for use in jury deliberations. The People submit that the presumption of regularity permits an inference that the trial courts informed defense counsel about the contents of the jury notes and that *O’Rama* does not obligate a trial court to make a record documenting that action. In defendant Hanson’s case, the People alternatively ask us to overrule our precedent that establishes an *O’Rama* violation as a mode of proceedings error.

CPL 310.30 is the primary statutory authority governing the handling of requests for information from a deliberating jury. It requires trial courts to give “notice to both the people and counsel for the defendant” before responding to a note from a deliberating jury (CPL 310.30; see e.g. *People v Alcide*, 21 NY3d 687, 691-692 [2013]). In *O’Rama* (78 NY2d 270 [1991]), we carefully explained that a court’s “core responsibility under the statute is both to give meaningful notice to counsel of the

specific content of the jurors' request—in order to ensure counsel's opportunity to frame intelligent suggestions for the fairest and least prejudicial response—and to provide a meaningful response to the jury" (*People v Kisoona*, 8 NY3d 129, 134 [2007], citing *People v O'Rama*, 78 NY2d at 277). In furtherance of these requirements, a court must read a jury note "verbatim" so that the parties have "the opportunity to accurately analyze the jury's deliberations and frame intelligent suggestions for the court's response" (*Kisoona*, 8 NY3d at 135).

We outlined in *O'Rama* the step-by-step procedure that should be followed when a deliberating jury requests information (see 78 NY2d at 277-278). First, a note should be marked as a court exhibit and read into the record in the presence of the attorneys before the jury is returned to the courtroom. Second, the judge should then allow counsel to comment and recommend responses to the jury's inquiry. Third, the judge should articulate the substance of its proposed response and allow the attorneys to offer modifications before the jury returns to the courtroom. And, fourth, the judge should read the note to the jury to correct any inaccuracies before providing "such requested information or instruction as the court deems proper" (CPL 310.30).

As a general rule, errors in criminal cases are reviewable on appeal only if they are adequately preserved by the appellant (see CPL 470.05 [2]). A "'very narrow' exception" to the preservation rule exists for a "limited class" of so-called "mode of proceedings" errors that "'go to the essential validity of the process and are so fundamental that the entire trial is irreparably tainted'" (*People v Rivera*, 23 NY3d 827, 831 [2014], quoting *People v Kelly*, 5 NY3d 116, 119-120 [2005]). A trial court's failure to fulfill the "core responsibility" under *O'Rama* is treated as a mode of proceedings error (see *People v Kisoona*, 8 NY3d at 135). *O'Rama*, however, was not designed "to mandate adherence to a rigid set of procedures, but rather to delineate a set of guidelines calculated to maximize participation by counsel at a time when counsel's input is most meaningful" (*People v Alcide*, 21 NY3d at 692).

Although not every violation of CPL 310.30 is immune from normal preservation principles (see e.g. *People v Mays*, 20 NY3d 969, 971 [2012]; *People v Ippolito*, 20 NY3d 615, 625 [2013]; *People v Williams*, 21 NY3d 932, 934-935 [2013]; *People v Kadariko*, 14 NY3d 426, 429-430 [2010]), a failure to apprise counsel about the specific contents of a substantive note from a deliberating jury violates the fundamental tenets of CPL 310.30

and qualifies as a mode of proceedings error (see e.g. *People v Kisoona*, 8 NY3d at 135). The record therefore must indicate compliance with adequate procedures under *O’Rama* because reviewing courts “cannot assume” that the proper procedure was utilized when the record is devoid of information as to how jury notes were handled (see *People v Walston*, 23 NY3d 986, 990 [2014]). The “presumption of regularity” (see e.g. *People v Velasquez*, 1 NY3d 44, 48 [2003]) cannot salvage an *O’Rama* error of this nature (see *People v Tabb*, 13 NY3d 852, 852 [2009]) and this is not the first time—contrary to our dissenting colleague’s belief—that a judge’s apparent unawareness of a jury note or unresponsiveness has led to a new trial (see *People v Cruz*, 14 NY3d 814, 816 [2010]).¹ And, somewhat ironically, the dissent recognizes that the errors in these appeals were so fundamental that they are exempt from the preservation rule (see dissenting op at 302).

The People urge us to disavow our holding in *Walston* (23 NY3d 986 [2014]) that imposes an affirmative obligation on a trial court to create a record of compliance under CPL 310.30 and *O’Rama*. We recently discussed the principles underlying the doctrine of stare decisis (see *People v Peque*, 22 NY3d 168, 194 [2013], *cert denied sub nom. Thomas v New York*, 574 US —, 135 S Ct 90 [2014]) and it is sufficient for us to reiterate that a “compelling justification” is required to cast aside precedent (*id.*; see *People v Lopez*, 16 NY3d 375, 384 n 5 [2011]).

Such a circumstance is absent in these appeals. *Walston* (23 NY3d 986 [2014]) broke no new ground—it built upon prior law (see *People v Tabb*, 13 NY3d at 852) and advanced the two requirements that we identified over 20 years ago in *O’Rama*: that parties must be given meaningful notice of a jury’s request for substantive information; and that deliberating jurors must receive a meaningful response to their inquiry (see *People v O’Rama*, 78 NY2d at 277; see also *People v Kisoona*, 8 NY3d at 134). These mandates were not satisfied in the two cases now before us since the substantive jury notes, marked as court exhibits, were neither revealed to the attorneys nor addressed by the courts. Those deficiencies could have been easily avoided by making a record of compliance with the *O’Rama* guidelines. If there was uncertainty regarding the number of notes that

1. Nor are we persuaded by the dissent’s reliance on pre-*O’Rama* cases that imposed a “serious prejudice” requirement (see *People v Agosto*, 73 NY2d 963, 966 [1989]; *People v Lourido*, 70 NY2d 428, 435 [1987]).

had been forwarded during deliberations, the best practice would have been for the judge to inquire before the verdict was announced. Since that did not occur in these cases, defendants are entitled to new trials.²

Accordingly, in *People v Silva*, the order of the Appellate Division should be modified by vacating the conviction of attempted criminal possession of a weapon in the third degree, with leave to the People to present a charge of that offense to a new grand jury and, as so modified, affirmed. In *People v Hanson*, the order of the Appellate Division should be reversed and a new trial ordered.

SMITH, J. (dissenting in *People v Silva* and concurring in *People v Hanson*). We have never previously applied the automatic-reversal rule of *People v O’Rama* (78 NY2d 270 [1991]) in a case where the jury sent a note to which the trial court never responded. *O’Rama*, and all the cases following it, were cases in which the court responded without complying with the *O’Rama* protocol. (*People v Cruz* [14 NY3d 814 (2010)], cited by the majority [majority op at 300], is not an exception; the defendant in *Cruz* relied on *O’Rama*, but *O’Rama* was not the basis for our decision.) Cases in which the jury sends a note and then returns a verdict before the court has answered have always been, and should still be, governed by our decisions in *People v Lourido* (70 NY2d 428, 435 [1987]) and *People v Agosto* (73 NY2d 963 [1989]), which require reversal only where the defendant is prejudiced by the failure to respond.

In *Lourido*, we found an error sufficient, in combination with others, to compel reversal where the jury requested a read-back of the cross-examination of a key witness, received no response and rendered a verdict some three hours later; we implied that the court should at least have asked the jury, before accepting the verdict, whether it still wanted the testimony read back (*id.* at 431-433). In *Agosto*, by contrast, we affirmed a conviction on a jury verdict rendered 20 minutes after two jurors had (in the late morning) sent a note asking that the jury be dismissed before sundown. We found no “significant probability of any prejudice to defendant” (*id.* at 967).

2. Defendant Silva’s drug-related convictions may be upheld because the information requested by the jury was restricted to attempted weapon possession (see *People v Walston*, 23 NY3d at 990) and no reversible error occurred during the People’s summation. Since the indictment did not include a count of attempted weapon possession, however, the People may retry Silva for that offense only if a grand jury charges him with that crime (see *People v Mayo*, 48 NY2d 245, 253 [1979]).

The majority seems to assume that a case in which a court responds to a jury note without proper input from defense counsel is indistinguishable from one in which the court neither seeks input from defense counsel nor responds at all, and that *O’Rama* must therefore be read as having superseded *Lourido* and *Agosto*. But *O’Rama* itself distinguished *Agosto* on the ground that in *O’Rama* “the trial court *did* respond to the juror’s inquiry” (*O’Rama*, 78 NY2d at 280). Perhaps the distinction is a fine one, but it does not seem unreasonable to say that a response tainted by flawed procedure is worse than no response at all. Because I find *O’Rama* a troubling case, for reasons I have previously explained (see *People v Walston*, 23 NY3d 986, 990-992 [2014, Smith, J., concurring]), I would not extend it to a situation not clearly within its scope.

Thus I would apply *Lourido* and *Agosto* to these cases. The consequences of doing so are not obvious, because the delays here, about an hour in each case, were longer than in *Agosto* but shorter than in *Lourido*, and because the juries’ inquiries in these cases, unlike the one in *Agosto*, were substantive. I would put *Silva* on the *Agosto* side of the line: I do not see, under all of the circumstances, a significant possibility that the failure to respond to the jury’s note prejudiced defendant in that case. On the other hand, *Hanson*, like *Lourido*, involved a jury request for the read-back of critical testimony, and I cannot say there was no prejudice caused by the court’s failure to respond. Thus I would affirm in *Silva*, but I concur in the decision to reverse in *Hanson*.

Lest my silence be taken for acquiescence, I will mention that I still think, as I did when I wrote my concurrence in *Walston*, that *O’Rama*’s holding on the question of mode of proceedings error should be reconsidered in a proper case. But I do not think this case presents that issue. The problem I wrote about in *Walston* was the holding in *O’Rama* that a failure to follow *O’Rama*’s teachings is an error exempt from the preservation requirement. Here, there is no indication in the record of either case that defendants ever saw or knew about the jury notes that went unanswered. Thus they cannot be faulted for failing to preserve any error, and whether we should revisit the *O’Rama* holding on preservation is a question for a future case.

Chief Judge LIPPMAN and Judges READ, PIGOTT and RIVERA concur; Judge SMITH dissents in an opinion; Judge ABDUS-SALAAM taking no part.

In *People v Silva*: Order modified by vacating the conviction of attempted criminal possession of a weapon in the third degree, with leave to the People, if they be so advised, to resubmit a charge of attempted criminal possession of a weapon in the third degree to a new grand jury and, as so modified, affirmed.

Chief Judge LIPPMAN and Judges READ, PIGOTT and RIVERA concur; Judge SMITH concurs in result in an opinion; Judge ABDUS-SALAAM taking no part.

In *People v Hanson*: Order reversed and a new trial ordered.

[23 NE3d 946, 998 NYS2d 679]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v JERMAINE DUNBAR, Respondent.

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v COLLIN F. LLOYD-DOUGLAS, Respondent.

Argued September 18, 2014; decided October 28, 2014

SUMMARY

APPEAL, in the first above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered January 30, 2013. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, Queens County (Fernando M. Camacho, J.), which had convicted defendant, upon a jury verdict, of attempted robbery in the second degree and criminal mischief in the fourth degree; (2) granted that branch of defendant's omnibus motion which was to suppress a videotaped statement made by him to law enforcement authorities; and (3) ordered a new trial. The appeal to the Appellate Division brought up for review a prior order of that Supreme Court (Robert C. McGann, J.), which had denied, after a hearing, that branch of defendant's omnibus motion.

APPEAL, in the second above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered January 30, 2013. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, Queens County (Richard L. Buchter, J.), which had convicted defendant, upon a jury verdict, of attempted murder in the second degree, assault in the first degree, unlawful imprisonment in the second degree, and criminal possession of a weapon in the third degree; (2) granted that branch of defendant's omnibus motion which was to suppress a videotaped statement made by him to law enforcement authorities; and (3) ordered a new trial. The appeal to the Appellate Division brought up for review a prior order of that Supreme Court (William M. Erlbaum, J.), which had denied, after a hearing, that branch of defendant's omnibus motion.

People v Dunbar, 104 AD3d 198, affirmed.

People v Lloyd-Douglas, 102 AD3d 986, affirmed.

HEADNOTE

Crimes — Confession — Statements Made during Videotaped Prearrest Booking Interview — Effect of Scripted Preamble to *Miranda* Warnings

In criminal prosecutions in which defendants each separately made videotaped statements during prearrest booking interviews conducted by members of the District Attorney's staff after being delivered a scripted preamble to the *Miranda* warnings that informed defendants, among other things, that it was their only opportunity to tell their story before going before a judge, the preamble undermined the subsequently-communicated *Miranda* warnings to the extent that defendants were not adequately and effectively advised of their Fifth Amendment right against self-incrimination before they agreed to speak with law enforcement authorities. An individual taken into custody by law enforcement officers must be adequately and effectively apprised of the right to remain silent; that anything he or she says during the interrogation can and will be used against him or her in court; and that he or she has the right to the presence of an attorney and that if he or she is indigent a lawyer will be appointed to represent him or her. Here, before they were read their *Miranda* rights, defendants were warned, for all intents and purposes, that remaining silent or invoking the right to counsel would come at a price—they would be giving up a valuable opportunity to speak with an assistant district attorney, to have their cases investigated or to assert alibi defenses. The statements to “give . . . as much information as you can,” that “this is your opportunity to tell us your story” and that you “have to tell us now” directly contradicted the later warning that they had the right to remain silent. Moreover, the statement that the prearrest interrogation was their only opportunity to speak falsely suggested that requesting counsel would cause them to lose their chance to talk to an assistant district attorney.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 914, 917; AM JUR 2d, Evidence §§ 718, 719, 725, 742, 745.

CARMODY-WAIT 2d, Confessions; Privilege Against Self-Incrimination §§ 176:26, 176:28, 176:32–176:36, 176:97, 176:99.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 6.5–6.8.

NY JUR 2d, Criminal Law: Procedure §§ 543, 568, 570, 575, 580, 619, 624.

US Const 5th Amend.

ANNOTATION REFERENCE

See ALR Index under Confessions and Admissions; Custodial Interrogation; *Miranda* Warnings.

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POINTS OF COUNSEL

Barket, Marion, Epstein & Kearon, LLP, Garden City (*Donna Aldea* of counsel), and *Richard A. Brown, District Attorney*, Kew Gardens (*John M. Ryan, James C. Quinn* and *Robert J. Masters* of counsel), for appellant in the first and second above-entitled actions. The Appellate Division erred in applying an unprecedented per se rule to automatically require suppression of defendant's voluntary videotaped statement without any regard to whether the interviewers' pre-*Miranda* remarks impacted the knowing, intelligent and voluntary nature of this particular defendant's waiver in this particular case. (*People v Hutchinson*, 59 NY2d 923; *Missouri v Seibert*, 542 US 600; *People v Chapple*, 38 NY2d 112; *People v Paulman*, 5 NY3d 122; *Colorado v Spring*, 479 US 564; *Moran v Burbine*, 475 US 412; *People v Williams*, 62 NY2d 285; *Fare v Michael C.*, 442 US 707; *Arizona v Fulminante*, 499 US 279; *People v Perez*, 37 Misc 3d 272.)

Lynn W.L. Fahey, Appellate Advocates, New York City (*Allegra Glashausser* and *Leila Hill* of counsel), for respondents in the first and second above-entitled actions. I. The Appellate Division correctly held that respondent was never effectively informed of his *Miranda* rights, that the pre-*Miranda* script systematically undermined his privilege against self-incrimination and right to counsel, and that his statement therefore had to be suppressed. (*Dickerson v United States*, 530 US 428; *Moran v Burbine*, 475 US 412; *Fare v Michael C.*, 442 US 707; *Missouri v Seibert*, 542 US 600; *Colorado v Connelly*, 479 US 157; *Berghuis v Thompson*, 560 US 370; *Brown v Walker*, 161 US 591; *Florida v Powell*, 559 US 50; *California v Prysock*, 453 US 355; *Rhode Island v Innis*, 446 US 291.) II. The People's argument that this Court should use the old totality-of-the-circumstances test is contrary to long-standing precedent, sidesteps the threshold inquiry of whether the *Miranda* warnings were effectively conveyed, and ignores the misleading language of the script. (*Dickerson v United States*, 530 US 428; *Missouri v Seibert*, 542 US 600; *People v Chapple*, 38 NY2d 112; *People v Keene*, 148 AD2d 977; *Fare v Michael C.*, 442 US 707; *People v Perez*, 37 Misc 3d 272; *Colorado v Spring*, 479 US 564; *Moran v Burbine*, 475 US 412; *People v Paulman*, 5 NY3d 122; *People v Anderson*, 42 NY2d 35.)

Steven Banks, The Legal Aid Society, New York City (*Steven B. Wasserman* of counsel), for The Legal Aid Society, amicus curiae in the first above-entitled action. I. The preamble to the

Queens District Attorney's central booking interrogation program systematically undermines the *Miranda* warnings, by conveying a misleading, equivocal, and coercive message about the consequences of making an uncounseled statement. (*Miranda v Arizona*, 384 US 436; *United States v Foley*, 735 F2d 45; *People v Pagan*, 19 NY3d 91.) II. The decision in *Dunbar* is consistent with U.S. Supreme Court authority disapproving law enforcement techniques that rob the *Miranda* warnings of full effectiveness. (*California v Prysock*, 453 US 355; *Duckworth v Eagan*, 492 US 195; *Missouri v Seibert*, 542 US 600.)

New York Civil Liberties Union Foundation, New York City (*Taylor Pendergrass*, *Christopher Dunn* and *Corey Stoughton* of counsel), and *American Civil Liberties Union Foundation*, New York City (*Ezekiel Edwards* and *Brandon Buskey* of counsel), for New York Civil Liberties Union and another, amici curiae in the first and second above-entitled actions. I. The District Attorney's program violates New York's indelible right to counsel. (*People v Grice*, 100 NY2d 318; *People v Settles*, 46 NY2d 154; *People v Cunningham*, 49 NY2d 203; *People v Hobson*, 39 NY2d 479; *People v Lopez*, 16 NY3d 375; *People v Krom*, 61 NY2d 187; *People v Bing*, 76 NY2d 331; *People v Kazmarick*, 52 NY2d 322; *People v Samuels*, 49 NY2d 218; *People v West*, 81 NY2d 370.) II. The District Attorney's program violates the right to a prompt court appearance. (*People v Ramos*, 99 NY2d 27; *Gerstein v Pugh*, 420 US 103; *People ex rel. Maxian v Brown*, 77 NY2d 422; *Upshaw v United States*, 335 US 410; *Corley v United States*, 556 US 303; *People v Lane*, 10 NY2d 347; *People v Everett*, 10 NY2d 500; *People v Donovan*, 13 NY2d 148.)

Barbara S. Gillers, *New York University School of Law*, New York City, and *Patterson Belknap Webb & Tyler LLP*, New York City (*Eugene M. Gelernter* and *Amy N. Vegari* of counsel), for Legal Ethics Bureau at New York University School of Law, amicus curiae in the first and second above-entitled actions. I. Prosecutors risk violating the Rules of Professional Conduct when interrogating indigent individuals immediately before arraignment and the appointment of counsel. (*Matter of Curry v Hosley*, 86 NY2d 470; *People v Hobson*, 39 NY2d 479; *Matter of Anonymous*, 32 AD2d 37; *Miranda v Arizona*, 384 US 436; *People v Skinner*, 52 NY2d 24; *People v Goldfinger*, 149 Misc 2d 765; *Matter of Curry v Hosley*, 86 NY2d 470; *Muriel Siebert & Co., Inc. v Intuit Inc.*, 8 NY3d 506; *Niesig v Team I*, 76 NY2d 363; *People v Moses*, 63 NY2d 299.) II. Suppression is the appropriate remedy where prejudicial evidence has been obtained

by the types of ethics violations described above. (*Matter of Brown v Blumenfeld*, 103 AD3d 45; *People v Perez*, 37 Misc 3d 272; *People v Skinner*, 52 NY2d 24; *People v Hobson*, 39 NY2d 479; *United States v Hammad*, 858 F2d 834; *United States v Leon*, 468 US 897; *People v Jones*, 2 NY3d 235.)

Frank A. Sedita III, Buffalo, *Morrie I. Kleinbart*, Staten Island, and *Donna Milling*, Buffalo, for District Attorneys Association of the State of New York, amicus curiae in the first and second above-entitled actions. As long as the *Miranda* warnings administered to someone being questioned includes the four critical rights identified by the Supreme Court, the propriety of any waiver of those constitutional rights is judged by an examination of the totality of the circumstances of the waiver. (*Dickerson v United States*, 530 US 428; *California v Prysock*, 453 US 355; *Florida v Powell*, 559 US 50; *Rhode Island v Innis*, 446 US 291; *Bram v United States*, 168 US 532; *People v Hawkins*, 55 NY2d 474; *Berghuis v Thompkins*, 560 US 370; *Johnson v Zerbst*, 304 US 458; *North Carolina v Butler*, 441 US 369; *Moran v Burbine*, 475 US 412.)

OPINION OF THE COURT

READ, J.

Beginning in 2007, the Queens County District Attorney implemented a central booking prearrestment interview program, launched in conjunction with the initiative to videotape interrogations. The program consisted of a structured, videotaped interview conducted by two members of the District Attorney's staff (an assistant district attorney and a detective investigator [DI]) with a suspect immediately prior to arraignment. During this interview, the DI delivered a scripted preface or "preamble" to the *Miranda* warnings that, among other things, informed the suspect that "this is your opportunity to tell us your story," and "your only opportunity" to do so before going before a judge. After being so cautioned, defendants Jermaine Dunbar (Dunbar) and Collin F. Lloyd-Douglas (Lloyd-Douglas) made statements in their respective interviews, which they later sought to suppress. We hold that the preamble undermined the subsequently-communicated *Miranda* warnings to the extent that Dunbar and Lloyd-Douglas were not "'adequately and effectively' advised of the choice [the Fifth Amendment] guarantees" against self-incrimination (*Missouri v Seibert*, 542 US 600, 611 [2004], quoting *Miranda v Arizona*, 384 US 436, 467 [1966]) before they agreed to speak with law enforcement authorities.

I.

Dunbar

On April 23, 2009, at 12:40 p.m., Dunbar entered a money wiring and office services store in Queens where a lone cashier was working at the time. He threatened the cashier with what appeared to be a gun and demanded that she turn over money. Locked in a plexiglass enclosure, the cashier threw herself to the floor, called 911 and pressed the distress button. Thus thwarted, Dunbar fled in a waiting black livery car with New Jersey license plates. He was apprehended less than five minutes later when police officers patrolling in the area spotted the car. The cashier identified Dunbar as the would-be robber in a showup soon after. She had told the police that the perpetrator was a thin black man who wore a blue and white striped shirt and a hat, and the police discovered these items and an imitation pistol on the floor of the getaway car. Dunbar was arrested at 12:59 p.m. and brought to central booking in Queens.

About 23 hours after he was taken into custody, at 12:03 p.m. on April 24, 2009, Dunbar was interviewed by a DI and an assistant district attorney. The Assistant District Attorney described for Dunbar the charges he would be facing when he went to court, including the date, time and place of the crimes alleged. The DI then informed Dunbar that “in a few minutes I am going to read you your rights. After that, you will be given an opportunity to explain what you did and what happened at that date, time and place.” She then delivered the preamble, advising Dunbar as follows:

“If you have an alibi, give me as much information as you can, including the names of any people you were with.

“If your version of what happened is different from what we’ve been told, this is your opportunity to tell us your story.

“If there is something you need us to investigate about this case you have to tell us now so we can look into it.

“Even if you have already spoken to someone else you do not have to talk to us.

“This will be your only opportunity to speak with us before you go to court on these charges.”

The DI continued without a break, following a script, next informing Dunbar that “[t]his entire interview is being recorded with both video and sound”; and “I’m going to read you your rights now, and then you can decide if you want to speak with us, O.K.?” She then advised “You have the right to be arraigned without undue delay; that is, to be brought before a judge, to be advised of the charges against you, to have an attorney assigned to or appointed for you, and to have the question of bail decided by the court”; gave the *Miranda* warnings; and, finally, asked “Now that I have advised you of your rights, are you willing to answer questions?” Dunbar indicated his understanding of each warning as it was given, and his willingness to continue the interview.

When the DI asked Dunbar “what happened,” he related that a man named Pete had told him about “robbing this place.” Dunbar twice interrupted the questioning to express puzzlement as to how the interview was helping him. He remarked that he “want[ed] to work around this,” and asked if he would be talking to “the D.A.” next. Dunbar was told that the next person he would be speaking to was his lawyer. The Assistant District Attorney and DI explained that it was their job to determine if there was anything Dunbar needed them to investigate, and to find out his side of the story. Dunbar responded that his side of the story was that he was forced by Pete and “Ralphy” (the driver of the livery cab) to rob the store.

After Dunbar was indicted for second-degree attempted robbery (Penal Law §§ 160.10 [1]; 110.00), fourth-degree criminal mischief (Penal Law § 145.00 [1]) and other crimes, he made a motion to suppress. As relevant to this appeal, he argued that his videotaped statement was not voluntary and that he had not been adequately advised of his *Miranda* rights. After a hearing, the suppression court denied the motion, reasoning that, in view of the totality of the circumstances, Dunbar’s statement was voluntarily made after a valid *Miranda* waiver and before his right to counsel attached under New York law.

At Dunbar’s jury trial, the cashier identified him as the perpetrator and police testimony established that he had been arrested within minutes of the robbery. Additionally, the jurors were shown both surveillance video depicting Dunbar at the store and the videotaped interview. Dunbar was convicted of attempted robbery and criminal mischief, the two remaining counts of the indictment. On May 20, 2010, Supreme Court sentenced him as a persistent violent felony offender to an indeterminate prison term of from 17 years to life. Dunbar appealed.

On January 30, 2013, the Appellate Division unanimously reversed, concluding that the preamble “add[ed] information and suggestion . . . which prevent[ed] [the *Miranda* warnings] from effectively conveying to suspects their rights,” creating a “muddled and ambiguous” message (104 AD3d 198, 207 [2d Dept 2013]). In this regard, the court rejected the argument, advanced by the People, that the effect of the preamble had to be assessed on a case-by-case basis, taking into account the individual experience and circumstances of each suspect. In the Appellate Division’s view, such case-by-case determination, while relevant to the voluntariness of a waiver, was irrelevant to the question of whether *Miranda* warnings were properly administered in the first place (*id.* at 210). The court further determined that the error in admitting the videotaped statement was not harmless beyond a reasonable doubt in light of the facts and circumstances of the case, and so ordered a new trial. A Judge of this Court granted the People’s application for leave to appeal (21 NY3d 942 [2013]), and we now affirm.

Lloyd-Douglas

On the evening of September 6, 2005, Lloyd-Douglas got into an argument with P.D. with whom he was romantically involved. P.D. testified that the next morning, Lloyd-Douglas attacked her with a hammer as she left for work from the apartment she and Lloyd-Douglas shared. P.D. suffered grievous injuries, including a fractured skull. Ignoring P.D.’s pleas to call an ambulance, Lloyd-Douglas waited around in the apartment for three or four hours before leaving and, according to P.D., he took her phone, money and identification with him. She managed to crawl to her bedroom and call 911. After being transported to the hospital, P.D. underwent emergency surgery to remove bone fragments and damaged parts of her brain; P.D.’s injuries left her with difficulty talking, understanding, balancing, standing and walking, and required additional surgery and extensive physical therapy.

Lloyd-Douglas was apprehended about three years after this incident, on June 12, 2008. While at central booking in Queens, he was interviewed by an assistant district attorney and a DI. The DI introduced herself and the Assistant District Attorney, told Lloyd-Douglas the charges he would be facing and that he would be read his rights “in a few minutes,” after which he would have “an opportunity to explain what you did and what happened at that date, time, and place.” The DI then delivered

the preamble; told Lloyd-Douglas that the interview was being recorded with both video and sound; that she was going to “read him his rights” and then he could “talk with [her] if he like[d]”; advised him of his right to be arraigned without undue delay; gave the *Miranda* warnings and concluded by asking “Now that I have advised you of your rights, are you willing to answer questions?” Like Dunbar, Lloyd-Douglas indicated his understanding of each warning as it was given, and agreed to participate in an interview.*

Lloyd-Douglas acknowledged that he had fought with P.D. the day of the incident, but claimed that she had attacked him with the hammer and somehow injured herself during the ensuing struggle as he sought to protect himself. He acknowledged remaining in the apartment with her for several hours afterwards, as well as his refusal to call an ambulance; he denied taking P.D.’s wallet or cell phone. Lloyd-Douglas insisted that P.D. did not appear to him to be seriously hurt, and that he had made sure before he left that she had access to a telephone so that she might call an ambulance if she wished to do so.

After Lloyd-Douglas was indicted for attempted murder in the second degree (Penal Law §§ 110.00, 125.25 [1]), first-degree assault (Penal Law § 120.10 [1]), first-degree robbery (Penal Law § 160.15), unlawful imprisonment in the first degree (Penal Law § 135.10), criminal possession of a weapon in the third degree (Penal Law § 265.02 [1]) and other crimes, he moved to suppress his videotaped statement. He argued that the statement was involuntary because he had been held in central booking for about 22 hours and had not been specifically asked by the DI if he wanted food or water, if he needed to use the bathroom or was on any medication. The People responded that the statement was voluntarily made after a valid *Miranda* waiver, that Lloyd-Douglas was arraigned in less than 24 hours, that he had access to the bathroom, food and water and that he was questioned for less than 30 minutes. The People further argued that the voluntariness of the waiver and statement was established by the video itself, which showed that Lloyd-Douglas took control of the interview.

* Lloyd-Douglas’s interview occurred about 10 months before Dunbar’s. The sequence of statements made by the DI in the two interviews is the same, and the wording of the statements themselves is identical or, to the extent there are differences, they are trivial ones. Of course, this is to be expected since the central booking prearrestment interview program was intended to put in place a standardized interview procedure.

After a hearing, the Judicial Hearing Officer issued a written decision, subsequently confirmed by Supreme Court on September 17, 2009, denying Lloyd-Douglas's motion to suppress. The Hearing Officer concluded that "the People have proved, beyond a reasonable doubt, that the defendant's statements were made pursuant to his knowing, intelligent, and voluntary waiver of his constitutional rights." She credited the DI's testimony and found "nothing in the record to indicate that the defendant was threatened to make a statement or that his will was overborne," and that "no evidence was adduced to indicate that the defendant was irrational or in any way incapable of appreciating the consequences of his statements, nor that he was subjected to 'overbearing interrogation.' "

At Lloyd-Douglas's jury trial in Supreme Court, P.D. identified him as her assailant and testified about the details of the assault, medical evidence established the nature and extent of her injuries and the jurors were shown Lloyd-Douglas's videotaped interview. Lloyd-Douglas testified on his own behalf and claimed, consistent with his videotaped statement, that he fought with P.D., but that she attacked him with the hammer and her injuries were self-inflicted; the trial judge gave a justification instruction. The jury convicted Lloyd-Douglas of all the crimes submitted to the jury except robbery, and on April 6, 2010, Supreme Court sentenced him to prison for 15 years, to be followed by five years of postrelease supervision. He appealed.

On January 30, 2013, the Appellate Division unanimously reversed (102 AD3d 986 [2d Dept 2013]), ordering suppression of the statement for the reasons stated in the companion case of *People v Dunbar* (104 AD3d 198 [2013], *supra*). The court further concluded that the error was not harmless beyond a reasonable doubt in light of the facts and circumstances of the case, and so ordered a new trial. A Judge of this Court granted the People's application for leave to appeal (21 NY3d 944 [2013]), and we now affirm.

II.

An individual taken into custody by law enforcement authorities for questioning "must be adequately and effectively apprised of his rights" safeguarded by the Fifth Amendment privilege against self-incrimination (*Miranda*, 384 US at 467; US Const Amend V). First, the authorities must inform a suspect in "clear and unequivocal terms" of the right to remain silent (*id.* at 467-468). Second, they must make a suspect "aware not only

of the privilege, but also of the consequences of forgoing it” by explaining that “anything” he says during the interrogation “can and will be used against [him] in court” (*id.* at 469). “[T]o assure that [this] right to choose between silence and speech remains unfettered throughout the interrogation process,” the authorities must also explain to the suspect that he has a right to the presence of an attorney (*id.*). And finally, so that the right to an attorney is not “hollow,” the authorities must also advise the suspect “that if he is indigent a lawyer will be appointed to represent him” (*id.* at 473).

These four warnings are an “absolute prerequisite to interrogation” (*id.* at 471). Further,

“[t]he Fifth Amendment privilege is so fundamental to our system of constitutional rule and the expedient of giving an adequate warning as to the availability of the privilege so simple, [a court does] not pause to inquire in individual cases whether the defendant was aware of his rights *without* a warning being given” (*id.* at 468 [emphasis added]).

In sum, absent a “full and effective warning of [these] rights” and a knowing, intelligent and voluntary waiver, statements made by a suspect during custodial interrogation must be suppressed (*id.* at 445, 475-476).

Although *Miranda*’s bright-line rule was controversial at first, it “has become embedded in routine police practice to the point where the warnings have become part of our national culture” (*Dickerson v United States*, 530 US 428, 443 [2000]). Prior to the *Miranda* decision, courts looked at every confession individually for voluntariness, using a totality-of-the-circumstances test grounded in notions of due process (*id.* at 432-433). This due process test took into consideration “the totality of all the surrounding circumstances—both the characteristics of the accused and the details of the interrogation” (*id.* at 434 [internal quotation marks omitted]).

While the prosecution still must prove voluntariness of a confession, “*Miranda* changed the focus of much of the inquiry” (*id.*). Indeed, “giving the warnings and getting a waiver has generally produced a virtual ticket of admissibility; maintaining that a statement is involuntary even though given after warnings and voluntary waiver of rights requires unusual stamina, and litigation over voluntariness tends to end with the finding of a valid waiver” (*Seibert*, 542 US at 608-609).

Since *Miranda* was handed down, the Supreme Court has declined to return to the totality-of-the-circumstances test of voluntariness, or to allow the government to meet its burden without demonstrating compliance with the *Miranda* procedure. In *Dickerson*, the Court rejected a congressional attempt to revive the former totality-of-the-circumstances test, holding that *Miranda* is “constitutionally based” and reaffirming that it governs the admissibility of statements in federal and state courts (*Dickerson*, 530 US at 432, 440). And in *Seibert*, the Court rebuffed a creative attempt to end run *Miranda*. *Seibert* addressed the question-first-and-warn-later police protocol that called for giving a suspect no warnings of the rights to silence and counsel until after interrogation had produced a confession. At that point, the interrogator would deliver the *Miranda* warnings and, assuming the suspect waived *Miranda* rights, repeat the questioning to elicit the information already provided in the prewarning statement. Writing for the plurality, Justice Souter explained that, under these circumstances, the warnings could not function “effectively” as *Miranda* requires (*Seibert*, 542 US at 611).

Here, the People acknowledge that a statement made in the absence of *Miranda* warnings must be suppressed without regard to the individual circumstances of the suspect. But they argue that where no interrogation precedes a suspect’s *Miranda* waiver (unlike *Seibert*) and *Miranda* rights are fully administered, acknowledged and waived, law enforcement’s statements or conduct prior to the waiver bear only on the question of whether the waiver was knowing, voluntary and intelligent under the totality of the circumstances—a factual inquiry to be made on a case-by-case basis.

But just as no “talismanic incantation [is] required to satisfy [*Miranda*’s] strictures” (*California v Prysock*, 453 US 355, 359 [1981]), “it would be absurd to think that mere recitation of the litany suffices to satisfy *Miranda* in every conceivable circumstance” (*Seibert*, 542 US at 611). “The inquiry is . . . whether the warnings reasonably ‘conve[y] to [a suspect] his rights as required by *Miranda*’ ” (*Duckworth v Eagan*, 492 US 195, 203 [1989], quoting *Prysock*, 453 US at 361). Thus in *Seibert*, the issue was whether, in light of the protocol employed by the police in that case, “the warnings [could] effectively advise the suspect that he had a real choice about giving an admissible statement” (*Seibert*, 542 US at 612).

Here, there is no claim that the *Miranda* warnings themselves failed to apprise Dunbar and Lloyd-Douglas of their rights. The

issue, as in *Seibert*, is whether a standardized procedure—there, the question-first-and-warn-later protocol; here, the preamble—effectively vitiated or at least neutralized the effect of the subsequently-delivered *Miranda* warnings. We agree with the Appellate Division that the preamble, which is at best confusing and at worst misleading, rendered the subsequent *Miranda* warnings inadequate and ineffective in advising Dunbar and Lloyd-Douglas of their rights.

Before they were read their *Miranda* rights, Dunbar and Lloyd-Douglas were warned, for all intents and purposes, that remaining silent or invoking the right to counsel would come at a price—they would be giving up a valuable opportunity to speak with an assistant district attorney, to have their cases investigated or to assert alibi defenses. The statements to “give me as much information as you can,” that “this is your opportunity to tell us your story” and that you “have to tell us now” directly contradicted the later warning that they had the right to remain silent. By advising them that speaking would facilitate an investigation, the interrogators implied that these defendants’ words would be used to help them, thus undoing the heart of the warning that anything they said could and would be used against them. And the statement that the prearrestment interrogation was their “only opportunity” to speak falsely suggested that requesting counsel would cause them to lose the chance to talk to an assistant district attorney.

In sum, the issue in these cases is not whether, under the totality of the circumstances, these defendants’ waivers were valid, but rather whether or not they were ever “clearly informed” of their *Miranda* rights in the first place, as is constitutionally required. We agree with the Appellate Division that they were not: the preamble undercut the meaning of all four *Miranda* warnings, depriving Dunbar and Lloyd-Douglas of an effective explanation of their rights. Certainly, if the *Miranda* warnings were preceded by statements that were *directly* contrary to those warnings (*e.g.*, you are required to answer our questions; your statements will be used to help you; you are not entitled to a lawyer) there would be no need to examine the totality of the circumstances to determine if a *Miranda* waiver was knowing, voluntary and intelligent. The preamble did the same thing, albeit in an indirect, more subtle way. While a lawyer would not be fooled, a reasonable person in these defendants’ shoes might well have concluded, after having listened to the preamble, that it was in his best interest to get out his side of the story—fast.

Finally, the People did not ask us to review the Appellate Division's rulings that the improper admission of the videotaped interviews were not harmless beyond a reasonable doubt. We therefore do not reach and express no opinion about this issue. Accordingly, the orders of the Appellate Division should be affirmed.

SMITH, J. (dissenting). The purpose of *Miranda* is to be sure that suspects are informed of their rights and understand them. That purpose is not undermined when police or prosecutors persuade a properly-informed suspect to waive his or her rights. I think that is all that happened here, and I would hold that defendants' statements need not be suppressed.

The central holding of *Miranda* is that, before a suspect in custody is questioned, "[T]he following measures are required":

"He must be warned prior to any questioning that he has the right to remain silent, that anything he says can be used against him in a court of law, that he has the right to the presence of an attorney, and that if he cannot afford an attorney one will be appointed for him prior to any questioning if he so desires" (*Miranda v Arizona*, 384 US 436, 479 [1966]).

The Supreme Court also said in *Miranda*: "The defendant may waive effectuation of these rights, provided the waiver is made voluntarily, knowingly and intelligently" (*id.* at 444).

It is undisputed that both these defendants received proper *Miranda* warnings and agreed to answer questions. I do not argue that that ends the matter. Of course *Miranda* would be violated if the State had, as in *Missouri v Seibert* (542 US 600 [2004]), trapped defendants into telling their story before they heard their rights. And I agree with the majority that it would also be violated if the warnings were accompanied by statements that were directly or indirectly contrary to the warnings (majority op at 316). But no such statements were made here. There is nothing in the preamble that the Queens District Attorney's office affixed to the warnings that expressly or impliedly contradicts the warnings themselves. No reasonable person in the position of either of these defendants would conclude from the preamble that he did not have a right to remain silent; that anything he said could not be used against him; that he was not entitled to a lawyer; or that the State would not provide him a lawyer free of charge.

I admit that the wording of the preamble is not perfect. Its third sentence—“If there is something you need us to investigate about this case, you have to tell us now so that we can look into it”—is unhappily phrased; I wish the word “please” had replaced the words “you have to.” But that change would not significantly alter the substance of the statement. No reasonable person would get the impression from this sentence that he literally *had to* speak on pain of punishment, or that the police would refuse to investigate anything that came to their attention later. In the unlikely event that any suspect even considered taking “you have to” literally, his confusion would be eliminated by the plain wording of the first *Miranda* warning: “You have the right to remain silent.” Viewed as a whole, what was said to each of these defendants before questioning began “reasonably convey[ed] . . . his rights as required by *Miranda*” (*Florida v Powell*, 559 US 50, 60 [2010] [internal quotation marks and citations omitted]).

The majority’s real complaint with the preamble is not that it is likely to confuse a suspect about what his rights are, but that it might persuade him to waive them. As the majority says, “a reasonable person in these defendants’ shoes might well have concluded, after having listened to the preamble, that it was in his best interest to get out his side of the story—fast” (majority op at 316). Indeed he might, but why should that distress us? In fact, if the suspect happened to be innocent—if he had nothing whatever to do with the crime—that conclusion would probably be correct. It is usually in the interest of an innocent person to give investigators the true facts as soon as possible, before the evidentiary trail has grown cold and before an alibi can be tainted by the suspicion of contrivance (*cf.* William J. Stuntz, *Miranda’s Mistake*, 99 Mich L Rev 975, 996-997 [2001] [arguing that an innocent suspect’s best chance to avoid incarceration and conviction is to persuade the police of his innocence before the State decides to press charges]). There are innocent people, though I hope not many, who are arraigned for crimes, and the preamble to the *Miranda* warnings, assuming it had any effect at all, might help some of them to avoid a period of unjust imprisonment, or even an unjust conviction.

But I do not suggest that it is the primary purpose or effect of the preamble to protect the innocent. The Queens District Attorney’s office surely assumes, perhaps correctly, that the great majority of people arrested and arraigned are guilty. The main purpose of the preamble is, no doubt, to persuade guilty people

to speak, in the hope that they will either admit their guilt or, in denying it, tell a story that can be proved false. The preamble seeks to exploit the natural impulse of any guilty defendant to think that he can talk his way out of trouble, by persuading police or prosecutors either that he is innocent or that he deserves leniency. But *Miranda* does not require law enforcement officials to repress, or forbid them to encourage, the tendency of criminals to talk too much. That tendency greatly contributes to the efficiency of law enforcement; many more crimes would go unpunished if it did not exist.

The records in these cases lead me to conclude that these two defendants, assuming they listened attentively to both the preamble to the *Miranda* warnings and the warnings themselves, knew their rights, and decided, freely and voluntarily, to waive them. As it turns out that was, as it often is, a foolish choice, but the privilege against self-incrimination protects suspects against government coercion, not against their own foolishness. I would reverse the Appellate Division orders.

Chief Judge LIPPMAN and Judges GRAFFEO, PIGOTT, RIVERA and ABDUS-SALAAM concur; Judge SMITH dissents in an opinion.

In each case: Order affirmed.

[23 NE3d 965, 998 NYS2d 698]

In the Matter of SYLVAN LAWRENCE, Deceased.

RICHARD S. LAWRENCE et al., Respondents, v GRAUBARD MILLER et al., Appellants, and RICHARD S. LAWRENCE et al., Intervenor-Respondents.

Argued September 9, 2014; decided October 28, 2014

SUMMARY

APPEALS, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered May 23, 2013. The Appellate Division (1) modified, on the law, an amended decree of the Surrogate's Court of New York County (Nora S. Anderson, S.), which had granted intervenors' applications to intervene; awarded petitioner/defendant Graubard Miller a fee of \$15,837,374.02; and directed defendants C. Daniel Chill, Elaine M. Reich and Steven Mallis to return to respondents/plaintiffs cash gifts in the amount of \$5.05 million; and (2) affirmed an order of that court (Troy K. Webber, S.) which, to the extent appealed from, had confirmed that portion of a referee's report recommending as a discovery sanction the waiver of objections under the Dead Man's Statute (CPLR 4519) in lieu of the more severe sanction of striking the pleadings of Alice Lawrence in both the contract enforcement proceeding and the rescission action. The modification consisted of reducing petitioner/defendant Graubard Miller's fee award to the hourly fees due under the original retainer agreement. The Appellate Division remanded the matter for further proceedings to determine the amount of the fee award and award interest thereon from July 29, 2005, the date of the breach of the revised retainer agreement, and otherwise affirmed the amended decree. The following question was certified by the Appellate Division: "Was the order of this Court, which modified the decree of the Surrogate's Court and affirmed a previous order of the Surrogate's Court, properly made?"

Matter of Lawrence, 106 AD3d 607, reversed.

HEADNOTES

Attorney and Client — Compensation — Revised Retainer Agreement with Contingency Fee Not Procedurally Unconscionable

1. A revised retainer agreement providing for a contingency fee, which was entered over two decades into petitioner/defendant law firm's representation of a widow in litigation arising from her husband's death, was not procedurally unconscionable as the evidence demonstrated that the widow fully

understood the agreement, which she herself sought. To determine whether a contract is procedurally unconscionable, the contract formation process must be examined for a lack of meaningful choice on the part of one of the parties, and the most important factor is whether that party was fully informed upon entering the agreement. Here, the widow was abreast of the status of the litigation because she was involved in every detail of the case. She sent the proposed agreement to her trusted accountant, who reviewed it, explained it to her and proposed a clarification, and she signed the agreement after petitioner/defendant made the changes she requested. The mathematical calculations required to understand the contingency fee were not so difficult for a layperson to comprehend, let alone a sophisticated businesswoman like the widow, and her accountant testified that he explained to her exactly what the fee required of her. Given the widow's history of hiring and firing attorneys and other professionals, it was implausible to think that anyone would have been able to force or cajole her to enter into any agreement against her will, and there was no evidence to suggest that she was not fully in command of her faculties when she executed the agreement. Finally, petitioner/defendant did not hide from the widow the potential "up-sides" of the litigation, and neither petitioner/defendant nor the widow anticipated the size of the eventual recovery.

Attorney and Client — Compensation — Revised Retainer Agreement with Contingency Fee Not Substantively Unconscionable in Hindsight

2. A revised retainer agreement providing for a contingency fee, which was entered over two decades into petitioner/defendant law firm's representation of a widow in litigation arising from her husband's death, was not substantively unconscionable in hindsight, notwithstanding that the case settled just five months after entering into the contingency fee arrangement for a sum about twice what petitioner/defendant assessed the remaining claims to be worth. Retainer agreements that are not unconscionable at inception may become unconscionable in hindsight, meaning that the amount of a contingent fee, standing alone and unexplained, may be sufficient to show that an unfair advantage was taken of the client or that a legal fraud was perpetrated upon him or her. Whether such a fee is unreasonably excessive depends on a number of factors, primarily the risk to the attorneys and the value of their services in proportion to the overall fee. Here, petitioner/defendant undertook significant risk in entering into a contingency fee arrangement with the widow. Beyond the ever-present risk that the widow would lose interest in the case or fire petitioner/defendant, petitioner/defendant faced the prospect that the decades-long litigation would drag on for several more years, through a lengthy trial and appeals, with the non-hourly fee as its only compensation for many hours of work. Petitioner/defendant also took the chance that the widow would reject a settlement agreement that she was advised to accept or accept an offer that petitioner/defendant deemed to be unwise. As for proportionality, the value of petitioner/defendant's services was not measured merely by the time it devoted to prosecuting the widow's claims, but rather by the recovery it obtained for her.

Limitation of Actions — Continuous Relationship Doctrine — Continuous Legal Representation — Claims for Return of Monetary Gifts Made to Attorneys

3. The continuous representation doctrine did not toll the limitations period applicable to claims asserted by respondent/plaintiff executors of a widow's estate seeking to recoup substantial monetary gifts made by the widow to de-

fendant partners of a law firm relating to their representation of her in litigation arising from her husband's death. To expand the doctrine so as to encompass a financial dispute between a professional and his or her client such as legal fees or, as here, a gift, would fundamentally alter the doctrine, which requires a claim of misconduct concerning the manner in which professional services were performed, and the ongoing provision of professional services with respect to the complained-of matter or transaction. Requiring a client to dispute a payment or seek return of a gift made to an attorney within the ordinary limitations period would not force a layperson to undertake actions that he or she is ill-equipped to carry out, such as questioning and assessing the techniques employed by the professional, evaluating the manner in which the services are rendered, or overseeing or supervising the attorney's handling of the matter. Moreover, unlike ongoing professional matters, disputes over fees or gifts involve no mutual understanding of the need for further representation regarding the transaction, and there is no risk that contesting a payment or seeking return of a gift would interrupt corrective efforts. Here, there was no mutual understanding of the need for further representation regarding the gifts as defendants did not represent the widow with respect thereto in the first place. Similarly, having done nothing on the widow's behalf in the gift transaction, there was nothing for defendants to correct through provision of ongoing professional services. Finally, defendants, by accepting the gifts, did not engage in self-dealing.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Attorneys at Law §§ 230, 248-250, 252, 254, 258, 259.

CARMODY-WAIT 2d, Officers of Court §§ 3:492, 3:497, 3:498, 3:500, 3:502, 3:503, 3:517; CARMODY-WAIT 2d, Limitation of Actions §§ 13:336, 13:337.

NY JUR 2d, Attorneys at Law §§ 188, 242, 249, 250, 252, 255, 262; NY JUR 2d, Limitations and Laches § 232; NY JUR 2d, Malpractice § 79.

ANNOTATION REFERENCE

Construction and operation of attorney's general or classic retainer fee or salary contract under state law. 102 ALR5th 253.

FIND SIMILAR CASES ON WESTLAW®

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POINTS OF COUNSEL

Sullivan Papain Block McGrath & Cannavo P.C., New York City (*Brian J. Shoot* of counsel), and *Flemming Zulack William-*

son & Zauderer LLP, New York City (Mark C. Zauderer of counsel), for Graubard Miller, appellant. I. Contingent fee retainers serve important policy objectives, even in commercial cases and even in cases in which the client can afford hourly billing. (*In re Abrams & Abrams, P.A.*, 605 F3d 238; *Gair v Peck*, 6 NY2d 97; *Matter of Brehm*, 37 AD2d 95.) II. The clear-on-its-face contingent fee retainer that Alice Lawrence requested and then signed should be enforced unless it was procedurally and substantively unconscionable. (*King v Fox*, 7 NY3d 181; *Jacobson v Sassower*, 66 NY2d 991; *Castellanos v CBS Inc.*, 89 AD3d 499; *Wade v Clemmons*, 84 Misc 2d 822; *Banque Indosuez v Sopwith Holdings Corp.*, 98 NY2d 34; *Goodrich v McDonald*, 112 NY 157.) III. The Appellate Division erred in rejecting the Special Referee’s finding that Alice Lawrence’s belatedly claimed inability to understand the clear-on-its-face contingent fee agreement was “not credible,” and in ruling instead that the contingent fee retainer was procedurally unconscionable. (*Fairbairn v State of New York*, 66 NY2d 620; *Matter of Howell*, 215 NY 466; *Naiman v New York Univ. Hosps. Ctr.*, 351 F Supp 2d 257; *King v Fox*, 7 NY3d 181; *Howard L. Jacobs, P. C. v Citibank, N.A.*, 61 NY2d 869; *Emigrant Mtge. Co., Inc. v Fitzpatrick*, 95 AD3d 1169; *Simar Holding Corp. v GSC*, 87 AD3d 688; *State of New York v Wolowitz*, 96 AD2d 47; *Greene v Greene*, 56 NY2d 86; *Shaw v Manufacturers Hanover Trust Co.*, 68 NY2d 172.) IV. There was neither any proof nor even any claim that the revised retainer agreement was substantively unconscionable at the time it was signed. V. The lower courts erred in ruling that a contingent fee contract that was *not* unconscionable when made became unconscionable simply because the attorneys obtained a recovery that was far greater than anyone expected and came much sooner than anyone expected. (*King v Fox*, 7 NY3d 181; *Gair v Peck*, 6 NY2d 97; *In re Smart World Tech., LLC*, 552 F3d 228; *Ward v Orsini*, 243 NY 123; *Matter of Potts*, 213 App Div 59, 241 NY 593; *In re Abrams & Abrams, P.A.*, 605 F3d 238; *F.H. Krear & Co. v Nineteen Named Trustees*, 810 F2d 1250; *Wade v Clemmons*, 84 Misc 2d 822; *McKenzie Constr., Inc. v Maynard*, 823 F2d 43.) VI. The Appellate Division erred in ruling that the same client who had refused to continue on an hourly basis could retroactively return to hourly billing. (*Matter of Rothko*, 43 NY2d 305; *Bercow v Damus*, 5 AD3d 711; *Matter of Fitzsimons*, 174 NY 15; *Spiegel v Goldfarb*, 66 AD3d 873; *Belzer v Bollea*, 150 Misc 2d 925; *Matter of Smith [Raymond]*, 214 App Div 622; *Naiman v New York Univ. Hosps. Ctr.*, 351 F Supp 2d 257; *Blake v Biscardi*, 62 AD2d 975.) VII. Even if one were

to assume that the fee was unconscionable in hindsight, the fee should not have been reduced below the one-third baseline that is presumptively reasonable in personal injury actions involving far less time and risk. (*Matter of Fitzsimons*, 174 NY 15; *Yalango v Popp*, 84 NY2d 601; *Gair v Peck*, 6 NY2d 97; *Dullard v Berkeley Assoc. Co.*, 606 F2d 890.)

Jones Day (*Michael A. Carvin*, of the District of Columbia bar, admitted pro hac vice, and *Jacob M. Roth*, of the District of Columbia bar, admitted pro hac vice, of counsel), for C. Daniel Chill and others, appellants. I. The estate's claim for return of the gifts was time-barred and should have been dismissed. (*Williamson v PricewaterhouseCoopers LLP*, 9 NY3d 1; *McCoy v Feinman*, 99 NY2d 295; *Shumsky v Eisenstein*, 96 NY2d 164; *Glamm v Allen*, 57 NY2d 87; *Booth v Kriegel*, 36 AD3d 312; *Transport Workers Union of Am. Local 100 AFL-CIO v Schwartz*, 32 AD3d 710, 8 NY3d 942; *Greene v Greene*, 56 NY2d 86; *Siegel v Kranis*, 29 AD2d 477; *Borgia v City of New York*, 12 NY2d 151; *Rodkinson v Haecker*, 248 NY 480.) II. The estate's claim for return of the gifts fails on the merits, as a matter of law, because the gifts were given knowingly and with no undue influence, as the court-appointed referee properly found. (*Nesbitt v Lockman*, 34 NY 167; *Snook v Sullivan*, 53 App Div 602; *Reoux v Reoux*, 3 AD2d 560; *Matter of Henderson*, 80 NY2d 388; *Children's Aid Socy. of City of N.Y. v Loveridge*, 70 NY 387; *Matter of Ryan*, 34 AD3d 212; *Howland v Smith*, 9 AD2d 197; *Radin v Opperman*, 64 AD2d 820; *Matter of Bartel*, 33 AD2d 987; *Matter of Clines*, 226 AD2d 269.)

Kornstein Veisz Wexler & Pollard, LLP, New York City (*Daniel J. Kornstein*, *Ina R. Bort* and *Amy C. Gross* of counsel), for respondents and intervenor-respondents. I. The attorneys failed to meet the very heavy burden of proving validity of the gifts. (*Nesbitt v Lockman*, 34 NY 167; *Matter of Henderson*, 80 NY2d 388; *Ten Eyck v Whitbeck*, 156 NY 341; *Matter of Smith*, 95 NY 516; *Cowee v Cornell*, 75 NY 91; *Matter of People*, 303 NY 423; *Wendt v Fischer*, 243 NY 439; *Matter of Schneiderman*, 105 AD3d 602; *Matter of Clines*, 226 AD2d 269; *Radin v Opperman*, 64 AD2d 820.) II. The claims to void the gifts were timely. (*Glamm v Allen*, 57 NY2d 87; *Shumsky v Eisenstein*, 96 NY2d 164; *Greene v Greene*, 56 NY2d 86; *Schlanger v Flaton*, 218 AD2d 597; *Luk Lamellen U. Kupplungbau GmbH v Lerner*, 166 AD2d 505; *Borgia v City of New York*, 12 NY2d 151.) III. The Surrogate acted within her authority. (*Matter of Galiber v Previte*, 40 NY2d 822; *Barrett v Stone*, 236 AD2d 323; *Northern*

Westchester Professional Park Assoc. v Town of Bedford, 60 NY2d 492; *York Mtge. Corp. v Clotar Constr. Corp.*, 254 NY 128; *Cohen v Hallmark Cards*, 45 NY2d 493.) IV. Reversion to the original retainer agreement is appropriate. (*Campagnola v Mulholland, Minion & Roe*, 76 NY2d 38; *Quinn v Walsh*, 18 AD3d 638; *Yannitelli v Yannitelli & Sons Constr. Corp.*, 247 AD2d 271; *Automatic Bedding Corp. v Ortner*, 26 AD2d 664; *Chen v Chen Qualified Settlement Fund*, 552 F3d 218; *Matter of Smith [Raymond]*, 214 App Div 622; *Connors v Wildstein*, 271 AD2d 633; *Naiman v New York Univ. Hosps. Ctr.*, 351 F Supp 2d 257; *Matter of Friedman v O'Neill*, 136 App Div 750; *Matter of Goliger*, 58 AD3d 732.) V. The revised retainer agreement is infected with procedural unconscionability. (*King v Fox*, 7 NY3d 181; *Shaw v Manufacturers Hanover Trust Co.*, 68 NY2d 172; *Greene v Greene*, 56 NY2d 86; *Jacobson v Sassower*, 66 NY2d 991; *Matter of Howell*, 215 NY 466; *Whitehead v Kennedy*, 69 NY 462; *Matter of People*, 303 NY 423; *Forest Park Assoc. Ltd. Partnership v Kraus*, 175 AD2d 60; *Schlanger v Flaton*, 218 AD2d 597; *Matter of Cooperman*, 83 NY2d 465.) VI. The revised retainer agreement is substantively unconscionable. (*King v Fox*, 7 NY3d 181; *Matter of Howell*, 215 NY 466; *Whitehead v Kennedy*, 69 NY 462; *Gair v Peck*, 6 NY2d 97; *Matter of People*, 303 NY 423; *Matter of Cooperman*, 83 NY2d 465.)

Berchem, Moses & Devlin, PC., Milford, Connecticut (*Robert L. Berchem* and *Michelle Devlin Long* of counsel), and *Akin Gump Strauss & Feld LLP*, New York City (*Kim Koopersmith* of counsel), for Marta Jo Lawrence and another, intervenors-respondents. I. Graubard Miller and its attorneys violated their professional duties to their independent clients, the Lawrence sisters. (*Matter of Cooperman*, 83 NY2d 465; *Ulico Cas. Co. v Wilson, Elser, Moskowitz, Edelman & Dicker*, 56 AD3d 1; *Smith v City of New York*, 611 F Supp 1080; *Lightman v Flaum*, 97 NY2d 128.) II. The Appellate Division properly denied Graubard Miller any fees based on the revised retainer agreement. (*Yannitelli v Yannitelli & Sons Constr. Corp.*, 247 AD2d 271; *Doviak v Finkelstein & Partners, LLP*, 90 AD3d 696; *Rimberg & Assoc., PC. v Jamaica Chamber of Commerce, Inc.*, 40 AD3d 1066; *Matter of Ginther v Ginther*, 11 AD3d 977; *Matter of Winston*, 214 AD2d 677; *Pessoni v Rabkin*, 220 AD2d 732; *Quinn v Walsh*, 18 AD3d 638; *Orendick v Chiodo*, 272 AD2d 901; *Brill v Friends World Coll.*, 133 AD2d 729; *Feiger v Iral Jewelry*, 41 NY2d 928.)

Greenfield Stein & Senior, LLP, New York City (*Norman A. Senior* and *Angelo M. Grasso* of counsel), for Richard S. Law-

rence, intervenor-respondent. I. Graubard Miller and its attorneys engaged in misconduct while representing Richard S. Lawrence. (*Matter of Eadie v Town Bd. of Town of N. Greenbush*, 7 NY3d 306; *Simpson Elec. Corp. v Leucadia, Inc.*, 72 NY2d 450; *Matter of New York Times Co. v City of N.Y. Commn. on Human Rights*, 41 NY2d 345; *Matter of Cooperman*, 83 NY2d 465; *Matter of Sherbunt*, 134 AD2d 723.) II. Because of Graubard Miller's misconduct, the only fee it was entitled to was the one awarded by the Appellate Division. (*Quinn v Walsh*, 18 AD3d 638; *Matter of Winston*, 214 AD2d 677; *Brill v Friends World Coll.*, 133 AD2d 729; *Diamond v Oreamuno*, 24 NY2d 494; *Matter of Clarke*, 12 NY2d 183; *Feiger v Iral Jewelry*, 41 NY2d 928.)

Pollack Pollack Isaac & DeCicco, New York City (Brian J. Isaac of counsel), for New York State Trial Lawyers Association, amicus curiae. A finding of unconscionability cannot be based on an after the fact review of circumstances that did not exist at the time the agreement was executed in this case; Alice Lawrence was a sophisticated and tough-minded woman who understood the implications of changing the fee arrangement; that Graubard Miller's excellent work resulted in a high and speedy fee cannot redound to Graubard's detriment; the contingency fee system should be upheld. (*Jacobson v Sassower*, 66 NY2d 991; *King v Fox*, 7 NY3d 181; *Gair v Peck*, 6 NY2d 97; *Campagnola v Mulholland, Minion & Roe*, 76 NY2d 38; *Samuel v Druckman & Sinel, LLP*, 12 NY3d 205.)

OPINION OF THE COURT

READ, J.

Beginning in 1983, defendant law firm Graubard Miller (Graubard or the law firm) represented Alice Lawrence (Lawrence) and her three children in litigation arising from the death of her husband and their father, Sylvan Lawrence (decedent), a real estate developer. At the time of decedent's death in 1981, his company owned commercial real estate in New York City valued at an estimated \$1 billion. Decedent's brother and lifelong equal business partner, Seymour Cohn (Cohn), was executor of the estate. Cohn resisted selling decedent's properties and distributing the proceeds to Lawrence and the children, which caused Lawrence to bring suit in 1983. For over two decades, she and Cohn (and after he died in November 2003, his estate) battled in court (hereafter, the estate litigation).

Lawrence, who died in February 2008, has been portrayed as intelligent, tough and sophisticated in business matters, having

personally managed an investment portfolio worth more than \$200 million. She described herself in prior proceedings¹ as a “force to be reckoned with”; her “own person” who made her “own decisions”; and someone who “never” consulted with her attorneys or children about business matters, but rather kept her own counsel and “trust[ed] nobody.” Consistent with this persona, Lawrence participated in almost every detail of the estate litigation—large and small—and reviewed all of the documents and motions her attorneys filed. She demanded to be the “senior partner” in the litigation and threatened on numerous occasions to fire Graubard when she thought that the law firm was not carrying out her wishes. She had no qualms about rejecting Graubard’s advice outright.

The estate litigation came to an abrupt and unexpected end on May 18, 2005, when the Cohn estate agreed to settle for over \$100 million, a sum about twice what Graubard assessed the remaining claims to be worth. There quickly followed, though, this dispute between Lawrence and Graubard with respect to the law firm’s fee, and the validity of certain gifts made by Lawrence to three Graubard partners in 1998. For the reasons that follow, we hold that the parties’ revised retainer agreement was neither procedurally nor substantively unconscionable and is therefore enforceable; and that the Lawrence estate’s claim for return of the gifts is time-barred.

1. Lawrence was never deposed in this case. As discussed later, the Surrogate appointed a referee to hear and report on the estate litigation and then this lawsuit. In connection with a sanctions motion brought by Graubard, the Referee found that although Lawrence “was a critical witness whose testimony was highly relevant and necessary to the issues presented” in this lawsuit, she pursued a two-year course of resistance. She filed duplicative, meritless requests for reconsideration of the decision to permit her deposition, the “real purpose [of which] was delay.” When that failed, Lawrence defaulted in appearing for a deposition the Referee had ordered; she then filed meritless appeals. She also made “repeated representations to [the courts] that she would appear for her deposition within thirty days of an adverse decision by the Appellate Division” on her interlocutory appeals, and then “reneg[ed] on her commitment.” Further, Lawrence, “at least implicitly if not explicitly,” represented that “she knew of no medical condition that would impair her ability to testify,” even after being informed in November 2007 that she was terminally ill and only had months to live. As a consequence, the Referee recommended that the Surrogate grant Graubard’s motion to strike Lawrence’s pleadings unless the Lawrence estate waived the protection of the Dead Man’s Statute; the Surrogate confirmed the Referee’s report and imposed this sanction.

IThe Revised Retainer Agreement

By the end of 2004, Lawrence had paid Graubard approximately \$18 million in legal fees on an hourly fee basis since 1983 in connection with the estate litigation. After 2002, the major remaining contested claims involved accounting objections. These claims rested on the contention that Cohn had in one way or another abused his position as executor to engage in self-dealing. Positive outcomes in this phase of the litigation were uncertain and costly to pursue. Indeed, Lawrence spent a total of \$4.88 million in legal fees in 2003 and 2004. There were no distributions to the Lawrence family during those two years.

In early 2004, soon after Cohn died, Lawrence tried to negotiate a settlement directly with Cohn's children. Her efforts resulted in a \$60 million offer,² but it was subject to numerous open-ended givebacks. Lawrence's son, later (and still) coexecutor of her estate, testified that his mother did not consider this a bona fide offer that would achieve a complete and definitive financial separation of the Lawrences from the Cohns, her goal ever since the inception of the estate litigation in 1983. In her son's telling, Lawrence likened the \$60 million offer to an earlier proposal made by Cohn in which he "purportedly wanted to buy her share [in a particular building] . . . presented her with a simple offer and then proceeded to add so many conditions and qualifications . . . that it was obvious that he had no intention of concluding the deal."

Then on December 16, 2004, the Referee ruled against Lawrence with respect to her single largest accounting objection by far, which related to a Manhattan office building known as 95 Wall Street. This unexpected loss was quite a blow, and prompted Lawrence to complain about her legal fees and ask for a new fee arrangement going forward. She and C. Daniel Chill (Chill), the lead attorney at Graubard for Lawrence-related matters, discussed the possibility of a contingency fee arrangement. Lawrence proposed a 30% contingency; Chill countered with 50%. They eventually agreed upon a fee of 40% of the net recovery after deduction of up to \$1.2 million in time charges for calendar year 2005.

Graubard sent Lawrence a proposed revised retainer agreement on January 12, 2005. She received the agreement the next

2. According to Lawrence's nephew, his aunt's initial demand was \$90 million and his counteroffer was \$25 million.

day and reviewed it with her longtime accountant, Jay Wallberg (Wallberg). The notes of Wallberg's conversation with Lawrence suggest that he was the source of a paragraph that Graubard added to the final version of the agreement forwarded to Lawrence for signature on January 14, 2005, which she received the following day. The added paragraph clarified that hourly billing was to continue for one year only.

Lawrence executed the revised retainer agreement on January 19, 2005; as relevant, the agreement states as follows:

"1. For the calendar year commencing January 1, 2005, [Graubard] will continue to send you on a quarterly basis invoices for services rendered for the quarter, plus disbursements. Against each such invoice, [Lawrence] will pay the firm a flat sum of no more than \$300,000 for that quarter. If at the end of the calendar year [Graubard's] invoices for services rendered for the calendar year, in the aggregate, total less than \$1,200,000, exclusive of disbursements, [Graubard] will either credit [Lawrence] with the overpayment or refund to [Lawrence] such overpayment at [her] option. If at the end of the calendar year, [Graubard's] invoices for the calendar year, in the aggregate exceed \$1,200,000, exclusive of disbursements, [Lawrence] shall have no obligation or liability to [Graubard] for any such excess.

"2. Commencing January 1, 2005, with respect to any monies distributed to the beneficiaries of [decedent's estate], [Graubard] will be paid from [Lawrence's] share of such monies 40% of the total distributed to the beneficiaries, minus the total amount paid by [Lawrence], including fees and disbursements, pursuant to paragraph 1 above.^[3]

"3. In the event [Lawrence] settle[s] the litigation with [Cohn's estate], with respect to any monies distributed to the beneficiaries pursuant to said settlement, [Graubard] shall be paid on the same basis as is set forth in paragraph 2 above. Should the amount due to [Graubard] pursuant to this paragraph 3 be less than the amount of its actual

3. Lawrence always insisted that the attorneys' fees come from her share of the estate (not the children's), which was fixed at 75.9%.

time and disbursement charges commencing January 1, 2005, it is agreed between [Lawrence and Graubard] that [Lawrence and Graubard] will arrive at a fair resolution of the shortfall to [Graubard], which in all events shall be entirely in [Lawrence's] discretion.

“4. [Lawrence's] obligation to make quarterly payments under this agreement shall not extend beyond one year.”

The case settled on May 18, 2005 in the midst of an evidentiary hearing to resolve certain of the outstanding accounting objections raised by Lawrence. This sudden turn of events came about on the heels of a “smoking gun” discovery made by Graubard that Cohn had engaged in egregious self-dealing in connection with the sale of several properties (the so-called “Epps claim”). This “smoking gun” did not exactly drop into Graubard's lap: the law firm makes the point, which appears to be uncontested, that it had doggedly pursued the Epps claim even though earlier attempts to trace Cohn's malfeasance had proven fruitless and Lawrence had expressed skepticism about whether this particular claim (not one of the larger accounting objections) was worth continued time and effort.

Once the “smoking gun” surfaced, the Cohn estate offered Lawrence and the children over \$100 million to dispose of the estate litigation. This figure was about twice what Graubard estimated the remaining claims to be worth; essentially, the “smoking gun” revelation was so damaging that the Cohn estate paid a substantial premium to bring the litigation to a swift and certain conclusion. At the time, the Referee estimated that

“[t]o hear and determine the remaining unresolved issues would likely require at least 30 additional trial days, the submission of post hearing legal memoranda, and [the] rendering of an extensive report on the law and the facts on the issues that are the subject of the present hearing as well as additional reports on the pending summary judgment motions. Then, the final resolution of the dispute would entail litigation before the Surrogate regarding confirmation of these reports and, consistent with the prior history of the case, exhaustion of the appellate process.”

He added that these remaining unresolved issues were “serious, in the main uncertain of outcome, and involve[d] exceptionally high financial stakes for both estates.”

Lawrence did not attend the hearings before the Referee; however, she directed her son, who did, to report back “what was happening . . . once a day or thereabouts.” On the day the case settled, he apprised his mother of this development by a telephone call placed from the conference room where the hearing was taking place. She reacted in “words to the effect, ‘I think I made a mistake’ ” and “ ‘[i]t’s my problem. I’ll handle it.’ ” At the time, Lawrence’s son was not aware of the revised retainer agreement, which his mother did not share with him until July 7, 2005.

The Gifts

In 1998, 15 years after the estate litigation began, Cohn sold the real estate company’s remaining properties and distributed the proceeds to Lawrence and the children. Lawrence received \$84 million and the children, \$40 million.⁴ This distribution marked Lawrence’s self-professed liberation from Cohn’s “control” and “whims.” She received these monies in two checks, one deposited November 16, 1998 and the other, November 30, 1998. Lawrence, whose net worth was already about \$220 million before this distribution, was so delighted that she framed copies of the checks.

After this hard-fought victory, Lawrence advised Chill of her desire and intention to make substantial gifts to her legal team of Chill, Elaine M. Reich (Reich) and Steven Mallis (Mallis) (collectively, the attorneys). Like Chill, Reich and Mallis were partners at Graubard. This conversation took place on November 25, 1998, the day before Thanksgiving. According to Chill, he advised Lawrence to make the gift to the law firm instead, but she would not hear of it, and was insulted that he dared to second-guess her wishes.

Lawrence subsequently mailed Chill an envelope marked “Personal” containing a handwritten cover note and three smaller envelopes addressed to each of the attorneys. The envelopes were dated November 30, 1998—five days after Lawrence talked to Chill, and the day the second distribution check was deposited. The cover note stated: “Danny—You were kind

4. In the 14 years from 1983, when Lawrence retained Graubard, through the end of 1997, Graubard achieved roughly \$196 million in estate distributions for the Lawrence family.

to suggest you distribute the enclosed envelopes for me. Thank you again and yet again! From *all* the Lawrences.—Alice.”

The smaller envelope addressed to Chill contained a check for \$2 million, postdated December 2, 1998, and a handwritten note from Lawrence, which said

“Dear Danny—Without you—what? You’ve stood by me all these years—buoyed me up with unflagging optimism and persistence—and kept all the team actively functioning despite continual frustration—knowing we all would prevail one day. You are my friend of all friends,

“Most affectionately,

“Alice”

The envelope addressed to Reich contained a check for \$1.55 million, accompanied by a handwritten note that read “For Elaine My Friend—my children’s friend. All of us thank you! Appreciatively, Alice.” And the handwritten note to Mallis read

“Dear Steve, Justice seemed to be blinded forever but with just such a shove as you, Elaine and Danny have made in my behalf, she came through after all. My most grateful thanks for *all* your unprecedented efforts—*all* these years.

“Affectionately,

“Alice”

A check for \$1.5 million was tucked inside the note.

On December 7, 1998, Lawrence also made a gift of \$400,000 to the law firm, but the companion handwritten note expressed substantially less gratitude. She wrote “Danny—I’m not sure just what I should be thanking the firm for. (Keeping me on as a client?) *You* write my thank you. A.” The authenticity of these handwritten notes has never been challenged.

Within days of making the gifts, Lawrence discussed them with Wallberg, who told her that gift taxes would total roughly \$2.7 million. Wallberg advised Lawrence that she could either pay the gift taxes or report the transfers as bonuses, in which case the attorneys would be required to report the amounts as income and Lawrence would be entitled to a tax deduction. After vacillating for awhile, Lawrence eventually decided to report the amounts as gifts and to pay the \$2.7 million in gift taxes.

The Post-Settlement Litigation

The closing under the settlement of the estate litigation took place on July 25, 2005. Soon after, Lawrence discharged Graubard and refused to pay the 40% contingency fee due under the revised retainer agreement (roughly \$44 million). On August 5, 2005, Graubard commenced a proceeding in Surrogate’s Court to compel payment of its legal fees. On September 13, 2005, Lawrence countered by filing suit in Supreme Court against Graubard and the attorneys. She sought rescission of the revised retainer agreement, return of all legal fees she had paid Graubard since 1983 and the monies she had given to the attorneys in 1998. Supreme Court directed that this action be removed to Surrogate’s Court; the Surrogate referred both the Graubard and the Lawrence actions to the same Referee who had handled the estate litigation.

After extensive motion and appellate practice and completion of discovery, the Referee heard 15 days of testimony over three months, beginning on October 5, 2009. The only issues remaining to be decided at the evidentiary hearing were the enforceability of the revised retainer agreement and the validity of the gifts to the attorneys. In his report dated August 27, 2010, the Referee concluded that the revised retainer agreement was not procedurally or substantively unconscionable when made, but became substantively unconscionable in hindsight because of its sheer size, disproportion to Graubard’s efforts and the relatively small risk to Graubard. The Referee recommended granting Graubard’s claim seeking an order compelling the Lawrence estate to pay fees under the revised retainer agreement to the extent of ordering payment of \$15.8 million.

The Referee reached this figure by computing what Graubard was owed in quantum meruit under a graduated fee structure in which he applied the 40% contingency to an initial portion of the recovery and then reduced the percentage for the additional, unanticipated portion of the award. Thus, he applied 40% to the first \$10 million recovery (which Lawrence anticipated), 30% to the less expected next \$10 million and 10% to the remaining \$91.8 million, which neither Lawrence nor Graubard expected prior to production of the “smoking gun.” Finally, the Referee subtracted from the resulting calculation of \$16.1 million the \$348,000 Lawrence paid to Graubard for services rendered in the first quarter of 2005.

The Referee further concluded that the attorneys had shown “by strong, convincing and satisfactory proof that the gifts were

free from undue influence and that the gift transaction was fully understood by [Lawrence],” and therefore was valid. He identified five factors that underpinned his conclusion; specifically, (1) Lawrence’s handwritten notes, which expressed sincere gratitude and whose authenticity was not challenged; (2) her seven-year delay in challenging the gifts; (3) her history of hiring and firing professionals at will (including Graubard), whenever they displeased her; (4) her election to pay gift taxes on the gifts rather than count them as bonuses; and (5) her aggressive, domineering, “vituperative” personality, which even frightened her adult children.

In a decision dated September 8, 2011, the Surrogate affirmed the Referee’s recommendations with respect to attorneys’ fees; however, she concluded that the gifts to the attorneys should be set aside and the funds returned to the Lawrence estate (*Matter of Lawrence*, 33 Misc 3d 1206[A], 2011 NY Slip Op 51796[U] [Sur Ct, NY County 2011]). In the Surrogate’s view, the attorneys did not satisfy “their burden ‘to show by . . . strong, convincing and satisfactory proof . . . that the conveyance to [them] was entirely honest, legitimate and free from taint’ ” (2011 NY Slip Op 51796[U], *6, quoting *Howland v Smith*, 9 AD2d 197, 200 [3d Dept 1959]).

She emphasized that Lawrence was an octogenarian⁵ who had depended on the attorneys for over 16 years to “champion her interests in [the] highly contentious” estate litigation (*id.*). Since the \$400,000 gift to the law firm had clearly “gone against the grain of [Lawrence’s] feelings and judgment,” the Surrogate surmised that “it would take an unwarranted leap of faith to conclude that the multi-million-dollar checks written at about the same time to the lawyers had not likewise been extracted from her by some degree of pressure, whether express or tacit, patent or subtle, from at least one of the [attorneys].” (*Id.*) Moreover, there were no neutral witnesses to Chill’s private discussions with Lawrence, the gifts were more generous than other major lifetime gifts bestowed by Lawrence and the attorneys kept the gifts secret from their partners, the Lawrence children and even, in one case, a spouse. This “combination of dubious circumstances . . . emit[ted] an odor of overreaching too potent to be ignored,” and convinced the Surrogate that the gifts were not voluntarily made (*id.* at *7).

5. In an affidavit dated September 8, 2005, almost seven years after she gave the gifts to the attorneys, Lawrence stated that she was then 80 years old.

In a decision handed down on May 23, 2013, the Appellate Division modified the Surrogate's order (106 AD3d 607 [1st Dept 2013]). Citing *Gamm v Allen* (57 NY2d 87, 93-94 [1982]), the court first held that the Lawrence estate's claims relating to the gifts were tolled under the doctrine of continuous representation (106 AD3d at 608). In its only discussion of this issue, the court simply stated that

“[c]ontrary to [the attorneys'] contention, the doctrine applies where, as here, the claims involve self-dealing at the expense of a client in connection with a particular subject matter (*cf. Woyciesjes v Schering-Plough Corp.*, 151 AD2d 1014, 1014-1015 [4th Dept 1989], *appeal dismissed* 74 NY2d 894 [1989]).” (*Id.*)

On the merits, the Appellate Division concluded that the attorneys did not satisfy their burden of showing by clear and convincing evidence that the gifts were given willingly and knowingly, without undue influence. In particular, the “secrecy surrounding the gifts, and their extraordinary amounts, which the [attorneys] accepted without advising the widow to seek independent counsel” precluded a favorable finding (*id.* at 608-609). The court decided, though, that because the attorneys acted alone and in secret, Graubard was not required to forfeit its lawful fees from the date in 1998 when the attorneys received the gifts.

Next, the Appellate Division held that the revised retainer agreement was both procedurally and substantively unconscionable. In the court's view, Graubard failed to show that Lawrence fully knew and understood the terms of the agreement (*id.* at 609). With respect to substantive unconscionability, the Appellate Division commented that Graubard had

“internally assessed the estate's claims to be worth approximately \$47 million⁶ so that the contingency fee provision in the revised retainer would have meant a fee of about \$19 million. [Accordingly,] it seems highly unlikely that the firm undertook a sig-

6. This figure comes from a handwritten worksheet from Graubard's files, which was admitted into evidence at the hearing. The worksheet includes cross-outs and marginal notes; it is undated, but since the 95 Wall Street claim appears on it, the document is thought to have been created sometime before the Referee's unfavorable decision in that matter on December 16, 2004.

nificant risk of losing a substantial amount of fees as a result of the revised retainer agreement's contingency provision" (*id.*).

Additionally, the court considered the sought-after contingency fee to be disproportionate compensation for the number of hours spent by the law firm on the estate litigation after the revised retainer agreement went into effect.

The Appellate Division, however, disagreed with the Referee and the Surrogate about the proper remedy. The court held that "[w]here, as here, there is a preexisting, valid retainer agreement, the proper remedy is to revert to the original agreement" (*id.* at 609-610). The Appellate Division therefore remanded for the Surrogate to determine the fees due under the original hourly fee agreement, plus prejudgment interest from the date of the breach.

Graubard, Chill and Reich, and Mallis separately asked the Appellate Division for leave to appeal to us. While their motions for leave to appeal were pending, the parties stipulated to a final decree on remand that resolved the fee dispute in accordance with the Appellate Division's order, and directed the attorneys to return the gifts. The Surrogate entered the final decree on remand on July 29, 2013. On September 10, 2013, the Appellate Division granted all three motions seeking leave to appeal, certifying to us the following question of law: "Was the order of [the Appellate Division], which modified the decree of the Surrogate's Court and affirmed a previous order of the Surrogate's Court, properly made?" We now reverse and answer the certified question in the negative.

II

The Revised Retainer Agreement

Courts "give particular scrutiny to fee arrangements between attorneys and clients," placing the burden on attorneys to show the retainer agreement is "fair, reasonable, and fully known and understood by their clients" (*Shaw v Manufacturers Hanover Trust Co.*, 68 NY2d 172, 176 [1986]). A revised fee agreement entered into after the attorney has already begun to provide legal services is reviewed with even heightened scrutiny, because a confidential relationship has been established and the opportunity for exploitation of the client is enhanced (*Matter of Howell*, 215 NY 466, 472 [1915]). As we explained in this case's earlier trip here, an unconscionable contract is generally defined

as “one which is so grossly unreasonable as to be [unenforceable according to its literal terms] because of an absence of meaningful choice on the part of one of the parties [procedural unconscionability] together with contract terms which are unreasonably favorable to the other party [substantive unconscionability]” (*Lawrence v Graubard Miller*, 11 NY3d 588, 595 [2008]).

The parties and the lower courts agree that the *percentage* of the fee (40%) is not automatically unconscionable. Rather, the Lawrence estate argues that the revised retainer agreement is void procedurally because Lawrence did not fully know and understand its nature, and void substantively because Graubard took no risk in entering into the agreement and \$44 million, in hindsight, is disproportionately excessive in light of the work Graubard put into the case.

1. Procedural Unconscionability

To determine whether the agreement is procedurally unconscionable, we must examine the contract formation process for a lack of meaningful choice. The most important factor is whether the client was fully informed upon entering the agreement (*King v Fox*, 7 NY3d 181, 192 [2006]). Even in the absence of fraud or undue influence, the attorney must show that the client executed the contract with “full knowledge of all the material circumstances known to the attorney . . . and that the contract was one free from fraud on [the attorney’s] part or misconception on the part of [the client]” (*Howell*, 215 NY at 473-474).

[1] The hearing evidence demonstrated that Lawrence fully understood the revised retainer agreement, which she herself sought. Lawrence was abreast of the status of the litigation because, as the Referee found, she was involved in every detail of the case. She also sent the proposed agreement to Wallberg, her trusted accountant, who reviewed it, explained it to Lawrence, and even proposed that Graubard clarify the duration of the hourly charges capped at \$1.2 million. Graubard made the changes Lawrence requested, and she signed the agreement four days after she received the revised version.

Contrary to the Lawrence estate’s assertions, the mathematical calculations required to understand the 40% contingency fee are not so difficult for a layperson to comprehend, let alone a sophisticated businesswoman. Any doubt about Lawrence’s understanding of the proposed fee was dispelled by Wallberg,

the estate's own witness, who testified that he explained to Lawrence exactly what the 40% contingency fee required of her.

Moreover, the Referee discredited the Lawrence estate's contention that Chill had a "svengali-like" influence over Lawrence and overcame her will. Given Lawrence's history of hiring and firing attorneys and other professionals, it is implausible to think that anyone would have been able to force or cajole her to enter into any agreement against her will. There was no evidence to suggest that Lawrence was not fully in command of her faculties when she executed the revised retainer agreement in January 2005.

The Lawrence estate propounds that Graubard did not fully inform Lawrence about the potential "up-sides" of the litigation, and so she did not have "full knowledge of all the material circumstances known to the attorney" (*Howell*, 215 NY at 473). In particular, the estate stresses that Lawrence never saw the undated handwritten worksheet, which set out Graubard's evaluation of the value of each claim, its likelihood of success and the potential recovery. But this evaluation estimated a \$97 million recovery *before* the Referee dismissed the largest claim on the list, the 95 Wall Street claim, valued at \$49.5 million. And conspicuously, the worksheet overly optimistically assigned a 90% chance of recovery to this dismissed claim. This just points out the hazards of predicting outcomes in highly complex litigation.

Although Graubard did not provide this internal document to Lawrence in 2004, Chill informed her when they negotiated the revised retainer agreement that the recovery would probably be at least a few million dollars (enough to cover the capped hourly charges for 2005). Further, the estate's own expert witness testified that Graubard provided Lawrence a "tremendous amount of detail" concerning the various claims, including their likelihood of success and potential recoveries. As the Referee noted, "before the 2005 modified retainer agreement [Lawrence] had in her possession a lot of the information that [the Lawrence estate's expert] thinks she should have had at the time of that agreement."

Of course, in January 2005 neither Graubard nor Lawrence anticipated the size of the eventual recovery. They did not know that there was a "smoking gun" that would change the whole complexion of the estate litigation once it came to light. In sum, Graubard did not hide from Lawrence an anticipated recovery of over \$100 million, as was actually achieved.

2. Substantive Unconscionability

Agreements that are not unconscionable at inception may become unconscionable in hindsight, if “the amount becomes large enough to be out of all proportion to the value of the professional services rendered” (*King*, 7 NY3d at 191). A close reading of the cases that create this “hindsight” review, however, seem to limit the principle to a more narrow application. Although “[t]he word ‘unconscionable’ has frequently been applied to contracts made by lawyers for what were deemed exorbitant contingent fees,” what is meant is that “the amount of the fee, standing alone and unexplained, may be sufficient to show that an unfair advantage was taken of the client or, in other words, that a legal fraud was perpetrated upon him” (*Gair v Peck*, 6 NY2d 97, 106 [1959] [internal quotation marks and citation omitted]).

Absent incompetence, deception or overreaching, contingent fee agreements that are not void at the time of inception should be enforced as written (*Lawrence*, 11 NY3d at 596 n 4). As we further observed on the prior appeal in this case, “the power to invalidate fee agreements with hindsight should be exercised only with great caution” because it is not “unconscionable for an attorney to recover much more than he or she could possibly have earned at an hourly rate” (*id.*). In fact,

“the contingency system cannot work if lawyers do not sometimes get very lucrative fees, for that is what makes them willing to take the risk—a risk that often becomes reality—that they will do much work and earn nothing. If courts become too preoccupied with the ratio of fees to hours, contingency fee lawyers may run up hours just to justify their fees, or may lose interest in getting the largest possible recoveries for their clients” (*id.*).

[2] Whether \$44 million is an unreasonably excessive fee depends on a number of factors, primarily the risk to the attorneys and the value of their services in proportion to the overall fee. Here, Graubard undertook significant risk in entering into a contingency fee arrangement with Lawrence. The risk to an attorney in any retainer agreement is that the client may terminate it at any time, “leaving the lawyer no cause of action for breach of contract but only the right to recover on *quantum meruit* for services previously rendered” (*Gair*, 6 NY2d at 106). This danger is amplified in the context of a client who frequently

fires professionals (including attorneys), as Lawrence had done in the past and threatened to do once again.⁷

Beyond the ever-present risk that Lawrence would lose interest in the case or fire Graubard, the law firm faced the prospect that this decades-long litigation would drag on for several more years (as the Referee predicted might happen), through a lengthy trial and appeals, with the non-hourly fee as its only compensation for many hours of work. In just the five months after entering into the contingency fee arrangement, Graubard lawyers spent nearly 4,000 hours preparing for the trial in May 2005, the first of the many trials that were envisaged before the case so unexpectedly settled. In sum, Graubard ran the risk that its fees would not cover costs over a period of years, and that Lawrence would fire them or decide to drop the claims. Especially given a client who frequently castigated and ignored her lawyers, the law firm also took the chance that Lawrence would reject a settlement agreement that she was advised to accept, or, conversely, accept an offer that Graubard deemed to be unwise.

In addition to Graubard's risk in entering the revised retainer agreement, we also must consider the proportionality of the value of Graubard's services to the fee it now seeks. As we stated in the prior appeal, the value of Graubard's services should not be measured merely by the time it devoted to prosecuting the claims (*Lawrence*, 11 NY3d at 596 n 4). Rather, the value of Graubard's services (for the purpose of hindsight analysis) should be the \$111 million recovery it obtained for Lawrence.

We agree with Graubard that a hindsight analysis of contingent fee agreements not unconscionable when made is a dangerous business, especially when a determination of unconscionability is made solely on the basis that the size of the fee seems too high to be fair (*see In re Smart World Tech., LLC*, 552 F3d 228, 235 [2d Cir 2009] ["the fact that contingency fees may appear excessive in retrospect is not a ground to reduce them because early success by counsel is always a possibility capable of being anticipated" (internal quotation marks omitted)]). It is in the nature of a contingency fee that a lawyer, through skill or luck (or some combination thereof), may achieve a very favorable result in short order; conversely, the lawyer may put in many years of work for no or a modest reward. Most cases, of course,

7. Lawrence fired the first two law firms she retained to handle the estate litigation.

fall somewhere in between these two extremes (*see* Restatement [Third] of Law Governing Lawyers § 34, Comment c [2000] [“(a) contingent-fee contract . . . allocates to the lawyer the risk that the case will require much time and produce no recovery and to the client the risk that the case will require little time and produce a substantial fee. Events within that range of risks, such as a high recovery, do not make unreasonable a contract that was reasonable when made”]).

Finally, it bears reemphasizing that Lawrence was no naif. She was a competent and shrewd woman who made a business judgment that was reasonable at the time, but which turned out in retrospect to be disadvantageous, or at least less advantageous than it might have been.⁸ As a general rule, we enforce clear and complete documents, like the revised retainer agreement, according to their terms (*see Vermont Teddy Bear Co. v 538 Madison Realty Co.*, 1 NY3d 470, 475 [2004]).

III

The Gifts

The parties agree that the longest relevant period of limitations with respect to the Lawrence estate’s claims for refund of the gifts is six years (*see* CPLR 213 [1] [the catchall six-year statute of limitations]). These claims are therefore time-barred unless the statute of limitations is tolled by the continuous representation rule or doctrine.

The two prerequisites for continuous representation tolling are a claim of misconduct concerning the manner in which professional services were performed, and the ongoing provision of professional services with respect to the contested matter or transaction (*see Williamson v PricewaterhouseCoopers LLP*, 9 NY3d 1, 9, 11 [2007] [the doctrine is inapplicable where “plaintiff’s allegations establish defendant’s failures within a continuing professional relationship, not a course of representation as to the particular problems (conditions) that gave rise to plaintiff’s malpractice claims”]; *McCoy v Feinman*, 99 NY2d 295, 306 [2002] [continuous representation tolling applies “only where there is a mutual understanding of the need for further

8. Lawrence did, after all, recover over \$100 million. This sum far exceeded her reasonable expectations at the time she entered into the revised retainer agreement. She just had to share more of the windfall with her lawyers than would have been the case if she had not sought to change the original hourly fee arrangement.

representation on the specific subject matter underlying the malpractice claim”]; accord *Shumsky v Eisenstein*, 96 NY2d 164, 167-168 [2001] [continuous representation tolling applies “only where the continuing representation pertains specifically to the matter in which the attorney committed the alleged malpractice”]; *Glaum*, 57 NY2d at 94 [the application of the continuous representation rule is “limited to situations in which the attorney who allegedly was responsible for the malpractice continues to represent the client in that case”]). The rule does not apply to a continuing general relationship between a client and professional (*Williamson*, 9 NY3d at 9).

There is a difference between an attorney’s alleged malfeasance in the provision of professional services on his client’s behalf, and a dispute between an attorney and his client over a financial transaction, such as legal fees or, in this case, a gift. Simply put, when an attorney engages in a financial transaction *with* a client, by charging a fee or, as in this case, accepting a gift, the attorney is not representing the client in that transaction *at all*, much less representing the client continuously with respect to “the particular problems (conditions) that gave rise to plaintiff’s malpractice claims” against the attorney (*id.* at 11). The attorney and client are engaging in a transaction that is separate and distinct from the attorney’s rendition of professional services on the client’s behalf (see e.g. *Woyciesjes*, 151 AD2d at 1014-1015 [rejecting applicability of the continuous representation doctrine to the plaintiff’s claim that his former attorney improperly charged him a fee of 50% rather than one third]).

[3] We have never endorsed continuous representation tolling for disputes between professionals and their clients over fees and the like, as opposed to claims of deficient performance where the professional continues to render services to the client with respect to the objected-to matter or transaction. Nor do the rationales underlying continuous representation tolling support its extension beyond current limits.

Two rationales inform the rule. First, a layperson “realistically cannot be expected to question and assess the techniques employed or the manner in which [professional] services are rendered”; specifically, a client cannot “be expected, in the normal course, to oversee or supervise the attorney’s handling of the matter” (*Greene v Greene*, 56 NY2d 86, 94 [1982]). Thus, the client should not be burdened with the obligation to identify the professional’s errors in the midst of the representation as

“[t]he client is hardly in a position to know the intricacies of the practice or whether the necessary steps in the action have been taken” (*Siegel v Kranis*, 29 AD2d 477, 480 [2d Dept 1968]). Relatedly, a client cannot be “expected to jeopardize his pending case or his relationship with the attorney handling that case during the period that the attorney continues to represent the person” as to the matter giving rise to the malpractice claim (*Glaum*, 57 NY2d at 94). Second, a client who becomes aware of an error should not be required to sue immediately since that would only “interrupt corrective efforts” (*Borgia v City of New York*, 12 NY2d 151, 156 [1962] [establishing the continuous treatment rule for medical malpractice]).

When a client pays a lawyer or gives the lawyer a gift, the lawyer is not—in that transaction—“perform[ing] legal services on the [client’s] behalf” (*Greene*, 56 NY2d at 95). As a result, requiring the client to dispute the payment or seek return of the gift within the ordinary limitations period does not force a layperson to undertake actions that he is ill-equipped to carry out; i.e., to “question and assess the techniques employed” by the professional, or evaluate “the manner in which the services are rendered” or “oversee or supervise the attorney’s handling of the matter” (*id.* at 94). Notably, clients are obligated to review attorney’s invoices on a timely basis, rather than wait until the representation ends before raising objections (*see Whiteman, Osterman & Hanna, LLP v Oppitz*, 105 AD3d 1162, 1163 [2013] [an attorney or law firm may recover on a cause of action for an account stated “with proof that a bill, even if unitemized, was issued to a client and held by the client without objection for an unreasonable period of time(,) (and) need not establish the reasonableness of the fee since the client’s act of holding the statement without objection will be construed as acquiescence as to its correctness” (internal quotation marks omitted)]).

Second, unlike ongoing professional matters, disputes over fees or gifts involve no “mutual understanding of the need for further representation” regarding that transaction (*McCoy*, 99 NY2d at 306). Since the disputed act is not the subject of any prior or ongoing representation, there is no risk that contesting a payment or seeking return of a gift would interrupt “corrective efforts” (*Borgia*, 12 NY2d at 156). Delaying litigation would therefore not permit the attorney to “correct his or her malpractice,” and so avoid suit (*McDermott v Torre*, 56 NY2d 399, 408 [1982]). There was certainly no “mutual understanding of the need for further representation” regarding the gifts, as the

attorneys did not represent Lawrence with respect to the gifts in the first place. Similarly, having done nothing on the client's behalf in the gift transaction, there was nothing for the attorneys to correct through provision of ongoing professional services. Consequently, "the purpose[s] underlying the continuous representation doctrine would not be served by its application here" (*Williamson*, 9 NY3d at 11).

The estate portrays our decision in *Greene* as indicating that the continuous representation doctrine applies to all types of claims by clients against attorneys. In *Greene*, a lawyer who drafted an agreement and then acted as trustee and attorney under the agreement was sued by the trust beneficiary for mismanaging trust assets entrusted to him "for professional assistance" (56 NY2d at 94). We observed that the continuous representation rule was not confined to negligence claims, meaning merely that the doctrine could toll equitable, as well as legal claims. As we stated,

"[t]he [doctrine's] operative principle may also be applicable in other situations, including claims for equitable relief. A client who entrusts his assets to an attorney for professional assistance often faces the same dilemma as the client who entrusts his case to an attorney for possible litigation. In neither instance can the client be expected, in the normal course, to oversee or supervise the attorney's handling of the matter, and thus in neither case is it realistic to say that the client's right of action accrued before he terminated the relationship with the attorney" (*id.* at 94-95 [citation omitted]).

Additionally, although the attorneys' acceptance of the checks may fairly be (and has been) characterized in many unflattering ways, they did not thereby engage in self-dealing, as the Appellate Division commented. Self-dealing occurs when an attorney (or other fiduciary) takes advantage of his position in a transaction and acts in his own interests rather than in the best interests of the client. Continuous representation tolling can apply to claims of self-dealing, but only where its basic elements—a disputed transaction that is the subject of ongoing professional representation—are present (*see Greene, supra*; *see also Schlanger v Flaton*, 218 AD2d 597 [1st Dept 1995] [client alleged that his attorney violated professional and fiduciary obligations when he prepared lease agreements and entered into contracts on behalf of the client in properties in which the attorney personally maintained an interest]).

In sum, we decline to expand the continuous representation rule to encompass a financial dispute between a professional and his client. To do so would fundamentally alter the doctrine, which requires a claim of misconduct concerning the manner in which professional services were performed, and the ongoing provision of professional services with respect to the complained-of matter or transaction. Because the statute of limitations is not tolled by the continuous representation rule, the Lawrence estate's claims seeking to recoup the gifts are time-barred.

We have reviewed the Lawrence estate's remaining arguments and consider them to be unavailing. Accordingly, the order of the Appellate Division should be reversed, with costs, the matter remitted to Surrogate's Court for entry of a decree in accordance with this opinion, and the certified question answered in the negative.

RIVERA, J. (concurring in part and dissenting in part). I concur with the majority that the retainer agreement is enforceable. However, I disagree with the majority that the estate's claim seeking a return of the gifts is untimely, and therefore I dissent from this portion of the opinion. I would hold that the continuous representation doctrine tolled the estate's claim. As the Special Referee stated, which the Surrogate confirmed, "the nexus between the attorneys' conduct complained of (the 1998 gifts) and the subject of their representation both before and for many years afterward is sufficient to apply the continuing representation doctrine for tolling purposes" (see Ref Rep Estate of Alice Lawrence's Motion for Partial Summary Judgment and Cross Motions of Graubard Miller and of Defendants C. Daniel Chill, Elaine M. Reich and Steven Mallis for Partial Summary Judgment, Sept. 23, 2009 at 18; *Matter of Lawrence*, Sur Ct, NY County, Oct. 1, 2009, Webber, S.). Additionally, as the Appellate Division noted, "the doctrine applies where, as here, the claims involve self-dealing at the expense of a client in connection with a particular subject matter" (*Matter of Lawrence*, 106 AD3d 607, 608 [1st Dept 2013]).

As to the merits, I would hold that the challenged gifts are not valid for the reasons stated by the Appellate Division and the Surrogate, except insofar as the Surrogate suggests that Mrs. Lawrence's age, by itself, is a factor weighing against finding the gifts were freely given (see *Matter of Lawrence*, Sur Ct, NY County, Sept. 8, 2011, Anderson, S.). Moreover, the attorneys' failure to act in a manner that comported with ethical

considerations and their fiduciary duties lends additional support for finding these gifts invalid.

First, the attorneys acted in a manner that suggests they elevated their own interests above those of their clients. Both the Appellate Division and Referee noted that the attorneys came up short of their ethical obligations (*see Lawrence*, 106 AD3d at 608-609 [“the secrecy surrounding the gifts, and their extraordinary amounts, which the individual defendants accepted without advising the widow to seek independent counsel, preclude a finding in the individual defendants’ favor”]), citing Code of Professional Responsibility EC 5-5). As the Referee concluded, the attorneys violated Code of Professional Responsibility EC 5-5 by “failing to advise Alice to ‘secure advice from an independent, competent person cognizant of all the circumstances’ ” (Ref Rep on the Oct. 5, 2009 Hearing, Aug. 27, 2010 at 31, citing Code of Professional Responsibility EC 5-5). I agree with the Appellate Division that this was not the determining factor. However, even if such a violation was not a per se basis for invalidating the gifts, it suggests that the attorneys were more concerned with their own interests in the money than with ensuring Mrs. Lawrence’s gift was “fair and fully intended” (*Radin v Opperman*, 64 AD2d 820, 820 [4th Dept 1978], citing *Nesbitt v Lockman*, 34 NY 167, 169-170 [1866], *Howland v Smith*, 9 AD2d 197, 199-200 [3d Dept 1959], *Reoux v Reoux*, 3 AD2d 560, 562-564 [3d Dept 1957], *Snook v Sullivan*, 53 App Div 602, 606-607 [4th Dept 1900], *Matter of Bartel*, 33 AD2d 987 [4th Dept 1970], and *Matter of Eckert*, 93 Misc 2d 677, 679-681 [Sur Ct, NY County 1978]). This is not mere speculation as to the attorneys’ motivation, for here the attorneys failed to even investigate their ethical duties to the Lawrence children, further suggesting the primacy of their personal interests.

Second, the attorneys may have had an ethical responsibility to disclose the gifts because Mrs. Lawrence was not their sole client. As the record establishes, the estate’s expert and Graubard’s expert each agreed that the attorneys had an ethical duty to disclose the gifts to the Lawrence children. The experts testified that because the gifts were made by a co-client, disclosure was necessary to allow the children to assess potential conflicts raised by the gifts so that they might determine whether the attorneys were able to continue providing them with zealous representation, untainted by these life-altering gifts. Third, the gifts implicated the attorneys’ fiduciary duties to the firm’s partners regarding their shared compensation. All

of this suggests that there was a significant question as to whether the attorneys could comply with their ethical and fiduciary duties while at the same time maintain the silence Mrs. Lawrence demanded and expected as a caveat to her generosity. Thus, they should have informed Mrs. Lawrence that their obligations as attorneys might well require them to disclose the gifts. Having failed to do so, knowing all the while that maintaining secrecy about the gifts was important to Mrs. Lawrence, it would seem that she was deprived of information necessary to make a truly informed and voluntary choice (*see Radin*, 64 AD2d at 820; *Matter of Henderson*, 80 NY2d 388, 392-393 [1992]; *Howland*, 9 AD2d at 199; *Nesbitt*, 34 NY at 169-170).

Chief Judge LIPPMAN and Judges GRAFFEO and PIGOTT concur; Judge RIVERA dissents in part in an opinion; Judges SMITH and ABDUS-SALAAM taking no part.

Order reversed, with costs, matter remitted to Surrogate's Court, New York County, for entry of a decree in accordance with the opinion herein, and certified question answered in the negative.

[23 NE3d 955, 998 NYS2d 688]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v TYRONE SWEAT, Respondent.

Argued September 16, 2014; decided October 28, 2014

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Erie County Court (Thomas P. Franczyk, J.), dated January 15, 2013. The County Court affirmed an order of the City Court of Buffalo, Erie County (Susan M. Eagan, J.), which had dismissed on double jeopardy grounds an information charging defendant with two counts of criminal contempt in the second degree.

HEADNOTE

Crimes — Double Jeopardy — Characterization of Prior Contempt Determination

Defendant's confinement during the course of his brother's criminal trial for refusing to testify despite having testified against him at a grand jury proceeding for which defendant received transactional immunity did not constitute punishment for double jeopardy purposes so as to bar a subsequent prosecution for contempt under the Penal Law. In determining the proper legal characterization of a contempt determination under the Judiciary Law for purposes of a double jeopardy analysis, what matters is the character and purpose of the actions of the court imposing contempt. Whether a court labels the contempt as "criminal" or "civil" is of no moment. Rather, where the purpose is to coerce compliance rather than a definite term of imprisonment and punishment, the contempt is not punitive in nature. County Court's statements to defendant, his counsel and the People established that the character and purpose of the contempt determination, and defendant's confinement during the course of his brother's criminal trial, were remedial. Most significantly, even after holding defendant in contempt, the court continued to inquire of defendant and his counsel whether defendant was willing to testify, indicating that defendant still had an opportunity to comply with the law. As conditional imprisonment is based entirely upon the contemnor's continued defiance, defendant held the keys to his release. Moreover, for a court to summarily punish contempt, the Judiciary Law requires issuance of an order "stating the facts which constitute the offense" and "plainly and specifically prescribing the punishment to be inflicted" (Judiciary Law § 755). Notably absent from County Court's order of contempt was a plain and specific statement of the punishment to be imposed upon defendant.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Contempt §§ 85, 86, 88, 184.

CARMODY-WAIT 2d, Contempt Proceedings §§ 140:23,
140:61–140:63, 140:87.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 25.1.

McKINNEY'S, Judiciary Law § 755.

NY JUR 2d, Contempt §§ 13, 17, 57, 58, 71, 138, 148, 203.

ANNOTATION REFERENCE

See ALR Index under Contempt; Double Jeopardy; Witnesses.

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POINTS OF COUNSEL

Frank A. Sedita, III, District Attorney, Buffalo (Nicholas T. Texido and Donna A. Milling of counsel), for appellant. County Court's finding of contempt was primarily remedial instead of punitive. Thus, criminal prosecution of defendant was not barred by the Double Jeopardy Clause. (*Blockburger v United States*, 284 US 299; *People v Vasquez*, 89 NY2d 521; *People v Colombo*, 31 NY2d 947; *People v Wood*, 95 NY2d 509; *Menna v New York*, 423 US 61; *People v Matra*, 42 AD2d 865; *Matter of Capio v Justices of Supreme Ct., Kings County*, 41 AD2d 235, 34 NY2d 603; *People v Ruggiano*, 39 AD2d 113; *Hicks v Feiock*, 485 US 624; *United States v Winter*, 70 F3d 655.)

The Abbatoy Law Firm, PLLC, Rochester (David M. Abbatoy of counsel), and John R. Nucherenno, Buffalo, for respondent. County Court found respondent in criminal contempt and held him in custody to punish respondent for obstructing the proceedings and impairing the court's authority. Therefore, criminal prosecution of respondent for the same conduct was properly barred by the Double Jeopardy Clause in the courts below. (*Matter of Rubackin v Rubackin*, 62 AD3d 11; *Matter of McCormick v Axelrod*, 59 NY2d 574; *Matter of Sentry Armored Courier Corp. v New York City Off-Track Betting Corp.*, 75 AD2d 344; *People v Ruggiano*, 39 AD2d 113; *Blockburger v United States*, 284 US 299; *Matter of Douglas v Adel*, 269 NY 144; *Matter of Rotwein [Goodman]*, 291 NY 116; *People v Colombo*, 31 NY2d 947; *Matter of Capio v Justices of Supreme Ct., Kings County*, 34 NY2d 603; *People v Boston*, 3 Misc 3d 1107[A], 2004 NY Slip Op 50484[U].)

OPINION OF THE COURT

RIVERA, J.

The People appeal from an order of the Erie County Court dismissing, on double jeopardy grounds, an information charg-

ing defendant Tyrone Sweat with two counts of criminal contempt in the second degree (Penal Law § 215.50 [4]). We hold that where a court subjects a defendant to conditional imprisonment in an attempt to compel defendant to testify, and does not otherwise adjudicate defendant to be in criminal contempt or impose punishment that is criminal in nature, double jeopardy will not bar a subsequent prosecution for contempt under the Penal Law. Accordingly, we reverse.

I

On the morning of February 23, 2012, defendant refused to testify at the trial of his brother, Michael Sweat, in Erie County Court. Defendant had previously testified at a grand jury proceeding against his brother and received transactional immunity. Thus, defendant could claim no Fifth Amendment privilege against testifying at trial. When the Assistant District Attorney asked defendant to explain the grounds for his refusal, he replied “I don’t want to, so I don’t.” The court explained transactional immunity and informed defendant that the law required him to testify, but defendant continued to refuse.

The court also warned defendant that if he refused to testify the People would likely seek contempt, to which the People stated “[w]e’ll ask that [defendant] be cited for civil contempt and confined until he agrees to testify or until the end of the proceeding, and also we’ll charge him with criminal contempt for refusing to be sworn and testify.” The court then inquired of defendant if he understood the consequences of his actions and defendant indicated that he did. The court then cited defendant for contempt and ordered him to be taken into custody. Referring to the People’s future actions against defendant, the court stated that it “[m]ight be a good idea to give [defendant] a lawyer if you’re going to charge him with a criminal charge,” to which the People agreed.

Later that same day, during the court’s afternoon session, assigned counsel appeared on behalf of defendant and advised the court that he had discussed the matter with defendant, and that defendant still refused to testify. The court called defendant to the courtroom, explained to defendant once more that he had immunity and was obliged to speak, and again asked him if he refused to do so. Defendant reiterated that he was unwilling to testify. The court pressed the issue and asked if defendant had

any explanation for his refusal to testify. Defendant stated he had nothing to say and just did not want to testify.

The court then declared:

“I find you’re in contempt in my immediate view and presence for engaging in conduct which has obstructed and threatened to obstruct these proceedings and impair its authority -- my authority to preside over these proceedings and, therefore, I will issue a mandated commitment. And he’ll be taken into custody. . . . [D]epending on how long this goes and where we are from here and whether or not the People bring any charge of criminal contempt, we’ll proceed further with this matter within the next day or so.”

The court immediately inquired about the criminal charges, and the People informed the court that they intended to “file the criminal charges before the end of the trial.” The court remarked that “obviously, you don’t stay in jail forever on a contempt proceeding.” The court informed defendant that he was going to be confined until the proceedings were completed, when there would be a “determination at that point as to what punishment, if any, [would] be meted out.” The court also advised defendant’s counsel, in defendant’s presence, that if defendant needed to speak with counsel, and counsel needed to communicate with the court, that counsel should “feel free to do so.”

The next day, before continuing with the trial of defendant’s brother, the court confirmed with counsel that defendant still refused to testify. Counsel so confirmed, and the People requested that the court produce defendant to establish his refusal on the record. Upon defendant’s return to the courtroom, the court again asked defendant if anything had changed since the previous day and whether he was still refusing to testify. After defendant confirmed he would not testify, he was taken back into custody.

That same day, Michael Sweat’s trial ended in an acquittal. Upon hearing from the People that no criminal charges had been filed against defendant, the court immediately executed an order releasing defendant from custody.

Less than a month later the People charged defendant by information in Buffalo City Court with two counts of criminal contempt in the second degree (Penal Law § 215.50 [4]), stem-

ming from his refusal to testify at his brother's trial. As relevant to this appeal, defendant moved, *inter alia*, to dismiss on double jeopardy grounds.

City Court granted the motion and dismissed the charges, finding County Court's prior contempt determination to be criminal in nature as having been made during the course of a criminal trial and necessarily imposed under the Judiciary Law's criminal contempt provision. The contempt adjudication and the charges under the Penal Law having been based on the same conduct, City Court determined the charges were therefore barred by double jeopardy.

Erie County Court, then sitting as the intermediate appellate court, affirmed. County Court described the contempt proceedings as a "hybrid combination of both criminal and civil characteristics," but found that the proceedings were criminal in nature because the court ordered defendant's confinement, and in so doing relied on language found in the criminal contempt provisions of the Judiciary Law (*see* Judiciary Law § 750 [A] [1]).

A Judge of this Court granted the People leave to appeal (21 NY3d 1010 [2013]). We now reverse.

II

The People argue that defendant was neither tried nor prosecuted, but instead was "temporarily held in contempt" for the remedial purpose of coercing defendant to testify in court. Therefore, the court's summary contempt proceeding does not constitute punishment for double jeopardy purposes, or bar prosecution for criminal contempt under the Penal Law.

Defendant responds that the court exercised its authority under the criminal provisions of the Judiciary Law to hold him in criminal contempt. He further argues that his confinement, pursuant to the court issued mandate of commitment, constitutes punishment for obstructing the court's proceedings and impairing its authority. Therefore, the contempt is criminal in nature and his prosecution under Penal Law § 215.50 is barred by double jeopardy.

Essentially the People and defendant dispute whether the purpose for the court's contempt finding and defendant's confinement was to punish defendant for his refusal to testify at his brother's trial. While the People base their argument on the character of the contempt and its intent to compel a defend-

ant's obedience to the law, the defendant relies on a narrow interpretation of the Judiciary Law which ignores the purpose of the contempt. Under defendant's approach, contempt is criminal in nature by the mere fact of a court's invocation of language found in the law's criminal contempt provisions, regardless of actions by the court indicating the contempt was intended to be remedial. We reject the defendant's invitation to read the statute in a way that undermines settled constitutional principles, and agree with the People that defendant's confinement did not constitute punishment for double jeopardy purposes.

III

This appeal illustrates the confusion attendant to the proper legal characterization of a contempt determination under our Judiciary Law. That confusion is compounded when, as in the case before us, a defendant is also prosecuted for criminal contempt under the Penal Law. The opinions of the City Court and County Court, as well as the arguments propounded by the People and defendant, illustrate the challenges faced by those seeking to bring coherence to this area of the law. The courts and the parties here struggled with whether the contempt determination was more appropriately labeled "civil" or "criminal." As we discuss below, for purposes of a double jeopardy analysis, labels are not dispositive; what matters is the "character and purpose" of the actions of the court imposing contempt. As explained by the United States Supreme Court, "[t]he test may be stated as: what does the court primarily seek to accomplish by imposing sentence?" (*Shillitani v United States*, 384 US 364, 370 [1966].)

We begin our discussion with a brief description of the law, specifically the relevant contempt provisions of the Judiciary and Penal Laws, and select judicial decisions, including decisions from the Supreme Court of the United States, explicating the proper approach to constitutional limitations on contempt proceedings.

A. Judiciary Law Article 19

Article 19 of the Judiciary Law authorizes a court to punish a person for "criminal" or "civil" contempt, and permits adjudication and sentence by way of summary proceeding. The court determines which provisions of the Judiciary Law apply and which to invoke based on the contemnor's conduct and the requirements of the statute.

Section 750, titled "Power of courts to punish for criminal contempts," limits a court's power to punish for criminal contempt a person who commits any of the specifically enumer-

ated actions set forth in this provision “and no others” (§ 750 [A]). Under this section a court may hold a person in criminal contempt for “[d]isorderly, contemptuous, or insolent behavior, committed during its sitting, in its immediate view and presence, and directly tending to interrupt its proceedings, or to impair the respect due to its authority” (§ 750 [A] [1]); “[b]reach of the peace, noise, or other disturbance, directly tending to interrupt its proceedings” (§ 750 [A] [2]); “[w]ilful disobedience to its lawful mandate” (§ 750 [A] [3]); “[r]esistance wilfully offered to its lawful mandate” (§ 750 [A] [4]); “[c]ontumacious and unlawful refusal to be sworn as a witness; or, after being sworn, to answer any legal and proper interrogatory” (§ 750 [A] [5]); “[p]ublication of a false, or grossly inaccurate report of its proceedings [except] a court [cannot] punish as a contempt, the publication of a true, full, and fair report of a trial, argument, decision, or other proceeding therein” (§ 750 [A] [6]); or “[w]ilful failure to obey any mandate, process or notice issued pursuant to articles sixteen, seventeen, eighteen, eighteen-a or eighteen-b of the judiciary law . . . or subjection of an employee to discharge or penalty on account of his absence from employment by reason of jury or subpoenaed witness service” (§ 750 [A] [7]).

By way of punishment, section 751 authorizes a fine not exceeding \$1,000, incarceration not more than 30 days, or both. Where a person is committed for contempt pursuant to section 751, the court must issue a mandate of commitment, setting forth the “particular circumstances of [the contemnor’s] offense” as required under section 752.

Section 753, titled “Power of courts to punish for civil contempts,” allows a court “power to punish, by fine and imprisonment, or either, a neglect or violation of duty, or other misconduct, by which a right or remedy of a party to a civil action or special proceeding, pending in the court may be defeated, impaired, impeded, or prejudiced” in instances, e.g., where an individual disobeys a lawful mandate of the court (§ 753 [A] [1]), involving nonpayment of a sum of money adjudged by the court to be paid (§ 753 [A] [3]), or where an individual refuses a court’s lawful mandate to testify (§ 753 [A] [5]).¹

The Judiciary Law permits a court to punish for “criminal” or “civil” contempt in a summary proceeding (*see* Judiciary

1. Further, the Judiciary Law provides a unique remedy for cases arising out of labor disputes. Section 753-a (1) applies specifically in cases “aris[ing]

(n. cont’d)

Law §§ 754, 755). Section 755 provides that “[w]here the offense is committed in the immediate view and presence of the court, or of the judge or referee, upon a trial or hearing, it may be punished summarily.” Under this section, the judge or referee must issue an order “stating the facts which constitute the offense and which bring the case within the provisions of this section, and plainly and specifically prescribing the punishment to be inflicted therefor.”

The Judiciary Law provides that a person held in contempt may also be criminally prosecuted and the prior contempt may be considered for sentencing purposes. Thus, “[a] person, punished as prescribed in this article, may, notwithstanding, be indicted for the same misconduct, if it is an indictable offense; but the court, before which he is convicted, must, in forming its sentence, take into consideration the previous punishment” (Judiciary Law § 776).

B. Criminal Contempt under the Penal Law

Contempt may also be a crime punishable under New York’s Penal Law (*see generally* Penal Law §§ 215.50 [second degree], 215.51 [first degree], 215.52 [aggravated]).² The language of Penal Law § 215.50, the section under which defendant was charged, closely resembles its Judiciary Law counterpart, making unlawful, *inter alia*, “[d]isorderly, contemptuous, or insolent behavior, committed during the sitting of a court” (§ 215.50 [1]); “[i]ntentional disobedience or resistance to the lawful process or other mandate of a court” (§ 215.50 [3]); or “[c]ontumacious and unlawful refusal to be sworn as a witness in any court proceeding or, after being sworn, to answer any legal and proper interrogatory” (§ 215.50 [4]).

As with Judiciary Law § 776, the Penal Law similarly states that an adjudication of criminal contempt under the Judiciary Law serves as no bar to prosecution for criminal contempt. Penal Law § 215.54 provides:

out of any failure or refusal to obey any mandate of a court contained in or incidental to an injunction order granted by such court in any case involving or growing out of a labor dispute” and provides that a court cannot punish for contempt except after “a trial by jury to which the defendant shall be entitled as a matter of right.”

2. Penal Law § 215.51 criminalizes, in addition to what is proscribed by section 215.50, the intentional disobedience of a court imposed order of protection by intimidation, harassment or the use or threat of violence (§ 215.51 [b] *et seq.*). Penal Law § 215.52 makes the repeated contemnor subject to a class D felony.

“Adjudication for criminal contempt under subdivision A of section seven hundred fifty of the judiciary law shall not bar a prosecution for the crime of criminal contempt under section 215.50 based upon the same conduct but, upon conviction thereunder, the court, in sentencing the defendant shall take the previous punishment into consideration.”

Thus, the legislature has made clear its intent, as a pure statutory matter, that a person may be subject to punishment pursuant to a finding of contempt under the Judiciary Law, as well as a criminal prosecution under the Penal Law.

C. Judicial Decisions

Constitutional and statutory prohibitions barring double jeopardy shield a defendant from multiple criminal punishments arising from the same offense (*see* US Const Amend v [“nor shall any person be subject for the same offence to be twice put in jeopardy”]; NY Const, art I, § 6 [“No person shall be subject to be twice put in jeopardy for the same offense”]; *see also* CPL 40.20 [1] [“A person may not be twice prosecuted for the same offense”]; *People v Wood*, 95 NY2d 509, 513 [2000] [imposition of multiple criminal punishments for the same offense is barred by the Double Jeopardy Clause]). Double jeopardy has a particular application to contempt matters and bars a subsequent prosecution where a prior contempt sentence serves a punitive rather than remedial purpose (*see Colombo v New York*, 405 US 9 [1972]).

The test for determining whether contempt is of the type that constitutes punishment in a constitutional sense is well articulated in *Shillitani*, and its companion case, *Pappadio v United States*. There, defendants were each incarcerated for their respective refusals to answer certain questions before the same grand jury (*Shillitani*, 384 US at 365-366). Both defendants were found guilty of criminal contempt, and each sentenced to two years’ imprisonment, subject to a “purge clause” that permitted defendants’ release if they answered the questions before the end of their respective sentences (*id.*). The United States Supreme Court rejected defendants’ claims that they were confined without the benefit of indictment or jury trial, holding that the sentences were conditional, and therefore the actions constituted civil contempt proceedings not subject to the constitutional safeguards of indictment or jury trial (*id.* at 372).

Essential to the Court’s decision was its determination that despite its obvious punitive aspects, imprisonment serves a remedial purpose “if the court conditions release upon the

contemnor's willingness to testify" (*id.* at 370, citing *Nye v United States*, 313 US 33, 42-43 [1941]). For, "[i]t is not the fact of punishment but rather its character and purpose that often serve to distinguish' civil from criminal contempt" (*id.* at 369, quoting *Gompers v Bucks Stove & Range Co.*, 221 US 418, 441 [1911]). Where a defendant is held in contempt for the remedial purpose of compelling compliance, imprisonment continues until such time as the contemnor acquiesces or is no longer able to do so (*see Shillitani*, 384 US at 371). Once the contemnor agrees, there is no remedial purpose to be served by continued confinement. Contemnors, therefore, hold "the keys of their prison in their own pockets" (*id.* at 368).

In contrast, where a contemnor is sentenced to imprisonment for a definite period which cannot be affected—that is, ended—by the contemnor's compliance with the law, then the contempt is not remedial but punitive. As the Supreme Court has stated, "[i]f the sentence is limited to imprisonment for a definite period, the defendant is furnished no key, and [the defendant] cannot shorten the term by promising not to repeat the offense" (*Gompers*, 221 US at 442-443).

The Court reaffirmed these principles in *Hicks v Feiock* (485 US 624, 632 [1988]). There, defendant challenged on due process grounds his contempt adjudication and subsequent incarceration for failure to make child support payments (*id.* at 628). Ultimately, the Court found the record too underdeveloped and remanded (*id.* at 640-641). However, the Court restated the legal rules applicable to determining the character of contempt and noted that "[i]f the relief provided is a sentence of imprisonment, it is remedial if 'the defendant stands committed unless and until he performs the affirmative act required by the court's order,' and is punitive if 'the sentence is limited to imprisonment for a definite period' " (*id.* at 632, quoting *Gompers*, 221 US at 442).

Addressing a double jeopardy challenge to our Judiciary Law, the United States Supreme Court made clear that it is the nature of the contempt that matters. In *Colombo*, the court found defendant in contempt for his refusal to testify before a grand jury after being granted immunity. The court sentenced the defendant to 30 days' imprisonment and a \$250 fine. When defendant's appellate challenge proved fruitless, he offered to testify. When his offer was refused, defendant paid his fine and served his sentence. Subsequently, the People indicted the defendant under the Penal Law. Defendant unsuccessfully chal-

lenged his indictment on double jeopardy grounds, and this Court affirmed (*People v Colombo*, 25 NY2d 641 [1969]).

The Supreme Court reversed and concluded that the trial court's determination constituted a judgment for "criminal contempt" within the meaning of the Double Jeopardy Clause because "[the] petitioner was sentenced to a definite term in jail and ordered to pay a fine, and neither the prosecutor nor the trial court considered his offer to testify as sufficient to foreclose execution of the sentence" (*Colombo*, 405 US at 10-11). Thus, the contempt decision was not remedial but punitive, designed to inflict a sanction for past conduct rather than to compel the petitioner's testimony in the future.³

It is, thus, well settled that the character and purpose are the central inquiry in deciding whether double jeopardy bars a criminal prosecution based on actions that resulted in a previous contempt adjudication and sentence. Whether a state court labels the contempt as "criminal" or "civil" is of no moment. As the Supreme Court stated in *Hicks*, "the labels affixed either to the proceeding or to the relief imposed under state law are not controlling" (*Hicks*, 485 US at 631).

In *Wood* we applied the teaching of *Hicks*, noting that we rely on the court's purpose, not descriptive labels, when determining the nature of contempt for double jeopardy purposes (*Wood*, 95 NY2d at 513 n 3). Where such purpose is to coerce compliance rather than a definite term of imprisonment and punishment, the contempt is not punitive in nature (*id.*). Statements in our prior cases that under the Judiciary Law civil contempt is intended to be remedial, while criminal contempt is intended to punish, are not at odds with an analysis that focuses on the actual character and purpose of the contempt. These cases must be understood to address the actual adjudication and imposition of contempt, apart from the labels attached to those actions (*see*

3. The defendant seeks to distinguish federal precedent by arguing that criminal contempt may be purged in New York, relying on *People v Leone* (44 NY2d 315 [1978 per curiam]). However, the Court in *Leone* specifically left open that very question. Moreover, we do not see how this argument furthers the defendant's position. The People argue that defendant could have sought release from custody by testifying, and thus the contempt was remedial and not punishment of the type that bars his future criminal prosecution. Defendant's contention that criminal contempt may be purged in New York, thus relieving defendant of the court's contempt determination, appears to support the People's argument that the purpose of the contempt was to coerce the defendant into testifying at his brother's trial, and supports the People's case for reversal.

e.g. State of New York v Unique Ideas, 44 NY2d 345 [1978]; *Matter of Department of Env'tl. Protection of City of N.Y. v Department of Env'tl. Conservation of State of N.Y.*, 70 NY2d 233 [1987]).

IV

Upon the record before us, we conclude that County Court did not summarily adjudicate and impose a punitive sentence upon defendant for criminal contempt under the Judiciary Law. County Court's statements and conduct, as well as its lack of compliance with applicable sections of the law, persuade us that it did not impose punishment for criminal contempt under any statutory authority to do so.

The court's statements to defendant, his counsel and the People establish that the "character and purpose" of the contempt determination, and defendant's confinement during the course of his brother's criminal trial, were remedial. Most significantly, even after holding defendant in contempt, the court continued to inquire of defendant and his counsel whether defendant was willing to testify, indicating that defendant still had an opportunity to comply with the law. For example, the morning immediately following the court's declaration of contempt, the court delayed the brother's criminal trial to inquire of counsel and defendant whether defendant would testify. The only conclusion to be drawn from the court's question to defendant as to whether anything had "changed since yesterday" is that it held out the possibility that something had changed, and that defendant's confinement persuaded him to testify. As "conditional imprisonment" is "based entirely upon the contemnor's continued defiance," the defendant held the keys to his release (*see Shillitani*, 384 US at 370-371).

For a court to summarily punish contempt, our Judiciary Law requires issuance of an order "stating the facts which constitute the offense" and "*plainly and specifically prescribing the punishment to be inflicted*" (Judiciary Law § 755 [emphasis added]). Notably absent from County Court's order of contempt here is a plain and specific statement of the punishment to be imposed upon defendant. The record reveals that the court issued a mandate of commitment and that defendant was confined pursuant to that mandate; nowhere does the record indicate the precise term of commitment.

The uncertainty of the duration of the underlying summary contempt proceeding forecloses a finding that defendant's

confinement constitutes, as a matter of law, a sentence of a definite term of imprisonment. We reject the approach taken by the intermediate appellate court that found the earlier contempt proceeding “never formally pronounced sentence,” but nevertheless treated defendant’s release at the end of his brother’s criminal trial as “tantamount to a sentence of time served.” That interpretation is at odds with the language of the Judiciary Law, which states that the order must set forth the punishment “plainly and specifically” (Judiciary Law § 755). To find a punitive sentence under section 755 where none was imposed we would also have to ignore the record, which indicates that the judge did not order defendant’s confinement as punishment for defendant’s contempt.

Compliance with this statutory requirement is indispensable and provides a reviewing court with the basis for the finding and sentence of contempt (*see e.g. Matter of Lynch v Derounian*, 41 AD2d 740, 741 [2d Dept 1973] [“A written order is indispensable to a review of a contempt citation”]; *Matter of Loeber v Teresi*, 256 AD2d 747, 749 [3d Dept 1998] [“The mandate that a contempt order be reduced to writing is an indispensable requirement”]; *Eaton v Eaton*, 46 AD3d 1432 [4th Dept 2007] [same]). The absence of compliance with this central requirement of section 755 supports our conclusion that County Court did not summarily adjudicate and punitively sentence defendant in criminal contempt under the Judiciary Law.

County Court never referred to the contempt as “criminal,” nor to the confinement as “punishment.” Quite the opposite. Reacting to the People’s indication that they would file criminal charges before the end of the trial, County Court stated that it would hold defendant until the criminal trial was completed, “and then . . . make a determination at that point as to what punishment, if any, [would] be meted out.” Clearly, whether, when and how to punish was unresolved and open to the court’s future determination.

V

In cases where a court invokes its contempt power to coerce a defendant’s obedience, the best practice would be for the court to state on the record that defendant may purge the contempt through compliance with the law. However, based on the record before us, it is clear that County Court did not summarily adjudicate defendant in criminal contempt or impose a definite sentence of punishment in accordance with the Judiciary Law.

Therefore, defendant's conditional imprisonment was for the remedial purpose of compelling defendant's testimony, and as a consequence defendant's subsequent prosecution for contempt was not barred by double jeopardy. Accordingly, the order of the Erie County Court should be reversed and the information reinstated.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH, PIGOTT and ABDUS-SALAAM concur.

Order reversed and information reinstated.

[23 NE3d 984, 998 NYS2d 716]

In the Matter of MERRY-GO-ROUND PLAYHOUSE, INC., Respondent, v ASSESSOR OF CITY OF AUBURN et al., Appellants.

Argued October 21, 2014; decided November 18, 2014

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered March 22, 2013. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, Cayuga County (Mark H. Fandrich, A.J.), entered in a proceeding pursuant to RPTL article 7, which had, insofar as appealed from, granted respondents' motion for summary judgment and denied petitioner's cross motion for summary judgment; (2) denied respondents' motion for summary judgment; (3) granted petitioner's cross motion for summary judgment; (4) granted the petition insofar as it sought a tax exemption pursuant to RPTL 420-a (1) (a) for certain real property owned by petitioner; and (5) remitted the matter to Supreme Court for further proceedings in accordance with the Appellate Division's memorandum.

Matter of Merry-Go-Round Playhouse, Inc. v Assessor of City of Auburn, 104 AD3d 1294, affirmed.

HEADNOTES

Taxation — Exemptions — Nonprofit Organizations — Property Used to House Staff and Actors Employed by Not-for-Profit Theater Corporation — Exempt Purpose

1. In a proceeding commenced by petitioner, a not-for-profit theater corporation operating a professional summer stock theater and a year-round youth theater, seeking tax exemption pursuant to RPTL 420-a (1) (a) for property consisting of two apartment buildings used by petitioner to house its staff and summer stock actors, petitioner established that it was organized exclusively for an exempt purpose in that it was intended to promote appreciation for the arts/musical theater, thereby providing education to the community and advancing the moral or mental improvement of area residents. RPTL 420-a (1) (a) grants a tax exemption to real property owned by a corporation or association organized or conducted exclusively for religious, charitable, hospital, educational, or moral or mental improvement of men, women or children purposes and used exclusively for carrying out thereupon one or more of such purposes. Petitioner's summer stock theater did not have the same educational component as its youth theater but was similarly geared toward promoting the arts. In addition, although the summer stock theater charged admission, that limited commercial aspect did not preclude petitioner from receiving a tax exemption. Petitioner asserted without contradiction that the summer stock theater generally either broke even or operated at a loss, and there was no indication that petitioner was organized for the purpose of making a profit.

**Taxation — Exemptions — Nonprofit Organizations — Property
Used to House Staff and Actors Employed by Not-for-Profit Theater
Corporation — Exclusive Use of Property for Exempt
Purpose**

2. In a proceeding commenced by petitioner, a not-for-profit theater corporation operating a professional summer stock theater and a year-round youth theater, seeking tax exemption pursuant to RPTL 420-a (1) (a) for property consisting of two apartment buildings used by petitioner to house its staff and summer stock actors, petitioner established that the property was being used exclusively for an exempt purpose as petitioner's use of the property was reasonably incidental to petitioner's primary purpose of encouraging appreciation of the arts through theater. RPTL 420-a (1) (a) grants a tax exemption to real property owned by a corporation or association organized or conducted exclusively for religious, charitable, hospital, educational, or moral or mental improvement of men, women or children purposes and used exclusively for carrying out thereupon one or more of such purposes. The test of entitlement to tax exemption under the used exclusively clause of the statute is whether the particular use is reasonably incidental to the primary or major purpose of the facility. Here, the primary use of the apartment buildings was in furtherance of petitioner's primary purpose. Petitioner established that the housing was used to attract talent that would otherwise look to other theaters for employment, that the living arrangement fostered a sense of community and that the staff spent a significant portion of its off-hours in furtherance of theater-related pursuits. In addition, the record showed that petitioner would have difficulty recruiting qualified staff if it did not provide the housing, which would undermine its primary purpose.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, State and Local Taxation §§ 273, 276, 308.

McKINNEY'S, RPTL 420-a (1) (a).

NY JUR 2d, Taxation and Assessment §§ 176–178, 183–188.

ANNOTATION REFERENCE

See ALR Index under Nonprofit Organizations; Taxes; Theaters and Motion Pictures.

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POINTS OF COUNSEL

Andrew S. Fusco, Auburn, for appellants. I. Merry-Go-Round Playhouse, Inc. fails to satisfy the legal tests laid out in *Matter of Yeshivath Shearith Hapletah v Assessor of Town of Fallsburg* (79 NY2d 244 [1992]). (*Matter of Maetreum of Cybele, Magna Mater, Inc. v McCoy*, 111 AD3d 1098; *Matter of Adult Home at Erie Sta., Inc. v Assessor & Bd. of Assessment Review of City of*

Middletown, 10 NY3d 205; *Matter of Greer Woodycrest Children's Servs. v Fountain*, 74 NY2d 749; *Matter of Presbyterian Residence Ctr. Corp. v Wagner*, 66 AD2d 998; *Otrada, Inc. v Assessor, Town of Ramapo*, 41 AD3d 678.) II. Neither its charter nor articles of incorporation authorize Merry-Go-Round Playhouse, Inc. to be in the housing business. (*Matter of Highland Lake Bible Conference v Board of Assessors of Town of Highland*, 92 AD2d 655; *Matter of Symphony Space v Tishelman*, 60 NY2d 33; *Matter of Corporation of Yaddo*, 216 App Div 1, 259 NY 620; *Matter of De Peyster*, 210 NY 216; *Mohonk Trust v Board of Assessors of Town of Gardiner*, 47 NY2d 476; *People ex rel. Watchtower Bible & Tract Socy. v Haring*, 8 NY2d 350; *Matter of Lackawanna Community Dev. Corp. v Krakowski*, 12 NY3d 578; *Matter of Stuyvesant Sq. Thrift Shop v Tax Commn. of City of N.Y.*, 54 NY2d 735.) III. The Court of Appeals should embrace the geographic nexus test found by Special Term below. (*Matter of St. Luke's Hosp. v Boyland*, 12 NY2d 135; *Matter of Yeshivath Shearith Hapletah v Assessor of Town of Fallsburg*, 79 NY2d 244; *Matter of St. Joseph's Health Ctr. Props. v Srogi*, 51 NY2d 127; *University of Rochester v Wagner*, 63 AD2d 341; *People ex rel. Clarkson Mem. Coll. of Tech. v Haggett*, 274 App Div 732, 300 NY 595.) IV. The Fourth Department mistakenly relied on seven cases easily distinguished from the case at bar. (*Otrada, Inc. v Assessor, Town of Ramapo*, 41 AD3d 678; *Matter of Yeshivath Shearith Hapletah v Assessor of Town of Fallsburg*, 79 NY2d 244; *Matter of St. Joseph's Health Ctr. Props. v Srogi*, 51 NY2d 127; *University of Rochester v Wagner*, 63 AD2d 341; *Matter of Adult Home at Erie Sta., Inc. v Assessor & Bd. of Assessment Review of City of Middletown*, 10 NY3d 205; *Sephardic Congregation of S. Monsey v Town of Ramapo*, 47 AD3d 915; *Matter of Foundation for "A Course In Miracles" v Theadore*, 172 AD2d 962.)

Boyle & Anderson, P.C., Auburn (Charles H. Lynch, Jr., of counsel), for respondent. I. Merry-Go-Round Playhouse, Inc. is a corporation organized or conducted exclusively for exempt purposes. (*Mohonk Trust v Board of Assessors of Town of Gardiner*, 47 NY2d 476.) II. Merry-Go-Round Playhouse, Inc.'s use of the properties is reasonably incidental to its primary purposes. (*Matter of Association of Bar of City of N.Y. v Lewisohn*, 34 NY2d 143; *Matter of Genesee Hosp. v Wagner*, 47 AD2d 37; *Matter of Yeshivath Shearith Hapletah v Assessor of Town of Fallsburg*, 79 NY2d 244; *Matter of St. Luke's Hosp. v Boyland*, 12 NY2d 135; *Matter of Young Womens Christian Assn. of Rochester v Wagner*, 96 Misc 2d 361; *People ex rel. Watchtower Bible*

& Tract Socy. v Haring, 8 NY2d 350; Otrada, Inc. v Assessor, Town of Ramapo, 41 AD3d 678; Matter of Adult Home at Erie Sta., Inc. v Assessor & Bd. of Assessment Review of City of Middletown, 10 NY3d 205; Matter of St. Joseph's Health Ctr. Props. v Srogi, 51 NY2d 127.)

Kathleen Hodgdon, Association of Towns of the State of New York, Albany and Richard Sinnott, New York State Conference of Mayors and Municipal Officials, Albany, for Association of Towns of the State of New York and another, amici curiae. Public policy necessitates a finding that the subject properties are not entitled to a real property tax exemption. (*Matter of Yeshivath Shearith Hapletah v Assessor of Town of Fallsburg*, 79 NY2d 244; *Matter of Genesee Hosp. v Wagner*, 47 AD2d 37; *Matter of Foundation for "A Course In Miracles" v Theadore*, 172 AD2d 962; *People ex rel. Watchtower Bible & Tract Socy. v Haring*, 8 NY2d 350.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

The issue presented by this appeal is whether certain real property owned by petitioner Merry-Go-Round Playhouse, a not-for-profit theater corporation, and used to house its staff and summer stock actors, is exempt from taxation under RPTL 420-a. We hold that Merry-Go-Round has established its entitlement to the tax exemption.

Merry-Go-Round was initially established in 1958 as the Auburn Children's Theater and was incorporated as a not-for-profit corporation in 1972.* Petitioner currently operates two theaters—a professional summer stock theater that puts on large scale musicals in the City of Auburn, and a year-round youth theater that tours New York State during the academic year, performing about 10 different productions for various school districts. According to its articles of incorporation, Merry-Go-Round was formed for the purposes of “augment[ing] the speech and drama training of Auburn area children[;] . . . present[ing] theater as the showcase for all the arts; . . . conduct[ing] year round programs in the performing arts for children, teenagers and adults” and “any other act or thing incidental to or connected with the foregoing purposes or in advancement thereof.”

* The certificate of incorporation was amended in 1985 to change the corporate name to the current Merry-Go-Round Playhouse, Inc.

In order to hire qualified actors and staff, Merry-Go-Round recruits candidates from around the country. Petitioner has traditionally provided housing for many of its summer actors and staff to help compensate them for their relatively low salaries and the temporary nature of their employment. In the past, the organization had leased apartments for its employees through various local landlords, but as its operation grew, that process became unwieldy.

In 2011, Merry-Go-Round purchased the two apartment buildings at issue—one building is comprised of 14 units and the other of 16 units. The apartments are only for Merry-Go-Round's actors and staff. They are not open to the public and Merry-Go-Round does not derive any income from the properties. In addition to reducing the burden of obtaining individual housing for each staff member, petitioner maintains that the living arrangement has “aided in cultivating a community among its artists” and that the actors and other staff “spend countless volunteer hours, off-stage and off-the-clock, running lines together, discussing creative ideas, working on wardrobes, creating sets and working in the furtherance of the purposes and mission of Merry-Go-Round.”

Soon after purchasing the properties, petitioner filed applications for real property tax exemptions with respondent assessor. The applications were denied and the denials were upheld by the City of Auburn's Board of Assessment Review. Petitioner then commenced this RPTL article 7 proceeding for review of its tax assessments.

Supreme Court granted respondents' motion and denied petitioner's cross motion for summary judgment, finding that Merry-Go-Round was not entitled to the exemption. The court determined that petitioner had failed to establish both that its summer theater was an exempt purpose under the statute and that the use of the apartment buildings to house its employees was reasonably incidental to its primary purpose.

The Appellate Division reversed and granted the petition insofar as it sought the tax exemptions (104 AD3d 1294 [4th Dept 2013]). The Court found that petitioner was clearly organized exclusively for a tax exempt purpose—showcasing and encouraging appreciation of the performing arts, thereby advancing the education, as well as the moral and mental improvement of, the community. The Court further determined that petitioner had demonstrated that its use of the properties

was reasonably incidental to its primary purpose, in that it helped to establish a community among its artists, and that respondents had failed to raise an issue of fact in opposition to defeat summary judgment. We granted respondents leave to appeal (22 NY3d 854 [2013]) and now affirm.

Under the Real Property Tax Law,

“[r]eal property owned by a corporation or association organized or conducted exclusively for religious, charitable, hospital, educational, or moral or mental improvement of men, women or children purposes . . . and used exclusively for carrying out thereupon one or more of such purposes . . . shall be exempt from taxation as provided in this section” (RPTL 420-a [1] [a]).

The burden of establishing that the property is entitled to a tax exemption rests with the taxpayer (*see Matter of Lackawanna Community Dev. Corp. v Krakowski*, 12 NY3d 578, 581 [2009]).

[1] Here, it is clear that petitioner is organized exclusively for an exempt purpose, in that it is intended to promote appreciation for the arts/musical theater, thereby providing education to the community and advancing the moral or mental improvement of area residents. The summer stock theater does not have the same educational component as the youth theater, but is similarly geared toward promoting the arts. In addition, although the summer stock theater charges admission, that bare fact cannot nullify petitioner’s tax exempt purpose. We have previously observed that “[a] ‘commercial patina’ alone is not enough to defeat tax-exempt status” (*Matter of Symphony Space v Tishelman*, 60 NY2d 33, 38-39 [1983]). Merry-Go-Round asserts without contradiction that the theater generally either breaks even or operates at a loss. There is no indication that petitioner is organized for the purpose of making a profit and this limited commercial aspect does not preclude it from receiving a tax exemption.

We must then determine whether the property is being used exclusively for an exempt purpose.

“The test of entitlement to tax exemption under the used exclusively clause of the statute is whether the particular use is reasonably incidental to the primary or major purpose of the facility. Put differently, the determination of whether the property is used exclusively for the statutory purposes depends

upon whether its primary use is in furtherance of the permitted purposes” (*Matter of Yeshivath Shearith Hapletah v Assessor of Town of Fallsburg*, 79 NY2d 244, 250 [1992] [internal quotation marks, brackets and citations omitted]).

In a case comparable to this one, we held that a partial tax exemption was warranted for the portions of 10 apartment buildings that were owned by St. Luke’s Hospital and occupied by its staff and their families (see *Matter of St. Luke’s Hosp. v Boyland*, 12 NY2d 135 [1962]). We found that the use of the apartments was reasonably incident to the hospital’s major purpose, recognizing that it was customary for hospitals to provide such living arrangements and that some of its staff would have sought employment elsewhere if housing had not been made available (see *St. Luke’s*, 12 NY2d at 143). We further observed that tax exemptions had similarly been granted to colleges and universities for real property used to house faculty members (see *St. Luke’s*, 12 NY2d at 143-144, citing *People ex rel. Thomas S. Clarkson Mem. Coll. of Tech. v Haggett*, 300 NY 595 [1949]).

More recently, in *Yeshivath*, we addressed whether 31 acres of real property owned by a not-for-profit religious corporation and used for religious instruction during the summer months were exempt from taxation under RPTL 420-a. The property at issue included religious and educational facilities, housing accommodations and 10 acres of woodland, which the students used for hiking. There, we determined that the housing facilities provided to its faculty and staff, as well as to the students and their families, were “‘necessary and reasonably incidental’ to the primary purpose of” the property and that, without them, the “primary purpose[] of providing rigorous religious and educational instruction at the yeshivah would be seriously undermined” (*Yeshivath*, 79 NY2d at 251).

[2] Likewise, here, the primary use of the apartment buildings is in furtherance of Merry-Go-Round’s primary purpose. Petitioner established that the housing is used to attract talent that would otherwise look to other theaters for employment, that the living arrangement fosters a sense of community and that the staff spends a significant portion of its off-hours in furtherance of theater-related pursuits. In addition, similar to the situation presented by *St. Luke’s*, the record shows that petitioner would have difficulty recruiting qualified staff if it did not provide the housing, which would undermine its pri-

mary purpose. Although we have not previously addressed the provision of tax exempt housing in relation to an arts organization, the statute does not elevate one exempt purpose over another. Under these circumstances, the use of the property to provide staff housing is reasonably incidental to petitioner's primary purpose of encouraging appreciation of the arts through theater. Petitioner has demonstrated that it is entitled to an RPTL 420-a tax exemption and respondent failed to raise a material issue of fact warranting a trial.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Judges GRAFFEO, READ, SMITH, PIGOTT, RIVERA and ABDUS-SALAAM concur.

Order affirmed, with costs.

[23 NE3d 988, 998 NYS2d 720]

FRANK PATERNO, Appellant, v LASER SPINE INSTITUTE et al.,
Respondents.

Argued October 15, 2014; decided November 20, 2014

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered October 16, 2013. The Appellate Division, with two Justices dissenting, affirmed so much of an order of the Supreme Court, Westchester County (Nicholas Colabella, J.), as had granted that branch of defendants' motion pursuant to CPLR 3211 (a) (8) to dismiss the complaint for lack of personal jurisdiction under CPLR 302.

Paterno v Laser Spine Inst., 112 AD3d 34, affirmed.

HEADNOTES

Courts — Jurisdiction — Long-Arm Jurisdiction — Transaction of Business within State — Internet Activity and Email Communications

1. In a medical malpractice action in which plaintiff, a New York resident, alleged injuries as a result of spinal surgeries performed by defendants, a Florida-based facility and several of its doctors, after plaintiff learned of defendants' treatment through an advertisement on the home page of an Internet service provider, contacted defendants and then traveled to Florida for two initial surgeries, then again for a third surgery after experiencing constant pain upon his return to New York, defendants' contacts with New York were insufficient to confer long-arm jurisdiction under CPLR 302 (a) (1). Where a non-domiciliary seeks out and initiates contact with New York, solicits business in New York, and establishes a continuing relationship, it can be said to transact business within the meaning of CPLR 302 (a) (1). A non-domiciliary must commit an act by which it purposefully avails itself of the privilege of conducting activities within New York. Passive websites, which merely impart information without permitting a business transaction, are generally insufficient to establish personal jurisdiction. Here, plaintiff was the party who sought out and initiated contact with defendants after viewing their website, and he did not assert that the website permitted direct interaction for online registration or purchase of services. Although defendants had numerous telephone and email contacts with plaintiff, sent prescriptions to New York pharmacies, spoke to plaintiff's New York physician and received medical examination results from New York, the contacts were responsive in nature. Plaintiff fully engaged with defendants to ensure that all pre-surgical matters were completed, and the communications served the convenience of plaintiff. Contacts during the time between the surgery dates could not be the basis to establish defendants' relationship with New York because they did not serve as the basis for the underlying medical malpractice claim and, like the pre-surgery contacts, were responsive.

Courts — Jurisdiction — Long-Arm Jurisdiction — Tortious Act without State Causing Injury within State

2. In a medical malpractice action in which plaintiff, a New York resident, alleged injuries as a result of spinal surgeries performed in Florida by defendants, a Florida-based facility and several of its doctors, CPLR 302 (a) (3) could not be a basis for personal jurisdiction over defendants. New York courts have personal jurisdiction over a non-domiciliary who “commits a tortious act without the state causing injury to person or property within the state” (CPLR 302 [a] [3]). In medical malpractice cases, the situs of the injury is the location of the original event which caused the injury, and not where a party experiences the consequences of such injury. Here, the injury occurred in Florida, where plaintiff underwent the surgeries that were the basis for his claim.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Computers and the Internet §§ 41, 159, 163, 165, 172, 177–178; AM JUR 2d, Foreign Corporations §§ 62, 283, 293–294, 327–328, 331, 432; AM JUR 2d, Computers and the Internet §§ 100, 172–178, 181, 198.

CARMODY-WAIT 2d, Jurisdiction in Personam and in Rem §§ 25:18, 25:21–25:27, 25:33–25:36, 25:43–25:52, 25:55; CARMODY-WAIT 2d, Actions and Proceedings by and Against Corporations, Their Officers, Directors, and Shareholders §§ 121:87, 121:110–121:118.

McKINNEY'S, CPLR 302 (a) (1), (3).

NY JUR 2d, Business Relationships §§ 1131–1134, 1139, 1152, 1156, 1159–1162, 1166–1167; NY JUR 2d, Courts and Judges §§ 597, 599–600, 621–627, 630, 636, 640, 652, 663, 667, 669; NY JUR 2d, Summary Judgment and Pretrial Motions to Dismiss § 126.

SIEGEL, NY PRAC §§ 58, 80, 82, 84–88, 9.

ANNOTATION REFERENCE

Internet Web site activities of nonresident person or corporation as conferring personal jurisdiction under long-arm statutes and due process clause. 81 ALR 5th 41.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: “long-arm” /p internet & med!

POINTS OF COUNSEL

Law Offices of Timothy G. Griffin, Bronxville (*Timothy G. Griffin* of counsel), for appellant. There were sufficient contacts and purposeful activity engaged in by defendants within the State of New York to enable the court to exercise jurisdiction.

(*Kreutter v McFadden Oil Corp.*, 71 NY2d 460; *George Reiner & Co. v Schwartz*, 41 NY2d 648; *Parke-Bernet Galleries v Franklyn*, 26 NY2d 13; *Fischbarg v Doucet*, 9 NY3d 375; *McKee Elec. Co. v Rauland-Borg Corp.*, 20 NY2d 377; *Multi-Modal Intl. v Anglia N. Am.*, 227 AD2d 600; *Catauro v Goldome Bank For Sav.*, 189 AD2d 747; *Farkas v Farkas*, 36 AD3d 852; *Grimaldi v Guinn*, 72 AD3d 37; *McGowan v Smith*, 52 NY2d 268.)

DeCorato Cohen Sheehan & Federico, LLP, New York City (Joshua R. Cohen and Amanda L. Tate of counsel), for respondents. I. Respondents did not transact business in New York. (*Ingraham v Carroll*, 90 NY2d 592; *Kimco Exch. Place Corp. v Thomas Benz, Inc.*, 34 AD3d 433; *Daniel B. Katz & Assoc. Corp. v Midland Rushmore, LLC*, 90 AD3d 977; *Skrodzki v Marcello*, 810 F Supp 2d 501; *Maranga v Vira*, 386 F Supp 2d 299; *Lang v Wycoff Hgts. Med. Ctr.*, 55 AD3d 793; *O'Brien v Hackensack Univ. Med. Ctr.*, 305 AD2d 199; *Hermann v Sharon Hosp.*, 135 AD2d 682; *Etra v Matta*, 61 NY2d 455; *Davidson Extrusions v Touche Ross & Co.*, 131 AD2d 421.) II. The situs of the injury is Florida—appellant's New York residency alone is not sufficient to establish jurisdiction. (*McGowan v Smith*, 52 NY2d 268; *Fantis Foods v Standard Importing Co.*, 49 NY2d 317; *Polansky v Gelrod*, 20 AD3d 663.) III. Respondents were never properly served. (*Espy v Giorlando*, 85 AD2d 652, 56 NY2d 640; *Matter of DeGroat v Kralik*, 224 AD2d 688; *Matter of Shea v Kralik*, 220 AD2d 750; *Broman v Stern*, 172 AD2d 475.)

OPINION OF THE COURT

RIVERA, J.

Plaintiff Frank Paterno appeals from the dismissal for lack of personal jurisdiction of his medical malpractice action against non-domiciliary defendants Laser Spine Institute (LSI) and various LSI professionals. We conclude that defendants' contacts with New York are insufficient to confer long-arm jurisdiction under CPLR 302 (a) (1). We further reject plaintiff's alternative basis for personal jurisdiction under CPLR 302 (a) (3) because he suffered his injuries outside the State. Therefore, we affirm.

I

In May 2008, plaintiff was suffering from severe back pain. While on the home page of a well-known Internet service provider plaintiff discovered an advertisement for LSI, a surgical facility specializing in spine surgery, with its home facility and principal place of business in Tampa, Florida. Plaintiff

clicked on the LSI advertisement, and viewed a five-minute video presentation of a testimonial from a former LSI patient and professional golfer, extolling LSI's medical services. The advertisement appeared to hold out the promise of relief for plaintiff's back problems so he communicated with LSI by telephone and Internet to inquire about possible surgical procedures to alleviate his pain. These would be the first of plaintiff's several contacts with LSI, which led to his eventual decision to undergo surgical procedures by LSI medical professionals in Florida. Those surgeries are the underlying basis for plaintiff's action against defendants.

After his initial inquiries in May 2008, plaintiff sought a medical assessment of his condition by LSI, and sent to LSI's Florida facility certain magnetic resonance imaging (MRI) films of his back. LSI then sent plaintiff an email letter, describing preliminary surgical treatment recommendations and orders, based on its doctors' professional evaluation of the MRI. The letter made clear the recommendations and suggested procedures were not final, and that plaintiff would be "evaluated by [LSI] surgeons upon arrival so therefore these orders will be subject to change by the surgeon while in consultation."

According to plaintiff, on May 30, 2008, the same day that he received the letter, LSI informed him that there had been a cancellation, and plaintiff could take the open spot and have the surgery performed at a significant discount due to the short notice. LSI offered a June 9, 2008 surgery date.

In preparation for his surgery plaintiff had several additional email contacts with LSI from June 2nd through June 6th. These communications were intended to address registration and payment issues, and to generally facilitate plaintiff's arrival at LSI's Florida facility. For example, plaintiff sent his completed registration and private insurance forms, and engaged in correspondence with LSI related to payment arrangements to be made upon his arrival in Florida. LSI sent plaintiff a list of hotels in Tampa that offered discounted rates to LSI patients.

Apart from these administrative matters, plaintiff forwarded to LSI his blood work, which had been completed in New York. He also attempted to schedule a conference call between his New York-based doctor, Dr. Dimatteo, and LSI defendant Dr. Perry. After plaintiff was unable to reach Dr. Perry, an LSI doctor called Dr. Dimatteo the following day and briefly discussed plaintiff's scheduled surgery.

On June 6th, plaintiff traveled from New York to Tampa, Florida, and on June 9th, he underwent surgery at the LSI facility, performed by defendant LSI surgeon Dr. Kevin Scott. Plaintiff experienced extreme pain following the surgery and complained to LSI staff who advised him that this was due to the procedure and could last for two weeks. Plaintiff underwent a second surgical procedure at LSI on June 11th, this time performed by defendant LSI surgeon Dr. Vernon Morris. He again experienced severe pain after the surgery.

For two weeks following his return to New York on June 12th, plaintiff contacted the LSI physicians on a daily basis to discuss his medical status, and to complain about his postoperative pain. LSI doctors and staff addressed his request for pain medication by calling prescriptions into local pharmacies in plaintiff's home city, which he then filled.

In mid-July, plaintiff was still in severe pain and went to New York-based physicians to discuss his medical status and the results of the out-of-state surgeries. He underwent an MRI, which according to one of his New York-based doctors revealed the same disc herniations the doctor had observed prior to the surgery. In response to plaintiff's request for consultation with LSI, LSI physicians held a conference call with this New York-based doctor to discuss plaintiff's condition.

After further telephone and email communications with LSI, and after plaintiff demanded that LSI address his condition, plaintiff returned to Florida on August 6th where he underwent a third surgery, this time performed by defendant LSI surgeon Dr. Craig Wolff. As before, plaintiff was in severe pain following the surgery, and as before only days after the procedure he returned to his home in New York State.

For approximately the next three months, until October 31, 2008, plaintiff claims to have communicated daily with LSI staff via text messages, emails and telephone calls. He also spoke directly by telephone with defendant Dr. Wolff, regarding his back pain and headaches. Dr. Wolff discussed ways to alleviate the pain, and ordered an MRI which was performed in New York. Dr. Wolff also spoke by telephone with another of plaintiff's New York-based doctors concerning plaintiff's condition. When plaintiff's condition did not improve, Dr. Wolff told him he could return to LSI for another surgical procedure to address what appeared to be fluid accumulation from a spinal dura leak. LSI offered to fly plaintiff to Florida at LSI's expense.

After several consultations with New York-based doctors, plaintiff underwent another surgery, but this time in New York, performed by a New York-based doctor not connected with LSI.

Plaintiff thereafter commenced this medical malpractice action in New York against LSI and several LSI doctors, including the surgeons who operated on him. Defendants moved to dismiss for lack of personal jurisdiction pursuant to CPLR 3211 (a) (8), and Supreme Court granted the motion.

The Appellate Division affirmed in a split decision, concluding that the court lacked personal jurisdiction over LSI and the doctors because they were not transacting business in New York within the meaning of CPLR 302 (a) (1), and there was no personal jurisdiction under CPLR 302 (a) (3) because plaintiff's injury did not occur in New York (112 AD3d 34 [2013]). The two dissenting justices concluded that the contacts demonstrated the "purposeful creation of a continuing relationship" sufficient to establish jurisdiction over defendants under CPLR 302 (a) (1) (*id.* at 56).

II

Plaintiff argues that New York courts have personal jurisdiction over defendants under CPLR 302 (a) (1), based on their purposeful activity, as demonstrated by LSI's active solicitation of plaintiff to undergo surgery, and defendants' pre- and post-surgery contacts related to plaintiff's medical treatment, including emails, letters and the exchange of documents. Plaintiff also contends New York courts have personal jurisdiction over defendants under CPLR 302 (a) (3) because defendants committed a tortious act outside New York State which caused injury to him within New York.

Defendants argue that their contacts with plaintiff merely responded to his inquiries or constituted follow-up to the surgical procedures, and do not constitute transacting business in New York State within the meaning of the CPLR so as to confer personal jurisdiction over the defendants. Furthermore, they contend that because plaintiff's injuries occurred in Florida, his reliance on CPLR 302 (a) (3) as an alternative basis of jurisdiction is without merit. They also argue that plaintiff failed to effectuate proper service of process over all the LSI defendants.

CPLR 302 (a) (1) provides in relevant part:

"(a) Acts which are the basis of jurisdiction. As to a cause of action arising from any of the acts enumer-

ated in this section, a court may exercise personal jurisdiction over any non-domiciliary . . . who in person or through an agent:

“1. transacts any business within the state or contracts anywhere to supply goods or services in the state” (CPLR 302 [a] [1].)

Whether a non-domiciliary is transacting business within the meaning of CPLR 302 (a) (1) is a fact based determination, and requires a finding that the non-domiciliary’s activities were purposeful and established “a substantial relationship between the transaction and the claim asserted” (*Fischbarg v Doucet*, 9 NY3d 375, 380 [2007], citing *Deutsche Bank Sec., Inc. v Montana Bd. of Invs.*, 7 NY3d 65, 71 [2006]). Purposeful activities are volitional acts by which the non-domiciliary “‘avails itself of the privilege of conducting activities within the forum State, thus invoking the benefits and protections of its laws’” (*Fischbarg*, 9 NY3d at 380, quoting *McKee Elec. Co. v Rauland-Borg Corp.*, 20 NY2d 377, 382 [1967], and citing *Ford v Unity Hosp.*, 32 NY2d 464, 471 [1973]). More than limited contacts are required for purposeful activities sufficient to establish that the non-domiciliary transacted business in New York (*see e.g. Ehrenfeld v Bin Mahfouz*, 9 NY3d 501, 508 [2007]).

The lack of an in-state physical presence is not dispositive of the question whether a non-domiciliary is transacting business in New York. Indeed, “[w]e have in the past recognized CPLR 302 (a) (1) long-arm jurisdiction over commercial actors . . . using electronic and telephonic means to project themselves into New York to conduct business transactions” (*Deutsche Bank Sec., Inc.*, 7 NY3d at 71 [holding that CPLR 302 (a) (1) conferred long-arm jurisdiction over out-of-state institutional investor who called plaintiff, a New York securities firm, to make a trade, and the suit arose from that transaction], citing *Parke-Bernet Galleries v Franklyn*, 26 NY2d 13 [1970], and *Ehrlich-Bober & Co. v University of Houston*, 49 NY2d 574 [1980]; *see Fischbarg v Doucet*, 9 NY3d 375 [2007] [California defendants “transacted business” where they formed an attorney-client relationship with plaintiff attorney in New York through numerous telephone calls, faxes, mail contacts, and emails]; *Parke-Bernet Galleries*, 26 NY2d at 17-18 [California defendant who actively participated in live auction held in New York via telephone subject to jurisdiction under CPLR 302 (a) (1) in an action arising out of that auction]).

Regardless of whether by bricks and mortar structures, by conduct of individual actors, or by technological methods that

permit business transactions and communications without the physical crossing of borders, a non-domiciliary transacts business when “ ‘on his [or her] own initiative . . . [the non-domiciliary] project[s] himself [or herself]’ into this state to engage in a ‘sustained and substantial transaction of business’ ” (*Fischbarg*, 9 NY3d at 382, quoting *Parke-Bernet Galleries*, 26 NY2d at 18). Thus, where the non-domiciliary seeks out and initiates contact with New York, solicits business in New York, and establishes a continuing relationship, a non-domiciliary can be said to transact business within the meaning of CPLR 302 (a) (1) (*Fischbarg*, 9 NY3d at 381).

[1] Plaintiff contends that the totality of defendants’ contacts establish that it conducted business in New York through its solicitation and several communications related to LSI’s medical treatment of plaintiff. We disagree. In order to satisfy “ ‘[t]he overriding criterion’ necessary to establish a transaction of business” within the meaning of CPLR 302 (a) (1), a non-domiciliary must commit an act by which it “purposefully avails itself of the privilege of conducting activities within [New York]” (see *Ehrenfeld*, 9 NY3d at 508, citing *McKee Elec. Co. v Rauland-Borg Corp.*, 20 NY2d 377, 382 [1967], and *Deutsche Bank Sec., Inc. v Montana Bd. of Invs.*, 7 NY3d 65, 71 [2006]). Plaintiff here admits that he was the party who sought out and initiated contact with defendants after viewing LSI’s website. According to plaintiff, that website informed viewers about LSI medical services and its professional staff. However, he has not asserted that it permitted direct interaction for online registration, or that it allowed for online purchase of LSI services (see *Halas v Dick’s Sporting Goods*, 105 AD3d 1411, 1412 [4th Dept 2013]; *Murphy v Cirrus Design Corp.*, 38 Misc 3d 1227[A], 2013 NY Slip Op 50293[U] [Sup Ct, Erie County 2013]; *Citigroup Inc. v City Holding Co.*, 97 F Supp 2d 549, 565 [SD NY 2000]). Passive websites, such as the LSI website, which merely impart information without permitting a business transaction, are generally insufficient to establish personal jurisdiction (*Grimaldi v Guinn*, 72 AD3d 37, 48 [2d Dept 2010]; see *Benifits by Design Corp. v Contractor Mgt. Servs., LLC*, 75 AD3d 826, 829 [3d Dept 2010]; *American Homecare Fedn., Inc. v Paragon Scientific Corp.*, 27 F Supp 2d 109, 114 [D Conn 1998]; *Edberg v Neogen Corp.*, 17 F Supp 2d 104, 114 [D Conn 1998]; *Boris v Bock Water Heaters*, 3 Misc 3d 835, 840 [Sup Ct, Suffolk County 2004]; see also *Morilla v Laser Spine Inst., LLC*, 2010 WL 3258312, *5, 2010 US Dist LEXIS 83608, *15 [D NJ, Aug. 16, 2010, No. 2:10-CV-01882

(WHW)] [finding LSI website containing “only information and a generic contact information input form” passive and insufficient to establish personal jurisdiction]). Thus, as plaintiff concedes, the mere fact that he viewed LSI’s website in New York is insufficient to establish CPLR 302 (a) (1) personal jurisdiction over defendants.

Plaintiff argues, however, that LSI did more than just post an online advertisement. He alleges that over months, there were several telephone calls and email communications between plaintiff and LSI representatives, that he sent MRIs and blood work to LSI, and that LSI sent prescriptions to his New York-based pharmacies. To the extent plaintiff argues that by sheer volume of contacts, defendants are subject to personal jurisdiction in New York, we disagree. As we have stated it is not the quantity but the quality of the contacts that matters under our long-arm jurisdiction analysis (*Licci v Lebanese Can. Bank, SAL*, 20 NY3d 327, 338 [2012]; *see also Fischbarg*, 9 NY3d at 380).

Turning to the content and “quality” of defendants’ contacts with plaintiff, it is apparent that they were responsive in nature, and not the type of interactions that demonstrate the purposeful availment necessary to confer personal jurisdiction over these out-of-state defendants. After plaintiff initially sought out LSI, LSI responded with information designed to assist plaintiff in deciding whether to arrange for LSI medical services in Florida. For example, after plaintiff sent his MRI for evaluation, LSI sent him a letter setting forth a preliminary evaluation and treatment recommendations.

Once plaintiff confirmed his interest, and the June 9, 2008 surgery date was set, he fully engaged with defendants in order to ensure that all pre-surgical matters were completed. Plaintiff filled out and returned the insurance forms and attempted to negotiate payment arrangements; he arranged for his travel and lodging; he completed and sent LSI the necessary registration forms; he ensured that his blood work was sent to LSI before his arrival in Florida; and he requested that an LSI doctor speak with his New York-based doctors concerning the impending surgery at the LSI facility. As part of the preparation for plaintiff’s arrival, these communications served the convenience of plaintiff (*see Milliken v Holst*, 205 AD2d 508, 510 [2d Dept 1994]), and fail to establish that defendants “avail[ed] [themselves] of the privilege of conducting activities within the forum State” (*see Fischbarg*, 9 NY3d at 380, quoting *McKee*

Elec. Co. v Rauland-Borg Corp., 20 NY2d 377, 382 [1967], and citing *Ford v Unity Hosp.*, 32 NY2d 464, 471 [1973]).

Plaintiff urges us to consider the contacts between plaintiff and LSI once he returned to New York on June 12th, after the first two Florida surgeries. Our long-arm statute requires that the cause of action arise from the non-domiciliary's actions that constitute transaction of business. "[T]here [must be] a substantial relationship between the transaction and the claim asserted" (*Fischbarg*, 9 NY3d at 380). Here, plaintiff's claim is based on the June and August surgeries in Florida. Contacts after this date cannot be the basis to establish defendant's relationship with New York because they do not serve as the basis for the underlying medical malpractice claim (*see Harlow v Children's Hosp.*, 432 F3d 50, 62 [1st Cir 2005] [in most cases, where the cause of action must arise from the contacts, contacts after the cause of action arises will be irrelevant]). Further, defendants' contacts with New York at the behest of the plaintiff subsequent to the first two Florida surgeries but before the third cannot be used to demonstrate defendants actively projected themselves into New York (*see Skrodzki v Marcello*, 810 F Supp 2d 501, 510, 512 [ED NY 2011] [defendant's contacts with forum state arising from initial communication with plaintiff irrelevant for CPLR 302 (a) (1) jurisdictional analysis], citing *Grimaldi*, 72 AD3d at 51, and *Zibiz Corp. v FCN Tech. Solutions*, 777 F Supp 2d 408, 421 [ED NY 2011]). In any event, even considering the defendants' contacts following the surgeries, they are similar in kind to the pre-surgery contacts and for the same reasons do not constitute the transaction of business required by CPLR 302 (a) (1).

It is no longer unusual or difficult, as it may once have been, to travel across state lines in order to obtain health care from an out-of-state provider. It is also not unusual to expect follow-up for out-of-state treatment. Given this reality, to find defendants' conduct here constitutes transacting business within the meaning of CPLR 302 (a) (1), based on contacts before and after the surgeries, would set a precedent for almost limitless jurisdiction over out-of-state medical providers in future cases. We do not interpret the expanse of CPLR 302 (a) (1) to be boundless in application.

The decision in *Etra v Matta* (61 NY2d 455 [1984]), supports our conclusion here. In *Etra* the Court held that CPLR 302 (a) (1) did not confer personal jurisdiction over an out-of-state doctor in a medical malpractice action arising from that doctor's

treatment of plaintiffs' decedent. A Massachusetts doctor was solicited in Massachusetts by a New York patient and treated the patient in Massachusetts, but subsequently sent an experimental drug to New York and acted as a consultant to a New York doctor. We held that those contacts were insufficient to constitute a transaction of business for purposes of CPLR 302 (a) (1).

The Appellate Division has also declined to extend long-arm jurisdiction under CPLR 302 (a) (1) to cover out-of-state medical centers where the contacts were limited or the injury occurred outside New York. In *O'Brien v Hackensack Univ. Med. Ctr.* (305 AD2d 199 [1st Dept 2003]), a New Jersey hospital treated a New York resident in New Jersey, referred him to a New York hospital, prescribed him chemotherapy to be administered in New York, and regularly communicated with his New York doctors. According to the First Department, these "sporadic" contacts with New York were insufficient under CPLR 302 (a) (1) because they were "not carried out from a permanent location in the State or by [the hospital's] agents or employees in the State." (*Id.* at 201.) In *Hermann v Sharon Hosp.* (135 AD2d 682 [2d Dept 1987]), the Second Department held that CPLR 302 (a) (1) did not confer personal jurisdiction over a Connecticut hospital in a New York plaintiff's medical malpractice action arising from injuries sustained in the course of treatment at the hospital. The court reasoned that plaintiff had not shown his treatment arose from any transaction of business in New York where the hospital had no offices in New York and conducted its health-care activities solely in Connecticut, despite the fact that many of its doctors were licensed to practice in New York and many of its patients were New York residents.

Plaintiff argues that LSI has been found subject to personal jurisdiction by other courts, and urges us to follow suit. He relies on *Henderson v Laser Spine Inst. LLC* (815 F Supp 2d 353 [D Me 2011]) and *Bond v Laser Spine Inst., LLC* (2010 WL 3212480, 2010 US Dist LEXIS 82736 [ED Pa, Aug. 11, 2010, No. 10-1086]). These cases are distinguishable because they both involve more extensive contacts and personal jurisdiction statutes that are coextensive with the Federal Due Process Clause. In *Henderson*, unlike here, the court found LSI's website semi-interactive and nationwide print advertising contributed to the plaintiff's decision to contact LSI. In *Bond*, LSI had a Philadelphia "consult" office and took a more active role in that plaintiff's post-surgical treatment. Moreover, these cases

were decided based on statutes that, unlike CPLR 302 (a), permit an exercise of personal jurisdiction to the full extent of the Federal Due Process Clause (*see Kreutter v McFadden Oil Corp.*, 71 NY2d 460, 471 [1988] [New York’s long-arm statute “does not confer jurisdiction in every case where it is constitutionally permissible”]; *cf. Morilla*, 2010 WL 3258312, *6, 2010 US Dist LEXIS 83608, *16-17 [finding alleged contacts based solely on LSI’s passive website were insufficient to establish personal jurisdiction under the Federal Due Process Clause]).

[2] We also reject plaintiff’s alternative basis for personal jurisdiction asserted under CPLR 302 (a) (3). This section provides that New York courts have personal jurisdiction over a non-domiciliary who “commits a tortious act without the state causing injury to person or property within the state” (CPLR 302 [a] [3]). We disagree with plaintiff that the allegations in his complaint establish that his injury occurred in New York. Rather, the situs of the injury in medical malpractice cases is the location of the original event which caused the injury, and not where a party experiences the consequences of such injury (*Hermann*, 135 AD2d at 683, citing *McGowan v Smith*, 52 NY2d 268, 273-274 [1981], and *Kramer v Hotel Los Monteros S. A.*, 57 AD2d 756 [1st Dept 1977]). Here, the injury occurred in Tampa, Florida, where plaintiff underwent the surgeries that are the basis for his medical malpractice claim. Therefore, CPLR 302 (a) (3) cannot be a basis for personal jurisdiction over defendants.

III

Our determination that New York lacks personal jurisdiction over defendants makes it unnecessary for us to consider whether plaintiff effectuated service of process over defendants.

Accordingly, the Appellate Division order should be affirmed, with costs.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH, FIGOTT and ABDUS-SALAAM concur.

Order affirmed, with costs.

[23 NE3d 997, 998 NYS2d 729]

LORRAINE BORDEN, on Behalf of Herself and All Others Similarly Situated, Respondent, v 400 EAST 55TH STREET ASSOCIATES, L.P., Appellant.

YANELLA GUDZ, on Behalf of Herself and All Others Similarly Situated, Respondent, v JEMROCK REALTY COMPANY, LLC, Appellant.

ELISA DOWNING et al., on Behalf of Themselves and All Others Similarly Situated, Respondents, v FIRST LENOX TERRACE ASSOCIATES et al., Appellants.

Argued October 14, 2014; decided November 24, 2014

SUMMARY

APPEAL, in the first above-entitled action, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered April 25, 2013. The Appellate Division (1) affirmed an order of the Supreme Court, New York County (Judith J. Gische, J.; op 2012 NY Slip Op 33712[U] [2012]), which, upon renewal, had (a) granted plaintiff's motion for class certification, (b) certified the action as a class action on behalf of all persons who are or were residential tenants at 400 East 55th Street, New York, NY and were charged and/or continue to be charged market rents during the period in which defendant was participating in the J-51 tax benefit program, (c) appointed plaintiff Lorraine Borden the class representative, and (d) appointed Bernstein Liebhard, LLP as counsel for the class as certified; and (2) dismissed as academic an appeal from an order of that Supreme Court (op 34 Misc 3d 1202[A], 2011 NY Slip Op 52322[U] [2011]), which had denied plaintiff's motion for class certification, without prejudice to renew. The following question was certified by the Appellate Division: "Was the order of this Court, which, inter alia, affirmed the order of the Supreme Court, properly made?"

APPEAL, in the second above-entitled action, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, entered April 25, 2013. The Appellate Division (1) affirmed an order of the Supreme Court, New York County (Eileen A. Rakower, J.), which had (a) granted defendant's motion for leave to reargue and, (b) upon reargument, adhered to that court's prior order (op 2011 NY Slip Op 31647[U] [2011]), which had (i) denied defendant's motion for a stay of proceedings, and (ii) granted plaintiff's motion for class certification;

and (2) dismissed as academic an appeal from the prior order. The following question was certified by the Appellate Division: “Was the order of this Court, which, *inter alia*, affirmed the order of the Supreme Court, properly made?”

APPEAL, in the third above-entitled action, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, entered April 25, 2013. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, New York County (Charles E. Ramos, J.), entered on or about November 15, 2011, which, to the extent appealed from as limited by the briefs, had, upon renewal, granted defendants’ motion to dismiss plaintiffs’ action, (2) denied the motion, (3) remanded the action for further proceedings to determine whether the allegations in the amended complaint satisfy the criteria for a class action set forth in CPLR 901 (a), and (4) dismissed as superseded an appeal from an order of that Supreme Court entered October 25, 2011, which had (a) denied defendants’ motion to renew and (b) dismissed the complaint. The following question was certified by the Appellate Division: “Was the order of this Court, which, *inter alia*, reversed the order of the Supreme Court, properly made?”

Borden v 400 E. 55th St. Assoc., L.P., 105 AD3d 630, affirmed.

Gudz v Jemrock Realty Co., LLC, 105 AD3d 625, affirmed.

Downing v First Lenox Terrace Assoc., 107 AD3d 86, affirmed.

HEADNOTES

Actions — Class Actions — Action to Recover Compensatory Rent Overcharges

1. CPLR 901 (b) permits otherwise qualified plaintiffs to utilize the class action mechanism to recover compensatory rent overcharges against landlords who decontrolled apartments in contravention of Rent Stabilization Law of 1969 (RSL) (Administrative Code of City of NY) § 26-516 (a) while accepting tax benefits under New York City’s J-51 tax abatement program, even though section 26-516 does not specifically authorize class action recovery and imposes treble damages upon a finding of willful violation. While CPLR 901 (b) prohibits any claim for penalties to be brought as a class action, under the language of the statute and its legislative history, it is not dispositive that a statute imposes a penalty so long as the action brought pursuant to the statute does not seek to recover the penalty. Where a statute imposes a nonmandatory penalty, plaintiffs may waive the penalty in order to bring the claim as a class action. The treble damages under the RSL are not mandatory inasmuch as they are only applied where a defendant fails to disprove willfulness by a preponderance of the evidence. In addition, recovery of the base amount of rent overcharge is actual, compensatory damages, not a penalty. While the RSL designates both the rent overcharge and treble damages as “penalties,” the Code and a policy statement of the New York State Division of Housing

and Community Renewal refer to the rent overcharge as an “overcharge award” and a “refund payment.” RSL § 26-516 (a) (2) also distinguishes between the compensatory award and the “penalty of three times the overcharge.” The provisions establishing the “penalty” as the overcharge plus interest are designed to compensate the tenant. Moreover, while the Rent Stabilization Code prohibits an agreement waiving any provisions of the RSL (9 NYCRR 2520.13), tenants may waive a provision unilaterally and still comply with the letter and spirit of the law. Accordingly, plaintiffs here, current or former tenants of separate apartment buildings in New York City who unilaterally waived their claims for treble damages under section 26-516, and sought only damages for rent overcharges, were entitled to bring their claims as a class action.

Actions — Class Actions — Class Certification — Prerequisites

2. In two putative class actions in which plaintiffs, current or former tenants of separate apartment buildings in New York City, sought to recover compensatory rent overcharges against landlords who decontrolled their apartments in contravention of Rent Stabilization Law of 1969 (Administrative Code of City of NY) § 26-516 (a) while accepting tax benefits under New York City’s J-51 tax abatement program and waived their claims for treble damages, the Appellate Division did not abuse its discretion in affirming the trial courts’ determinations that the putative classes met the prerequisites for class certification under CPLR 901 (a). Under the first prerequisite that the class be so numerous that joinder of all members is impracticable, the legislature contemplated as few as 18 members where the members would have difficulty communicating with each other. Here, tenants have moved out of the building and the class sizes ranged from 53 to over 500 members. As to the requirements that there be questions of law or fact common to the class which predominate over questions affecting only individual members and that the claims of the representatives be typical of the class, the predominant question applicable to the entire class here was whether the apartments were unlawfully deregulated. The legislature enacted CPLR 901 (a) with a specific allowance for class actions in cases where damages differed among the plaintiffs. The courts sufficiently evaluated the adequacy of each representative, and allowing tenants to opt out of the class avoided any question of the adequacy of the class representation pursuant to CPLR 901 (a). Finally, to preserve judicial resources, class certification was superior to having the claims adjudicated individually.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

- AM JUR 2d, Landlord and Tenant § 914; AM JUR 2d, Parties §§ 45, 50–56, 59, 60, 79, 81.
CARMODY-WAIT 2d, Parties §§ 19:274, 19:277–19:279, 19:297, 19:302, 19:305, 19:306, 19:313.
DOLAN, RASCH’S NEW YORK LANDLORD AND TENANT INCLUDING SUMMARY PROCEEDINGS (4th ed) § 2:40.
McKINNEY’S, CPLR 901 (a), (b).
9 NYCRR 2520.13.
NY JUR 2d, Landlord and Tenant §§ 425, 506, 511; NY JUR 2d, Parties §§ 253, 254, 257, 258, 274, 283, 288–291, 298.

SIEGEL, NY PRAC §§ 139, 141.

ANNOTATION REFERENCE

See ALR Index under Class Actions; Landlord and Tenant; Rent.

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POINTS OF COUNSEL

Rosenberg & Estis, P.C., New York City (*Jeffrey Turkel* and *Dani Schwartz* of counsel), for appellant in the first above-entitled action. I. Respondent cannot evade CPLR 901 (b) by purporting to waive treble damages under Rent Stabilization Law of 1969 (Administrative Code of City of NY) § 26-516 (a). (*Cox v Microsoft Corp.*, 8 AD3d 39; *Pesantez v Boyle Envtl. Servs.*, 251 AD2d 11; *Asher v Abbott Labs.*, 290 AD2d 208; *Matter of H.O. Realty Corp. v State of N.Y. Div. of Hous. & Community Renewal*, 46 AD3d 103; *Wolfisch v Mailman*, 182 AD2d 533; *Matter of 508 Realty Assoc., LLC v New York State Div. of Hous. & Community Renewal*, 61 AD3d 753; *Matter of Nagobich v New York State Div. of Hous. & Community Renewal*, 200 AD2d 388.) II. A tenant's attempt to waive a benefit granted under the Rent Stabilization Law of 1969 for any purpose, including evasion of CPLR 901 (b), is void as against public policy and barred by Rent Stabilization Code (9 NYCRR) § 2520.13. (*Estro Chem. Co. v Falk*, 303 NY 83; *In re Berry Estates, Inc.*, 812 F2d 67; *Sylvester v Bernstein*, 283 App Div 333, 307 NY 778; *Jazilek v Abart Holdings LLC*, 10 NY3d 943; *Riverside Syndicate, Inc. v Munroe*, 10 NY3d 18; *Matter of Badem Bldgs. v Abrams*, 70 NY2d 45; *Roberts v Tishman Speyer Props., L.P.*, 62 AD3d 71, 13 NY3d 270; *Drucker v Mauro*, 30 AD3d 37, 7 NY3d 844; 390 W. End Assoc. v Harel, 298 AD2d 11; *Cvetichanin v Trapezoid Land Co.*, 180 AD2d 503.) III. Even if respondent is allowed to waive a benefit granted by the Rent Stabilization Law of 1969, class certification should have been denied because respondent is not an adequate or typical representative of the class. (*City of Rochester v Chiarella*, 65 NY2d 92; *Small v Lorillard Tobacco Co.*, 94 NY2d 43; *Russo & Dubin v Allied Maintenance Corp.*, 95 Misc 2d 344; *Burns v Volkswagen of Am.*, 118 Misc 2d 289; *Globe Surgical Supply v GEICO Ins. Co.*, 59 AD3d 129.) IV. Allowing a plaintiff to waive statutory penalty damages to evade CPLR 901 (b), under any circumstance or statute, violates CPLR 901 (b)

and its legislative intent. (*Burns v Volkswagen of Am.*, 118 Misc 2d 289; *Sperry v Crompton Corp.*, 8 NY3d 204; 72A *Realty Assoc. v Lucas*, 101 AD3d 401.) V. Respondent cannot meet the required commonality and superiority elements. (*Gawez v Inter-Connection Elec., Inc.*, 9 Misc 3d 1107[A], 2005 NY Slip Op 51443[U]; *Daniel v New York State Div. of Hous. & Community Renewal*, 179 Misc 2d 452; *Osarczuk v Associated Univs., Inc.*, 82 AD3d 853; *Rosenfeld v Robins Co.*, 63 AD2d 11; *CLC/CFI Liquidating Trust v Bloomingdale's, Inc.*, 50 AD3d 446.)

Bernstein Liebhard LLP, New York City (*Christian Siebott, Gabriel G. Galletti* and *Heather V. Lynch* of counsel), for respondent in the first above-entitled action. I. CPLR 901 (b) does not bar this case from being maintained as a class action under Rent Stabilization Law of 1969 (Administrative Code of City of NY) § 26-516. (*Weinberg v Hertz Corp.*, 116 AD2d 1; *Super Glue Corp. v Avis Rent A Car Sys.*, 132 AD2d 604, 77 NY2d 801; *Cox v Microsoft Corp.*, 8 AD3d 39; *Pesantez v Boyle Envtl. Servs.*, 251 AD2d 11; *Ridge Meadows Homeowners' Assn. v Tara Dev. Co.*, 242 AD2d 947; *Life & Casualty Ins. Co. of Tenn. v McCray*, 291 US 566; *Sperry v Crompton Corp.*, 8 NY3d 204; *Sicolo v Prudential Sav. Bank of Brooklyn, N.Y.*, 5 NY2d 254.) II. New York public policy and Rent Stabilization Code (9 NYCRR) § 2520.13 do not prevent respondent from waiving penalty damages. (*Estro Chem. Co. v Falk*, 303 NY 83; *Matter of Matinzi v Joy*, 60 NY2d 835; *Georgia Props., Inc. v Dalsimer*, 39 AD3d 332; *Park W. Mgt. Corp. v Mitchell*, 47 NY2d 316; *Jazilek v Abart Holdings LLC*, 10 NY3d 943; *Riverside Syndicate, Inc. v Munroe*, 10 NY3d 18; *Matter of 85 E. Parkway Corp. v New York State Div. of Hous. & Community Renewal*, 297 AD2d 675; *Krebs v Canyon Club, Inc.*, 22 Misc 3d 1125[A], 2009 NY Slip Op 50291[U]; *People ex rel. McLaughlin v Board of Police Commrs. of City of Yonkers*, 174 NY 450.) III. This action satisfies CPLR 901 (a)'s five requirements for class certification. (*Kudinov v Kel-Tech Constr. Inc.*, 65 AD3d 481; *City of New York v Maul*, 14 NY3d 499; *Friar v Vanguard Holding Corp.*, 78 AD2d 83; *Daniel v New York State Div. of Hous. & Community Renewal*, 179 Misc 2d 452; *Osarczuk v Associated Univs., Inc.*, 82 AD3d 853; *Roberts v Tishman Speyer Props., L.P.*, 89 AD3d 444; *Pludeman v Northern Leasing Sys., Inc.*, 74 AD3d 420; *Globe Surgical Supply v GEICO Ins. Co.*, 59 AD3d 129; *Pruitt v Rockefeller Ctr. Props.*, 167 AD2d 14; *Ackerman v Price Waterhouse*, 252 AD2d 179.)

Belkin Burden Wenig & Goldman, LLP, New York City (*Magda L. Cruz, Sherwin Belkin* and *Steven Kirkpatrick* of counsel), for appellant in the second above-entitled action. I. Plaintiff is barred from class certification under CPLR 901 (b) and cannot waive statutory penalties. (*Sperry v Crompton Corp.*, 8 NY3d 204; *Matter of H.O. Realty Corp. v State of N.Y. Div. of Hous. & Community Renewal*, 46 AD3d 103; *Matter of Myeong Cheol Kim v New York State Div. of Hous. & Community Renewal, Off. of Rent Admin.*, 249 AD2d 478; *Matter of 10th St. Assoc. LLC v New York State Div. of Hous. & Community Renewal*, 34 Misc 3d 1240[A], 2012 NY Slip Op 50484[U]; 212 W. 22 *Realty v Fogarty*, 1 Misc 3d 905[A], 2003 NY Slip Op 51517[U]; *Asher v Abbott Labs.*, 290 AD2d 208; *Rudgayzer & Gratt v LRS Communications, Inc.*, 6 Misc 3d 20, 22 AD3d 148; *Klapak v Pappas*, 79 AD2d 602; *Matter of Empire Blue Cross & Blue Shield Customer Litig.*, 164 Misc 2d 350; *Mohassel v Fenwick*, 5 NY3d 44.) II. Plaintiff failed to establish her entitlement to class certification under CPLR 901 (b). (*Ackerman v Price Waterhouse*, 252 AD2d 179; *Globe Surgical Supply v GEICO Ins. Co.*, 59 AD3d 129; *Pludemman v Northern Leasing Sys., Inc.*, 74 AD3d 420; *Cardona v Maramont Corp.*, 2009 NY Slip Op 32695[U]; *Consolidated Rail Corp. v Town of Hyde Park*, 47 F3d 473; *Bloom v Cunard Line*, 76 AD2d 237; *Alix v Wal-Mart Stores, Inc.*, 16 Misc 3d 844, 57 AD3d 1044; *Small v Lorillard Tobacco Co.*, 94 NY2d 43; *Gordon v Ford Motor Co.*, 260 AD2d 164; *Gaynor v Rockefeller*, 15 NY2d 120.) III. Plaintiff's motion for class certification should have been denied on procedural grounds. (*Rebibo v Axton Owners, Inc.*, 2012 NY Slip Op 30109[U]; *Guzman v Mike's Pipe Yard*, 35 AD3d 266.)

Bernstein Liebhard LLP, New York City (*Christian Siebott, Gabriel G. Galletti* and *Heather V. Lynch* of counsel), for respondent in the second above-entitled action. I. CPLR 901 (b) does not bar this case from being maintained as a class action under Rent Stabilization Law of 1969 (Administrative Code of City of NY) § 26-516. (*Weinberg v Hertz Corp.*, 116 AD2d 1, 69 NY2d 979; *Super Glue Corp. v Avis Rent A Car Sys.*, 132 AD2d 604, 77 NY2d 801; *Cox v Microsoft Corp.*, 8 AD3d 39; *Pesantez v Boyle Envtl. Servs.*, 251 AD2d 11; *Ridge Meadows Homeowners' Assn. v Tara Dev. Co.*, 242 AD2d 947; *Klapak v Pappas*, 79 AD2d 602; *Russo & Dubin v Allied Maintenance Corp.*, 95 Misc 2d 344; *Hauptman v Helena Rubinstein, Inc.*, 114 Misc 2d 935; *Life & Casualty Ins. Co. of Tenn. v McCray*, 291 US 566.) II. New York public policy and Rent Stabilization Code (9 NYCRR) § 2520.13 do not prevent respondent from waiving penalty damages. (*Drucker v Mauro*, 30 AD3d 37, 7 NY3d 844; 390 W. End

Assoc. v Harel, 298 AD2d 11; *Estro Chem. Co. v Falk*, 303 NY 83; *Matter of Matinzi v Joy*, 60 NY2d 835; *Georgia Props., Inc. v Dalsimer*, 39 AD3d 332; *Manocherian v Lenox Hill Hosp.*, 84 NY2d 385; *Riverside Syndicate, Inc. v Munroe*, 10 NY3d 18; 390 W. End *Assoc. v Harel*, 298 AD2d 11.) III. This action satisfies CPLR 901 (a)'s five requirements for class certification. (*Kudinov v Kel-Tech Constr. Inc.*, 65 AD3d 481; *Roberts v Tishman Speyer Props., L.P.*, 62 AD3d 71, 13 NY3d 270; *SAP V/ATLAS 845 WEA Assoc. NF LLC v Jannelli*, 30 Misc 3d 75; *Pludeman v Northern Leasing Sys., Inc.*, 74 AD3d 420; *City of New York v Maul*, 14 NY3d 499; *Dabrowski v Abax Inc.*, 84 AD3d 633; *Friar v Vanguard Holding Corp.*, 78 AD2d 83; *Gersten v 56 7th Ave. LLC*, 88 AD3d 189; *Adler v Ogden CAP Props., LLC*, 42 Misc 3d 613; *Charron v Wiener*, 731 F3d 241.) IV. Appellant's procedural arguments are groundless. (*Cohn v Goldman*, 76 NY 284; *PT. Bank Cent. Asia v Chinese Am. Bank*, 229 AD2d 224; *Wilder v May Dept. Stores Co.*, 23 AD3d 646; *Ackerman v Price Waterhouse*, 252 AD2d 179; *Rebibo v Axton Owner LLC*, 2012 NY Slip Op 30109[U]; *Katz v NVF Co.*, 100 AD2d 470; *Surowitz v Hilton Hotels Corp.*, 383 US 363; *Advanced Magnetic Closures, Inc. v Rome Fastener Corp.*, 607 F3d 817; *Guzman v Mike's Pipe Yard*, 35 AD3d 266; *Tishman Constr. Corp. of N.Y. v City of New York*, 280 AD2d 374.)

Pryor Cashman LLP, New York City (*Todd E. Soloway*, *David C. Rose*, *Joshua D. Bernstein* and *Bryan T. Mohler* of counsel), and *Michael B. Kramer & Associates*, New York City (*Michael B. Kramer* of counsel), for appellants in the third above-entitled action. I. CPLR 901 (b) bars class actions to recover the statutory penalties imposed by Rent Stabilization Law of 1969 (Administrative Code of City of NY) § 26-516 (a). (*Sperry v Crompton Corp.*, 8 NY3d 204; *Mohassel v Fenwick*, 5 NY3d 44; *Matter of Raritan Dev. Corp. v Silva*, 91 NY2d 98; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Riley v County of Broome*, 95 NY2d 455; *Matter of Astoria Gas Turbine Power, LLC v Tax Commn. of City of N.Y.*, 14 AD3d 553; *Matter of Chemical Specialties Mfrs. Assn. v Jorling*, 85 NY2d 382; *Bender v Jamaica Hosp.*, 40 NY2d 560; *Vallone v Delpark Equities*, 95 Misc 2d 161.) II. A class action plaintiff cannot waive a penalty imposed under the Rent Stabilization Law of 1969. (*Cox v Microsoft Corp.*, 8 AD3d 39; *Pesantez v Boyle Envtl. Servs.*, 251 AD2d 11; *Asher v Abbott Labs.*, 290 AD2d 208; *Sperry v Crompton Corp.*, 8 NY3d 204; *Drucker v Mauro*, 30 AD3d 37; *Riverside Syndicate, Inc. v Munroe*, 39 AD3d 256, 10 NY3d 18; *Extell Belnord LLC v Uppman*, 113 AD3d 1; 390 W. End *Assoc.*

v Harel, 298 AD2d 11; *Avon Bard Co. v Aquarian Found.*, 260 AD2d 207; *Jazilek v Abart Holdings LLC*, 10 NY3d 943.)

Emery Celli Brinckerhoff & Abady LLP, New York City (*Matthew D. Brinckerhoff* and *Hayley Horowitz* of counsel), and *Himmelstein McConnell Gribben Donoghue & Joseph*, New York City (*William Gribben*, *David Hershey-Webb* and *Ronald S. Languedoc* of counsel), for respondents in the third above-entitled action. I. Plaintiffs may forgo the class-wide pursuit of treble damages under Rent Stabilization Law of 1969 (Administrative Code of City of NY) § 26-516 (a). (*Matter of H.O. Realty Corp. v State of N.Y. Div. of Hous. & Community Renewal*, 46 AD3d 103; *Amerelay, Inc. v Directomat, Inc.*, 7 AD2d 388; *Pierpoint v Hoyt*, 260 NY 26; *Mitchell v New York Hosp.*, 61 NY2d 208; *Matter of New York, Lackawanna & W. R.R. Co.*, 98 NY 447; *Lex 33 Assoc. v Grasso*, 283 AD2d 272; *Extell Belnord LLC v Uppman*, 113 AD3d 1; *Riverside Syndicate, Inc. v Munroe*, 10 NY3d 18; *Estro Chem. Co. v Falk*, 303 NY 83.) II. CPLR 901 (b) does not prohibit plaintiffs' class action. (*Commonwealth of the N. Mariana Is. v Canadian Imperial Bank of Commerce*, 21 NY3d 55; *Roberts v Tishman Speyer Props., L.P.*, 13 NY3d 270; *Sperry v Crompton Corp.*, 8 NY3d 204; *Cox v Microsoft Corp.*, 8 AD3d 39; *Ridge Meadows Homeowners' Assn. v Tara Dev. Co.*, 242 AD2d 947; *Super Glue Corp. v Avis Rent A Car Sys.*, 132 AD2d 604; *Pesantez v Boyle Envtl. Servs.*, 251 AD2d 11; *Weinberg v Hertz Corp.*, 116 AD2d 1; *Krebs v Canyon Club, Inc.*, 22 Misc 3d 1125[A], 2009 NY Slip Op 50291[U]; *Lamarca v Great Atl. & Pac. Tea Co., Inc.*, 16 Misc 3d 1115[A], 2007 NY Slip Op 51424[U], 55 AD3d 487.) III. Allowing this action to proceed furthers the policies of Rent Stabilization Law of 1969 (Administrative Code of City of NY) § 26-516 (a) and CPLR article 9. (*Mohassel v Fenwick*, 5 NY3d 44; *Leider v Ralfe*, 387 F Supp 2d 283; *Brzychnalski v Unesco, Inc.*, 35 F Supp 2d 351; *Pruitt v Rockefeller Ctr. Props.*, 167 AD2d 14; *Liechtung v Tower Air*, 269 AD2d 363; *Sperry v Crompton Corp.*, 8 NY3d 204; *Roberts v Tishman Speyer Props., L.P.*, 13 NY3d 270; *72A Realty Assoc. v Lucas*, 101 AD3d 401; *Dugan v London Terrace Gardens, L.P.*, 34 Misc 3d 1240[A], 2011 NY Slip Op 52501[U], 101 AD3d 648; *Friar v Vanguard Holding Corp.*, 78 AD2d 83.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

We hold that CPLR 901 (b) permits otherwise qualified plaintiffs to utilize the class action mechanism to recover

compensatory overcharges under *Roberts v Tishman Speyer Props., L.P.* (13 NY3d 270 [2009]), even though Rent Stabilization Law of 1969 (RSL) (Administrative Code of City of NY) § 26-516 does not specifically authorize class action recovery and imposes treble damages upon a finding of willful violation. We find the recovery of the base amount of rent overcharge to be actual, compensatory damages, not a penalty, within the meaning of CPLR 901 (b). We also do not believe it contravenes the letter or the spirit of the RSL or CPLR 901 (b) to permit tenants to waive treble damages in these circumstances—when done unilaterally and through counsel.

Facts and Procedural History

In all three of these putative class actions, plaintiffs are current or former tenants of separate apartment buildings in New York City who seek damages for rent overcharges. They allege that their units were decontrolled in contravention of RSL § 26-516 (a) because their landlords accept tax benefits pursuant to New York City's J-51 tax abatement program (now Administrative Code of City of NY § 11-243). To qualify for the J-51 program exemption, landlords must relinquish their rights under the decontrol provisions of the RSL while they benefit from the exemption.

Plaintiffs' claims arose out of this Court's decision in *Roberts*, where we held that a landlord receiving the benefit of a J-51 tax abatement may not deregulate any apartment in the building pursuant to the luxury decontrol laws (13 NY3d at 286). Prior to *Roberts*, the New York State Division of Housing and Community Renewal (DHCR) took the position that where participation in the J-51 program was not the sole reason for the rent-regulated status of a building, particular apartments could be luxury decontrolled. As a consequence, many landlords decontrolled particular apartments in their buildings, charging tenants market rents, while at the same time receiving J-51 tax abatements. In *Roberts*, we did not address the legitimacy of the putative class action, but we now address the issue.

All plaintiffs initially sought treble damages in their complaints, but then waived that demand through attorney affirmation. Because of the number of plaintiffs from each building who seek damages for rent overcharges, the question arises whether these claims can properly be brought as class actions.

The *Borden* defendant appeals from a unanimous Appellate Division order affirming a Supreme Court grant of plaintiff's

motion for class certification (*Borden v 400 E. 55th St. Assoc., L.P.*, 105 AD3d 630 [1st Dept 2013]). The Supreme Court held that CPLR 901 (b) permits waiver of penalties and “allow[s] the claims for compensatory damages only to continue” (*Borden v 400 E. 55th St. Assoc. L.P.*, 34 Misc 3d 1202[A], 2011 NY Slip Op 52322[U], *5 [Sup Ct, NY County 2011]). The court found that treble damages are not mandatory because the “trebling penalty is not available where a landlord can prove that the overcharge was not willful,” and “the post *Roberts* jurisprudence has rejected the trebling of damages . . . because the market rents were charged in accordance with DHCR rules and regulations” (*id.*). Further, any class member wanting to seek treble damages would be able to opt out of the class to protect his or her interests (2011 NY Slip Op 52322[U], *4). The Appellate Division agreed, concluding that plaintiff properly waived treble damages under RSL § 26-516 (a), and the waiver permitted her to bring her claims as a class action under CPLR 901 (b) (*Borden*, 105 AD3d 630 [1st Dept 2013]).

In *Gudz*, defendant appeals an Appellate Division order affirming, by a 3-2 vote, the Supreme Court grant of class certification (*Gudz v Jemrock Realty Co., LLC*, 105 AD3d 625 [1st Dept 2013]). As the record in *Gudz* indicates, Supreme Court also rejected the argument that the RSL mandates treble damages, remarking that “[c]ourts have consistently held that plaintiffs may waive the penalty portion of a statute that would otherwise render the action ineligible for class certification.” The Appellate Division majority concluded the same, finding that waiver of the treble damages provision does not violate CPLR 901 (b) or the RSL because CPLR 901 (b) allows waiver of a penalty, and the RSL does not mandate treble damages (*see Gudz*, 105 AD3d at 625-626). Because “treble damages are not the sole measure of recovery” and a landlord may overcome the presumption of willfulness, the penalty was not mandatory and plaintiff’s claim for overcharges and interest did not fall within the definition of a penalty under CPLR 901 (b) (*id.* at 625-626). “[E]ven though such recovery is denominated a penalty by the RSL,” it is not a penalty “because [claims for overcharges and interest] lack a punitive, deterrent and litigation-incentivizing purpose and are, in fact, compensatory” (*id.* at 626 [citation omitted]). The dissenting Justices contended that plaintiff’s waiver of the treble damages remedy “circumvent[ed] the clear intent of CPLR 901 (b), which is to preclude the maintenance of a class action suit seeking a penalty” (*id.* at 627). Conceding

that plaintiff's request for the first third (the base amount) of the treble damages award was compensatory, the dissenters maintained, however, that the RSL mandated the imposition of treble damages pursuant to the presumption that an overcharge is willful and asserted that any waiver of the RSL's provisions was void (*id.* at 627-628). They also disputed the protection that an opt-out clause would provide, contending that members may be bound by a waiver they did not make and be unable to take advantage of all the remedies available to them (*id.* at 629).

The *Downing* defendants appeal an Appellate Division order reversing the Supreme Court dismissal of plaintiffs' complaint. In granting defendants' motion to dismiss, Supreme Court asserted that CPLR 901 (b) prohibited class actions for claims seeking penalties, and the RSL forbade waiver of treble damages. In reversing and reinstating the complaint, the Appellate Division majority held that the class action could be brought under CPLR 901 (b) because plaintiffs waived treble damages and "even where a statute creates or imposes a penalty, the restriction of CPLR 901 (b) is inapplicable where the class representative seeks to recover only actual damages and waives the penalty on behalf of the class" provided that class members have the opportunity to opt out of the class to seek punitive damages (*Downing v First Lenox Terrace Assoc.*, 107 AD3d 86, 89 [1st Dept 2013]). The court also concluded that a unilateral waiver complies with the Rent Stabilization Code's prohibition of any *agreement* to waive its provisions (*see id.* at 89-90). The majority remanded for further proceedings to evaluate whether the allegations satisfy factors for class certification under CPLR 901 (a).

In each case, the Appellate Division certified a question to this Court.

Discussion

Rent Stabilization Law § 26-516 (a) states, in relevant part, that any landlord "found . . . to have collected an overcharge above the rent authorized for a housing accommodation . . . shall be liable to the tenant for a penalty equal to three times the amount of such overcharge" but "[i]f the owner establishes by a preponderance of the evidence that the overcharge was not willful, the state division of housing and community renewal shall establish the penalty as the amount of the overcharge plus interest" (RSL § 26-516 [a]). It provides that "[i]n no event shall such treble damage penalty be assessed against an owner

based solely on said owner's failure to file a timely or proper initial or annual rent registration statement" (RSL § 26-516 [a]). Further, "no determination of an overcharge and no award or calculation of an award of the amount of an overcharge may be based upon an overcharge having occurred more than four years before the complaint is filed" and "[n]o penalty of three times the overcharge may be based upon an overcharge having occurred more than two years before the complaint is filed" (RSL § 26-516 [a] [2]).

CPLR 901 (b) prohibits any claim for penalties to be brought as a class action. It states, "[u]nless a statute creating or imposing a penalty, or a minimum measure of recovery specifically authorizes the recovery thereof in a class action, an action to recover a penalty, or minimum measure of recovery created or imposed by statute may not be maintained as a class action" (CPLR 901 [b]). The language of CPLR 901 (b) itself says it is not dispositive that a statute imposes a penalty so long as the action brought pursuant to that statute does not seek to recover the penalty.

This view is bolstered by the legislative history of CPLR 901 (b), which provides that the statute requires a liberal reading and allows class-action recovery of actual damages despite a statute's additional provision of treble damages (Sponsor's Mem, Bill Jacket, L 1975, ch 207). Assemblyman Fink, the bill's sponsor, explained the purpose of CPLR 901 (b), stating that "[t]he bill . . . precludes a class action based on a statute creating or imposing a penalty . . . unless the specific statute allows for a class action," but "[a] statutory class action for *actual damages* would still be permissible" (Sponsor's Mem at 2, Bill Jacket, L 1975, ch 207 [emphasis added]). In other words, "if the members of a class who would be entitled to a penalty sue only for their actual damages, they may do so in a class action" (Mem of St Consumer Protection Bd at 4, Bill Jacket, L 1975, ch 207). Waiver does not circumvent CPLR 901 (b); on the contrary, the drafters not only foresaw but intended to enable plaintiffs to waive penalties to recover through a class action. Citing this Court's decision in *Moore v Metropolitan Life Ins. Co.* (33 NY2d 304, 313 [1973]), in which we commended the legislature for its "comprehensive proposal to provide a broadened scope and a more liberal procedure for class actions," the legislature intended for CPLR 901 (b) to be interpreted liberally, and be a stark contrast from the former statute "which fail[ed] to accommodate pressing needs for an effective, flexible and balanced

group remedy” (Sponsor’s Mem at 1, Bill Jacket, L 1975, ch 207; *see also City of New York v Maul*, 14 NY3d 499, 509 [2010] [requiring liberal interpretation of class action statute]).

[1] The legislature paid particular attention to the Bankers Association and Empire State Chamber of Commerce when devising CPLR 901 (b) and their fear that plaintiffs would receive penalties far above their “actual damages sustained” (Mem of Empire St Chamber of Commerce at 3-4, Bill Jacket, L 1975, ch 207; *see* Mem of NY St Bankers Assn, Bill Jacket, L 1975, ch 207). The legislature added CPLR 901 (b) specifically to address this fear, intending to limit class actions to actual damages. It is abundantly clear that plaintiffs seek a refund, i.e. actual damages, which CPLR 901 (b) did not intend to bar.

From a policy standpoint, permitting plaintiffs to bring these claims as a class accomplishes the purpose of CPLR 901 (b). Preemptively responding to the argument raised by defendants here, the State Consumer Protection Board emphasized the importance of class actions:

“The class action device responds to the problem of inadequate information as well as to the need for economies of scale” for “a person contemplating illegal action will not be able to rely on the fact that most people will be unaware of their rights—if even one typical person files a class action, the suit will go forward and the other members of the class will be notified of the action either during the proceedings or after a judgment is rendered in their favor” (Mem of St Consumer Protection Bd at 1, Bill Jacket, L 1975, ch 207).

Where a statute imposes a nonmandatory penalty, plaintiffs may waive the penalty in order to bring the claim as a class action—such as was the case for consumer fraud actions brought under section 349 (h)¹ of the General Business Law in the case of *Cox v Microsoft Corp.* (8 AD3d 39 [1st Dept 2004]; *see also*

1. General Business Law § 349 makes deceptive acts and practices unlawful, stating that

“any person who has been injured by reason of any violation of this section may bring an action in his own name to enjoin such unlawful act or practice, an action to recover his actual damages or fifty dollars, whichever is greater, or both such actions. The court may, in its discretion, increase the award of damages to an amount not to exceed three times the actual damages up to one thousand dollars, if the court finds the defendant willfully or

(n. cont’d)

Ridge Meadows Homeowners' Assn. v Tara Dev. Co., 242 AD2d 947 [4th Dept 1997]; *Super Glue Corp. v Avis Rent A Car Sys.*, 132 AD2d 604, 606 [2d Dept 1987]). Although the statute prescribed \$50 minimum damages to be awarded for a violation, the plaintiffs only sought actual damages, rendering CPLR 901 (b) inapplicable. Although CPLR 901 (b) intended to restrict the types of cases that could be brought as class actions, in our cases the CPLR is not contravened by allowing waiver because plaintiffs will not receive a windfall. They will only receive compensatory damages in the form of a refund of rent overcharges. In addition to prohibiting treble damages where the landlord disproves willfulness, the RSL carves out other instances where treble damages may not be applied, such as for rent registration filing errors (RSL § 26-516 [a]).

Defendants compare the language of the RSL to other statutes to support their contention that waiver is unavailable because the RSL mandates the assessment of treble damages. They contend that unless the landlord proves the overcharges were not willful, treble damages must be assessed, and this lack of discretion implies that no party may waive treble damages. However, the RSL's treble damages are only applied where defendant fails to disprove willfulness under the low standard of preponderance of the evidence in contrast to a statute like General Business Law § 340 (5),² where treble damages are the sole measure of recovery available to a private party and are awarded upon a finding of liability alone. Notably, in another Appellate Division case, a plaintiff in a General Business Law § 340 (5) case could not waive the treble damages provision to be certified as a class, the court saying “[treble damages] are mandatory, i.e., not discretionary or contingent upon a finding of bad faith” (*Asher v Abbott Labs.*, 290 AD2d 208, 209 [1st Dept 2002]; see also *Sperry v Crompton Corp.*, 8 NY3d 204, 213 [2007] [finding treble damages under General Business Law § 340 (5) to be a penalty within the meaning of CPLR 901 (b) but not addressing waiver]).

While RSL § 26-516 designates both the rent overcharge and treble damages as “penalties,” the Administrative Code and the

knowingly violated this section” (General Business Law § 349 [h]).

2. General Business Law § 340 (5) prohibits monopolies and states that “any person who shall sustain damages by reason of any violation of this section, shall recover three-fold the actual damages sustained thereby, as well as costs not exceeding ten thousand dollars, and reasonable attorneys’ fees.”

DHCR simultaneously refer to the rent overcharge as an “overcharge award” (RSL § 26-516 [a] [2]; DHCR Policy Statement 95-1 [Dec. 6, 1995]) and a “refund payment” (Administrative Code of City of NY § 26-413 [referring to rent control as opposed to rent stabilization]). The RSL also clearly distinguishes between the compensatory “award” for which a four-year statute of limitations applies and the “penalty of three times the overcharge” for which a two-year statute of limitations applies (RSL § 26-516 [a] [2]). A plaintiff bringing an overcharge claim outside the two-year statute of limitations window would be prohibited from recovering treble damages, but could still recover actual damages.

Regardless of the nomenclature, even if the Administrative Code and Policy Statement had consistently called the compensatory overcharge a penalty, the Administrative Code’s terminology alone would not be dispositive. Judge Cardozo eruditely observed that although a statute spoke of a payment due “as a penalty,” it is only so “in a loose sense” and “[f]orms and phrases of this kind, accurate enough for rough identification or convenient description, do not carry us very far” in determining the statutory meaning (*Cox v Lykes Bros.*, 237 NY 376, 380 [1924]). Continuing, he cautioned us “to remember that the same provision may be penal as to the offender and remedial as to the sufferer” and “[t]he nature of the problem will determine whether we are to take one viewpoint or the other” (*id.* at 380). As Judge Cardozo alluded, the word penalty does have a specific definition that does not apply to actual damages. “[A] statute imposes a penalty when the amount of damages that may be exacted from the defendant would exceed the injured party’s actual damages” (Vincent C. Alexander, Practice Commentaries, McKinney’s Cons Laws of NY, Book 7B, CPLR C901:11 at 104 [2006 ed]).

This Court signaled that the “determination of whether a certain provision constitutes a penalty may vary depending on the context” (*Sperry*, 8 NY3d at 213). In *Sperry*, where we found the treble damages provision of General Business Law § 340 (5) constituted a penalty, we also found that “one third of the award unquestionably compensates a plaintiff for actual damages” while “the remainder necessarily punishes . . . violations, deters such behavior (the traditional purposes of penalties) or encourages plaintiffs to commence litigation” (*Sperry*, 8 NY3d at 214). We disallowed class action recovery in *Sperry*, but the plaintiff plainly sought treble damages, refusing to waive the

penalty (*id.* at 215). Plaintiffs here seek that first third of the treble damages award, which we have determined is a compensatory form of relief.

This Court has already found the same provision of the RSL to provide compensatory forms of relief—the provision serves to make the tenant whole, in addition to granting a separate punitive award of treble damages. As we stated in *Mohassel v Fenwick*, the provisions of RSL § 26-516 (a), which “establish the penalty as the amount of the overcharge plus interest . . . are designed . . . to compensate the tenant” (5 NY3d 44, 50 [2005] [emphasis added]). There, we held that “[t]he imposition of prejudgment interest ensures that injured tenants will be made whole” (*Fenwick*, 5 NY3d at 51). Reading the interest provision as punitive would be “inconsistent with the purpose of overcharge proceedings to fully compensate tenants when owners fail to comply with rent stabilization requirements” (*Fenwick*, 5 NY3d at 51). We emphasized that the award refunded the tenant since the landlord “had the use of the tenant’s money . . . while the tenant was deprived of it” (*Fenwick*, 5 NY3d at 52). The same circumstance arises here where the landlord overcharges a tenant, holds that money for a time, and then must pay it back. When a store overcharges a customer who later brings in the receipt seeking a refund of the overcharge, no one could argue that repayment penalizes the store—the money always belonged to the customer. As we found in *Fenwick*, we find here that the first third of the treble damages award merely compensates the tenant and CPLR 901 (b) does not apply to such a nonpunitive claim.

It is ironic that landlords here argue that tenants *must* bring multiple actions for the greatest (treble) damages. They also cite the State’s long history of protecting tenants’ rights when arguing that waiver contravenes the purpose of the RSL.

Defendants alternatively argue that even if treble damages are not mandatory, tenants’ waiver of the provision contravenes the language and intent of section 2520.13 of the Rent Stabilization Code, which prohibits an agreement waiving any provisions of the RSL (9 NYCRR 2520.13). But tenants may waive a provision unilaterally (not through an agreement with the landlord), and still comply with the letter and the spirit of the law. The Rent Stabilization Code says as much when it allows tenants to withdraw claims through a negotiated settlement, or with the approval of the DHCR or a court, or where the tenant is represented by counsel (9 NYCRR 2520.13). Where courts have

denied a tenant's waiver, the evidence demonstrated that the landlord and tenant were either colluding to deregulate apartments or that the tenants were being manipulated by contracts of adhesion (see *Drucker v Mauro*, 30 AD3d 37, 39 [1st Dept 2006]).

Here, there is no evidence that tenants are being coerced to waive the treble damages provision or that there is any collusion between the landlords and the tenants. The tenants by themselves, and in opposition to the landlords' wishes, are opting to waive treble damages because they believe they will be more protected through a class action that finds that deregulation was illegal and gives them compensation for the overcharges. This protects tenants and preserves rent regulation, fulfilling the most significant purpose of the RSL. The tenants' waiver here is unilateral, supported by court order, and made with representation by counsel.

As the lower courts noted, treble damages would be unavailable to the tenants because a finding of willfulness is generally not applicable to cases arising in the aftermath of *Roberts*. For *Roberts* cases, defendants followed the Division of Housing and Community Renewal's own guidance when deregulating the units, so there is little possibility of a finding of willfulness (*Borden*, 34 Misc 3d 1202[A], 2011 NY Slip Op 52322[U] [Sup Ct, NY County 2011]). Only after the *Roberts* decision did the DHCR's guidance become invalid.

Although the dissenters in *Roberts* predicted numerous cases would arise out of the *Roberts* decision, the ubiquity of the wrong must be addressed, and that their foresight has proved correct supports class certification for reasons of judicial economy.

[2] As to the question of whether the putative classes meet the standards for class certification, the nature of CPLR 901 (a) places determination of those factors "within the sound discretion of the trial court" (*Small v Lorillard Tobacco Co.*, 94 NY2d 43, 52-53 [1999]) and "reviewable by us only for an abuse of discretion" (*Corsello v Verizon N.Y., Inc.*, 18 NY3d 777, 791 [2012], *rearg denied* 19 NY3d 937 [2012]; *City of New York v Maul*, 14 NY3d 499, 509 [2010]). In *Borden* and *Gudz*, the courts below thoroughly evaluated the five prerequisites that CPLR 901 (a) requires to be satisfied before a class may be certified, and thus the Appellate Division did not abuse its discretion in affirming those determinations. The prerequisites are:

“(1) the class is so numerous that joinder of all members . . . is impracticable;

“(2) there are questions of law or fact common to the class which predominate over any questions affecting only individual members;

“(3) the claims or defenses of the representative parties are typical . . . of the class;

“(4) the representative parties will fairly and adequately protect the interests of the class; and

“(5) a class action is superior to other available methods for the fair and efficient adjudication of the controversy” (see CPLR 901 [a]).

As to the first factor, numerosity, the legislature contemplated classes involving as few as 18 members (Mem of St Consumer Protection Bd at 8 n 11, Bill Jacket, L 1975, ch 207) where the members would have difficulty communicating with each other, such as where “barriers of distance, cost, language, income, education or lack of information prevent those who are aware of their rights from communicating with others similarly situated” (Mem of St Consumer Protection Bd at 3, Bill Jacket, L 1975, ch 207). Such reasoning would apply to the cases here, where tenants have moved out of the building. In these cases, the classes range in size from 53 to over 500 members, well above the numerosity threshold contemplated by the legislature and approved by courts (*Consolidated Rail Corp. v Town of Hyde Park*, 47 F3d 473, 483 [2d Cir 1995] [“numerosity is presumed at a level of 40 members”]).

As to predominance and typicality, the predominant legal question involves one that applies to the entire class—whether the apartments were unlawfully deregulated pursuant to the *Roberts* decision (*Borden*, 105 AD3d at 631). It should be noted that the legislature enacted CPLR 901 (a) with a specific allowance for class actions in cases where damages differed among the plaintiffs, stating “the amount of damages suffered by each class member typically varies from individual to individual, but that fact will not prevent the suit from going forward as a class action if the important legal or factual issues involving liability are common to the class” (Mem of St Consumer Protection Bd at 3, Bill Jacket, L 1975, ch 207).

The courts’ evaluation of the adequacy of each representative was more than sufficient. Having found no substantiated

conflicts between the tenants and a representative with “adequate understanding of the case,” and competent attorneys (*Borden*, 105 AD3d at 631), we conclude that allowing tenants to opt out of the class avoids any question of the adequacy of the class representation pursuant to CPLR 901 (a) (*Pesantez v Boyle Envtl. Servs.*, 251 AD2d 11, 12 [1st Dept 1998]). Finally, to preserve judicial resources, class certification is superior to having these claims adjudicated individually.

In conclusion, maintaining the actions as class actions does not contravene the letter or the spirit of the CPLR or Rent Stabilization Law. Accordingly, in each case, the order of the Appellate Division should be affirmed, with costs, and the certified question answered in the affirmative.

SMITH, J. (dissenting). Defendants argue that these are actions “to recover a penalty” because the treble damages remedy in Rent Stabilization Law of 1969 (RSL) (Administrative Code of City of NY) § 26-516 (a) is not waivable; because even if it were waivable under the statute that authorizes it, Rent Stabilization Code (9 NYCRR) § 2520.13 prohibits a waiver; and because in any event, even without trebling, the remedy provided by RSL § 26-516 (a) is a penalty. None of these arguments is without merit, but I will not stop to consider the first two, because I am satisfied that the third is correct. An action under RSL § 26-516 (a) to recover a rent overcharge, whether trebled or not, is “an action to recover a penalty . . . created or imposed by statute” and therefore “may not be maintained as a class action” (CPLR 901 [b]). (It is not disputed that the RSL, though technically a chapter of the Administrative Code of City of NY [tit 26, ch 4], is a “statute” within the meaning of the CPLR provision.)

The simplest and best reason to hold that even the untrebled remedy is a penalty is that the statute says it is. Section 26-516 (a) says:

“Subject to the conditions and limitations of this subdivision, any owner of housing accommodations who . . . is found . . . to have collected an overcharge above the rent authorized for a housing accommodation subject to this chapter shall be liable to the tenant for a penalty equal to three times the amount of such overcharge. . . . If the owner establishes by a preponderance of the evidence that the overcharge was not willful, the state division of

housing and community renewal shall establish *the penalty as the amount of the overcharge plus interest*” (emphasis added).

It could hardly be said more plainly that the authors of the RSL considered “the amount of the overcharge plus interest”—without trebling—to be a “penalty.”

Our cases make clear that, in deciding whether a particular remedy is a penalty or not, the label chosen by the authors of the legislation in question is ordinarily dispositive. “[T]his Court has stated that, where a statute expressly denominates an enhanced damages provision to be compensatory in nature, it will not be deemed a penalty” (*Sperry v Crompton Corp.*, 8 NY3d 204, 212-213 [2007] [citing cases]). The reverse should also be true; where the statute says a remedy is a penalty, it is one. At least, we would not be justified in rejecting the legislative label unless it were plain that it is a misnomer—that the single overcharge remedy, though called a penalty, is in fact a purely compensatory remedy. Here, there is ample justification for the legislative choice to call this remedy a penalty.

While of course single-damages remedies are usually compensatory, the remedy provided by this RSL provision is unusual, because it awards monetary relief to people who have not, in economic reality, been damaged by the landlord misconduct of which they complain. In fact, these plaintiffs and others similarly situated are in a real sense beneficiaries of that misconduct. Where, as here, a landlord illegally charges a free-market rent for a rent-stabilized apartment, the result is that the apartment will be rented to someone able and willing to pay the market rent. If the landlord had complied with the law, the apartment would have been more affordable and many more tenants would have been happy to rent it—assuming that it had become vacant at all. It is most unlikely that any of the present plaintiffs, all of whom signed market-rent leases for their apartments, could have obtained the same apartments at the legal rent. But the statute, by requiring the overcharge to be refunded to them, effectively gives them what they could not have obtained; they are getting not compensation, but a significant windfall.

I am not criticizing the legislative choice to give this windfall to these plaintiffs. The choice makes sense—but only if the statute is seen not as compensating injured tenants, but as penalizing landlords. By being deprived of the money they have illegally received, the landlords are punished for their unlawful

conduct (though, because the misconduct was not wilful, the punishment is only one third as severe as it would otherwise be) and they and other landlords are deterred from future violations of the law. The result of this penalty, in the legislative scheme, is that landlords will be induced to comply with the rent limitations imposed by law and people who—unlike the present plaintiffs—cannot pay market rents will be able to find affordable housing.

I therefore conclude that the authors of RSL § 26-516 (a) had, at least, a reasonable basis for calling the untrebled remedy that plaintiffs here are seeking a “penalty.” Because it is a penalty, it may not be recovered in a class action.

In *Borden v 400 E. 55th St. Assoc.*: Order affirmed, with costs, and certified question answered in the affirmative.

Opinion by Chief Judge LIPPMAN. Judges GRAFFEO and RIVERA concur; Judge READ concurs in result for reasons stated in the memorandum at the Appellate Division (105 AD3d 630 [2013]); Judge SMITH dissents in an opinion in which Judge PIGOTT concurs; Judge ABDUS-SALAAM taking no part.

In *Gudz v Jemrock Realty Co., LLC*: Order affirmed, with costs, and certified question answered in the affirmative.

Opinion by Chief Judge LIPPMAN. Judges GRAFFEO and RIVERA concur; Judge READ concurs in result for reasons stated in the memorandum at the Appellate Division (105 AD3d 625 [2013]); Judge SMITH dissents in an opinion in which Judge PIGOTT concurs; Judge ABDUS-SALAAM taking no part.

In *Downing v First Lenox Terrace Assoc.*: Order affirmed, with costs, and certified question answered in the affirmative.

Opinion by Chief Judge LIPPMAN. Judges GRAFFEO and RIVERA concur; Judge READ concurs in result for reasons stated by Justice Richard T. Andrias at the Appellate Division (107 AD3d 86 [2013]); Judge SMITH dissents in an opinion in which Judge PIGOTT concurs; Judge ABDUS-SALAAM taking no part.

[23 NE3d 1008, 998 NYS2d 740]

KIMSO APARTMENTS, LLC, Successor by Merger to KIMSO APARTMENTS, INC., et al., Respondents, v MAHESH GANDHI, Appellant, and ARLINGTON FILLER et al., Respondents.

Argued October 21, 2014; decided November 25, 2014

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered March 13, 2013. The Appellate Division order, insofar as appealed from, modified, on the facts and in the exercise of discretion, so much of a judgment of the Supreme Court, Richmond County (John A. Fusco, J.), entered after a nonjury trial, as was in favor of defendant/counterclaim plaintiff and against plaintiffs/counterclaim defendants in the principal sum of \$1,700,000 plus interest on a counterclaim for payments due under a settlement agreement. The judgment was entered upon an order of that court (op 2011 NY Slip Op 34149[U] [2011]), which had, among other things, granted defendant/counterclaim plaintiff's application to conform the pleadings to the proof to include that counterclaim and for judgment thereon. The modification consisted of deleting the second, third, fourth, and fifth decretal paragraphs of the judgment. As modified, the Appellate Division affirmed the judgment insofar as appealed and cross-appealed from, denied the application to conform the pleadings to the proof to include a counterclaim for payments allegedly due pursuant to the settlement agreement, and for judgment on that counterclaim, and modified the order of Supreme Court accordingly.

Kimso Apts., LLC v Gandhi, 104 AD3d 742, reversed.

HEADNOTE

Pleading — Amendment — Conforming Pleading to Proof — Assertion of Counterclaim — Prejudice

In an action commenced by plaintiff/counterclaim defendant corporate successors in interest to corporations of which defendant/counterclaim plaintiff had been a shareholder and the daily manager for a judgment declaring that plaintiffs had a common-law right to offset the amount they owed to defendant under a settlement agreement against the amount he owed to them on certain promissory notes, the Appellate Division abused its discretion as a matter of law in denying defendant's application, made before he rested at a nonjury trial, to amend his pleading to assert a counterclaim for payments due to him under the settlement agreement. Under the circumstances, where plaintiffs admitted that they owed defendant the unpaid installments under

the settlement agreement and the trial evidence established as much, there was no operative prejudice to plaintiffs in allowing defendant's amendment to assert the counterclaim for all outstanding payments. A party may amend a pleading at any time by leave of court (CPLR 3025 [b]), before or after judgment to conform the pleading to the evidence (CPLR 3025 [c]), and, absent prejudice, courts are free to permit amendment even after trial. Here, statements in plaintiffs' pleadings that they owed defendant the settlement money constituted formal judicial admissions, which were conclusive upon them, and they did not seek from the court to be relieved of the consequences of those admissions. Plaintiffs also elicited evidence at trial that established the terms of the settlement agreement and their payment obligations to defendant—the very obligations that were the basis for defendant's counterclaim.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Pleading §§ 708–711, 713, 722–724.

CARMODY-WAIT 2d, Amendment of Pleadings §§ 34:17, 34:18, 34:23, 34:25, 34:29, 34:30, 34:47, 34:48.

McKINNEY'S, CPLR 3025 (b), (c).

NY JUR 2d, Appellate Review § 708; NY JUR 2d, Pleading §§ 225, 227, 236, 238, 239, 241–243, 247, 259.

SIEGEL, NY PRAC § 237.

ANNOTATION REFERENCE

See ALR Index under Amendment of Pleadings; Counterclaim, Recoupment, and Setoff.

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POINTS OF COUNSEL

Heller Horowitz Feit, P.C., New York City (*Eli Feit* and *Stuart A. Blander* of counsel), for appellant. I. There can be no prejudice suffered by a party, as a matter of law, from the grant of a motion to conform the pleadings to the proof to assert a claim against the party as to which claim a formal judicial and informal judicial admission of liability has already been made by the party. (715 *Ocean Parkway Owners Corp. v Klagsbrun*, 74 AD3d 1314; *Dinizio & Cook, Inc. v Duck Cr. Mar. at Three Mile Harbor, Ltd.*, 32 AD3d 989; *Cave v Kollar*, 2 AD3d 386; *Gonfiantini v Zino*, 184 AD2d 368; *Thailer v LaRocca*, 174 AD2d 731; *Loomis v Civetta Corinno Constr. Corp.*, 54 NY2d 18; *Mal Dunn Assoc. v Kranjac*, 145 AD2d 472; *People v Brown*, 98 NY2d 226;

Zegarowicz v Ripatti, 77 AD3d 650; *Urraro v Green*, 106 AD2d 567.) II. If plaintiffs' appeal is granted, on the ground that the settlement agreement did not broadly release all claims of the parties, then Mahesh Gandhi is entitled to judgment on his other counterclaims, which were dismissed by the trial court.

Wilson Elser Moskowitz Edelman & Dicker, LLP, White Plains (Robert A. Spolzino of counsel), for respondents. I. CPLR 3025 (c) does not permit a party, under the guise of amending the pleadings to conform to the proof, to interpose after trial an entirely new claim that directly contradicts the claim asserted in the pleading. (*Hoenig v Westphal*, 52 NY2d 605; *Hirsch v Stewart*, 63 AD3d 74; *Matter of Georgian Ct. Apt. Masis Parseghian v Assessor of Town of Orangetown*, 182 AD2d 978; *Loomis v Civetta Corinno Constr. Corp.*, 54 NY2d 18; *Dittmar Explosives v A. E. Ottaviano, Inc.*, 20 NY2d 498; *Murray v City of New York*, 43 NY2d 400.) II. The Appellate Division acted properly within its discretion in reversing and denying leave to amend. (*Krichmar v Krichmar*, 42 NY2d 858; *Murray v City of New York*, 43 NY2d 400; *Matter of Von Bulow*, 63 NY2d 221; *Levo v Greenwald*, 66 NY2d 962; *Mayers v D'Agostino*, 58 NY2d 696; *Loomis v Civetta Corinno Constr. Corp.*, 54 NY2d 18; 715 *Ocean Parkway Owners Corp. v Klagsbrun*, 74 AD3d 1314; *Bevilacqua v City of Niagara Falls*, 66 AD2d 988; *Dinizio & Cook, Inc. v Duck Cr. Mar. at Three Mile Harbor, Ltd.*, 32 AD3d 989; *Gonfiantini v Zino*, 184 AD2d 368.) III. Plaintiffs made no judicial admissions establishing liability on defendant's counterclaim for money damages under the settlement agreement. (*Bingham v New York City Tr. Auth.*, 99 NY2d 355; *Feigelson v Allstate Ins. Co.*, 31 NY2d 913; *Telaro v Telaro*, 25 NY2d 433; *Mendrzycki v Cricchio*, 58 AD3d 171; *Chalasani v Neuman*, 64 NY2d 879; *Schoenborn v Kinderhill Corp.*, 98 AD2d 831; *People v Brown*, 98 NY2d 226; *Imprimis Invs. v Insight Venture Mgt.*, 300 AD2d 109; *Perkins v Volpe*, 146 AD2d 617, 74 NY2d 791; *Matter of Kriete v Port Auth. of N.Y. & N.J.*, 208 AD2d 1075.) IV. Defendant should have been estopped by the inconsistent position he took before the IRS from arguing that the settlement agreement released his obligation under the promissory notes. (*Mahoney-Buntzman v Buntzman*, 12 NY3d 415; *Mikkelsen v Kessler*, 50 AD3d 1443.) V. Defendant is not entitled to recover on his counterclaims. (*Parochial Bus Sys. v Board of Educ. of City of N.Y.*, 60 NY2d 539; *Hecht v City of New York*, 60 NY2d 57; *Cognetta v Valencia Devs., Inc.*, 8 AD3d 318; *Phoenix Acquisition Corp. v Campcore, Inc.*, 81 NY2d 138.)

OPINION OF THE COURT

RIVERA, J.

Defendant/counterclaim plaintiff Mahesh Gandhi appeals an order of the Appellate Division that modified Supreme Court's judgment by denying Gandhi's application to amend his pleading to assert a counterclaim for payments Gandhi alleges are due to him under a settlement agreement. We conclude, as a matter of law, the Appellate Division abused its discretion in denying the amendment, and reverse and remit.

I

The underlying litigation in this appeal is based on claims that have roots in a now dissolved real estate business partnership between Gandhi, and his two associates, counterclaim defendants Arlington Filler and Darshan Shah. The individuals formed and held equal one-third interests in three corporations, Kimso Apartments, Inc., Poonam Apartments, Inc., and 185-225 Parkhill Corp. The corporations purchased residential properties in Staten Island, New York, consisting of multi-rental unit apartment buildings which were regulated and subsidized as affordable housing by the United States Department of Housing and Urban Development (HUD).

The corporations secured a \$20 million loan from HUD, \$11 million of which was allocated to rehabilitate and improve the properties to maximize rentals under the federal Section 8 housing subsidy program.¹ The remaining \$9 million was loaned to Gandhi, Filler and Shah as shareholder loans, evidenced by several promissory notes, of which Gandhi received \$2,970,000 pursuant to the notes he signed and for which he made regular interest payments.²

Over time, in 2001, Filler and Shah began to suspect that Gandhi, who was the daily manager of the corporations, was conspiring to overcharge for supplies and repairs. As the distrust towards Gandhi grew, Filler and Shah removed Gandhi as manager. Litigation among them and the corporations soon fol-

1. Section 8, or "[t]he Housing Choice Voucher Program," "is a federally-funded program that provides rental assistance to eligible low-income families to find affordable housing in the private rental market" (see New York City Housing Authority, Section 8 Assistance, <http://www.nyc.gov/html/nycha/html/section8/section8.shtml>).

2. Under the payment structure for these shareholder loans, the individuals' respective interest payments on the notes were offset by the corporations' interest payments on loans from the individuals to the corporations.

lowed. In May 2002, Gandhi filed a petition in state court to compel arbitration of disputes between them. The following month the corporations brought an action in federal court against Gandhi for, *inter alia*, breach of fiduciary duty and conversion based on his alleged theft from the corporations. Gandhi then filed a second state action for breach of contract, conversion, and breach of fiduciary duty.

In August 2002, the parties executed a settlement agreement to end the state and federal actions. Pursuant to this settlement agreement, Gandhi sold his one-third interest in the corporations, along with other entities, to Filler and Shah for \$1,648,000, to be paid in 120 equal monthly installments of \$20,000, including interest. As relevant here, the agreement contained a provision stating that the corporate and individual parties

“agree to hereby release, acquit, and forever discharge each other . . . of and from any and all claims, known and unknown, counterclaims, actions, causes of action . . . whatsoever of any kind, from the beginning of time until the present that they now have or that may accrue that are the subject of the [parties’] lawsuits herein.”

The agreement, however, did not expressly state whether it extinguished Gandhi’s shareholder loan obligation under the notes.

The corporate successors in interest to Kimso, Poonam and Parkhill, similarly named and now controlled solely by Filler and Shah, made 23 monthly payments to Gandhi, totaling \$460,000. Although Gandhi ceased paying interest on the notes, initially, the corporations did not seek payments. Finally, in November 2003, the corporations declared the notes due and in default, and sent Gandhi a demand notice.

The corporations then filed this action, seeking declaratory judgment that the corporations have a common-law right to offset the remaining amount they owed Gandhi under the settlement agreement against the money Gandhi owed the corporations on the shareholder loan notes.³ The complaint expressly asserted that, “if Plaintiffs fail to make the full payments to Defendant [Gandhi] as specified under [the settlement agree-

3. Plaintiffs Kimso, Poonam and Parkhill demanded to setoff \$1,055,394, \$1,120,926, and \$1,027,000, respectively, with interest, for a total of \$3,203,320.

ment], Plaintiffs would be in default of that agreement and Defendant Gandhi would be entitled to all its remedies in that Agreement.”

Gandhi answered, seeking rescission of the settlement agreement and reinstatement as a shareholder in the corporations, and asserting various other counterclaims. He also named Filler and Shah as individual counterclaim defendants, along with several other corporate entities.⁴

Several months later, in September 2004, the corporations ceased making the monthly payments as required by the settlement agreement. Thereafter, the corporations’ request for an offset against money they owed Gandhi, and Gandhi’s counter demand for money owed based on the corporations’ termination of payments, continued as the focus of the litigation, as reflected in the parties’ amended pleadings and motion practice.

The corporations’ amended complaint repleaded their demand for declaratory judgment and specific payments based on the offset cause of action.⁵ As before, the corporations asserted that they were entitled under their common-law right to offset the amount they owed Gandhi pursuant to the settlement agreement against the amount he owed them under the notes. They further stated they “are jointly and severally liable for the amounts due” Gandhi under the settlement agreement, and “if Plaintiffs fail to make the full payments to Defendant as specified under [sic] Settlement Agreement, Defendant may allege that Plaintiffs are in default of the Settlement Agreement and that Defendant would be entitled to all his remedies thereunder.”

In response, Gandhi’s amended answer asserted numerous counterclaims, and again sought rescission and corporate shareholder status reinstatement. However, he did not assert a counterclaim for back payments under the agreement. Two years later, the court granted plaintiffs partial summary judgment, dismissing Gandhi’s rescission claims.

The corporations subsequently moved and cross-moved for summary judgment on the declaratory judgment causes of action. Gandhi opposed and cross-moved for summary judgment,

4. Gandhi’s answer named as corporate counterclaim defendants Amity Park Associates, Drew Investment, Inc., Unithree Management, Inc., Unithree Investment Corp., Unithree Services Corp., and Eveready Security, Inc.

5. Plaintiffs further sought return of money Gandhi allegedly misappropriated from the corporate entities named as counterclaim defendants in Gandhi’s answer.

seeking dismissal of the declaratory judgment causes of action, and demanding judgment for him on his counterclaims, and “judgment in [his] favor for the amounts due from [the corporations] under the Settlement Agreement, with interest and attorneys fees.” In his supporting affidavit, Gandhi asserted that “plaintiffs acknowledge that they entered into a settlement agreement with me . . . , and that they presently owe me in excess of \$1 million (exclusive of accrued interest) under the terms of the settlement agreement.”

Plaintiff Parkhill opposed Gandhi’s cross motion, claiming that Gandhi failed to assert his demand for payments under the settlement agreement in his amended answer. Gandhi responded that he was not required to “affirmatively plead this relief as a counterclaim” because, “[u]pon dismissal of [the corporations] ‘set-off’ claims, it naturally follow[ed] that [he would be] entitled to immediately recover the *undisputed* monthly payments currently due and owing to him under the Settlement Agreement, with interest and attorneys fees.” In October 2009, Supreme Court denied the corporations’ motions as premature and denied Gandhi’s motion with leave to renew after discovery.

In October 2010, approximately a month before trial, respondents filed a motion in limine seeking to preclude Gandhi from presenting evidence of, or making a claim for, payments allegedly due to him under the settlement agreement. Gandhi opposed, arguing he did not “assert an affirmative claim for past-due settlement payments” because “the payments have always been an *acknowledged* obligation of the [corporations].” Gandhi further asserted that “it is well-settled that pursuant to CPLR § 3025 (c), pleadings may be conformed to the proof at any time, *even during or after trial*.” The court denied the motion, reserving decision until the conclusion of trial.

At trial, the court permitted the introduction of evidence regarding the settlement agreement and back payments allegedly owed to Gandhi. Counsel for plaintiff Parkhill questioned Gandhi about his negotiations with Filler and Shah concerning the buyout provision in the settlement agreement. The corporations also successfully proffered the settlement agreement into evidence. Gandhi testified as to the payments he was promised under the settlement agreement.

Before resting, Gandhi moved to conform the pleadings to the proof, seeking to assert a counterclaim for money currently owed him under the settlement agreement. Plaintiff Poonam

opposed, claiming prejudice based on Gandhi's delay in asserting the counterclaim, and asserting that Gandhi's claims were time-barred.

Supreme Court granted Gandhi's motion to amend, and subsequently entered judgment in his favor on the counterclaim against the corporations for \$2,186,787. After finding that the settlement agreement encompassed a release of all claims, including the claims on the notes, Supreme Court reasoned that the payments due Gandhi under the settlement agreement,

“although not plead [sic] by [Gandhi] in his counterclaims [have] been an intrinsic counterclaim since the onset of this litigation. [The corporations'] claim that they were entitled to withhold payments under the Settlement Agreement because they were entitled to payment under the Notes, while [Gandhi] raised the opposite as his defense. The inverse of that argument would then state that if this Court does not find the Corporations are entitled to repayment under the Notes, the Settlement Agreement payments must be due. Based upon this logic, the issue of the past due Settlement Agreement payments was present in the litigation from the very start, even though not specifically pled, and thus amendment of the answer is not prejudicial.” (2011 NY Slip Op 34149[U], *9-10 [2011].)

The court entered a sum-certain judgment because it was undisputed that the corporations ceased making payments under the settlement agreement in September 2004. The court further denied the corporations' request for a declaratory judgment, and denied all remaining claims and counterclaims.

Plaintiffs appealed the grant of the amendment request, and Gandhi cross-appealed from the dismissal of his claim for costs and legal fees. The Appellate Division modified the judgment on the facts, and in the exercise of its discretion reversed Supreme Court's judgment on Gandhi's counterclaim. (*Kimso Apts., LLC v Gandhi*, 104 AD3d 742 [2d Dept 2013].) The Appellate Division concluded Supreme Court should have denied Gandhi's request as barred by the doctrine of laches based on his extensive delay in seeking leave to amend. It further concluded that “the belated amendment” prejudiced the corporations by denying them the opportunity to present their defenses to the counterclaim (*id.* at 744). We granted Gandhi leave to appeal (22 NY3d 854 [2013]) and now reverse.

II

Under CPLR 3025, a party may amend a pleading “at any time by leave of court” (CPLR 3025 [b]), “before or after judgment to conform [the pleading] to the evidence” (CPLR 3025 [c]). A request to amend is determined in accordance with the general considerations applicable to such motion, including the statute’s direction that leave “shall be freely given upon such terms as may be just” (CPLR 3025 [b]; see *Murray v City of New York*, 43 NY2d 400, 405-406 [1977]). This favorable treatment applies “even if the amendment substantially alters the theory of recovery” (*Dittmar Explosives v A. E. Ottaviano, Inc.*, 20 NY2d 498, 502-503 [1967], citing CPLR 3025 [b], and *Weinstein-Korn-Miller*, NY Civ Prac ¶¶ 3013.05, 3025.26, 3025.28).

This Court has in the past recognized that, absent prejudice, courts are free to permit amendment even after trial (*Murray*, 43 NY2d at 405 [“(w)here no prejudice is shown, the amendment may be allowed ‘during or even after trial’ ”], citing *Dittmar*, 20 NY2d at 502, and David D. Siegel, Practice Commentaries, McKinney’s Cons Laws of NY, Book 7B, CPLR C3025:15 at 487 [1974 ed]). Prejudice is more than “the mere exposure of the [party] to greater liability” (*Loomis v Civetta Corinno Constr. Corp.*, 54 NY2d 18, 23 [1981]). Rather, “there must be some indication that the [party] has been hindered in the preparation of [the party’s] case or has been prevented from taking some measure in support of [its] position” (*id.*). The burden of establishing prejudice is on the party opposing the amendment (see *Caceras v Zorbas*, 74 NY2d 884, 885 [1989]; see also Siegel, NY Prac § 404 [5th ed]).

Applications to amend pleadings are within the sound discretion of the court, and that of the Appellate Division (*Krichmar v Krichmar*, 42 NY2d 858, 860 [1977]). Courts are given “considerable latitude in exercising their discretion, which may be upset by us only for abuse as a matter of law” (*Matter of Von Bulow*, 63 NY2d 221, 224 [1984]; see also *Murray*, 43 NY2d at 405 [courts considering motions to conform pleadings pursuant to CPLR 3025 are afforded “the widest possible latitude” in allowing such an amendment]). Nevertheless, we have found such an abuse of discretion where the Appellate Division reversed a trial court’s grant of an amendment and the record established that the opposing party suffered “no operative prejudice” as a result of the mere omission to plead a defense (*id.*).

Here, we are compelled to conclude that the Appellate Division abused its discretion because there was no prejudice to the corporations that supports denial of Gandhi's request to amend. The corporations' action for declaratory judgment was based on its claim of a common-law right of setoff, which they asserted should be applied against the money they owed to Gandhi. They stated expressly in their amended complaint that they were "jointly and severally liable for the amounts due [Gandhi]" under the settlement agreement, and if they failed to pay, they would be in default of its terms. As a general matter, statements in the corporations' pleadings that they owed Gandhi the settlement money constitute formal judicial admissions (*see Clason v Baldwin*, 152 NY 204 [1897]; *see also GMS Batching, Inc. v TADCO Constr. Corp.*, 120 AD3d 549, 551 [2d Dept 2014] ["Facts admitted in a party's pleadings constitute formal judicial admissions, and are conclusive of the facts admitted in the action in which they are made"]; *Levy v Delaware, Lackawanna & W. R.R. Co.*, 211 App Div 503, 505 [4th Dept 1925] ["an admission in an original pleading is evidence of the fact admitted"]; Jerome Prince, *Richardson on Evidence* § 8-215 at 523-524 [Farrell 11th ed 1995]; Fisch, *New York Evidence* § 803 at 474 [2d ed]). These assertions are "conclusive upon the party making [them]" (*id.*), and the corporations did not seek from the court to be relieved of the consequences of these admissions (*see Levy*, 211 App Div at 506; *see also Prince*, § 8-215 at 524; Fisch, § 803 at 474).

Given that the corporations built the litigation strategy for their declaratory judgment cause of action on the fact of their admitted payment obligations to Gandhi, they may not turn around and seek to assert defenses to those admissions. In other words, after arguing from the beginning of the lawsuit that the entire sum of money they owed Gandhi should be reduced by the money he owed them, they cannot now claim prejudice resulting from Gandhi's demand for outstanding payments due him under the settlement agreement.

In addition to the corporations' admissions, they also elicited evidence at trial that established the terms of the settlement agreement and their payment obligations to Gandhi—the very obligations that are the basis for Gandhi's counterclaim. This Court found similar facts sufficient to overcome a claim of prejudice in *Murray* (43 NY2d at 400).

In *Murray*, defendant City of New York failed to assert as a defense that the plaintiff's exclusive remedy was under work-

ers' compensation and after the plaintiff rested, the City sought to dismiss based on that defense. The trial court granted the City's motion to conform the pleadings to the proof and dismissed the complaint. The Appellate Division reversed, finding "the trial court improvidently granted the city's motion to conform the pleadings to the proof at the late stage at which the workmen's compensation defense was first interposed" (43 NY2d at 404). This Court then reversed, concluding that the Appellate Division abused its discretion because under the circumstances there was no "operative prejudice" to the plaintiff where the plaintiff had submitted evidence that was the basis for the City's defense (*id.* at 405). We further explained that "[w]hen a variance develops between a pleading and proof admitted at the instance or with the acquiescence of a party, such party cannot later claim . . . surprise[] or prejudice[] and the motion to conform should be granted" (*id.*, citing *Donner v Baker*, 11 AD2d 905 [4th Dept 1960], *Embien Props., Inc. v Emmadine Farms, Inc.*, 282 App Div 1047 [2d Dept 1953], *Berkenstat v Oliver*, 275 App Div 679 [2d Dept 1949], *Audley v Townsend*, 126 App Div 431, 434 [2d Dept 1908], and 6 Carmody-Wait 2d § 34.44 at 127). Moreover, we found it was a common practice that "[u]nder such circumstances, even appellate courts have taken it upon themselves upon review to amend the pleadings to conform to the proof" (*Murray*, 43 NY2d at 405, citing *Matter of Pittsford Gravel Corp. v Zoning Bd. of Town of Perinton*, 43 AD2d 811, 812 [4th Dept 1973], *Harbor Assoc. v Asheroff*, 35 AD2d 667 [2d Dept 1970], *Di Rosse v Wein*, 24 AD2d 510, 511 [2d Dept 1965], and *Weinstein-Korn-Miller*, NY Civ Prac ¶¶ 3025.27, 3025.31).

The plaintiff corporations in the appeal before us presented evidence during the trial of the buyout and the settlement agreement terms. Thus, as in *Murray*, the corporations submitted evidence which was the basis for defendant Gandhi's claim that he was entitled to payment for all outstanding payments under the settlement agreement. That the corporations objected to Gandhi's admission of evidence about the overdue payments does not affect our analysis because the corporations had to submit evidence of the payments owed to Gandhi—i.e., the settlement agreement—to succeed on their offset claim. Moreover, as Supreme Court stated, an adverse decision on their claim meant that they owed Gandhi.

While a delay in seeking to amend a pleading may be considered by the trial court, it does not bar that court from

exercising its discretion in favor of permitting the amendment where there is no prejudice (*Dittmar*, 20 NY2d at 503). The statute permitted Gandhi to request leave “before or after judgment to conform [the pleading] to the evidence” (CPLR 3025 [c]), and absent prejudice to the corporations the request should have been granted (*see Murray*, 43 NY2d at 405, citing *Dittmar*, 20 NY2d at 502).

Under the circumstances of this case, where the corporations admitted that they owed Gandhi the unpaid installments under the settlement agreement and the trial evidence established as much, there was no operative prejudice to the corporations in allowing Gandhi’s amendment to assert the counterclaim for all outstanding payments. Therefore, the Appellate Division abused its discretion by reversing Supreme Court’s grant of the application to amend.

III

The order insofar as appealed from should be reversed, with costs, and the case remitted to the Appellate Division for consideration of issues raised but not determined on the appeal to that court.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH, FIGOTT and ABDUS-SALAAM concur.

Order, insofar as appealed from, reversed, with costs, and case remitted to the Appellate Division, Second Department, for consideration of issues raised but not determined on the appeal to that court.

[23 NE3d 1016, 998 NYS2d 748]

In the Matter of DELILAH RIGANO, as Administrator of the Estate of NICHOLAS RIGANO, Deceased, Respondent, v VIBAR CONSTRUCTION, INC., Appellant. (Proceeding No. 1.)

In the Matter of VIBAR CONSTRUCTION CORP., Appellant, v FAWN BUILDERS, INC., et al., Respondents. (Proceeding No. 2.)

Argued November 18, 2014; decided December 16, 2014

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered September 11, 2013. The Appellate Division affirmed two orders of the Supreme Court, Westchester County (Nicholas Colabella, J.), entered in proceedings Nos. 1 and 2. The order in proceeding No. 1 had granted that branch of petitioner's motion that was for leave to reargue and renew and, upon reargument and renewal, (1) vacated a prior order of that court dismissing the petition to, in effect, summarily discharge a mechanic's lien; (2) granted the petition; and (3) discharged the mechanic's lien. The order in proceeding No. 2 had granted that branch of respondents' motion that was for leave to reargue and renew and, upon reargument and renewal, (1) vacated a prior order of that court granting the petition to amend the notice of mechanic's lien nunc pro tunc to, among other things, include Nick Rigano as an owner of record; and (2) denied the petition.

Matter of Rigano v Vibar Constr., Inc., 109 AD3d 829, reversed.

HEADNOTE

Liens — Mechanic's Lien — Discharge — Misdescription of True Owner in Notice of Lien Not Jurisdictional Defect

In related proceedings arising from the filing of a notice of mechanic's lien that incorrectly listed as the owner of the property a corporation of which the property's true owner was the sole shareholder and president, the misnomer, under the particular circumstances presented, was a misdescription—and not a misidentification—that did not constitute a jurisdictional defect invalidating the lien and was curable by amending the notice of lien nunc pro tunc to reflect the name of the true owner. The true owner and the listed owner were closely related, and no third-party purchaser was or would be prejudiced by the amendment. Reading the relevant provisions together, the Lien Law explicitly provides that it should be construed liberally (Lien Law § 23), states that a misdescription of the true owner shall not invalidate a lien (Lien Law § 9 [7]) and allows amendment where a third party would not be prejudiced

(Lien Law § 12-a [2]). The Lien Law does not, however, sanction amendment without confirmation that the true owner and listed owner are closely related and there was consent to the construction work. Here, the true owner was the sole shareholder of the listed owner, the conveyance of the property from the listed owner to the true owner was not at arm's length, and the public and certainly the true owner were on notice that a lien had been placed on the property. The notice of lien also provided means for third parties to contact the true owner. And, significantly, the true owner and listed owner consented to the underlying work that allegedly went uncompensated.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Mechanics' Liens §§ 220, 235, 236.

CARMODY-WAIT 2d, Establishment, Discharge, and Enforcement of Mechanics' Liens §§ 97:4, 97:60, 97:70–97:73, 97:103, 97:108.

McKINNEY'S, Lien Law §§ 9 (7); 12-a (2); 23.

NY JUR 2d, Mechanics' Liens §§ 57, 65, 68, 104, 110, 142.

ANNOTATION REFERENCE

See ALR Index under Mechanics' Liens.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: mechanic /2 lien & misnomer misdescri! /s jurisdictional

POINTS OF COUNSEL

Jeffrey Rizzo, Bronx, and *Michael F.X. Ryan*, Cortlandt Manor (*Carl F. Lodes* of counsel), for appellant. Appellant Vibar Construction, Inc. substantially complied with section 9 of the Lien Law when it named Fawn Builders, Inc., the original owner of the subject property, in its mechanic's lien rather than respondent Nick Rigano, the actual owner of the subject property. (*Matter of Fibernet Telecom Group v East Coast Opt. Servs.*, 195 Misc 2d 461; *Matter of Carnegie Hill N. LLC v Diontech Consulting Inc.*, 25 Misc 3d 1203[A], 2009 NY Slip Op 51958[U]; *Matter of Marshall Constr. Co. v Brookdale Hosp. Ctr.*, 68 Misc 2d 20; *Tri-State Sol-Aire Corp. v Lakeville Pace Mech.*, 221 AD2d 519; *Matter of Kleet Lbr. Co. [DMC Mgt.]*, 197 AD2d 576; *Matter of Tri Quality Mech. Corp. v Chappastream Corp.*, 138 AD2d 610; *PM Contr. Co. v 32 AA Assoc.*, 4 AD3d 198.)

Deren, Genett & Macreery, P.C., Katonah (*John Brian Macreery* of counsel), for respondent. The notice of mechanic's lien is

materially, and fatally, defective. (*PM Contr. Co. v 32 AA Assoc.*, 4 AD3d 198; *Matter of Kleet Lbr. Co. [DMC Mgt.]*, 197 AD2d 576; *Tri-State Sol-Aire Corp. v Lakeville Pace Mech.*, 221 AD2d 519; *Gates & Co. v National Fair & Exposition Assn.*, 225 NY 142; *Covino v Alside Aluminum Supply Co.*, 42 AD2d 77; *Homemakers, Inc. v Williams*, 100 AD2d 505; *A. A. Sustain, Ltd. v Montgomery Ward & Co.*, 22 AD2d 607; *Matter of Fibernet Telecom Group v East Coast Opt. Servs.*, 195 Misc 2d 461; *Matter of Tri Quality Mech. Corp. v Chappastream Corp.*, 138 AD2d 610; *Matter of Niagara Venture v Sicoli & Massaro*, 77 NY2d 175.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

The issue on this appeal is whether a notice of mechanic's lien can be amended nunc pro tunc to reflect the name of the true owner of the property or whether the misnomer invalidates the lien. Here, the true owner is the sole shareholder of the listed owner, the conveyance of the property in question from the listed owner to the true owner was not at arm's length, and the public and certainly the true owner here were on notice that a lien had been placed on the property. The subject notice of lien also provided means for third parties to contact the true owner. And, significantly, the true owner and listed owner consented to the underlying work that allegedly went uncompensated. Under the particular circumstances presented, the misnomer is a misdescription that does not constitute a jurisdictional defect and is curable by amendment.

George Vignogna (the sole shareholder of Vibar Construction Corp.) and Nick Rigano (the sole shareholder of Fawn Builders, Inc.) were business partners for over 35 years before deteriorating business conditions in 2007 led to disputes concerning the construction contract at issue here. Their relationship had consisted of Rigano, through Fawn Builders, Inc., purchasing property and Vignogna, through Vibar Construction Corp., developing the property. The parties would split the profits and rarely reduced their agreements to writing, trusting in their long-term business relationship to help them avoid any conflict. During their last project, Vibar constructed a common driveway to access the Pound Ridge, New York property in question and maintains that Rigano and Fawn Builders failed to compensate it for the construction of the road. The record shows that Rigano consented to construction of the driveway as demonstrated by

the construction and easement agreement the parties signed in 2006 (signed by Rigano individually and for Fawn Builders as president).

Vibar filed a notice of mechanic's lien on the property to recover the cost of constructing the road. The notice provided that Fawn Builders owned the property, when it was actually owned by Rigano, Fawn Builders' sole shareholder and president.

Rigano sought to have the lien discharged on the ground that he, not Fawn Builders, owned the property, asserting a jurisdictional defect that invalidated the lien. Rigano had indeed acquired title to the property when, on February 14, 2007, he, as president of Fawn Builders, transferred the property from Fawn Builders to himself, as an individual. The deed stated that Rigano and Fawn Builders were located at the same address, and Rigano signed the deed as "president" of Fawn Builders.

Vignogna petitioned to amend the notice of lien, arguing that naming Fawn Builders as the owner of the lot was a "misdescription" that did not warrant invalidating the lien. He noted that at all times during the parties' partnership, Rigano owned property in his corporation's name. He also contended that the transaction in which the land was transferred from Fawn Builders to Rigano was not one for consideration, noting that Rigano was the sole beneficial owner of Fawn Builders and signed the deed as president of Fawn Builders, and that there was no indication of any transfer tax having been paid.

After initially holding in favor of Vignogna, and concluding that the notice "substantially complied" with the Lien Law requirements, on reargument and renewal, Supreme Court granted Rigano's petition and discharged the mechanic's lien.

The Appellate Division affirmed, holding that "[w]hile a failure to state the true owner or contractor or a misdescription of the true owner will not affect the validity of a notice of lien, a misidentification of the true owner is a jurisdictional defect which cannot be cured by an amendment nunc pro tunc" (*Matter of Rigano v Vibar Constr., Inc.*, 109 AD3d 829, 831 [2d Dept 2013] [internal quotation marks and citations omitted]). The Court held that the notice was jurisdictionally defective because it "completely misidentified the true owner of the subject premises," citing its own precedent in *Matter of Tri Quality Mech. Corp. v Chappastream Corp.* (138 AD2d 610 [2d Dept 1988]) and *Tri-State Sol-Aire Corp. v Lakeville Pace Mech.* (221 AD2d 519 [2d Dept 1995]) (*id.*). This Court granted leave to appeal (22 NY3d 857 [2013]).

Article 2 of the Lien Law provides that it “is to be construed liberally to secure the beneficial interests and purposes thereof” (Lien Law § 23), which include “provid[ing] security for laborers and materialmen and . . . provid[ing] notice and a degree of certainty to subsequent purchasers” (*Matter of Niagara Venture v Sicoli & Massaro*, 77 NY2d 175, 181 [1990]). It states that “substantial compliance . . . shall be sufficient for the validity of a lien and to give jurisdiction to the courts to enforce the same” (Lien Law § 23) and “[a] failure to state the name of the true owner . . . or a misdescription of the true owner, shall not affect the validity of the lien” (Lien Law § 9 [7]). The Lien Law also authorizes amendment provided it does not “prejudice . . . an existing lienor, mortgagee or purchaser in good faith” (Lien Law § 12-a [2]). Thus, read together, it explicitly provides that it should be construed liberally, states that a misdescription of the true owner shall not invalidate a lien, and allows amendment where a third party would not be prejudiced.

The Court is mindful of the power a lien gives to the holder over another’s property, and, because of the potential for abuse, it must be understood that the Lien Law does not sanction amendment without confirmation that the true owner and listed owner are closely related and there was consent to the construction work. In *Gates & Co. v National Fair & Exposition Assn.*, we emphasized that

“[i]t was not the legislative intent to give a lien upon the property through the filing of *any notice* describing it; it was intended that such a lien should be acquired as against the title or interest of the person party to or assenting to the agreement under which the work was done” (225 NY 142, 156 [1919] [emphasis added]).

We conclude that the Lien Law authorizes the type of amendment sought under the specific circumstances here where the defect is plainly a misdescription and not a misidentification.

Even with a defect in the naming of the property owner, Lien Law § 9 “preserve[s] the validity of the lien so far as the person named as owner and against whom a lien is asked in fact, may have some title or interest” (*Gates*, 225 NY at 156). The *Gates* court permitted amendment where the true owner purchased most of the property under the lien (*id.* at 155), and there was “common consent” by the parties as to the construction work (*id.* at 153). Although the true owner of the property in *Gates*

had changed its name from “Empire City Trotting Club” to “Empire City Racing Association” before purchasing the property, and the lien listed the previous corporate name, amendment was allowed because the two corporations were the same entity (*see id.* at 155). The Court recognized that the misnomer “would give to the public substantially the same notice of the lien [on the property] as if the exact name . . . had been used, or at least . . . would put a person examining the lien docket upon inquiry as to the intent and scope of the lien” (*id.*). The Court simultaneously denied amendment to another lien where the listed owner was *one* of many stockholders of the corporate owner (*see id.* at 156). Whereas the first was a misdescription, the second was a misidentification, which amounted to a jurisdictional defect invalidating the lien.

The First and Third Departments correctly allow amendment where the listed owner is closely related to the true owner, there was consent to the construction work, and a third party would not be prejudiced. In *PM Contr. Co. v 32 AA Assoc.*, the First Department permitted amendment where the listed owner was named 32 AA, but the property had been transferred to 32 Sixth, an entity completely controlled by 32 AA, as its sole board member (*see* 4 AD3d 198, 199 [1st Dept 2004]). The two companies shared the same address and agent for service of process and no consideration was paid to transfer the property from 32 AA to 32 Sixth (*see id.* at 199-200). Agreeing with Supreme Court that the lien misdescribed the true owner, as opposed to misidentifying it (such as when naming a party with no relationship to the true owner and with no interest in the property), the First Department also reasoned that the “transaction . . . was not one at arm’s length,” no innocent third-party purchaser was prejudiced by the defect, and “deem[ed] 32 AA and 32 Sixth to be one and the same entity for present purposes” (*id.*).

The Third Department followed the liberal interpretation required by the Lien Law when it allowed amendment in *Matter of Carboline Co. v Gold*, where the listed owner was a corporation owned by three individuals who, together, owned the property (*see* 94 AD2d 921 [3d Dept 1983]). The listed owner also signed the contract for the construction materials, showing clear consent to the work (*see id.*). The court characterized this “misdescription of the true owners” as “the kind of failure which subdivision 7 of section 9 of the Lien Law is intended to protect” by allowing amendment (*id.*).

In contrast, the present, stricter construction contravenes the intent of the statute. Here, the true owner, Rigano, and the listed owner, Fawn Builders, are closely related, as the deed to the property made clear. Rigano and Fawn Builders had the same interest and control over the property in question—Rigano owned 100% of Fawn Builders. Significantly, the transfer of the property was not accomplished in an arm's length transaction—no transfer tax was paid and Rigano merely conveyed the property to himself from his corporation. Further, Rigano had notice of the lien because he shares an address with Fawn Builders. Naming Fawn Builders gives, at the very least, inquiry notice to the public that there is a lien on the property, and a correct address to contact the true owner. And Rigano, who appears to have consented to a substantial majority of the work done on the property, signing as an individual and for Fawn Builders as its one and only shareholder, understood that a lien could be placed on the property upon a failure to pay for the work. This notice of lien would not have caught Rigano off guard. Finally, no third-party purchaser was or would be prejudiced by this amendment.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the matters remitted to the Appellate Division for consideration of the other issues raised but not determined on the appeal to that court.

Judges READ, SMITH, PIGOTT, RIVERA and ABDUS-SALAAM concur.

Order reversed, with costs, and matters remitted to the Appellate Division, Second Department, for consideration of issues raised but not determined on the appeal to that court.

[24 NE3d 573, 999 NYS2d 337]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant-Respondent,
v STANLEY R. KIMS, II, Respondent-Appellant.

Argued September 11, 2014; decided October 23, 2014

SUMMARY

CROSS APPEALS, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered June 15, 2012. The Appellate Division modified, on the law, a judgment of the Jefferson County Court (Kim H. Martusewicz, J.), which had convicted defendant, upon a jury verdict, of criminal possession of a controlled substance in the first degree, criminal possession of a controlled substance in the third degree, criminal possession of marihuana in the second degree and criminally using drug paraphernalia in the second degree (two counts). The modification consisted of reversing the parts of the judgment convicting defendant of criminal possession of a controlled substance in the first degree and criminal possession of a controlled substance in the third degree. The Appellate Division affirmed the judgment as modified and granted a new trial on counts one and two of the indictment.

People v Kims, 96 AD3d 1595, affirmed.

HEADNOTES**Crimes — Instructions — Controlled Substance in Open View —
“Drug Factory” Presumption — Persons in Close Proximity**

1. The trial court erroneously charged the jury on defendant’s knowing criminal possession of drugs found in his apartment under the “drug factory” presumption of Penal Law § 220.25 (2) where police officers, who were surveilling defendant’s residence based on information that he was operating a drug “stash house,” approached and eventually arrested him after he left the house and entered and locked his vehicle. Defendant was not within “close proximity” to the drugs once he exited the premises and entered his car, absent evidence suggesting that he was in immediate flight from the premises in an attempt to escape arrest. The presumption permits the jury to assume the requisite criminal possession simply because the defendant, while not in actual physical possession, is within “close proximity” to the drugs, i.e., sufficiently near the drugs so as to evince his or her participation in an apparent drug sale operation. The decisive consideration is the distance between the defendant and the drugs, which is fact-specific. While there is support for application of the presumption where a defendant has exited the premises and is caught in immediate flight or apprehended fleeing the premises upon the appearance of the police, here defendant was several feet from the front door to the building where the apartment was located, and had entered and locked his vehicle before the officers approached and arrested him. There was no evi-

dence that he was in immediate flight from the premises when he walked out into the driveway. Nor did the presumption apply because defendant was under surveillance the entire time after he exited the premises; such an interpretation of the statute lacks a definable end point and would lead to uncertainty.

Crimes — Harmless and Prejudicial Error — Erroneous “Drug Factory” Presumption Charge

2. In a prosecution in which defendant was convicted of two charges of criminal possession of a controlled substance after the trial court instructed the jury on both constructive possession and the “drug factory” presumption (Penal Law § 220.25 [2]), the court’s error in charging the jury on defendant’s knowing criminal possession of drugs found in his apartment under the “drug factory” presumption was not harmless. Where a jury returns a general verdict and it is impossible to determine if the verdict was based on an illegal charge or on an alternative proper charge, the error cannot be harmless. Here, the court erred in charging the Penal Law § 220.25 (2) presumption because defendant was not within “close proximity” to the drugs, and because the jury could have relied on either the evidence of constructive possession or on the “drug factory” presumption to infer close proximity, it was impossible to determine which theory served as the basis for its verdict on the two criminal possession charges.

Crimes — Evidence — Proof of Gang Affiliation — Harmless Error

3. In the prosecution of defendant for criminal possession of marihuana in the second degree and criminal possession of drug paraphernalia in the second degree arising from the seizure of marihuana and paraphernalia from defendant’s apartment, which was allegedly being operated as a drug “stash house,” the trial court erred in permitting testimony about defendant’s alleged gang affiliation. Evidence of gang activity can be admitted to provide necessary background, when it is “inextricably interwoven” with the charged crimes, or to explain the relationships of the individuals involved. Here, the references to gang activity were not relevant to any material issue, as the People’s theory centered on possession and intent to sell. The testimony about defendant’s alleged gang affiliation would not have provided any relevant background information about how the drugs came to be located in his apartment, and it was not needed to explain defendant’s relationship to the witnesses, as the testimony indicated their status as drug buyers and their respective relationships to defendant. Nor was gang affiliation interwoven with the charges because there was no evidence that defendant was working with fellow gang members to distribute drugs. Nevertheless, the error was harmless inasmuch as there was overwhelming evidence of guilt, including evidence that defendant leased the apartment where the drugs and paraphernalia were found, that defendant had large amounts of cash without any apparent lawful source for the money and that defendant had sold drugs out of the apartment on prior occasions.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Appellate Review §§ 654, 659, 662, 664–667, 690, 703; AM JUR 2d, Evidence §§ 413, 423; AM JUR 2d, Trial §§ 1092–1094.

CARMODY-WAIT 2d, Fundamentals of Criminal Evidence

§ 193:38; CARMODY-WAIT 2d, Particular Types of Evidence §§ 194:1, 194:2; CARMODY-WAIT 2d, Charge and Instruction to Jury § 200:19; CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:117, 207:169.

LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 24.4, 24.8, 27.6.

McKINNEY'S, Penal Law § 220.25 (2).

NY JUR 2d, Criminal Law: Procedure §§ 2023, 2049, 2739, 3569–3574, 3637; NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 1649, 1650.

ANNOTATION REFERENCE

See ALR Index under Character and Reputation Evidence; Drugs and Narcotics; Harmless and Prejudicial Error; Instructions to Jury; Presumptions and Burden of Proof.

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POINTS OF COUNSEL

Cindy F. Intschert, District Attorney, Watertown (*Harmony A. Healy* of counsel), and *Karen F. McGee* and *Hannah E.C. Moore*, New York Prosecutors Training Institute, Albany, for appellant-respondent. I. The trial court did not err in instructing the jury as to the permissive “drug factory presumption” authorized by Penal Law § 220.25 (2). (*People v Daniels*, 37 NY2d 624; *People v Hayes*, 175 AD2d 13; *People v Coleman*, 26 AD3d 773; *People v Miranda*, 220 AD2d 218; *People v Maldonado*, 189 AD2d 737; *People v Riddick*, 159 AD2d 596; *People v Edwards*, 23 AD3d 1140; *People v Rosado*, 96 AD3d 547; *People v Alvarez*, 8 AD3d 58; *People v Kelly*, 261 AD2d 133.) II. Even if the trial court erred in charging the “drug factory presumption,” the error should be deemed harmless in light of the overwhelming evidence of defendant’s guilt of criminal possession of the cocaine charged by the top two counts of the indictment. (*People v Crimmins*, 36 NY2d 230; *People v Martinez*, 83 NY2d 26, 511 US 1137; *People v Giordano*, 87 NY2d 441; *People v Becoats*, 17 NY3d 643.)

Davison Law Office, PLLC, Canandaigua (*Mark C. Davison* of counsel), for respondent-appellant. I. The trial court’s error in instructing the jury on the room presumption, when Mr. Kims was not inside the premises where the drugs were found,

required reversal and a new trial. (*People v Martinez*, 83 NY2d 26, 511 US 1137; *People v Negron*, 91 NY2d 788; *People v Pearson*, 75 NY2d 1001; *People v Tejada*, 73 NY2d 958; *People v Diaz*, 108 Misc 2d 213; *People v Alvarez*, 8 AD3d 58, 3 NY3d 670; *People v Uribe*, 113 Misc 2d 207; *People v Fineout*, 96 AD3d 1601, 19 NY3d 1025; *People v Kelly*, 261 AD2d 133, 94 NY2d 824; *People v Santiago*, 243 AD2d 328, 91 NY2d 879.) II. The trial court erred in its *Molineux* rulings, and thereby denied Mr. Kims his right to a fair trial. (*People v Scarola*, 71 NY2d 769; *People v Molineux*, 168 NY 264; *People v Alvino*, 71 NY2d 233; *People v Resek*, 3 NY3d 385; *People v Hudy*, 73 NY2d 40; *People v Santarelli*, 49 NY2d 241; *People v Ventimiglia*, 52 NY2d 350; *People v Arafet*, 13 NY3d 460; *People v Bradley*, 20 NY3d 128; *People v Acevedo*, 84 AD3d 1390.) III. Evidence found inside the residence on LeRay Street should have been suppressed because it was seized during a warrantless “protective sweep” by police. (*People v Bost*, 264 AD2d 425; *Maryland v Buie*, 494 US 325; *People v Wheeler*, 2 NY3d 370; *People v Harper*, 100 AD3d 772; *People v Boyland*, 79 AD3d 1658, 20 NY3d 879; *People v McAllister*, 35 AD3d 300, 8 NY3d 925; *People v Clements*, 37 NY2d 675, *cert denied sub nom. Metzger v New York*, 425 US 911; *People v Coles*, 105 AD3d 1360; *People v Knapp*, 52 NY2d 689; *People v Kelly*, 261 AD2d 133, 94 NY2d 824.) IV. The conviction must be set aside and a new trial granted because of prosecutorial misconduct. (*People v McClary*, 85 AD3d 1622; *People v Bryant*, 77 AD2d 603; *People v Jackson*, 40 AD2d 1006; *People v Acevedo*, 84 AD3d 1390; *People v Stewart*, 92 AD2d 226; *People v Polk*, 84 AD2d 943; *People v Gadsden*, 80 AD2d 508; *People v McMillan*, 66 AD2d 830; *People v Burke*, 170 AD2d 1021, 77 NY2d 959; *People v Fisher*, 18 NY3d 964.)

OPINION OF THE COURT

RIVERA, J.

On these cross appeals arising from defendant’s convictions for various drug-related crimes, we conclude that defendant was not within “close proximity” to the drugs found in his apartment once he exited the premises and entered his car, where no evidence suggests that he was in immediate flight from the premises in an attempt to escape arrest. Therefore, the trial court erroneously charged the jury on defendant’s knowing criminal possession of drugs under the “drug factory” presumption of Penal Law § 220.25 (2). We further agree with the Appellate Division that, under the circumstances of this case, and in accordance with our decision in *People v Martinez* (83 NY2d 26,

29 [1993], *cert denied* 511 US 1137 [1994]) such error requires reversal of defendant's convictions for criminal possession of a controlled substance in the first and third degrees, and a new trial ordered on these counts of the indictment. Moreover, upon finding no basis to reverse defendant's convictions for criminal possession of marihuana in the second degree and two counts of criminally using drug paraphernalia in the second degree, we affirm the Appellate Division.

I.

Soon after defendant Stanley R. Kims, II was released on parole for a conviction unrelated to this appeal, Detective James McNitt, a member of the Metro Jefferson Drug Task Force (Task Force), received information from an informant that defendant was operating a drug "stash house"¹ on LeRay Street in Watertown, New York. McNitt subsequently confirmed that defendant was leasing the ground floor apartment at the LeRay Street address and reported this to Patrick Glennon, defendant's parole officer.

Glennon decided to visit the LeRay Street residence that same day because defendant had previously reported to parole authorities that he was living with his family at a different Watertown address. Glennon told McNitt that he and several officers were going to LeRay Street to conduct a "house check" and asked McNitt to "stay in the area in case they needed any assistance." McNitt agreed. Unbeknownst to Glennon, McNitt took along several other members of the Task Force and placed the LeRay Street residence under surveillance while the parole officers conducted their investigation.

When the parole officers arrived they found defendant's vehicle parked in the driveway directly in front of the LeRay Street residence. They parked outside and after about an hour Glennon and another parole officer saw defendant and his cousin, Robert Sawyer, exit through the front door of the house and walk towards the vehicle. Events then moved quickly. Glennon called out to defendant. At some point defendant shifted his vehicle into reverse, but was unable to exit because by then the parole officers had parked their car behind him. Glennon observed defendant reach into the vehicle's console area, located between the driver and front passenger seats. The officers

1. At trial, McNitt defined a "stash house" as a place to keep drugs and money, and to package drugs for sale.

then drew their guns, and yelled to defendant and Sawyer to put their hands up and exit the vehicle. The officers surrounded defendant and Sawyer, and were joined by two other parole officers who had been parked near the back of the residence.

After repeated demands by the officers to exit the vehicle, Sawyer finally unlocked the door, and the parole officers handcuffed, frisked and searched defendant and Sawyer. The officers found packages of cocaine on Sawyer and on the ground next to the passenger side door where Sawyer and defendant had been removed from the car. A subsequent search of the vehicle pursuant to a warrant led to the discovery of more cocaine in the console area.

Within minutes of defendant's arrest, McNitt and other members of the Task Force joined Glennon and the parole officers at the front of the residence. As people in the neighborhood began to gather around, defendant repeatedly yelled out to the crowd "Call Chino." McNitt asked defendant if there was anyone in the residence, but defendant looked away and failed to answer. Concerned about potential danger to the officers and the destruction of evidence, McNitt and several of the other officers conducted a protective sweep of the residence, which they entered using defendant's key. Inside, they found one person, Jeffrey Fineout, who was asleep on the living room couch. In response to their questions Fineout told the officers that the residence belonged to defendant.

As they continued the sweep, the officers walked towards the back of the apartment where they observed on the kitchen counter a clear bowl filled with what they subsequently confirmed were several ounces of cocaine. They also saw scales, a heat sealer, a blender covered in residue, a chemical agent called Inositol Powder used in illegal drug production, glassine envelopes and cookware covered in a white powder residue.

After the officers obtained and executed a search warrant for the apartment, they found two large trash bags containing approximately 3½ pounds of marijuana in the bedroom closet. In that same bedroom they found a copy of the signed lease with defendant's signature, a National Grid electric bill for the Le-Ray address in defendant's name, \$24,000 in cash in a safe, and another \$2,100 on a night stand. In the kitchen they found 6.8 ounces of cocaine in the cupboards and 3 ounces on the counter in open view.

Defendant was indicted on several drug-possession related counts. Prior to trial, he sought to suppress all of the drugs and

items found in the apartment for lack of probable cause. The court denied suppression finding the protective sweep to be a valid warrantless search. Defendant also sought to prevent submission of certain evidence of prior bad acts. After a *Sandoval/Molineux* hearing the court held that the People could submit proof of prior drug sales as probative of intent to sell, knowing, intentional and constructive possession, and the existence of a narcotics business operated by defendant. The court also held that the People could seek to admit first-hand knowledge testimony that defendant was a high-ranking member, or participant in a drug organization, as well as evidence that he was a member of a gang that operated a drug distribution business. However, the court prohibited hearsay testimony from the officers and the People's witnesses about defendant's reputed status as a gang member or drug dealer, and specifically barred the People from eliciting the words "gang" or "Crip" from law enforcement witnesses. Nevertheless, this prohibition was subject to the People establishing a proper foundation for a hearsay exception or exclusion and, if admitted, further subject to a limiting instruction to the jury.

At trial, the People presented physical evidence and testimony establishing defendant's involvement in the drug sale operation at the LeRay Street residence. Parole officers and Task Force members testified as to defendant's arrest, the protective sweep and the seizure of the drugs and drug paraphernalia found in the apartment and vehicle, contraband which was admitted into evidence. The People established that a few months prior to his arrest defendant had commenced work at a fast food establishment. The owner of the building testified that defendant signed a month-to-month lease in February, that he paid \$650 monthly rent, and that in March, while she was considering selling the building for approximately \$68,000, defendant expressed interest in purchasing the building, under an arrangement wherein he would supply a 30-50% deposit.

Three witnesses, including Sawyer, testified as to prior drug sales and defendant's alleged gang affiliation. Sawyer testified that on the day of the arrest, he went to the apartment to buy drugs from defendant. While inside the apartment, he gave defendant \$50, sat on a couch in the living room and watched defendant enter the kitchen area, from which defendant emerged 15-20 minutes later, and handed Sawyer the cocaine. Sawyer also testified that defendant told him he was a member of a gang known as the Crips, and that Sawyer had seen defendant wear the Crips gang bandana.

The occupant of the upstairs apartment testified that on at least three occasions he had purchased drugs inside defendant's apartment, from Fineout, and that he had witnessed defendant coming and going from the residence. The upstairs occupant had also asked defendant about purchasing cocaine to establish his own selling business.

Another witness testified that he had known defendant for 15 years, and had purchased drugs from him in the past. He further testified that while he and defendant were incarcerated together, they talked about defendant's drug organization. He too stated that defendant told him he was a member of the Crips gang.

As relevant to this appeal, the judge charged the jury under two theories of criminal possession based on the defendant's lack of actual physical possession of the drugs. In accordance with Penal Law § 220.25 (2), for the criminal possession of a controlled substance in the first and third degree counts only, the court instructed the jurors that

“the presence of a narcotic drug or preparation in open view in a room under circumstances evincing an intent to unlawfully mix, compound, package or otherwise prepare that substance for sale is presumptive evidence of knowing possession of that substance by each and every person in close proximity to it at the time the substance was found.

“What that means is that if the People have proven beyond a reasonable doubt that the cocaine was in open view in a room and that the circumstances were such as to evince an intent[,] that is a conscious objective or purpose[,] to unlawfully mix, compound, package or otherwise prepare the cocaine for sale, then you may, but you are not required to, infer from that fact that each and every person in close proximity to the cocaine at the time it was found was in knowing possession of it.

“Whether or not to draw that inference is for you to decide and will depend entirely on your evaluation of the evidence.”

The judge also instructed the jury on constructive possession for all of the charges, informing the jurors that,

“a person has tangible property in his or her constructive possession when that person exercises a level of control over the area in which the property is found or over the person from whom the property is seized sufficient to give him or her the ability to use or dispose of the property.”

With respect to the *Molineux* evidence, the judge gave a limiting instruction on the defendant’s prior bad acts and alleged gang affiliation, informing the jurors that the evidence was not offered to establish a propensity or predisposition to commit the crimes charged, but rather as evidence of motive or intent, or to show the absence of a mistake, or to show a common plan or scheme, or for the purpose of identifying the defendant. The court further informed the jurors that if they found the evidence believable, they were permitted to consider it for this limited purpose.²

The jury convicted defendant on all counts of the indictment, finding him guilty of criminal possession of a controlled substance in the first and third degrees (Penal Law §§ 220.21 [1]; 220.16 [1]), criminal possession of marihuana in the second degree (Penal Law § 221.25), and two counts of criminally using drug paraphernalia in the second degree (Penal Law § 220.50 [2], [3]). The court sentenced defendant as a second felony offender to 16 years’ incarceration followed by five years’ post-release supervision on the criminal possession of a controlled substance in the first degree, 11 years’ incarceration and three years’ postrelease supervision on the criminal possession of a controlled substance in the third degree, three years’ incarceration and two years’ postrelease supervision on the criminal possession of marihuana in the second degree, and one year terms

2. The trial court’s charge to the jury stated,

“There is evidence in this case on dates other than April 12th, 2010 the defendant may have sold or possessed controlled substances or other illegal substances, and that he was the subject of a drug investigation in the past, or may have been a member of a gang, or may have engaged in conduct in an attempt to bribe, intimidate or injure witnesses, or may have fled police custody.

“That evidence was not offered and must not be considered for the purpose of proving that the defendant had a propensity or a predisposition to commit the crimes charged in this case. It was offered as evidence for your consideration on the questions of motive or intent, or to show the absence of a mistake or to show a common plan or scheme or for the purpose of identifying the defendant. If you find the evidence believable, you may consider it for that limited purpose and for none other.”

each on the two counts of criminally using drug paraphernalia in the second degree, all to run concurrently.

On defendant's appeal the Appellate Division, Fourth Department, in a 4-1 decision, modified on the law, reversing the convictions on the counts of criminal possession of a controlled substance in the first and third degrees, ordering a new trial on those counts, and otherwise affirmed the convictions on the remaining counts (96 AD3d 1595 [2012]). The majority concluded that the trial court committed reversible error in charging the jury on the presumption under section 220.25 (2) because the defendant was not within "close proximity" to the controlled substances at the time the substances were found, as required by the statute. The Appellate Division further concluded that the error was not harmless because there is no way to discern whether the jury relied on this charge, or the constructive possession instruction, in convicting defendant of criminal possession of a controlled substance in the first and third degrees. The majority rejected defendant's remaining arguments. One Justice dissented, in part, concluding that the trial evidence supported a determination that the apartment was used as a "drug factory operation," and that defendant was in close proximity to the cocaine when he was apprehended outside, in his vehicle.

A Judge of this Court granted the People and defendant leave to appeal (21 NY3d 913 [2013]). We now affirm the Appellate Division.

II.

A.

The People appeal the reversal and remittal for a new trial on the counts of the indictment for criminal possession of a controlled substance in the first and third degrees, arguing that the trial court properly instructed the jury under Penal Law § 220.25 (2). The People contend the evidence supports the charge because the defendant was apprehended outside the front door of the residence, and he was under surveillance from the moment he walked out of the building until his arrest minutes later. The People further argue that if there was error it was harmless because of the overwhelming evidence of defendant's guilt on the two criminal possession charges, and because the jury's guilty verdict on the marijuana and paraphernalia possession counts demonstrates that the jurors concluded defendant constructively possessed all of the drugs in the apartment.

The defendant responds that while the court properly charged the jury on constructive possession, the court should not have instructed the jury on the Penal Law § 220.25 (2) presumption because the latter applies only in cases where a defendant is caught on the premises where the drugs are found, and here defendant was arrested outside. He contends that the error was not harmless under our holding in *People v Martinez* (83 NY2d 26 [1993]), because there is no way of determining whether the jury convicted him based on the section 220.25 (2) presumption charge, or the constructive possession charge.

We agree with the Appellate Division that the trial court erroneously charged the jury because defendant was not within close proximity to the drugs as required by section 220.25 (2), and that, on this record, the error was not harmless and a new trial should be granted.

II.

B.

Penal Law § 220.25 (2) states, in relevant part, that

“[t]he presence of a narcotic drug, narcotic preparation, marihuana or phencyclidine in open view in a room, other than a public place, under circumstances evincing an intent to unlawfully mix, compound, package or otherwise prepare for sale such controlled substance is presumptive evidence of knowing possession thereof by each and every person in close proximity to such controlled substance at the time such controlled substance was found” (Penal Law § 220.25 [2]).

In accordance with the statute, a court may charge the jury with a permissible presumption, under which the jury may assume the requisite criminal possession simply because the defendant, while not in actual physical possession, is within a proximate degree of closeness to drugs found in plain view, under circumstances that evince the existence of a drug sale operation (*People v Daniels*, 37 NY2d 624, 630-631 [1975]). The presumption is rebuttable, and the jury may choose to reject its application under the facts (*id.* at 631).

This statutory presumption, referred to as the “drug factory” presumption (*People v Martinez*, 83 NY2d at 29), was intended to allow police in the field to identify potentially culpable individuals involved in a drug business, under circumstances

that demonstrate those individuals' participation in a drug operation (*see* Mem of St Commn of Investigation, Bill Jacket, L 1971, ch 1044; *People v Rosado*, 96 AD3d 547, 548 [1st Dept 2012], citing William C. Donnino, Practice Commentaries, McKinney's Cons Laws of NY, Book 39, Penal Law § 220.25).³ The statute was designed "to remedy a fairly common situation wherein police execute a search warrant on premises suspected of being a 'drug factory' and find narcotics in open view in the room" (Letter from St Commn of Investigation, Dec. 1, 1971, Bill Jacket, L 1971, ch 1044 at 6). "The occupants of such 'factories,' who moments before were diluting or packaging the drugs, usually proclaim their innocence and disclaim ownership of, or any connection with, the materials spread before them. [The] [p]olice, under these circumstances, are often [left] uncertain as to whom to arrest" (Mem of St Commn of Investigation, Bill Jacket, L 1971, ch 1044 at 4). By including within the scope of the statute all persons based on physical closeness to the drugs, regardless of any individual's property interest in the location where the drugs are found, the drafters of the statute also sought to address the difficulty of prosecuting persons other than the owner or lessee of the premises (Mem of St Commn of Investigation at 4 ["In addition, with the present burden of proof of knowing possession of dangerous drugs on the people (sic), successful prosecution of persons other than the owner or lessee of such premises is extremely rare"]).

Given the language of the statute, and with this understanding of its purpose, a defendant is in "close proximity" within the meaning of section 220.25 (2) when the defendant is sufficiently near the drugs so as to evince defendant's participation in an apparent drug sales operation, thus supporting a presumption of defendant's knowing possession. The statute anticipates an outer boundary beyond which the presumption does not apply, for "close proximity" defines a spatial element requiring that defendant's physical location is legally meaningful and suggestive of criminal involvement, but not so distant as to vitiate the experientially-based, real-world justification for presuming defendant has criminal possession.

3. Defendant refers to the presumption allowed under Penal Law § 220.25 (2) as the "room presumption." As we discuss, the presumption is intended to apply to participants in a drug sale operation, and, in a proper case, may apply to persons caught or arrested outside of the room where the drugs are found. Therefore, the more accurate reference, and the one we adopt, is the "drug factory" presumption.

The decisive consideration for a court determining whether a defendant is within “close proximity” is the distance between the defendant and the drugs. This determination is necessarily fact specific. Still, based on the text, the intent of the statute, and judicial construction of section 220.25 (2), we glean certain general principles that guide a court’s analysis.

The statute’s requirement that the defendant is in close proximity to drugs in open view in a “room, other than a public place” supports the application of the presumption to persons who are physically present in the room where the drugs are found (see e.g. *People v Coleman*, 26 AD3d 773 [4th Dept 2006] [kitchen]; *People v James*, 266 AD2d 236 [2d Dept 1999] [motel room]; *People v Plower*, 176 AD2d 214 [1st Dept 1991] [living room]).

The presumption also may apply to a defendant apprehended on the premises, but outside of the room where the drugs are found. As long as the proximity requirement is satisfied, nothing in the text limits the statute’s reach to persons caught in the room itself. However, as the case law establishes, the proximity determination requires careful consideration of the underlying facts related to the defendant’s location on the premises when the drugs are found (see e.g. *People v Rosado*, 96 AD3d 547 [defendant fled to bathroom from bedroom where drugs were found]; *People v Pressley*, 294 AD2d 886 [4th Dept 2002] [defendant in room adjacent to room where drugs were found]; *People v Riddick*, 159 AD2d 596 [2d Dept 1990] [defendant was in hallway adjacent to room with drugs]; *People v Garcia*, 156 AD2d 710 [2d Dept 1989] [defendant in the bathroom, drugs in another room of the apartment]).

Structural barriers may be a factor in determining whether the defendant falls within the intended statutory coverage, but are not a per se bar (see e.g. *People v Hayes*, 175 AD2d 13 [1st Dept 1991] [defendant in a room separated from drugs by French doors]; *People v Andrews*, 216 AD2d 571 [2d Dept 1995] [defendant in loft above table with drugs]). As the drafters indicated, the statute is intended to apply to a defendant who hides “in closets, bathrooms or other convenient recesses” (Letter from St Commn of Investigation at 7; *People v McCall*, 137 AD2d 561, 562 [2d Dept 1988] [defendant discovered lying behind a bar 50 feet from contraband]). Thus, the legislative purpose is furthered by an interpretation that takes into account the layout of the premises.

Once a defendant has left the premises the justification for presuming knowing possession is less tenable. We have long recognized that “statutory presumptions are without validity unless the probabilities based on experience and proof justify them” (*People v Reisman*, 29 NY2d 278, 286 [1971], citing *Leary v United States*, 395 US 6, 32-36 [1969], and *People v McCaleb*, 25 NY2d 394, 400-404 [1969]). Where the facts and a defendant’s location lead to a conclusion counterintuitive to “the probabilities to be drawn from common experience” (*Daniels*, 37 NY2d at 631), the presumption has no place.

Nevertheless, because the statute is grounded in the realities of police investigatory work into illegal drug sales, the presumption may apply even in cases where a defendant has exited the premises, when the defendant is caught in immediate flight, or apprehended fleeing the premises “upon the sudden appearance of the police” (Letter from St Commn of Investigation at 7; see e.g. *People v Hogan*, 118 AD3d 1263 [4th Dept 2014] [fleeing the room with drugs and paraphernalia]; *People v Alvarez*, 8 AD3d 58 [1st Dept 2004] [captured fleeing the apartment]; *People v Snow*, 225 AD2d 1031 [4th Dept 1996] [defendant admitted he had been in the dining room with the drugs but hid in the basement upon execution of the warrant]; *People v Miranda*, 220 AD2d 218 [1st Dept 1995] [captured fleeing the apartment]). We need not determine on this appeal how far from the premises defendant may be apprehended and still be subject to the presumption. We note, however, that the boundary in these cases is not limitless. Suffice it to say, that each incremental enlargement of the distance between the defendant and the premises where the drugs are found tests the underlying justification of the presumption, and makes it susceptible to challenge.

II.

C.

[1] Applying these principles to the record before us, we conclude that defendant was not in close proximity to the drugs when they were found within the meaning of section 220.25 (2). He was not in the room where the drugs were found, in an adjacent room within the same apartment, or in a “closet, bathroom or other convenient recess[]” (Letter from St Commn of Investigation at 7). Nor was he found immediately outside the premises while trying to escape.

Here, defendant was found outside the premises, several feet from the front door to the building where the apartment was located. Once outside, defendant entered and locked his vehicle before the officers approached and eventually arrested him. There was no evidence to suggest, and the People have not argued, that defendant was in immediate flight from the premises when he walked out into the driveway. The officers entered the apartment several minutes after defendant had exited and was arrested, and only because defendant's yells to "Call Chino" made the officers apprehensive of potential danger and possible destruction of evidence, which led to their protective sweep of the apartment. Therefore, the Appellate Division correctly determined defendant was not within close proximity to the drugs, and this case was "unlike the scenario envisioned by the Legislature" (*People v Kims*, 96 AD3d 1595, 1596 [4th Dept 2012]).

The People argue the drug factory presumption applies because the defendant was apprehended immediately "steps away from the front door," and officers saw him exit just prior to his arrest. We are unpersuaded by the People's reasoning.

The People rely on *People v Daniels* (37 NY2d 624), claiming our decision in that case compels reversal here because, like in *Daniels*, officers observed defendant leave prior to his arrest outside the premises. *Daniels*, however, addressed the quantum of evidence required to properly charge the jury on corroboration of accomplice testimony in a drug possession case. We concluded that the evidence of contraband on the kitchen table sufficiently connected the defendants to the crime and, therefore, corroborated the accomplice testimony that he and the defendants were involved in a drug business (*id.* at 630-631). In reaching our conclusion that the court properly instructed the jury on corroboration, we stated that the court's instructions must be viewed in light of the entire record. In *Daniels* the evidence showed that two defendants were apprehended in the apartment with drugs in open view, and the third defendant, in whose apartment the drugs were found, was arrested after he was observed leaving the apartment. We stated that the presumption under Penal Law § 220.25 (2) could apply in a proper case to convict defendants in close proximity to drugs, but, given the record,

"reliance need not be placed solely on the statutory presumption. The *presence of the drugs and the de-*

fendants in the apartment [was] a sufficient basis on which the jury could conclude that the accomplice was telling the truth when he testified that each of the defendants was involved in the drug business with him” (*id.* at 631 [emphasis added]).

Thus, our discussion of the presumption was not necessary to our decision (*see id.* at 632 [concurring opinion]). We simply recognized that the presumption might apply in a proper case, including one in which a defendant is in the apartment, but not the same room where the drugs are found.

Other cases cited by the People do not affect our analysis of the legal principles that apply to this appeal. The People either misread the facts, as in *People v Kelly* (261 AD2d 133 [1st Dept 1999]), where despite the People’s opposite contention, the defendant was apprehended in the same room as where drugs were found (*id.* at 134 [“34 vials of crack cocaine . . . (were) found within (defendant’s) reach in the apartment he shared with the seller”]), or the decisions in those cases do not compel a different outcome in this case (*see e.g. People v Santiago*, 243 AD2d 328 [1st Dept 1997] [court summarily concluded defendant was in “close proximity” to the drugs as required by section 220.25 (2) and People need not prove defendant was in the same room]; *People v Alvarez*, 8 AD3d 58 [1st Dept 2004] [defendant jumped out of an apartment under circumstances evincing his attempted flight from the police]).

To the extent the People argue that the presumption applies so long as a defendant is under surveillance the entire time after the defendant exits the premises, we reject this interpretation of the statute because it lacks a definable end point. For example, we can discern no way to distinguish defendant’s case from one in which the officers find a defendant down the street, or perhaps a mile away, from the house. Following the People’s reasoning to its logical conclusion, so long as at all times a defendant is under surveillance, the presumption applies regardless of the defendant’s distance from the premises. As such, the People’s interpretation would lead to uncertainty, and fails to provide appropriate guidance as to how far an officer may pursue a defendant before reaching the outer expanse of the statute. We believe that this interpretation potentially extends the presumption to defendants and scenarios that are beyond the statute’s intended coverage, and lends itself to abuse.

The People claim that even if the charge was erroneously given, the error was harmless. We held otherwise in *People v*

Martinez, and on this record we find no legal distinction between defendant's case and *Martinez*, thus we cannot say the error was harmless (83 NY2d 26; see *People v Crimmins*, 36 NY2d 230, 242 [1975]).

[2] In *Martinez*, we concluded that where a jury returns a general verdict and it is impossible to determine if the verdict was based on an illegal charge, or on an alternative proper charge—in *Martinez*, as here, the alternative charge was on constructive possession—the error cannot be harmless (83 NY2d 26). If there is some evidence to which the jury could have applied the impermissible charge to reach an erroneous verdict, then a new trial should be ordered. Here, because the jury could have relied either on the evidence of constructive possession, or on the drug factory presumption to infer close proximity based on Sawyer's testimony and the police observations, it is impossible to determine which theory served as the basis for its verdict on the two counts of criminal possession of cocaine.

III.

Defendant asserts three grounds for reversal on his cross appeal relating to the marihuana and drug paraphernalia counts. He claims that the court admitted evidence of bad acts in violation of *Molineux*, the protective sweep evidence should be suppressed, and the prosecutor committed misconduct during summation. None of these challenges support reversal of the Appellate Division.

[3] Defendant argues that the court committed error in permitting testimony about his alleged gang affiliation because such testimony lacks any connection to the charged crimes, and there was no testimony that any of the drugs recovered were related to gang activity. References to defendant's alleged gang membership and gang affiliation were improperly admitted, but the error was harmless.

“[E]vidence of a defendant's uncharged crimes or prior misconduct is not admissible if it cannot logically be connected to some specific material issue in the case, and tends only to demonstrate the defendant's propensity to commit the crime charged” (*People v Cass*, 18 NY3d 553, 559 [2012] [citations omitted]; *People v Molineux*, 168 NY 264 [1901]). Evidence regarding gang activity can be admitted to provide necessary background, or when it is “inextricably interwoven” with the charged crimes, or to explain the relationships of the individuals involved (see *People v Faccio*, 33 AD3d 1041, 1042 [3d Dept 2006], *lv denied* 8 NY3d 845 [2007]).

Here, the references to gang activity were not relevant to any material issue. The People's theory centered on possession and on intent to sell. It is clear that the testimony about defendant's alleged gang affiliation would not have provided any relevant background information about how the drugs came to be located in his apartment. Similarly, there was no need to explain the defendant's relationship to the witnesses by referencing gang affiliation; the testimony clearly indicated their status as buyers as well as their respective relationships to the defendant. Finally, gang affiliation was not interwoven with the charges because there was no evidence that defendant was working with fellow members of his gang to distribute drugs.

However, there was overwhelming evidence of guilt, including testimony that defendant leased the apartment where the marihuana and drug paraphernalia were found, defendant had large amounts of cash without any apparent lawful source for the money, and defendant had sold drugs out of the apartment on prior occasions. Therefore, any error admitting testimony regarding gang affiliation was harmless (*see generally Crimmins*, 36 NY2d 230).

Defendant's other claims based on testimony of prior bad acts are meritless. Evidence of prior drug sales was probative of defendant's intent to sell, not merely possess the narcotics, and it was not an abuse of discretion to find that the probative value of the prior sales outweighed the danger of prejudice (*see Cass*, 18 NY3d at 560). Evidence of defendant's escape was probative of consciousness of guilt, and whether the defendant was seeking to escape from being taken into custody on a parole violation goes to the weight of the evidence not its admissibility (*see People v Yazum*, 13 NY2d 302, 304 [1963]; *People v Bennett*, 79 NY2d 464 [1992]). The court also gave appropriate limiting instructions as to this evidence (*see e.g. People v Rivers*, 18 NY3d 222, 226 [2011] [admittance of improper testimony minimized by curative instruction]; *People v Giles*, 11 NY3d 495, 500 [2008] [new trial ordered where trial court erred by failing to issue a limiting instruction to cure the potential prejudicial effect of the evidence of the uncharged crimes]).

The defendant's claim as to the trial court's refusal to suppress evidence seized from his apartment subsequent to the protective sweep presents a mixed question of law and fact. Our review is limited to whether there is record support for the determinations of the court below, and "unless there is no view of the evidence that would support that determination, we are

bound by the suppression court's finding" (*People v Wheeler*, 2 NY3d 370, 373 [2004]). McNitt's testimony that when defendant yelled out "Call Chino," he believed the officers might be in danger and evidence might be destroyed, supports the finding that exigent circumstances existed (see *Maryland v Buie*, 494 US 325 [1990]).

Finally, the defendant's contention that the People's summation constituted prosecutorial misconduct is unpreserved for review since defendant failed to object during the summation (*People v Utley*, 45 NY2d 908 [1978]; *People v Patterson*, 121 AD2d 406 [2d Dept 1986], *lv denied* 68 NY2d 759 [1986]).

IV.

The Appellate Division properly concluded that defendant was not within close proximity to the drugs found in the apartment within the meaning of Penal Law § 220.25 (2), and that defendant's challenges to his convictions otherwise are without merit or unpreserved. Therefore, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH, PIGOTT and ABDUS-SALAAM concur.

Order affirmed.

[24 NE3d 586, 999 NYS2d 350]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v TERRELL ALLEN, Appellant.

Argued October 23, 2014; decided November 25, 2014

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered April 3, 2013. The Appellate Division modified, as a matter of discretion in the interest of justice, a judgment of the Supreme Court, Queens County (Michael B. Aloise, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree, attempted murder in the second degree, criminal possession of a weapon in the second degree (two counts), and menacing in the second degree, and sentenced defendant to terms of imprisonment. The appeal to the Appellate Division brought up for review an order of that Supreme Court (Arthur J. Cooperman, J.), which had denied, after a hearing, that branch of defendant's omnibus motion which was to suppress identification testimony. The modification consisted of directing that all the terms of imprisonment run concurrently with each other. The Appellate Division affirmed the judgment as modified.

People v Allen, 105 AD3d 754, affirmed.

HEADNOTES

Crimes — Appeal — Preservation of Issue for Review — Duplicity Created by Trial Evidence

1. In a criminal prosecution, issues of duplicity where a count is not duplicitous on its face, like those of facial duplicity, must be preserved for appellate review. An indictment is duplicitous when a single count charges more than one offense. To allow an unpreserved duplicity claim to be raised on appeal would open the door to abuse as a defendant might obtain a new trial on the basis of an error he or she decided not to challenge because he or she thought it insignificant or welcomed it. Requiring preservation prevents unnecessary surprise after the conduct of a complete trial. Thus, defendant was required to, but did not, preserve his duplicity argument where he was charged with second-degree murder and attempted second-degree murder seemingly based on a single incident in which defendant fired two shots at the victim, one missing and one hitting the victim, but he did not assert until his appeal that the attempted murder charge was rendered duplicitous when the prosecution raised at trial an incident that had occurred approximately 10 minutes before the shooting in which defendant had tried to shoot the victim, but the gun did not fire. Defendant did not object when the prosecution asked questions about both incidents or when the prosecutor and judge failed to clarify which incident formed the basis of the attempted murder count. Any uncertainty

could have easily been remedied with an objection during opening statements or the witness testimony, or to the jury charge.

Crimes — Appeal — Preservation of Issue for Review — Duplicity Created by Trial Evidence

2. In a criminal prosecution, a duplicity argument based on trial evidence must be preserved for appeal where the count is not duplicitous on the face of the indictment. Issues of non-facial duplicity, like those of facial duplicity, must be preserved, and *People v Montgomery* (104 AD3d 1291 [4th Dept 2013]), *People v Filer* (97 AD3d 1095 [4th Dept 2012]), and *People v Boykins* (85 AD3d 1554 [4th Dept 2011]), which held otherwise, should not be followed.

Crimes — Identification of Defendant — Lineup — Harmless and Prejudicial Error

3. In a murder prosecution in which the police apprehended defendant after he was implicated by a codefendant, brought defendant to the police station and conducted a lineup during which the victim's wife identified defendant as the shooter, any error in the admission of the lineup identification at trial based on a violation of defendant's right to counsel at the lineup was harmless beyond a reasonable doubt when considered in light of the overwhelming evidence of defendant's guilt. There were three eyewitnesses, including two who knew defendant personally, ballistics evidence, a confession by defendant to one of the witnesses an hour after the shooting, and defendant's strenuous efforts to avoid arrest.

Crimes — Evidence — Exclusion of Police Reports Offered as Evidence to Impeach Credibility of Witness

4. In the prosecution of defendant for murder and other crimes arising from a fatal shooting in front of the victim's house, the trial court did not abuse its discretion when it ruled that police reports of the incident, which defendant sought to introduce to establish that the People's main witness, the victim's wife, described the shooter to the police and that the description matched that of defendant's alleged accomplice, were inadmissible extrinsic evidence on a collateral matter. An accused's right to cross-examine a witness is not absolute. Prior statements are often collateral to the ultimate issue before the jury and bear only upon the credibility of the witness. Admissibility of prior statements is entrusted to the sound discretion of the trial court, whose rulings are not subject to review unless there has been an abuse of discretion as a matter of law. Here, defendant failed to demonstrate that the source of the information in the reports was actually the victim's wife herself. The authors of the reports wrote that they were based on secondhand information and neither of them had ever spoken to the victim's wife personally.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 575, 654, 659, 664–666, 690, 703; AM JUR 2d, Criminal Law §§ 923, 1122; AM JUR 2d, Evidence §§ 308, 575; AM JUR 2d, Indictments and Informations §§ 25, 207, 209.

CARMODY-WAIT 2d, Eyewitness Identification Procedures § 174:3; CARMODY-WAIT 2d, Right to Counsel § 184:28; CARMODY-WAIT 2d, Commencing the Prosecution; Grand

Jury §§ 178:308, 178:309; CARMODY-WAIT 2d, Fundamentals of Criminal Evidence § 193:11; CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:41, 207:117, 207:149.
 LaFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 7.3, 7.4, 24.4, 27.5, 27.6.
 NY JUR 2d, Criminal Law: Procedure §§ 673, 677, 1245, 1247, 2310, 3454-3456, 3460, 3569, 3570, 3572-3574.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Attorneys; Exclusion of Evidence; Harmless and Prejudicial Error; Indictments and Informations; Lineups.

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POINTS OF COUNSEL

Steven Banks, The Legal Aid Society, Criminal Appeals Bureau, New York City (*Angie Louie* of counsel), for appellant. I. The count of attempted murder was rendered duplicitous where the indictment charged attempted murder when appellant fired at Kevin Macklin and missed seconds before firing again and killing him, but evidence at trial showed that there was an earlier incident when appellant pointed a gun at Macklin but no shot was fired, and this mode of proceedings error does not need to be preserved for appeal. (*People v Keindl*, 68 NY2d 410; *People v Alonzo*, 16 NY3d 267; *People v Bauman*, 12 NY3d 152; *People v Hanley*, 20 NY3d 601; *People v Becoats*, 17 NY3d 643; *People v Parilla*, 8 NY3d 654; *People v Sinha*, 84 AD3d 35; *People v Nash*, 77 AD3d 687; *People v Hayes*, 104 AD3d 1050; *People v Jones*, 165 AD2d 103.) II. The introduction of the lineup in violation of appellant's right to counsel was not harmless beyond a reasonable doubt where the identification was made by the People's lead witness, and where the other witnesses had strong motives to lie. (*People v Coates*, 74 NY2d 244; *People v Crimmins*, 36 NY2d 230; *People v Smith*, 22 AD3d 510; *People v Polhill*, 102 AD3d 988; *Chapman v California*, 386 US 18; *Fahy v Connecticut*, 375 US 85; *People v Carracedo*, 89 NY2d 1059; *People v Carpenito*, 80 NY2d 65; *Wray v Johnson*, 202 F3d 515; *People v Burts*, 78 NY2d 20.) III. The defense was improperly limited in establishing that the People's main witness, Judith Macklin, told police that there was one shooter and that the perpetrator fit the description of codefendant Waquan Welds,

not appellant. (*Douglas v Alabama*, 380 US 415; *Crawford v Washington*, 541 US 36; *People v Hults*, 76 NY2d 190; *People v Spencer*, 20 NY3d 954; *People v Carroll*, 95 NY2d 375; *People v Ranghelle*, 69 NY2d 56; *People v Mullings*, 83 AD3d 871; *People v Steward*, 54 AD3d 880; *Rosario v Kuhlman*, 839 F2d 918; *People v Schwartzman*, 24 NY2d 241.)

Richard A. Brown, District Attorney, Kew Gardens (Nancy Fitzpatrick Talcott and John M. Castellano of counsel), for respondent. I. The count of attempted murder was not duplicitous and the Appellate Division properly rejected defendant's unpreserved claim to the contrary. (*People v Lopez*, 71 NY2d 662; *People v Michael*, 48 NY2d 1; *People v Jackson*, 196 NY 357; *People v Gray*, 86 NY2d 10; *People v Kelly*, 5 NY3d 116; *People v Voliton*, 83 NY2d 192; *People v Middleton*, 54 NY2d 42; *People v Patterson*, 39 NY2d 288; *Brown v Greiner*, 409 F3d 523; *People v Ahmed*, 66 NY2d 307.) II. Defendant was not denied his right to counsel at the lineup. In any event, error, if any, in the admission of such evidence was harmless. (*People v LaFontaine*, 92 NY2d 470; *People v Concepcion*, 17 NY3d 192; *People v Ingram*, 18 NY3d 948; *People v Wheeler*, 2 NY3d 370; *People v Pacquette*, 17 NY3d 87; *People v Sparber*, 10 NY3d 457; *People v Carracedo*, 89 NY2d 1059; *People v Prochilo*, 41 NY2d 759; *Kirby v Illinois*, 406 US 682; *People v Wilson*, 89 NY2d 754.) III. The Appellate Division correctly affirmed the trial court's exclusion of impeachment evidence which could not be attributed to the witness sought to be impeached and which did not state what defendant alleged. (*Taylor v Illinois*, 484 US 400; *Chambers v Mississippi*, 410 US 284; *Rock v Arkansas*, 483 US 44; *People v Aska*, 91 NY2d 979; *People v Miller*, 39 NY2d 543; *People v Hudy*, 73 NY2d 40; *People v Petty*, 7 NY3d 277; *People v Corby*, 6 NY3d 231; *People v Davis*, 43 NY2d 17; *Delaware v Van Arsdall*, 475 US 673.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

The primary issue presented by this appeal is whether a duplicity argument based on trial evidence must be preserved for appeal where the count is not duplicitous on the face of the indictment. We hold that such error must be preserved, and find that none of the other issues raised by defendant warrant reversal.

On June 22, 2008, shortly before 1:30 a.m., defendant attempted to shoot the victim while he was in the street, but the

gun did not fire. Approximately 10 minutes later, by the stoop in front of the victim's house, defendant fired two shots, one missing and one hitting the victim in the head and killing him.

The victim's wife witnessed some of the events leading up to the shooting, and on the night of the murder, spoke to police officers about what she saw. She mentioned to Detective Mark Lobel the name of the codefendant in this case (Welds), who told police that defendant had fired the gun. Three days later, defendant was arrested by police, including Detective Lobel, in New Jersey, after he attempted to avoid arrest by hiding in an attic. Police brought defendant to the 113th precinct in Queens. Detective Lobel conducted a lineup at the station, and the victim's wife identified defendant as the shooter. Ballistics evidence showed that the bullet recovered at the scene and the bullet recovered from the victim's body were fired from the same gun. Defendant and Welds were charged in a single indictment. Welds' case was ultimately severed from defendant's. Welds stood trial first and was convicted by a jury of murder in the second degree. Facing a sentence of up to 15 years to life, Welds agreed to testify against defendant in exchange for a promise of leniency. Welds was sentenced to 7½ years to life.

Defendant was charged with one count of second-degree murder and one count of attempted second-degree murder among other charges. The indictment charged defendant and codefendant with:

“murder in the second degree, committed as follows: The defendants, on or about June 22, 2008, in the County of Queens, acting in concert with each other and with the intent to cause the death of Kevin Macklin, caused the death of Kevin Macklin, by luring him off the front steps of his home and shooting him with a loaded firearm.”

Defendant, alone, was charged with:

“attempted murder in the second degree, committed as follows: The defendant, on or about June 22, 2008, in the County of Queens[,] and with the intent to cause the death of Kevin Macklin, attempted to cause the death of Kevin Macklin by discharging a loaded firearm at and in his direction.”

Defendant filed a request for a bill of particulars, seeking specification of the substance of each aspect of defendant's conduct encompassed by each charge, the distinctions in conduct

between the counts of the indictment, and the exact date, time and location of the alleged crimes charged. Defendant also filed an omnibus motion, which challenged the indictment as multiplicitous, arguing:

“[I]t appears the Counts 1 and 2 of the indictment charging [m]urder in the [s]econd [d]egree (intentional) and [a]tttempted [m]urder in the [s]econd [d]egree are multiplicitous counts as . . . the defendant is charged [with] attempting to cause the death of Kevin Macklin by discharging a loaded firearm at and in his direction, and . . . the defendant is charged with luring him off the front steps of his home and shooting him with a loaded firearm, causing his death. It appears that these counts encompass either the same conduct or a single continuing offense and should not be separate counts in this indictment.”

In response, the People stated that the substance of defendant’s conduct was that

“on June 22, 2008, at approximately 01:35 a.m., in the vicinity of 112-02 148[th] Street, the defendant[,] acting in concert with co-defendant . . . pointed a pistol at Kevin Macklin[,] and attempted to shoot Kevin Macklin[,] and thereafter did fire at Kevin Macklin, striking him in the head, thereby causing his death.”

After a *Wade* hearing, Supreme Court denied defendant’s motion to suppress identification testimony, which had claimed, inter alia, that the identification was made in a lineup that was conducted in violation of defendant’s right to counsel. There was conflicting testimony from defendant and the police officers as to whether or not defendant had requested the presence of his attorney at the lineup. The court concluded that “even if defendant Allen in fact had told detectives prior to the lineup that he wanted his lawyer, they were under no obligation to contact or provide counsel at the lineup.”

During opening arguments, the People raised both incidents of defendant attempting to shoot the victim (both the gun not firing, and the missed shot in front of the house 10 minutes later), applying the term “attempted murder” only to the earlier one. Defendant made no objection. During the testimony of the

People's witnesses, the prosecution asked questions about both incidents. The People presented three eyewitnesses who testified about the events that occurred that night, ballistics evidence, and an inculpatory statement made by defendant to one of the witnesses an hour after the shooting. The People also presented evidence of defendant's attempts to avoid apprehension and arrest by the police. During trial, the court refused to allow defendant to introduce the extrinsic evidence, consisting of several police reports of the incident, to impeach the credibility of one of the People's witnesses on the stand. According to the officers who wrote these reports, they were based on secondhand information since neither of the officers had spoken to the witness directly.

In the closing argument, the prosecutor did not clarify which incident formed the basis of the attempted murder count. The court also did not specify which conduct the attempted murder charge was based upon, stating:

“[U]nder the second count the People are required to prove beyond a reasonable doubt two elements: One, on or about June 22, 2008 in the County of Queens this defendant acting in concert intended to commit the crime of murder in the second degree. I have given you those elements. And, two, the defendant engaged in conduct which tended to effect the commission of that crime.”

Defendant did not object to the charge.

Defendant was convicted on all counts, and sentenced to 25 years to life for murder, 25 years for attempted murder, 15 years for each of two criminal possession of a weapon counts, and one year for menacing. The attempted murder sentence was imposed consecutively to the other counts.

The Appellate Division unanimously modified the judgment of conviction, as a matter of discretion in the interest of justice, by directing that all the terms of imprisonment run concurrently with each other, and as so modified, affirmed, holding that: (1) although the trial court erred in denying defendant's motion to suppress the lineup identification, the error was harmless; (2) the trial court properly refused to allow defendant to introduce extrinsic evidence on a collateral matter to impeach

the credibility of a witness; and (3) the duplicity argument was unpreserved (105 AD3d 754 [2d Dept 2013]).¹

“An indictment is duplicitous when a single count charges more than one offense” (*People v Alonzo*, 16 NY3d 267, 269 [2011]). Defendant argues that the count of the indictment charging him with attempted murder was rendered duplicitous due to events that unfolded during the course of the trial.

The indictment in this case appears to cite the incident that occurred in front of the victim’s house (the two shots fired within seconds of each other) as the basis for the attempted murder count against defendant. The bill of particulars, which says that “defendant . . . pointed a pistol . . . and attempted to shoot . . . and thereafter . . . fire[d],” may be read as tying the attempted murder charge to the earlier incident (the misfire), but it does not eliminate the ambiguity. At trial, beginning with the opening statement, the People presented to the jury two separate incidents in which a gun was pointed at the victim, and defendant pulled the trigger. Neither the People, in their closing argument, nor the court, in its instructions to the jury, clarified the basis of the attempted murder count. Thus defendant contends that the jury verdict on the attempted murder count could have represented either a finding as to the first incident, the second incident, or a combination of the two.

Defendant argues that preservation is unnecessary where a count is not duplicitous on its face, but where it is the evidence adduced at trial that renders a count duplicitous, contending that the defect constitutes a mode of proceedings error.

In *People v Becoats* (17 NY3d 643 [2011]), defendant contended that the indictment was facially duplicitous. This Court held that such issues must be preserved at trial. We reasoned:

“To allow an unpreserved claim of duplicitousness to be raised on appeal would open the door to abuse. Defendants accused of multiple offenses may not much care how many counts they face, or may prefer to face one count (and thus one conviction) rather than several. Under the rule defendants here seek, it would be possible for them to make that choice at trial by letting a duplicitous indictment stand without objection, and make the opposite choice on

1. The Appellate Division also held that defendant’s multiplicity argument was preserved but without merit. Defendant does not pursue the multiplicity claim on appeal to this Court.

appeal; they might thus obtain a new trial on the basis of an error they consciously decided not to challenge because they thought it insignificant, or welcomed it. To expand the definition of ‘mode of proceedings’ error too freely would create many such anomalous results” (*Becoats*, 17 NY3d at 651).

Here, defendant asserts that the charge for attempted murder did not become arguably duplicitous until the trial evidence suggested that there had been another incident involving defendant and the victim.

The First and Second Departments have held that where it is claimed that the trial evidence has rendered a count duplicitous, the issue must be preserved for review (*see People v Sinha*, 84 AD3d 35, 43-44 [1st Dept 2011], *affd* 19 NY3d 932 [2012]; *People v Nash*, 77 AD3d 687, 688 [2d Dept 2010]). The Fourth Department, however, has held that duplicity created by trial evidence violates a defendant’s right to be tried and convicted only of the crimes and theories charged in the indictment, which is a fundamental and non-waivable right, and that such error also violates a defendant’s right under CPL 310.80 to a unanimous verdict, and that preservation is unnecessary (*see People v Montgomery*, 104 AD3d 1291 [4th Dept 2013]; *People v Filer*, 97 AD3d 1095 [4th Dept 2012]; *People v Boykins*, 85 AD3d 1554 [4th Dept 2011]).

As we held in *People v Alvarez* (20 NY3d 75, 81 [2012], *cert denied* 569 US —, 133 S Ct 1736 [2013], *and* 569 US —, 133 S Ct 2004 [2013]), in relation to the constitutional right to a public trial, “preservation of public trial claims is still required. Bringing a public trial violation to a judge’s attention in the first instance will ensure the timely opportunity to correct such errors” (*see also People v Garcia*, 95 NY2d 946, 947 [2000]; *People v Nieves*, 90 NY2d 426, 431 [1997]). Therefore, defendant’s argument that he need not preserve an issue that has constitutional significance is unconvincing.²

[1, 2] Any uncertainty could have easily been remedied with an objection during opening statements or the witness testimony, or to the jury charge. Requiring preservation will prevent unnecessary surprise after the conduct of a complete trial. Accordingly, we hold that issues of non-facial duplicity, like those

2. We note this is not a case where defendant was tried without an indictment at all or on a crime removed from anything for which he was indicted, but rather one in which there is a lack of clarity as to which of two incidents the relevant count of the indictment refers to.

of facial duplicity, must be preserved for appellate review. The Fourth Department cases holding otherwise should not be followed.

[3] As to the lineup identification, any error in its admission “must be deemed harmless beyond a reasonable doubt when considered in light of the overwhelming evidence of defendant’s guilt” (*People v Owens*, 74 NY2d 677, 678 [1989]; *accord People v Harris*, 80 NY2d 796 [1992]). Here, there were three eyewitnesses, two of whom knew the defendant personally, ballistics evidence, a confession to one of the witnesses an hour after the shooting, and defendant’s strenuous efforts to avoid arrest.

[4] Finally, we reject defendant’s claim that he was improperly limited in establishing through police reports that the People’s main witness, the victim’s wife, described the shooter to the police and that the description matched that of the alleged accomplice in this case. As to limitations on cross-examination of prosecution witnesses, it is well settled that “[a]n accused’s right to cross-examine witnesses . . . is not absolute” (*People v Corby*, 6 NY3d 231, 234-235 [2005]). Because prior statements are

“often collateral to the ultimate issue before the jury and bear[] only upon the credibility of the witness, [their] admissibility is entrusted to the sound discretion of the Trial Judge whose rulings are not subject to review unless there has been an abuse of discretion as a matter of law” (*People v Duncan*, 46 NY2d 74, 80 [1978], *cert denied* 442 US 910 [1979]).

The trial court, acting in accordance with these principles, did not abuse its discretion when it ruled that the police reports were inadmissible extrinsic evidence on a collateral matter. Defendant failed to demonstrate that the source of the information in the reports was actually the victim’s wife herself. The officers/authors of the reports wrote that they were based on secondhand information, and neither of them had ever spoken to the victim’s wife personally.

Accordingly, the order of the Appellate Division should be affirmed.

Judges GRAFFEO, READ, SMITH, PIGOTT, RIVERA and ABDUS-SALAAM concur.

Order affirmed.

[24 NE3d 1086, 999 NYS2d 822]

TRUMP VILLAGE SECTION 3, INC., Respondent, v CITY OF NEW YORK et al., Appellants.

Argued November 17, 2014; decided December 17, 2014

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered September 18, 2013. The Appellate Division (1) reversed, on the law, so much of an order of the Supreme Court, Kings County (Richard Velasquez, J.), as had denied that branch of plaintiff's cross motion which was for summary judgment declaring that the real property transfer tax was improperly imposed upon it and, upon searching the record, awarded summary judgment to defendants declaring that plaintiff's conversion from a Mitchell-Lama cooperative housing corporation to a cooperative housing corporation under the Business Corporation Law constitutes a conveyance which is subject to the real property transfer tax; (2) granted that branch of plaintiff's cross motion which was for summary judgment declaring that the real property transfer tax imposed by Tax Law § 1201 (b) and Administrative Code of the City of New York § 11-2102 (a) was improperly imposed upon it; and (3) remitted the matter for entry of a judgment declaring that the real property transfer tax was improperly imposed upon plaintiff. The following question was certified by the Appellate Division: "Was the opinion and order of this Court dated September 18, 2013, properly made?"

Trump Vil. Section 3, Inc. v City of New York, 109 AD3d 899, affirmed.

HEADNOTES

Taxation — Real Property Transfer Gains Tax — New York City Real Property Transfer Tax — Termination of Participation in Mitchell-Lama Housing Program — Corporate Reconstitution

1. A taxable transfer did not occur for real property transfer gains tax purposes under Tax Law § 1201 (b) and Administrative Code of the City of New York § 11-2102 (a) where plaintiff residential housing cooperative corporation terminated its participation in the Mitchell-Lama housing program (Private Housing Finance Law art II) and amended its certificate of incorporation as part of its voluntary dissolution and reconstitution as a cooperative corporation governed by the Business Corporation Law. Plaintiff's reconstitution through amendment of its certificate of incorporation did not constitute a conveyance of real property to a different corporation. The

corporation named in the amended certificate of incorporation was the same corporation named in the original certificate of incorporation. The amendment did not “form” a new corporation, but instead deleted from the prefatory language of the certificate the reference to the Private Housing Finance Law, and also listed the filing date of the original certificate of incorporation and the date of each prior amendment. Moreover, there was no indication that plaintiff’s amendment to its certificate of incorporation was meant to be a document of conveyance, and thus no support for holding the amendment to be a “deed” within the meaning of Administrative Code § 11-2101 (2) subject to the real property transfer tax.

Taxation — Real Property Transfer Gains Tax — New York City Real Property Transfer Tax — Termination of Participation in Mitchell-Lama Housing Program — Inapplicability of Statutory Exemption Provision

2. The “mere change in form of ownership” exemption contained in Administrative Code of the City of New York § 11-2106 (b) (8) did not justify imposition of a real property transfer gains tax on plaintiff residential housing cooperative corporation based upon the termination of its participation in the Mitchell-Lama housing program (Private Housing Finance Law art II) and amendment of its certificate of incorporation as part of its voluntary dissolution and reconstitution as a cooperative corporation governed by the Business Corporation Law. There was no indication that plaintiff’s amendment to its certificate of incorporation was meant to be a document of conveyance, and thus no support for holding the amendment to be a “deed” subject to the real property transfer tax within the meaning of Administrative Code § 11-2101 (2). As the exemption only applies where there has been a conveyance in the first place, because there was no conveyance here, the exemptions and the exceptions to those exemptions were not relevant.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

- AM JUR 2d, State and Local Taxation §§ 90, 92, 97, 103, 105, 127–128, 459, 519, 613, 738; AM JUR 2d, Taxpayers’ Actions §§ 8, 13–14.
- CARMODY-WAIT 2d, Actions by and Against Corporations, Their Officers, Directors, and Shareholders § 121:493; CARMODY-WAIT 2d, Taxpayers’ Actions § 128:40; CARMODY-WAIT 2d, Judicial Recovery of Assessments and Taxes §§ 146:1, 146:46, 146:167, 146:169, 146:176.
- McKINNEY’S, Private Housing Finance Law art II; Tax Law § 1201 (b).
- NY JUR 2d, Declaratory Judgments and Agreed Case § 68; NY JUR 2d, Taxation and Assessment §§ 147, 217, 222, 225, 227, 254, 262, 611, 613, 618, 621, 631, 633, 1011, 1992, 2344, 2364.

ANNOTATION REFERENCE

See ALR Index under Cooperative Associations; Housing and Slum Clearance; Municipal Corporations; Taxes.

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POINTS OF COUNSEL

Zachary W. Carter, Corporation Counsel, New York City (Frances J. Henn, Andrew G. Lipkin, Vincent D'Orazio and Jeffrey D. Friedlander of counsel), for appellants. The dissolution of Mitchell-Lama Trump Village Section 3 and its reconstitution as a newly formed Business Corporation Law entity resulted in a taxable transfer under the New York City Real Property Transfer Tax because the dissolution and reconstitution effectuated a conveyance of real property from Mitchell-Lama Trump Village Section 3 to the newly created Business Corporation Law entity. (*Matter of Long v Adirondack Park Agency*, 76 NY2d 416; *Matter of Chemical Bank v Tully*, 94 AD2d 1; *El Paso Corp. v New York State Dept. of Taxation & Fin.*, 36 AD3d 655, 8 NY3d 813; *Matter of Conde Nast Publs. v State Tax Commn.*, 51 AD2d 17; *Matter of Howard v Wyman*, 28 NY2d 434; *Matter of American Tel. & Tel. Co. v State Tax Commn.*, 61 NY2d 393; *Lorillard Tobacco Co. v Roth*, 99 NY2d 316; *Matter of Bamberger Polymers v Chu*, 111 AD2d 589, 66 NY2d 603; *Matter of Blue Spruce Farms v New York State Tax Commn.*, 99 AD2d 867, 64 NY2d 682; *Sofsky v Rosenberg*, 76 NY2d 927.)

Stroock & Stroock & Lavan LLP, New York City (Daniel A. Ross, David M. Cheifetz and Hannah Yu of counsel), for respondent. I. The City of New York violates the rule that a taxing statute must be narrowly construed, with all doubts as to its applicability to be resolved in favor of the taxpayer. (*Debevoise & Plimpton v New York State Dept. of Taxation & Fin.*, 149 Misc 2d 571, 80 NY2d 657; *Matter of Columbus Park Corp. v Department of Hous. Preserv. & Dev. of City of N.Y.*, 80 NY2d 19; *Matter of Grace v New York State Tax Commn.*, 37 NY2d 193; *Matter of Mobil Oil Corp. v Finance Adm'r of City of N.Y.*, 58 NY2d 95; *Dun & Bradstreet, Inc. v City of New York*, 276 NY 198; *American Locker Co. v City of New York*, 308 NY 264; *Gould v Gould*, 245 US 151; *Matter of Bloomingdale Bros. v Chu*, 70 NY2d 218; *Matter of Conde Nast Publs. v State Tax Commn.*, 51 AD2d 17; *Bingham v New York City Tr. Auth.*, 99 NY2d 355.) II. The New York City Real Property Transfer Tax does not apply to Trump Village Section 3, Inc.'s exit from the Mitchell-Lama program by means of amending its certificate of incorporation.

(*Department of Justice, F.B.I. v Calspan Corp.*, 578 F2d 295; *People ex rel. Consolidated Kan. City Smelting & Ref. Co. v Secretary of State*, 13 App Div 50; *Polk v Mutual Reserve Fund Life Assn.*, 137 F 273; *Matter of Empire State Supreme Lodge*, 53 Misc 344; *East Midtown Plaza Hous. Co., Inc. v Cuomo*, 20 NY3d 161; *Brock v Poor*, 216 NY 387; *Manhattan Life Ins. Co. v Continental Ins. Cos.*, 33 NY2d 370; *Sofsky v Rosenberg*, 76 NY2d 927; *Dwyer v Adler*, 251 AD2d 535; *Ten Eyck v Whitbeck*, 156 NY 341.)

OPINION OF THE COURT

ABDUS-SALAAM, J.

We are presented with the following question: Does a taxable transfer pursuant to Tax Law § 1201 (b) and section 11-2102 (a) of the Administrative Code of the City of New York occur when a residential housing cooperative corporation terminates its participation in the Mitchell-Lama program and amends its certificate of incorporation as part of its voluntary dissolution and reconstitution as a cooperative corporation governed by the Business Corporation Law? We agree with the Appellate Division that no taxable event occurs.

I.

Plaintiff, Trump Village Section 3, Inc. (Trump Village), was incorporated in August 1961 as a Mitchell-Lama cooperative housing corporation pursuant to the Limited-Profit Housing Companies Law (Private Housing Finance Law art II). Trump Village owns a residential co-op complex consisting of three 23-story buildings, with 1,674 residential apartments, located in Coney Island, Brooklyn. Plaintiff remained in the Mitchell-Lama program beyond the requisite 20 years (Private Housing Finance Law § 35 [2]). In 2007, by vote of its shareholders, and with the permission of the State of New York, Trump Village terminated its participation in the Mitchell-Lama program, and, pursuant to Private Housing Finance Law § 35 (3), “reconstituted” itself as a corporation under the Business Corporation Law by amending its certificate of incorporation.

In August 2010, the New York City Department of Finance (the Department) issued a Notice of Determination to Trump Village of a tax deficiency in the sum of \$21,149,592.50, which included interest and a penalty. The Department took the position that because Trump Village was now a private cooperative corporation that had amended its certificate of incorporation

and terminated its participation in the Mitchell-Lama program by reconstitution, it had engaged in a transaction that qualified “[as] a conveyance of the underlying real property.” According to the Department, Trump Village was thus required to pay a real property transfer tax (hereinafter RPTT) pursuant to Tax Law § 1201 (b) and section 11-2102 (a) of the Administrative Code of the City of New York.

Plaintiff commenced this action seeking, among other things, a declaratory judgment that the RPTT is inapplicable because the tax applies only to transfers and conveyances of real property or economic interests in real property, from one entity to another, and not to plaintiff’s exit from the Mitchell-Lama program as a result of a “reconstitution.” The Supreme Court agreed with defendants and issued a declaratory judgment that the conversion from a Mitchell-Lama cooperative housing corporation to a cooperative housing corporation under the Business Corporation Law constitutes a conveyance which is subject to the RPTT. The Appellate Division reversed, granted that branch of plaintiff’s motion which was for summary judgment declaring that the RPTT tax was improperly imposed and remitted to Supreme Court (109 AD3d 899, 906 [2013]). The Appellate Division granted leave and certified the question as to whether its order was properly made (2013 NY Slip Op 91581[U] [2013]). We now affirm and answer the certified question in the affirmative.

II.

Section 11-2102 (a) of the Administrative Code of the City of New York provides that an RPTT is imposed “on each deed at the time of delivery by a grantor to a grantee.” A deed is defined in section 11-2101 (2) as

“[a]ny document or writing (other than a will), regardless of where made, executed or delivered, whereby any real property or interest therein is created, vested, granted, bargained, sold, transferred, assigned or otherwise conveyed, including any such document or writing whereby any leasehold interest in real property is granted, assigned or surrendered.”

In support of their position that the privatization of Trump Village is a taxable event, defendants argue that an amendment to a certificate of incorporation is a “deed.” Defendants also assert that Trump Village is a new corporation and that there was

actually a conveyance of real property to a different corporation, with Trump Village being both the grantor and grantee. However, defendants' construction of the RPTT cannot be reconciled with the plain language of the statute. Furthermore, even if there were any ambiguities regarding the application of the RPTT to this situation, "doubts concerning [a taxing statute's] scope and application are to be resolved in favor of the taxpayer" (*Debevoise & Plimpton v New York State Dept. of Taxation & Fin.*, 80 NY2d 657, 661 [1993]). Thus, we reject defendants' strained interpretation of section 11-2102 (a) of the Administrative Code of the City of New York.

[1] We first address defendants' argument that Trump Village became an entirely new corporation. While defendants assert that a new corporation must have been formed because Trump Village had to "dissolve" under the Private Housing Finance Law before "reconstituting" as a corporation no longer governed by the restrictions of the Private Housing Finance Law, the corporation in the amended certificate of incorporation, Trump Village Section 3, Inc., is the same corporation that was named in the original certificate of incorporation. The Business Corporation Law distinguishes between amending a certificate of incorporation (§ 801 *et seq.*) and formation of a corporation (§ 401 *et seq.*). Section 801 (b) (14) provides that a certificate of incorporation may be amended "[t]o strike out, change or add any provision . . . relating to the business of the corporation, its affairs, its right or powers."

Plaintiff filed a "CERTIFICATE OF AMENDMENT . . . Under Section 805 of the Business Corporation Law." The original certificate of incorporation contained the preamble: "We, the undersigned, for the purpose of forming a corporation pursuant to Article XII of the Public Housing Law of the State of New York." The amendment modified this language to read: "We, the undersigned, for the purpose of forming a corporation pursuant to the Business Corporation Law." The change in the prefatory language did not "form" a new corporation, but instead deleted the reference to the Private Housing Finance Law, which no longer governed any aspect of the corporation or its shareholders. The amendment also stated that the original "Certificate of Incorporation was filed in the office of the Secretary of State on August 29, 1961" and listed the date of each prior amendment. Thus, Trump Village remains the same corporation, with changes, that it was in 1961.

The Private Housing Finance Law provides that a Mitchell-Lama corporation "may voluntarily be dissolved" and

“[that] [u]pon . . . dissolution, title to the project may be conveyed in fee to the owner or owners of its capital stock or to any corporation designated by it or them for that purpose, *or* the company may be reconstituted pursuant to appropriate laws relating to the formation and conduct of corporations” (Private Housing Finance Law § 35 [2], [3] [emphasis added]).

Accordingly, there are two options for the process of privatization, and plaintiff chose the second option—reconstitution through amendment of its certificate of incorporation.* Defendants posit that the legislature intended the word “reconstitute” to mean the same thing as “reincorporate.” However, as long ago as 1897, it was recognized that reincorporation “cannot be deemed the formation of a new corporation, but should be regarded as the continuation of the existing one” (*People ex rel. Consolidated Kan. City Smelting & Ref. Co. v Secretary of State*, 13 App Div 50, 53 [3d Dept 1897]; see also 15 Fletcher, *Cyclopedia of Corporations* § 7204 [“In a sense, (a reincorporation) is merely an amendment of the charter; there is no new corporation, and the company is the same as before the reincorporation”]).

Regarding defendants’ argument that the amendment so radically altered the business of Trump Village that it must have become a new corporation, we note that the RPTT does not tax changes in the business or purpose of the corporation owning real property, but taxes conveyances of property or an interest therein. Similarly, while defendants argue that the Trump Village shareholders have realized a tremendous increase in the value of their apartments without paying an RPTT, the RPTT is not imposed simply because the value of property has increased. And, as pointed out by plaintiff, the RPTT is and will continue to be collected on the full value of the shares of each apartment that is sold.

Defendants also maintain that there was a deed in this case, asserting that the certificate of amendment is a deed because it

* The record includes a July 20, 2005 letter to plaintiff’s counsel from the New York State Division of Housing and Community Renewal. The letter, which apparently contains a typographical error in the subject line (listing the property as Trump Village Section 4, Inc. rather than Trump Village Section 3, Inc.), states, among other things: “The Division has not taken the position that the housing company could only privatize by dissolving and conveying title to another corporation. The Division agrees that, as a procedural matter, privatization can take place by reconstituting the company through the amending of its certificate of incorporation.”

is a writing that conveys real property rights or interests. But the certificate of amendment does not do that. There is absolutely no indication that the amendment was meant to be a document of conveyance. The Appellate Division correctly held that there is “no support in either case law or the record for the City defendants’ interpretation of the law” (109 AD3d at 905).

[2] Defendants further point to the “mere change in form of ownership” exemption of section 11-2106 (b) (8) of the Administrative Code of the City of New York, reasoning that because the exemption does not apply to a conveyance to a cooperative housing corporation, but does apply to a transfer to a Mitchell-Lama cooperative, the legislature must have intended to tax all privatizations of Mitchell-Lama cooperatives. However, as the Appellate Division recognized, the exemption only applies where there has been a conveyance in the first place, and thus, because there was no conveyance, the exemptions and the exceptions to those exemptions are not relevant.

Finally, defendants’ reliance on this Court’s decision in *East Midtown Plaza Hous. Co., Inc. v Cuomo* (20 NY3d 161 [2012]) is misplaced. At issue in *East Midtown* was whether a privatization by means of an amendment to a certificate of incorporation was subject to the disclosure requirements under the Martin Act. The decision addressed the impact of privatization on shareholders and focused on the rights of the shareholders, and the substantial changes in the nature of their interests. It lends no support for defendants’ imposition of an RPTT where there has been a Mitchell-Lama privatization.

Therefore, the order of the Appellate Division should be affirmed, with costs, and the certified question answered in the affirmative.

Chief Judge LIPPMAN and Judges READ, SMITH, PIGOTT and RIVERA concur.

Order affirmed, with costs, and certified question answered in the affirmative.

[24 NE3d 1064, 999 NYS2d 800]

In the Matter of the Claim of MAUREEN KIGIN, Appellant, v
STATE OF NEW YORK WORKERS' COMPENSATION BOARD et al.,
Respondents.

Argued October 14, 2014; decided November 20, 2014

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered July 18, 2013. The Appellate Division affirmed a decision of the Workers' Compensation Board which had affirmed a decision of a Workers' Compensation Law judge denying claimant's request for two variances for further therapeutic acupuncture.

Matter of Kigin v State of N.Y. Workers' Compensation Bd., 109 AD3d 299, affirmed.

HEADNOTES

Workers' Compensation — Treatment and Care of Injured Employees — Workers' Compensation Board's Authority to Promulgate Medical Treatment Guidelines

1. The Workers' Compensation Board acted properly and lawfully when it promulgated and incorporated by reference into the regulations the Medical Treatment Guidelines, a list of pre-authorized medical procedures that a claimant can obtain at the employer's expense, without prior approval, even if the cost exceeds the maximum for specialist treatments (*see* 12 NYCRR 324.2 [a]). The Board is authorized to "adopt reasonable rules consistent with and supplemental to the [Workers' Compensation Law]" (Workers' Compensation Law § 117 [1]). The Guidelines reasonably supplement Workers' Compensation Law § 13 and promote the overall statutory framework to provide appropriate medical care to injured workers. Under Workers' Compensation Law § 13-a (5), the Board was statutorily authorized to issue a list of pre-authorized procedures, which meant that the Board had to consider what is not best practice and what may not be medically necessary. However, given the possibility of obtaining a variance, procedures that are not on the list are not pre-denied. Inasmuch as disputes over the medical necessity or frequency/duration of medical care were often made after the care was provided, on a case-by-case basis, it was reasonable for the Board to promulgate uniform guidelines, the pre-authorized list and the variance procedure to avoid the delay and uncertainty that previously resulted from disputes.

Workers' Compensation — Treatment and Care of Injured Employees — Medical Treatment Guidelines — Variances — Burden of Proof

2. The variance procedure set forth in the workers' compensation regulations (12 NYCRR 324.3 [a]) properly places the burden of proof on the claimant's treating medical provider to establish the medical necessity of proposed treatment not included in the Medical Treatment Guidelines, a list

of pre-authorized medical procedures that a claimant can obtain at the employer's expense, without prior approval, even if the cost exceeds the maximum for specialist treatments (*see* 12 NYCRR 324.2 [a]). Nothing in the Workers' Compensation Law precludes the Board from requiring proof of medical necessity from claimant's health care provider. The claimant generally has the burden in the first instance of proving facts sufficient to support his or her claim for compensation. Moreover, the provision of Workers' Compensation Law § 13-a (5) that an employer's or carrier's refusal to authorize special services costing more than the maximum must be based on a "conflicting second opinion" by a Board-authorized physician presupposes that the claimant has submitted the first opinion from his or her treating physician. Nor does placing the burden of proof for the variance on the claimant's medical provider conflict with the presumption created by Workers' Compensation Law § 21 (5), whereby "the contents of medical and surgical reports introduced in evidence by claimants . . . shall constitute prima facie evidence of fact as to the matter contained therein," and the carrier bears the burden of proffering substantial evidence to contradict the content of those medical reports. While the presumption establishes the facts contained in the medical report, the claimant must first establish the medical necessity for the treatment.

Workers' Compensation — Treatment and Care of Injured Employees — Medical Treatment Guidelines — Variances — Due Process

3. The Workers' Compensation Board's Medical Treatment Guidelines, a list of pre-authorized medical procedures that a claimant can obtain at the employer's expense, without prior approval, even if the cost exceeds the maximum for specialist treatments (*see* 12 NYCRR 324.2 [a]), do not violate a claimant's due process right to a meaningful hearing. The fundamental requirement of due process is the opportunity to be heard at a meaningful time and in a meaningful manner. The Guidelines provide claimants with a meaningful opportunity to be heard on the denial of any request for a variance for treatment not included in the list. The variance procedure provides a process for requesting review of the denial of a variance request by a medical arbitrator or through an expedited hearing process. Here, claimant had a hearing to determine her variance requests at which a Workers' Compensation Law judge considered testimony from claimant's care provider and an independent expert engaged by the carrier, and claimant was represented by counsel, who cross-examined the carrier's expert. The Workers' Compensation Law judge's decision denying the variances was reviewed by the Board, which considered legal arguments by claimant's attorney, and the Board's decision was subject to judicial review.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

- AM JUR 2d, Workers' Compensation §§ 47, 50, 430, 431, 545.
MCKINNEY'S, Workers' Compensation Law §§ 13, 13-a (5); 117 (1).
12 NYCRR 324.2 (a); 324.3 (a).
NY JUR 2d, Workers' Compensation §§ 167, 175, 553, 669, 682.

ANNOTATION REFERENCE

See ALR Index under Due Process; Workers' Compensation.

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POINTS OF COUNSEL

Grey & Grey, L.L.P., Farmingdale (*Robert E. Grey* of counsel), for appellant. I. The Workers' Compensation Board exceeded its statutory authority to preauthorize medical treatment by using the Medical Treatment Guidelines to also pre-deny medical treatment. (*People v Graham*, 55 NY2d 144; *McCluskey v Cromwell*, 11 NY 593; *Matter of Waters v Taylor Co.*, 218 NY 248; *Surace v Danna*, 248 NY 18; *Matter of Alonzo M. v New York City Dept. of Probation*, 72 NY2d 662; *Scott v Massachusetts Mut. Life Ins. Co.*, 86 NY2d 429; *Matter of Magna v Hegeman Harris Co.*, 258 NY 82; *People ex rel. Wallington Apts. v Miller*, 288 NY 31; *Matter of Balcerak v County of Nassau*, 94 NY2d 253; *Matter of Hoffman v Creedmoor State Hosp.*, 22 AD2d 736.) II. The Medical Treatment Guidelines conflict with the statute by improperly shifting the burden of proof regarding the need for medical treatment from the employer to the injured worker. (*Matter of Weingarten v Pathmark Stores*, 256 AD2d 648; *Matter of Freitag v New York Times*, 260 AD2d 748; *Matter of Spinex Labs. [Patton]*, 213 AD2d 884.) III. The Medical Treatment Guidelines deny due process to injured workers. (*Mathews v Eldridge*, 424 US 319; *New York Central R. Co. v White*, 243 US 188; *Board of Regents of State Colleges v Roth*, 408 US 564.)

Eric T. Schneiderman, Attorney General, Albany (*Paul Groenewegen*, *Barbara D. Underwood* and *Andrew D. Bing* of counsel), for State of New York Workers' Compensation Board, respondent. I. The Workers' Compensation Board had statutory authority to adopt regulations incorporating the Medical Treatment Guidelines. (*Matter of Nicholas v Kahn*, 47 NY2d 24; *Matter of General Elec. Capital Corp. v New York State Div. of Tax Appeals, Tax Appeals Trib.*, 2 NY3d 249; *Matter of KSLM-Columbus Apts., Inc. v New York State Div. of Hous. & Community Renewal*, 5 NY3d 303; *Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451; *Matter of Belmonte v Snashall*, 2 NY3d 560; *Crosby v State of N.Y., Workers' Compensation Bd.*, 57 NY2d 305; *Matter of Spinex Labs. [Patton]*, 213 AD2d 884; *Matter of*

Smith v Albany County Sheriff's Dept., 82 AD3d 1334, 17 NY3d 770.) II. Requiring claimants to prove the medical necessity of care that is not authorized by the Medical Treatment Guidelines is consistent with the Workers' Compensation Law. (*Matter of Zamora v New York Neurologic Assoc.*, 19 NY3d 186; *Matter of Malacarne v City of Yonkers Parking Auth.*, 41 NY2d 189; *Matter of Miller v National Cabinet Co.*, 8 NY2d 277; *Matter of Ayala v DRE Maintenance Corp.*, 238 AD2d 674; *Matter of Dixon v State Univ. Coll.*, 283 AD2d 840; *Keigher v General Elec. Co.*, 173 App Div 207; *Matter of Magna v Hegeman Harris Co.*, 258 NY 82; *Matter of Freitag v New York Times*, 260 AD2d 748; *Matter of Middleton v Cossackie Correctional Facility*, 38 NY2d 130; *Matter of Philip M.*, 82 NY2d 238.) III. The regulations and Medical Treatment Guidelines do not deny due process to claimants. (*Mathews v Eldridge*, 424 US 319.)

Steven M. Licht, Special Funds Conservation Committee, Albany (Jill B. Singer of counsel), for Special Funds Conservation Committee, respondent. I. The Workers' Compensation Board has the authority to implement the Medical Treatment Guidelines predetermining medically necessary treatment. (*Matter of Spinex Labs. [Patton]*, 213 AD2d 884; *Matter of Casiano v CCIP/Union Settlement Home Care*, 19 AD3d 719; *Matter of Mitchell v William Stewart, Inc.*, 43 AD2d 616; *Matter of Smith v Albany County Sheriff's Dept.*, 82 AD3d 1334; *Matter of Estate of Lutz v Lakeside Beikirk Nursing Home*, 301 AD2d 688; *Matter of Medical Socy. of State of N.Y. v Serio*, 100 NY2d 854; *Matter of Nicholas v Kahn*, 47 NY2d 24; *Matter of Consolidated Edison Co. of N.Y. v Department of Env'tl. Conservation*, 71 NY2d 186.) II. The burden of proof has not shifted for medically necessary care. (*Matter of Weingarten v Pathmark Stores*, 256 AD2d 648; *Matter of Freitag v New York Times*, 260 AD2d 748.) III. The rules and regulations incorporating the Medical Treatment Guidelines do not violate an injured worker's due process.

OPINION OF THE COURT

PIGOTT, J.

The primary issue presented on this appeal is whether the Workers' Compensation Board (the Board) exceeded its statutory authority when it promulgated portions of the "Medical Treatment Guidelines" (see 12 NYCRR 324.2 [a]-[f]). We hold that it did not and therefore affirm the Appellate Division.

I

In 2007, as part of its comprehensive reform of the Workers' Compensation Law, the legislature amended Workers' Compensation

Law § 13-a (5) in two ways: (1) it raised from \$500 to \$1,000 the maximum cost of specialist treatments for which the employer is automatically liable without prior authorization, and (2) it directed that the Board issue and maintain a list of pre-authorized procedures that a claimant can obtain at the employer's expense even if the cost exceeds \$1,000, without the need for the employer's prior approval. The purpose of both of these provisions was to “remove impediments to prompt diagnostic and treatment measures and to better reflect current medical service costs. The provision permitting the creation of a pre-authorized list allows the Board appropriate regulatory flexibility to add or remove procedures depending on best practices, increases or decreases in costs, or opportunities presented by managed care approaches” (Governor's Program Bill Mem No. 9, Bill Jacket, L 2007, ch 6 at 9).

A task force of credentialed medical professionals was assembled to develop and recommend a set of guidelines for the pre-authorized medical procedures.¹ In 2010, the Board published proposed regulations, which incorporated by reference the guidelines recommended by the task force. Following the comment period, the Board adopted the “Medical Treatment Guidelines,” which were subsequently incorporated by reference in the regulations (*see* 12 NYCRR 324.2 [a]).

The Guidelines include the list of pre-authorized medical procedures and set forth limitations on the scope and duration of each procedure. They also set forth a variance procedure, under which medical treatment providers can, on behalf of a claimant, request authorization for medical care not included in the Guidelines or in excess of the scope and/or duration that is pre-authorized (*see* 12 NYCRR 324.3 [a] [1]). The medical treatment provider requesting a variance must demonstrate that the requested treatment is appropriate for the claimant and medically necessary (*see id.* § 324.3 [a] [2], [3] [i] [a]).

II

In December 1996, claimant Maureen Kigin, a Hearing Reporter for the Workers' Compensation Board, injured her neck and back in a work-related automobile accident. In June 1997, the Board accepted her claim for wage replacement

1. The guidelines were limited to the treatment of injuries to the low back, cervical spine, knee, and shoulder because those injuries account for a disproportionately large amount of the cost of workers' compensation medical care.

benefits and ongoing medical treatment. In 2006, Kigin's case was reopened and transferred to the Special Fund for Reopened Cases (hereafter the carrier) pursuant to Workers' Compensation Law § 25-a. On December 14, 2006, she was classified as permanently partially disabled.

Claimant alleges that she suffers chronic neck and back pain as a result of her injuries. Her treating physician, Dr. Andrea Coladner, prescribed acupuncture. On November 9, 2009, she received authorization from the carrier for acupuncture three times a week for six weeks.²

In March 2011, Dr. Coladner reevaluated claimant and recommended that she receive additional acupuncture treatment, namely, three acupuncture treatments to her cervical and lumbar spine each month for six months. The doctor again requested authorization from the carrier, this time under the newly-created Medical Treatment Guidelines established by the Board that had become effective on December 1, 2010. Specifically, she requested two variances, one for claimant's cervical spine and another for her lumbar spine. These variances were required because the Guidelines for the treatment of neck injuries provided that the optimum duration of acupuncture treatments is one month and the maximum duration is 10 treatments.³ Dr. Coladner opined that the treatments would increase flexibility, increase circulation, decrease headaches, decrease muscle tightness, and allow claimant to maintain function and activities of daily living.

In response to the variance requests, the carrier obtained an independent medical examination of claimant, conducted by Dr. Peter Chiu, a physician board-certified in physical medicine and rehabilitation and certified in acupuncture. Based on his examination, as well as his review of claimant's medical records, Dr. Chiu determined that further acupuncture treatments were not medically necessary. Dr. Chiu noted that claimant's subjective complaints of pain were not supported by objective findings, that she did not suffer from any disability, and that she could

2. Although Dr. Coladner sought prior authorization for the acupuncture treatment under Workers' Compensation Law § 13-a (5), at that time no such prior authorization was required under that section because the treatments did not involve "specialist consultations" or "special services" within the meaning of that section and would not have cost more than \$1,000.

3. See New York State Workers' Compensation Board, New York Neck Injury Medical Treatment Guidelines at 21 (2d ed 2013), available at <http://www.wcb.ny.gov/content/main/hcpp/MedicalTreatmentGuidelines/NeckInjuryMTG2012.pdf>.

resume normal activity of daily living and her occupation without restriction.

Based on Dr. Chiu's findings, the carrier denied the variance requests. Claimant thereafter sought review of the denial.

Dr. Coladner and Dr. Chiu testified as to whether the variances should be granted to allow the additional acupuncture treatment. Dr. Coladner testified that claimant had tried several different treatments and that acupuncture was the treatment modality that helped her maintain her functional level. Dr. Coladner averred that claimant reported a reduction in pain following the acupuncture treatments, although no improvement in her range of motion. Further, Dr. Coladner asserted that additional acupuncture treatments were recommended because, without them, claimant continued to report worsening pain and therefore diminished function.

Dr. Chiu testified that, in his opinion, the variances were properly denied because the requirements set forth in the Guidelines were not satisfied. Specifically, Dr. Chiu testified that Dr. Coladner's medical records did not include claimant's response to treatment or any improvement in her range of motion.

A Workers' Compensation Law Judge determined that claimant's medical provider failed to show that the additional acupuncture treatments were medically necessary. In particular, the Judge noted that, although Dr. Coladner testified that claimant reported some pain reduction from the prior treatments, there was no evidence in the record that these earlier treatments resulted in the objective improvement of functional outcomes with respect to claimant's neck, or that it was reasonable to expect that further acupuncture would result in such improvement.

On claimant's administrative appeal, the Workers' Compensation Board panel affirmed the Workers' Compensation Law Judge's determination. The Board found that the variance applications failed to meet the burden of proof that the additional acupuncture treatment requested is medically necessary within the meaning of the Guidelines.

III

Claimant appealed the Board's decision, arguing, as relevant here, that (1) the Board lacked the authority to promulgate the regulations and incorporated Guidelines, (2) the variance procedure

improperly shifts the burden of proof to claimant's physician to prove the medical necessity of a proposed treatment, and (3) the Guidelines violate claimant's due process right to a meaningful hearing.

The Appellate Division, with one Justice dissenting, affirmed (109 AD3d 299 [3d Dept 2013]). The court rejected claimant's argument that the Board exceeded its statutory authority in promulgating the regulations, holding that "the Board acted within its legislatively conferred authority when it devised a list of preapproved medical care deemed in advance to be medically necessary for specified conditions, and did so in a manner consistent with Workers' Compensation Law § 13 (a) and the overall statutory scheme" (*id.* at 307). In support of its conclusion, the court noted that "medical necessity and appropriateness . . . have always been prerequisites to an employer's obligation" to pay and "the Legislature purposefully conferred the authority on the Board to predetermine medical necessity for medical care, and its scope and duration, consistent with best medical practices" (*id.* at 306-307 [emphasis omitted]).

The court also rejected claimant's argument that the variance procedure improperly shifts the burden to the claimant's treating physician to prove medical necessity, in conflict with Workers' Compensation Law § 21 (5) (*see id.* at 307-310). Finally, the court found unavailing claimant's argument that the Guidelines deprived her of due process, noting that the regulations provide an opportunity to be heard, "an expedited process for determining the medical necessity" of the requested care, and a review process (*id.* at 310).

The dissenting Justice agreed with the majority's conclusion that the "Board has authority to promulgate reasonable rules and regulations consistent with the Workers' Compensation Law," but disagreed with its "overreaching conclusion that medical treatments falling outside the Guidelines are predetermined and presumed not to be medically necessary" (*id.* at 312-313 [McCarthy, J., dissenting]). The dissent would have found that the variance procedure conflicts with the statutory scheme and specifically with section 21 (5) (*see id.* at 313-314). The dissent reasoned that the variance procedure "undermine[s] the remedial purpose of the Workers' Compensation Law and [is] contrary to the legislative purpose behind authorizing the Board to promulgate [the] Guidelines" (*id.* at 315).

This Court granted claimant leave to appeal (22 NY3d 854 [2013]).

IV

Claimant first contends that the Board exceeded its statutory authority to “preauthorize” medical treatment under Workers’ Compensation Law § 13-a (5) by using the Guidelines to “pre-deney” medical treatment. The Board responds that the Guidelines are a valid exercise of its broad regulatory authority because the regulations are rationally related to the underlying policies of the Workers’ Compensation Law.

The Board is authorized to “adopt reasonable rules consistent with and supplemental to the [Workers’ Compensation Law]” (Workers’ Compensation Law § 117 [1]). Courts will uphold regulations that have “a rational basis and [are] not unreasonable, arbitrary, capricious or contrary to the statute under which [they were] promulgated” (*see generally Koppersmith v Dowling*, 93 NY2d 90, 96 [1999]).

[1] We hold that the Board acted properly and lawfully when it promulgated the Guidelines, as they reasonably supplement Workers’ Compensation Law § 13 and promote the overall statutory framework of the Workers’ Compensation Law, which is to provide appropriate medical care to injured workers. There is no dispute that the Board was statutorily authorized under section 13-a (5) to issue a list of pre-authorized procedures. That determination necessarily meant that the Board consider what is *not* best practice and what may *not* be medically necessary. Contrary to claimant’s contention, the procedures that are not on the list are not “pre-denied,” given the possibility of obtaining a variance. In other words, treatments that are not in accord with the Guidelines may nevertheless be approved for particular claimants pursuant to the variance procedure.

The establishment of the variance procedure was within the Board’s broad regulatory powers (Workers’ Compensation Law §§ 13, 141, 117 [1]). The Board explained that the prior lack of standards in assessing the medical necessity of treatment had resulted in “disputes over treatment, delayed care, and increase[d] frictional costs” (Notice of Proposed Rulemaking, NY Reg, June 30, 2010 at 33-38). Disputes over the medical necessity or the frequency/duration of medical care were often made after the care was provided, on a case-by-case basis, when the employer disputed the bill. It was reasonable for the Board to promulgate uniform guidelines for defining the nature and scope of treatment considered medically necessary. By adopting the pre-authorized list and variance procedure for determining

the necessity of care, the Board provides a measure of avoiding delay and uncertainty that previously resulted from disputes over the medical necessity of treatment.

V

Claimant next claims that the Guidelines remove the burden of proof from the employer and the carrier and shift it to the injured worker and the treating physician. This, claimant argues, is directly contrary to the Workers' Compensation Law.

Under the regulations, the burden of proof to establish that a variance is appropriate and medically necessary rests on the treating medical provider (12 NYCRR 324.3 [a] [2]). Whether a treating medical provider has met this burden is a threshold determination that must be made whenever a carrier properly and timely articulates an objection to a variance request.

[2] Contrary to claimant's contention, nothing in the Workers' Compensation Law has ever precluded the Board from requiring proof of medical necessity from claimant's health care provider. Indeed, the claimant generally has the burden in the first instance of proving facts sufficient to support his or her claim for compensation (*see Matter of Malacarne v City of Yonkers Parking Auth.*, 41 NY2d 189, 193 [1976] [claimant has the burden of showing that injuries were sustained in the course of employment]). Moreover, in her argument, claimant relies on the provision of Workers' Compensation Law § 13-a (5) that an employer's or carrier's refusal to authorize "special services" costing more than \$1,000 must be based on a "conflicting second opinion" by a Board-authorized physician. That requirement presupposes that the claimant has submitted the first opinion, from his or her treating physician.

We also disagree with claimant's contention that section 21 (5) of the Workers' Compensation Law establishes that the burden rests on the employer or carrier. That provision creates a presumption, "[i]n any proceeding for the enforcement of a claim for compensation," that "the contents of medical and surgical reports introduced in evidence by claimants for compensation shall constitute prima facie evidence of fact as to the matter contained therein" (Workers' Compensation Law § 21 [5]). It is the carrier that then bears the burden of proffering "substantial evidence" to contradict the content of those medical reports (*id.*).

We agree with the Appellate Division majority that claimants can continue to rely on the presumption, while also satisfying

the variance procedure's requirement that they establish the medical necessity of the requested treatment. While the presumption establishes the facts contained in the medical report, the claimant must first establish the medical necessity for the treatment.

VI

Finally, claimant argues that the Guidelines deny injured workers due process by predetermining their need for medical treatment. She contends that the Guidelines do not provide an opportunity to be heard in a meaningful time and manner.

Generally, procedural due process principles require an opportunity for a meaningful hearing prior to the deprivation of a significant property interest (*see Hodel v Virginia Surface Mining & Reclamation Assn., Inc.*, 452 US 264, 303 [1981]). "The fundamental requirement of due process is the opportunity to be heard at a meaningful time and in a meaningful manner" (*Mathews v Eldridge*, 424 US 319, 333 [1976] [internal quotation marks omitted]; *see Curiale v Ardra Ins. Co.*, 88 NY2d 268, 274 [1996]).

[3] The Guidelines provide claimants with a meaningful opportunity to be heard on the denial of any variance request. The variance procedure expressly provides a process for requesting review of the denial of a variance request, under which the treating medical provider may elect review by a medical arbitrator or through an expedited hearing process (*see* 12 NYCRR 324.3 [d]). Indeed, in this case, a hearing was held at which a Workers' Compensation Law Judge considered testimony by both claimant's own care provider and the independent expert engaged by the carrier. Claimant was represented by counsel, who cross-examined the carrier's expert. The Workers' Compensation Law Judge's decision was reviewed by the Board, which considered legal arguments by claimant's attorney, and the Board's decision was subject to judicial review.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

RIVERA, J. (dissenting). I agree that the Workers' Compensation Board acted within the scope of its statutory authority under the Workers' Compensation Law in adopting regulations incorporating a list of pre-authorized medical procedures, and a system for implementing consideration of treatment recommendations not included on the list. However, the Board

exceeded its authority when it promulgated regulations imposing a preapproval requirement that forecloses reimbursement for medical services that vary from the list and the Board's Medical Treatment Guidelines (Guidelines) in all cases where the services are rendered in advance of approval. Also, to the extent the Board's regulations establish a variance scheme that predetermines that all treatment not included on the pre-authorized list of services is presumptively not medically necessary, it imposed a burden on Kigin and other claimants inconsistent with the statute's language and underlying purpose. Therefore, I would reverse the Appellate Division.

The Workers' Compensation Law "is framed on broad principles for the protection of [workers]" (*Matter of Waters v Taylor Co.*, 218 NY 248, 251 [1916]; accord *Matter of Illaqua v Barr-Llewellyn Buick Co.*, 81 AD2d 708, 708 [3d Dept 1981], citing *Matter of Heitz v Ruppert*, 218 NY 148, 154 [1916], and *Matter of Lorer v Gotham Concrete & Cement Finish Corp.*, 8 AD2d 221, 224 [3d Dept 1959]), and thus "should be construed liberally in favor of the employee" (*Matter of Wolfe v Sibley, Lindsay & Curr Co.*, 36 NY2d 505, 508 [1975]). It is beyond dispute that the Board has broad regulatory power to administer and carry out the mandates of the Workers' Compensation Law (see e.g. Workers' Compensation Law §§ 117 [1]; 141). To that end, the Board is authorized to "adopt reasonable rules consistent with and supplemental to" the statutory scheme (*id.* § 117 [1]). However, the Board's powers are not limitless, and we review its "administrative regulations to determine whether they are rational and to ensure that they are not arbitrary or capricious" or contrary to the statute under which they are promulgated (*Matter of Belmonte v Snashall*, 2 NY3d 560, 567 [2004]; see *Kuppersmith v Dowling*, 93 NY2d 90, 96 [1999]).

The Workers' Compensation Law states that employers "shall be liable for the payment of" and "shall promptly provide for an injured employee" medical treatment "for such period as the nature of the injury or the process of recovery may require" (Workers' Compensation Law § 13 [a]). Prior to the Board's regulatory adoption of the Guidelines in 2010, where an employer or carrier disputed a request for treatment reimbursement, the parties resolved the dispute pursuant to an individualized determination of whether the request is compensable after treatment was rendered to the claimant (see *Matter of Kigin v State of N.Y. Workers' Compensation Bd.*, 109 AD3d 299, 306 [3d Dept 2013], citing Workers' Compensation Law §§ 13-g, 13-k,

13-l, 13-m, *Matter of Spinex Labs. [Patton]*, 213 AD2d 884, 885 [3d Dept 1995], and *Employer: Livingston County*, 2011 WL 5618432, *5, 2011 NY Wrk Comp LEXIS 6751, *15-16 [WCB No. 7990 5338, Nov. 9, 2011]; *see also* 110 NY Jur 2d, Workers' Compensation § 565 [after treatment is rendered, employer must pay or give written notice of the reasons for nonpayment]). Only in certain cases where the claimant sought treatment in the form of "specialist consultations, surgical operations, physiotherapeutic or occupational therapy procedures, x-ray examinations or special diagnostic laboratory tests costing more than [\$500]" was the provider required to obtain pre-authorization for the treatment from the employer or Board in order to obtain reimbursement (Workers' Compensation Law § 13-a [5]). A denial of pre-authorization under this section must be based on "a conflicting second opinion rendered by a physician authorized by the board" (*id.*).

As part of the legislative efforts to streamline compensation for workers' injuries and increase benefits for injured workers while reducing costs, in 2007, the legislature amended section 13-a (5) by raising the threshold cost of services requiring pre-authorization to \$1,000 and directing the Board to "issue and maintain a list of pre-authorized procedures" (Workers' Compensation Law § 13-a [5]; L 2007, ch 6, § 28). Pursuant to this legislative mandate and at the direction of the executive branch, the Board promulgated regulations that incorporated the Guidelines developed by various medical experts, and which served as a basis for the list of pre-authorized procedures. The Board then promulgated regulations that implemented a regulatory scheme whereby reimbursement for medical services would be subject to the Guidelines. All of this was well within the Board's power and in furtherance of the statute.

The Board went awry when it promulgated regulations that imposed a variance scheme that requires preapproval for reimbursement requests related to treatment that varies from the Guidelines. Section 324.3 of the Board's regulations states that a variance for medical care that varies from the Guidelines "must be requested and granted . . . before [that care is] provided to the claimant" (12 NYCRR 324.3 [a] [1]). Nothing in the language of the statute limits compensation to care approved in advance of treatment unless the pre-authorization requirement of section 13-a (5) applies, and there is no claim that it does here. Thus, the regulation's preapproval requirement lacks a necessary textual grounding to the extent that it

extends the limited pre-authorization requirement of section 13-a (5) to care beyond that specifically enumerated in that section of the statute. Indeed, it is undisputed that prior to implementation of the regulations, disputes over reimbursement for medical services other than those in section 13-a (5) were usually resolved after the services had been provided.

In this regard, the Board's regulations also undermine the purpose of the 2007 amendments "to remove impediments to prompt diagnostic and treatment measures" (*see* Governor's Program Bill Mem No. 9 at 5, Bill Jacket, L 2007, ch 6). The regulations instead serve to hinder timely medical service delivery by denying payment to providers who fail to secure pre-approval. Under the regulations, "a request for a variance will not be considered if the medical care has already been provided" (12 NYCRR 324.3 [a] [1]). As a result, the preapproval requirement incentivizes providers to delay treatment based on financial concerns. Realistically, providers will defer medical care until they are certain of reimbursement, which under the regulations means until a variance is granted. How long this may take is uncertain, and dependent upon the deliberateness of the administrative process. Such delay carries with it the potential for significant adverse health consequences due to a break in medical services. In contrast, the statute expressly provides ensured compensation for medically necessary services, making no mention of whether treatment was rendered prior to approval. The Board's regulations would permit denial of reimbursement even for medically necessary treatment simply because the medical services were provided prior to preapproval. As a consequence, the regulations are inconsistent with the mandate of section 13 (a).

The Board is also subject to challenge for interpreting its regulations so as to deny Kigin's request for reimbursement on the ground that her treatment varied from the Guidelines. This interpretation contravenes the statutory and regulatory scheme for individual assessment of compensable injuries, and was not mandated by the 2007 amendments.

Although I agree with the majority that the claimant had the burden to establish that the treatment was compensable under the statute (*see* majority op at 468), under the Board's interpretation of the regulations the claimant is subject to an adverse presumption that the requested services are not medically necessary simply because they are not included on the pre-authorized list and vary from the Guidelines.

The Board argues, and the majority concludes, that the legislature's directive to create a list of pre-authorized procedures also means that the Board has the authority to predetermine that all excluded services are not medically necessary. I disagree. The more logical and reasonable interpretation of the statutory language, and one which furthers the 2007 amendments' purpose to increase benefits to workers, is that the legislature authorized the Board to predetermine procedures over which there was general medical consensus, leaving claims regarding other medical services to the preexisting dispute resolution process. That process is better suited to determinations focused on the individual's condition and needs. Conversely, the rule-making process is more appropriate to pronouncements of generalized treatment protocols, without consideration of specific individualized health concerns (*see* State Administrative Procedure Act § 102 [2] [a] [i] [defining a "rule" as "the whole or part of each agency statement, regulation or code of *general applicability* that implements or applies law" (emphasis added)]; *see also Matter of Alca Indus. v Delaney*, 92 NY2d 775, 778 [1999] [discussing distinction between rulemaking and "ad hoc decision making based on individual facts and circumstances"]).

The statutory language does not support the Board's position that the variance process established by the regulations is consistent with the preexisting statutory scheme. The source of the Board's authority for the Guidelines, section 13-a (5), merely states that the Board "shall issue and maintain a list of pre-authorized procedures." It does not state that excluded procedures are to be treated as presumptively not medically necessary. Since the Guidelines were adopted pursuant to the exercise of the Board's rule-making power, the Board's interpretation of the statute would permit the regulations to supplant the individualized assessment of medical necessity by establishing a presumption against certain services. We would expect that such a dramatic departure from the prior statutorily established case-by-case approach would be authorized by clear, unambiguous language.

Moreover, the Board's interpretation favors the legislative goal to reduce costs to the detriment of the legislative goal to increase benefits to workers. Under the Board's approach, the claimant faces a previously unknown burden to rebut a presumption against payment for certain medical services, and must endure the physical and mental effects of delays in service pending the outcome of the variance request. This appears to be

in furtherance of cost reduction for its own sake, for it increases the challenges faced by claimants rather than “remov[ing] impediments to prompt diagnostic and treatment measures” (Governor’s Program Bill Mem No. 9 at 5). Conversely, both goals are achievable by the adoption of a pre-authorized list which expedites treatment delivery without automatically labeling certain medical care medically unnecessary, thus increasing benefits for workers, and at the same time reducing the number of claims and parties subjected to the dispute and variance process, thus containing costs.

The statutory presumption in favor of claimants applicable to proceedings to enforce claims for compensation, found in section 21 (5), illustrates the legislative commitment to reducing the burdens faced by claimants in securing benefits, and further supports the conclusion that the Board’s interpretation is contrary to the statute and the legislative intent. Section 21 (5) states that in any proceeding to enforce a claim for compensation

“it shall be presumed in the absence of substantial evidence to the contrary . . .”

“ . . . [t]hat the contents of medical and surgical reports introduced in evidence by claimants for compensation shall constitute prima facie evidence of fact as to the matter contained therein.”

No such presumption applies to the carrier/employer’s medical evidence.

The presumption clearly indicates the legislature’s intention to ease the claimant’s burden of establishing a right to reimbursement for treatment. The Board’s interpretation undermines that intent because it requires the claimant to establish by facts and opinion that the treatment is medically necessary, without benefit of the fact presumption, and it eliminates the carrier/employer’s burden to rebut the presumption with substantial evidence to the contrary.

Here, the Board determined that Kigin’s medical provider failed to establish that the request for compensation for additional acupuncture treatments was medically necessary. That determination, however, was based on the independent medical examination and report of Dr. Chiu, who concluded that the treatments were not medically necessary because Kigin was not disabled and the treatments failed to comply with the Guidelines. This was error, as the Board had previously classified

Kigin as permanently partially disabled, and Dr. Chiu should have evaluated the services not as against generalized Guidelines of pre-authorized treatment, but based on the medical care's impact on Kigin's conditions and needs.

I dissent.

Judges READ, SMITH and ABDUS-SALAAM concur; Judge RIVERA dissents in an opinion in which Chief Judge LIPPMAN and Judge GRAFFEO concur.

Order affirmed, with costs.

[24 NE3d 1074, 999 NYS2d 810]

JANDY COLESON, Individually and as Mother and Natural Guardian of ROLFY SOTO, an Infant, Appellants, v CITY OF NEW YORK et al., Respondents.

Argued October 16, 2014; decided November 24, 2014

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered May 9, 2013. The Appellate Division affirmed an order of the Supreme Court, Bronx County (Larry S. Schachner, J.; op 2012 NY Slip Op 33713[U] [2012]), which had granted defendants' motion for summary judgment dismissing the complaint. The following question was certified by the Appellate Division: "Was the order of this Court, which affirmed the order of the Supreme Court, properly made?"

Coleson v City of New York, 106 AD3d 474, modified.

HEADNOTES

Municipal Corporations — Tort Liability — Special Relationship — Promise of Police Protection

1. In a negligence action against defendant municipality arising from an incident in which plaintiff was stabbed by her husband two days after being told by police that her husband had been arrested following a domestic violence incident and was going to prison for a while, and that she was going to be given protection, plaintiff raised a triable issue of fact as to the existence of a special relationship between the parties. Whether a municipality voluntarily assumed a duty that generated justifiable reliance by the person who benefited from the duty so as to form a "special relationship" with that person depends on the presence of four elements: an assumption by the municipality, through promises or actions, of an affirmative duty to act on behalf of the injured party; knowledge on the part of the municipality's agents that inaction could lead to harm; some form of direct contact between the municipality's agents and the injured party; and the injured party's justifiable reliance on the municipality's affirmative undertaking. Here, a jury could have concluded that the police officers made promises to protect plaintiff and, given the husband's arrest and the issuance of an order of protection to plaintiff, the officers conceivably knew that the husband would harm plaintiff if he was not apprehended. Plaintiff also had direct contact with police by the police responding to her call, making an arrest, escorting her to the precinct, and plaintiff's subsequent phone call with an officer. Finally, given the assurances plaintiff received from police that her husband was in jail and that he would be there for a while, a jury could have found that it was reasonable for plaintiff to believe that her husband would be jailed for the foreseeable future, and that the police would contact her if that turned out not to be the case. Thus, the statements made by police to plaintiff may have lulled plaintiff into believing that she could relax her vigilance for a reasonable period of time longer than two days.

Damages — Mental Anguish — Recovery by Persons within Zone of Danger

2. In an action against defendant municipality arising from an incident in which the mother of the seven-year-old plaintiff was stabbed by her husband while plaintiff was locked in a broom closet nearby, plaintiff was not entitled to recover damages for emotional distress under a zone of danger theory of liability. In order to recover for an alleged emotional injury based on the zone of danger theory, a plaintiff must establish that he or she suffered serious emotional distress that was proximately caused by the observation of a family member's death or serious injury while in the zone of danger. Plaintiff observed the husband chasing plaintiff's mother with a knife while she screamed for help, but plaintiff was then taken into a broom closet and remained there while the mother was stabbed. Although plaintiff saw his mother on the ground in a pool of blood when he came out of the closet, he neither saw the incident nor was immediately aware of the incident at the time it occurred, and was therefore not in the zone of danger.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Fright, Shock, and Mental Disturbance §§ 13, 14; AM JUR 2d, Municipal, County, School, and State Tort Liability §§ 390, 391, 393, 395, 397–399.

DOBBS LAW OF TORTS §§ 346, 348, 349, 389, 391.

NY JUR 2d, Damages § 99; NY JUR 2d, Fright, Shock, and Mental Disturbance § 23; NY JUR 2d, Government Tort Liability §§ 18–20, 31, 32, 134, 158–160.

NEW YORK LAW OF TORTS §§ 6:15, 6:23; 17:25.

ANNOTATION REFERENCE

Liability of municipality or other governmental unit for failure to provide police protection from crime. 90 ALR5th 273.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: special /2 relationship /s city & police /s reliance & assurance

POINTS OF COUNSEL

Sim & Record, LLP, Bayside (*Sang J. Sim* of counsel), for appellants. I. Respondents owed a special duty to appellants. (*Garratt v Holiday Inns*, 58 NY2d 253; *Kircher v City of Jamestown*, 74 NY2d 251; *Lauer v City of New York*, 95 NY2d 95; *Pelaez v Seide*, 2 NY3d 186; *Laratro v City of New York*, 8 NY3d 79; *McLean v City of New York*, 12 NY3d 194; *Kovit v Estate of Hal-lums*, 4 NY3d 499; *Dinardo v City of New York*, 13 NY3d 872;

Cuffy v City of New York, 69 NY2d 255; *Valdez v City of New York*, 18 NY3d 69.) II. The police department's failure to protect Jandy Coleson was ministerial. (*McLean v City of New York*, 12 NY3d 194; *Tango v Tulevech*, 61 NY2d 34; *Charles O. Desch, Inc. v State of New York*, 60 AD2d 678, 45 NY2d 882; *Burgundy Basin Inn v State of New York*, 47 AD2d 692; *Williams v State of New York*, 14 NY2d 793; *Puffer v City of Binghamton*, 59 Misc 2d 856; *Luckie v Goddard*, 171 Misc 774; *Haddock v City of New York*, 75 NY2d 478; *Johnson v City of New York*, 15 NY3d 676; *McCormack v City of New York*, 80 NY2d 808.) III. Rolfy Soto was in the zone of danger. (*Bovsun v Sanperi*, 61 NY2d 219.)

Zachary W. Carter, Corporation Counsel, New York City (Susan Paulson and Francis F. Caputo of counsel), for respondents. I. The complaint was properly dismissed where defendants demonstrated that plaintiffs could not establish the existence of a special duty and where, even if such duty was owed, defendants are immune from liability in tort for the discretionary governmental act of providing police protection, a quintessential governmental function. (*Valdez v City of New York*, 18 NY3d 69; *Rozell v Milby*, 98 AD3d 960; *Bardavid v New York City Tr. Auth.*, 97 AD2d 353, 61 NY2d 986; *Cuffy v City of New York*, 69 NY2d 255; *Albino v New York City Hous. Auth.*, 78 AD3d 485; *Tango v Tulevech*, 61 NY2d 34; *McLean v City of New York*, 12 NY3d 194; *Miller v State of New York*, 125 AD2d 853; *Dinardo v City of New York*, 13 NY3d 872; *Brown v City of New York*, 73 AD3d 1113.) II. The Supreme Court properly found that infant plaintiff cannot recover damages because he was not in the zone of danger. (*Stamm v PHH Veh. Mgt. Servs., LLC*, 32 AD3d 784; *Bovsun v Sanperi*, 61 NY2d 219; *Gonzalez v New York City Hous. Auth.*, 181 AD2d 440; *Hass v Manhattan & Bronx Surface Tr. Operating Auth.*, 170 AD2d 406.)

OPINION OF THE COURT

ABDUS-SALAAM, J.

In this negligence action, we must determine whether the evidence submitted by plaintiffs in opposition to the City of New York's summary judgment motion was sufficient to raise a triable issue of fact as to the existence of a special relationship between plaintiffs and the City. We hold that the evidence presented in this case was sufficient to defeat the motion, and we therefore reverse the order of the Appellate Division.

I.

Commencing in the year 2000, plaintiff Jandy Coleson suffered both verbal and physical abuse at the hands of her husband Samuel Coleson. As a result, Coleson was jailed on a number of occasions and plaintiff obtained numerous orders of protection against him. In May 2004, following an incident where Coleson was abusing drugs, plaintiff ordered Coleson to leave the apartment and she changed the locks. On June 23, 2004, Coleson tried to force himself into the building and threatened to kill plaintiff and stab her with a screwdriver he was carrying. Plaintiff called the New York City Police Department (NYPD), but when they arrived on the scene, Coleson had already fled. The officers, including one Officer Reyes, searched for Coleson with plaintiff's assistance. Coleson was apprehended shortly before 10:00 a.m.

On the same date, plaintiff applied for another order of protection and was later transported by the police to the local precinct with her son. Plaintiff testified in her deposition that while at the precinct, an officer told her that “they had arrested [Coleson], he’s going to be in prison for a while, [and that she should not] worry, [she] was going to be given protection.” She was escorted by the police to Safe Horizon, a nonprofit organization that provides services to domestic violence victims, to meet with a counselor and receive other assistance. That evening, at approximately 11:00 p.m., plaintiff received a follow-up phone call from Officer Reyes, who told her that Coleson “was in front of the judge” and that he was going to be “sentence[d].” Reyes also “told [plaintiff] that everything was okay, that everything was in . . . process, [and] that she was going to keep in contact with [her].” This phone call lasted for approximately two hours.

Two days later, plaintiff went to pick up her son from his school, which was across from a car wash, when she saw Coleson. Coleson approached her, stating that he wanted to speak with her. He took out a knife and stabbed plaintiff in the back. The child, who was seven years old at the time, testified at his deposition that he saw Coleson chasing plaintiff with a knife while plaintiff screamed for help. The child hid behind a car, and a man who worked at the car wash took the child and locked him in a broom closet. About 5 to 10 minutes later the child came out of the closet and saw his mother on the ground in a pool of blood.

Plaintiff, on behalf of herself and her son, commenced this negligence action against the City of New York and the NYPD (collectively the City). Plaintiffs also asserted a claim for negligent infliction of emotional distress, arguing that the child was in the zone of danger during the incident.

The City moved for summary judgment dismissing the complaint, arguing that the statements Officer Reyes allegedly made to plaintiff were not definite enough to create justifiable reliance in order to establish a special relationship in satisfaction of the duty prong of plaintiffs' negligence cause of action. Further, the City argued that the child was not in the zone of danger because he did not witness the attack on his mother. In opposition, plaintiffs argued that a special duty existed between plaintiff and the City based on the NYPD's agreement to provide protection to her. They also asserted that the child did witness the assault because he observed Coleson approach his mother with a knife, and although he was placed in a broom closet, he could hear what was occurring.

Supreme Court granted the City's motion for summary judgment (*Coleson v City of New York*, 2012 NY Slip Op 33713[U] [Sup Ct, Bronx County 2012]). The court held that plaintiffs failed to establish the requirements for a special relationship because they failed "to demonstrate that the verbal assurance of protection at the precinct was followed by any visible police protection" and "fail[ed] to show any post arraignment promise of protection" (*id.* at *5). The court also determined that the child was not in the zone of danger because he was locked in a broom closet at the time of the incident.

The Appellate Division affirmed (*Coleson v City of New York*, 106 AD3d 474 [1st Dept 2013]), holding that "[i]n the absence of any evidence that defendants assumed an affirmative duty to protect plaintiff from attacks by her husband, [the City does] not owe a duty of care to plaintiff" (*id.* at 474, citing *Valdez v City of New York*, 18 NY3d 69 [2011]). The court stated that the statements of the officers which plaintiff relied upon "were too vague to constitute promises giving rise to a duty of care" (106 AD3d at 475, citing *Dinardo v City of New York*, 13 NY3d 872, 874 [2009]). Finally, the court concluded that based on the lack of a special relationship, the child's claim for negligent infliction of emotional distress should also be dismissed.

In a concurring opinion, two justices noted that although the majority's ruling is mandated under *Valdez*, "[i]f the City's

statements in this case are not specific enough to find that [the City] assumed an affirmative duty to protect plaintiff, it is difficult to imagine any statements that could ever be specific enough” and “it seems likely that no court of this State will ever find a municipality to have a special duty toward a plaintiff unless the municipality affirmatively consents to assume such a duty” (106 AD3d at 477).

The Appellate Division granted plaintiffs’ motion for leave to appeal to this Court and certified the question of whether the order was properly made (2013 NY Slip Op 88312[U] [2013]).

II.

Liability for a claim that a municipality negligently exercised a governmental function “turns upon the existence of a special duty to the injured person, in contrast to a general duty owed to the public” (*Garrett v Holiday Inns*, 58 NY2d 253, 261 [1983]; see *Laratro v City of New York*, 8 NY3d 79 [2006]; *Cuffy v City of New York*, 69 NY2d 255 [1987]). “[A] duty to exercise reasonable care toward [a] plaintiff” is “born of a special relationship between the plaintiff and the governmental entity” (*Pelaez v Seide*, 2 NY3d 186, 198-199 [2004]). This Court has determined that a special relationship can be formed in three ways:

“(1) when the municipality violates a statutory duty enacted for the benefit of a particular class of persons; (2) when it voluntarily assumes a duty that generates justifiable reliance by the person who benefits from the duty; or (3) when the municipality assumes positive direction and control in the face of a known, blatant and dangerous safety violation” (*Pelaez*, 2 NY3d at 199-200).

In *Cuffy v City of New York* (69 NY2d 255 [1987]), we listed the requisite elements for a duty voluntarily assumed:

“(1) an assumption by the municipality, through promises or actions, of an affirmative duty to act on behalf of the party who was injured; (2) knowledge on the part of the municipality’s agents that inaction could lead to harm; (3) some form of direct contact between the municipality’s agents and the injured party; and (4) that party’s justifiable reliance on the municipality’s affirmative undertaking” (*id.* at 260).

We noted that “the injured party’s reliance is . . . critical” (*id.* at 261).

[1] Applying the *Cuffy* factors here, we conclude that plaintiffs raised a triable issue of fact as to whether a special relationship existed. With regard to the first factor, a jury could conclude that the police officers made promises to protect plaintiff. Plaintiff was notified by the police that Coleson was arrested, that he was in front of a judge to be sentenced, would be in jail for a while, and that the police would be in contact with her. As to the second factor, the police officers conceivably knew that Coleson would harm plaintiff if he was not apprehended, as evidenced by his arrest and the issuance of an order of protection to plaintiff. Given that plaintiff was told by Officer Reyes that everything was in process and she would keep in contact, there is an issue of fact as to whether the police knew that their inaction could lead to harm. The third factor is easily met, as plaintiff had direct contact with the police, by the police responding to her call about Coleson's threats, making an arrest, escorting her to the police precinct, and plaintiff's phone call with Officer Reyes. Finally, regarding a party's justifiable reliance on the municipality's affirmative undertaking, given the assurances that plaintiff received from Officer Reyes that Coleson was in jail and that he would be there for a while, a jury could find that it was reasonable for plaintiff to believe that Coleson would be jailed for the foreseeable future, and that the police would contact her if that turned out not to be the case.

The conduct of the police here was more substantial, involved, and interactive than the police conduct in *Valdez*. In *Valdez v City of New York* (18 NY3d 69 [2011]), the plaintiff was shot by her estranged boyfriend, after, in an attempt to flee, she was advised by officers that she should go back into her apartment and that the police would locate and arrest her boyfriend. This Court concluded that the officer's statements to the plaintiff did not create a special relationship because "[i]t was not reasonable for [the plaintiff] to conclude, based on nothing more than the officer's statement that the police were going to arrest [her boyfriend] 'immediately,' that she could relax her vigilance indefinitely" (*id.* at 81).

Unlike in *Valdez*, plaintiff was told by the police that Coleson was going to be in prison for a while and that they would stay in contact with plaintiff. Contrary to the City's and the dissent's contention, these particular assertions were not vague (*cf. Dinardo v City of New York*, 13 NY3d at 874). This Court has stated that

“at the heart of most of these ‘special duty’ cases is the unfairness that the courts have perceived in precluding recovery when a municipality’s voluntary undertaking has lulled the injured party into a false sense of security and has thereby induced him [or her] either to relax his [or her] own vigilance or to forego other available avenues of protection” (*Cuffy*, 69 NY2d at 261).

The role that police officers play when responding to domestic violence victims is critical in allowing victims to feel consoled and supported. We do not, as the dissent suggests, seek to discourage the police from being responsive to crime victims. Rather, the police should make assurances only to the extent that they have an actual basis for such assurances, and to the extent that such assurances will not lull a victim into a false sense of security. The statements made by Officer Reyes to plaintiff may have lulled her into believing that she could relax her vigilance for a reasonable period of time, certainly more than two days.

Whether a special relationship exists is generally a question for the jury (*see De Long v County of Erie*, 60 NY2d 296, 306 [1983]). On this record, plaintiffs raised a triable issue of fact as to whether a special relationship existed that should be decided by a jury.

As the Appellate Division only addressed the issue of special relationship, remittal to that court to review the City’s claim of governmental immunity is warranted.

III.

[2] Plaintiffs argue that the child was in the zone of danger because, although he was in a closet at the time his mother was stabbed, he saw Coleson with the knife and while in the closet heard his mother’s screams. The City argues that the child was not in the zone of danger because he was in the closet and did not see his mother being stabbed. “In order to recover for an alleged emotional injury based on the zone of danger theory . . . , a plaintiff must establish that he suffered serious emotional distress that was proximately caused by the observation of a family member’s death or serious injury while in the zone of danger” (*Stamm v PHH Veh. Mgt. Servs., LLC*, 32 AD3d 784, 786 [1st Dept 2006], citing *Bousun v Sanperi*, 61 NY2d 219 [1984]; *see Trombetta v Conkling*, 82 NY2d 549 [1993]). We conclude that the child was not in the zone of danger because

he was in a broom closet while his mother was stabbed, and thus neither saw the incident nor was immediately aware of the incident at the time it occurred.

IV.

In sum, the acts of the police officers in this case were sufficient to raise a triable issue of fact as to justifiable reliance. Accordingly, the order of the Appellate Division should be modified in accordance with this opinion, without costs, the case remitted to the Appellate Division for consideration of issues raised but not determined on appeal to that court, and as so modified, affirmed and the certified question not answered upon the ground that it is unnecessary.

PIGOTT, J. (dissenting in part). The majority's opinion creates a paradox. Under the guise of protecting victims of domestic violence by allowing them to recover in tort against a municipality for a police officer's vague promises and assurances during an emotionally charged and dangerous situation, the opinion encourages the police to forgo any meaningful communication or action that could be even *remotely* construed as creating a special relationship between the complainant and police.* In doing so, the majority retreats from our recent decisions in *Valdez v City of New York* (18 NY3d 69 [2011]), *Dinardo v City of New York* (13 NY3d 872 [2009]) and *McLean v City of New York* (12 NY3d 194 [2009]) where we reiterated the well-established rule that only an "affirmative undertaking" that creates justifiable reliance can justify holding a municipality liable for negligence in performing a governmental function (*Cuffy v City of New York*, 69 NY2d 255, 260 [1987]).

According to the majority, the police did four things that now expose the City to potential liability: (1) they made promises to protect plaintiff; (2) they "conceivably knew" that plaintiff's husband, Samuel Coleson, would harm her if he was not apprehended because they had arrested him and the court issued an order of protection to the plaintiff; (3) plaintiff had direct contact with police because Officer Christine Reyes spoke with plaintiff on the telephone and advised her that everything was in process and she, Officer Reyes, would keep in contact; and (4) Officer Reyes advised the plaintiff that Coleson was in jail and that he would be there for a while, thus allowing plaintiff,

* I do not suggest, as the majority asserts, that the majority "seek[s] to discourage the police from being responsive to crime victims" (majority op at 483). My point is that the majority's holding will have that *effect*.

who had a tumultuous and violent history with this man, to justifiably rely on this assurance to go about her daily life (majority op at 482). The majority now says that in doing these four things, the police may be exposing the City to liability.

Had the police actually made specific assurances as to how plaintiff would be protected, then certainly a question of fact would have been presented. Here, however, plaintiff claims that a police officer told her at the station, after Coleson's arrest, that Coleson was "going to be in prison for a while, not to worry, [she] was going to be given protection." When asked at her deposition, she was unable to state what, if any, protection the police had promised to provide, nor did she ask. Assuming, as we must, plaintiff's testimony to be true, it cannot be said that such a vaguely-worded statement, i.e., that plaintiff would be provided protection, without any indication as to the type of protection to be provided, constituted an action by police "that would lull a plaintiff into a false sense of security or otherwise generate justifiable reliance" (*Dinardo*, 13 NY3d at 874; cf. *Mastroianni v County of Suffolk*, 91 NY2d 198, 205 [1997] [after responding to a call at the victim's residence upon a complaint that her estranged husband had allegedly been inside her home, police remained across the street for an hour after having assured her that they would "do whatever (they) could" if she had further problems with him]; *De Long v County of Erie*, 60 NY2d 296, 305 [1983] [assurance by 911 operator employed by the county that help would be at victim's home "right away," in response to victim's burglary-in-progress complaint, potentially played a part in victim's decision to remain in her home as opposed to seeking other assistance]). The majority does not explain how this plaintiff could have justifiably relied upon such a vague offer of "protection," or how such a question could be answered by a jury without engaging in speculation, absent any specific assurances as to *how* that "protection" would have been provided.

Equally troubling is that the majority appears to have added to the justifiable reliance prong of the *Cuffy* test, namely, that police may make assurances "only to the extent that they have an *actual basis* for such assurances" (majority op at 483 [emphasis supplied]). Is it possible to make these situations any more difficult for the police and those they are called on to protect? Not only must the police watch what they say, they must also be prepared to back up what they say, no matter how vague the assurances may be. For example, statements such as,

“It’s going to be okay,” or “We’ll send him away so he doesn’t hurt you again” will undoubtedly be utilized in potential civil suits as examples of assurances that the police made that had no “actual basis.” Such statements are on the same spectrum as the vague promises of “protection” and to “keep in contact” that were made in this case. The end result, of course, is that police will be deterred from providing any assurances to victims of domestic violence, those victims will be less than willing to cooperate in the prosecution of their significant others (or family members), and the cycle will continue, with victims in all likelihood returning to their abusers, all because the police were (justifiably) wary about making any comment that could be considered a promise of safety.

The majority claims that the 11:00 p.m. phone call that plaintiff received from Officer Reyes on the night of Coleson’s arrest, when Officer Reyes allegedly told plaintiff that Coleson “was in front of [a] judge” and was going to be “sentence[d]” and that police would “keep in contact with [plaintiff],” raised a triable issue of fact on the issue of justifiable reliance. This conclusion construes statements made by police apprising the victim of the status of the victim’s complaint as potential assurances of protection upon which the majority claims a plaintiff may justifiably rely. Under the majority’s holding, any status report akin to the one given in this case will expose a municipality to liability, even if, as in this case, the municipality has not made an affirmative undertaking. Thus, the majority’s holding will encourage law enforcement to provide victims of domestic violence, or any victim of violent crime, with as little information as possible out of concern that anything they say can and will be used against them (and their employer) in a potential civil suit.

According to the majority, the fact that Officer Reyes told plaintiff that her husband would be in prison for “a while” and that police would stay in contact with her distinguishes this case from *Valdez*, but there is little distinction since neither the plaintiff here nor the plaintiff in *Valdez* had reason to believe, based on statements by police, that she could relax her vigilance. The officers in *Valdez* promised the plaintiff that the estranged boyfriend would be arrested “immediately,” and we held that the plaintiff could not have justifiably relied on that statement in light of the fact that neither the police nor the plaintiff knew the boyfriend’s whereabouts. Here, the police did not mention how long Coleson would be detained, and it cannot

be said that Officer Reyes's statement that she would "keep in contact" meant that Officer Reyes would contact plaintiff if and when Coleson was released, nor does plaintiff make that claim, so Officer Reyes's statement could not have lulled her into inaction.

I would therefore answer the certified question in the negative.

Chief Judge LIPPMAN and Judges GRAFFEO and RIVERA concur; Judge PIGOTT dissents in part in an opinion in which Judges READ and SMITH concur.

Order modified, without costs, in accordance with the opinion herein, case remitted to the Appellate Division, First Department, for consideration of issues raised but not determined on the appeal to that court and, as so modified, affirmed, and certified question not answered upon the ground that it is unnecessary.

[24 NE3d 1090, 999 NYS2d 826]

In the Matter of MARK FORD et al., Appellants, v NEW YORK
STATE RACING AND WAGERING BOARD, Respondent.

Argued November 19, 2014; decided December 18, 2014

SUMMARY

APPEAL, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered June 6, 2013. The Appellate Division modified, on the law, a judgment of the Supreme Court, Schenectady County (Mark L. Powers, J.), entered in a hybrid proceeding pursuant to CPLR article 78/declaratory judgment action, which had granted the petition to the extent of annulling 9 NYCRR 4120.17, the regulation governing respondent's out-of-competition testing rules applicable to harness racing, and permanently enjoining respondent from enforcing it. The modification consisted of reversing so much of the judgment as annulled and enjoined respondent from enforcing all portions of 9 NYCRR 4120.17 except 9 NYCRR 4120.17 (e) (3). The Appellate Division affirmed the judgment as modified.

Matter of Ford v New York State Racing & Wagering Bd., 107 AD3d 1071, affirmed.

HEADNOTES

Horse Racing — Harness Races — State's Statutory Authority to Promulgate Rule Mandating Out-of-Competition Drug Testing of Harness Racehorses

1. Respondent New York State Racing and Wagering Board (now New York State Gaming Commission) possesses the power to promulgate rules mandating warrantless, out-of-competition equine testing for proscribed doping agents. The requirement of a rational basis for respondent's determination to mandate out-of-competition testing was met with evidence that such testing is, in some form, now necessary to insulate horse racing and accompanying pari-mutuel wagering from the hazardous and corrupting effects of modern horse doping. Not only does Racing, Pari-Mutuel Wagering and Breeding Law § 301 when read in its entirety make plain that the legislature had no purpose of restricting respondent's general supervisory power over pari-mutuel harness race meetings, but it specifically authorizes regulatory action to prevent the circumvention or evasion of existing rules. Necessarily included are those rules whose object is effectually to prevent horses from racing under the influence of speed-enhancing doping agents, and out-of-competition drug testing, which serves to plug the loophole created in the preexisting regulatory regimen by the introduction of doping agents capable of affecting competitive performance while eluding race day detection, is precisely the sort of measure contemplated by section 301 (1). Nor does Racing, Pari-Mutuel Wagering and Breeding Law § 902 (1), in merely designating a laboratory to perform equine drug testing at race meetings, have any apparent limiting purpose.

Horse Racing — Harness Races — Regulation Mandating Out-of-Competition Drug Testing of Harness Racehorses — No Constitutionally Unreasonable Intrusions on Privacy Rights of Persons Stabling Racehorses Chosen for Testing

2. A rule promulgated by respondent New York State Racing and Wagering Board (now New York State Gaming Commission) requiring its licensees to make the harness racehorses they train and/or own available for out-of-competition drug testing by respondent's veterinarians would not involve constitutionally unreasonable intrusions upon off-track farms stabling racehorses. Neither respondent's licensees, having voluntarily entered a pervasively regulated field of commercial endeavor in which suspicionless equine testing has been used for decades as a routine, legally mandated prophylactic, nor private horse farm owners who have entered into commercial arrangements by which horses owned or trained by respondent's licensees are stabled on their property, can claim a privacy expectation that would prevent respondent from testing for illicit substances according to a prescribed regimen meaningfully limiting the scope of any intrusion incident to the sampling procedure. The intrusion contemplated by such a testing regimen is not one into any residential or otherwise notably private space, but a highly focused, guided and brief veterinary foray into leased commercial stabling areas with the object of sampling, exclusively for regulatory enforcement purposes, the blood and urine of a specifically identified racehorse. In leasing stable space to respondent's licensee for the habitation of a racehorse, the horse farm owner must have understood that the horse would from time to time be attended at the stable by a veterinarian. Such a visit, particularly when conducted in accordance with a duly constraining regulatory framework, would not generally implicate a privacy interest triggering the requirement of a warrant or prior consent by the stable owner.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Administrative Law §§ 113, 127, 129, 141, 216, 231; AM JUR 2d, Entertainment and Sports Law §§ 11, 14, 40; AM JUR 2d, Gambling §§ 40–41, 52; AM JUR 2d, Licenses and Permits § 61.

CARMODY-WAIT 2d, Proceeding Against a Body or Officer §§ 145:83, 145:1251–145:1258.

McKINNEY'S, Racing, Pari-Mutuel Wagering and Breeding Law §§ 301, 902 (1).

NY JUR 2d, Amusements and Exhibitions §§ 40–44; NY JUR 2d, Gambling §§ 30–32, 35, 41–42, 46, 55.

ANNOTATION REFERENCE

Disciplinary proceedings against horse trainer or jockey.
59 ALR5th 203.

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POINTS OF COUNSEL

Meyer, Suozzi, English & Klein, P.C., Garden City (Andrew J. Turro and Kieran X. Bastible of counsel), for appellants. I. In contravention of the separation of powers doctrine of the New York State Constitution and well-settled rules of statutory construction, the Third Department committed reversible error by (1) disregarding the plain and unambiguous language of the underlying enabling legislation mandating that equine drug testing be conducted proximate to a race meet in which a horse competes, and (2) instead upholding the rules which vest the New York State Racing and Wagering Board with sweeping, unbridled authority in excess of its jurisdiction as delegated by the legislature. (*Matter of New York Statewide Coalition of Hispanic Chambers of Commerce v New York City Dept. of Health & Mental Hygiene*, 110 AD3d 1; *Rent Stabilization Assn. of N.Y. City v Higgins*, 83 NY2d 156, 512 US 1213; *Dutchess/Putnam Rest. & Tavern Assn. Inc. v Putnam County Dept. of Health*, 178 F Supp 2d 396; *Matter of Levine v Whalen*, 39 NY2d 510; *Matter of Nicholas v Kahn*, 47 NY2d 24; *New York Auto. Ins. Plan v New York Schools Ins. Reciprocal*, 262 AD2d 152; *Matter of Union Indem. Ins. Co. of N.Y.*, 92 NY2d 107; *Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451; *Ralston v Blum*, 105 Misc 2d 357; *Matter of Gibson v Board of Educ. of Watkins Glen Cent. School Dist.*, 68 AD2d 967.) II. 9 NYCRR 4120.17 (b), which allows the New York State Racing and Wagering Board to select for testing any horse “among those anticipated to compete at New York tracks within 180 days,” is illusory in that it vests the Board with the unfettered authority to conduct equine drug testing at any time—without notice, geographic limitation, or factual basis—in excess of its delegated authority and, the regulation’s stated “time frame” is also arbitrary and without any rational or scientific basis. (*Matter of Laterza v New York State Racing & Wagering Bd.*, 68 AD3d 1509; *Equine Practitioners Assn. v New York State Racing & Wagering Bd.*, 105 AD2d 215, 66 NY2d 786.) III. The Third Department committed reversible error in reinstating the rules—and in particular 9 NYCRR 4120.17 (g)—by which the New York State Racing and Wagering Board has unilaterally empowered itself with the unbridled authority to conduct random warrantless searches, on licensees and non-licensees alike, at any time without notice or factual predicate, and without any geographic limitation. (*Donovan v Dewey*, 452 US 594; *Anobile v Pelligrino*, 303 F3d 107; *People v Quackenbush*, 88 NY2d 534; *People v Scott*, 79 NY2d 474; *United States v Biswell*, 406 US 311; *Swint v City of Wadley*,

Ala., 51 F3d 988; *New York v Burger*, 482 US 691; *Matter of Glenwood TV v Ratner*, 103 AD2d 322, 65 NY2d 642; *Village of Fairport v Teremy*, 266 AD2d 909; *Sokolov v Village of Freeport*, 52 NY2d 341.) IV. The Third Department's reinstatement of the rules' sanctioning provisions as to non-licensees and licensees also must be reversed. (*Matter of LaChance v New York State Racing & Wagering Bd.*, 118 AD2d 262; *Spevack v Klein*, 385 US 511.) V. 9 NYCRR 4120.17 (c) of the rules unduly expands the compulsory power of the New York State Racing and Wagering Board beyond this State's borders and into Canada in excess of the Board's jurisdiction.

Eric T. Schneiderman, Attorney General, Albany (Kathleen M. Arnold, Barbara D. Underwood and Andrew D. Bing of counsel), for respondent. I. The Racing, Pari-Mutuel Wagering and Breeding Law authorizes the New York State Racing and Wagering Board to adopt the out-of-competition testing regulation. (*Matter of Nicholas v Kahn*, 47 NY2d 24; *Matter of General Elec. Capital Corp. v New York State Div. of Tax Appeals, Tax Appeals Trib.*, 2 NY3d 249; *Matter of KSLM-Columbus Apts., Inc. v New York State Div. of Hous. & Community Renewal*, 5 NY3d 303; *Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451; *Boreali v Axelrod*, 71 NY2d 1; *Matter of Sullivan County Harness Racing Assn. v Glasser*, 30 NY2d 269; *Equine Practitioners Assn. v New York State Racing & Wagering Bd.*, 105 AD2d 215; *Matter of Bokman v New York State Racing & Wagering Bd.*, 77 AD2d 459; *Matter of Gill v New York State Racing & Wagering Bd.*, 11 Misc 3d 1068[A], 2006 NY Slip Op 50433[U], 50 AD3d 494; *Matter of Casse v New York State Racing & Wagering Bd.*, 70 NY2d 589.) II. The regulation does not violate the right of licensees or non-licensed entities to be free from unreasonable searches and seizures. (*New York v Burger*, 482 US 691; *People v Quackenbush*, 88 NY2d 534; *Lynch v City of New York*, 589 F3d 94; *Anobile v Pelligrino*, 303 F3d 107; *Dimeo v Griffin*, 943 F2d 679; *People v Scott*, 79 NY2d 474; *Donovan v Dewey*, 452 US 594; *United States v Biswell*, 406 US 311; *Spinelli v City of New York*, 579 F3d 160; *Cohen v State of New York*, 94 NY2d 1.) III. The challenged provisions of the out-of-competition testing regulation are rational and should be upheld. (*Kuppersmith v Dowling*, 93 NY2d 90; *New York State Assn. of Counties v Axelrod*, 78 NY2d 158; *Matter of Consolation Nursing Home v Commissioner of N.Y. State Dept. of Health*, 85 NY2d 326; *Matter of Shuman v New York State Racing & Wagering Bd.*, 40 AD3d 385; *Matter of Laterza v New York State Racing & Wagering Bd.*, 68 AD3d 1509; *Louisville Gas & Elec. Co. v Coleman*, 277

US 32; *Matter of Dougherty v State Harness Racing Commn.*, 286 App Div 837; *Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222; *Matter of S. & J. Pharmacies v Axelrod*, 91 AD2d 1131; *Sumner v Hogan*, 73 AD3d 618.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

State agencies legislatively charged with regulating and supervising pari-mutuel horse racing have for decades taken measures to prevent horses from racing under the influence of drugs administered solely to boost equine speed beyond an animal's natural capability. Prominent among these has been race day sampling of the blood and/or urine of competing horses to test for the presence of prohibited doping agents, a practice specifically authorized by respondent's enabling legislation (Racing, Pari-Mutuel Wagering and Breeding Law § 301 [2] [a]).

The present litigation has concerned the validity of a rule first promulgated by respondent in 2009 in response to the introduction into the equine pharmacopeia of a new generation of doping agents capable of enhancing equine race speed while eluding race day detection. That rule, referred to as the out-of-competition testing rule (OCTR) (9 NYCRR 4120.17),¹ required respondent's licensees, among them petitioner standardbred owners and trainers, to make the harness racehorses they train and/or own available to respondent's veterinarians for random blood and urine sampling at points temporally and spatially removed from any particular race in which they were to compete. Petitioners commenced this hybrid CPLR article 78 proceeding/declaratory judgment action in advance of the rule's effective date, alleging, among other things, that equine drug testing without a nexus to the test subject's participation in a specific, soon-to-be-run race is not authorized by respondent's enabling legislation and would, if instituted, entail constitutionally unreasonable intrusions upon off-track farms stabling racehorses, some of which are owned by persons not subject to respondent's licensing jurisdiction.

The petition was granted by Supreme Court which found, in essential part, that respondent had, in mandating out-of-competition racehorse drug testing, acted in excess of its

1. A separate rule providing for out-of-competition drug testing of thoroughbred racehorses (9 NYCRR 4043.12) has not been challenged.

legislatively delegated power. The Appellate Division, however, modified, effectively denying the petition, except as it bore upon one OCTR provision not here at issue (i.e., 9 NYCRR 4120.17 [e] [3]). The court found the rule otherwise valid to the extent challenged (107 AD3d 1071 [2013]), holding that the rule's promulgation lay within respondent's broad, legislatively conferred authority to regulate and supervise race meets at which pari-mutuel wagering was permitted (*id.* at 1073). The court also upheld specific provisions of the rule against petitioners' claims that they were not rationally related to any legitimate regulatory objective and that the rule's prescribed penalty for illicit doping was so severe as to be legally offensive (*id.* at 1073-1077). In deeming the OCTR for the most part valid, the Appellate Division necessarily rejected petitioners' contention that the warrantless intrusions contemplated by the rule—by a sampling veterinarian into off-track stables possibly owned by persons not subject to respondent's licensing jurisdiction—constituted constitutionally offensive privacy invasions (*id.* at 1076). The matter is now before us on petitioners' appeal as of right pursuant to CPLR 5601 (b) (1).

While the appeal lies, our scope of review is significantly narrowed by the circumstance that, during the appeal's pendency, in August 2014, the challenged rule was extensively amended, partly in response to petitioners' objections. Although petitioners are unmollified by the amendments, their present arguments, insofar as directed at specific provisions of the originally promulgated OCTR, are pervasively mooted by the rule's overhaul, and the amended rule, the validity of which has not to date been adjudicated, is not yet the proper subject of any appeal, much less one to this Court.² We do not then pass upon particular provisions of the rule, either in its original or amended iteration, but confine our review to the independently determinable and potentially decisive issues raised and litigated as to whether there are legal grounds for respondent's promulgation of any rule mandating out-of-competition racehorse testing, and whether a testing regimen of the sort proposed would of necessity involve constitutionally unreasonable intrusions by respondent's agents. To the former inquiry we answer, "yes," and to the latter, "no." We accordingly affirm as the Appellate Division reached the same conclusions.

2. Indeed, we are advised that a new petition challenging the amended OCTR has only just been served.

I

Respondent's rationale for requiring out-of-competition testing is set forth in the affidavit of George A. Maylin, DVM, the Director of the New York State Racing and Wagering Board Drug Testing and Research Program since 1971, and a highly regarded expert in the field of equine pharmacology. Dr. Maylin explains that, while, historically, it had been possible effectively to detect and thereby deter the use of prohibited horse doping agents through race day sampling of race entrants, a regulatory loophole was created when protein-based drugs came into use as equine speed enhancers. According to Dr. Maylin, those powerful new doping agents, capable of turning even naturally lame horses into race competitors, could, unlike their antecedents, be administered long before the race whose running they would affect, and by reason of the lengthy interval between date of administration and the date of competition, escape race day detection in equine blood and urine. Unless, then, racehorses were tested closer to the date of drug administration—which, in the case of illicit doping, would, by design, be well in advance of any race day screening—the new doping agents could and likely would be used with impunity. And, in that event, racehorses would, at great risk to their own well-being and that of their jockeys, be pharmacologically enabled, and under extraordinarily stressful racing conditions impelled, far beyond their natural capabilities, solely to bestow an unfair, and indeed anticompetitive advantage on unscrupulous owners and trainers. The threat posed to the integrity of state sponsored pari-mutuel racing by this entirely practicable and, in Dr. Maylin's judgment, already recurrent scenario was assertedly palpable.

While petitioners claim that there are race-day tests capable of detecting the kinds of doping agents targeted by out-of-competition testing and that out-of-competition testing is therefore unnecessary, the tests cited by petitioners are exceedingly costly and evidently of undemonstrated efficacy in detecting evidence of doping agents administered well in advance of competition.³ The existence of tests of such uncertain general utility does not stand in the way of concluding that the relevant requirement of a rational basis for respondent's determination

3. For example, although in *Matter of Laterza v New York State Racing & Wagering Bd.* (68 AD3d 1509 [3d Dept 2009]), race day sampling was, after a series of complex and extremely expensive laboratory procedures, successfully used to establish that protein-based doping agents had at some point, perhaps near in time to the race, been given the animal, the case cannot be cited as

(n. cont'd)

to mandate out-of-competition testing (see *Kuppersmith v Dowling*, 93 NY2d 90, 96 [1999]; *New York State Assn. of Counties v Axelrod*, 78 NY2d 158, 166 [1991]) was met. Notably, petitioners' experts, while faulting respondent's pre-amendment OCTR for overbreadth and vagueness in its definition of "prohibited substances" and for arbitrariness in its prescription of a 180-day pre-race test window, do not appear to dispute the essential point of the Maylin affidavit—that out-of-competition testing is, in some form, now necessary to insulate horse racing and accompanying pari-mutuel wagering from the hazardous and corrupting effects of modern horse doping. Respondent, we note, is not alone in embracing out-of-competition equine drug testing as a necessary regulatory counter to the new generation of horse doping agents. Racing authorities in other major horse racing jurisdictions, including Illinois, Indiana, Kentucky, New Jersey and New Mexico, have issued OCTRs reflecting a similar judgment as to the importance of out-of-competition testing to the future of state sponsored equine racing and wagering (see Ill Admin Code, tit 11, § 603.200; 71 Ind Admin Code 8-3-5; 810 Ky Admin Regs 1:110; NJ Admin Code § 13:70-14A.13; NM Code R § 15.2.6).

II

Petitioners nonetheless maintain that, even if out-of-competition testing is, at least in concept, a reasonable means of achieving a proper agency purpose, it cannot, given the scope of respondent's legislatively delegated authority, be permissibly mandated by respondent through agency rulemaking. This contention rests essentially on language from two statutes: Racing, Pari-Mutuel Wagering and Breeding Law §§ 301 (2) and 902 (1).⁴ The former provides:

instancing a present capability reliably to detect the relatively remote administration of such doping agents.

4. These statutes were amended in 2012 (L 2012, ch 60) to effect the merger of respondent New York State Racing and Wagering Board into the State Gaming Commission. This matter has been litigated on the basis of the statutes as they read at the time of the original OCTR's promulgation and we, accordingly, quote the statutes as they read before their amendment. The pre- and post-amendment versions do not, in any event, differ in respects material to the substantive issues presently raised.

“2. *Without limiting the generality of the foregoing,*^[5] *and in addition to its other powers:*

“a. The state racing and wagering board shall prescribe rules and regulations for effectually preventing the use of improper devices, the administration of drugs or stimulants or other improper acts for the purpose of affecting the speed of harness horses *in races in which they are about to participate*” (emphasis supplied).

And the latter:

“1. In order to assure the public’s confidence and continue the high degree of integrity in racing at the pari-mutuel betting tracks, *equine drug testing at race meetings* shall be conducted by a state college within this state with an approved equine science program.” (Emphasis supplied.)

Petitioners reason that section 301 (2) (a)’s reference to respondent’s authority to prescribe rules prohibiting the administration of drugs “for the purpose of affecting the speed of harness horses in races in which they are about to participate” and section 902 (1)’s designation of an official tester “at race meetings” together demonstrate that the Board’s testing authority is statutorily limited to horses competing at race meetings.

[1] Petitioners, we think, over-read these provisions. While it is true that an administrative agency within the executive branch may not under the guise of rulemaking engage in basic policy determinations reserved to the legislature (*Rent Stabilization Assn. of N.Y. City v Higgins*, 83 NY2d 156, 169 [1993], *cert denied* 512 US 1213 [1993]), it is also true that the legislature “has considerable latitude in determining the reasonable and practicable point of generality in adopting a standard for administrative action and, thus, [that] a reasonable amount of discretion may be delegated to . . . administrative officials” (*Brightonian Nursing Home v Daines*, 21 NY3d 570, 579 [2013])

5. The “foregoing” here refers to the statute’s first subdivision, which says:

“1. Pursuant to the provisions of sections two hundred twenty-two through seven hundred five of this chapter, the state racing and wagering board shall have power to supervise generally all harness race meetings in this state at which pari-mutuel betting is conducted. *The board may adopt rules and regulations not inconsistent with sections two hundred twenty-two through seven*

(n. cont’d)

[internal quotation marks and citations omitted]). Here, the legislature, in drafting Racing, Pari-Mutuel Wagering and Breeding Law § 301 (2), was at pains to be explicit that that subdivision was not to be construed as a limitation upon respondent's powers "to supervise generally all harness race meetings in this state at which pari-mutuel betting is conducted" and in that connection to "adopt rules and regulations . . . to carry into effect its [respondent's] purposes and provisions *and to prevent circumvention or evasion thereof*" (Racing, Pari-Mutuel Wagering and Breeding Law § 301 [1] [emphasis added]). Thus, not only does section 301 when read in its entirety make plain that the legislature had no purpose of restricting respondent's general supervisory power over pari-mutuel harness race meetings, but it specifically authorizes regulatory action to prevent the circumvention or evasion of existing rules, necessarily including those whose object, sensibly understood, is "effectually" to prevent horses from racing under the influence of speed-enhancing doping agents. Out-of-competition drug testing, which, as noted, has as its *raison d'être* the plugging of a loophole created in the preexisting regulatory regimen by the introduction of doping agents capable of affecting competitive performance while eluding race day detection, is precisely the sort of measure contemplated by section 301 (1). As for section 902 (1), it too has no apparent limiting purpose—its designation of a laboratory to perform equine drug testing at race meetings does not reasonably signify that such testing may be required by respondent only at race meetings.

Indeed, respondent's legislatively delegated authority over horse racing and attendant pari-mutuel activities has historically been well nigh plenary. When the challenged rule was first promulgated, Racing, Pari-Mutuel Wagering and Breeding Law § 101 (1), incorporating language from a predecessor enabling provision dating from 1973 (L 1973, ch 346, § 3), vested in respondent "general jurisdiction over all horse racing activities and all pari-mutuel activities, both on-track and off-track, in the state and over the corporations, associations, and persons engaged therein."⁶ Respondent's power effectively to reach off-track activity, such as horse doping, bearing directly on the

hundred five of this chapter to carry into effect its purposes and provisions and to prevent circumvention or evasion thereof" (emphasis supplied).

6. Although section 101 was repealed in 2012, after the rule at issue was

(n. cont'd)

safety and integrity of pari-mutuel racing, seems to us unarguable.

III

[2] Petitioners' claim, that respondent's original OCTR facially infringed the constitutionally protected privacy rights of persons stabling racehorses chosen for testing, is unreviewable since, as noted, the initial OCTR has been substantially superceded. To the extent, however, that petitioners may be understood to argue that warrantless, out-of-competition equine testing pursuant to an administrative regulatory scheme is categorically incompatible with the constitutional prohibition against unreasonable governmental searches, their argument is reviewable, but unavailing. Respondent's licensees, having voluntarily entered a pervasively regulated field of commercial endeavor⁷ in which suspicionless equine testing has for decades been used as a routine, legally mandated prophylactic, can claim no privacy expectation that would prevent respondent from testing their racehorses' blood and urine for illicit, speed-enhancing substances in accordance with a prescribed testing regimen meaningfully limiting the scope of any intrusion incident to the sampling procedure (*see New York v Burger*, 482 US 691, 702 [1987]; *People v Quackenbush*, 88 NY2d 534, 541-543 [1996]). And, although private horse farm owners not similarly subject to pervasive regulation ordinarily retain a reasonable expectation that government agents will not intrude upon their property except with their consent or pursuant to a warrant, when they enter into commercial arrangements pursuant to which racehorses owned or trained by respondent's licensees are stabled on their property, they may reasonably be deemed to have relinquished a privacy-based objection to the very closely circumscribed property intrusion that will foreseeably occur incident to an appropriately focused out-of-competition testing regimen. The intrusion contemplated by such a testing regimen is not one into any residential or

promulgated, its relevant provisions were reenacted in Racing, Pari-Mutuel Wagering and Breeding Law § 104 (1), (4) and (19).

7. That horse racing and accompanying pari-mutuel wagering are closely regulated in New York and elsewhere has been often noted (*see e.g. Anobile v Pelligrino*, 303 F3d 107, 111 [2d Cir 2001]; *Dimeo v Griffin*, 943 F2d 679, 681 [7th Cir 1991]).

otherwise notably private space, but a highly focused, guided and brief veterinary foray into leased commercial stabling areas (*cf. Anobile v Pelligrino*, 303 F3d 107, 120-121 [2d Cir 2001] [administrative search warrant exception inapplicable to search of race-track dormitories used as residences]) with the object, not of discovering evidence of criminal activity (*cf. People v Scott*, 79 NY2d 474 [1992]), but of sampling, exclusively for regulatory enforcement purposes, the blood and urine of a specifically identified racehorse. The horse farm owner has, by hypothesis, leased stable space to respondent's licensee for the habitation of a racehorse and, in so doing, must have understood that the horse would from time to time be attended at the stable by a veterinarian. We do not think that such a visit, particularly when conducted in accordance within a duly constraining regulatory framework, will generally implicate a privacy interest triggering the requirement of a warrant or prior consent by the stable owner.

In sum, we hold no more than that respondent possesses the power to promulgate rules mandating warrantless, out-of-competition equine testing for proscribed doping agents. Accordingly, the order of the Appellate Division should be affirmed, with costs.

Judges READ, SMITH, PIGOTT, RIVERA and ABDUS-SALAAM concur.

Order affirmed, with costs.

[25 NE3d 914, 2 NYS3d 1]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v HOWARD GRUBSTEIN, Appellant.

Argued October 16, 2014; decided November 18, 2014

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Term of the Supreme Court in the Second Judicial Department, Ninth and Tenth Judicial Districts, entered December 10, 2012. The Appellate Term (1) reversed, on the law, an order of the Justice Court of the Town of Tuxedo, Orange County (Shawn M. Brown, J.), which had granted defendant's motion to vacate a judgment of that court (Hume Steyer, J.), which had convicted defendant, upon his plea of guilty, of driving while intoxicated; and (2) denied defendant's motion to vacate the judgment of conviction.

People v Grubstein, 37 Misc 3d 142(A), 2012 NY Slip Op 52285(U), reversed.

HEADNOTE

Crimes — Plea of Guilty — Motion to Vacate Judgment of Conviction — Right to Counsel Claim Not Barred by Failure to Raise on Direct Appeal — Court's Failure to Advise Pro Se Defendant of Right to Appeal

Defendant, who pleaded guilty pro se, was not advised of his right to appeal, and took no appeal, was not barred from raising a right to counsel claim in a motion to vacate the judgment of conviction under CPL 440.10 by his failure to raise that claim on direct appeal. As a general matter, when the record is sufficient to permit review of an issue on direct appeal, a defendant who either has not appealed his or her conviction or, having appealed, has failed to raise that issue is barred from later asserting it as a basis for post-conviction relief. Apparently recognizing the obvious risk of unfairness in applying that procedural bar where the ground defendant seeks to raise is the deprivation of his right to counsel, CPL 440.10 (2) (c) limits the bar to instances where the failure to appeal, or the failure to raise a particular argument, is "unjustifiable" and thus implies that such failures are sometimes justifiable. An interference with the right to counsel that impaired a defendant's ability to pursue appellate relief should normally be a sufficient justification. Here, the justification was made stronger by Town Court's failure, although required by regulation, to advise defendant of his right to appeal.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 581, 582; AM JUR 2d, Criminal Law §§ 600, 619–622, 624, 1149–1153.

Opinion by SMITH, J.

CARMODY-WAIT 2d, Pleas and Plea Bargaining §§ 182:61, 182:70, 182:71, 182:82; CARMODY-WAIT 2d, Right to Counsel §§ 184:80, 184:81, 184:86; CARMODY-WAIT 2d, Postjudgment Motions §§ 205:27, 205:32.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 11.3, 21.3–21.6, 24.11.

McKINNEY'S, CPL 440.10 (2) (c).

NY JUR 2d, Criminal Law: Procedure §§ 828–830, 832, 1483–1486, 1527, 3392, 3397, 3402.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Attorneys; Criminal Procedure Rules; Guilty Pleas.

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POINTS OF COUNSEL

Richard L. Herzfeld, P.C., New York City (*Richard L. Herzfeld* of counsel), for appellant. I. Appellant's CPL article 440 application was not barred as his failure to take a direct appeal was not unreasonable. (*People v Syville*, 15 NY3d 391; *People v Lard*, 45 AD3d 1331; *People v Hoffler*, 74 AD3d 1632; *People v Maraj*, 44 AD3d 1090; *People v West*, 100 NY2d 23.) II. As the trial court failed to properly ensure that appellant understood the risks of proceeding pro se, appellant's waiver was invalid as a matter of law and his motion to vacate was properly granted. (*People v Mitchell*, 61 NY2d 580; *People v Crampe*, 17 NY3d 469.)

David M. Hoover, District Attorney, Middletown (*Elizabeth L. Schulz* and *Andrew R. Kass* of counsel), for respondent. The decision and order of the Appellate Term should be affirmed. (*People v Cooks*, 67 NY2d 100; *People v Cuadrado*, 9 NY3d 362; *People v Degondea*, 3 AD3d 148, 2 NY3d 798; *People v Donovan*, 107 AD2d 433, 65 NY2d 694; *People v Berezansky*, 229 AD2d 768, 89 NY2d 919; *People v Angelakos*, 70 NY2d 670; *People v Hillriegel*, 78 AD3d 1381; *People v Acevedo*, 104 AD3d 610; *People v Chiu Mei Lan Kwok*, 51 AD3d 814; *People v Lagas*, 49 AD3d 1025.)

OPINION OF THE COURT

SMITH, J.

We hold that a defendant who asserts that he was deprived of his right to counsel when he pleaded guilty pro se is not barred

from raising that claim in a motion under CPL 440.10 by his failure to raise it on direct appeal.

In 2008, defendant pleaded guilty in Tuxedo Town Court to a misdemeanor charge of driving while intoxicated. He was not represented by counsel in the Town Court proceeding, was not advised of his right to appeal, and took no appeal. In 2010, having been arrested again for a similar offense, he was charged with a felony under Vehicle and Traffic Law § 1193 (1) (c) (i), applicable to a person who drives while intoxicated after having been convicted of such a crime within the preceding 10 years. He then moved in Town Court to withdraw his 2008 guilty plea.

Town Court granted the motion, concluding that defendant's "waiver of counsel was not made knowingly or intelligently." On the People's appeal, the Appellate Term reversed, concluding that Town Court erred in deciding the merits of "certain of defendant's claims" because "to the extent that adequate facts appeared in the record to evaluate" those claims "the only possible avenue of review was a direct appeal" (*People v Grubstein*, 37 Misc 3d 142[A], 2012 NY Slip Op 52285[U], *2 [App Term, 2d Dept, 9th & 10th Jud Dists 2012]). A Judge of this Court granted leave to appeal (21 NY3d 1015 [2013]), and we now reverse.

It is correct as a general matter that, when the record is sufficient to permit review of an issue on direct appeal, a defendant who either has not appealed his conviction or, having appealed, has failed to raise that issue is barred from later asserting it as a basis for post-conviction relief (see *People v Cuadrado*, 9 NY3d 362 [2007]). CPL 440.10 (2) (c) says:

"Notwithstanding the provisions of subdivision one, the court must deny a motion to vacate a judgment when: . . .

"(c) Although sufficient facts appear on the record of the proceedings underlying the judgment to have permitted, upon appeal from such judgment, adequate review of the ground or issue raised upon the motion, no such appellate review or determination occurred owing to the defendant's unjustifiable failure to take or perfect an appeal during the prescribed period or to his unjustifiable failure to raise such ground or issue upon an appeal actually perfected by him[.]"

But there is an obvious risk of unfairness in applying this procedural bar where the ground that the defendant seeks to

raise is that he was deprived of his right to counsel. If he was indeed deprived of that right, that very deprivation may well have led him either not to appeal or not to have presented the issue to an appellate court. A defendant who has wrongly been deprived of a lawyer can hardly be blamed for failing to follow customary legal procedures.

Section 440.10 (2) (c) itself appears to recognize this problem, by making its bar applicable only where the failure to appeal, or the failure to raise a particular argument, is “unjustifiable.” The statute thus implies that such failures are sometimes justifiable, and an interference with the right to counsel that impaired the defendant’s ability to pursue appellate relief should normally be a sufficient justification. Here, the justification is made stronger by Town Court’s failure, at the time of the 2008 plea and sentence, to advise defendant of his right to appeal, though an applicable regulation requires that advice to be given when a defendant appears pro se (*see* 22 NYCRR 671.5).

Before the enactment of CPL article 440 New York courts recognized, in cases discussing the writ of error coram nobis, article 440’s common-law predecessor, that the usual procedural barriers to post-conviction relief must sometimes be relaxed when a violation of the right to counsel is claimed. “ ‘Judicial interference with the right to counsel guaranteed to defendant by law may warrant the extraordinary remedy of *coram nobis*, even though the error appears on the face of the record’ ” (*People v Hannigan*, 7 NY2d 317, 318 [1960, per curiam], quoting *People v Silverman*, 3 NY2d 200, 202 [1957]; *see also People ex rel. Sedlak v Foster*, 299 NY 291, 294 [1949]; *Matter of Bojinoff v People*, 299 NY 145, 152 [1949]; *Matter of Hogan v Court of Gen. Sessions of County of N.Y.*, 296 NY 1, 9 [1946]). The limitation of CPL 440.10 (2) (c)’s procedural bar to cases of “unjustifiable” failure may be seen as a codification of the rule stated in those cases.

We conclude, in short, that defendant was not barred from raising his right to counsel claim in a CPL article 440 motion. We express no opinion on the merits of the claim.

Accordingly, the order of the Appellate Term should be reversed and the case remitted to the Appellate Term for consideration of issues raised but not determined on the appeal to that court.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, PIGOTT, RIVERA and ABDUS-SALAAM concur.

Order reversed and case remitted to the Appellate Term,
Ninth and Tenth Judicial Districts, for consideration of issues
raised but not determined on the appeal to that court.

[25 NE3d 916, 2 NYS3d 3]

In the Matter of ROSEANN KILDUFF, Respondent, v ROCHESTER
CITY SCHOOL DISTRICT et al., Appellants.

Argued October 16, 2014; decided November 20, 2014

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered June 14, 2013. The Appellate Division (1) reversed, on the law, a judgment (denominated order) of the Supreme Court, Monroe County (Evelyn Frazee, J.), entered in a proceeding pursuant to CPLR article 78, which had denied a petition seeking, among other things, to annul respondents' determination suspending petitioner for 30 days without pay from her position as a tenured teacher with respondent Rochester City School District; (2) granted the petition; (3) annulled the determination; and (4) directed respondents to reinstate petitioner to her position with full back pay and benefits and to remove all references to the discipline imposed from petitioner's personnel file.

Matter of Kilduff v Rochester City Sch. Dist., 107 AD3d 1536, affirmed.

HEADNOTE

Schools — Teachers — Improper Suspension — Failure to Permit Election by Tenured Employee of Statutory Discipline Review Procedures

Education Law § 3020 (1) unambiguously provides that when a collective bargaining agreement (CBA) is altered by renegotiation or takes effect on or after September 1, 1994, it must permit tenured employees to elect Education Law § 3020-a's discipline review procedures, notwithstanding the availability of alternative, CBA-prescribed procedures. A contrary interpretation—that only renegotiation of alternative CBA discipline procedures themselves (as opposed to renegotiation of the CBA in which they are contained) is capable of triggering the statutorily required employee option—is not only grammatically unavailable (since the phrases “that was effective” and “and has been unaltered by renegotiation” unmistakably refer to the CBA in its entirety and not to any distinct CBA components), but at odds with section 3020 (1)'s manifest purpose of eventually ensuring that all tenured educators will have the nonnegotiable right to avail themselves of the disciplinary process prescribed in section 3020-a. Thus, upon the suspension without pay of petitioner tenured school social worker for misconduct, given that the governing renegotiated CBA took effect after September 1, 1994, petitioner had the right pursuant to section 3020 (1) to choose the statutory review process under section 3020-a over the alternative grievance procedure contained in the CBA, albeit that such procedure was originally negotiated prior to

September 1, 1994 and retained unaltered in the renegotiated CBA, and respondent school district's failure to honor that right required annulment of the suspension. While the legislature did not in its amendment of section 3020 (1) undertake to invalidate negotiated provisions in then operative CBAs, or to disallow the continued inclusion in CBAs of alternative, more "streamlined" discipline procedures, neither did it countenance the indefinite perpetuation of CBA terms depriving tenured employees of the choice of process it expressly guaranteed.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Labor and Labor Relations §§ 2396, 2400, 2432;
AM JUR 2d, Public Officers and Employees §§ 441-443;
AM JUR 2d, Schools §§ 71, 192, 197-198, 200-202, 205,
210-211, 215-216, 223-225, 231-232, 240, 246-250.
CARMODY-WAIT 2d, Arbitration §§ 141:39, 141:42, 141:301,
141:303; CARMODY-WAIT 2d, Proceeding Against a Body
or Officer §§ 145:65, 145:106, 145:1051, 145:1054-1057,
145:1061, 145:1073, 145:1075, 145:1083, 145:1120.
MCKINNEY'S, Education Law §§ 3020 (1); 3020-a.
NY JUR 2d, Civil Servants and Other Public Officers and
Employees §§ 456, 460; NY JUR 2d, Employment Rela-
tions §§ 623, 633-634, 644, 656, 664, 678-679, 683, 689;
NY JUR 2d, Schools, Universities, and Colleges §§ 58,
261, 295, 316-323, 326, 334, 802.

ANNOTATION REFERENCE

Bargainable or negotiable issues in state public employ-
ment labor relations. 84 ALR 3rd 242.

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POINTS OF COUNSEL

Edwin Lopez-Soto, General Counsel, Rochester City School District, Rochester (Cara M. Briggs and Steven G. Carling of counsel), for appellants. I. The plain meaning of the statute does not support Roseann Kilduff's or the Appellate Division's interpretation. (*Matter of DaimlerChrysler Corp. v Spitzer*, 7 NY3d 653; *Matter of Long v Adirondack Park Agency*, 76 NY2d 416; *Long v State of New York*, 7 NY3d 269.) II. The Appellate Division failed to consider the legislative history of Education Law § 3020 (1). (*Matter of Professional Staff Congress-City Univ. of N.Y. v New York State Pub. Empl. Relations Bd.*, 7 NY3d

458.) III. The legislative history indicates an intent to allow alternate disciplinary procedures to survive until those procedures are renegotiated. (*Matter of DaimlerChrysler Corp. v Spitzer*, 7 NY3d 653; *McGaffin v City of Cohoes*, 74 NY 387.)

Richard E. Casagrande, General Counsel, New York State United Teachers, Latham (Anthony J. Brock of counsel), for respondent. I. The Appellate Division correctly ruled that respondent is entitled to a hearing pursuant to Education Law §§ 2573 (5); 3020 and 3020-a because she is a tenured educator subjected to disciplinary action. (*Matter of Lynch v Nyquist*, 41 AD2d 363, 34 NY2d 588; *Holt v Board of Educ. of Webutuck Cent. School Dist.*, 52 NY2d 625; *Ricca v Board of Educ. of City School Dist. of City of N.Y.*, 47 NY2d 385; *Matter of Mannix v Board of Educ. of City of N.Y.*, 21 NY2d 455; *Matter of Boyd v Collins*, 11 NY2d 228; *Matter of Abramovich v Board of Educ. of Cent. School Dist. No. 1 of Towns of Brookhaven & Smithtown*, 46 NY2d 450; *Matter of Lambert v Board of Educ. of Middle Country Cent. School Dist.*, 174 Misc 2d 487; *Matter of American Broadcasting Cos. v Roberts*, 61 NY2d 244.) II. Education Law § 3020 conferred upon the respondent the right to make an election between the alternate disciplinary procedures contained in the collective bargaining agreement, and the disciplinary procedures in Education Law § 3020-a. (*A.J. Temple Marble & Tile v Union Carbide Marble Care*, 87 NY2d 574.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

By letter dated September 23, 2011, respondent School District notified petitioner, a tenured school social worker, that she was to be suspended for 30 days without pay for specified misconduct. Petitioner made a written request for a hearing on the specifications pursuant to Education Law § 3020-a, but was advised by respondent that she was not entitled to the process prescribed in that statute, and could challenge the disciplinary determination against her only by means of the procedures set forth in the collective bargaining agreement (CBA) between the School District and the Rochester Teachers Association, then most recently renegotiated in 2006. That agreement provided in relevant part:

“Except as specified elsewhere in this Section, any disciplinary action imposed upon any eligible

teacher *may* be processed as a grievance and arbitration procedure” (emphasis added).¹

After unsuccessfully grieving the matter via the process specified in the CBA, petitioner commenced this CPLR article 78 proceeding to annul the disciplinary determination, alleging that she had been disciplined without being afforded the process to which she was entitled under the Education Law as a tenured school district employee. She pointed out that the relevant CBA had been altered through renegotiation and had taken effect since September 1, 1994, and that Education Law § 3020 (1)² required, in substance, that all CBAs altered by renegotiation or becoming effective on or after September 1, 1994 afford eligible (i.e., tenured) school district employees the option of challenging the imposition of discipline by the process set forth in Education Law § 3020-a, notwithstanding the provision of an alternative process in a CBA. Supreme Court, however, understood Education Law § 3020 (1) to grandfather alternative, mandatorily prescribed pre-September 1, 1994 CBA discipline procedures for as long after September 1, 1994 as those procedures remained unaltered, even if the CBA in which they were contained had during the same period been altered in other respects through renegotiation.

1. In a subsequent subsection of the CBA it is provided that no eligible teacher may be discharged without the process prescribed in Education Law §§ 3020 and 3020-a.

2. The portion of Education Law § 3020 (1) relevant to the issues presently raised states:

“No person enjoying the benefits of tenure shall be *disciplined or removed* during a term of employment except for just cause and in accordance with the procedures specified in section three thousand twenty-a of this article or in accordance with alternate disciplinary procedures contained in a collective bargaining agreement covering his or her terms and conditions of employment *that was effective* on or before September first, nineteen hundred ninety-four *and has been unaltered by renegotiation, or in accordance with alternative disciplinary procedures contained in a collective bargaining agreement covering his or her terms and conditions of employment that becomes effective on or after September first, nineteen hundred ninety-four; provided, however, that any such alternate disciplinary procedures contained in a collective bargaining agreement that becomes effective on or after September first, nineteen hundred ninety-four, must provide for the written election by the employee of either the procedures specified in such section three thousand twenty-a or the alternative disciplinary procedures contained in the collective bargaining agreement*” (emphasis added).

Finding this understanding of the statute at odds with the provision's plain language, the Appellate Division reversed and granted the petition (107 AD3d 1536, 1537 [2013]). It read the statute categorically to require that all CBAs becoming effective on or after September 1, 1994 afford eligible employees facing discipline the right to elect the review process provided by Education Law § 3020-a, even if the CBA retained an unaltered alternative grievance procedure originally agreed upon before September 1, 1994 (107 AD3d at 1537). Inasmuch as the governing CBA took effect in 2006, petitioner, in the court's view, had the right pursuant to Education Law § 3020 (1) to choose the statutory review process over the alternative grievance procedure contained in the CBA, and the School District's failure to honor that right required the annulment of the challenged discipline, imposed without the process to which petitioner was entitled (*id.*). The matter is now before us pursuant to leave granted by this Court (22 NY3d 854 [2013]) and we affirm.

Prolix though the governing statute, Education Law § 3020 (1), may seem, it is plain that the legislative intent informing its 1994 amendment (L 1994, ch 691) was to assure that tenured educators against whom formal disciplinary charges were lodged could avail themselves, if they so chose, of the procedural protections set forth in contemporaneously amended Education Law § 3020-a. While section 3020 (1) does "grandfather" pre-September 1, 1994 CBA discipline review procedures contained in unaltered CBAs, its evidently dominant purpose was prospectively to secure the right of tenured employees to avail themselves of the process set forth in Education Law § 3020-a. That purpose and the indefinite retention of mandatory alternative CBA review procedures are not easily, if at all, reconcilable. With that in mind, we believe the statute must be understood to sunset CBA provisions depriving tenured employees of the section 3020-a recourse to which they are otherwise entitled. Respondents object that the phasing out of these provisions would deprive the CBA parties of a bargained for benefit or detriment, but it is manifest that the 1994 amendment of Education Law § 3020 (1) was intended precisely to render a tenured employee's right to elect the statutory process in the event of discipline generally nonnegotiable. We have, of course, previously recognized the importance the legislature has accorded the status of tenure in the educational context as well as its attendant purpose to preserve the process by which tenured educators are to be disciplined and removed against the vagar-

ies of collective bargaining (see *Holt v Board of Educ. of Webutuck Cent. School Dist.*, 52 NY2d 625, 632 [1981]).

While, understandably, the legislature did not in its 1994 amendment of section 3020 (1) undertake to invalidate negotiated provisions in then operative CBAs,³ or to disallow the continued inclusion in CBAs of alternative, more “streamlined” discipline procedures, neither did it countenance the indefinite perpetuation of CBA terms depriving tenured employees of the choice of process it expressly guaranteed. Thus, the statute unambiguously provides that when a CBA is altered by renegotiation or takes effect on or after September 1, 1994, it must permit tenured employees to elect section 3020-a’s discipline review procedures, notwithstanding the availability of alternative, CBA-prescribed procedures. The School District’s and dissent’s proposed interpretation—that only renegotiation of alternative CBA discipline procedures themselves (as opposed to renegotiation of the CBA in which they are contained), is capable of triggering the statutorily required employee option—is not only grammatically unavailable (since the phrases “that was effective” and “and has been unaltered by renegotiation” unmistakably refer to the CBA in its entirety and not to any distinct CBA components), but at odds with section 3020 (1)’s manifest purpose of eventually ensuring that all tenured educators will have the nonnegotiable right to avail themselves of the disciplinary process prescribed by the 1994 Education Law amendments.

The relevant legislative history does not suggest that respondent’s proposed gloss is viable. It is true that that history does indicate that a purpose of the 1994 amendments was to continue to authorize the use of alternative, bargained-for discipline procedures (see e.g. Governor’s Program Bill Mem, Bill Jacket, L 1994, ch 691 at 7-9), but it does not follow that the legislature also meant to deny tenured educators facing disci-

3. The grandfathering language which the dissent finds so significant as to justify the conclusion that the legislature made a grammatical error, even though textually the statute is grammatically unflawed, obviously does no more than emphasize that the statute is not intended to undo still effective pre-September 1, 1994 CBAs. We decline to ascribe to it a counter-textual purpose on the general theory that all grandfathering provisions are at cross-purposes with a broader legislative objective. That may be conceptually true but is not a particularly useful observation where, as here, the question is not whether there is some measure of grandfathering intended, but its extent. The statute, read in its entirety, addresses that question clearly and indeed with grammatical precision. It presents no occasion for the interpretive liberty the dissent proposes.

pline the right to elect the likely more protective review procedures set forth in Education Law § 3020-a.⁴ That section, we note, was extensively revised as part of the 1994 Education Law amendments to make the statutory review process less cumbersome. And, in view of that reworking, the rationale for permitting the statutory process to be supplanted by bargained-for CBA alternatives became significantly less compelling. In any case, it is the language of the statute that is the best evidence of the legislature's intent (*Riley v County of Broome*, 95 NY2d 455, 463 [2000]), and Education Law § 3020-a plainly provides that, in any CBA taking effect on or after September 1, 1994, tenured employees must be permitted to elect the discipline procedures set forth in Education Law § 3020-a. Here, as the Appellate Division correctly observed, the determinative circumstance is that the governing renegotiated CBA became effective in 2006.

We would add that, while the statute would trump a CBA provision becoming effective on or after September 1, 1994 relegating a tenured employee exclusively to a non-statutory discipline procedure, we perceive no reason to conclude that the present CBA in fact does that. It provides merely that a disciplinary action “may,” not that it “must,” be processed in accordance with the agreement's grievance and arbitration provisions.⁵ Indeed, the record strongly suggests that it was only in view of the optional, and therefore statutorily inoffensive, character of the contractually available discipline process, that the provision, originally negotiated prior to September 1, 1994, was retained unaltered in the parties' subsequent CBAs. Thus, even under the CBA itself, petitioner may well have not been foreclosed from invoking the statutory procedure.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

SMITH, J. (dissenting). The Legislature amended Education Law § 3020 (1) effective September 1, 1994, to require that

4. Indeed, it was understood at the time of the legislation's consideration that “[f]or collective bargaining agreements containing disciplinary procedures which are effective after September 1, 1994, *the employee must be able to elect either the procedures contained in the agreement or those contained in 3020-a*” (Governor's Off of Employee Relations Mem in Support, Bill Jacket, L 1994, ch 691 at 24 [emphasis supplied]).

5. That the CBA required section 3020-a process where the discharge of a tenured employee was sought, does not mean, as the District contends, that it purported to preclude a tenured employee from electing such process where less serious discipline was at issue.

tenured teachers and other educators be allowed to elect the procedures contained in Education Law § 3020-a in preference to any other procedures that might be provided in a collective bargaining agreement. The amendment contained a grandfather clause, allowing discipline “in accordance with alternate disciplinary procedures contained in a collective bargaining agreement . . . that was effective on or before September first, nineteen hundred ninety four and has been unaltered by renegotiation.” The majority interprets the words “and has been unaltered by renegotiation” in a way that gives them substantially no effect. Under today’s decision, the Legislature was wasting its time when it put those six words in the statute.

The School District here seeks to enforce alternative disciplinary procedures that have been preserved unchanged in collective bargaining agreements with petitioner’s union since at least 1992. The majority says that these procedures are not within the grandfather clause because, though the procedures have been continued in existence, they are not in the same agreement that they once were; the collective bargaining agreement has been replaced by successor agreements, and its terms have been altered in ways irrelevant here, several times since September 1, 1994.

The majority makes no attempt to answer the question: What was the Legislature trying to accomplish when it wrote the words “and has been unaltered by renegotiation”? If those words were not there, the statute would mean essentially the same thing that the majority says it means. It would grandfather disciplinary procedures “contained in a collective bargaining agreement . . . that was effective on or before” September 1, 1994. It seems to me that the obvious purpose of the “unaltered by renegotiation” language is to extend the grandfather clause’s protection to procedures that remain unaltered in subsequent agreements.

The majority makes essentially two arguments in defense of its reading of the statute. First, it points out that grammatically only the singular noun “agreement,” not the plural noun “procedures,” can be the subject of the verb “has been unaltered.” Secondly, it says that the School District’s interpretation is “at odds with” the Legislature’s “manifest purpose of eventually ensuring that all tenured educators will have the nonnegotiable right to avail themselves” of section 3020-a procedures (majority op at 510). I concede the grammatical

point, but it seems to me much more likely that the Legislature made a grammatical error than that it intended the words “and has been unaltered by renegotiation” to be inconsequential. The majority’s other point seems to me without force. Every grandfather clause makes an exception to the accomplishment of the legislative purpose. That is what a grandfather clause is.

Judges GRAFFEO, RIVERA and ABDUS-SALAAM concur; Judge SMITH dissents in an opinion in which Judges READ and PIGOTT concur.

Order affirmed, with costs.

[25 NE3d 921, 2 NYS3d 8]

JUAN SIERRA, Plaintiff, v 4401 SUNSET PARK, LLC, et al., Defendants/Third-Party Plaintiffs-Respondents. LM INTERIORS, CONTRACTING, LLC, Third-Party Defendant, and SCOTTSDALE INSURANCE COMPANY, Third-Party Defendant-Appellant. (And a Second Third-Party Action.)

Argued October 22, 2014; decided November 24, 2014

SUMMARY

APPEAL, by permission of the Court of Appeals, from a judgment of the Supreme Court, Kings County, bringing up for review a prior nonfinal order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered December 19, 2012. The Appellate Division order, insofar as brought up for review, (1) affirmed so much of an order of the Supreme Court, Kings County (Yvonne Lewis, J.), as had (a) granted that branch of the motion of defendants and third-party plaintiffs for summary judgment declaring that third-party defendant Scottsdale Insurance Company was obligated to defend and indemnify them in the main action; and (b) denied Scottsdale's cross motion, among other things, for summary judgment declaring that it was not so obligated; and (2) remitted the matter to Supreme Court for the entry of a judgment, among other things, declaring that Scottsdale was obligated to defend and indemnify defendants and third-party plaintiffs in the main action.

Sierra v 4401 Sunset Park, LLC, 101 AD3d 983, affirmed.

HEADNOTES

Insurance — Duty to Defend and Indemnify — Disclaimer of Coverage — Notice to Insured

1. In a third-party action commenced by defendant and third-party plaintiff insureds, the owner and managing agent of an apartment building, seeking defense and indemnification in an underlying personal injury action from third-party defendant insurer, which had issued a liability insurance policy to third-party defendant contractor naming the insureds as additional insureds relating to renovation work performed on the building, the insurer did not meet the requirement of Insurance Law § 3420 (d) (2) when, in seeking to disclaim liability, it sent written notice to the insureds' own nonparty carrier, which had issued a separate liability insurance policy to the insureds naming them as insureds, but not to the insureds themselves or to the lawyer who had been retained to represent them. Insurance Law § 3420 (d) (2) requires a liability insurer that disclaims liability to give written notice of the disclaimer "to the insured." Here, the carrier was not an insured under the policy issued by the insurer but was another insurer. While the carrier acted on the insureds' behalf in sending notice of the claim to the insurer, that did not make

the carrier the insureds' agent for all purposes or for the specific purpose of receiving a notice of disclaimer. The carrier's interests were not necessarily the same as the insureds' in the instant litigation as there might have been a coverage dispute between them or plaintiff's claim in the main action might have exceeded the carrier's policy limits.

Insurance — Duty to Defend and Indemnify — Disclaimer of Coverage — Notice to Insured

2. If *Excelsior Ins. Co. v Antretter Contr. Corp.* (262 AD2d 124 [1st Dept 1999]) and *Cincinnati Ins. Cos. v Sirius Am. Ins. Co.* (51 AD3d 1365 [4th Dept 2008]) are read to stand for the general proposition that notice of a disclaimer of liability sent by a liability insurer to the liability carrier of a party named as an additional insured in the liability insurance policy issued by the disclaiming insurer serves as notice to the additional insured under Insurance Law § 3420 (d) (2), those cases should not be followed.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Declaratory Judgments §§ 128, 132, 140–141;
AM JUR 2d, Insurance §§ 676, 1350, 1390, 1402, 1405–
1408, 1411, 1422, 1964, 1974.
CARMODY-WAIT 2d, Parties § 19:160; CARMODY-WAIT 2d,
Declaratory Judgments §§ 147:81, 147:87, 147:91–147:94,
147:149, 147:171.
McKINNEY'S, Insurance Law § 3420 (d) (2).
NY JUR 2d, Declaratory Judgments and Agreed Case §§ 88,
96–97; NY JUR 2d, Insurance §§ 1447, 1627–1628, 1964,
1972, 1979, 1999, 2051–2061, 2065, 2079, 2133–2134.
SIEGEL, NY PRAC §§ 155, 160, 437.

ANNOTATION REFERENCE

See ALR Index under Additional Insurance; Defenses;
Indemnity; Insurance; Notice or Knowledge; Third Party
Proceedings.

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Query: liability /3 notice & “additional insured” &
disclaim!

POINTS OF COUNSEL

Goldberg Segalla LLP, Albany (*Matthew Lerner* and *Carrie Appler* of counsel), for third-party appellant. I. Scottsdale Insurance Company complied with Insurance Law § 3420 (d) by sending a written disclaimer to the purported additional insureds' insurer within 27 days of receiving notice of claim. (*Matter of*

Allcity Ins. Co. [Jimenez], 78 NY2d 1054, 79 NY2d 823; *First Fin. Ins. Co. v Jetco Contr. Corp.*, 1 NY3d 64; *Zappone v Home Ins. Co.*, 55 NY2d 131; *Cincinnati Ins. Cos. v Sirius Am. Ins. Co.*, 51 AD3d 1365; *Excelsior Ins. Co. v Antretter Contr. Corp.*, 262 AD2d 124; 233 E. 17th St., LLC v L.G.B. Dev., Inc., 78 AD3d 930; *Industry City Mgt. v Atlantic Mut. Ins. Co.*, 64 AD3d 433; *J.T. Magen v Hartford Fire Ins. Co.*, 64 AD3d 266, 13 NY3d 889; *Thrasher v United States Liab. Ins. Co.*, 19 NY2d 159.) II. 4401 Sunset Park, LLC's and Sierra Realty Corp.'s late notice of Juan Sierra's accident vitiates coverage under Scottsdale Insurance Company's insurance policy. (*Argo Corp. v Greater N.Y. Mut. Ins. Co.*, 4 NY3d 332; *Security Mut. Ins. Co. of N.Y. v Acker-Fitzsimons Corp.*, 31 NY2d 436; *Power Auth. of State of N.Y. v Westinghouse Elec. Corp.*, 117 AD2d 336; *Allstate Ins. Co. v Moon*, 89 AD2d 804; *Zadrima v PSM Ins. Cos.*, 208 AD2d 529, 85 NY2d 807; *Herold v East Coast Scaffolding*, 208 AD2d 592; *Winstead v Uniondale Union Free School Dist.*, 201 AD2d 721; *Mason v Allstate Ins. Co.*, 12 AD2d 138; *Vanderbilt v Indemnity Ins. Co. of N. Am.*, 265 App Div 495; *Abitante v Home Indem. Co.*, 240 App Div 553.)

Brill & Associates, P.C., New York City (Corey M. Reichardt of counsel), and *Margaret G. Klein & Associates*, New York City, for third-party respondents. I. Scottsdale Insurance Company failed to comply with the statutory requirements of Insurance Law § 3420 (d) as it failed to give written notice of disclaimer to its additional insureds. (*Industry City Mgt. v Atlantic Mut. Ins. Co.*, 64 AD3d 433; *J.T. Magen v Hartford Fire Ins. Co.*, 64 AD3d 266, 13 NY3d 889; *Greater N.Y. Mut. Ins. Co. v Chubb Indem. Ins. Co.*, 105 AD3d 523; 233 E. 17th St., LLC v L.G.B. Dev., Inc., 78 AD3d 930; *Matter of Eveready Ins. Co. v Dabach*, 176 AD2d 879; 2619 Realty v Fidelity & Guar. Ins. Co., 303 AD2d 299; *West 56th St. Assoc. v Greater N.Y. Mut. Ins. Co.*, 250 AD2d 109; *Chimart Assoc. v Paul*, 66 NY2d 570; *Cincinnati Ins. Cos. v Sirius Am. Ins. Co.*, 51 AD3d 1365; *Excelsior Ins. Co. v Antretter Contr. Corp.*, 262 AD2d 124.) II. Scottsdale Insurance Company's argument that 4401 Sunset Park, LLC and Sierra Realty Corp.'s "late notice of accident" vitiates coverage under Scottsdale's insurance policy is not properly before this Court for review.

OPINION OF THE COURT

SMITH, J.

Insurance Law § 3420 (d) (2) requires a liability insurer that disclaims liability to give written notice of the disclaimer "to

the insureds.” This case involves parties who were insureds under two different policies: they were named insureds under their own policy, and additional insureds under a policy obtained by a contractor they had hired. The contractor’s insurer, seeking to disclaim liability, sent written notice to the insureds’ own carrier, but not to the insureds themselves. We hold that this did not meet the requirement of the statute.

I

4401 Sunset Park, LLC and Sierra Realty Corp., defendants and third-party plaintiffs in this action, are respectively the owner and managing agent of an apartment building in Brooklyn. They contracted with third-party defendant LM Interiors Contracting, LLC to do renovation work on the building. The contract required LM to maintain liability insurance that named the owner and managing agent as additional insureds, and LM obtained such a policy from third-party defendant Scottsdale Insurance Company. The owner and managing agent also had their own liability insurance policy, issued by Greater New York Mutual Insurance Company (GNY).

On August 18, 2008, plaintiff, Juan Sierra, an LM employee (unrelated to the managing agent, Sierra Realty Corp.), lost a finger in an accident while working on the renovation project. The managing agent learned of the accident that day, but gave no notice of it to either GNY or Scottsdale. More than three months later, on November 30, 2008, plaintiff brought this action seeking damages for personal injuries against the owner and the managing agent, and at this point they notified GNY of the claim. GNY retained a lawyer for its insureds, but neither the insureds nor GNY informed Scottsdale of the injury or the claim until January 6, 2009, when GNY sent the summons and complaint to Scottsdale. In a letter that accompanied the summons and complaint, GNY asked Scottsdale to “respond in writing upon receipt of this letter whether you will defend, indemnify and hold our insured harmless in connection with this lawsuit.” The letter included the name and address of the law firm that GNY had retained to answer the complaint on the insureds’ behalf.

Scottsdale replied to GNY on February 2, 2009, disclaiming liability on various grounds, including the insureds’ failure to comply with their obligation under the policy “to see to it that we are notified as soon as practicable of an ‘occurrence’ which

may result in a claim.” Scottsdale did not send its letter to the owner and managing agent (its additional insureds and GNY’s insureds) or to the lawyer representing the insureds in this action.

The owner and managing agent brought third party claims against LM Interiors and Scottsdale asserting, among other things, that Scottsdale was required to provide them with a defense and indemnification. Supreme Court granted summary judgment against Scottsdale on that claim, and the Appellate Division affirmed that portion of Supreme Court’s order (*Sierra v 4401 Sunset Park, LLC*, 101 AD3d 983 [2d Dept 2012]). The Appellate Division concluded that Scottsdale had failed to comply with Insurance Law § 3420 (d) (2) because it had not sent its disclaimer notice to its additional insureds. We granted leave to appeal from a later judgment, bringing this part of the Appellate Division order up for review (22 NY3d 854 [2013]), and we now affirm.

II

Insurance Law § 3420 (d) (2) says:

“If under a liability policy issued or delivered in this state, an insurer shall disclaim liability or deny coverage . . . it shall give written notice as soon as is reasonably possible of such disclaimer of liability or denial of coverage *to the insured* and the injured person or any other claimant” (emphasis added).

[1] It is undisputed that Scottsdale did not give notice of its disclaimer directly to its additional insureds or to the lawyer who had been retained to represent them. Scottsdale argues that the disclaimer notice it sent to GNY was sufficient to satisfy the statute. We disagree.

GNY was not an insured under Scottsdale’s policy; it was another insurer. While GNY had acted on the insureds’ behalf in sending notice of the claim to Scottsdale, that did not make GNY the insureds’ agent for all purposes, or for the specific purpose that is relevant here: receipt of a notice of disclaimer. GNY’s interests were not necessarily the same as its insureds’ in this litigation. There might have been a coverage dispute between GNY and the insureds, or plaintiff’s claim might have exceeded GNY’s policy limits. Because the insureds had their own interests at stake, separate from that of GNY, they were entitled to notice delivered to them, or at least to an agent—

perhaps their attorney—who owed a duty of loyalty in this matter to them only. As the Appellate Division correctly held in *Greater N.Y. Mut. Ins. Co. v Chubb Indem. Ins. Co.* (105 AD3d 523, 524 [1st Dept 2013]), the obligation imposed by the Insurance Law is “to give timely notice of disclaimer to the mutual insureds . . . not to . . . another insurer.”

[2] Scottsdale argues that it has “substantially complied” with the statute, relying on *Excelsior Ins. Co. v Antretter Contr. Corp.* (262 AD2d 124 [1st Dept 1999]) and *Cincinnati Ins. Cos. v Sirius Am. Ins. Co.* (51 AD3d 1365 [4th Dept 2008]). *Excelsior*, as the court in *GNV v Chubb* pointed out (105 AD3d at 525), may be distinguishable: in that case, as a result of a settlement, the insured had no real interest in the litigation, and the insurer to which the disclaimer was sent was the only real party in interest (see *Excelsior*, 262 AD2d at 127). In any event, if *Excelsior* and *Cincinnati* are read to stand for the general proposition that notice to an additional insured’s liability carrier serves as notice to the additional insured under section 3420 (d) (2), those cases should not be followed.

Accordingly, the judgment appealed from, and the order of the Appellate Division, insofar as reviewed, should be affirmed with costs.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, PIGOTT, RIVERA and ABDUS-SALAAM concur.

Judgment appealed from and order of the Appellate Division, insofar as brought up for review, affirmed, with costs.

[25 NE3d 924, 2 NYS3d 11]

JANNIE NESMITH, as Parent and Natural Guardian of JANNIE PATTERSON, an Infant, et al., Appellants, v ALLSTATE INSURANCE COMPANY, Respondent.

Argued October 15, 2014; decided November 25, 2014

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered February 1, 2013. The Appellate Division (1) reversed, on the law, insofar as appealed from, a judgment (denominated order) of the Supreme Court, Monroe County (Matthew A. Rosenbaum, J.), which had denied defendant's motion for summary judgment and granted that part of plaintiffs' cross motion which sought a declaration that the amount of insurance coverage to which plaintiffs are entitled is the full \$500,000 policy limit; (2) denied plaintiffs' cross motion in its entirety; (3) granted defendant's motion insofar as declaratory relief was sought; and (4) adjudged and declared that plaintiffs' losses are encompassed by the \$500,000 per occurrence limit in the insurance policy at issue.

Nesmith v Allstate Ins. Co., 103 AD3d 190, affirmed.

HEADNOTE

Insurance — Liability Insurance — Noncumulation Clause — Exposure to Lead Paint in Same Apartment during Two Different Tenancies

In an action to recover damages for personal injuries sustained by children exposed to lead paint in an apartment covered by a liability insurance policy with a \$500,000 limit for each occurrence, defendant insurer, which had previously paid a \$350,000 settlement under the policy to a prior tenant whose children were injured by lead paint exposure in the same apartment, was only obligated to pay plaintiffs \$150,000 under the policy's noncumulation clause limiting its liability for all exposures to the same general conditions in the apartment to the single occurrence limit of \$500,000. The policy's noncumulation clause limited liability for damages resulting from "one accidental loss," which was defined to include injury "resulting from one accidental loss or from continuous or repeated exposure to the same general conditions," regardless of the number of policies, injured persons or claimants involved. The two sets of injured children were exposed to the same hazard, lead paint, in the same apartment. While the landlord made an effort to correct the problem after the first set of children was exposed and before the second set of children moved in, the record provided no basis for inferring that a new lead paint hazard had been introduced into the apartment. Rather, the only possible conclusion from the record was that the landlord's remedial efforts were not wholly successful, and that the same general conditions continued to exist. As the

two sets of children were injured by exposure to the same general conditions, their injuries were part of a single “accidental loss,” and only one policy limit was available to the two families.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Insurance §§ 660, 1532, 1534.

COUCH ON INSURANCE (3d ed) §§ 126:31, 172:12–172:15.

NY JUR 2d, Insurance §§ 1625, 1626.

ANNOTATION REFERENCE

See ALR Index under Insurance.

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Database: NY-ORCS

Query: liability /2 insurance & non-cumulation & policy
/3 limit

POINTS OF COUNSEL

Nixon & Richter, PLLC, Whitesboro (Mark G. Richter and James E. Nixon of counsel), for appellants. I. The Fourth Department erroneously applied this Court’s ruling in *Hiraldo v Allstate Ins. Co.* (5 NY3d 508 [2005]) given that the case at bar does not involve a continuous exposure to the “same general conditions.” (*Greenidge v Allstate Ins. Co.*, 312 F Supp 2d 430; *Ramirez v Allstate Ins. Co.*, 26 AD3d 266; *National Union Fire Ins. Co. of Pittsburgh, Pa. v Farmington Cas. Co.*, 1 Misc 3d 671.) II. The “condition” which caused the lead poisoning injury to the Suarez/Young children is not the “same general condition” which caused the lead poisoning injury to the Nesmith children and, as such, there is a new, separate and distinct occurrence arising in a subsequent policy period. (*Mt. McKinley Ins. Co. v Corning Inc.*, 28 Misc 3d 893, 96 AD3d 451; *ExxonMobil Corp. v Certain Underwriters at Lloyd’s, London*, 15 Misc 3d 1144, 50 AD3d 434; *Appalachian Ins. Co. v General Elec. Co.*, 8 NY3d 162; *International Flavors & Fragrances, Inc. v Royal Ins. Co. of Am.*, 46 AD3d 224.) III. Allstate Insurance Company should not be permitted to avoid its contractual obligations to pay the limits of successive insurance policies based upon its erroneous, self-serving and strained interpretation of its own ambiguous policy provisions and given the reasonable expectation of coverage. (*Cragg v Allstate Indem. Corp.*, 17 NY3d 118; *Dean v Tower Ins. Co. of N.Y.*, 19 NY3d 704; *Hiraldo v Allstate*

Ins. Co., 5 NY3d 508; *SR Intl. Bus. Ins. Co., Ltd. v World Trade Ctr. Props., LLC*, 467 F3d 107; *Belt Painting Corp. v TIG Ins. Co.*, 100 NY2d 377; *Stoney Run Co. v Prudential-LMI Commercial Ins. Co.*, 47 F3d 34; *Lavanant v General Acc. Ins. Co. of Am.*, 79 NY2d 623; *Guardian Life Ins. Co. of Am. v Schaefer*, 70 NY2d 888; *Home Ins. Co. v American Home Prods. Corp.*, 75 NY2d 196; *Matter of Mostow v State Farm Ins. Cos.*, 88 NY2d 321.) IV. Public policy dictates coverage, especially where interpretation of the contract renders coverage illusory and unjustly enriches Allstate Insurance Company to the detriment of policyholders and injured victims. (*Juarez v Wavecrest Mgt. Team*, 88 NY2d 628; *Matter of New York City Coalition to End Lead Poisoning v Vallone*, 100 NY2d 337.)

Rivkin Radler LLP, Uniondale (Barry I. Levy, Evan H. Krinick, Cheryl F. Korman, Alan Eagle and Henry Mascia of counsel), for respondent. Allstate Insurance Company's liability arising out of claims of unrelated individuals resulting from exposure to lead paint in the same apartment during successive tenancies is limited to a single policy limit because the injuries resulted from exposure to the same general lead conditions. (*Appalachian Ins. Co. v General Elec. Co.*, 8 NY3d 162; *Excess Ins. Co. Ltd. v Factory Mut. Ins. Co.*, 3 NY3d 577; *Two Guys from Harrison-N.Y. v S.F.R. Realty Assoc.*, 63 NY2d 396; *Government Empls. Ins. Co. v Kligler*, 42 NY2d 863; *Sanabria v American Home Assur. Co.*, 68 NY2d 866; *Continental Cas. Co. v Rapid-American Corp.*, 80 NY2d 640; *Hartford Acc. & Indem. Co. v Wesolowski*, 33 NY2d 169; *Arthur A. Johnson Corp. v Indemnity Ins. Co. of N. Am.*, 7 NY2d 222; *Mt. McKinley Ins. Co. v Corning Inc.*, 96 AD3d 451; *Hiraldo v Allstate Ins. Co.*, 5 NY3d 508.)

Anderson Kill P.C., New York City (William G. Passannante, John G. Nevius and Nicholas R. Maxwell of counsel), and Amy Bach, San Francisco, California, for United Policyholders, amicus curiae. I. Insurance policies are standard-form contracts of adhesion interpreted according to a policyholder's reasonable expectations, in order to avoid rendering coverage illusory. (*Kosierowski v Madison Life Ins. Co.*, 31 AD2d 930; *Hanover Ins. Co. v Losquadro*, 157 Misc 2d 1014; *Diamond v Mutual Life Ins. Co. of N.Y.*, 75 Misc 2d 443, 77 Misc 2d 528; *Pan Am. World Airways, Inc. v Aetna Cas. & Sur. Co.*, 505 F2d 989; *American Home Prods. Corp. v Liberty Mut. Ins. Co.*, 565 F Supp 1485; *Eagle Star Ins. Co. v International Proteins Corp.*, 45 AD2d 637; *Satz v Massachusetts Bonding & Ins. Co.*, 243 NY 385; *Ace Wire & Cable Co. v Aetna Cas. & Sur. Co.*, 60 NY2d 390; *Bird v St.*

Paul Fire & Mar. Ins. Co., 224 NY 47; *Dean v Tower Ins. Co. of N.Y.*, 19 NY3d 704.) II. Allstate Insurance Company's interpretation of its own policy renders coverage illusory, in defiance of Tony Wilson's reasonable expectations.

Lewis Johs Avallone Aviles, LLP, Islandia (*Daniel A. Bartoldus* of counsel), for New York Insurance Association, Inc., amicus curiae. The noncumulation clause in the Allstate Insurance Company policies expressly limits coverage to one policy limit. (*Champion Intl. Corp. v Liberty Mut. Ins. Co.*, 701 F Supp 409, 758 F Supp 127; *Uniroyal, Inc. v Home Ins. Co.*, 707 F Supp 1368; *Hiraldo v Allstate Ins. Co.*, 5 NY3d 508; *Greenidge v Allstate Ins. Co.*, 312 F Supp 2d 430, 446 F3d 356; *Ramirez v Allstate Ins. Co.*, 26 AD3d 266; *Shared-Interest Mgt. v CNA Fin. Ins. Group*, 283 AD2d 136; *Endicott Johnson Corp. v Liberty Mut. Ins. Co.*, 928 F Supp 176, 116 F3d 53; *J.P. Morgan Sec. Inc. v Vigilant Ins. Co.*, 21 NY3d 324; *South Rd. Assoc., LLC v International Bus. Machs. Corp.*, 4 NY3d 272; *W.W.W. Assoc. v Giancontieri*, 77 NY2d 157.)

OPINION OF THE COURT

SMITH, J.

In *Hiraldo v Allstate Ins. Co.* (5 NY3d 508 [2005]), we interpreted a so-called “noncumulation clause” contained in a series of successively-issued liability insurance policies. We held that a person suing for exposure to lead paint during the terms of all the policies could recover no more than one policy limit.

Here we interpret a nearly identical clause in a case where members of different families were successively exposed to lead paint in the same apartment. We hold that, here as in *Hiraldo*, the insurer's maximum total liability is only one policy limit.

I

In September 1991, Allstate Insurance Company issued a policy of liability insurance to the landlord of a two-family house in Rochester. The policy was renewed annually for the years beginning September 1992 and September 1993. It stated on the declarations page a \$500,000 limit for “each occurrence,” and contained the following noncumulation clause:

“Regardless of the number of insured persons, injured persons, claims, claimants or policies involved, our total liability under the Family Liability Protection coverage for damages resulting from one

accidental loss will not exceed the limit shown on the declarations page. All bodily injury and property damage resulting from one accidental loss or from continuous or repeated exposure to the same general conditions is considered the result of one accidental loss” (emphasis omitted).

Felicia Young and her children lived in one of the two apartments in the house from November 1992 until September 1993. In July 1993, the Department of Health notified the landlord that one of the children had been found to have an elevated blood lead level and that several areas in the apartment were in violation of state regulations governing lead paint. The Department listed the violations and directed the landlord to correct them. The landlord made some repairs, and the Department advised him in August 1993 that the violations “have been corrected.”

After the Young family moved out of the apartment in September 1993, Lorenzo Patterson, Sr. and Qyashitee Davis moved in with their two children. Again a child was found to have an elevated blood lead level, and the Department of Health sent another letter saying that violations had been found and instructing the landlord to correct them. (This letter was sent in December 1994, but the parties seem to assume that the elevated readings resulted at least in part from events on or before September 29, 1994, the last day of Allstate’s coverage.)

In 2004, Young, on behalf of her children, and Jannie Nesmith, on behalf of the Patterson children (her grandchildren), brought two separate actions against the landlord for personal injuries allegedly caused by lead paint exposure. Young’s action was settled in 2006 for \$350,000, which Allstate paid. In 2008, Nesmith settled her claim pursuant to a stipulation that reserved the issue of the applicable policy limit for future litigation. Allstate paid the \$150,000 that it claimed was the remaining coverage. Nesmith then brought the present action against Allstate for a declaratory judgment, asserting that a separate \$500,000 limit applied to each family’s claim, and that her grandchildren could therefore recover an additional \$350,000.

Supreme Court granted Nesmith the declaration she sought, saying it could not conclude that the children in the two cases were injured by exposure “to the same conditions.” The Appellate Division reversed (*Nesmith v Allstate Ins. Co.*, 103 AD3d 190 [2013]). The Appellate Division held that, under *Hiraldo*, the renewal of the policy could not make an additional limit

available; that, under the plain terms of the noncumulation clause, the number of claims and claimants could not do so either; and that the injury to Young's children and Nesmith's grandchildren resulted "from . . . continuous or repeated exposure to the same general conditions," so that the injuries were only one "accidental loss" within the meaning of the policy (*id.* at 193-194). We granted leave to appeal (21 NY3d 866 [2013]) and now affirm.

II

Hiraldo involved a single child, who had lived in the building in question for three years while three successive Allstate policies, each with a limit of \$300,000, were in force. The plaintiffs claimed that the child had been exposed to lead paint continuously during the terms of all three policies, and that therefore \$900,000 in coverage was available to him. We rejected the argument, relying on a noncumulation clause not significantly different from the one involved in this case (*see* 5 NY3d at 512). (The policy in *Hiraldo* referred simply to "loss" rather than "accidental loss," but no one suggests that that difference is relevant here.) We found the argument of the *Hiraldo* plaintiffs to be inconsistent with the policy's plain statement that Allstate's liability was limited to the amount shown on the declaration page, \$300,000, "[r]egardless of the number of . . . policies involved" (*id.* [emphasis omitted]).

Here, Nesmith does not, and could not under *Hiraldo*, argue that the annual renewals of the landlord's policy increased the limits of the available coverage. And the noncumulation clause is equally clear in saying that the number of "injured persons," "claims" and "claimants" makes no difference. Nesmith's only argument is that the alleged injuries to Young's children and Nesmith's grandchildren were separate losses because they did not result "from continuous or repeated exposure to the same general conditions."

We reject this argument. Young's children and Nesmith's grandchildren were exposed to the same hazard, lead paint, in the same apartment. Perhaps they were not exposed to *exactly* the same conditions; but to say that the "general conditions" were not the same would deprive the word "general" of all meaning. Nesmith argues that, because the landlord made an effort to correct the problem after Young's children were exposed and before Nesmith's grandchildren moved in, the "conditions" that injured her grandchildren must have been new ones.

But she makes no claim, and the record provides no basis for inferring, that a new lead paint hazard had been introduced into the apartment. The only possible conclusion from this record is that the landlord's remedial efforts were not wholly successful, and that the same general conditions—the presence of lead paint that endangered children's health—continued to exist. Because Young's children and Nesmith's grandchildren were injured by exposure to the same general conditions their injuries were part of a single “accidental loss,” and only one policy limit is available to the two families.

Accordingly, the order of the Appellate Division should be affirmed with costs.

PIGOTT, J. (dissenting). The majority recognizes that this appeal presents a different set of circumstances than those in *Hiraldo v Allstate Ins. Co.* (5 NY3d 508 [2005]), yet it reaches the same conclusion. Because I cannot agree with the majority's theory that the “noncumulation clause” limits the insurer's maximum total liability to only *one* policy limit under the circumstances presented here, I dissent.

The “noncumulation clause” at issue in this case provides:

“4. Our Limits of Liability

“Regardless of the number of **insured persons**, injured persons, claims, claimants or policies involved, our total liability under the **Family Liability Protection** coverage for damages resulting from one accidental loss will not exceed the limit shown on the declarations page. All **bodily injury** and **property damage** resulting from one accidental loss or from continuous or repeated exposure to the same general conditions is considered the result of one accidental loss.”

Fairly read, this provision provides that the policy limit—\$500,000 limit for “each occurrence”—applies to limit the liability for lead exposure of children in one family during the course of that family's tenancy. Indeed, this is what we held in *Hiraldo*. However, the insurer seeks to expand that reasoning to a situation that was clearly unknown to the insured at the time he procured the additional insurance: that coverage for liability of any kind had diminished considerably.

For purposes of this litigation, it is undisputed that the Nesmith children moved into the apartment during the second re-

newal period and lived in the apartment from September 1993 to September 1994. They, like the Young children, were injured as a result of lead paint hazards. According to the majority, because \$350,000 was paid to the Young children, who were injured during the policy period from 1992 to 1993, the insured had only \$150,000 coverage for the claim made by the Nesmith children.

The majority finds that this case turns on the interpretation of the “same general conditions” language of the “Limits on Liability” clause and reasons that because the Young children and Nesmith children were exposed to the same hazard, lead paint, in the apartment only one policy limit is triggered (*see* majority op at 525). However, this interpretation is inconsistent with the reasonable expectations of the insured (*see generally Ace Wire & Cable Co. v Aetna Cas. & Sur. Co.*, 60 NY2d 390, 398 [1983] [insurance contracts must be interpreted according to “the reasonable expectation and purpose of the ordinary businessman”]).

To accept that position would mean that, for purposes of insurance coverage, the insured’s alleged failure to remove lead paint in the building before the Nesmiths moved in was equivalent to the landlord having done nothing at all. In other words, if there is any possibility of a nexus between the cause of the injuries during policy year one and the cause of injuries in any later policy year, even if the injuries were suffered by different children from different families living in the apartment at different times, coverage is only available under the first policy year.

It would also mean that when the insured renewed his policy and paid his premium, he procured less protection with respect to lead paint claims. If the insured knew that his later policies would not cover lead paint injuries occurring after his remediation efforts, he surely would not have continued purchasing the insurance at essentially the same premium from the same insurer.

Judges GRAFFEO, READ and ABDUS-SALAAM concur; Judge PIGOTT dissents in an opinion in which Chief Judge LIPPMAN concurs; Judge RIVERA taking no part.

Order affirmed, with costs.

[25 NE3d 952, 2 NYS3d 39]

**172 VAN DUZER REALTY CORP., Respondent, v GLOBE ALUMNI
STUDENT ASSISTANCE ASSOCIATION, INC., et al., Appellants.**

Argued November 19, 2014; decided December 18, 2014

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered January 22, 2013. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Carol R. Edmead, J.), which had awarded plaintiff damages in the sum of \$1,488,604.66. The appeal to the Appellate Division brought up for review an order of that Supreme Court, which had granted plaintiff's motion for summary judgment on the issue of liability.

172 Van Duzer Realty Corp. v Globe Alumni Student Assistance Assn., Inc., 102 AD3d 543, modified.

HEADNOTES**Judgments — Res Judicata**

1. An action by plaintiff landlord seeking rent arrears and an amount equal to the future remaining rent owed under the acceleration clause of a commercial lease that plaintiff terminated after defendants failed to cure violations, vacated the premises and defaulted on the rent was not barred by res judicata where plaintiff had maintained a prior action in Civil Court to recover possession of the premises and past due rent. Civil Court was without authority to address a claim for the balance of rent due under the acceleration clause in plaintiff's holdover proceeding (NY City Civ Ct Act § 204). Thus, plaintiff was not barred from pursuing damages for defendants' breach.

Landlord and Tenant — Lease — Acceleration Clause

2. Plaintiff landlord was not barred from collecting an amount equal to the future remaining rent owed under the acceleration clause of a commercial lease where defendants failed to cure violations, vacated the premises and defaulted on the rent, notwithstanding that plaintiff had terminated the lease and retaken possession of the premises. *Fifty States Mgt. Corp. v Pioneer Auto Parks* (46 NY2d 573 [1979]), which concluded that a lease term providing for accelerated rent upon a tenant's default in rent payment, as a condition of the tenant's continued possession of the property, is enforceable absent a claim of fraud, exploitive overreaching or unconscionable conduct, does not prohibit a landowner from claiming accelerated rental payments when the landowner terminates the lease and retakes possession.

Landlord and Tenant — Lease — Acceleration Clause

3. In an action by plaintiff landlord seeking rent arrears and an amount equal to the future remaining rent owed under the acceleration clause of a commercial lease that plaintiff terminated after defendants failed to cure violations, vacated the premises and defaulted on the rent, the acceleration

clause was not per se invalid as an unconscionable penalty. Where a lease provides for acceleration as a result of a breach of any of its terms, however trivial or inconsequential, such provision is likely to be considered an unconscionable penalty and will not be enforced. That rule, which addresses, in part, the inequities of damages disproportionate to the losses incurred as a result of a tenant's collateral or minor breach, was inapplicable to defendants here, who committed material breaches of the lease by ceasing all rent payments and simultaneously abandoning the premises.

Landlord and Tenant — Landlord's Duty to Mitigate Damages — Termination of Commercial Lease — Acceleration Clause

4. In an action by plaintiff landlord seeking rent arrears and an amount equal to the future remaining rent owed under the acceleration clause of a commercial lease that plaintiff terminated after defendants failed to cure violations, vacated the premises and defaulted on the rent, plaintiff had no duty to mitigate damages by reletting or attempting to relet the abandoned premises. Once a tenant abandons the property prior to expiration of the lease, a landlord is within its rights under New York law to do nothing and collect the full rent due under the lease. Parties in business transactions depend on the certainty of settled rules, particularly in the area of real property. Here, the parties freely agreed to bind defendants to pay rent after termination of the landlord-tenant relationship.

Landlord and Tenant — Lease — Acceleration Clause — Liquidated Damages Disproportionate to Actual Loss

5. In an action by plaintiff landlord seeking rent arrears and an amount equal to the future remaining rent owed under the acceleration clause of a commercial lease that plaintiff terminated after defendants failed to cure violations, vacated the premises and defaulted on the rent, Supreme Court erred in denying defendants the opportunity to present evidence in support of their contention that the undiscounted acceleration of all future rents was disproportionate to plaintiff's actual losses and, therefore, an unlawful penalty, notwithstanding that the landowner had possession and no obligation to mitigate. Whether a provision in an agreement is an enforceable liquidation of damages or an unenforceable penalty is a question of law, giving due consideration to the nature of the contract and the circumstances. Where the party seeking to avoid liquidated damages establishes that the stated liquidated damages are, in fact, a penalty, the proper recovery is the amount of actual damages established by the party. Here, defendants had a compelling argument that where the acceleration clause permitted plaintiff to hold possession and immediately collect all rent due, it was a windfall that allowed plaintiff to double dip.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

- AM JUR 2d, Judgments §§ 463, 521, 523, 534, 556, 577, 630, 637-638; AM JUR 2d, Landlord and Tenant §§ 277, 583-584, 642, 648, 865, 870, 884; AM JUR 2d, Pleading §§ 311, 315, 334.
- CARMODY-WAIT 2d, Judgments § 63:454; CARMODY-WAIT 2d, Summary Proceedings to Recover Possession of Real Property §§ 90:17, 90:38, 90:116, 90:160, 90:194, 90:197, 90:215-90:216, 90:229.

DOLAN, RASCH'S NEW YORK LANDLORD AND TENANT INCLUDING SUMMARY PROCEEDINGS (4th ed) §§ 30:59, 32:13, 40:3, 43:33, 45:20–45:25, 45:32–45:34, 47:12.

NY JUR 2d, Courts and Judges §§ 841, 857, 870; NY JUR 2d, Judgments § 398; NY JUR 2d, Landlord and Tenant § 346; NY JUR 2d, Real Property—Possessory and Related Actions §§ 106, 109, 111, 163, 166, 247, 254–255, 286, 436.

ANNOTATION REFERENCE

See ALR Index under Contracts; Holdover Tenants; Landlord and Tenant; Res Judicata.

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Query: res /3 judicata! & rent /3 arrear!

POINTS OF COUNSEL

Herzfeld & Rubin, P.C., New York City (*Linda M. Brown* and *David B. Hamm* of counsel), for appellants. I. The Appellate Division's decision conflicts with precedent from this Court and from other Departments of the Appellate Division, which hold that an acceleration clause should not be enforced when the landlord terminates the lease and repossesses the property. (*Fifty States Mgt. Corp. v Pioneer Auto Parks*, 46 NY2d 573; *Benderson v Poss*, 142 AD2d 937; *International Publs. v Matchabelli*, 260 NY 451; *Gotlieb v Taco Bell Corp.*, 871 F Supp 147; *Vanguard Commercial Leasing Corp. v Dayanzadeh*, 147 AD2d 557; *Stats, LLC v Elevation, Inc.*, 2008 NY Slip Op 32449[U]; *Fairfield Lease Corp. v Marsi Dress Corp.*, 60 Misc 2d 363; *Ring v Printmaking Workshop, Inc.*, 70 AD3d 480; *Holy Props. v Cole Prods.*, 87 NY2d 130; *Gallery at Fulton St., LLC v Wendnew LLC*, 30 AD3d 221.) II. The Appellate Division's decision conflicts with precedent from this Court and from the other Departments of the Appellate Division, which hold that an acceleration clause will not be enforced when it is disproportionate to the plaintiff's probable loss. (*Truck Rent-A-Ctr. v Puritan Farms 2nd*, 41 NY2d 420; *Fifty States Mgt. Corp. v Pioneer Auto Parks*, 46 NY2d 573; *Benderson v Poss*, 142 AD2d 937; *International Publs. v Matchabelli*, 260 NY 451; *Gotlieb v Taco Bell Corp.*, 871 F Supp 147; *Frontier Leasing Corp. v Griffin Petroleum Inc.*, 172 F Supp 2d 1172; *Heller Fin., Inc. v Burry*, 633 F Supp 706.) III. The acceleration clause is unenforceable for the further reason that there is no corresponding duty of the

landlord to mitigate. (*Ross Realty v V & A Iron Fabricators, Inc.*, 5 Misc 3d 72; *Holy Props. v Cole Prods.*, 87 NY2d 130; *American Capital Access Serv. Corp. v Muessel*, 28 AD3d 395; *Delvecchio v Bayside Chrysler Plymouth Jeep Eagle*, 271 AD2d 636; *Bank One, Tex., N.A. v Prudential Ins. Co. of Am.*, 878 F Supp 943; *International Publs. v Matchabelli*, 260 NY 451.) IV. Plaintiff's claims are barred by res judicata. (*Matter of Hunter*, 4 NY3d 260; *Jones v Gianferante*, 305 NY 135; *1422 Corp. v Rosenfeld*, 44 AD3d 451; *Licini v Graceland Florist, Inc.*, 32 AD3d 825; *Ross Realty v v & A Fabricators, Inc.*, 42 AD3d 246; *European Am. Bank & Trust Co. v Boyd*, 131 AD2d 629; *Dart Assoc. v Ste-Con Corp.*, 66 AD2d 973.)

Cox Padmore Skolnik & Shakarchy LLP, New York City (Noah B. Potter, Steven D. Skolnik and Sanford Hausler of counsel), for respondent. I. Judgment enforcing the acceleration clause is appropriate because appellants failed to meet their burden of proof. (*Truck Rent-A-Ctr. v Puritan Farms 2nd*, 41 NY2d 420; *Tenber Assoc. v Bloomberg L.P.*, 51 AD3d 573.) II. This Court should protect freedom of contract by rejecting the extreme changes proposed by defendants. (*Truck Rent-A-Ctr. v Puritan Farms 2nd*, 41 NY2d 420; *Fifty States Mgt. Corp. v Pioneer Auto Parks*, 46 NY2d 573; *International Publs. v Matchabelli*, 260 NY 451; *Olim Realty Corp. v Big John's Moving*, 250 AD2d 744; *Gallery at Fulton St., LLC v Wendnew LLC*, 30 AD3d 221; *Holy Props. v Cole Prods.*, 87 NY2d 130; *Parsons & Whittemore v 405 Lexington*, 299 AD2d 156; *Long Is. R.R. Co. v Northville Indus. Corp.*, 41 NY2d 455; *Benderson v Poss*, 142 AD2d 937; *Crown IT Servs., Inc. v Koval-Olsen*, 11 AD3d 263.) III. Appellants' own legal authority shows that plaintiff's claim is not barred by res judicata. (*Gotlieb v Taco Bell Corp.*, 871 F Supp 147; *Benderson v Poss*, 142 AD2d 937; *Vanguard Commercial Leasing Corp. v Dayanzadeh*, 147 AD2d 557; *Stats, LLC v Elevation, Inc.*, 2008 NY Slip Op 32449[U]; *Fairfield Lease Corp. v Marsi Dress Corp.*, 60 Misc 2d 363; *Truck Rent-A-Ctr. v Puritan Farms 2nd*, 41 NY2d 420; *New 24 W. 40th St. LLC v XE Capital Mgt., LLC*, 104 AD3d 513; *Gannett Suburban Newspapers v El-Kam Realty Co.*, 306 AD2d 312; *Olim Realty Corp. v Big John's Moving*, 250 AD2d 744; *Ring v Printmaking Workshop, Inc.*, 70 AD3d 480.)

OPINION OF THE COURT

RIVERA, J.

This appeal involves a dispute over future rental payments sought under an acceleration clause from an out-of-possession

tenant after termination of the leasehold agreement. The Appellate Division affirmed an order of Supreme Court which granted the landowner plaintiff summary judgment on the issue of liability, and affirmed a judgment for damages in accordance with the parties' stipulation. We conclude that the acceleration clause is not per se invalid merely because the landowner terminated the lease and the tenant is no longer in possession. However, defendants should have been permitted to present evidence in support of their contention that the undiscounted acceleration of all future rents constitutes an unlawful penalty. Therefore, we remit for a hearing, limited to that issue.

Real property owner, plaintiff 172 Van Duzer Realty Corp. (Van Duzer), and tenant, defendant Globe Alumni Student Assistance Association, Inc. (Association), entered into a one-year commercial rental lease agreement. The lease provided that defendant Globe Institute of Technology, Inc. (Globe) would use the property as a dormitory for Globe's for-profit educational institution. Prior to the end of the one-year term, Van Duzer and the Association extended the lease for a nine-year period, and Globe signed a guarantee that it would be jointly and severally liable for the Association's obligations under the lease. Van Duzer and the Association also executed a Student Dormitory Restrictive Declaration (Declaration) with the New York City Department of Buildings indicating, among other things, that the premises would be used solely as a student dormitory.

Several months after executing the lease extension, Van Duzer sent the Association a notice to cure for failure to maintain the premises in good order, citing several violations issued by the New York City Environmental Control Board, and demanding action be taken within a month's time. The Association failed to cure, and instead vacated the premises and ceased paying rent as of February 2008. Van Duzer terminated the lease, effective March 24, 2008, with notice to the Association, and commenced an action to recover possession and past due rent. In August 2008, Civil Court awarded Van Duzer possession of the premises with a zero dollar money judgment.

In September 2009, Van Duzer commenced the present action against defendants for rent arrears and an amount equal to the future remaining rent owed on the lease. Van Duzer thereafter moved for summary judgment based on an acceleration clause in the leasehold agreement which provides that upon the tenant's default the landowner may terminate the lease, repossess the premises, and "shall be entitled to recover, as liqui-

dated damages, a sum of money equal to the total of . . . the balance of the rent for the remainder of the term.” The provision also states that “[i]n the event of Lease termination Tenant shall continue to be obligated to pay rent and additional rent for the entire Term as though th[e] Lease had not been terminated.”*

Defendants objected to summary judgment, contending Van Duzer could not collect under the acceleration clause once it terminated the lease and retook possession of the property. Defendants also asserted that *res judicata* barred Van Duzer’s damages claims because it could have obtained damages in the prior Civil Court action. Alternatively, defendants requested discovery in order to establish the lack of proportionality between Van Duzer’s claimed damages and probable loss. Van Duzer counter argued that it had difficulty finding new tenants because the premises was subject to the Declaration’s student dormitory-use limitation. With regard to the *res judicata* claim, Van Duzer alleged that Civil Court lacked jurisdiction to award damages based on the acceleration clause.

Supreme Court granted Van Duzer summary judgment on liability, finding the parties had clearly agreed that upon termination of the lease the Association would be liable for rent, and referred the matter to a Special Referee to determine damages. The court denied defendants’ request for discovery, concluding that under New York law the landowner was entitled to collect full rent due under the lease with no obligation or duty to relet, or attempt to relet, the abandoned premises in order to minimize damages. Thereafter, upon the parties’ stipulation, the court entered judgment for Van Duzer in the amount of \$1,488,604.66, consisting of the rent remaining due under the lease, reduced by the amount of rent Van Duzer was able to collect by reletting the premises between August 2008 until February 2011, plus interest.

The First Department affirmed, concluding Van Duzer made a *prima facie* showing of entitlement to accelerated rent under the terms of the lease, and defendants failed to raise a triable issue of fact as to whether the liquidated damages constituted an unenforceable penalty (102 AD3d 543 [2013]). The court also

* The parties concede that this provision permits the landowner to demand immediate payment of all future rent outstanding under the lease, rather than a right to payment as the rent becomes due. We, therefore, treat the clause as requiring rent to be paid in one lump payment, rather than in monthly installments, as would otherwise be required by the lease.

rejected defendants' res judicata claim finding such damages were unavailable in the Civil Court summary proceeding.

On appeal to us, defendants reassert their res judicata argument and their challenges to the validity of the acceleration clause, claiming what amounts to a per se rule barring accelerated rent as damages when the landowner holds rightful possession of the property. We conclude that defendants' arguments are unpersuasive except for their contention that they were entitled to a hearing on their claim that the acceleration clause constitutes a penalty.

[1] As an initial matter, we reject defendants' res judicata argument because the Civil Court was without authority to address a claim for the balance of rent due under the acceleration clause in Van Duzer's holdover proceeding (NY City Civ Ct Act § 204; *see also Ross Realty v V & A Fabricators, Inc.*, 42 AD3d 246 [2d Dept 2007]; *Marketplace v Smith*, 181 Misc 2d 440, 442-443 [Henrietta Just Ct, Monroe County 1999]). Thus, Van Duzer was not barred from pursuing damages for defendants' breach.

[2] Turning to defendants' other arguments, defendants claim that Van Duzer is barred from collecting unpaid future rents pursuant to the acceleration clause because under this Court's decision in *Fifty States Mgt. Corp. v Pioneer Auto Parks* (46 NY2d 573 [1979]), a landowner cannot claim accelerated rental payments when the landlord terminates the lease and retakes possession. Defendants' reliance on *Fifty States* is misplaced because the acceleration clause in that case was "intended to secure the tenant's obligation to" pay rent in the context of an ongoing leasehold, and the clause set the damages for a breach of that obligation (*Fifty States Mgt. Corp.*, 46 NY2d at 578). The Court concluded that a lease term providing for accelerated rent upon a tenant's default in rent payment, as a condition of the tenant's continued possession of the property, is enforceable absent a claim of "fraud, exploitive overreaching or unconscionable conduct" (*id.* at 577). Here, defendants do not argue that they want to be put back in possession. Moreover, Van Duzer sought damages in accordance with the acceleration clause after terminating the lease, once defendants defaulted and breached their leasehold obligations to maintain the property and pay rent. Thus, unlike the landowner in *Fifty States*, Van Duzer is not seeking to deploy the acceleration clause in the course of a continuing leasehold for purposes of ensuring the tenant's compliance with a material provision of the lease.

[3] Nor can defendants challenge the validity of the acceleration clause based on this Court's recognition in *Fifty States* that, "where a lease provides for acceleration as a result of a breach of any of its terms, however trivial or inconsequential, such a provision is likely to be considered an unconscionable penalty and will not be enforced by a court of equity" (*id.* at 577; see also *Seidlitz v Auerbach*, 230 NY 167, 173 [1920] [holding a lease provision providing for forfeiture of tenant's \$7,500 deposit for breach of any one of several covenants of varying importance an unenforceable penalty]; 884 *W. End Ave. Corp. v Pearlman*, 201 App Div 12 [1st Dept 1922] [holding a lease provision which entitled the landlord to accelerated rent for any one of a number of trivial breaches an unenforceable penalty], *aff'd* 234 NY 589 [1922]). That rule addresses, in part, the inequities of damages disproportionate to the losses incurred as a result of a tenant's collateral or minor breach (*Fifty States Mgt. Corp.*, 46 NY2d at 577-578). That rule continues in force, but is inapplicable to defendants, who committed material breaches of the lease by ceasing all rental payments as of February 2008 and simultaneously abandoning the premises.

[4] To the extent defendants suggest that a landowner should be subject to a duty to mitigate, we previously rejected this argument in *Holy Props. v Cole Prods.* (87 NY2d 130 [1995]). In that case the Court stated that once a tenant abandons the property prior to expiration of the lease, a "landlord [is] within its rights under New York law to do nothing and collect the full rent due under the lease" (*id.* at 134, citing *Becar v Flues*, 64 NY 518 [1876], *Underhill v Collins*, 132 NY 269 [1892], and *Matter of Hevenor*, 144 NY 271 [1895]). The Court adhered to this established approach, and stated that parties in business transactions depend on the certainty of settled rules, "in real property more than any other area of the law, where established precedents are not lightly to be set aside" (*Holy Props.*, 87 NY2d at 134). We see no reason to reverse course in defendants' case, in particular where, as in *Holy Props.*, the parties here freely agreed to bind defendants to pay rent after termination of the landlord-tenant relationship (*id.* at 134, citing *International Publs. v Matchabelli*, 260 NY 451, 454 [1933], *Mann v Munch Brewery*, 225 NY 189, 194 [1919], and *Hall v Gould*, 13 NY 127, 133-134 [1855]).

Defendants argue, in the alternative, that the liquidated damages as future rent provided for under the acceleration clause are grossly disproportionate to Van Duzer's actual losses, and

therefore constitute an unenforceable penalty. Defendants are correct that an acceleration clause is subject to judicial scrutiny based on a challenge that it is nothing more than a means by which to exact a penalty otherwise proscribed by the law.

As a general matter parties are free to agree to a liquidated damages clause “provided that the clause is neither unconscionable nor contrary to public policy” (*Truck Rent-A-Ctr. v Puritan Farms 2nd*, 41 NY2d 420, 424 [1977], citing *Mosler Safe Co. v Maiden Lane Safe Deposit Co.*, 199 NY 479, 485 [1910]). Liquidated damages that constitute a penalty, however, violate public policy, and are unenforceable (*Truck Rent-A-Ctr.*, 41 NY2d at 424, citing *City of Rye v Public Serv. Mut. Ins. Co.*, 34 NY2d 470, 472-473 [1974]). A provision which requires damages “grossly disproportionate to the amount of actual damages provides for [a] penalty and is unenforceable” (*Truck Rent-A-Ctr.*, 41 NY2d at 424).

Whether a provision in an agreement is “an enforceable liquidation of damages or an unenforceable penalty is a question of law, giving due consideration to the nature of the contract and the circumstances” (*JMD Holding Corp. v Congress Fin. Corp.*, 4 NY3d 373, 379 [2005], citing *Mosler Safe Co.*, 199 NY at 485; *Leasing Serv. Corp. v Justice*, 673 F2d 70, 74 [2d Cir 1982]). “The burden is on the party seeking to avoid liquidated damages . . . to show that the stated liquidated damages are, in fact, a penalty” (*JMD Holding Corp.*, 4 NY3d at 380, citing *P. J. Carlin Constr. Co. v City of New York*, 59 AD2d 847 [1st Dept 1977]; *Wechsler v Hunt Health Sys., Ltd.*, 330 F Supp 2d 383, 413 [SD NY 2004]). Where a party establishes a penalty, the proper recovery is the amount of actual damages established by the party (*JMD Holding Corp.*, 4 NY3d at 380 [“ ‘If the (liquidated damages) clause is rejected as being a penalty, the recovery is limited to actual damages proven’ ”], quoting *Brecher v Laikin*, 430 F Supp 103, 106 [SD NY 1977]).

Defendants claim that because the acceleration clause permits Van Duzer to hold possession *and* immediately collect all rent due, the damages are grossly disproportionate to the landowner’s actual damages. They contend this is a windfall that allows Van Duzer to double dip—get the full rent now and hold the property. On its face this argument is compelling because arguably the ability to obtain all future rent due in one lump sum, undiscounted to present-day value, and also enjoy uninterrupted possession of the property provides the landowner with more than the compensation attendant to the losses flowing from the

breach—even though such compensation is the recognized purpose of a liquidated damages provision (*Truck Rent-A-Ctr.*, 41 NY2d at 423; see *JMD Holding Corp.*, 4 NY3d at 382; *Benderson v Poss*, 142 AD2d 937, 938 [4th Dept 1988]; *Gotlieb v Taco Bell Corp.*, 871 F Supp 147, 155 [ED NY 1994]). Although the acceleration clause in *Fifty States* was held enforceable, that case is distinguishable from the instant case because there the landlord did not get to keep the property.

[5] On the record before us it appears that the court below limited the damages hearing before the Special Referee to whether the landowner relet the premises. This was error. Defendants should have had the opportunity to present evidence that the undiscounted accelerated rent amount is disproportionate to Van Duzer’s actual losses, notwithstanding that the landowner had possession, and no obligation to mitigate.

Accordingly, the order of the Appellate Division should be modified, without costs, by remitting to Supreme Court for further proceedings in accordance with this opinion and, as so modified, affirmed.

Chief Judge LIPPMAN and Judges READ, SMITH and PIGOTT concur; Judge ABDUS-SALAAM dissents and votes to affirm for reasons stated in the memorandum at the Appellate Division (102 AD3d 543 [2013]).

Order modified, without costs, and case remitted to Supreme Court, New York County, for further proceedings in accordance with the opinion herein and, as so modified, affirmed.

[25 NE3d 928, 2 NYS3d 15]

SUE/PERIOR CONCRETE & PAVING, INC., Respondent, v LEWISTON
GOLF COURSE CORPORATION, Appellant, et al., Defendants.

Argued October 22, 2014; decided November 25, 2014

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Fourth Judicial Department, from an order of that Court, entered June 14, 2013. The Appellate Division modified, on the law, so much of an order of the Supreme Court, Niagara County (Catherine R. Nugent Panepinto, J.), as had denied the motion of defendant Lewiston Golf Course Corporation, Seneca Niagara Falls Gaming Corporation, Seneca Gaming Corporation and the individual officers and directors thereof to dismiss the first amended complaint. The modification consisted of granting defendants' motion in part and dismissing the third cause of action for breach of the implied covenant of good faith and fair dealing. The Appellate Division affirmed the order as modified. The following question was certified by the Appellate Division: "Was the order of this Court entered June 14, 2013, properly made?"

Sue/Perior Concrete & Paving, Inc. v Lewiston Golf Course Corp., 109 AD3d 80, affirmed.

HEADNOTE

Native Americans — Sovereign Immunity of Tribe — Corporate Affiliate of Tribe as "Arm" of Tribe — No Sovereign Immunity in Absence of Financial Relationship between Tribe and Corporate Affiliate

Defendant corporation—an indirect, wholly owned subsidiary of a federally recognized Indian tribe created to develop, finance, operate and conduct the business of a golf course intended to serve as an amenity to the tribe's local casino operations—was not protected from suit by the tribe's sovereign immunity as the most significant factors used in determining if a corporation or agency affiliated with a tribe is an "arm" of the tribe—those considering the financial relationship between the corporation or agency and the tribe—counted against sovereign immunity. The primary purpose of creating the golf course was to act as a regional economic engine and thereby serve the profit-making interests of the tribe's casino operations in the area, which was sufficiently different from the tribal government's goals of promoting tribal welfare on its reservations as to militate against defendant's claim of sovereign immunity. Further, the tribe did not have legal title or ownership of the golf course being developed by defendant. Most significantly, the record firmly indicated the intent to ensure that a suit against defendant would not impact the tribe's fiscal resources, all the evidence in the record pointed to the conclusion that defendant lacked the power to bind or obligate tribal funds, defend-

ant concededly generated its own revenue and defendant's financial obligations were assumed by it and any liability insurer, not by the tribe.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Indians; Native Americans §§ 9, 154.
NY JUR 2d, Indians § 3.

ANNOTATION REFERENCE

See ALR Index under Indians.

FIND SIMILAR CASES ON WESTLAW®

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POINTS OF COUNSEL

Hobbs, Straus, Dean & Walker, LLP, Portland, Oregon (*Edmund C. Goodman* of counsel), and *Phillips Lytle LLP*, Buffalo (*Michael B. Powers, Sean C. McPhee* and *Alan M. Wishnoff* of counsel), for appellant. I. The Appellate Division improperly placed the burden on Lewiston Golf Course Corporation to prove that it was a sovereign arm of the Seneca Nation of Indians. (*Spectra Prods. v Indian Riv. Citrus Specialties*, 144 AD2d 832; *Alvarado v Table Mtn. Rancheria*, 509 F3d 1008.) II. Lewiston Golf Course Corporation, like the other Seneca Nation of Indians entities created in furtherance of the Seneca Nation's gaming operations, possesses the Nation's sovereign immunity as an arm of the Nation. (*Matter of Ransom v St. Regis Mohawk Educ. & Community Fund*, 86 NY2d 553; *Santa Clara Pueblo v Martinez*, 436 US 49; *Matter of Patterson v Seneca Nation*, 245 NY 433; *Kiowa Tribe of Okla. v Manufacturing Technologies, Inc.*, 523 US 751; *Oklahoma Tax Comm'n v Citizen Band of Pottawatomie Tribe of Okla.*, 498 US 505; *Pink v Modoc Indian Health Project, Inc.*, 157 F3d 1185; *Barker v Menominee Nation Casino*, 897 F Supp 389; *Bassett v Mashantucket Pequot Tribe*, 204 F3d 343; *Warren v United States*, 859 F Supp 2d 522; *Myers v Seneca Niagara Casino*, 488 F Supp 2d 166.) III. Lewiston Golf Course Corporation's sovereign status is a bar to a mechanic's lien foreclosure action in New York. (*Matter of Tall Trees Constr. Corp. v Zoning Bd. of Appeals of Town of Huntington*, 97 NY2d 86; *Matter of New York State Assn. of Criminal Defense Lawyers v Kaye*, 96 NY2d 512; *Umbaugh Bldrs. v Parr Co. of Suffolk*, 86 Misc 2d 1036; *Parisi v Hubbard*, 226 App Div

280; *Spitz v Brooks & Son, Inc.*, 210 App Div 438; *United States v Alabama*, 313 US 274; *Kiowa Tribe of Okla. v Manufacturing Technologies, Inc.*, 523 US 751; *Alvarado v Table Mtn. Rancheria*, 509 F3d 1008; *Harlem Plumbing Supply Co. v Handelsman*, 40 AD2d 768; *Parisi v Hubbard*, 226 App Div 280.) IV. Sue/Perior Concrete & Paving, Inc.'s fraud claim must be dismissed because it does not exist separately from its breach of contract claim. (*Deering v Karin*, 285 AD2d 977; *Rich v Orlando*, 108 AD3d 1039; *Egan v New York Care Plus Ins. Co.*, 277 AD2d 652; *A.L. Eastmond & Sons, Inc. v Keevily, Spero-Whitelaw, Inc.*, 107 AD3d 503; *Williams Oil Co. v Randy Luce E-Z Mart One*, 302 AD2d 736; *Non-Linear Trading Co. v Braddis Assoc.*, 243 AD2d 107; *Freyne v Xerox Corp.*, 98 AD2d 965; *Charles v Onondaga Community Coll.*, 69 AD2d 144; *New York Univ. v Continental Ins. Co.*, 87 NY2d 308.)

Duke, Holzman, Photiadis & Gresens LLP, Buffalo (Gregory P. Photiadis and Elizabeth A. Kraengel of counsel), for respondent. I. The Appellate Division properly placed the burden of proof to establish that Lewiston Golf Course Corporation is an "arm" of the Seneca Nation of Indians on Lewiston Golf Course Corporation as the entity seeking to cloak itself with tribal immunity from suit. (*Gristede's Foods, Inc. v Unkechuage Nation*, 660 F Supp 2d 442; *Spectra Prods. v Indian Riv. Citrus Specialties*, 144 AD2d 832; *Alvarado v Table Mtn. Rancheria*, 509 F3d 1008; *Seneca Nation of Indians v State of New York*, 26 F Supp 2d 555, 178 F3d 95; *Garcia v Akwesasne Hous. Auth.*, 268 F3d 76.) II. Lewiston Golf Course Corporation is not cloaked with the Seneca Nation of Indians's sovereign immunity from suit. (*Matter of Ransom v St. Regis Mohawk Educ. & Community Fund*, 86 NY2d 553; *Dillon v Yankton Sioux Tribe Hous. Auth.*, 144 F3d 581; *Hagen v Sisseton-Wahpeton Community Coll.*, 205 F3d 1040; *Pink v Modoc Indian Health Project, Inc.*, 157 F3d 1185; *Breakthrough Mgt. Group, Inc. v Chukchansi Gold Casino & Resort*, 629 F3d 1173; *Dole Food Co. v Patrickson*, 538 US 468; *Filler v Hanvit Bank*, 378 F3d 213; *In re Ski Train Fire in Kaprun, Austria on Nov. 11, 2000*, 198 F Supp 2d 420; *Ocean Line Holdings Ltd. v China Natl. Chartering Corp.*, 578 F Supp 2d 621; *Allen v Gold Country Casino*, 464 F3d 1044.) III. Even if Lewiston Golf Course Corporation may invoke the Seneca Nation of Indians's sovereign immunity from suit, the mechanic's lien foreclosure action may proceed because New York courts have in rem jurisdiction over the golf course property. (*Pennoyer v Neff*, 95 US 714; *Parisi v Hubbard*, 226 App Div 280; *Burroughs v Tostevan*, 75 NY 567; *Kane Co. v Kinney*, 174 NY 69;

Hope v Shevill, 137 App Div 86, 204 NY 563; *Sillman v Twentieth Century-Fox Film Corp.*, 3 NY2d 395; *Cody v Turn Verein*, 48 App Div 279, 167 NY 607; *Onondaga Sav. Bank v Cale Dev. Co.*, 63 AD2d 415; *Shaffer v Heitner*, 433 US 186; *Central Va. Community College v Katz*, 546 US 356.) IV. Sue/Perior Concrete & Paving, Inc.'s cause of action for fraud is not duplicative of its breach of contract cause of action. (*First Bank of Ams. v Motor Car Funding*, 257 AD2d 287; *Eagle Comtronics v Pico Prods.*, 256 AD2d 1202.)

Christopher Karns, General Counsel, Seneca Nation of Indians Department of Justice, Salamanca (Owen Herne of counsel), *Godfrey & Kahn, S.C.*, Milwaukee, Wisconsin (Brian L. Pierson of counsel), and *Harter Secrest & Emery LLP*, Buffalo (John G. Horn of counsel), for Seneca Nation of Indians, amicus curiae. I. *The Matter of Ransom v St. Regis Mohawk Educ. & Community Fund* (86 NY2d 553 [1995]) decision does not compel application of a multifactor test. (*Seaport Loan Prods., LLC v Lower Brule Community Dev. Enter. LLC*, 41 Misc 3d 1218[A], 2013 NY Slip Op 51765[U]; *Alzheimer & Gray v Sioux Mfg. Corp.*, 983 F2d 803; *Pueblo of Santa Ana v Hodel*, 663 F Supp 1300.) II. Federal law supports a simple, two-part test to determine the immunity of a tribal entity. (*Kiowa Tribe of Okla. v Manufacturing Technologies, Inc.*, 523 US 751; *Mescalero Apache Tribe v Jones*, 411 US 145; *Inyo County v Paiute-Shoshone Indians of Bishop Community of Bishop Colony*, 538 US 701; *Breakthrough Mgt. Group, Inc. v Chukchansi Gold Casino & Resort*, 629 F3d 1173; *Native Am. Distrib. v Seneca-Cayuga Tobacco Co.*, 546 F3d 1288; *Somerlott v Cherokee Nation Distribs., Inc.*, 686 F3d 1144; *Miner Elec., Inc. v Muscogee [Creek] Nation*, 505 F3d 1007; *Panama R. Co. v Curran*, 256 F 768; *Allen v Gold Country Casino*, 464 F3d 1044; *Cook v AVI Casino Enters., Inc.*, 548 F3d 718.) III. Lewiston Golf Course Corporation enjoys the Seneca Nation of Indians's sovereign immunity from suit under the proposed two-part test.

OPINION OF THE COURT

PIGOTT, J.

Defendant Lewiston Golf Course Corporation (Lewiston Golf) is an indirect, wholly owned subsidiary of the Seneca Nation of Indians, a federally recognized Indian tribe. We are asked to decide whether that corporation is protected from suit by the Seneca Nation's sovereign immunity. Applying the factors set out in *Matter of Ransom v St. Regis Mohawk Educ. & Community Fund* (86 NY2d 553 [1995]), we hold that it is not.

I.

In 2002, the Seneca Nation's legislative body, the Tribal Council, granted a corporate charter to Seneca Gaming Corporation (Seneca Gaming), under the laws of the Seneca Nation, to develop, finance, operate and maintain gaming facilities. Seneca Gaming is wholly owned by the Seneca Nation. In the same year, again under the laws of the Seneca Nation, the Tribal Council granted a corporate charter to Seneca Niagara Falls Gaming Corporation (Seneca Niagara), created as a wholly owned subsidiary of Seneca Gaming, to develop, finance, operate and conduct the business of the Nation's gaming operations in Niagara County specifically. Seneca Gaming and Seneca Niagara are two of the most financially successful revenue-producing assets of the Seneca Nation.

Lewiston Golf was incorporated in June 2007, under the laws of the Seneca Nation, as a wholly owned subsidiary of Seneca Niagara, to develop, finance, operate and conduct the business of an 18-hole golf course in the Town of Lewiston. The following month, it acquired real property from Seneca Niagara, on which to construct the golf course. The property is not part of any Indian reservation and is not sovereign land.

As Lewiston Golf's predecessor had explained in its application to Niagara County Industrial Development Agency for tax abatements and deferrals,¹ it was "looking to create a championship level public/semi-private golf course offering the millions of visitors [to] the Niagara Falls region and the patrons of the Seneca Niagara Casino & Hotel a new tourist destination project that will attract golf enthusiasts from Canada and the United States[,] and to capitalize on the growing tourist market, which will create new jobs and allow for prolonged stays in the area."

In resolving to authorize the creation of Lewiston Golf, the Tribal Council stated that

"the Lewiston Golf Course [would] be developed and operated as an amenity to [Seneca Niagara]'s casino operations, together with the casino's lodging, dining, retail and entertainment amenities, the

1. The application was approved, and eventually Lewiston Golf and the Niagara County Industrial Development Agency entered into a payment-in-lieu-of-tax agreement, providing for Lewiston Golf to make payments in lieu of taxes, as well as a lease agreement and leaseback agreement. In this manner, Lewiston Golf was granted certain exemptions from real property and sales taxes.

purpose of which amenities is to enhance the overall success and profitability of the casino's operations consistent with the powers described in [Seneca Niagara]'s charter and the purposes for which [Seneca Niagara] was formed . . .

“[T]he use of a separate corporation or legal entity to own and operate the Lewiston Golf Course is advisable due to various legal and accounting considerations, including the status of the Lewiston Golf Course as an off-territory business venture of the Nation, subject to legal, tax and other requirements that are not applicable to the Nation's on-territory business . . .

“[T]he Nation desires to establish Lewiston Golf . . . as a separate legal entity, governmental instrumentality of the Nation, and wholly-owned subsidiary of [Seneca Niagara], for the purpose of developing and operating the Lewiston Golf Course in the Town of Lewiston, New York, and legally doing business in such jurisdictions.”

Lewiston Golf's charter describes in detail the nature of the relation between it and the Seneca Nation. The charter provides that

- “[n]o activity of [Lewiston Golf] nor any indebtedness incurred by it shall encumber, implicate or in any way involve assets of the Nation or another Nation Entity not assigned or leased in writing to [Lewiston Golf]”
- “the Nation shall not be liable for the debts or obligations of [Lewiston Golf], and [Lewiston Golf] shall have no power to pledge or encumber the assets of the Nation”
- “[t]he Obligations of [Lewiston Golf] shall not be a debt of the Nation or of [Seneca Gaming] or any other Nation-chartered Gaming corporation” and
- “[Lewiston Golf] shall not have . . . any power . . . to borrow or lend money on behalf of the Nation, or to grant or permit or purport to grant or permit any right, lien, encumbrance or interest in or on any of the assets of the Nation.”

On the other hand, the Boards of Directors of Lewiston Golf, Seneca Gaming, and Seneca Niagara are identical, are appointed by the Tribal Council, and during this dispute were composed entirely of enrolled members of the Seneca Nation. Lewiston Golf, like Seneca Gaming and Seneca Niagara, is required by its

charter to obtain approval from the Seneca Nation before undertaking significant expenditures of resources or personal property; adopting, amending, or repealing corporate bylaws; providing significant guarantees or incurring significant liabilities; lending money to other Seneca Nation entities; buying, selling, or encumbering real property; entering into financing arrangements involving securities; or entering into, performing, or canceling contracts with any government or government agency. Lewiston Golf, like Seneca Gaming and Seneca Niagara, must keep detailed corporate and financial records and submit for the Seneca Nation's approval an annual statement of its financial condition. And Lewiston Golf, once again like Seneca Gaming and Seneca Niagara, is required to receive consent from the Seneca Nation before taking such legal actions as commencing a lawsuit, consenting to a court's jurisdiction, or waiving a claim to sovereign immunity.

II.

In the summer of 2007, plaintiff Sue/Perior Concrete & Paving, Inc. (Sue/Perior) entered into a contract with Lewiston Golf, whereby Sue/Perior would build a golf course on the property, for the sum of \$12,700,000. However, the business relationship between Sue/Perior and Lewiston Golf deteriorated in 2009. Sue/Perior demanded payment of certain bills; Lewiston Golf insisted that Sue/Perior was seeking remuneration for work not done or exaggerating its costs. Sue/Perior filed mechanic's liens, the third of which is in the amount of \$4,130,538, for materials furnished and labor performed.

Sue/Perior commenced this foreclosure action against Lewiston Golf and other defendants in June 2010, with respect to that mechanic's lien. Lewiston Golf counterclaimed for willfully exaggerated lien, fraud, breach of contract, and unjust enrichment. Sue/Perior subsequently amended its complaint to add additional defendants—Seneca Niagara, Seneca Gaming, and 15 corporate officers and directors—and to assert additional causes of action for breach of contract, breach of implied covenant of good faith and fair dealing, quantum meruit, promissory estoppel, and fraud.²

2. Sue/Perior also commenced a separate action against Seneca Gaming, Seneca Niagara, and certain individual defendants—but not Lewiston Golf—alleging tortious interference with contract, tortious interference with prospective business advantage, concerted action, and prima facie tort (punitive

(n. cont'd)

Seneca Niagara, Seneca Gaming, Lewiston Golf and the individual defendants moved to dismiss Sue/Perior’s complaint pursuant to CPLR 3211, alleging protection from suit under the sovereign immunity of the Seneca Nation. Supreme Court denied the motion to dismiss, ruling, as pertinent here, that Lewiston Golf did not qualify as an “arm” of the Seneca Nation. Lewiston Golf appealed. For its part, Sue/Perior withdrew claims against all defendants except Lewiston Golf.

The Appellate Division affirmed Supreme Court’s order, as modified in a manner not relevant here (109 AD3d 80 [4th Dept 2013]). In ruling that Lewiston Golf lacked sovereign immunity, the Appellate Division relied on our decision in *Matter of Ransom*. There, we set out factors for courts to consider when deciding whether a tribal subagency or a corporate entity affiliated with an Indian tribe is entitled to sovereign immunity, as the tribe itself is. The Appellate Division found that most of the *Ransom* factors, and in particular those that the *Ransom* court “characterized as the ‘[m]ore important[]’ financial factors, weigh in favor of a determination that [Lewiston Golf] does not share in the Nation’s sovereign immunity” (109 AD3d at 88, quoting *Ransom*, 86 NY2d at 559 [some brackets in Appellate Division opinion]). The Appellate Division noted, for example, that “[Lewiston Golf]’s charter clearly provides that [Lewiston Golf] has no power to bind or otherwise obligate the funds of the Nation” and that “the record is devoid of evidence that a lawsuit against [Lewiston Golf] would adversely impact the Nation’s treasury either directly or indirectly” (109 AD3d at 91).

With respect to the non-financial factor comparing Lewiston Golf’s purposes with those of the Nation, the Appellate Division found that statements by the Tribal Council and the documents Lewiston Golf submitted to the Industrial Development Agency in support of its request for economic assistance

“reflect that the purpose of [Lewiston Golf] . . . is several steps removed from the purposes of tribal government . . .

“[T]he central purpose of the golf course project was not to provide funds for traditional governmental programs or services but, rather, was to serve as a regional economic engine . . .

damages). The Appellate Division dismissed Sue/Perior’s complaint (*Sue/Perior Concrete & Paving, Inc. v Seneca Gaming Corp.*, 99 AD3d 1203 [4th Dept 2012]). We take no position on whether that appeal was properly decided.

“Notably absent is any reference to improving the quality of life on reservation lands, creating jobs for Native Americans living on the reservation, or generating funds to support educational, social, or other government-related programs for tribal members” (*id.* at 89-90).

Finally, the Appellate Division observed “that declining to extend sovereign immunity to [Lewiston Golf] under the circumstances of this case will not diminish the policies underlying tribal sovereign immunity. . . . Here, permitting [Lewiston Golf] to retreat behind the Nation’s cloak of sovereign immunity after it held itself out as an independent, market-participating entity subject to the jurisdiction of the State of New York, including its courts, would discourage non-Indians from entering into business relationships with the Nation’s corporations, which may well retard the Nation’s economic growth and undermine one of the purposes of its sovereign immunity” (109 AD3d at 92 [internal quotation marks, citation and brackets omitted]).

The Appellate Division granted Lewiston Golf leave to appeal to this Court, certifying the question whether its order was properly made. We now affirm and answer the certified question in the affirmative.

III.

Indian tribes possess the common-law immunity from suit traditionally enjoyed by sovereign powers, unless waived. In *Matter of Ransom*, we set out several factors³ for courts to use to determine whether an entity, such as a corporation or agency, that is affiliated with an Indian tribe has the right to claim sovereign immunity against suit.

“Although no set formula is dispositive, in determining whether a particular tribal organization is an ‘arm’ of the tribe entitled to share the tribe’s immunity from suit, courts generally consider such factors as whether: [1] the entity is organized under

3. Some commentators justifiably refer to our “nine factors” (*see e.g.* Gregory J. Wong, Note & Comment, *Intent Matters: Assessing Sovereign Immunity for Tribal Entities*, 82 Wash L Rev 205, 220 [2007]), but the last two, or last three, factors have often been treated as one by courts citing *Ransom*, generating an eight-factor or seven-factor test (*see e.g.* *Seneca Niagara Falls Gaming Corp. v Klewin Bldg. Co., Inc.*, 2005 WL 3510348, 2005 Conn Super LEXIS 3295 [Jud Dist of New London 2005, No. KNL-CV-05-4004218-S]). We too treat the last three factors as closely interrelated.

the tribe's laws or constitution rather than Federal law; [2] the organization's purposes are similar to or serve those of the tribal government; [3] the organization's governing body is comprised mainly of tribal officials; [4] the tribe has legal title or ownership of property used by the organization; [5] tribal officials exercise control over the administration or accounting activities of the organization; and [6] the tribe's governing body has power to dismiss members of the organization's governing body. More importantly, courts will consider whether [7] the corporate entity generates its own revenue, whether [8] a suit against the corporation will impact the tribe's fiscal resources, and whether [9] the subentity has the power to bind or obligate the funds of the tribe. The vulnerability of the tribe's coffers in defending a suit against the subentity indicates that the real party in interest is the tribe." (*Ransom*, 86 NY2d at 559-560 [internal quotation marks, citations and brackets omitted].)

Applying these factors, we held in *Ransom* that the St. Regis Mohawk Education and Community Fund—a nonprofit corporation, organized under the District of Columbia Nonprofit Corporation Act, providing educational, health care, social and historical services to residents of the St. Regis Mohawk Reservation in Franklin County—was a tribal entity that enjoyed sovereign immunity from suit. We explained that “[t]he Fund was established to enhance the health, education and welfare of Tribe members, a function traditionally shouldered by tribal government. Additionally, the Fund received its resources from the Tribe, and the Tribe was designated by the Fund as the recipient of its funds and services. Critically, under its by-laws, the Fund’s governing body may only be comprised of elected Chiefs of the Tribe. Thus, the Fund’s provision of social services on behalf of and under the direct fiscal and administrative control of the Tribe renders it an entity so closely allied with and dependent upon the Tribe that it is entitled to the protection of tribal sovereign immunity” (*id.* at 560).

We begin our discussion of the present appeal with the functions or purposes factor. The question is whether Lewiston Golf’s purposes are similar to, or serve, those of the Seneca Nation. The Appellate Division reasoned that Lewiston Golf’s purposes are significantly different from those of tribal govern-

ment, because Lewiston Golf has functioned to develop an amenity outside the Seneca Nation's reservation land that would serve as a regional economic engine, not to promote tribal welfare on the reservation directly.

Lewiston Golf and the dissent rely on *Kiowa Tribe of Okla. v Manufacturing Technologies, Inc.* (523 US 751 [1998]), in which the Supreme Court of the United States held that “[t]ribes enjoy immunity from suits on contracts, whether those contracts involve governmental or commercial activities and whether they were made on or off a reservation” (523 US at 760). In *Kiowa Tribe*, a private party sued an Indian tribe for defaulting on a promissory note, and asked the courts to limit tribal immunity to suits involving conduct on reservations or involving noncommercial activities. The Supreme Court refused to create a “reservation” or a “commercial activity” exception to the doctrine of tribal sovereign immunity from suit. Recently, a sharply fractured Supreme Court declined to revisit that decision (see *Michigan v Bay Mills Indian Community*, 572 US —, 134 S Ct 2024 [2014]).

Lewiston Golf contends that it is inconsistent with *Kiowa Tribe* to treat the fact that an Indian tribe's subsidiary engages primarily in commercial activities not located on the tribe's reservation as evidence that the subsidiary is not an “arm” of the tribe. We disagree. *Kiowa* and *Bay Mills* do not apply in the present appeal, because they concerned lawsuits against Indian tribes themselves, not against corporate affiliates of tribes. They do not illuminate questions concerning whether such an entity is an “arm” of the tribe. The United States Supreme Court has never held that corporations affiliated with an Indian tribe have sovereign immunity.

As the Appellate Division notes, the primary purpose of creating the golf course in Lewiston was to act as a regional economic engine and thereby serve the profit-making interests of the Seneca Nation's casino operations in the area. While this may result in more funds for government projects on the Seneca Nation's reservations and elsewhere that benefit members of the tribe, we agree with the Appellate Division that the purposes of Lewiston Golf were sufficiently different from tribal goals that they militate against Lewiston Golf's claim of sovereign immunity. However, the purposes factor of *Ransom* is not determinative, and we proceed to discuss the other criteria. While some of the remaining *Ransom* factors favor the conclusion that Lewiston Golf is protected by sovereign immunity, the most important ones strongly support the opposite conclusion.

IV.

It is true that Lewiston Golf was organized under tribal law, not federal law, and that Lewiston Golf's governing body is comprised of tribal officials. The Seneca Nation controls Lewiston Golf's Board of Directors, which is made up exclusively of enrolled members of the Nation appointed by the Tribal Council. Moreover, it is clear from the record that tribal officials exercise control over the administration or accounting activities of Lewiston Golf, and that the tribe's governing body has power to dismiss members of Lewiston Golf's governing body. Indeed, the Tribal Council has exclusive authority to remove members of Lewiston Golf's Board. These considerations indicate that Lewiston Golf is dependent on the Seneca Nation in a manner that might suggest it partakes in the Nation's sovereign immunity.

However, all the remaining *Ransom* factors, and particularly those that consider the financial relationship between the subsidiary or agency and the Indian nation, support the conclusion that Lewiston Golf lacks sovereign immunity.

First, the Seneca Nation does not have legal title or ownership of the golf course being developed by Lewiston Golf. Contrary to the Seneca Nation's contention, the question posed by this factor is not whether Lewiston Golf is owned by the tribe. Rather, the issue is whether the property used by Lewiston Golf is owned by the tribe, and the record leaves no room for doubt that the owner of the golf course is Lewiston Golf, not the Seneca Nation.

Next, and most significantly, the record firmly indicates the intent to ensure that a suit against Lewiston Golf will not impact the Seneca Nation's fiscal resources. The founding charter provided that no indebtedness incurred by it would "in any way involve assets of the Nation," which would "not be liable for the debts or obligations" incurred by Lewiston Golf. The charter stated that Lewiston Golf would have no power to allow "any right, lien, encumbrance or interest in or on any of the assets of the Nation." All the evidence in the record points to the conclusion that Lewiston Golf lacks the power to bind or obligate the funds of the Seneca Nation.

In response, Lewiston Golf does not deny that the statements in the charter have their ordinary meaning and that the Seneca Nation intended to create a corporation for whose debts it would not be liable. Lewiston Golf does not contend that the Seneca

Nation's independent coffers are vulnerable. Rather, it argues that a lawsuit against Lewiston Golf would have an economic impact on the Seneca Nation because revenues that would otherwise be distributed to the Nation will not be available. Lewiston Golf expressly concedes that it generates its own revenue, rather than being dependent on the resources of the Seneca Nation.

Whether Lewiston Golf's revenues will become part of the Seneca Nation's resources, as Lewiston Golf emphasizes, is beside the point. The test, with respect to the financial relationship factors of *Ransom*, is not the indirect effects of any liability on the tribe's income, but rather whether the immediate obligations are assumed by the tribe. Here, the financial obligations were assumed by Lewiston Golf and any liability insurer, not by the Seneca Nation.

These financial relationship considerations are the most important of the *Ransom* factors, as we noted when we first set out the criteria (*see Ransom*, 86 NY2d at 559). In attributing such weight to them, we have taken into consideration federal precedent on the Eleventh Amendment immunity of States. While the sovereign immunity of an Indian tribe is not based on the Federal Constitution, it has in common with Eleventh Amendment immunity "a background of traditional ideas about the power and privileges of the sovereign" (*Runyon v Association of Vil. Council Presidents*, 84 P3d 437, 440 n 12 [Alaska Sup Ct 2004]; *see Thebo v Choctaw Tribe of Indians*, 66 F 372, 376 [8th Cir 1895]). In considering whether an entity is an "arm" of an Indian tribe, the most significant factor is the effect on tribal treasuries, just as "the vulnerability of the State's purse" is considered "the most salient factor" in determinations of a State's Eleventh Amendment immunity (*Hess v Port Authority Trans-Hudson Corporation*, 513 US 30, 48 [1994]).

If a judgment against a corporation created by an Indian tribe will not reach the tribe's assets, because the corporation lacks "the power to bind or obligate the funds of the tribe" (*Ransom*, 86 NY2d at 559 [internal quotation marks and brackets omitted]), then the corporation is not an "arm" of the tribe. However, if a tribe is legally responsible for a corporation's obligations, the tribe is "the real party in interest" (*id.* at 560). As the Supreme Court of Alaska has observed, in a thoughtful opinion, "a tribe might, for commercial purposes, wish to form a corporation exposed to suit in order to cultivate trust with business partners. . . . The tribes' use of the corporate form

protects their assets from being called upon to answer the corporation's debt. But this protection means that they are not the real party in interest" (*Runyon*, 84 P3d at 441; accord e.g. *American Prop. Mgt. Corp. v Superior Court*, 206 Cal App 4th 491, 506, 141 Cal Rptr 3d 802, 813-814 [4th Dist, Div 1 2012]; *Uniband, Inc. v Commissioner of Internal Revenue*, 140 TC 230, 255 [2013]; *Seaport Loan Prods., LLC v Lower Brule Community Dev. Enter. LLC*, 41 Misc 3d 1218[A], 2013 NY Slip Op 51765[U] [Sup Ct, NY County 2013]).⁴ In short, protection of a tribal treasury against liability in a corporate charter is strong evidence against the retention of sovereign immunity by the corporation.

The dissent's principal objection to our ruling is that lower courts have found that Seneca Gaming and Seneca Niagara have sovereign immunity (see dissenting op at 556-560, citing *Sue/Perior Concrete & Paving, Inc.*, 99 AD3d 1203; *Seneca Niagara Falls Gaming Corp.*, 2005 WL 3510348, 2005 Conn Super LEXIS 3295; *Warren v United States*, 859 F Supp 2d 522 [WD NY 2012], *affd* 517 Fed Appx 54 [2d Cir 2013]; *Myers v Seneca Niagara Casino*, 488 F Supp 2d 166 [ND NY 2006]). Neither this Court nor the United States Supreme Court has so held, and our decision today may imply the opposite. As noted above, the question whether a corporate affiliate of an Indian tribe is protected by the tribe's sovereign immunity has not been settled by the United States Supreme Court.⁵ Therefore, even assuming that it is a pure question of federal law, we remain at liberty to answer it in a manner that may conflict with the determinations of courts in our federal circuit. Contrary to the dissent, New York State courts are not bound by the decisions of federal courts, other than the United States Supreme Court, on questions of federal constitutional law (see Arthur Karger, Powers of the New York Court of Appeals § 1:8 at 18 [3d ed rev 2005]). It is well-established that "the interpretation of a Federal constitutional question by the lower Federal courts may serve as useful and persuasive authority for our Court *while not binding us*. This Court in its long-standing tradition and indepen-

4. While the Alaska Supreme Court's opinion concerned a nonprofit corporation shielding members from liability under state law, not tribal law, its analysis is equally pertinent here in that the Seneca Nation created a corporation with a charter expressly protecting the Nation from liability.

5. Nor has it been addressed by the United States Court of Appeals for the Second Circuit, which treated the question cursorily in a summary order that lacks precedential force (517 Fed Appx 54 [2013]; see Local Rules of 2d Cir rule 32.1.1 [a] [providing that decisions "by summary order do not have precedential effect"]).

dent responsibility has exercised its correlative adjudicative power on questions of Federal law” (*People v Kin Kan*, 78 NY2d 54, 60 [1991] [citation omitted and emphasis added], citing *New York R.T. Corp. v City of New York*, 275 NY 258, 265 [1937] [noting that a decision of the Second Circuit, “while entitled to great weight, is not binding on this court”], *affd* 303 US 573 [1938]; *see also e.g. People v Konstantinides*, 14 NY3d 1, 13 [2009]; *Matter of Mason [State Commn. on Jud. Conduct]*, 100 NY2d 56, 58 [2003]). The same principle applies here.

Alternatively, it could be argued that Seneca Gaming and Seneca Niagara are distinguishable from Lewiston Golf in that their purposes are more closely aligned with those of the Seneca Nation. In any case, that question is not before us, and the dissent simply begs the question, assuming—what has not been held by this Court or the Supreme Court—that Lewiston Golf’s corporate parents have sovereign immunity.

In conclusion, we agree with the Appellate Division that the most significant *Ransom* factors count against sovereign immunity on the part of Lewiston Golf. Its ruling was proper. It is unnecessary for us to address the parties’ remaining contentions.

Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question answered in the affirmative.

RIVERA, J. (dissenting). The question on this appeal is whether a corporate subsidiary of a corporation owned and controlled by an Indian Tribe, and which exists solely for the economic benefit of the Tribe and its members, is immune from private suit based on the Tribe’s sovereign immunity. I can find no rational legal basis to distinguish between the corporate parent, which is a recognized arm of the Tribe, and its subsidiary. Therefore, I would find the subsidiary is immune from suit.

I.

The Seneca Nation of Indians (the Nation) is a sovereign Tribe, predating the creation of the United States, with its own government, laws and cultural identity (*see* Indian Entities Recognized and Eligible to Receive Services from the United States Bureau of Indian Affairs, 79 Fed Reg 4748-02 [2014]; *Seneca Nation of Indians v State of New York*, 26 F Supp 2d 555, 560 [WD NY 1998], *affd* 178 F3d 95 [2d Cir 1999]). As a tribal sovereign it provides its members with various health and

education-related services and programs, which are dependent on the Nation's financial stability and well-being. The Nation has identified the gaming industry as "vitally important to the economy of the Nation and the general welfare of its members" (Seneca Gaming Corporate Charter Law Enactment, Council of the Seneca Nation of Indians, Aug. 1, 2002). As part of its economic development activities it has created and chartered, under the Nation's corporate charter, three interlocking corporate entities, intended to further the Nation's gaming operations, all for the benefit of its members.

The Nation created the Seneca Gaming Corporation (Seneca Gaming) to "finance, develop, construct, operate, and maintain Nation Gaming Facilities." The Nation then created the Seneca Niagara Falls Gaming Corporation (Seneca Niagara Falls Gaming) as a subsidiary of Seneca Gaming, for purposes of "developing, financing, operating and conducting the business of the Nation Gaming Facility" on Nation territory located in Niagara County, New York.¹ Seneca Niagara Falls Gaming is subject to the "control, operation and management" of Seneca Gaming.

The Nation decided to capitalize on the subsequent success of its gaming operations, and Seneca Niagara Falls Gaming commenced development of a golf course in the Town of Lewiston, New York in Niagara County. The Nation thereafter created the Lewiston Golf Course Corporation (Lewiston Golf) "as a separate legal entity, governmental instrumentality of the Nation, and wholly-owned subsidiary of [Seneca Niagara Falls Gaming], for the purpose of developing and operating the Lewiston Golf Course."

All three of the Nation's resolutions creating Seneca Gaming, Seneca Niagara Falls Gaming, and Lewiston Golf, and their respective corporate charters provide:

"it is declared the policy of the Nation to promote the welfare and prosperity of its members and to actively promote, attract, encourage and develop economically sound commerce and industry through governmental action for the purpose of preventing unemployment and economic stagnation; and . . .

"the economic success of the Nation's gaming operations is vitally important to the economy of the Nation and the general welfare of its members."

1. The Nation Gaming Facility operates in accordance with the Indian Gaming Regulatory Act and the Compact between the Nation and New York State.

Plaintiff Sue/Perior Concrete & Paving, Inc., a contracting company who had previously done business with the Nation, entered a contract with Lewiston Golf to construct the golf course. After certain payment disputes, plaintiff filed a mechanic's lien foreclosure action against Lewiston Golf in Niagara County. Plaintiff also filed an action in Erie County against several of the same defendants, with the exception of Lewiston Golf, but Erie County Supreme Court dismissed that action based on the sovereign immunity of Seneca Gaming and Seneca Niagara Falls Gaming.

Lewiston Golf moved to dismiss the action, asserting sovereign immunity against suit as an arm of the Nation. Supreme Court and the Appellate Division both rejected this contention, and held that Lewiston Golf is not an arm of the Nation. The majority now agrees, and based on *Matter of Ransom v St. Regis Mohawk Educ. & Community Fund* (86 NY2d 553 [1995]) concludes that because Lewiston Golf is without power to bind or obligate the Nation's funds it lacks a sufficient financial relationship with the Nation to entitle it to sovereign immunity.

I disagree with the majority that certain financial factors identified by this Court in *Ransom*, and as applied here, should be treated as outcome determinative of the question of the expanse of the Nation's sovereign immunity over its corporate subsidiary Lewiston Golf. Instead, our focus should be the purpose and corporate structure of Lewiston Golf. As a corporate entity created and chartered by the Nation, established to enhance the Nation's gaming operations for the purpose of benefitting the Nation's members, I would hold Lewiston Golf is clothed with the Nation's sovereign immunity.

II.

Tribes are “ ‘separate sovereigns pre-existing the [United States] Constitution’ ” (*Michigan v Bay Mills Indian Community*, 572 US —, —, 134 S Ct 2024, 2030 [2014], quoting *Santa Clara Pueblo v Martinez*, 436 US 49, 56 [1978]), and possess “ ‘common-law immunity from suit traditionally enjoyed by sovereign powers’ ” (*id.*, quoting *Santa Clara Pueblo*, 436 US at 58). Indeed, “sovereign immunity [is] an inherent part of the concept of sovereignty and what it means to be a sovereign” (*Breakthrough Mgt. Group, Inc. v Chukchansi Gold Casino & Resort*, 629 F3d 1173, 1182 [10th Cir 2010]), and “is ‘a necessary corollary to Indian . . . self-governance’ ” (*Bay Mills Indian Community*, 572 US at —, 134 S Ct at 2030, quoting

Three Affiliated Tribes of Fort Berthold Reservation v Wold Engineering, P. C., 476 US 877, 890 [1986], and citing Hamilton, Federalist No. 81 at 511 [Benjamin Fletcher Wright ed 1961] [It is “inherent in the nature of sovereignty not to be amenable” to suit without consent]). Sovereign immunity serves interests essential to tribal identity, and is fundamental to the survival and growth of tribes and their members. Moreover, immunity is “‘necessary to promote the federal policies of tribal self[-]determination, economic development, and cultural autonomy’ ” (*Breakthrough Mgt. Group, Inc.*, 629 F3d at 1182 [modification in original], quoting *American Indian Agric. Credit Consortium, Inc. v Standing Rock Sioux Tribe*, 780 F2d 1374, 1378 [8th Cir 1985]).

The United States Supreme Court has broadly applied tribal sovereign immunity to extend to “suits on contracts, whether those contracts involve governmental or commercial activities and whether they were made on or off” Indian lands (*Kiowa Tribe of Okla. v Manufacturing Technologies, Inc.*, 523 US 751, 760 [1998]; see also *Bay Mills Indian Community*, 572 US at —, 134 S Ct at 2030-2031). There are no exemptions for tribal commercial activity (see *Cayuga Indian Nation of N.Y. v Seneca County, N.Y.*, 761 F3d 218, 221 [2d Cir 2014]), and, thus, sovereign immunity extends to tribal business ventures (*Oklahoma Tax Comm’n v Citizen Band of Potawatomi Tribe of Okla.*, 498 US 505, 510 [1991]). Immunity may be limited only by Congress or express waiver of a tribe (*Kiowa*, 523 US at 754).

Unsurprisingly, “tribes across the country, as well as entities and individuals doing business with them, have for many years relied on [Supreme Court precedent], negotiating their contracts and structuring their transactions against a backdrop of tribal immunity” (*Bay Mills Indian Community*, 572 US at —, 134 S Ct at 2036, referencing *Kiowa*, 523 US 751). Over the years tribal activities have grown, “tribal gaming revenues [have] increased more than thirty fold,” and “other tribal enterprises, ranging from cigarette sales to ski resorts” have flourished (*Bay Mills Indian Community*, 572 US at —, 134 S Ct at 2037; see 572 US at —, 134 S Ct at 2050-2051 [Thomas, J., dissenting]). “[T]ribal business operations are critical to the goals of tribal self-sufficiency because such enterprises in some cases ‘may be the only means by which a tribe can raise revenues.’ This is due in large part to the insuperable (and often state-imposed) barriers Tribes face in raising revenue through more traditional means” (572 US at —, 134 S Ct at 2043 [Sotomayor, J., concurring] [citation omitted]).

III.

As federal courts have held, the Seneca Nation of Indians has immunity from suit based on its status as a sovereign Indian Nation (*Seneca Nation of Indians*, 178 F3d 95) and that Seneca Niagara Falls Gaming and Seneca Gaming are arms of the Nation (*Warren v United States*, 859 F Supp 2d 522, 540-541 [WD NY 2012], *affd* 517 Fed Appx 54 [2d Cir 2013]; *Myers v Seneca Niagara Casino*, 488 F Supp 2d 166 [ND NY 2006]) fully clothed with the Nation's sovereign immunity. The question of whether Lewiston Golf, another subentity of the Nation, may assert sovereign immunity then seems a rather straightforward one, and one which should be decided in Lewiston Golf's favor.

Tribal sovereignty, including immunity from suit, "is subject to the superior and plenary control of Congress [and] without congressional authorization, the Indian Nations are exempt from suit" (*Santa Clara Pueblo*, 436 US at 58 [internal quotation marks and citation omitted]). As such, tribal immunity is "a matter of federal law and is not subject to diminution by the States" (*Kiowa*, 523 US at 756). The Nation is a sovereign with its own government and rights to self-determination, and as such empowered to determine how best to structure its business ventures. Therefore, we are without authority, absent congressional limitation, to reject the Nation's adoption of a corporate structure that furthers its economic development goals.

The majority relies on this Court's decision in *Ransom* for the legal framework by which to decide Lewiston Golf's sovereign immunity. However, *Ransom* was decided before the United States Supreme Court announced its decisions in *Kiowa* and *Bay Mills Indian Community* recognizing sovereign immunity applied broadly to Indian business ventures, even those outside Indian lands. Therefore, the factors in *Ransom* cannot supercede federal proscriptions, and we must be cautious not to rely on these factors in a way that conflicts with federal law.

The record makes abundantly clear that the Nation created Lewiston Golf as a commercial business venture to increase the Nation's gaming revenues for the benefit of the Tribe and its members. The Nation determined that the best way to pursue this goal is through a corporate structure whereby Lewiston Golf is controlled by the Nation's corporate entity. As a sovereign, the Nation is certainly able to decide that this corporate arrangement will enhance its economic independence and sustain its tribal membership and self-sustaining tribal

government. The Nation, having made that choice, is no less entitled to expect that the protections afforded by its sovereign immunity will apply equally to the activities of Lewiston Golf as it does to the activities of Seneca Gaming and Seneca Niagara Falls Gaming.

The logic of treating uniformly the corporate entities for sovereign immunity purposes is illustrated by comparing Lewiston Golf and Seneca Niagara Falls Gaming. As their respective corporate charters reveal, Seneca Niagara Falls Gaming and Lewiston Golf are strikingly similar, both are owned by an arm of the Nation (Seneca Gaming in the case of Seneca Niagara Falls Gaming, and Seneca Niagara Falls Gaming in the case of Lewiston Golf), and both are controlled and run by the Nation. Both seek to increase the Nation's revenue, with the obvious difference that Seneca Niagara Falls Gaming was created for the "purpose of developing, constructing, owning, leasing, operating, managing, maintaining, promoting and financing a Nation Gaming Facility on Nation territory within the exterior boundaries of Niagara County pursuant to the terms of the [gaming] Compact," and Lewiston Golf's purpose is to "develop[], construct[], own[], lease[e], operate[e], manage[e], maintain[], promote[e] and finance[e] the Lewiston Golf Course on land" which at the time of Lewiston Golf's creation was owned by Seneca Niagara Falls Gaming. Thus, one exists to maintain a casino for the Nation's benefit, the other exists to maintain a golf course to enhance casino revenues for the Nation's benefit. Both improve the Nation's economic position. Moreover, not only are they similar in purpose and service to the Nation and its members, but Lewiston Golf is intended as an amenity to the casino to "further[] . . . the economic success of the Nation's gaming operations." The point of both business enterprises is to bring revenues to the Nation.² If the golf course was owned by Seneca Niagara Falls Gaming, a recognized arm of the Nation, there would be no question that sovereign immunity would foreclose plaintiff's suit against Lewiston Golf. Consequently, there is no logical basis to treat Lewiston Golf differently simply because it is a subsidiary of Seneca Niagara Falls Gaming.

2. There is certainly nothing unique in establishing a golf course as an economic development venture. As Lewiston Golf points out, New York has several public golf courses that are public amenities that "create jobs and support economic development."

Therefore, I can find no legally defensible ground for rejecting sovereign immunity to Lewiston Golf, a corporate entity that is established under the Nation's laws and constitution, chartered by the Nation to develop, construct and operate a golf course in furtherance of the Nation's existing gaming operations, and, consistent with the Seneca Niagara Falls Gaming charter, controlled by Nation officials who make all significant business decisions. Like its parent Seneca Niagara Falls Gaming, Lewiston Golf is an engine for tribal economic development and growth.

The majority claims that there is no legal support for presuming Seneca Gaming and Seneca Niagara Falls Gaming's sovereign immunity. However, in *Warren* the district court, as affirmed by the Second Circuit, held that Seneca Gaming "is a government instrumentality entitled to immunity" (859 F Supp 2d at 541), finding specifically that Seneca Gaming

"is incorporated under Seneca tribal law; it was created to generate income to provide for the general welfare of [the Nation's] members; a majority of the board of directors are enrolled Senecas; [Seneca Gaming's] principal place of business is on the Cattaraugus reservation; all important corporate acts require approval of the tribal Council; [and] the tribal Council may remove [Seneca Gaming] board members for cause" (*id.*).

In *Myers*, the district court stated that Seneca Niagara Falls Gaming "enjoys all of the privileges and immunities of the Nation" (*Myers v Seneca Niagara Casino*, 488 F Supp 2d at 167-168 n 2). Thus, it is undisputed that under federal law these entities are entitled to the Nation's sovereign immunity.

Nevertheless, the majority casts these decisions to the wind, and asserts that in the instant appeal it may ignore federal precedent and place in question sovereign immunity as it applies to the Seneca Gaming and Seneca Niagara Falls Gaming, and a fortiori Lewiston Golf (majority op at 551). According to the majority, it is free to apply outdated decisions, propound unfounded conclusions, and clear its own path on the question of sovereign immunity until such time as the United States Supreme Court speaks on the issue. Well the Supreme Court has spoken, and we are bound to comply with its pronouncement that tribal sovereign immunity is a federal matter "not subject to diminution by the States" (*Kiowa*, 523 US at 756). Thus, our Court is without authority to render tribal commercial activities

meaningless by subjecting tribal entities to suit in contravention of federally recognized immunity. Consequently, with respect to Seneca Gaming and Seneca Niagara Falls Gaming the law is currently settled in New York that they are arms of the Nation and clothed with sovereign immunity.³

Implicit in the majority's argument for rejecting Lewiston Golf's claim is the notion that the corporate form, and the protections therein, categorically bars the extension of sovereign immunity. This is simply an irrelevant consideration because the sovereign immunity of a tribe extends to its subordinate economic entities (*see e.g. Native Am. Distrib. v Seneca-Cayuga Tobacco Co.*, 546 F3d 1288 [10th Cir 2008] [tobacco manufacturer]), including corporate entities (*see e.g. Memphis Biofuels, LLC v Chickasaw Nation Indus., Inc.*, 585 F3d 917, 921 [6th Cir 2009] [tribal conglomerate was an arm of the Tribe; incorporating under 25 USC § 477, i.e., a section 17 corporation, did not automatically waive tribal sovereign immunity]; *Koscielak v Stockbridge-Munsee Community*, 340 Wis 2d 409, 418, 811 NW2d 451, 456 [2012] [golf course and supper club], *review granted* 342 Wis 2d 155, 816 NW2d 321 [2012]).

The majority rests its decision on Lewiston Golf's apparent inability to bind or obligate the funds of the Seneca Nation. As noted above, the financial and administrative duties and obligations of Lewiston Golf the Seneca Nation are nearly identical to those of Seneca Niagara Falls Gaming. According to their charters, neither can bind nor obligate the funds of the Seneca Nation. Yet, Seneca Niagara Falls Gaming is an arm of the Tribe (*see Sue/Perior Concrete & Paving, Inc. v Seneca Gaming Corp.*, 99 AD3d 1203 [4th Dept 2012]; *Seneca Niagara Falls Gaming Corp. v Klewin Bldg. Co., Inc.*, 2005 WL 3510348, *5, 2005 Conn Super LEXIS 3295, *14 [Nov. 30, 2005, No. KNL-CV-05-4004218-S] [Seneca Niagara Falls Gaming, which is a wholly-owned subsidiary of Seneca Gaming is a governmental instrumentality of the Seneca Nation]; *Warren*, 859 F Supp 2d at 540-541 [Seneca Gaming entitled to immunity; finding Seneca

3. Realizing that it cannot avoid federal law, the majority opines that perhaps Lewiston Golf is different from the other Seneca corporate entities because the purposes of Seneca Gaming and Seneca Niagara Falls Gaming are more aligned with those of the Nation (majority op at 552). The record belies any such distinction. Indeed, the corporate charters are quite clear that the purpose of these three entities is to benefit the Nation and its members through "governmental action for the purpose of preventing unemployment and economic stagnation," achieved through the economic success of the Nation's gaming operations.

Gaming charter provisions incorporated in all relevant respects into the Seneca Niagara Falls Gaming charter], citing *Klewin Bldg. Co., Inc.*, 2005 WL 3510348, *5, 2005 Conn Super LEXIS 3295, *12-14; *Myers*, 488 F Supp 2d at 167-168 n 2).

In deciding the expanse of sovereign immunity, our focus should be on the purpose and goals of the corporate entity. We should look to whether the corporate entity furthers tribal self-determination and self-governance, and as such, benefits the tribe's members. Therefore, I would not rely primarily on *Ransom*'s financial interconnectedness factors. Indeed, federal and state courts have criticized the multi-factor approach to subordinate economic analysis as contravening *Kiowa* (see *Kiowa*, 523 US at 754-755; *Breakthrough Mgt. Group, Inc.*, 629 F3d at 1185-1189 [expressly overruling district court's holding that financial interconnectedness is a threshold factor]; *Cash Advance & Preferred Cash Loans v State*, 242 P3d 1099, 1110 n 12 [Colo 2010] [distinguishing *Ransom* as pre-*Kiowa*]). Moreover, *Runyon*, also a pre-*Kiowa* case, was an expressly narrow ruling, which relied on *Ransom* and Alaska corporate law (*Runyon v Association of Vil. Council Presidents*, 84 P3d 437, 441 [Alaska Sup Ct 2004], citing Alaska Stat § 10.20.051 [b]).

IV.

Plaintiff argues that even if Lewiston Golf is entitled to sovereign immunity, that immunity has been waived and thus it is subject to suit. I can find no basis in law or the record to support waiver. As the United States Supreme Court has made clear, “an Indian tribe is subject to suit only where Congress has authorized the suit or the tribe has waived its immunity” (*Kiowa*, 523 US at 754). Just this past term, in *Michigan v Bay Mills Indian Community*, the Supreme Court reaffirmed, not only that it is for Congress “to abrogate tribal immunity for off-reservation commercial conduct,” but that Congress has chosen not to do so (572 US at —, 134 S Ct at 2031).

As the court in *Ransom* recognized, “preserving tribal resources and tribal autonomy are matters of vital importance” and waiver of “sovereign immunity cannot be implied but must be unequivocally expressed” (*Ransom*, 86 NY2d at 560-561 [internal quotation marks omitted], quoting *Santa Clara Pueblo*, 436 US at 58). “[W]aivers . . . are . . . strictly construed in favor of the Tribe” (*Ransom*, 86 NY2d at 561 [internal quotation marks omitted], quoting *Rupp v Omaha Indian Tribe*, 45 F3d 1241, 1245 [8th Cir 1995]).

Plaintiff's contract with Lewiston Golf lacks any express waiver of sovereign immunity. Plaintiff seeks to avoid sovereign immunity arguing that Lewiston Golf is subject to suit for the mechanic's lien foreclosure. However, courts have failed to recognize the distinction between in rem and in personum jurisdiction asserted by the respondent (*see Cayuga Indian Nation of N.Y.*, 761 F3d 218, 220; *Oneida Indian Nation of N.Y. v Madison County, Oneida County, N.Y.*, 605 F3d 149, 159 [2d Cir 2010], *vacated on other grounds and remanded* 562 US 42 [2011]). Regardless, the suit ultimately seeks to enforce Lewiston Golf's alleged debt to the plaintiff, and does not seek title to the land, so even plaintiff's in rem theory must fail.

I would reverse the Appellate Division because Lewiston Golf is entitled to sovereign immunity, therefore I dissent.

Judges GRAFFEO, SMITH and ABDUS-SALAAM concur; Judge RIVERA dissents in an opinion in which Chief Judge LIPPMAN and Judge READ concur.

Order affirmed, with costs, and certified question answered in the affirmative.

[25 NE3d 958, 2 NYS3d 45]

ALLISON GAMMONS, Respondent, v CITY OF NEW YORK et al., Appellants.

Argued November 17, 2014; decided December 18, 2014

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered July 17, 2013. The Appellate Division order, insofar as appealed from, affirmed so much of an order of the Supreme Court, Kings County (Kenneth P. Sherman, J.; op 30 Misc 3d 1230[A], 2011 NY Slip Op 50286[U] [2011]), as had denied the branch of defendants' motion for summary judgment that sought dismissal of the cause of action to recover damages based upon a violation of General Municipal Law § 205-e. The following question was certified by the Appellate Division: "Was so much of the opinion and order of this Court dated July 17, 2013, as affirmed so much of the order of the Supreme Court, Kings County, dated February 25, 2011, as denied that branch of the appellants-respondents' motion which was for summary judgment dismissing the cause of action to recover damages based upon a violation of General Municipal Law § 205-e properly made?"

Gammons v City of New York, 109 AD3d 189, affirmed.

HEADNOTES

Negligence — Injuries to Police Officers — Fall from Police Flatbed Truck — Labor Law § 27-a (3) (a) (1) Violation as Predicate for General Municipal Law § 205-e Claim

1. Labor Law § 27-a (3) (a) (1) (Public Employee Safety and Health Act [PE-SHA])—imposing on employers a duty to provide a safe workplace "free from recognized hazards" and "reasonable and adequate protection" to their employees—sets forth an objective clear legal duty that may serve as a predicate for a claim under General Municipal Law § 205-e. Thus, in plaintiff police officer's personal injury action against municipal defendants arising after she fell from a police flatbed truck while loading wooden police barriers thereon, PE-SHA's general duty clause served as a predicate to plaintiff's section 205-e cause of action for damages. While PESHA does not contain an express private right of action, section 205-e does not require that the predicate for a police officer's action contain an existing right to sue, and reading such requirement into section 205-e would be antithetical to the recognized legislative goal that the provision offer an umbrella of protection for police officers for violations of any relevant statute, ordinance, code, rule and/or regulation. Moreover, PE-SHA has an established regulatory scheme, and the duty imposed by Labor Law § 27-a (3) (a) (1), albeit general, is sufficiently clear to provide a basis to determine liability. Finally, the Commissioner of Labor's enforcement powers

under PESHHA are unrelated to and distinct from plaintiff's action against her employer for damages incurred as a result of an injury caused by a recognized hazard, and judicial consideration of PESHHA's coverage will not undermine the Commissioner's duties as courts may consider noncompliance with the statute and its regulations as evidence of negligence under section 205-e.

Negligence — Injuries to Police Officers — Fall from Police Flatbed Truck — Labor Law § 27-a (3) (a) (1) Violation as Predicate for General Municipal Law § 205-e Claim

2. In plaintiff police officer's personal injury action against municipal defendants arising after she fell from a police flatbed truck while loading wooden police barriers thereon, the Appellate Division properly concluded that defendants failed to satisfy their threshold summary judgment burden of providing proof of their assertion that plaintiff's injury was not due to a recognized hazard within the meaning of Labor Law § 27-a (3) (a) (1) (Public Employee Safety and Health Act [PESHHA]). Plaintiff had asserted a cause of action for damages under General Municipal Law § 205-e predicated upon a violation of Labor Law § 27-a (3) (a) (1), which imposes on employers a duty to provide a safe workplace "free from recognized hazards" and "reasonable and adequate protection" to their employees. Plaintiff claimed the truck was too short and lacked the proper railings for the task of barrier loading. Her claim was thus premised on her allegation that she suffered an injury while working on an improperly equipped truck, which has been recognized as an occupational injury covered by PESHHA.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Municipal, County, School, and State Tort Liability § 184; AM JUR 2d, Premises Liability §§ 416, 432; AM JUR 2d, Negligence §§ 732, 784.

CARMODY-WAIT 2d, Action for Wrongful Death §§ 130:28, 130:30; CARMODY-WAIT 2d, Actions By and Against Public Bodies and Public Officers §§ 144:8, 144:43; CARMODY-WAIT 2d, Proceeding Against a Body or Officer §§ 145:1123, 145:1126, 15:1129.

DOBBS LAW OF TORTS §§ 363, 365, 429.

McKINNEY'S, General Municipal Law § 205-e; Labor Law § 27-a (3) (a) (1).

NY JUR 2d, Death § 54, NY JUR 2d, Employment Relations §§ 256-257; NY JUR 2d, Government Tort Liability §§ 95, 136-137, 213; NY JUR 2d, Negligence § 103; NY JUR 2d, Premises Liability 269-271.

NEW YORK LAW OF TORTS §§ 5:16, 6:33-6:34, 7:9, 12:7, 12:107, 17:68.

ANNOTATION REFERENCE

See ALR Index under Municipal Corporations; Negligence; Police and Law Enforcement Officers; Public Officers and Employees.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: injury /s (police /3 officer!) & workplace /3 safety

POINTS OF COUNSEL

Zachary W. Carter, Corporation Counsel, New York City (*Michael Shender, Kristin M. Helmers, Margaret G. King and Richard Dearing* of counsel), for appellants. Labor Law § 27-a (3) is not a valid predicate for plaintiff's General Municipal Law § 205-e cause of action. While section 27-a establishes a comprehensive administrative program for workplace safety inspections, it does not provide a private right of action for violation of its terms and therefore cannot form the basis for the City of New York's liability. (*Williams v City of New York*, 2 NY3d 352; *Donovan v Occupational Safety & Health Review Commn.*, 713 F2d 918; *Jeter v St. Regis Paper Co.*, 507 F2d 973; *Russell v Bartley*, 494 F2d 334; *Pedraza v Shell Oil Co.*, 942 F2d 48; *Minichello v United States Indus., Inc.*, 756 F2d 26; *Ellis v Chase Communications, Inc.*, 63 F3d 473; *Crane v Conoco, Inc.*, 41 F3d 547; *Ries v National R.R. Passenger Corp.*, 960 F2d 1156; *Barrientos v UT-Battelle, LLC*, 284 F Supp 2d 908.)

Oshman & Mirisola, LLP, New York City (*David L. Kremen* of counsel), for respondent. Labor Law § 27-a is a proper statutory predicate for a General Municipal Law § 205-e cause of action. (*Santangelo v State of New York*, 71 NY2d 393; *Schiavone v City of New York*, 92 NY2d 308; *St. Jacques v City of New York*, 215 AD2d 75, 88 NY2d 920; *Gonzalez v Iocovello*, 93 NY2d 539; *Williams v City of New York*, 2 NY3d 352; *Giuffrida v Citibank Corp.*, 100 NY2d 72; *Desmond v City of New York*, 88 NY2d 455; *Galapo v City of New York*, 95 NY2d 568; *Crosland v New York City Tr. Auth.*, 68 NY2d 165; *Flynn v City of New York*, 258 AD2d 129.)

Robert F. Danzi, New York State Trial Lawyers Association, New York City, and *Sullivan Papain Block McGrath & Cannavo P.C.*, New York City (*Brian J. Shoot* of counsel), for New York State Trial Lawyers Association, amicus curiae. I. The legislature amended General Municipal Law §§ 205-a and 205-e for the express purpose of providing the State's firefighters and police officers with "an umbrella of protection." (*Galapo v City of New York*, 95 NY2d 568; *Giuffrida v Citibank Corp.*, 100 NY2d 72; *Santangelo v State of New York*, 71 NY2d 393; *Kenavan v City of New York*, 70 NY2d 558; *Hayes v City of New York*, 169

Misc 2d 170, 231 AD2d 402; *St. Jacques v City of New York*, 215 AD2d 75, 88 NY2d 920; *Desmond v City of New York*, 88 NY2d 455; *Schiavone v City of New York*, 92 NY2d 308; *Gonzalez v Iocovello*, 93 NY2d 539; *Williams v City of New York*, 2 NY3d 352.) II. The legislature most assuredly did not intend that General Municipal Law §§ 205-a and 205-e apply only when the plaintiff already had a statutory cause of action and therefore did not need the protection of General Municipal Law §§ 205-a and 205-e. (*Kramer v Phoenix Life Ins. Co.*, 15 NY3d 539; *Matter of Crucible Materials Corp. v New York Power Auth.*, 13 NY3d 223; *Matter of Raynor v Landmark Chrysler*, 18 NY3d 48; *Matter of Alonzo M. v New York City Dept. of Probation*, 72 NY2d 662; *Gonzalez v Iocovello*, 93 NY2d 539; *Williams v City of New York*, 2 NY3d 352; *People v Gallina*, 66 NY2d 52.) III. Given that virtually all statutory or regulatory standards fall within the sphere of some governmental body, agency or officer, such cannot be a disqualifying factor for purposes of General Municipal Law §§ 205-a and 205-e. (*Williams v City of New York*, 2 NY3d 352; *Schiavone v City of New York*, 92 NY2d 308; *Nostrom v A.W. Chesterton Co.*, 15 NY3d 502; *McDougald v Garber*, 73 NY2d 246; *Ries v National R.R. Passenger Corp.*, 960 F2d 1156; *Jones v Spentonbush-Red Star Co.*, 155 F3d 587; *Robertson v Burlington N. R.R. Co.*, 32 F3d 408; *Bean v CSX Transp.*, 289 F Supp 2d 277; *Elliott v S.D. Warren Co.*, 134 F3d 1; *Ganci v Port Auth. Trans-Hudson Corp.*, 258 AD2d 386.)

OPINION OF THE COURT

RIVERA, J.

In this appeal concerning a police officer's personal injury action against municipal defendants the City of New York and the New York City Police Department, we conclude that Labor Law § 27-a (3) (a) (1) sets forth an objective clear legal duty that may serve as a predicate for a claim under General Municipal Law § 205-e. Therefore, the order of the Appellate Division should be affirmed and the certified question answered in the affirmative.

I.

Plaintiff Allison Gammons was a police officer with the New York City Police Department working on "barrier truck detail" in Brooklyn, New York when she was injured during the course of loading wooden police barriers onto a police flatbed truck. According to plaintiff, she was standing at the rear of the truck holding a barrier when another officer who was helping to load

the truck pushed the barrier into plaintiff's chest, causing her to fall backwards and off the truck onto the street.

Plaintiff sued defendants City of New York and the New York City Police Department seeking damages, asserting causes of action for common-law negligence and under General Municipal Law § 205-e for failure to comply with Labor Law § 27-a, known as the Public Employee Safety and Health Act (PESHA), based, in part, on the alleged unsafe and dangerous condition of the truck. At her deposition plaintiff stated the truck was too short to accommodate the full length of the barriers being loaded, the back was left open and unprotected, the side railings were only three feet high, and only one officer could comfortably fit on the truck during the loading process. She claimed that on the date of her injury, defendant Police Department, nevertheless, had available newer trucks that were sufficiently long to accommodate the full length of the barriers without any portion hanging off the back, were equipped with a tailgate, and could hold two officers.

Defendants moved for summary judgment pursuant to CPLR 3212, claiming that General Obligations Law § 11-106 (1)¹ barred plaintiff's common-law negligence cause of action, and the general duty clause of Labor Law § 27-a (3) (a) (1) could not serve as a statutory predicate to plaintiff's General Municipal Law § 205-e cause of action. As an alternative ground, defendants asserted that plaintiff failed to establish the existence of a "recognized hazard" within the meaning of section 27-a (3) (a) (1) because plaintiff claimed her injury was due to the improper use of the truck, rather than its inherent defective condition.

Plaintiff responded that the motion was unsupported by the law and facts. Additionally, in a supplemental bill of particulars, she alleged that defendants violated 29 CFR 1910.23 (c) (1)² by failing to equip the truck with a back railing, and asserted sec-

1. Courts regularly refer to General Obligations Law § 11-106 (1) as the "fireman's rule," originally, a "long-standing common-law rule that firefighters injured while extinguishing fires generally [could not] recover against the property owners or occupants whose negligence in maintaining the premises occasioned the fires" (*Schiavone v City of New York*, 92 NY2d 308, 313 n 2 [1998] [citation omitted]). The rule has been extended to police officer actions, and, as amended, General Obligations Law § 11-106 (1) is applied only in actions against a police officer's or firefighter's employer or co-employee.

2. 29 CFR 1910.23 (c) (1) entitled "Protection of open-sided floors, platforms, and runways" provides:

"Every open-sided floor or platform 4 feet or more above adjacent floor or ground level shall be guarded by a standard railing (or

(n. cont'd)

tion 27-a (3) (a) (2) as a predicate for this violation. Plaintiff further requested the court search the record in accordance with CPLR 3212 (b) and grant her summary judgment on the question of liability under General Municipal Law § 205-e.

As relevant to this appeal, Supreme Court denied the motion in part, concluding Labor Law § 27-a (3) (a) (1) may serve as a predicate for a violation of General Municipal Law § 205-e (30 Misc 3d 1230[A], 2011 NY Slip Op 50286[U] [Sup Ct, Kings County 2011]).³ The Appellate Division affirmed (109 AD3d 189 [2013]) and granted defendants leave to appeal on a certified question whether the court properly affirmed the denial of defendants' summary judgment motion to dismiss plaintiff's General Municipal Law § 205-e claim (2013 NY Slip Op 90950[U] [2d Dept 2013]).

On appeal to this Court, the parties reiterate their arguments below. Defendants contend that Labor Law § 27-a does not provide an injured worker with a private right of action, and, instead, establishes a workplace inspection scheme under which the Commissioner of Labor alone may determine a violation of the statute. Therefore, section 27-a cannot serve as a predicate to plaintiff's General Municipal Law cause of action. Defendants further claim that, regardless, plaintiff has failed to assert a cause of action based on a physical and environmental workplace hazard, in accordance with section 27-a (3) (a) (1). In contrast, plaintiff argues that Labor Law § 27-a (3) (a) (1) contains a clear legal duty and, thus, was a proper statutory predicate for her General Municipal Law § 205-e cause of action, and that her fall from the truck was a "recognized hazard." We agree with plaintiff that section 27-a is sufficient to serve as a statutory predicate for her claim.

II.

General Municipal Law § 205-e contains a right of action allowing police officers to sue for injuries sustained in the line of

the equivalent as specified in paragraph (e)(3) of this section) on all open sides except where there is entrance to a ramp, stairway, or fixed ladder. The railing shall be provided with a toeboard wherever, beneath the open sides,

"(i) Persons can pass,

"(ii) There is moving machinery, or

"(iii) There is equipment with which falling materials could create a hazard."

3. Supreme Court granted defendants' motion in part, dismissing the common-law negligence cause of action as barred by the firefighter's rule.

duty “as a result of any neglect, omission, willful or culpable negligence of any person or persons in failing to comply with the requirements of any of the statutes, ordinances, rules, orders and requirements of the federal, state, county, village, town or city governments” (General Municipal Law § 205-e [1]). The legislature enacted General Municipal Law § 205-e to overrule this Court’s prior decision in *Santangelo v State of New York* (71 NY2d 393, 396-398 [1988]), which had extended the “fire-fighter’s rule” to police officers, thus barring common-law negligence actions for injuries sustained in the line of duty. Thereafter, the legislature would continue to abrogate judicial decisions interpreting General Municipal Law § 205-e restrictively (see *Gonzalez v Iocovello*, 93 NY2d 539, 548 [1999]). After a decade of legislative rebuffs, we acknowledged that “[e]ach enactment has been promoted as being for the express purpose of clarifying and emphasizing the legislative intent that General Municipal Law § 205-e be applied ‘expansively’ ” (*id.*, citing L 1990, ch 762; L 1992, ch 474; L 1994, ch 664; L 1996, ch 703).

In prior cases this Court described how the 1992 and 1996 amendments were intended to enlarge a police officer’s right of action under General Municipal Law § 205-e (see *Giuffrida v Citibank Corp.*, 100 NY2d 72, 77-78 [2003]; *Gonzalez*, 93 NY2d 539; *Schiavone v City of New York*, 92 NY2d 308 [1998]). *Schiavone* and *Giuffrida* noted that in the 1992 amendment the legislature rejected judicial interpretations limiting a police officer’s action under General Municipal Law § 205-e to injuries related to safety and maintenance violations concerning a “premises” (*Schiavone*, 92 NY2d at 314; *Giuffrida*, 100 NY2d at 77-78). Instead, the legislature concluded that because “police officers are required to confront dangerous conditions under many and varied circumstances, there is a need to ensure that a right of action exists regardless of where the violation causing injury or death occurs” (L 1992, ch 474, § 1 [responding to *Sciarrotta v Valenzuela*, 182 AD2d 443, 445 (1st Dept 1992) and *Cooper v City of New York*, 182 AD2d 350, 351 (1st Dept 1992), *affd* 81 NY2d 584 (1993)]; see also *Giuffrida*, 100 NY2d at 78; *Schiavone*, 92 NY2d at 314).

Giuffrida and *Gonzalez* both discussed how in 1996 the legislature again amended General Municipal Law § 205-e to expand its scope and application (*Giuffrida*, 100 NY2d at 78; *Gonzalez*, 93 NY2d at 548; see L 1996, ch 703, § 2). Then, in *Gonzalez*, this Court pointed out that the addition of subdivision (3) to permit liability even in cases where the injury is due

to a violation of a codified common-law duty, constituted another rejection of a judicial decision holding otherwise (93 NY2d at 549 [discussing *St. Jacques v City of New York*, 215 AD2d 75 (1995), *aff'd* 88 NY2d 920 (1996) (holding overruled by the 1996 amendment)]).

Thus, this Court has recognized that these amendments, enacted on the heels of judicial decisions constricting the application of General Municipal Law § 205-e, manifest the legislature's determination to bring courts in line with the legislative goal of providing a cause of action for police officers for negligent noncompliance with the law. Indeed, the legislative history of the 1996 amendments sets the record straight that by amending the statute our state elected officials

“intended to ensure once and for all that section 205-e of the general municipal law is applied by the courts in accordance with its original legislative intent to offer an umbrella of protection for police officers, who, in the course of their many and varied duties, are injured by the negligence of anyone who violates any relevant statute, ordinance, code, rule and/or regulation” (L 1996, ch 703, § 1; *see also Giuffrida*, 100 NY2d at 78).

Any doubts as to the legislative directive to the judiciary were laid to rest in *Williams v City of New York*, wherein this Court stated that this “series of amendments to section 205-e teaches us that we should apply this provision ‘expansively’ so as to favor recovery by police officers whenever possible” (2 NY3d 352, 364 [2004], citing *Gonzalez*, 93 NY2d at 548).⁴

III.

With this understanding of the legislative intent to give broad application to General Municipal Law § 205-e, we turn to defendants' challenge to plaintiff's cause of action for damages. To succeed on their summary judgment motion, defendants must establish “a prima facie showing of entitlement to judgment as a matter of law, tendering sufficient evidence to demonstrate the absence of any material issues of fact” (*Alvarez v Prospect Hosp.*, 68 NY2d 320, 324 [1986]; *see also* CPLR 3212 [b]). For the reasons we discuss, defendants have failed to meet their burden.

4. Additional amendments in 1994 and 1999 extended the time in which certain actions may be brought on behalf of injured or deceased police officers (*see* L 1994, ch 664; L 1999, ch 466).

In order to assert a claim under General Municipal Law § 205-e, a plaintiff “must [1] identify the statute or ordinance with which the defendant failed to comply, [2] describe the manner in which the [police officer] was injured, and [3] set forth those facts from which it may be inferred that the defendant’s negligence directly or indirectly caused the harm” (*Williams*, 2 NY3d at 363 [internal quotation marks omitted], quoting *Giuffrida*, 100 NY2d at 79). Defendants allege plaintiff cannot satisfy the first requirement because the Labor Law may not serve as a basis for her cause of action. We disagree.

[1] As a predicate to her General Municipal Law damages cause of action plaintiff relies specifically on Labor Law § 27-a (3) (a) (1), which provides that

“[e]very employer shall: (1) furnish to each of its employees, employment and a place of employment which are free from recognized hazards that are causing or are likely to cause death or serious physical harm to its employees and which will provide reasonable and adequate protection to the lives, safety or health of its employees.”

Defendants counter that because PESHA lacks a private right of action plaintiff cannot base her General Municipal Law § 205-e claim on section 27-a. However, that is exactly what General Municipal Law § 205-e permits and what the legislature intended. While it is true that PESHA does not contain an express private right of action (*Hartnett v New York City Tr. Auth.*, 86 NY2d 438, 443 [1995]), General Municipal Law § 205-e does not require that the predicate for a police officer’s action contain an existing right to sue. We do not read nonexistent requirements into legislation for

“ ‘[a] court cannot by implication supply in a statute a provision which it is reasonable to suppose the Legislature intended intentionally to omit’ because ‘the failure of the Legislature to include a matter within the scope of an act may be construed as an indication that its exclusion was intended’ (McKinney’s Cons Laws of NY, Book 1, Statutes § 74). In other words, we cannot read into the statute that which was specifically omitted by the legislature” (*Commonwealth of the N. Mariana Is. v Canadian Imperial Bank of Commerce*, 21 NY3d 55, 62 [2013]).

Furthermore, reading such requirement into General Municipal Law § 205-e would be antithetical to the recognized legislative goal that this provision “offer an umbrella of protection for police officers” for violations of “any relevant statute, ordinance, code, rule and/or regulation” (L 1996, ch 703, § 1).

To the extent defendants argue that as a matter of law a general duty clause, such as that contained in section 27-a, cannot serve as a predicate for General Municipal Law § 205-e liability, we find that argument without support in the General Municipal Law or our prior decisions. In order to recover under General Municipal Law § 205-e “[the] police officer must demonstrate [an] injury resulting from negligent noncompliance with a requirement found in a well-developed body of law and regulation that imposes clear duties” (*Williams*, 2 NY3d at 364 [internal quotation marks omitted], citing *Galapo v City of New York*, 95 NY2d 568, 574 [2000]). If a statute that provides for a general duty satisfies this requirement it may serve as a basis for a General Municipal Law § 205-e cause of action (*id.*).

This Court held as much in *Gonzalez v Iocovello*. In *Gonzalez* we concluded that a General Municipal Law § 205-e cause of action could be predicated upon violation of Vehicle and Traffic Law § 1104 (e), which imposed a duty that drivers of authorized emergency vehicles drive with due regard for the safety of all persons, and without reckless disregard for the safety of others (93 NY2d at 551). In the companion case of *Cosgriff v City of New York*, we similarly found the predicate basis for plaintiff’s General Municipal Law § 205-e cause of action in the New York City Charter § 2903 (b) (2) requirement that the Commissioner of the New York City Department of Transportation shall “have charge and control of . . . repair[ing] . . . public roads . . . [and] streets” and the Administrative Code of the City of New York § 7-201 requirement that the City receive prior written notice of a defective sidewalk in order to be held liable (93 NY2d at 552-553). In both matters we found that the relevant provisions imposed clear legal duties, and reiterated that a proper predicate may contain “either a particularized mandate or a clear legal duty” (*id.* at 551; *cf. Desmond v City of New York*, 88 NY2d 455, 464 [1996]; *see also Hayes v City of New York*, 264 AD2d 610 [1999] [duty imposed upon building owners to keep buildings in good repair pursuant to Multiple Dwelling Law § 78 was a valid predicate for section 205-e]).

The question then is whether section 27-a contains a clear legal duty, expressed in a well-developed body of law and regulation (*Williams*, 2 NY3d at 364; *Gonzalez*, 93 NY2d at 551). We find that it does.

The legislature enacted PESHA “to provide individuals working in the public sector with the same or greater workplace protections provided to employees in the private sector under” the federal Occupational Safety and Health Act (OSHA) (*Williams*, 2 NY3d at 367, quoting *Hartnett*, 86 NY2d at 442). The provisions contained in PESHA are modeled on OSHA, and are intended to ensure the common goal of these federal and state statutes, i.e. a safe workplace. In fact, New York State has adopted OSHA’s workplace safety standards (12 NYCRR 800.3; see *Williams*, 2 NY3d at 367). These regulations cover a broad spectrum of safety issues (see e.g. Electrical Safety-Related Work Practices, 55 Fed Reg 46052 [1990], codified at 29 CFR part 1910; Occupational Exposure to Bloodborne Pathogens, 56 Fed Reg 64004 [1991], codified at 29 CFR 1910.1030; Concrete and Masonry Construction Safety Standards, 55 Fed Reg 42306 [1990], codified at 29 CFR part 1926). Thus, PESHA like OSHA, has an established regulatory scheme.

Within this statutory framework, section 27-a (3) (a) (1) imposes on employers a duty to provide a safe workplace “free from recognized hazards[,] . . . [and] reasonable and adequate protection to the lives, safety or health of its employees.” This duty, albeit general, is sufficiently clear to provide a basis to determine liability. Notably, as in *Gonzalez*, the standard is set forth in a statute, here in PESHA, in *Gonzalez*, in Vehicle and Traffic Law § 1104. Also, the mandate that employers provide a workplace “free from recognized hazards” sets a standard at least as sufficient to define the duty of care as the “reckless disregard” duty of care incorporated into Vehicle and Traffic Law § 1104, which we referenced approvingly in *Gonzalez*.⁵ To the extent defendants contend that this standard is no more specific than a general common-law duty of care, the legislature has made clear that a police officer has a right of action “regardless of whether the injury . . . is caused by the violation of a provision which codifies a common-law duty” (General Municipal Law § 205-e [3]). Therefore, the statute and its regulations are a “well-developed body of law and regulation[s] that impose[] clear duties” (*Williams*, 2 NY3d at 364).

The decision in *Williams* supports our conclusion here. In *Williams* this Court left open the question whether PESHA

5. Section 27-a’s mandate is also no less sufficient to define a duty of care than the duty set forth in Administrative Code § 27-127 requiring all buildings “be maintained in a safe condition” as suggested by *Williams* (2 NY3d at 368).

may serve as a statutory predicate to a General Municipal Law § 205-e cause of action, deciding only that the *Williams* plaintiffs failed to establish a violation of Labor Law § 27-a because that provision “does not cover the special risks faced by police officers because of the nature of police work” (*id.* at 368). As a point of clarity, *Williams* contrasted the Second Department’s decision in *Balsamo v City of New York* (287 AD2d 22 [2d Dept 2001]), finding that the injuries in that case arguably came within PESHHA because they were the type of “occupational injuries” that “PESHHA is designed to prevent,” rather than “risks unique to police work” which fall outside the statute (*Williams*, 2 NY3d at 368). Thus, *Williams* suggested that given the proper circumstances, PESHHA could certainly serve as a predicate to a General Municipal Law § 205-e suit.

Here, plaintiff alleges that she suffered an injury involving an improperly equipped police truck while in the line of duty. Plaintiff’s claim does not involve the type of special risks faced by police officers that *Williams* found were outside the scope of PESHHA, which involved life and death decisions. Instead, her claim is strikingly similar to the claim in *Balsamo*, which involved an alleged physical injury to a police officer when his knee hit a sharp protruding edge of a computer mounted off the floor of his police vehicle (287 AD2d 22). As we stated in *Williams*, PESHHA arguably covers such claim as an occupational injury involving an “improperly equipped vehicle” (*Williams*, 2 NY3d at 368).

Defendants additionally argue that Labor Law § 27-a cannot serve as a predicate because that statute establishes a regulatory scheme under which the Commissioner of Labor has sole authority over enforcement for violations of the statute. According to defendants, permitting private actions would undermine the Commissioner’s role and upset regulatory enforcement because PESHHA’s detailed statutory scheme does not vest courts with jurisdiction to determine whether a PESHHA violation has occurred. We are also unpersuaded by this argument.

First, the Commissioner is empowered to investigate allegations of existing workplace hazards, and enforce violations where an employer fails to cure noncompliance with PESHHA (see Labor Law § 27-a [5], [6]). Therefore, the Commissioner’s enforcement powers are unrelated to and distinct from plaintiff’s action against her employer for damages incurred as a result of an injury caused by a recognized hazard. We find no support for defendants’ argument that the Commissioner’s role to ensure a

safe workplace is adversely affected by permitting an injured employee to seek relief for harm caused by a violation of PESHSA. Second, defendants' claim that judicial consideration of PESHSA's coverage will undermine the Commissioner's duties is belied by the fact that under General Municipal Law § 205-e courts may consider noncompliance with the statute and its regulations as evidence of negligence (General Municipal Law § 205-e [1] ["failing to comply with the requirements of any of the statutes, ordinances, rules, orders and requirements of the federal, state, county, village, town or city governments"]).

We reject defendants' invitation to read General Municipal Law § 205-e so as to foreclose plaintiff's action, for doing so would ignore years of legislative enactments decrying just such a result. Based on the legislative intent to provide police officers with a right to sue in torts against their employers, and the legislature's mandate that the courts expansively apply section 205-e, we hold that PESHSA's general duty clause serves as a predicate to plaintiff's General Municipal Law § 205-e cause of action for damages. Therefore, we reject defendants' contention that as a matter of law Labor Law § 27-a (3) (a) (1) cannot serve as a statutory predicate.

IV.

[2] With respect to defendants' alternative argument that plaintiff has failed to assert a violation of the duty set forth in section 27-a (3) (a) (1) because she has not established that her injury was due to a "recognized hazard," the Appellate Division properly concluded defendants failed to support this allegation in their summary judgment motion. A plaintiff must establish both a statutory predicate for the General Municipal Law § 205-e claim as well as a statutory violation (*Williams*, 2 NY3d at 365). Here, plaintiff claims the truck was too short and lacked the proper railings for the task of barrier loading. Plaintiff's claim is thus premised on her allegation that she suffered an injury while working on an improperly equipped truck, which *Williams* stated could be treated as an occupational injury covered by PESHSA. Defendants failed to satisfy their threshold summary judgment burden by providing proof of their assertion that plaintiff's injury was not due to a recognized hazard within the meaning of the statute (see *Johnson v Culinary Inst. of Am.*, 95 AD3d 1077, 1078 [2d Dept 2012]).

Accordingly, the order of the Appellate Division, insofar as appealed from, should be affirmed, with costs, and the certified question answered in the affirmative.

PIGOTT, J. (dissenting). Because, in my view, Labor Law § 27-a (3) (a) (1), by itself, is too general to serve as a predicate for a General Municipal Law § 205-e cause of action, I respectfully dissent.

We explained in *Williams v City of New York* (2 NY3d 352 [2004]) that “as a prerequisite to recovery [under General Municipal Law § 205-e], a police officer must demonstrate injury resulting from negligent noncompliance with a requirement found in a well-developed body of law and regulation that imposes *clear* duties” (*id.* at 364 [citations omitted and emphasis supplied]; see *Desmond v City of New York*, 88 NY2d 455, 463-464 [1996] [stating that section 205-e “was not enacted to give police officers an unrestricted right to recover for all negligently caused line-of-duty injuries. Nor was it intended to give police officers a right to sue for breaches of any and all governmental pronouncements of whatever type and regardless of how general or specific those pronouncements might be”]). Section 27-a (3) (a) (1) requires every employer to

“furnish to each of its employees, employment and a place of employment which are free from recognized hazards that are causing or are likely to cause death or serious physical harm to its employees and which will provide reasonable and adequate protection to the lives, safety or health of its employees.”

This provision is a general one, and we have previously referred to it as the “general duty” clause (*Williams*, 2 NY3d at 367).

Plaintiff claims that she is entitled to recover under the general duty clause because the truck from which she fell was dangerous and defective, i.e., it was too short to accommodate the barriers she was asked to load. Relying on the companion cases *Gonzalez v Iocovello* and *Cosgriff v City of New York* (93 NY2d 539 [1999]), the majority claims that this section provides a “clear legal duty, expressed in a well-developed body of law and regulation” (majority op at 571). The provisions in those cases, however, were plainly more specific and set forth legal duties that were more clear than section 27-a (3) (a) (1)’s requirement that employers provide a safe workplace (see *Gonzalez*, 93 NY2d at 550-551 [holding that Vehicle and Traffic Law § 1104 (e) could serve as a predicate for liability because it did not absolve operators of emergency vehicles of liability for “reckless disregard for the safety of others”]; *Cosgriff*, 93 NY2d at 552-553 [holding that sections of the New York City Charter and Administrative Code of City of NY concerning repairs of

defective sidewalks could serve as a predicate for General Municipal Law § 205-e liability]). In each of those cases, we were asked to examine laws or regulations that dealt with clear legal duties, whereas, in contrast, although the general duty clause here may impose some abstract “duty” to provide a safe workplace, it could hardly be said that it is the type of “clear legal duty” mentioned in *Williams*.

That does not mean, however, that a police officer or firefighter could never utilize Labor Law § 27-a (3) (a) (1) as a predicate, only that in order to do so, they should be required to cite to a specific regulation that they claim was violated. It is not insignificant that Labor Law § 27-a requires the Commissioner of Labor to not only “adopt all safety and health standards promulgated under the United States Occupational Safety and Health Act of 1970” (Labor Law § 27-a [4] [a]), but also to “promulgate rules and regulations recommended to him by . . . [the state occupational safety and health hazard abatement board] which establish standards whenever such board finds” either that no federal standard exists or that a federal standard exists but that conditions in public workplaces require a different standard (Labor Law § 27-a [4] [b] [i], [ii]). These standards promote section 27-a (3) (a) (1)’s goal of providing a safe workplace, and it is not coincidental that section 27-a (3) (a) (2) requires every public employer to “comply with the safety and health standards promulgated under [section 27-a].”

In this respect, I would employ the same analysis to the claims made by police officers and firefighters under the general duty clause that we employ in our analysis of a Labor Law § 241 (6) cause of action. With respect to the latter claim—which is routinely brought by a construction worker against a contractor and owner—we have required the worker to identify the specific rule or regulation promulgated by the Commissioner of Labor that the contractor or owner allegedly violated (*see Ross v Curtis-Palmer Hydro-Elec. Co.*, 81 NY2d 494, 501-502 [1993]; *see also* Labor Law § 241 [6]). The rule or regulation alleged to have been violated must be a “specific” and “positive command” rather than a mere reiteration of a common-law standard of care that would do little more than incorporate “the ordinary tort duty of care into the Commissioner’s regulations” (*Ross*, 81 NY2d at 504).

Here, the majority claims that the common-law standard of care—the duty to provide a safe workplace—by itself, may serve as a predicate for a General Municipal Law § 205-e claim. In my

view, a plaintiff must do more than just cite to a common-law duty of care in order to recover under General Municipal Law § 205-e while utilizing the general duty clause as a predicate; the plaintiff should also be required to cite to at least one of the hundreds of thousands of regulations either adopted or promulgated by the Commissioner of Labor.

Plaintiff has done so in this case, asserting, in addition to her claim under the general duty clause, that defendants violated 29 CFR 1910.23 (c) (1), which is an Occupational Safety and Health Act provision. Neither the Appellate Division nor Supreme Court addressed whether this provision applied to the facts of this case. Therefore, I would remand to Supreme Court to consider the applicability of that federal regulation to plaintiff's General Municipal Law § 205-e cause of action.

Chief Judge LIPPMAN and Judges SMITH and ABDUS-SALAAM concur; Judge PIGOTT dissents in an opinion in which Judge READ concurs.

Order, insofar as appealed from, affirmed, with costs, and certified question answered in the affirmative.

[26 NE3d 218, 2 NYS3d 390]

STRAUSS PAINTING, INC., Appellant-Respondent, v MT. HAWLEY
INSURANCE COMPANY, Respondent-Appellant, and METRO-
POLITAN OPERA ASSOCIATION, INC., Respondent.

Argued October 22, 2014; decided November 24, 2014

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, entered April 11, 2013. The Appellate Division modified, on the law, an order and judgment (one paper) of the Supreme Court, New York County (Doris Ling-Cohan, J.; op 2011 NY Slip Op 32706[U] [2011]) entered November 4, 2011, as amended by orders of that court entered October 16, 2012. The order and judgment entered November 4, 2011 had (1) granted defendant Metropolitan Opera Association, Inc.'s (the Met) motion for summary judgment on its first cross claim for a declaratory judgment; (2) deemed the Met's second and third cross claims to be abandoned; (3) declared that defendant Mt. Hawley Insurance Company (Mt. Hawley) is obligated to provide the Met with a defense and indemnification in the underlying (*Mayo*) personal injury action; (4) denied Mt. Hawley's cross motion for summary judgment dismissing the Met's cross claims for declaratory judgment and for a judgment declaring that Mt. Hawley is not obligated to defend or indemnify the Met in the *Mayo* action; (5) denied Mt. Hawley's motion pursuant to CPLR 3211 and/or 3025 to dismiss the Met's cross claims; (6) granted Mt. Hawley's motion for summary judgment dismissing plaintiff's complaint; and (7) declared that Mt. Hawley has no obligation to defend or indemnify plaintiff in the *Mayo* action. The orders entered October 16, 2012 (1) reinstated, upon reargument, the Met's second and third cross claims on the basis that they were not abandoned, and (2) declared, upon reargument, that Mt. Hawley's duty to defend and indemnify the Met is conditioned upon a finding of negligence by plaintiff or those acting on plaintiff's behalf. The modification consisted of (1) denying Mt. Hawley's motion for the dismissal of the complaint as against it upon the declaration that Mt. Hawley has no duty to defend and indemnify plaintiff; (2) dismissing the Met's third cross claim against Mt. Hawley for expenses incurred in this action; and (3) deleting that portion of Supreme Court's October 16, 2012 order upon reargument that conditioned Mt. Hawley's duty to defend and indemnify the Met upon a finding of

negligence by plaintiff in the underlying action and declaring that Mt. Hawley's duty to defend the Met shall arise and be conditioned upon a finding of an act or omission by plaintiff or one acting on plaintiff's behalf. The following question was certified by the Appellate Division: "Was the order of this Court, which modified and otherwise affirmed the order of the Supreme Court, properly made?"

Strauss Painting, Inc. v Mt. Hawley Ins. Co., 105 AD3d 512, modified.

HEADNOTES

Insurance — Duty to Defend and Indemnify — Notice of Occurrence — Timely Notice to Broker

1. In an action involving an insurance coverage dispute that arose from an underlying lawsuit commenced by an employee of plaintiff's subcontractor who was injured while performing work at defendant building owner's premises pursuant to a construction contract under which plaintiff was required to indemnify the building owner against bodily injury claims and procure three types of insurance coverage, plaintiff did not provide timely notice of the occurrence to defendant insurer under the terms of plaintiff's comprehensive general liability policy where plaintiff's representative, who learned of the accident the day it occurred, notified its insurance broker on the day after the accident, but nothing was forwarded to defendant insurer for four months. A policyholder's timely notice to a broker does not constitute the notice contemplated by the insurance policy since a broker is normally the agent of the insured and notice to the ordinary insurance broker is not notice to the liability carrier. While it might be possible for even a relatively sophisticated representative of an insured to have a good faith, reasonable belief that notice to the broker is sufficient if the insurer's own actions hold the broker out to be its agent for the purpose of giving notice, here, nothing in the record revealed the required kind of close relationship between the broker and insurer. Further, plaintiff's representative was the longtime day-to-day operations manager of two construction contractors in New York City, experienced enough to understand the probability of a lawsuit based on an elevation-related accident and to not rely on the insurance broker for advice and guidance.

Insurance — Duty to Defend and Indemnify — Comprehensive General Liability Policy — Coverage under Additional Insured Endorsement

2. In an action involving an insurance coverage dispute that arose from an underlying lawsuit commenced by an employee of plaintiff's subcontractor who was injured while performing work at defendant building owner's premises pursuant to a construction contract under which plaintiff was required to indemnify the building owner against bodily injury claims and procure three types of insurance coverage, defendant building owner did not qualify as an additional insured under a comprehensive general liability (CGL) policy issued to plaintiff by defendant insurer. Under the additional insured endorsement of the CGL policy, for the building owner to be an additional insured, plaintiff and the building owner must "have agreed in writing in a contract or agreement that [the building owner] be added as an additional

insured on [plaintiff's] policy." The construction contract, after identifying the owners and contractors protective (OCP) liability coverage that plaintiff was required to procure, specified that "[l]iability should add the [building owner] as an additional insured and should include contractual liability and completed operations coverage." However, the paragraph of the construction contract identifying CGL coverage said nothing about including the building owner as an additional insured on plaintiff's CGL policy. The language requiring plaintiff to include the building owner as an additional insured referred only to the OCP coverage that plaintiff promised to purchase for the building owner, but never actually acquired.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Declaratory Judgment §§ 140–141; AM JUR 2d, Indemnity §§ 13, 17; AM JUR 2d, Insurance §§ 508, 676, 679, 684, 1402, 1405–1408, 1974, 1987.
CARMODY-WAIT 2d, Parties § 19:159; CARMODY-WAIT 2d, Complaints in Particular Actions §§ 29:103, 29:110; CARMODY-WAIT 2d, Declaratory Judgments §§ 147:89, 147:92, 147:94, 147:149, 147:169.
COUCH ON INSURANCE (3d ed) §§ 102:23–102:25, 103:15, 129:4, 190:25, 201:6, 201:28.
NY JUR 2d, Declaratory Judgments and Agreed Case § 184; NY JUR 2d, Insurance §§ 1393, 1627–1628, 1682–1683, 1868, 1964, 1972, 1979, 1994, 2052–2053, 2060, 2079, 2085, 2133.

ANNOTATION REFERENCE

See ALR Index under Building and Construction; Defenses; Indemnity; Insurance; Insurance Agents and Brokers; Notice of Claims.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: defend /3 indem! & notice /s broker! & construct!

POINTS OF COUNSEL

Richard Janowitz, Mineola, for appellant-respondent. The courts below erred in deciding that, as a matter of law, Strauss Painting, Inc.'s notice to Mt. Hawley Insurance Company was not given as soon as was practicable under the circumstances, and/or that the untimeliness of Strauss's notice was not reasonably excused under the facts and circumstances of this case, rather than allowing the issue to be decided by a jury. (*Mighty Midgets v Centennial Ins. Co.*, 47 NY2d 12; *Battle v State of*

New York, 257 AD2d 745; *Gerdes v Canales*, 74 AD3d 1017; *Accetta v Simmons*, 108 AD3d 1096; *Yu v Vantage Mgt. Servs., LLC*, 85 AD3d 564; *Siwek v Phillips*, 71 AD3d 469; *Rodriguez v Dixie N.Y.C., Inc.*, 26 AD3d 199; *Seccombe v Serafina Rest. Corp.*, 2 AD3d 516; *Abetta Boiler & Welding Serv., Inc. v American Intl. Specialty Lines Ins. Co.*, 76 AD3d 412; *Matter of Cohalan*, 71 Misc 2d 196.)

Crowell & Moring LLP, New York City (Clifton S. Elgarten, Stuart C. Levene and Jared A. Levine of counsel), for respondent-appellant. I. The lower courts failed to apply the plain language of the construction contract and Mt. Hawley Insurance Company's comprehensive general liability policy. (*Jacobson v Sas-sower*, 66 NY2d 991; *Revson v Cinque & Cinque, P.C.*, 221 F3d 59; *Vermont Teddy Bear Co. v 538 Madison Realty Co.*, 1 NY3d 470; *NML Capital v Republic of Argentina*, 17 NY3d 250; *Greenfield v Philles Records*, 98 NY2d 562; *Matter of Salvano v Merrill Lynch, Pierce, Fenner & Smith*, 85 NY2d 173; *Hooper Assoc. v AGS Computers*, 74 NY2d 487.) II. Mt. Hawley Insurance Company properly denied coverage to the Metropolitan Opera Association, Inc. based on late notice. (*Webster ex rel. Webster v Mount Vernon Fire Ins. Co.*, 368 F3d 209; *Roofing Consultants v Scottsdale Ins. Co.*, 273 AD2d 933; *Dryden Mut. Ins. Co. v Brockman*, 259 AD2d 947; *City of New York v St. Paul Fire & Mar. Ins. Co.*, 21 AD3d 978; *Tower Ins. Co. of N.Y. v Rong Rong Sun*, 105 AD3d 561; *Excelsior Ins. Co. v Antretter Contr. Corp.*, 262 AD2d 124; *Zappone v Home Ins. Co.*, 55 NY2d 131; *Commercial Union Ins. Co. v International Flavors & Fragrances, Inc.*, 822 F2d 267; *QBE Ins. Corp. v Jinx-Proof Inc.*, 102 AD3d 508; *Estee Lauder Inc. v OneBeacon Ins. Group, LLC*, 62 AD3d 33.) III. The lower courts correctly determined that Strauss Painting, Inc.'s notice was inexcusably late. (*Security Mut. Ins. Co. of N.Y. v Acker-Fitzsimons Corp.*, 31 NY2d 436; *Gershow Recycling Corp. v Transcontinental Ins. Co.*, 22 AD3d 460; *Blue Ridge Ins. Co. v Biegelman*, 36 AD3d 736; *Hartford Fire Ins. Co. v Baseball Off. of Commr.*, 236 AD2d 334; *Paul Developers, LLC v Maryland Cas. Ins. Co.*, 28 AD3d 443; *319 McKibben St. Corp. v General Star Natl. Ins. Co.*, 245 AD2d 26; *Mighty Midgets v Centennial Ins. Co.*, 47 NY2d 12; *U.S. Underwriters Ins. Co. v Manhattan Demolition Co.*, 250 AD2d 600; *Nowicki v Insur-america*, 103 AD2d 1013.)

Ahmuty, Demers & McManus, Albertson (William J. Mitchell of counsel), for respondent. I. Mt. Hawley Insurance Company did not disclaim coverage for late notice. (*Chelsea Vil. Assoc. v*

U.S. Underwriters Ins. Co., 82 AD3d 617; *United States Underwriters Ins. Co. v City Club Hotel, LLC*, 369 F3d 102; *J.T. Magen v Hartford Fire Ins. Co.*, 64 AD3d 266; *Admiral Ins. Co. v State Farm Fire & Cas. Co.*, 86 AD3d 486; *Industry City Mgt. v Atlantic Mut. Ins. Co.*, 64 AD3d 433; *Presbyterian Hosp. in City of N.Y. v Maryland Cas. Co.*, 90 NY2d 274; *Matter of Allcity Ins. Co. [Jimenez]*, 78 NY2d 1054; *Greater N.Y. Mut. Ins. Co. v Chubb Indem. Ins. Co.*, 105 AD3d 523; *Sierra v 4401 Sunset Park, LLC*, 101 AD3d 983; *Hartford Ins. Co. v County of Nassau*, 46 NY2d 1028.) II. The Metropolitan Opera Association, Inc. is an additional insured on Strauss Painting, Inc.'s liability policy. (*Long Is. Light. Co. v Hartford Acc. & Indem. Co.*, 76 Misc 2d 832; *Rentways, Inc. v O'Neill Milk & Cream Co.*, 308 NY 342; *Pecker Iron Works of N.Y. v Traveler's Ins. Co.*, 290 AD2d 426, 99 NY2d 391; *Mallad Constr. Corp. v County Fed. Sav. & Loan Assn.*, 32 NY2d 285; *Santamaria v 1125 Park Ave. Corp.*, 238 AD2d 259; *Zuckerman v City of New York*, 49 NY2d 557; *Brown Bros. Elec. Contrs. v Beam Constr. Corp.*, 41 NY2d 397; *Technicon Elecs. Corp. v American Home Assur. Co.*, 74 NY2d 66; *Sincoff v Liberty Mut. Fire Ins. Co.*, 11 NY2d 386; *National Screen Serv. Corp. v United States Fid. & Guar. Co.*, 364 F2d 275.)

OPINION OF THE COURT

Per Curiam.

By agreement dated September 3, 2008, Strauss Painting, Inc. (Strauss)/Creative Finishes, Ltd. (Creative) contracted with the Metropolitan Opera Association, Inc. (the Met) to perform work on the Met's premises; specifically, to strip and repaint the rooftop steel carriage track for the opera house's automated window-washing equipment (hereafter, generally referred to as the contract). The contract was a tailored version of the American Institute of Architects' "Abbreviated Form of Agreement Between Owner and Contractor For CONSTRUCTION PROJECTS OF LIMITED SCOPE where the Basis of Payment is a STIPULATED SUM" (AIA Document A107 [1978 ed]), with the parties' attached exhibits A through D made a part thereof. The first page of the contract designates the Met as "the Owner" and Strauss/Creative as "the Contractor."

I

Indemnification and Insurance Requirements

The contract mandates that Strauss/Creative indemnify and hold the Met harmless, "[t]o the fullest extent permitted by

law,” from and against all claims and damages attributable to bodily injuries “arising out of or resulting from” work performed by Strauss/Creative or any of its subcontractors “caused in whole or in part by [their] negligent act or omission,” and “regardless of whether or not . . . caused in part by [the Met].” The contract’s provisions addressing insurance obligate Strauss/Creative to purchase and maintain contractors liability insurance to protect the Met from claims under workers’ compensation and other employee benefit acts, and “claims for damages because of bodily injury . . . which may arise out of or result from [Strauss/Creative’s] operations” under the contract, whether undertaken by Strauss/Creative, any of its subcontractors or “anyone directly or indirectly employed by any of them.” Additionally, the insurance “shall include contractual liability insurance” applicable to Strauss/Creative’s contractual duty to indemnify and hold the Met harmless; and “[c]ertificates of such insurance shall be filed with [the Met] prior to the commencement of” the construction project.

Importantly, exhibit D, entitled “INSURANCE REQUIREMENTS,” fleshes out Strauss/Creative’s insurance obligations. This contract document requires Strauss/Creative to procure three types of insurance: (1) workers’ compensation insurance (para [a]); (2) owners and contractors protective liability (OCP) insurance with a combined single limit of \$5 million (para [b]); and (3) comprehensive general liability (CGL) insurance, with combined coverage for property and bodily injury with a minimum single limit of \$5 million, which might be met by umbrella coverage (para [c]). As relevant to this appeal, paragraph (b) of exhibit D, after identifying OCP coverage as an insurance requirement, specifies that “[l]iability should add [the Met] as an additional insured and should include contractual liability and completed operations coverage”; paragraph (e) directs Strauss/Creative to “furnish [the Met] [with] an Original Owners and Contractors policy,” and also to “provide certificates of insurance for the [Workers’] Compensation, the [CGL] and the ‘Umbrella’ Policy, prior to the commencement of the contract.”

The contract was signed on behalf of the Met as “OWNER” by the opera house’s manager, and on behalf of Strauss as “CONTRACTOR” by Ralph Drewes (Drewes) as “VP.”¹ Strauss and Creative, although separately owned, shared the same ad-

1. In other words, although the first page of the contract designates Strauss/Creative as “the Contractor,” Drewes executed the contract on a

(n. cont’d)

dress and some of the same employees.² At his deposition, Drewes testified that he ran the day-to-day operations of both companies, and reported to both Victor Strauss, the owner and president of Strauss, and Hillary J. Klein, the owner and president of Creative. Strauss did not have an agreement with District Council 9, the painters' union, while Creative did, and the contract between Strauss/Creative and the Met required the construction project to be carried out by "fully insured union painters." For this reason, Strauss subcontracted the labor to Creative by agreement dated September 3, 2008, consisting of an unaltered standard form contract with an agreed-upon rider and attachments, and the underlying construction contract between Strauss/Creative and the Met (hereafter, the subcontract).

The subcontract designates Strauss as "the Contractor" and Creative as "the Subcontractor," and generally requires Creative to undertake the construction project in accordance with the terms of the contract, and to provide specified insurance and indemnify and hold harmless the Met and/or Strauss. The subcontract makes Creative solely responsible for work site safety. Victor Strauss signed the subcontract on behalf of Strauss; Drewes testified that he "believe[d] that [he] signed it on behalf of Creative."³

Creative began work on the construction project on September 4, 2008. At some point, the Met was supplied with a certificate of insurance for a CGL policy issued by Nova to Creative, stating that the Met and Strauss were additional insureds under the policy.⁴ The Met was never furnished an original OCP policy covering the construction project, and, as it turned out, neither

signature line identifying only Strauss as "CONTRACTOR" (see *Mayo v Metropolitan Opera Assn., Inc.*, 108 AD3d 422, 424 [1st Dept 2013] [concluding, in the Met's third-party action against Strauss, Creative and Nova Casualty Company (Nova), Creative's CGL insurer, that an issue of fact exists with respect to whether Drewes had authority or intent to bind Creative to the contract]). Throughout this opinion, we have generally identified "Strauss/Creative" as the contractor because this is what the contract's first page says. We do not intend thereby to imply that Creative is bound to the contract, an issue which has yet to be resolved. But, of course, whether or not Creative is bound to the contract, Strauss surely is.

2. In its corporate disclosure statement filed in this Court, Strauss identifies Creative as an "affiliated corporation."

3. The subcontract bears the handwritten signature "Hillary J. Klein" with Drewes's initials.

4. The record does not include a copy of this policy, or of the certificate of insurance.

Strauss nor Creative actually purchased an OCP policy to protect the Met.

Strauss’s CGL Policy with Mt. Hawley

At the time Strauss/Creative contracted with the Met, Strauss had in place a CGL policy issued by Mt. Hawley Insurance Company (Mt. Hawley) for the policy period of November 7, 2007 to November 7, 2008. The policy included ISO (Insurance Services Office, Inc.) form endorsement CG 20 33 07 04 (“ADDITIONAL INSURED—OWNERS, LESSEES OR CONTRACTORS—AUTOMATIC STATUS WHEN REQUIRED IN CONSTRUCTION AGREEMENT WITH YOU”), which specifies as follows:

“WHO IS AN INSURED is amended to include as an additional insured any person or organization for whom [Strauss is] performing operations *when [Strauss] and such person or organization have agreed in writing in a contract or agreement that such person or organization be added as an additional insured on [Strauss’s] policy*” (emphasis added).

Under the policy, “such person or organization” would be an additional insured with respect to liability for bodily injury so long as the injury was caused, at least in part, by Strauss’s acts or omissions or “[t]he acts or omissions of those acting on [Strauss’s] behalf.”

Regarding notice, the policy specifies that bodily injury “will be deemed to have been known to have occurred at the earliest time when any insured listed under . . . WHO IS AN INSURED or any employee authorized by [an insured] to give or receive notice of an occurrence or claim . . . [b]ecomes aware . . . that bodily injury . . . has occurred or has begun to occur” (internal quotation marks omitted). Further, the insured “must see to it that [Mt. Hawley is] notified as soon as practicable of an occurrence or an offense which may result in a claim” (internal quotation marks omitted).

The Accident, the Personal Injury Lawsuit and Notice to the Insurers

On September 16, 2008, Manuel Mayo (Mayo), a Creative employee, was injured when he fell from a fixed ladder located on the sixth floor of the opera house. This 15-foot ladder led to a hatch door in the ceiling, which provided access to the rooftop

and thus the steel carriage track. Mayo was trying to close the hatch door at the end of his shift when he lost his footing. Drewes first learned of Mayo's accident when the receptionist/office manager at Creative's office fielded a telephone call late in the workday on September 16th from someone at the opera house. The caller (not identified in the record) reported that Mayo had been injured and was being transported to the hospital by ambulance. Drewes happened to be in the office at the time the call was received.

The next day Drewes called his "primary contact" at I. Dachs & Sons, Inc. (Dachs), the insurance broker for both Creative and Strauss, to discuss upcoming liability insurance renewals. During this conversation, Drewes brought up Mayo's accident, and was "[led] to believe by [the broker] that there was no reason to notify the carrier, general liability carrier, because it was a workers' compensation claim."

Creative timely filed an "EMPLOYER'S REPORT OF WORK-RELATED ACCIDENT/OCCUPATIONAL DISEASE" (Form C-2) to notify the Workers' Compensation Board and Creative's compensation carrier about Mayo's accident. "A couple of days later" or perhaps "a week after" Mayo's accident while Drewes was at the opera house to check on how the construction project was coming along, he mentioned to the Met's house manager that "[t]here was an accident, the man was hurt and he [i.e., Drewes] expected him [i.e., Mayo, the injured worker] to come back to work, [and] at that point it was a worker's comp claim."⁵

By complaint dated November 19, 2008, Mayo and his wife sued the Met and Lincoln Center for the Performing Arts, Inc. (Lincoln Center), asserting causes of action for negligence, violations of the Labor Law and loss of consortium in connection with Mayo's work-related injuries (hereafter, the *Mayo* lawsuit). Mayo alleged that the hatch door was broken and in disrepair, the ladder's rungs were worn and not skid-resistant, and there were no proper safety devices such as a cage, safety belt or safety line. The Met received the summons and complaint in the *Mayo* lawsuit from the Secretary of State on December 5, 2008.

That same day, the Met's in-house attorney wrote to Strauss and Creative, with a copy to Travelers Insurance Company

5. Deposition testimony included in the record, although incomplete, makes clear that the Met's house manager, assistant director of security and an in-house nurse knew about Mayo's accident just after it occurred.

(Travelers), the Met's primary liability carrier, forwarding the summons and complaint. The attorney advised Strauss that the Met expected to be indemnified and held harmless to the fullest extent permitted by law, as agreed to by Strauss in the contract. This December 5th letter also referred to the certificate of insurance provided the Met, which "evidenc[ed] General Liability coverage of \$1,000,000 per occurrence/\$2,000,000 aggregate from [Nova] and Excess/Umbrella Liability coverage issue[d] by RSUI Indemnity Co[.] in the amount of \$5,000,000 per occurrence and in the aggregate." Asserting that the Met was an additional insured under these policies, the attorney asked Strauss to "immediately notify these carriers that the Met expect[ed] them to provide, without cost to the Met, a defense in this lawsuit as well as indemnification." On December 11, 2008, the Met received another copy of the summons and complaint by mail, this time from the Mayos' lawyer. The Met's in-house attorney again wrote Strauss and Creative, with a copy to Travelers, forwarding the summons and complaint and requesting that "the necessary actions" be taken.

On December 29, 2008, a representative of Travelers wrote to Strauss, Creative, Nova and Dachs. She stated that Travelers was the general liability insurer for the Met and Lincoln Center, and that Travelers had received a complaint alleging that Mayo had been injured while working for Creative at the opera house; she then recited Strauss's obligation under the contract to indemnify and hold the Met harmless from claims such as the *Mayo* lawsuit, and to "procure insurance naming [the Met] as an additional insured." The Travelers representative enclosed copies of the lawsuit, contract and certificate of insurance, and asked for written confirmation that "a defense and indemnification will be provided, and [for] the identity of counsel assigned to the defense." On January 12, 2009, Mt. Hawley's broker received notice of the Met's claim (including a copy of Travelers' December 29th letter) from Dachs. Mt. Hawley's broker then faxed the Met's claim to Mt. Hawley, which acknowledged receipt on January 14, 2009.

Mt. Hawley's Response to Strauss's and the Met's Tenders and the Met's Third-Party Action

On February 3, 2009, Mt. Hawley wrote to Strauss to deny coverage on the basis of late notice because Strauss "was aware of this occurrence on the date it occurred[,] which was September 16, 2008"; and to inform Strauss that Mt. Hawley was

“reviewing the information as to whether [the Met] and/or [Lincoln Center] qualify as additional insureds under the terms of [the] policy.” Finally, Mt. Hawley let Strauss know that it had tendered the defense of the *Mayo* lawsuit to Nova on its behalf; i.e., by letter dated February 2, 2009, with copies to Drewes and Dachs, Mt. Hawley asked Nova to defend and indemnify the Met and Lincoln Center in the *Mayo* lawsuit, and to defend and indemnify Strauss in any third-party action brought by the Met and Lincoln Center.

In a letter to Travelers, also dated February 3, 2009, Mt. Hawley first observed that the contract between the Met and Strauss/Creative nowhere stated that Lincoln Center was to be indemnified or made an additional insured under any policy issued to Strauss and/or Creative. Accordingly, Mt. Hawley denied Travelers’ tender as to Lincoln Center.⁶ Mt. Hawley continued that it was “attempting to determine” whether the Met qualified as an additional insured under the terms of its CGL policy with Strauss.

Referring to the C-2, which showed that Mayo was employed by Creative, Mt. Hawley requested “copies of checks [that] [the Met] issued for payment of the work required in the contract,” adding that “[i]t [was] questionable as to whether [Strauss] was actually involved in this work.” Mt. Hawley noted that, in light of the additional insured endorsement in its CGL policy with Strauss, “we need to determine whether [Strauss] was actually involved in this work in order to determine whether [the Met] is added as an additional insured”; and that “[a]t this point in time, [Mt. Hawley] reserves the right to assert that [the Met] is not an additional insured under the Policy . . . issued to [Strauss]; [h]owever, we continue to ask for more information and it may take further discovery to determine our obligations.” Summing up, Mt. Hawley told Travelers that

“[a]s we have denied coverage for contractual indemnification to [Strauss] and have reserved our rights as to whether [the Met] is an additional insured under the policy issued to [Strauss], we will not be taking over the defense and/or indemnification of [the Met] at this time. As stated above, we

6. The December 29th letter from Travelers did not purport to ask Mt. Hawley to defend and indemnify Lincoln Center, the Met’s landlord. Lincoln Center, the organization (as opposed to Lincoln Center, the Met’s address), is not mentioned in either the contract or the subcontract.

have denied coverage for contractual indemnification as to [Lincoln Center].”

On March 4, 2009, Mt. Hawley again wrote Travelers, this time stating that the information requested in the February 3rd letter (i.e., copies of checks issued by the Met to Strauss to pay for the construction project) had not been received, and that its “investigation [had] yielded information that [the Met] was aware of this loss on the date that it occurred . . . [since] [a]pparently . . . [the Met] contacted [Drewes] at [Strauss] to inform him of the accident.” Mt. Hawley added that “[s]hould the information that we have been provided be correct, no coverage would apply to [the Met] in this lawsuit,” and requested an affidavit as to when the Met “first became aware” of Mayo’s accident. Mt. Hawley further declared that “[u]ntil such time as we can review the affidavit being provided, [Mt. Hawley] reserves the right to assert that no coverage would apply based on” the CGL policy’s notice provision. Both the Met and Lincoln Center are shown as copied on this letter. That same day, March 4, 2009, Mt. Hawley wrote to Strauss’s attorney, reiterating its denial of coverage to Strauss on the ground of late notice.

Meanwhile, on January 28, 2009, Nova responded to Travelers’ December 29th letter by disclaiming coverage of the Met as an additional insured on Creative’s CGL policy due to late notice (see *Mayo v Metropolitan Opera Assn., Inc.*, 2011 NY Slip Op 32943[U], *12 [Sup Ct, NY County 2011]). The Met was not copied on this disclaimer letter sent to Travelers.

On February 6, 2009, the Met brought a third-party action in the *Mayo* lawsuit against Strauss, Creative and Nova. The Met alleged causes of action against Strauss and Creative for common-law and contractual indemnification, and for breach of contract for failure to purchase the OCP policy required by exhibit D of the contract, and alleged a cause of action against Nova for breach of contract for denying coverage.

Strauss’s Lawsuit against Mt. Hawley and the Met and the
Decisions Below

By complaint filed on March 16, 2009, Strauss commenced this action against Mt. Hawley and the Met, seeking a declaration that Mt. Hawley was obligated to defend and indemnify it in the Met’s then just-filed third-party action. On June 16, 2010, 15 months later, the Met cross-claimed against Mt. Hawley, asking in its first cross claim for a declaration that it was an additional insured on Strauss’s CGL policy, thereby requiring Mt.

Hawley to defend and indemnify it in the *Mayo* litigation; on July 9, 2010, the Met moved for summary judgment on this cross claim. On July 14, 2010, Mt. Hawley moved to dismiss the Met's cross claims as untimely, and on July 30, 2010, Mt. Hawley cross-moved for summary judgment against the Met, seeking a declaration that it was not obligated to defend and indemnify the Met in the *Mayo* lawsuit. Then on July 26, 2010, Mt. Hawley moved for an order granting summary judgment to dismiss Strauss's complaint and to declare that it was not obligated to defend and indemnify Strauss in the *Mayo* lawsuit.⁷

Supreme Court disposed of these motions and cross motion in a decision and order dated October 13, 2011 (2011 NY Slip Op 32706[U] [Sup Ct, NY County 2011]). Addressing the Met's motion and Mt. Hawley's cross motion, the Judge determined that the Met was an additional insured on Strauss's CGL policy, and that while the Met's three-month (counting from the date of the lawsuit) or four-month (counting from the date of the accident) delay in notifying Mt. Hawley was unreasonable as a matter of law, Mt. Hawley did not comply with its statutory duty under Insurance Law former § 3420 (d)⁸ to promptly disclaim coverage, as the letters from Mt. Hawley to Travelers and/or the Met only reserved Mt. Hawley's right to do so. Consequently, the Judge ruled that Mt. Hawley was precluded from disclaiming coverage to the Met. Relatedly, Supreme Court denied Mt. Haw-

7. The *Mayo* lawsuit settled on October 16, 2013. The Met's third-party action, which had previously been severed from the underlying personal injury lawsuit, remains pending. According to the Met's counsel, the settlement "preserved the third-party actions and all insurance coverage and contractual indemnity rights among all of the defendant parties and their carriers."

8. This provision specified that

"[i]f under a liability policy delivered or issued for delivery in this state, an insurer shall disclaim liability or deny coverage for death or bodily injury arising out of a motor vehicle accident or any other type of accident occurring within this state, it shall give written notice as soon as is reasonably possible of such disclaimer of liability or denial of coverage to the insured and the injured person or any other claimant" (Insurance Law former § 3420 [d]).

In response to our decision in *Preserver Ins. Co. v Ryba* (10 NY3d 635, 642 [2008] [under Insurance Law former § 3420 (d), a policy is "issued for delivery" in New York only if it "covers both insureds and risks located in this state"]], the legislature struck "issued for delivery" from section 3420 (d), which now covers liability policies that are "issued or delivered in this state" (see Insurance Law § 3420 [d] [2]; see also L 2008, ch 388 [eff Jan. 17, 2009 for policies issued or delivered in New York on or after that date and any action maintained under such a policy]).

ley's motion to dismiss the Met's cross claim due to untimeliness, chalking up any delay to Mt. Hawley's neglect to disclaim coverage promptly; and dismissed Strauss's complaint against Mt. Hawley on the basis of its late notice to Mt. Hawley of Mayo's accident.

In its decision and order dated April 11, 2013, the Appellate Division agreed with Supreme Court that Mt. Hawley was required to defend the Met in the *Mayo* lawsuit because the contract directed Strauss to purchase liability insurance naming the Met as an additional insured, and the CGL policy issued by Mt. Hawley to Strauss contained an additional insured endorsement (105 AD3d 512, 513 [1st Dept 2013]). The court also agreed with Supreme Court that Mt. Hawley had not timely disclaimed coverage; rather, its letters were only "intended to preserve its right to disclaim," and thus were "insufficient to actually disclaim coverage" (*id.*). Finally, the Appellate Division rejected Strauss's claim that its notice to Mt. Hawley was timely, opining that

"[Strauss's] notice of the accident to Mt. Hawley was untimely as a matter of law, and Mt. Hawley timely disclaimed coverage on that ground. [Strauss's] notice to its broker did not provide timely notice to Mt. Hawley. There is no indication that [Strauss's] broker acted as an agent for Mt. Hawley or that the CGL policy listed [Strauss's] broker as its agent" (*id.* at 514).

Strauss now appeals and Mt. Hawley cross-appeals pursuant to leave granted by the Appellate Division on August 20, 2013, asking us whether its order in this matter was properly made (2013 NY Slip Op 82536[U] [1st Dept 2013]).

II

In this long-running coverage dispute, Strauss's appeal calls upon us to decide whether Strauss timely notified Mt. Hawley of Mayo's accident. Mt. Hawley's cross appeal poses the threshold question of whether the Met is an additional insured on Strauss's CGL policy with Mt. Hawley; and then, if it is, whether Mt. Hawley promptly notified the Met that it was disclaiming coverage on account of untimely notice.

Strauss's Appeal

[1] Strauss argues that the lower courts erred when they concluded that its notice to Mt. Hawley was untimely as a mat-

ter of law. Relying on *Mighty Midgets v Centennial Ins. Co.* (47 NY2d 12 [1979]), Strauss takes the position that whether it gave notice to Mt. Hawley “as soon as practicable” or, alternatively, whether its late notice was excusable are questions for the trier of fact and may not be decided as a matter of law. This is so, Strauss contends, because Drewes followed his usual and customary practice of promptly notifying Dachs, Strauss’s broker, of Mayo’s accident, with every reasonable expectation that Dachs, in turn, would timely notify the proper insurer.

We have long held that a policyholder’s timely notice to a broker does not “constitute the notice contemplated by the [insurance] policy since a broker is normally the agent of the insured and notice to the ordinary insurance broker is not notice to the liability carrier” (*Security Mut. Ins. Co. of N.Y. v Acker-Fitzsimons Corp.*, 31 NY2d 436, 442 n 3 [1972]; see also *Hartford Fire Ins. Co. v Baseball Off. of Commr.*, 236 AD2d 334, 334 [1st Dept 1997] [late notice was not excused even though the policyholders “instructed their broker to inform (the primary and excess insurers) about the lawsuit shortly after its commencement”], *lv denied* 90 NY2d 803 [1997]; *Gershow Recycling Corp. v Transcontinental Ins. Co.*, 22 AD3d 460, 462 [2d Dept 2005] [a policyholder’s “timely notice of the action to its broker is of no consequence” and thus does not excuse the failure to comply with notice obligations under an insurance policy]). Our decision in *Mighty Midgets* does not alter this fundamental principle.

Mighty Midgets was a nonprofit corporation organized to encourage, manage and otherwise support boys’ football teams in Orangetown in Rockland County. The Dunn & Fowler Division of Frank B. Hall & Company (Dunn) secured two insurance policies for the Orangetown Midgets: a liability policy from Centennial Insurance Company (Centennial) and a policy providing accident and health protection with the Hartford Accident & Indemnity Company (the Hartford). We described Dunn as “a leading specialist in athletic team insurance and apparently the organization upon which the more than 2,500 teams enrolled in the national program of which the Midgets were a part would rely for guidance in insurance matters” (*Mighty Midgets*, 47 NY2d at 17).

The roles of Dunn and Centennial were uncommonly intertwined; specifically, in addition to being the solicitor of liability policies with Centennial, Dunn collected the premiums and was designated by the policy as “agent or broker.” Dunn wrote most

of its athletic team business with Centennial, which entrusted Dunn with large batches of blank policies already executed by Centennial-authorized signatories, leaving it completely up to Dunn to fill in policy numbers, names of insureds, premiums and the date a policy was to go into effect.

On October 18, 1970, a nine-year-old boy, a member of a Midgets-sponsored team, was injured when, right after a game in which he had played, a large pot of boiling water which rested on the counter of an improvised hot dog stand operated by the Midgets as a fundraising activity was “caused to pour over him” (*id.*). Robert Halle (Halle), the 21-year-old volunteer president of the Midgets, was not present at the time, but he learned of the accident before the day was out and called Dunn to ask “whether he should ‘put it under a medical or [a] liability claim’ ” (*id.*). The Dunn representative instructed Halle to notify the Hartford, and Halle dutifully filed a claim with the Hartford, on a form supplied by Dunn.

Then on April 7, 1971, the Hartford notified the Midgets that its policy did not cover the accident because it happened after the game in which the nine year old had played. Although the nine year old’s father, “an avid supporter of the Midgets,” had never before exhibited the slightest inclination to pursue a liability claim, the Hartford’s refusal to pay his son’s medical claim caused him to consult a lawyer, who wrote the Midgets a letter dated May 25, 1971, indicating that a liability suit was “in the offing” (*id.* at 18).

Halle immediately forwarded the lawyer’s letter to Centennial in care of Dunn. This was the Midgets’ first written notice to Centennial. The liability policy required notice of an occurrence to be made to the insurer in writing and “as soon as practicable.” In light of the seven-month delay, Centennial disclaimed coverage due to untimely notice, and the Midgets brought a declaratory judgment action.

On this record, the trial judge, sitting without a jury, found as a fact

“(1) that Dunn’s handling of the communications from Halle was negligent; (2) that, ‘under the circumstances’, including Halle’s ‘limited . . . understanding of insurance matters’ and the relationship between Dunn and Centennial, the Midgets acted reasonably in that they did all that they ‘could do’ until the arrival of the letter on May 25 first

disabused them of the misinformation Dunn had imparted; and (3) that the letter transmitting the . . . lawyer's liability claim letter constituted written notice given 'as soon as practicable' after the claim was made" (*id.* at 18-19 [footnote omitted]).

The Appellate Division affirmed, with two Justices dissenting (62 AD2d 1014 [2d Dept 1978]). There was no disagreement about the facts; the dissenters simply would have held the written notice to be untimely.

Sitting as a six-Judge Court, we also affirmed, by a margin of four to two. The dissenters commented that "it [was] especially difficult to conclude that it was not 'practicable' to give notice long before the expiration of seven months when the insured gave the agent oral notice the day after the accident" (47 NY2d at 23 [Jones, J., dissenting]). The majority ruled, however, that "in the facts and circumstances" presented,

"there was enough evidence from which it could be found that the Midgets' failure to notify the insurer before it did was not unreasonable and that, consequently, Centennial was not entitled to disclaim. Since our review is limited to determining whether the conclusion of the fact-finding courts finds support in the evidence, we must uphold their determination" (*id.* at 16, 21).

Like the lower courts, the "facts and circumstances" that we considered particularly compelling were not just Halle's youth and "limited personal and vocational background[] [which was] totally alien to either the world of insurance or that of the law" (*id.* at 18), but also the unusually close ties between Centennial and Dunn, which reasonably caused Halle to solicit and blindly follow Dunn's advice.

Here, by contrast, although Dachs may have long been Strauss's insurance broker, nothing in this record reveals the kind of close relationship between Dachs and Mt. Hawley that existed between Dunn (which was also Centennial's agent for receipt of notice of claim) and Centennial. The record here does not support the proposition that the insurer and broker had a relationship sufficiently close to suggest that service to the broker was effectively service to the insurer. By contrast, in a situation more akin to *Mighty Midgets* it might be possible for even a relatively sophisticated representative of an insured to have a good faith, reasonable belief that notice to the broker is sufficient if the insurer's own actions hold the broker out to be its

agent for the purpose of giving notice. In such a case, if the effect of the insurer's representations is to lull the insured into a false belief that notice had been provided through the agent, the insurer should not be able to raise the insured's failure to provide an earlier notice as a defense to coverage.

Further, it should be noted that Drewes was not an unsophisticated 21 year old like Halle, unusually dependent upon Dunn, the insurance broker, for advice and guidance. Rather, Drewes was the longtime day-to-day operations manager of two construction contractors in New York City. Indeed, by virtue of Drewes's experience in the construction industry, it is a wonder that he did not grasp the overwhelming probability that Strauss would be drawn into a Labor Law lawsuit immediately upon learning that Mayo had suffered an elevation-related injury while on the job. In short, the outcome in *Mighty Midgets* turned on unusual and extenuating facts, not remotely comparable to the circumstances of this case.

Mt. Hawley's Cross Appeal

Under the additional insured endorsement of Strauss's CGL policy, whether the Met was an additional insured hinges on whether Strauss and the Met "have agreed in writing in a contract or agreement that [the Met] be added as an additional insured on [Strauss's] policy." The Met argues that the second sentence of paragraph (b) of the contract's exhibit D contains the requisite agreement in writing. Paragraph (b), in its entirety, requires Strauss/Creative to procure the following insurance:

"b. Owners and contractors protective liability insurance with a combined single limit of \$5,000,000.00. *Liability should add the Metropolitan Opera Association as an additional insured and should include contractual liability and completed operations coverage*" (emphasis added).

Mt. Hawley counters that paragraph (b) simply reflects the Met's considered choice to require Strauss to purchase OCP coverage to protect the Met from risks arising out of Strauss's work, rather than mandating that Strauss include the Met as an additional insured on its CGL policy. Mt. Hawley observes that the OCP policy specified in this paragraph would have provided the Met with an unshared \$5 million limit; by contrast, as an additional insured on Strauss's CGL, the Met would have

to have shared the policy limits with Strauss and any other insureds on the policy.

[2] We agree with Mt. Hawley that the second sentence in paragraph (b) can only refer to the OCP coverage that Strauss promised to purchase for the Met in the first sentence—but never actually acquired. This conclusion is buttressed by paragraph (c) of exhibit D, which sets out Strauss’s insurance commitments to the Met with respect to CGL coverage, stating as follows:

“Comprehensive General Liability. Combined coverage for property and bodily injury with a minimum single limit of \$5,000,000.00 (Limits may be met with an ‘Umbrella Policy’[]).”

Notably, this provision—the only paragraph in exhibit D addressing Strauss’s insurance obligations with respect to CGL coverage—says nothing about including the Met as an additional insured on Strauss’s CGL policy. We therefore conclude that the Met is not an additional insured on the CGL policy issued to Strauss by Mt. Hawley.

Finally, because the Met is not an additional insured under Strauss’s CGL policy, we do not reach and need not decide the question of whether Mt. Hawley promptly notified the Met that it was disclaiming coverage under that policy due to untimely notice (*see Zappone v Home Ins. Co.*, 55 NY2d 131, 134 [1982] [“failure to disclaim coverage does not create coverage which (a liability) policy was not written to provide”]).

Accordingly, the order of the Appellate Division should be modified, without costs, by denying defendant Metropolitan Opera Association’s motion for summary judgment on its first cross claim and, as so modified, affirmed, and the certified question answered in the negative.

READ, J. (dissenting in part). The second sentence of exhibit D, paragraph (b) in the September 3, 2008 construction contract (hereafter, the contract) states as follows: “Liability should add the Metropolitan Opera Association as an additional insured and should include contractual liability and completed operations coverage.” While this sentence may be awkwardly phrased and infelicitously placed within exhibit D,¹ it is not ambiguous in light of the realities of the insurance marketplace. Given the

1. Exhibit D, entitled “INSURANCE REQUIREMENTS,” states in its entirety as follows:

differences between owners and contractors protective liability (OCP) and comprehensive general liability (CGL) policies, this sentence clearly obligates Strauss Painting, Inc. (Strauss) to have in place a CGL policy protecting the Metropolitan Opera Association, Inc. (the Met) as an additional insured. With all due respect to my colleagues, there is simply no other way to read it. Accordingly, I respectfully dissent from so much of the majority's decision as determined that the Met is not an additional insured on the CGL policy issued by Mt. Hawley Insurance Company (Mt. Hawley) to Strauss. For the reasons that follow, I would therefore answer the certified question in the affirmative.

I

An OCP policy covers the named insured's liability for bodily injury and property damage caused, in whole or in part, by the designated contractor's work for the insured on a specified construction project. The contractor purchases the OCP policy, which protects the insured from vicarious liability incurred as a result of the contractor's acts or omissions on the project, and liability arising out of the insured's own acts or omissions in connection with its "general supervision" of the work performed by the contractor (*see generally* Donald S. Malecki et al., *The Additional Insured Book*, International Risk Management Institute [IRMI] at 202-217 [7th ed 2013] [hereafter Malecki];

"a. Workman's Compensation Insurance covering contractors employees meeting all statutory requirements prescribed in New York State.

"b. Owners and contractors protective liability insurance with a combined single limit of \$5,000,000.00. Liability should add the Metropolitan Opera Association as an additional insured and should include contractual liability and completed operations coverage.

"c. Comprehensive General Liability. Combined coverage for property and bodily injury with a minimum single limit of \$5,000,000.00 (Limits may be met with an 'Umbrella Policy')[].

"d. Contractor will supply the Metropolitan Opera Association with a Hold Harmless and indemnify them against any and all claims arising from their work relative to this agreement.

"e. Contractor will furnish the Metropolitan Opera Association an Original Owners and Contractors policy. Also will provide certificates of insurance for the Workman's Compensation, the Comprehensive General Liability and the 'Umbrella' Policy, prior to the commencement of the contract.

"f. All insurance policies must contain a clause that insures the Metropolitan Opera Association a 30 day written notification of cancellation or non-renewal of policy."

Craig F. Stanovich, *OCP Liability versus Additional Insured Coverage*, IRMI [Oct. 2009] [hereafter Stanovich 2009], www.irmi.com/expert/articles/2009/stanovich10-cgl-general-liability-insurance.aspx).

Mt. Hawley insists that the second sentence of paragraph (b) obligated Strauss to include the Met as an additional insured on the OCP policy that the first sentence directed Strauss to purchase for the benefit of Lincoln Center for the Performing Arts, Inc. (Lincoln Center). For this reason, Mt. Hawley criticizes the Appellate Division for “failing to recognize the critical distinction between the OCP Policy, on which the Contractor was expressly required to have the Met named as an additional insured, and the CGL Policy, for which no such requirement existed”; and argues that “as the owner of the property, Lincoln Center would have been listed as the owner on any OCP Policy. The Met would have been an additional insured on that policy” (emphasis omitted).² This is how Mt. Hawley tries to explain away the requirement to make the Met an additional insured.

Lincoln Center owns the opera house and is the Met’s landlord; however, as Mt. Hawley itself pointed out when responding to Travelers’ December 29th letter, Lincoln Center (the entity) is nowhere mentioned in the contract, which identifies the Met as the project owner. Thus, there is no basis within the four corners of the contract for interpreting paragraph (b) as requiring Strauss to purchase an OCP policy issued in the name of Lincoln Center. And it is not obvious how such a policy could have been obtained since Lincoln Center was not the party with which Strauss contracted to perform the work.

Next, the second sentence of paragraph (b) states that the policy on which the Met is to be included as an additional insured must provide “contractual liability and completed operations coverage.” “Contractual liability” in this context refers to the liability assumed by Strauss under the contract’s hold harmless and indemnification provision, while “completed operations” refers to coverage for injuries or damages occurring

2. Apparently, the only ISO (Insurance Services Office, Inc.) endorsement available for use in adding an additional insured to an OCP policy is the “Additional Insured—Engineers, Architects or Surveyors (CG 20 31)” endorsement (see Malecki at 214, Appendix B), which obviously is not relevant here. In other words, there is no such thing as standard policy language for a lessee who contracts with a contractor for a construction project on the leased premises to become an additional insured on an OCP policy. This is not surprising since the lessee under such circumstances, as is the case with the Met here, would be the named insured on the policy.

after the construction project has been finished. These coverage options (i.e., contractual liability and completed operations) are available to an additional insured on a CGL policy; they are *not*, however, available on an OCP policy (*see e.g.* Craig F. Stanovich, *Contractual Liability and the CGL Policy*, IRMI [May 2002], www.irmi.com/expert/articles/2002/stanovich05.aspx?cmd [explaining how contractual liability insurance, found in the CGL insurance policy, applies]; Stanovich 2009 [“The OCP policy excludes coverage for bodily injury or property damage if such injury or damage takes place after the earlier of when the operation has been completed or put to its intended use by anyone other than another contractor or subcontractor working for the Designated Contractor on that project. *The ISO CG 20 37 and many insurers’ independently filed additional insured endorsements provide coverage for the additional insured for bodily injury or property damage within the products and completed operations hazard. This coverage option is not available on the OCP policy*” (emphasis added)]; Malecki at 58-60, 202). In short, the second sentence of paragraph (b) cannot mean that Strauss was required to purchase an OCP policy with contractual liability and completed operations coverage for the benefit of the Met as an additional insured because no such policy option exists. This pair of agreed-to coverages could only be provided by including the Met as an additional insured on Strauss’s CGL policy.

The Met sought in exhibit D to transfer or shift to Strauss in every way possible the risk of financial loss due to bodily injuries or property damages occurring in connection with the construction project by requiring Strauss to have in place (1) workers’ compensation insurance; (2) an OCP policy in favor of the Met as the named insured; (3) a contractual hold harmless and indemnification provision whereby Strauss assumed the Met’s tort liability arising out of construction operations; and (4) a CGL policy including the Met as an additional insured, which provided for contractual liability and completed operations coverage.

Known as the “belt and suspenders” approach, adding an indemnitee (here, the Met) as an additional insured on the indemnitor’s (here, Strauss’s) liability insurance gives “some protection to fall back on in the event there is a problem with the enforceability of the hold harmless agreement” (*id.* at 59-60, 69 [“(M)ost contractual risk transfers . . . involve using both an indemnity clause and additional insured status to work

hand-in-hand”]; *see also* The Handbook on Additional Insureds, American Bar Association at 38-39 [Michael Menapace et al. ed 2012] [“There are multiple reasons for a party to insist on both indemnification provisions and insurance requirements in a single contract . . . (T)he protection afforded by indemnification and hold harmless provisions, on the one hand, and additional insured coverage, on the other, are in many instances complimentary (sic) and not co-extensive. Thus, to maximize one’s protection, a party should include in the contract both an indemnification and hold harmless requirement and an additional insured requirement”]. Further, “[i]n the construction industry, general contractors and project owners who seek additional insured protection often will insist upon receiving [ISO endorsements allowing] coverage for both ongoing operations and completed operations” (*id.* at 51).

As Mt. Hawley points out, an OCP policy may be an alternative to adding the owner as an additional insured to the contractor’s CGL policy. But while there are advantages and disadvantages to each approach (*see generally* Malecki at 214-217), an OCP policy and additional insured status are not, as Mt. Hawley implies, mutually exclusive. Indeed, “[i]t is not unusual for an indemnitee to request both an OCP policy and additional insured status in the expectation that one of the coverages will apply in the event of a claim or suit” (*id.* at 216). Nothing (except perhaps cost and/or relative bargaining power) prevents a project owner from seeking to avail itself of the complementary advantages of *both* coverages, as the Met clearly did in this case.

Finally, Mt. Hawley contends that the Met sought OCP coverage in lieu of additional insured status as part of a “well-reasoned insurance scheme” since “[t]he OCP policy would provide the Met with protection arising out of [Strauss’s] work and, more importantly, . . . an unshared \$5M limit,” whereas, “[a]s an additional insured on [Strauss’s] CGL policy, the Met would . . . share the policy limits with all other insureds on the Policy—exposing the Met to a wasting of liability limits beyond its control.” Again, Mt. Hawley assumes that a project owner would only bargain with its contractor to provide OCP coverage or additional insured status on the contractor’s CGL policy, not both. It is certainly true that an OCP policy provides the named insured a separate set of limits, while CGL policy limits are shared by all insureds; that is one of the advantages that an OCP policy offers. But Mt. Hawley disputes that the Met was

the intended named insured on the OCP policy that Strauss agreed but failed to purchase; therefore, under Mt. Hawley's interpretation of exhibit D, paragraph (b), the Met would not, in fact, have enjoyed the benefit of the unshared limits that Mt. Hawley contradictorily also claims motivated the Met to choose coverage under an OCP policy rather than additional insured status under Strauss's CGL policy.

II

Because I conclude that the Met was an additional insured on Strauss's CGL policy, I reach the issue of whether Mt. Hawley promptly notified the Met that it was disclaiming coverage on account of untimely notice (*see* Insurance Law former § 3420 [d] [an insurer wishing to deny coverage on account of late notice "shall give written notice as soon as is reasonably possible of such disclaimer of liability or denial of coverage to the insured and the injured person or any other claimant"]). On February 3, 2009 Mt. Hawley stated, in a letter sent to Travelers, that it was attempting to determine whether the Met qualified as an additional insured under the policy.³ The word "disclaim" does not appear in this letter, and the word "denial" shows up only in the context of Strauss or the nonparty Lincoln Center. As to the Met, Mt. Hawley advised Travelers that "we need to determine whether Strauss Painting was actually involved in this work in order to determine whether [the Met] is added as an additional insured. At this point in time, [Mt. Hawley] reserves the right to assert that [the Met] is not an additional insured." In its letter to Travelers dated March 4, 2009, with a copy to the Met, Mt. Hawley stated that it was investigating how early the Met was aware of the Mayo incident. While this letter recited the policy's notice conditions, it merely cautioned, in the conditional tense, that "[s]hould the information that we have been provided be correct, no coverage *would* apply" to the Met (emphases added).

In sum, the two letters constituted ineffective notice because they did not disclaim coverage; instead, they reserved the right to disclaim coverage in the future (*see Hartford Ins. Co. v County of Nassau*, 46 NY2d 1028, 1029 [1979] ["A reservation of rights letter has no relevance to the question whether the insurer has

3. In this case, the Met did not raise the issue of whether an insurer may validly disclaim coverage by sending written notice to the insured's own carrier only (*see Sierra v 4401 Sunset Park, LLC*, 24 NY3d 514 [2014] [decided today]).

timely sent a notice of disclaimer of liability or denial of coverage”]; *Norfolk & Dedham Mut. Fire Ins. Co. v Petrizzi*, 121 AD2d 276, 277 [1st Dept 1986] [“A letter from an insurance company to its policyholder which contains a reservation of the insurance company’s rights to disclaim coverage under its policy is not such a notice of disclaimer as to satisfy the requirements of the Insurance Law”]). Because Mt. Hawley never disclaimed for late notice, it waived the late notice defense (see *Hartford Ins.* at 1029 [“A failure by the insurer to give such notice as soon as is reasonably possible after it first learns of the accident or of grounds for disclaimer of liability or denial of coverage, precludes effective disclaimer or denial”])).

Judges GRAFFEO, SMITH, PIGOTT, RIVERA and ABDUS-SALAAM concur; Judge READ dissents in part in an opinion in which Chief Judge LIPPMAN concurs.

Order modified, without costs, by denying Metropolitan Opera Association, Inc.’s motion for summary judgment on its first cross claim and, as so modified, affirmed, and certified question answered in the negative.

[26 NE3d 210, 2 NYS3d 382]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v DWIGHT
R. DeLEE, Respondent.

Argued October 15, 2014; decided November 24, 2014

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the Fourth Judicial Department, from an order of that Court, entered July 19, 2013. The Appellate Division modified, on the law, a judgment of the Onondaga County Court (William D. Walsh, J.), which had convicted defendant, upon a jury verdict, of manslaughter in the first degree as a hate crime and criminal possession of a weapon in the third degree. The modification consisted of (1) reversing that part of the judgment convicting defendant of manslaughter in the first degree as a hate crime, and (2) dismissing count one of the indictment. The Appellate Division affirmed the judgment as modified.

People v DeLee, 108 AD3d 1145, modified.

HEADNOTES

Crimes — Verdict — Inconsistent Verdict — Repugnancy Doctrine

1. A verdict convicting defendant of first-degree manslaughter as a hate crime, but acquitting him of first-degree manslaughter was inconsistent, and thus repugnant. A verdict is repugnant only if it is legally impossible—under all conceivable circumstances—for the jury to have convicted the defendant on one count but not the other. All of the elements of first-degree manslaughter are included in the elements of first-degree manslaughter as a hate crime. Thus, to find defendant not guilty of first-degree manslaughter meant that at least one of the elements of first-degree manslaughter as a hate crime was not proved beyond a reasonable doubt. Repugnancy does not depend on the evidence presented at trial or the record of the jury's deliberative process. The instructions to the jury are examined only to determine whether the jury, as instructed, must have reached an inherently self-contradictory verdict. Therefore, the courts could not consider the opinion of the jury's foreperson that, based on the instructions, ordinary first-degree manslaughter was akin to a lesser included offense of the hate crime such that a conviction of the hate crime rendered conviction of the ordinary crime superfluous.

Crimes — Verdict — Inconsistent Verdict — Repugnancy — Remedy

2. In a criminal prosecution in which the jury rendered a repugnant verdict by convicting defendant of first-degree manslaughter as a hate crime, but acquitting him of first-degree manslaughter, the People were permitted to resubmit the crime of first-degree manslaughter as a hate crime to a new grand jury. The purpose of New York's repugnancy doctrine is, in part, to ensure that an individual is not convicted of a crime on which the jury has

actually found that the defendant did not commit an essential element. While such a rationale is consistent with the remedy of dismissal of the repugnant charge, a repugnant verdict does not always signify that a defendant has been convicted of a crime on which the jury actually found that he did not commit an essential element, since a jury is free to extend leniency and may decide not to convict a defendant of one or more charges. Thus, where a repugnant verdict is the result, not of irrationality, but mercy, the remedy of dismissal of the repugnant conviction is arguably unwarranted as it provides a defendant with an even greater windfall than he or she had already received. There is no constitutional or statutory provision that mandates dismissal for a repugnancy error. Given that New York's repugnancy jurisprudence affords defendants greater protection than the Federal Constitution requires, permitting a retrial on the repugnant charge upon which the jury convicted, but not on the charge of which the jury actually acquitted defendant, strikes a reasonable balance.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Trial §§ 1557, 1558, 1561.

CARMODY-WAIT 2d, Verdict and Postverdict Proceedings
§§ 202:11-202:13.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 24.10.

NY JUR 2d, Criminal Law: Procedure §§ 2841, 2842, 3622.

ANNOTATION REFERENCE

See ALR Index under Hate Crimes Statutes; Manslaughter; Verdicts.

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Database: NY-ORCS

Query: repugnant /3 verdict /p same /4 element

POINTS OF COUNSEL

William J. Fitzpatrick, District Attorney, Syracuse (James P. Maxwell of counsel), for appellant. This Court should reinstate defendant's conviction of manslaughter in the first degree as a hate crime. (*People v Tucker*, 55 NY2d 1; *People v Muhammad*, 17 NY3d 532; *People v Hampton*, 61 NY2d 963; *People v Abraham*, 22 NY3d 140; *People v Gallagher*, 69 NY2d 525; *United States v Powell*, 469 US 57; *Dunn v United States*, 284 US 390; *People v Carbonell*, 40 NY2d 948.)

Philip Rothschild, Hiscock Legal Aid Society, Syracuse, for respondent. The Appellate Division correctly reversed Dwight R. DeLee's conviction for manslaughter in the first degree as a hate crime, as it was legally repugnant to his acquittal for manslaughter in the first degree. (*People v Hunter*, 17 NY3d 725;

People v Gray, 86 NY2d 10; *People v Rosario*, 17 NY3d 501; *People v Abraham*, 22 NY3d 140; *People v Goodfriend*, 64 NY2d 695; *People v Tucker*, 55 NY2d 1; *People v Muhammad*, 17 NY3d 532; *United States v Powell*, 469 US 57; *Dunn v United States*, 284 US 390; *People v Carbonell*, 40 NY2d 948.)

Lambda Legal Defense and Education Fund, Inc., New York City (Thomas W. Ude, Jr., and M. Dru Levasseur of counsel), and Nancy Hoppock, Center on the Administration of Criminal Law at New York University's School of Law, New York City, for Lambda Legal Defense and Education Fund, Inc. and others, amici curiae. I. The jury's verdict was not inconsistent. (*People v Muhammad*, 17 NY3d 532; *People v Loughlin*, 76 NY2d 804.) II. This case presents issues of statewide importance concerning New York's Hate Crimes statute that require guidance from this Court. (*People v Pomie*, 55 AD3d 630; *People v Ribowsky*, 77 NY2d 284.) III. The documented harms inflicted by hate crimes make it particularly important that identified perpetrators are held accountable for their crimes. (*Wisconsin v Mitchell*, 508 US 476.)

Frank A. Sedita, III, District Attorney, Buffalo (Donna A. Milling, Morrie I. Kleinbart and Michael J. Hillery of counsel), for District Attorneys Association of the State of New York, amicus curiae. Repugnancy review should encompass any language in the jury charge, or omitted language, reasonably likely to have influenced the verdict's inconsistency. Otherwise, New York's repugnancy rule should be abandoned. (*People v Tucker*, 55 NY2d 1; *People v Muhammad*, 17 NY3d 532; *People v Lewie*, 17 NY3d 348; *People v Alonzo*, 16 NY3d 267; *People v Johnson*, 87 NY2d 357; *People v Cahill*, 2 NY3d 14; *United States v Powell*, 469 US 57; *People v Davis*, 58 NY2d 1102.)

New York State Association of Criminal Defense Lawyers, New York City (Marc Fernich and Brendan White of counsel), Diane Ferrone, New York City, Alfred O'Connor, New York State Defenders Association, Albany, and Richard M. Greenberg, Office of the Appellate Defender, New York City, for New York State Association of Criminal Defense Lawyers and others, amici curiae. The Court should not abandon, or otherwise invalidate, the *Tucker/Muhammad* rule, which safeguards a defendant's due process rights, and ensures confidence in the accuracy and reliability of the criminal justice system. (*People v Muhammad*, 17 NY3d 532; *People v Tucker*, 55 NY2d 1; *United States v Powell*, 469 US 57; *Dunn v United States*, 284 US 390; *People v*

Haymes, 34 NY2d 639; *People v McFadden*, 90 AD3d 413; *People v Kramer*, 118 AD3d 1040; *People v Lamont*, 113 AD3d 1069; *People v Spralling*, 91 AD3d 510.)

OPINION OF THE COURT

READ, J.

A Syracuse grand jury indicted defendant Dwight R. DeLee for second-degree murder as a hate crime (Penal Law §§ 125.25 [1]; 485.05 [1] [a]), second-degree murder (Penal Law § 125.25 [1]) and third-degree criminal weapon possession (Penal Law § 265.02 [1]).

Defendant was tried in County Court before a jury, which rendered a verdict convicting him of the lesser included offense of first-degree manslaughter as a hate crime (Penal Law §§ 125.20, 485.05 [1] [a]), acquitting him of the lesser included offense of first-degree manslaughter (Penal Law § 125.20) and convicting him of the charged weapon possession offense. Upon hearing the jury's verdict, defense counsel requested that the judge poll the jury and allow him to make "a motion before the jury is dismissed, at the Bench." After polling the jury, the judge held a sidebar, and counsel argued that the jury's verdict was inconsistent. After stating that he understood counsel's argument, the judge announced that he would call the jurors back to the courtroom and dismiss them, adding, "Is that acceptable?" Counsel replied, "Yes, Judge." When the jurors returned to the courtroom, the judge noted that he had "not excuse[d] them until [he] discussed the issue brought up by [defense counsel] with the lawyers." Recognizing that he had not previously taken the jury's verdict on ordinary second-degree manslaughter, the judge elicited from the jurors that they had acquitted defendant of that offense. He then dismissed the jury.

Prior to sentencing, defendant moved pursuant to CPL 330.30 (1) to set aside the verdict as repugnant. Defendant contended that, in light of the elements of first-degree manslaughter as a hate crime and ordinary first-degree manslaughter as charged to the jury, the verdict was repugnant because the two crimes shared the same basic elements, and therefore, as a matter of law, he could not be guilty of first-degree manslaughter as a hate crime and yet not guilty of ordinary first-degree manslaughter. The People countered that, because the judge instructed the jurors that a person commits first-degree manslaughter as a hate crime by committing first-degree manslaugh-

ter and additionally selecting the victim based on perceived sexual orientation, the jury must have concluded that ordinary first-degree manslaughter was akin to a lesser included offense of the hate crime, such that a conviction of the hate crime rendered a conviction of ordinary first-degree manslaughter superfluous. In support of this theory, the People presented an affidavit of the jury's foreperson.

At sentencing, the judge denied defendant's motion to set aside the verdict on repugnancy grounds without elaborating on his reasoning. Defendant appealed, and on July 19, 2013, the Appellate Division, with one Justice dissenting, modified the judgment on the law by reversing defendant's conviction for first-degree manslaughter as a hate crime and dismissing the first count of the indictment, and otherwise affirmed (108 AD3d 1145 [4th Dept 2013]). The Appellate Division concluded that defendant had preserved his repugnancy claim by arguing that the verdict was repugnant prior to the jury's discharge (*id.* at 1146). The court then explained that the verdict was repugnant because

“[b]y acquitting defendant of manslaughter in the first degree, the jury necessarily found that the People failed to prove beyond a reasonable doubt at least one element of manslaughter in the first degree. To find defendant guilty of manslaughter in the first degree as a hate crime, however, the jury must have found that the People proved beyond a reasonable doubt all of the elements of manslaughter in the first degree, plus the added element that defendant selected the victim due to his sexual orientation. It therefore follows that the verdict is inconsistent” (*id.* at 1146-1147).

The Appellate Division continued that,

“even assuming, arguendo, that the [trial judge] suggested to the jurors in its instructions that they could convict defendant of only one of the manslaughter in the first degree charges, . . . such a ‘suggestion’ would be immaterial inasmuch as the Court of Appeals has made clear that we may ‘look[] to the record *only* to review the jury charge so as to ascertain what essential elements were described by the trial court’ ” (*id.* at 1147, quoting *People v Tucker*, 55 NY2d 1, 7 [1981]).

The court pointed out that “even crediting the theory of the dissent that ordinary or plain manslaughter in the first degree is a lesser included offense of manslaughter in the first degree as a hate crime, the verdict is nevertheless inconsistent” because the jury “‘necessarily decided that one of the essential elements [of ordinary or plain manslaughter in the first degree] was not proven beyond a reasonable doubt’ ” (*id.* at 1148, quoting *People v Muhammad*, 17 NY3d 532, 539 [2011]).

The dissenting Justice rejected defendant’s claim on the merits (*id.* at 1151 [Peradotto, J., dissenting]). Stating that the critical inquiry was whether the jury, “*as instructed*,” reached an inherently self-contradictory verdict, she concluded that the jury’s verdict here was not repugnant (*id.* [internal quotation marks and citation omitted]). The People appealed to us by permission of the dissenting Justice (21 NY3d 1047 [2013]), and we now modify.

This case presents a straightforward application of *Tucker* and *Muhammad*, which clearly contemplate that when jury verdicts are absolutely inconsistent, the verdict is repugnant. The rationale for the repugnancy doctrine is that the defendant cannot be convicted when the jury actually finds, via a legally inconsistent split verdict, that the defendant did not commit an essential element of the crime (*Muhammad*, 17 NY3d at 539; *Tucker*, 55 NY2d at 6). Given that premise, “a verdict is repugnant only if it is legally impossible—under all conceivable circumstances—for the jury to have convicted the defendant on one count but not the other,” and, “[i]f there is a possible theory under which a split verdict could be legally permissible, it cannot be repugnant, regardless of whether that theory has evidentiary support in a particular case” (*Muhammad*, 17 NY3d at 539-540).

Accordingly, repugnancy does not depend on the evidence presented at trial or the record of the jury’s deliberative process, and “[t]he instructions to the jury will be examined only to determine whether the jury, as instructed, must have reached an inherently self-contradictory verdict” (*Tucker*, 55 NY2d at 8). In making these determinations, it is inappropriate for the reviewing court to “attempt to divine the jury’s collective mental process” (*id.* at 4). “Jurors are allowed to compromise, make mistakes, be confused or even extend mercy when rendering their verdicts” (*Muhammad*, 17 NY3d at 544).

[1] Here, the jury’s verdict was inconsistent, and thus repugnant. The jury convicted defendant of first-degree man-

slaughter as a hate crime, but acquitted him of first-degree manslaughter. In *Muhammad*, a very recent decision, we used the following hypothetical case to demonstrate how repugnancy analysis works:

“[Consider] a case where charge 1 requires proof of elements A, B and C; [and] charge 2 requires proof of elements A, B, C and D. If the jury convicts a defendant on the second charge, thereby finding that all four elements have been proven beyond a reasonable doubt, but acquits on the first charge, the verdict is repugnant since the acquittal would necessarily involve a finding that at least one of the essential elements of charge 2—either A, B or C—was not proven beyond a reasonable doubt” (*Muhammad*, 17 NY3d at 540 [internal quotation marks omitted]).

This is exactly what, in fact, happened in this case. All of the elements of first-degree manslaughter are included in the elements of first-degree manslaughter as a hate crime. Thus, to find the defendant not guilty of first-degree manslaughter necessarily means that at least one of the elements of first-degree manslaughter as a hate crime was not proved beyond a reasonable doubt.

The People’s reasoning to the contrary is not persuasive. The foreperson’s affidavit is the opinion of just one juror, and, in any event, cannot be considered under our long-standing precedent. Further, while the People argue that County Court’s charge allowed the jury to consider the hate crime as a separate track or inquiry from the non-hate crime, the judge specifically instructed the jurors to consider the non-hate crime charges separately and independently from their hate crime counterparts.

Next, we reach the question of the remedy. In *Muhammad*, we stated in a footnote that the remedy for a repugnant verdict was “dismissal of the repugnant conviction” (17 NY3d at 539 n 1). In other words, where the jury’s verdict proves to be repugnant, the appellate court must reverse the defendant’s conviction and dismiss the count of the indictment underlying that conviction. This was dictum since we held in *Muhammad* (and its companion case) that the verdicts were not, in fact, legally repugnant. Moreover, we cited as authority *People v Hampton* (61 NY2d 963, 964 [1984]) and *People v Carbonell* (40 NY2d 948, 948-949 [1976]), which do not discuss the proper

remedy for repugnant verdicts. Essentially, these brief, memorandum decisions merely state that the repugnant charges should be dismissed. *Carbonell*, moreover, predates *Tucker*, the case in which we first articulated our approach to repugnancy claims.

In *Muhammad*, we noted that the purpose of New York's repugnancy doctrine was, in part, to "ensure that an individual is not convicted of 'a crime on which the jury has actually found that the defendant did not commit an essential element, whether it be one element or all' " (*Muhammad*, 17 NY3d at 539, quoting *Tucker*, 55 NY2d at 6). While such a rationale is consistent with the remedy of dismissal of the repugnant charge, we have further recognized that a repugnant verdict does not always signify that a defendant has been convicted of a crime on which the jury actually found that he did not commit an essential element. Indeed, as we pointed out in *Tucker*, a jury "may freely reject evidence and exercise its mercy function" (55 NY2d at 8). In other words, regardless of the court's instructions, a jury is "free to extend leniency and may decide not to convict a defendant of one or more charges" (*Muhammad*, 17 NY3d at 539). In *Tucker*, we observed that, where a repugnant verdict was the result, not of irrationality, but mercy, courts "should not . . . undermine the jury's role and participation by setting aside the verdict" (55 NY2d at 7). But if this mercy function is the cause of a repugnant verdict, the remedy of dismissal of the repugnant conviction is arguably unwarranted. Indeed, it provides a defendant with an even greater windfall than he has already received.

[2] There is no constitutional or statutory provision that mandates dismissal for a repugnancy error. Given that New York's repugnancy jurisprudence already affords defendants greater protection than the Federal Constitution requires (see *Muhammad*, 17 NY3d at 538), permitting a retrial on the repugnant charge upon which the jury convicted, but not on the charge of which the jury actually acquitted defendant, strikes a reasonable balance. This is particularly so given that a reviewing court can never know the reason for the repugnancy. Accordingly, the People may resubmit the crime of first-degree manslaughter as a hate crime to a new grand jury (see *People v Mayo*, 48 NY2d 245, 253 [1979]).

Finally, we again emphasize that where "a trial court finds that an announced verdict is repugnant, it may explain the inconsistency to the jurors and direct them to reconsider their de-

cision” (*Muhammad*, 17 NY3d at 541 n 5). Indeed, under the Criminal Procedure Law the trial court not only may, but *must*, do so (*see* CPL 310.50 [2] [“If the jury renders a verdict which in form is not in accordance with the court’s instructions or which is otherwise legally defective, the court must explain the defect or error and must direct the jury to reconsider such verdict”]).

Accordingly, the order of the Appellate Division should be modified by granting the People, if they be so advised, leave to resubmit the charge of manslaughter in the first degree as a hate crime to another grand jury, and, as so modified, affirmed.

ABDUS-SALAAM, J. (concurring). I join the opinion of the Court in its entirety, as the Court properly disposes of this case. However, given that jurors may be misled by confusing instructions on the order of deliberations in future cases involving hate crime and regular charges arising from the same incident, as the jurors evidently were here, I write separately to suggest possible ways in which a trial court may properly instruct a jury so as to avoid repugnant verdicts in such cases.

Regardless of the specific relationship between a hate crime charge and an equivalent non-hate crime charge arising from the defendant’s commission of the same offense, the court should, at a minimum, unequivocally inform the jury that it cannot convict the defendant of the hate crime and at the same time acquit the defendant of the corresponding non-hate crime. Rather, the court should explain, if the jury considers both charges, it must either acquit on both, or it may convict on the hate crime,* or it may convict only on the lesser included non-hate crime.

Beyond that, amici in these cases propose different instructions on the manner in which a jury must deliberate on a hate crime charge and a related non-hate crime charge. For example, the District Attorneys Association of the State of New York asserts that the court should tell the jury that the non-hate crime is a lesser included offense of its hate-crime variant, such that if the jury convicts the defendant of the hate crime, it cannot deliberate on the non-hate crime allegedly committed by the same criminal conduct. Defendant suggests that the court should inform the jury that they must deliberate on both the hate crime

* Of course, again, the jury must be told that if it convicts on the hate crime, it must either convict on the non-hate crime or it must not reach a verdict on the non-hate crime.

charge and the non-hate crime charge, and any lesser included offenses under each charge, and arrive at a consistent verdict on all charges. By contrast Lambda Legal Defense and Education Fund and its associated amici suggest that the relationship between the crimes be explained via an interrogatory on the verdict sheet rather than an oral instruction. Under that approach, the court would provide the jury with a verdict sheet asking the jury to indicate its verdict on the non-hate crime charge and to separately declare whether it also found the existence of the bias motive which is essential to sustain a conviction on the hate crime charge.

With the exception of Lambda Legal's proposed special verdict sheet, which like any special verdict sheet is disfavored under the law (*see People v Ribowsky*, 77 NY2d 284, 290 [1991]), these proposed jury instructions all provide plausible guidance on the consideration of hate crime charges and related non-hate crime charges. I believe, though, that courts would provide particularly clear and legally correct guidance on this subject by telling the jury to treat a non-hate crime as a lesser included offense of an equivalent hate crime allegedly committed via the same criminal acts.

Under our precedent's criteria for lesser included offenses, a non-hate crime appears to be a lesser included offense of an equivalent hate crime. In that regard, we have held that one offense is a lesser included offense in relation to another offense if: (1) the alleged greater offense is unequivocally of a different degree, and carries a considerably different sentence, than the lesser offense; and (2) it is theoretically impossible to commit the greater offense without also committing the lesser offense by the same conduct (*see CPL 1.20* [37]; *People v Miller*, 6 NY3d 295, 300-302 [2006]; *People v Glover*, 57 NY2d 61, 63-64 [1982]). And, in *Miller*, we made clear that an offense which is classified under the same letter grade as a related offense may still be greater than the related offense if the two offenses "are unequivocally of different degrees and carry considerably different sentences" (*id.* at 300).

Because a hate crime and the equivalent non-hate or ordinary crime share all the same elements, with the exception of the bias motive that elevates a regular crime to a hate crime (*see Penal Law § 485.05*), it is impossible to commit the hate crime without also committing the ordinary crime. Furthermore, although a hate crime shares the same felony grade classification as an equivalent ordinary crime, the ordinary crime may be a

lesser included offense of the hate crime if the hate crime is unequivocally of a different degree than, and carries a considerably different sentence than, the ordinary crime. And, a hate crime is, as a practical matter, of a greater degree than, and carries a greater sentence than, the equivalent ordinary crime. In passing the Hate Crimes Act of 2000, the legislature plainly made hate crimes greater offenses than their equivalent ordinary crimes. The legislature expressly found that hate crimes are uniquely harmful in comparison to similar ordinary crimes because they “do more than threaten the safety and welfare of all citizens” by “intimidat[ing] and disrupt[ing] entire communities and vitiat[ing] the civility that is essential to healthy democratic processes” (Penal Law § 485.00). The legislature’s treatment of hate crimes as greater offenses is further codified in Penal Law § 485.10, which provides that when a defendant is convicted of a hate crime and “the specified [equivalent ordinary] offense is a misdemeanor or a class C, D or E felony,” the hate crime “shall be deemed to be one category higher than the specified offense” (Penal Law § 485.10 [2]), and that hate crimes with higher grade classifications must be punished within a defined set of severe sentencing ranges (*see* Penal Law § 485.10 [3], [4]). Thus, not only has the legislature concluded that hate crimes are of an unequivocally greater degree than their ordinary variants, but it has also decided to impose considerably higher sentences for hate crimes.

Accordingly, an ordinary crime is a lesser included offense of the equivalent hate crime, and in a case involving an ordinary criminal charge and the equivalent hate crime charge arising from the same criminal conduct, the jury should be told that the ordinary crime is a lesser included offense of the hate crime. To that end, the court should instruct the jury that if it convicts the defendant of the greater offense, it “will not consider” the lesser included offense (CJI2d[NY] Lesser Included Offenses). In that situation, the jury should be told to deliberate on any unrelated charges based on different criminal conduct. Of course, if the jury instead acquits the defendant of the hate crime, it should next deliberate on the equivalent ordinary offense, and in the event of an acquittal on that ordinary charge, it may consider any lesser hate crime or lesser included ordinary crime which has been charged based on the same conduct.

By preventing the jury from deliberating on an ordinary charge after it has convicted the defendant of the equivalent hate crime, a lesser included offense instruction would preclude

the jury from reaching an inconsistent verdict, or any verdict for that matter, on the ordinary crime. And, in the event that the jury ignores the instructions and convicts the defendant of both the hate crime and the corresponding ordinary crime, the court may eliminate excessive punishment by dismissing the non-hate crime count as an inclusory concurrent offense (*see* CPL 300.40 [3] [b]; *Miller*, 6 NY3d at 303-304). The treatment of an ordinary crime as a lesser included offense of the equivalent hate crime may also give appellate courts desirable flexibility in crafting appropriate remedies for any deficiency in the trial evidence establishing defendant's guilt of the hate crime. Specifically, where a defendant is convicted of a hate crime based on ample evidence of his conviction of the equivalent ordinary crime but on insufficient evidence of the bias motive, the court need not dismiss the entire conviction in the face of the compelling evidence of the defendant's guilt of the ordinary crime but may instead reduce the hate crime conviction to a conviction for the ordinary offense (*see* CPL 470.15 [2] [a]).

In sum, trial courts should instruct jurors in a clear manner to avoid repugnant verdicts in mixed hate-and-ordinary-crime prosecutions, and to achieve that goal, I believe courts should consider informing jurors that an ordinary crime is a lesser included offense of the corresponding hate crime.

Chief Judge LIPPMAN and Judges GRAFFEO, SMITH, PIGOTT, RIVERA and ABDUS-SALAAM concur; Judge ABDUS-SALAAM in a concurring opinion.

Order modified by granting the People, if they be so advised, leave to resubmit a charge of manslaughter in the first degree as a hate crime to another grand jury and, as so modified, affirmed.

[26 NE3d 237, 2 NYS3d 409]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v GRAHAM
REID, Appellant.

Argued November 18, 2014; decided December 16, 2014

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered January 3, 2013. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Arlene D. Goldberg, J.), as amended, which had convicted defendant, upon his plea of guilty, of criminal possession of a weapon in the third degree.

People v Reid, 104 AD3d 58, reversed.

HEADNOTE

Crimes — Unlawful Search and Seizure — Search Incident to Arrest — Officer’s Subjective Intent to Arrest

In a prosecution for criminal possession of a weapon, the pat down of defendant which led to the discovery of a switchblade knife in his pocket was not a search incident to defendant’s arrest because, although probable cause to arrest defendant for driving while intoxicated existed before the search, defendant would not have been arrested if the search had not produced evidence of a crime. The rationales justifying the “search incident to arrest” exception to the warrant requirement are officer safety and the preservation of evidence, neither of which provides a sufficient reason for upholding a search where no arrest is made. The doctrine, by its nature, requires proof that, at the time of the search, an arrest has already occurred or is about to occur. Where no arrest has yet taken place, the officer must have intended to make one if the “search incident” exception is to be applied. Here, although the arresting officer, before conducting the search, could lawfully have arrested defendant for driving while intoxicated based upon the officer’s observations, and the search was not unlawful solely because it preceded the arrest since the two events were substantially contemporaneous, the officer testified that but for the search there would have been no arrest at all. It was irrelevant that, because probable cause existed, there could have been an arrest without a search. A search must be incident to an actual arrest, not just to probable cause that might have led to an arrest, but did not.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Arrest §§ 32, 35; AM JUR 2d, Evidence §§ 600, 604, 612, 614, 643, 651; AM JUR 2d, Searches and Seizures §§ 11–12, 14, 21, 60, 73, 89, 105, 117, 119, 121–125, 133, 136, 142, 145, 175, 263–266, 282.
CARMODY-WAIT 2d, Search and Seizure §§ 173:25, 173:259–

173:260, 173:302–306, 173:346, 173:351, 173:353, 173:356, 173:361; CARMODY-WAIT 2d, Arrest or Other Detention; Post-Arrest Procedure § 177:34; CARMODY-WAIT 2d, Particular Types of Evidence §§ 194:283, 194:285.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 3.1–3.8, 9.4.

NY JUR 2d, Criminal Law: Procedure §§ 69, 96, 135, 224, 355, 462, 478–481, 507, 510, 513, 520–525, 627, 2224, 2226, 3573.

ANNOTATION REFERENCE

Lawfulness of nonconsensual search and seizure without warrant, prior to arrest. 89 ALR2d 715.

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POINTS OF COUNSEL

Davis Polk & Wardwell LLP, New York City (*Antonio J. Perez-Marques*, *Marc J. Tobak* and *Gabriel Jaime* of counsel), and *Steven Banks*, *The Legal Aid Society*, *Criminal Appeals Bureau*, New York City (*Peter R. Mitchell*, *John Schoeffel* and *Andrew C. Fine* of counsel), for appellant. I. Probable cause to arrest does not suffice to justify a warrantless search. (*Arizona v Gant*, 556 US 332; *Katz v United States*, 389 US 347; *People v Diaz*, 81 NY2d 106; *Cupp v Murphy*, 412 US 291; *Terry v Ohio*, 392 US 1; *Chimel v California*, 395 US 752; *Knowles v Iowa*, 525 US 113; *People v Belton*, 55 NY2d 49; *United States v Robinson*, 414 US 218; *People v Evans*, 43 NY2d 160.) II. The Appellate Division’s rule invites unconstitutional exploratory searches. (*Terry v Ohio*, 392 US 1; *People v De Bour*, 40 NY2d 210; *Cupp v Murphy*, 412 US 291; *People v Knapp*, 52 NY2d 689.) III. The courts below conclusively determined that defendant was not in custody or under arrest at the time of the warrantless search. (*People v McRay*, 51 NY2d 594; *People v Burr*, 70 NY2d 354; *People v Campbell*, 87 NY2d 855; *People v Harrison*, 57 NY2d 470.)

Cyrus R. Vance, Jr., *District Attorney*, New York City (*Richard Nahas* and *Vincent Rivellese* of counsel), for respondent. The search incident to arrest was proper because it was conducted after the police developed probable cause to arrest defendant and it was nearly contemporaneous with his arrest. (*People v*

Martin, 50 NY2d 1029; *Pennsylvania v Mimms*, 434 US 106; *Terry v Ohio*, 392 US 1; *People v Gomez*, 13 NY3d 6; *People v Batista*, 88 NY2d 650; *People v De Bour*, 40 NY2d 210; *United States v Robinson*, 414 US 218; *People v Weintraub*, 35 NY2d 351; *Chimel v California*, 395 US 752; *People v Evans*, 43 NY2d 160.)

New York Civil Liberties Union Foundation, New York City (Alexis Karteron, Christopher Dunn and Philip Desgranges of counsel), for New York Civil Liberties Union, amicus curiae. I. When an officer has no intention of making an arrest, the Fourth Amendment and New York law prohibit application of the search incident to arrest exception to the warrant requirement. (*Knowles v Iowa*, 525 US 113; *People v Erwin*, 42 NY2d 1064; *People v Evans*, 43 NY2d 160; *Sibron v New York*, 392 US 40; *Terry v Ohio*, 392 US 1; *People v Marsh*, 20 NY2d 98; *McDonald v United States*, 335 US 451; *Arizona v Gant*, 556 US 332; *Katz v United States*, 389 US 347; *People v Diaz*, 81 NY2d 106.) II. Affirmance of the Appellate Division’s ruling would invite exploratory searches. (*People v Taylor*, 294 AD2d 825; *People v Lewis*, 50 AD3d 595; *People v Marsh*, 20 NY2d 98; *People v Johnson*, 66 NY2d 398; *Terry v Ohio*, 392 US 1; *Sibron v New York*, 392 US 40; *Arizona v Johnson*, 555 US 323; *Floyd v City of New York*, 959 F Supp 2d.)

OPINION OF THE COURT

SMITH, J.

The issue here is whether a search of a driver by the police officer who stopped his car was “incident” to the driver’s arrest. We hold that it was not, because the record shows that, although probable cause to arrest the driver existed before the search, the driver would not have been arrested if the search had not produced evidence of a crime.

I

Officer Jacob Merino testified at a suppression hearing that he followed the car defendant was driving while it crossed double lines into a lane of oncoming traffic, swerved in and out of its lane without signaling, and made a right turn without signaling. Merino stopped the car and approached it. He saw that defendant’s eyes were “very watery” and his clothing was disheveled. There were plastic cups in the car’s center console, and the officer detected an odor of alcohol. Merino asked defendant if he had been drinking, and received an odd answer:

defendant said he had a beer after getting off work at 4:00 p.m.—though his conversation with the officer took place at 5:00 in the morning. It is not disputed that the officer’s observations gave him probable cause to arrest defendant for driving while intoxicated (though, as it later turned out, defendant’s blood alcohol level was zero).

Merino asked defendant to step out of the car and patted him down. In the course of doing so, he found a switchblade knife in defendant’s pocket. Defendant was then arrested.

In response to questions by the court, Merino gave the following testimony, referring to the moment when he asked defendant to get out of the car:

“THE COURT: At that point, were you going to arrest him?

“THE WITNESS: No.

“THE COURT: You weren’t?

“THE WITNESS: No. . . .

“THE COURT: So it’s only because you ultimately found the switchblade that you arrested him?

“THE WITNESS: Yes, ma’am.”

Defendant’s motion to suppress the knife was denied on the ground that the pat down was “justified as a search incident to arrest,” and defendant pleaded guilty to criminal possession of a weapon. The Appellate Division affirmed, holding that so long as probable cause to arrest defendant for driving while intoxicated existed, it was irrelevant whether Merino subjectively intended to make such an arrest (*People v Reid*, 104 AD3d 58 [1st Dept 2013]). A Judge of this Court granted leave to appeal (21 NY3d 1008 [2013]), and we now reverse.

II

The People make no claim that the pat down in this case was justified either by reasonable suspicion that defendant presented a danger to the officer or by probable cause to believe contraband would be discovered. The only justification the People offer for the search is that it was incident to a lawful arrest, and exempt for that reason from the general rule that searches require a warrant (see *United States v Robinson*, 414 US 218 [1973]). We reject the People’s argument.

It is not disputed that, before conducting the search, Merino could lawfully have arrested defendant for driving while

intoxicated. And it is clear that the search was not unlawful solely because it preceded the arrest, since the two events were substantially contemporaneous (*see Rawlings v Kentucky*, 448 US 98, 111 [1980] [“Where the formal arrest followed quickly on the heels of the challenged search . . . , we do not believe it particularly important that the search preceded the arrest rather than vice versa”]; *People v Evans*, 43 NY2d 160, 166 [1977] [“The fact that the search precedes the formal arrest is irrelevant as long as the search and arrest are nearly simultaneous so as to constitute one event”]). Nor is it decisive that the police chose to predicate the arrest on the possession of a weapon, rather than on driving while intoxicated (*see Devenpeck v Alford*, 543 US 146 [2004]). The problem is that, as Merino testified, but for the search there would have been no arrest at all.

Where that is true, to say that the search was incident to the arrest does not make sense. It is irrelevant that, because probable cause existed, there *could* have been an arrest without a search. A search must be incident to an actual arrest, not just to probable cause that might have led to an arrest, but did not (*People v Evans*, 43 NY2d 160, 165 [1977]; *People v Erwin*, 42 NY2d 1064, 1065 [1977]).

Knowles v Iowa (525 US 113 [1998]) is controlling here. In that case, an officer stopped the defendant for speeding, and had probable cause to arrest him under Iowa law, but chose to issue him a citation instead. The officer then searched the car, found marijuana and arrested the defendant. A unanimous Supreme Court held the search inconsistent with the Fourth Amendment. As the Court explained, the rationales justifying the “incident to arrest” exception to the warrant requirement are officer safety and the preservation of evidence; neither of these provides a sufficient reason for upholding a search where no arrest is made (*id.* at 116-118). The incident to arrest exception is a “bright-line rule” that does not depend on whether there is a threat of harm to the officer or destruction of evidence in a particular case (*id.* at 118; *Robinson*, 414 US at 235)—but the rule is inapplicable to cases that fall, as does this one, outside the bright line.

The Appellate Division erred in extending the logic of *Whren v United States* (517 US 806 [1996]), *People v Robinson* (97 NY2d 341 [2001]) and *Devenpeck* (543 US 146) to the present case. These cases hold that a stop or arrest is valid where it is supported by the necessary level of suspicion or probable cause,

whatever the actual motive for the officer's action. But the "search incident to arrest" doctrine, by its nature, requires proof that, at the time of the search, an arrest has already occurred or is about to occur. Where no arrest has yet taken place, the officer must have intended to make one if the "search incident" exception is to be applied.

If a search could be justified by an arrest that, but for the search, would never have taken place, the Supreme Court would not have decided *Knowles* in the way it did. In *Knowles* as in this case, there was probable cause to make an arrest, and there was a search, followed immediately by an arrest. The problem, in *Knowles* as here, was that the search caused the arrest and not the other way around. In *Knowles*, this fact was proved by the officer's choice, before conducting the search, not to arrest defendant for speeding but to issue him a citation. Here, Officer Merino made a similar choice not to arrest defendant for drunken driving, a fact proved by the officer's testimony.

Accordingly, the order of the Appellate Division should be reversed, defendant's motion to suppress granted, and the indictment dismissed.

READ, J. (dissenting). I would affirm the Appellate Division's order. As an initial matter, I do not agree that *Knowles v Iowa* (525 US 113 [1998]) is "controlling here" (majority op at 619). Just this past spring the United States Supreme Court in *Riley v California* (573 US —, 134 S Ct 2473 [2014]) stated that it had refused to extend the rule of *United States v Robinson* (414 US 218 [1973]) in *Knowles* because issuance of a citation does not implicate the concerns for officer safety and destruction or loss of evidence that underlie the search incident doctrine (see *Riley*, 573 US at —, 134 S Ct at 2485). Under Iowa law at the time *Knowles* was decided, the issuance of a citation in lieu of arrest did not affect the police officer's authority to conduct an otherwise lawful search. The Supreme Court was concerned that applying *Robinson* to cases involving citations rather than arrests would "untether" the search incident doctrine from its justifications (see *Riley*, 573 US at —, 134 S Ct at 2485).

Unlike *Knowles*, this case does not involve a search incident to issuance of a citation. And while the arrest here occurred after the search, as was the case in *Knowles*, the Supreme Court in *Rawlings v Kentucky* (448 US 98, 111 [1980]) indicated that "[w]here the formal arrest follow[s] quickly on the heels of the challenged search," it is not "particularly important that the search preceded the arrest rather than vice versa."

The majority principally grounds its decision to reverse on the police officer's subjective intent—i.e., the police officer testified at the suppression hearing that he did not intend to arrest defendant until he discovered the switchblade in defendant's pocket. But as the Appellate Division recognized, the Supreme Court has consistently held that an arresting officer's subjective intent, however determined, offers no basis for negating an objectively valid arrest (see 104 AD3d 58, 61-62 [1st Dept 2013], discussing *Devenpeck v Alford*, 543 US 146 [2004]; see also *People v Robinson*, 97 NY2d 341 [2001]).

The majority now makes an exception to this long-established rule, declaring that “[w]here no arrest has yet taken place, the officer must have intended to make one if the ‘search incident’ exception is to be applied” (majority op at 620). I find no basis for this exception in Supreme Court jurisprudence. Again, the majority relies on *Knowles*. But nothing in *Knowles* itself or in the Court's subsequent discussion of *Knowles* in *Riley* suggests that *Knowles* came out the way that it did because the police officer did not subjectively intend to make an arrest as evidenced by his issuance of a citation before the search. Moreover, interpreting *Knowles* in this way places it in tension with *Rawlings*. If a police officer's subjective motive for making the arrest is critical, it should be the subject of fact-finding at any suppression hearing where the search occurred prior to the formal arrest. Yet, the Supreme Court in *Rawlings* said that it was not “particularly important that the search preceded the arrest rather than vice versa.”

There is good reason for the Supreme Court's preference for categorical rules on the subject of a stop or arrest and search incident to arrest—i.e., “to provide clear guidance to law enforcement” (*Riley*, 573 US at —, 134 S Ct at 2491). Otherwise, every stop or arrest or search incident to arrest would inevitably devolve into difficult-to-resolve disputes about motive or whether a threat of harm to the police officer or risk of destruction of evidence actually existed in the particular case. The facts here are seemingly clear-cut (i.e., the police officer's statements at the suppression hearing) and perhaps not often repeated, which makes departure from the categorical rules tempting. But a categorical rule no longer serves its purpose if a court decides to ignore it in individual cases where it seems less fair than particularized fact-finding.

Chief Judge LIPPMAN and Judges PIGOTT and RIVERA concur; Judge READ dissents in an opinion; Judge ABDUS-SALAAM taking no part.

Order reversed, defendant's motion to suppress granted and indictment dismissed.

[26 NE3d 754, 2 NYS3d 815]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v CLIF-
FORD JONES, Appellant.

Argued November 17, 2014; decided December 16, 2014

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered August 6, 2013. The Appellate Division affirmed an order of the Supreme Court, New York County (James A. Yates, J.), which had denied defendant's CPL 440.10 motion to vacate a judgment of that court (Alfred Kleiman, J.), which had convicted defendant, upon a jury verdict, of rape in the first degree, murder in the second degree, and attempted robbery in the first degree.

People v Jones, 109 AD3d 402, reversed.

HEADNOTES

**Crimes — Appeal — Court of Appeals — Matters Reviewable —
Discretionary Order Denying Motion to Vacate Judgment of
Conviction Based on Newly Discovered Evidence**

1. The Court of Appeals is empowered to conduct a review of the lower courts' summary denial of a defendant's CPL 440.10 (1) (g) motion to vacate a judgment of conviction upon the ground of newly discovered evidence, and to determine whether that denial constituted an abuse of discretion as a matter of law. To the extent that *People v Crimmins* (38 NY2d 407 [1975]) held otherwise, it is overruled.

**Crimes — Appeal — Court of Appeals — Matters Reviewable —
Discretionary Order Denying Motion to Vacate Judgment of
Conviction Based on Newly Discovered Evidence**

2. The Court of Appeals is empowered to conduct a review of the lower courts' summary denial of a defendant's CPL 440.10 (1) (g) motion to vacate a judgment of conviction upon the ground of newly discovered evidence, and to determine whether that denial constituted an abuse of discretion as a matter of law. Such power does not run afoul of the jurisdictional limitations set forth in NY Constitution, article VI, § 3 (a), which limits the Court's jurisdiction in noncapital cases to the review of questions of law. Although prohibited from weighing facts and evidence in noncapital cases, the Court of Appeals is not precluded from exercising its power to determine whether in a particular judgmental and factual setting there has been an abuse of discretion as a matter of law because, in so doing, it is not passing on facts as such, but rather considering them to the extent that they are a foundation for the application of law. Prior to the enactment of CPL 440.10, the Court of Appeals had declined to review postjudgment arguments that the Appellate Division abused its discretion in denying a defendant's motion for a new trial based on newly discovered evidence, and no statute provided for an appeal to the Court of Appeals in postjudgment proceedings. Now that statutory mechanisms by which

to appeal to the Court of Appeals from a denial of an application for a new trial based on newly discovered evidence are in place, defendants whose newly discovered evidence motions are summarily denied by the lower courts should have the opportunity, within the strictures of CPL 450.90 (1), to have those determinations reviewed.

Crimes — Vacatur of Judgment of Conviction — Newly Discovered Evidence — Denial of Motion without Evidentiary Hearing — Abuse of Discretion

3. The Appellate Division abused its discretion in affirming Supreme Court's summary denial of defendant's motion to vacate his 1981 judgment of conviction for rape, murder and attempted robbery based on newly discovered evidence (CPL 440.10 [1] [g]) in the form of DNA test results of physical evidence excluding him as the perpetrator of the crimes, where the People proffered no admissible evidence in opposition to that evidence. Whether a defendant is entitled to a hearing on a CPL 440.10 motion is a discretionary determination. A court must consider all submitted papers, documentary evidence and information to ascertain whether the motion is determinable without a hearing to resolve questions of fact, and the court may deny the motion without a hearing if the moving papers do not allege any ground constituting a legal basis for the motion (CPL 440.30 [1] [a]; [4] [a]). At defendant's trial, at which he asserted a mistaken identity defense, the only person who testified as to his identity as the perpetrator was the rape victim, who suffered from a heroin addiction at the time she identified defendant at a lineup and at the time of the trial. In support of his CPL 440.10 motion, defendant proffered evidence that both mitochondrial DNA tests on 3 of 18 hairs found in a hat worn by the perpetrator and a DNA test on one of seven fingernail scrapings recovered from the murder victim excluded defendant as a contributor. Defendant also included an affidavit from the president of the company that performed the testing on the hairs, together with a report based on the findings. In response, the People submitted only an attorney affirmation summarizing the opinions of a doctor and police scientist challenging the mitochondrial DNA testing methodology. Defendant should have been afforded a hearing so he could have an opportunity to prove, by a preponderance of the evidence, every fact essential to support his motion (CPL 440.30 [6]).

RESEARCH REFERENCES

By the Publisher's Editorial Staff

- AM JUR 2d, Appellate Review §§ 226, 618, 623, 631, 647;
AM JUR 2d, Criminal Law § 858; AM JUR 2d, Habeas Corpus and Postconviction Remedies §§ 9, 58, 185; AM JUR 2d, New Trial §§ 133, 295, 379.
- CARMODY-WAIT 2d, Postjudgment Motions §§ 205:1, 205:13, 205:16–205:21, 205:25–205:26, 205:32–205:33, 205:79, 205:82; CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:23, 207:115, 207:220.
- LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 24.11.
- McKINNEY'S, CPL 440.10 (1) (g); 440.30; 450.15 (1); 450.90 (1); NY Const, art VI, § 3 (a).
- NY JUR 2d, Criminal Law: Procedure §§ 2860, 3374, 3388–3391, 3397, 3400–3403, 3425–3426, 3430, 3432, 3435, 3484, 3515.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Discretion of Court; Newly Discovered Evidence; Post-Conviction Proceedings and Remedies.

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POINTS OF COUNSEL

Cleary Gottlieb Steen & Hamilton LLP, New York City (*Heather K. Suchorsky, Breon S. Peace, Robert W. May, Michael W. Holt, Tania G. Cohen* and *Yana V. Grishkan* of counsel), for appellant. I. Clifford Jones was entitled as a matter of law to a hearing to resolve disputed questions of fact essential to the determination of his CPL 440.10 motion, pursuant to CPL 440.30 (5). (*People v Fields*, 66 NY2d 876; *Matter of New York State Assn. of Criminal Defense Lawyers v Kaye*, 95 NY2d 556; *People v Wesley*, 83 NY2d 417; *People v Crimmins*, 38 NY2d 407; *People v Maynard*, 80 Misc 2d 279; *People v Eng Hing & Lee Dock*, 212 NY 373; *People v Patrick*, 182 NY 131; *People v Welcome*, 37 NY2d 811; *People v Ausserau*, 77 AD2d 152; *People v White*, 44 AD2d 749.) II. The First Department erred as a matter of law when it affirmed the summary denial of Clifford Jones' motion without resolving complex, disputed scientific issues essential to the determination of the motion. (*Frye v United States*, 293 F 1013; *People v Tankleff*, 49 AD3d 160; *People v Pitts*, 4 NY3d 303; *People v Crimmins*, 38 NY2d 407; *People v Scarola*, 71 NY2d 769.) III. The trial court and the First Department erred by holding Clifford Jones to a higher standard than that required by CPL 440.10 (1) (g). (*People v Crimmins*, 38 NY2d 407; *People v Tankleff*, 49 AD3d 160; *People v Russell*, 99 AD3d 211; *People v Dabbs*, 154 Misc 2d 671.)

Cyrus R. Vance, Jr., District Attorney, New York City (*David M. Cohn* and *Susan Axelrod* of counsel), for respondent. I. This Court has no power to review the discretionary denial of defendant's motion to vacate his conviction. (*People v Baxley*, 84 NY2d 208; *People v Friedgood*, 58 NY2d 467; *People v Brown*, 56 NY2d 242; *People v Piazza*, 48 NY2d 151; *People v Crimmins*, 38 NY2d 407; *People v Fields*, 66 NY2d 876; *People v Wesley*, 83 NY2d 417; *People v Elmer*, 19 NY3d 501; *People v Baumann & Sons Buses, Inc.*, 6 NY3d 404; *People v Maney*, 37 NY2d 229.) II.

The trial court properly denied defendant's new evidence claim without an evidentiary hearing, and the Appellate Division's ruling affirming that denial is unassailable. (*People v Horne*, 97 NY2d 404; *People v Angelo*, 88 NY2d 217; *People v Salemi*, 309 NY 208; *People v Satterfield*, 66 NY2d 796; *People v Crimmins*, 38 NY2d 407; *People v Friedgood*, 58 NY2d 467; *People v Samandarov*, 13 NY3d 433; *People v Session*, 34 NY2d 254; *Steward v Grace*, 362 F Supp 2d 608.)

Weil, Gotshal & Manges LLP, New York City (*Howard B. Comet, Melody E. Akhavan and Lisa Sokolowski* of counsel), and *Weil Gotshal & Manges LLP*, Washington, D.C. (*David B. Hird, Sunny Thompson and Courtney Enlow* of counsel), for The Innocence Project, amicus curiae. I. The right to an evidentiary hearing is essential for motions to vacate convictions where the defendant is presenting newly discovered DNA evidence. (*People v Pitts*, 4 NY3d 303; *People v Santiago*, 17 NY3d 661; *People v LeGrand*, 8 NY3d 449; *District Attorney's Office for Third Judicial Dist. v Osborne*, 557 US 52; *People v Liggins*, 181 AD2d 916; *People v Baxley*, 84 NY2d 208; *People v Picciotti*, 4 NY2d 340; *People v Martinez*, 22 Misc 3d 1109[A], 2009 NY Slip Op 50073[U]; *People v Session*, 34 NY2d 254; *People v Auserau*, 77 AD2d 152.) II. An evidentiary hearing is necessary in this case to resolve factual disputes over the reliability and significance of the DNA evidence presented by Clifford Jones. (*People v Angelo*, 88 NY2d 217; *Lugo v New York City Health & Hosps. Corp.*, 89 AD3d 42; *People v Tankleff*, 49 AD3d 160; *People v Sterling*, 6 Misc 3d 712; *People v Wesley*, 83 NY2d 417; *People v Klinger*, 185 Misc 2d 574; *Matter of Kenneth V.*, 7 Misc 3d 250; *United States v Beverly*, 369 F3d 516; *Gregory v City of Louisville*, 444 F3d 725; *Peterson v Bernardi*, 719 F Supp 2d 419.) III. A hearing is necessary to determine whether the new DNA evidence would have created the probability of a verdict more favorable to Clifford Jones. (*People v Pitts*, 4 NY3d 303; *Warney v City of Rochester*, 536 F Supp 2d 285; *House v Bell*, 547 US 518; *Young v Conway*, 698 F3d 69; *People v LeGrand*, 8 NY3d 449; *People v Santiago*, 17 NY3d 661; *People v Abney*, 13 NY3d 251.)

OPINION OF THE COURT

PIGOTT, J.

[1] Defendant sought an evidentiary hearing as part of his postjudgment motion to vacate his conviction on the ground that newly discovered evidence in the form of mitochondrial

DNA (mtDNA) testing excluded him as the perpetrator of crimes of which he was convicted in 1981 (*see* CPL 440.10 [1] [g]). Supreme Court and the Appellate Division, in the exercise of their discretion, summarily denied defendant's motion. The jurisprudence of this Court, for nearly 40 years, has been that "[t]he power to review a discretionary order denying a motion to vacate judgment upon the ground of newly discovered evidence [brought pursuant to CPL 440.10 (1) (g)] ceases at the Appellate Division" (*People v Crimmins*, 38 NY2d 407, 409 [1975]), leaving this Court without the power to consider whether such summary denials constituted an abuse of discretion. Because the rule enunciated in *Crimmins* has needlessly restricted this Court's power of review concerning CPL 440.10 (1) (g) motions, we now overrule that part of the *Crimmins* decision, hold that the Appellate Division abused its discretion in summarily denying defendant's motion for an evidentiary hearing in this case, and remand it to Supreme Court for further proceedings consistent with this opinion.

I

Newly discovered evidence is one of the bases under CPL 440.10 (1) that defendants may allege when seeking postjudgment relief (*see* CPL 440.10 [1] [a]-[i]). When it became law in 1971, CPL 440.10 was designed to replace the common-law contentions previously raised through a motion for a writ of error coram nobis and post-conviction applications for a new trial based on newly discovered evidence (*see* Richard G. Denzer, Practice Commentary, McKinney's Cons Laws of NY, Book 11A, CPL 440.10 at 183 [1971 ed]; *see also* Peter Preiser, Practice Commentaries, McKinney's Cons Laws of NY, Book 11A, CPL 440.10 at 248 [stating that "resort to *coram nobis* is unavailable in situations covered by the statute"]). Prior to the statute's enactment, however, this Court declined to review postjudgment arguments that the Appellate Division abused its discretion in denying a defendant's motion for a new trial based on newly discovered evidence, holding that "[t]he right to a review of such an order [in a noncapital case] ceases at the Appellate Division" (*People v Fein*, 18 NY2d 162, 169 [1966], *cert denied* 385 US 649 [1967], *reh denied* 386 US 978 [1967] [citations omitted]; *see People v Mistretta*, 7 NY2d 843, 844 [1959]; *People v Girardi*, 303 NY 887 [1952]; *People v Luciano*, 275 NY 547, 548 [1937], *cert denied* 305 US 620 [1938] [striking from the record all proceedings upon the motion for a new trial based on newly discovered evidence on the ground that this Court lacked

the power to review the discretionary order in noncapital cases]; *People v Bonifacio*, 190 NY 150, 151-152 [1907]). Indeed, before the enactment of CPL article 440, no statute provided for an appeal to this Court in postjudgment proceedings.

In *Crimmins*, we relied on those pre-1971 cases as the foundation for our “hands-off” approach with respect to newly discovered evidence claims, and imposed a limitation on our power of review, holding that we could not review the lower courts’ summary denial of a defendant’s motion to vacate based on newly discovered evidence (*Crimmins*, 38 NY2d at 415-416). However, CPL 440.10 was not a piecemeal amendment to the Criminal Procedure Law but, rather, was part of the newly-adopted Criminal Procedure Law (L 1970, ch 996), which “overhauled and reformulated” the “whole area of appeals” (Mem in Support and Explanation of Proposed Crim Pro Law, L 1970, ch 996 at 12).¹ At the time this Court decided *Crimmins*, the new Criminal Procedure Law provided defendants not only a mechanism for appealing a denial of a CPL 440.10 motion to the Appellate Division (*see* CPL 450.15 [1]), but also an opportunity to seek leave to appeal to this Court “from any adverse or partially adverse order of an intermediate appellate court entered upon an appeal taken to such intermediate appellate court pursuant to section . . . 450.15” (CPL 450.90 [1]).

The *Crimmins* majority acknowledged that CPL 450.15 (1) and CPL 450.90 (1) made the denial of a CPL 440.10 (1) (g) motion *appealable*, but submitted that merely because the denial of a motion was appealable it did not follow that it was also *reviewable*, explaining that this Court’s review power could not be expanded by statute alone and that CPL 450.90 (1) “must be read in context of constitutional limitations,” i.e., NY Constitution, article VI, § 3 (a) (*Crimmins*, 38 NY2d at 414-415). That constitutional provision limits this Court’s jurisdiction, as relevant here, to “the review of questions of law except where the judgment is of death.” (NY Const, art VI, § 3 [a].) As far as jurisdictional rules go, the *Crimmins* majority was correct: although an order may be appealable to this Court, it may none-

1. The Criminal Procedure Law as originally adopted permitted defendants to appeal the denial of their CPL 440.10 motions to the Appellate Division *as of right* (L 1970, ch 996), but prior to the statute’s effective date of September 1, 1971, the legislature amended the Criminal Procedure Law so that a defendant could only appeal denial of his postjudgment motion to the Appellate Division by first obtaining permission (L 1971, ch 671, § 1; *see* Mem of St Executive Dept, L 1971, ch 671, 1971 McKinney’s Session Laws of NY at 2463-2464).

theless *not* present a reviewable question of law (*see* William C. Donnino, New York Court of Appeals on Criminal Law § 3.1 at 41 [3d ed 2011]).

We part company with the *Crimmins* majority not with regard to its general analysis of this Court’s jurisdiction, but with respect to its postulation that because lower courts have “unlimited” discretion in deciding whether a defendant is entitled to vacatur of judgment and a new trial based on newly discovered evidence, their determination is somehow beyond reproach (*Crimmins*, 38 NY2d at 415). In reaching that conclusion, the *Crimmins* majority relied on pre-CPL 440.10 cases such as *Fein*, *Mistretta*, *Girardi*, *Luciano* and *Bonifacio*, decided at a time when defendants had no statutory mechanism by which to appeal to this Court from a denial of an application for a new trial based on newly discovered evidence (*see e.g. People v Baxter*, 40 AD2d 551, 551 [2d Dept 1972] [dismissing the defendant’s appeal challenging Supreme Court’s denial of his motion for a new trial based on newly discovered evidence brought pursuant to section 465 (7) of the Code of Criminal Procedure]).

Now that such mechanisms are in place, defendants whose newly discovered evidence motions are summarily denied by the lower courts should have the opportunity, within the strictures of CPL 450.90 (1), to have those determinations reviewed under our abuse of discretion standard, which involves a legal, rather than factual, review. As the *Crimmins* dissent acknowledged,

“whether there has been an abuse of discretion is a question of law, not of fact. It matters not that the discretion which we review necessarily was exercised in a factual setting. And that is so even though we must look at the facts in order to determine whether the discretion was indeed abused” (*Crimmins*, 38 NY2d at 428 [Fuchsberg, J., dissenting]; *see also e.g. Barasch v Micucci*, 49 NY2d 594, 598 [1980] [“the possibility that the lower court’s discretion was abused does give rise to a question of law that is cognizable in this court”]).

Significant to our analysis is the structure of CPL 440.10 (1) itself and the standard of review we have employed under distinct provisions of that subdivision. We have exercised our power of review in the following instances: where the defendant challenges the lower courts’ denial of his CPL 440.10 motion seeking a hearing on his claim that the judgment was procured

by fraud, duress or misrepresentation (*see* CPL 440.10 [1] [b]; *People v Friedgood*, 58 NY2d 467, 470 [1983]); where the defendant seeks a hearing claiming that material evidence adduced at trial resulting in the judgment was false (*see* CPL 440.10 [1] [c]; *People v Brown*, 56 NY2d 242, 246 [1982], *rearg denied* 57 NY2d 673 [1982]); where the defendant claims that improper and prejudicial conduct occurred off the record during the trial (*see* CPL 440.10 [1] [f]; *Crimmins*, 38 NY2d at 418); and where the defendant challenges a judgment on the ground that it was obtained in violation of defendant's state or federal constitutional rights (*see* CPL 440.10 [1] [h]; *People v Baxley*, 84 NY2d 208, 212-213 [1994], *rearg dismissed* 86 NY2d 886 [1995]).

In each of those cases, this Court held that it could review the lower courts' summary denial of a defendant's motion pursuant to CPL 440.10 (1) (b), (c), (f) or (h) by applying the abuse of discretion standard, presumably because such motions were subject to postjudgment judicial review by way of a writ of error coram nobis before CPL 440.10's enactment (*see e.g. Baxley*, 84 NY2d 212-213; *Crimmins*, 38 NY2d at 418-419). Section 440.10 (1), however, contains no directive that motions brought under paragraphs (a) through (i) should be subjected to a different standard of review depending on whether the claim was one traditionally brought through a coram nobis motion or one based on newly discovered evidence. That the legislature saw fit to place a CPL 440.10 (1) (g) motion in the same category as the other motions that, historically, were brought by coram nobis, clearly demonstrates that the same standard of review should be applied to CPL 440.10 motions brought on the ground of newly discovered evidence (*see Crimmins*, 38 NY2d at 429 [Fuchsberg, J., dissenting] [noting that section 440.10 "makes no distinction between posttrial, postjudgment motions, irrespective of whether they are based on newly discovered evidence or not," and observing that the statute did not make any "special distinction for cases that, before 1971, fell within the traditional scope of the common-law writ of *coram nobis*" such that there was no reason to "carve out an exception for motions on the basis of newly discovered evidence"]).

[2] We therefore make clear that this Court is empowered to conduct a review of the lower courts' summary denial of a defendant's CPL 440.10 (1) (g) motion, and to determine whether that denial constituted an abuse of discretion as a matter of law without running afoul of the jurisdictional limitations set forth in NY Constitution, article VI, § 3 (a). Although we are

prohibited from weighing facts and evidence in noncapital cases, we are not precluded from exercising our “power to determine whether in a particular judgmental and factual setting there has been an abuse of discretion as a matter of law” because, in so doing, we are not “passing on facts as such, but rather considering them to the extent that they are a foundation for the application of law” (*Crimmins*, 38 NY2d at 425 [Fuchsberg, J., dissenting]). That is, in fact, what our abuse of discretion analysis entails, and we now address the underlying procedural posture of defendant’s appeal.

II

In 1981, a jury convicted defendant of rape in the first degree (Penal Law § 130.35 [1]), murder in the second degree (Penal Law § 125.25 [3]) and attempted robbery in the first degree (Penal Law §§ 110.00, 160.15 [3]), arising from incidents that occurred in an apartment building on June 2, 1980. Defendant had pursued a mistaken identity defense.

At trial, the only witness who was able to identify defendant as the perpetrator of the crimes was the rape victim, a woman who testified that she and the perpetrator, who had just met, entered an apartment building seeking a place in which to engage in sexual activity. When the woman had second thoughts and began walking away, the perpetrator put a knife to her throat and raped her. She followed the perpetrator down the stairs and observed him, with knife in hand, tussling with another man he encountered on the stairway. The perpetrator stabbed the man, searched his pockets and left the building. When the police arrived on the scene, the woman described the perpetrator as wearing a black hat with netting, and having a chipped tooth and a gap between his teeth. Officers recovered the blood-covered hat—identified at trial as a blue baseball cap by one of the officers. Four months later, the woman, an admitted heroin user with a \$50 a day habit, went to the police station and picked defendant out of a lineup. She testified at trial that she had taken heroin on the morning of the lineup.

Defendant was thereafter arrested and, after trial, found guilty of the offenses set forth above. He was sentenced to an indeterminate term of 18 years to life on the murder count, and concurrent indeterminate terms of 3 to 9 years and 1½ to 4½ years on the rape and attempted robbery counts, respectively. The Appellate Division affirmed (91 AD2d 874 [1st Dept 1982]), and a Judge of this Court denied defendant leave to appeal (58

NY2d 1119 [1983]). Defendant served his sentence and is currently on parole.

III

In October 2008, defendant moved pursuant to CPL 440.30 (1-a) seeking an order for DNA testing of any physical evidence that had been secured in connection with his 1981 trial, including, among other things, the rape kit and baseball cap (and hairs recovered from the cap). The People located 18 hairs from the cap, but the remainder of the vouchered evidence—the cap itself, the rape kit, the knife and the rape victim’s clothes—had been destroyed. The hair samples were sent to the New York City Police Department for microscopic analysis, but a criminalist who examined them concluded that they were not suitable for microscopic comparison or nuclear DNA testing, and suggested that mtDNA² testing might yield better results. The People and the defense agreed to send the hair samples to Mitotyping Technologies, LLC, a laboratory specializing in mtDNA analysis, at defendant’s expense.

The mtDNA profiles on 3 of the 18 hair samples were compared to the profile of defendant to determine if he could be excluded as a contributor to those hair samples. According to Mitotyping, that testing resulted in a “consensus profile” that was “very different” from defendant’s and excluded him as the contributor of those hairs. Mitotyping reported that “additional testing could further develop the full profile from additional hairs should an alternative donor/suspect be identified.”

With the Mitotyping results in hand, defendant moved to vacate his conviction and for a new trial pursuant to CPL 440.10 (1) (g) on the ground that the mtDNA results constituted newly discovered evidence, or, in the alternative, for an evidentiary hearing pursuant to CPL 440.30 (5).³ As part of the motion, defendant submitted the trial transcript and an affidavit from Mi-

2. This type of testing involves the isolation of the DNA contained in the mitochondria of cells, thereby allowing for the sequencing of the DNA bases to be determined. It is commonly performed on samples that are unsuitable for restriction fragment length polymorphism and polymerase chain reaction testing of nuclear DNA, namely, dried bones, teeth, hair shafts and any other sample that contains “very little or highly degraded nuclear DNA” (U.S. Department of Justice, Report from National Commission on the Future of DNA Evidence, *Post-Conviction DNA Testing: Recommendations for Handling Requests* at 26-28 [Sept. 1999]).

3. Defendant also moved for vacatur of his conviction and dismissal of the underlying indictment. The only issue presented on this appeal, however, is

(n. cont’d)

tototyping's president and laboratory director, Terry Melton, Ph.D., who averred that Mitotyping conducted the testing under her supervision and prepared a report based on those findings, which was attached to the affidavit along with her curriculum vitae.

The People responded with an attorney's affirmation and asked that the court summarily deny defendant's motion without a hearing. Although the People challenged Mitotyping's methodology based on opinions of a doctor from the Office of the Chief Medical Examiner and the Director of the Office of Forensic Science for the New Jersey State Police, those opinions were summarized in hearsay fashion in the body of the People's affirmation and were thus not in admissible form. The People conceded that the mtDNA testing constituted newly discovered evidence, but argued that the results did not require a hearing.

Shortly after defendant filed his CPL 440.10 motion, the Office of the Chief Medical Examiner conducted an analysis of seven fingernail scrapings that had been recovered from the murder victim. DNA had been found on five of the seven scrapings. Only one of the scrapings proved capable of DNA analysis, and that scraping excluded defendant as a contributor.

Supreme Court considered the mtDNA testing of the hairs and the DNA testing of the fingernail scrapings but summarily denied defendant's motion on the papers, stating that the absence of defendant's DNA relative to the few samples that were tested did not exclude defendant as the perpetrator. The court also relied, in part, on the hearsay allegations of the experts that were contained in the People's attorney's affirmation. A Justice of the Appellate Division granted defendant permission to appeal pursuant to CPL 460.15.

The Appellate Division affirmed in a 3-2 decision (109 AD3d 402 [1st Dept 2013]). The majority held that "even if the reliability of the evidence is assumed, defendant still did not establish a legal basis for ordering a new trial" and, therefore, "the factual disputes in this case were not material, and defendant was not prejudiced by the absence of a hearing" (*id.* at 403). Indeed, the test results, even if presumed accurate, established, at most, that 3 out of the 18 hairs recovered from the hat came from someone other than defendant and, in light of the strength of the eyewitness testimony at trial—the rape victim interacted

whether defendant is entitled to an evidentiary hearing on his newly discovered evidence claim.

with the perpetrator for at least 15 minutes—there was no indication that the hair evidence, if introduced at trial, would have resulted in a verdict more favorable to defendant (*id.* at 404-405).⁴ Thus, according to the majority, Supreme Court did not abuse its discretion in summarily denying defendant's motion.

The dissenters argued that

“defendant met his initial burden by offering sworn evidence of mtDNA analysis showing that the hairs from the perpetrator's hat were not his. The rebuttal offered by the People, in the form of an attorney's affirmation containing hearsay statements questioning the reliability of the mtDNA test results, is insufficient to discredit defendant's evidence” (*id.* at 409).

In the dissent's view, the People's assertions that the laboratory procedures were flawed, and the results inconclusive, constituted factual issues that should not have been determined on the papers (*id.*). A Justice of the Appellate Division granted defendant leave to appeal to this Court pursuant to CPL 460.20.

IV

A defendant may make a postjudgment application to vacate his judgment of conviction on the ground that

“[n]ew evidence has been discovered since the entry of a judgment based upon a verdict of guilty after trial, which could not have been produced by the defendant at the trial even with due diligence on his part and which is of such character as to create a probability that had such evidence been received at the trial the verdict would have been more favorable to the defendant” (CPL 440.10 [1] [g]).

Once the parties have filed papers and all documentary evidence or information has been submitted, the court is obligated to consider the submitted material “for the purpose of ascertaining whether the motion is determinable without a hearing to resolve questions of fact” (CPL 440.30 [1] [a]). Upon consideration of the merits of the motion, the motion court “may deny

4. The majority acknowledged that the People's expert analysis—presented in the People's affirmation and not by way of expert affidavit—could not provide a basis for denial of the motion as those opinions were not in admissible form (109 AD3d at 404 n 3).

it without conducting a hearing if: (a) [t]he moving papers do not allege any ground constituting legal basis for the motion” (CPL 440.30 [4] [a]). Undoubtedly, then, whether a defendant is entitled to a hearing on a CPL 440.10 motion is a discretionary determination, but, as we now hold today, it is nonetheless one that is subject to our review for an abuse of discretion.

[3] Applying the standard that we now adopt in our departure from *Crimmins*, we conclude that the Appellate Division abused its discretion when it affirmed Supreme Court’s summary denial of defendant’s CPL 440.10 (1) (g) motion.

The People do not dispute that the mtDNA testing of the hairs and the DNA testing of the fingernail scrapings constitute newly discovered evidence, nor do they argue that defendant failed to exercise “due diligence” in bringing the motion. Rather, they claim that defendant failed to meet his burden of establishing that the new evidence was “of such character as to create a probability that had such evidence been received at the trial the verdict would have been more favorable to [him]” (CPL 440.10 [1] [g]).

The Appellate Division concluded that even if the reliability of defendant’s evidence was assumed, defendant failed to establish a legal basis for a new trial (CPL 440.30 [4] [a]), the factual issues were not material, and that the absence of a hearing did not prejudice defendant (109 AD3d at 403). We disagree.

The only person who testified at trial as to the identity of defendant as the perpetrator was suffering from a heroin addiction and had taken heroin the morning of the lineup and was still an addict at the time of the trial. She nonetheless testified that she interacted with the perpetrator for at least 15 minutes before he attacked her, so any physical evidence, particularly DNA evidence, would have been particularly useful to defendant at the time of trial in order to counter her identification testimony.

We have acknowledged that “forensic DNA testing has become an accurate and reliable means of analyzing physical evidence collected at crime scenes and has played an increasingly important role in conclusively connecting individuals to crimes and exonerating prisoners who were wrongfully convicted” (*People v Pitts*, 4 NY3d 303, 309-310 [2005]). Unlike many newly discovered evidence motions, which, for example, involve affidavits submitted by recanting witnesses (*see e.g. People v Avery*, 80 AD3d 982, 985-986 [3d Dept 2011], *lv denied* 17 NY3d 791

[2011]) or witnesses who have come forward after the guilty verdict (*see e.g. Crimmins*, 38 NY2d at 409), or evidence that another person confessed to the crime (*see e.g. People v Feliciano*, 240 AD2d 256 [1st Dept 1997]), section 440.10 (1) (g) motions involving DNA testing, analysis and results may not be easily disposed of on the papers, particularly where, as here, the defendant has submitted evidence in admissible form that goes to a central issue in the case, and the People submit only hearsay statements in opposition.

In support of his motion, defendant proffered evidence establishing that 3 of the 18 hairs tested excluded him as a contributor, and that one of the fingernail scrapings containing DNA of someone other than the murder victim excluded him as well. The People responded with a bare attorney's affirmation containing hearsay opinions questioning Mitotyping's methods and attacking the results. They also challenged Dr. Melton's report without proffering an affidavit from an expert of their own to rebut that submission.

On this record, there is a dispute between defendant and the People concerning the reliability of the mtDNA testing, what the results of such testing actually mean and the weight to be given those results in light of the eyewitness identification. As such, defendant should have been afforded a hearing so he could have at the very least an opportunity of "proving by a preponderance of the evidence every fact essential to support [his] motion" (CPL 440.30 [6]), including his assertion that had such DNA evidence been presented at trial, he would have received a more favorable verdict. We reach this conclusion not by weighing the facts or the inferences drawn therefrom, but by examining the parties' submissions and concluding that the People failed to counter defendant's *prima facie* showing that he was entitled to a hearing. Not every CPL 440.10 motion brought by a defendant will warrant a hearing, nor will every summary denial of such a motion constitute an abuse of discretion, but where, as here, there is significant DNA evidence favorable to the defendant and the People proffer no admissible evidence in opposition to that evidence, defendant is, at the very least, entitled to a hearing on his motion.

Accordingly, the order of the Appellate Division should be reversed and the case remitted to Supreme Court for further proceedings in accordance with this opinion.

ABDUS-SALAAM, J. (concurring). I agree with the majority that the courts below erred as a matter of law in summarily denying defendant's CPL 440.10 (1) (g) motion. I write separately because I believe that on this record, the motion court had no discretion to deny the motion without a hearing, but instead was required to conduct a hearing pursuant to CPL 440.30 (5). Thus, I would not apply an abuse of discretion analysis in this case because a hearing was required under the statute.

In deciding whether to hold a hearing on a CPL 440.10 motion, a court must look to CPL 440.30 for guidance. That statute instructs on the precise circumstances when the court must "summarily deny" a motion (CPL 440.30 [2]); must grant the motion without conducting a hearing (CPL 440.30 [3]); may deny the motion without conducting a hearing (CPL 440.30 [4]); and must conduct a hearing (CPL 440.30 [5]). CPL 440.30 (5) unequivocally provides that "[i]f the court does not determine the motion pursuant to subdivisions two, three or four, it must conduct a hearing and make findings of fact essential to the determination thereof."

CPL 440.30 (4) gives the court discretion to deny the motion without a hearing in only four enumerated circumstances. The only such circumstance claimed to be applicable here is that the facts alleged do not constitute a legal basis for the motion (*see* CPL 440.30 [4] [a]). Thus, if defendant's allegations supplied a legal basis for the motion, he was entitled to a hearing as a matter of law (*see* CPL 440.30 [5]; *People v Baxley*, 84 NY2d 208, 214 [1994]). Contrary to the People's argument, it is clear that defendant's motion did allege a ground constituting a legal basis for the motion. He alleged that newly discovered DNA evidence, if established, could entitle him to the relief sought. Specifically, he submitted proof of DNA evidence that would have excluded him as a contributor to some DNA recovered at the crime scene and may have caused a jury to doubt the eyewitness identification that led to his conviction (*see People v Ferreras*, 70 NY2d 630, 631 [1987] [court erred in denying a motion without a hearing where facts "if established could entitle defendant to the relief sought"]).

CPL 440.30 (4) (a) does not require a movant to establish that he or she would ultimately prevail on the merits of the motion in order to be entitled to a hearing (*see People v Hughes*, 181 AD2d 912, 913 [2d Dept 1992] ["That the defendant's chances of ultimate success in meeting his burden of proof with respect to the issues raised in his motion (*see*, CPL 440.30 [6])

may be slight, or even remote, does not, by itself, furnish a basis to deny the motion without a hearing’’]). Rather, the appropriate threshold question for the court is whether the movant *alleged* any ground constituting a legal basis for the motion. CPL 440.30 (5) clearly contemplates that defendants who make the required prima facie showing have the right to present that evidence at an evidentiary hearing. As was correctly noted by the Appellate Division dissent, “[i]f the defendant produces post-conviction evidence favorable to him or her, CPL 440.30 (5) requires the court to ‘conduct a hearing and make findings of fact essential to the determination [of the motion]’ ” (109 AD3d at 408-409).

In sum, because defendant’s motion alleged that he had favorable evidence that could entitle him to the relief sought, and the motion had none of the deficiencies set forth in CPL 440.30 (4) (a), (b), (c) or (d), the court did not have discretion to decide the motion without conducting a hearing, and such hearing was required pursuant to CPL 440.30 (5).

Chief Judge LIPPMAN and Judges READ, SMITH and RIVERA concur; Judge ABDUS-SALAAM concurs in a separate concurring opinion.

Order reversed and case remitted to Supreme Court, New York County, for further proceedings in accordance with the opinion herein.

[26 NE3d 764, 2 NYS3d 825]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v RAUL
JOHNSON, Appellant.

Argued November 17, 2014; decided December 17, 2014

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered November 14, 2012. The Appellate Division affirmed a judgment of the Rockland County Court (William A. Kelly, J.), which had convicted defendant, upon a jury verdict, of attempted murder in the second degree and assault in the first degree. The appeal to the Appellate Division brought up for review a prior order of the Supreme Court, Rockland County (William A. Kelly, J.; op 24 Misc 3d 1235[A], 2009 NY Slip Op 51757[U] [2009]), which had denied, after a hearing, defendant's motion to suppress his statements to law enforcement officials.

People v Johnson, 100 AD3d 777, reversed.

HEADNOTES

Crimes — Right to Counsel — Representation on Unrelated Matter — Cooperation in Investigation of Unrelated Crime for Leniency in Charged Crime

1. Defendant's right to counsel was violated where, while represented on a pending burglary charge and having agreed with the prosecutor and police in the presence of his attorney to provide truthful information about an unrelated stabbing in exchange for a degree of immunity on the burglary charge, he was questioned by police about, and ultimately confessed to, the stabbing in the absence of counsel at a subsequent meeting arranged to outfit him with a wire as part of his role in the stabbing investigation. Defendant's right to counsel encompassed his conversations with police about the stabbing, as long as those conversations were part of an effort to obtain leniency in the burglary case. Once an attorney enters a proceeding, the police may not question a defendant in the absence of counsel unless there is an affirmative waiver, in the presence of the attorney, of the defendant's right to counsel. Here, the stabbing investigation could not be neatly separated from counsel's representation in the burglary case. Under these circumstances, in which defendant had pinned his hopes for a favorable result in the burglary case on his cooperation with the stabbing investigation, counsel's duty to his client required him to concern himself with both cases. Counsel's obligation in defending the burglary case included an obligation to be alert to, and to avert if he could, the possibility that defendant's cooperation would hurt rather than help him.

Crimes — Right to Counsel — Waiver

2. Defendant did not validly waive his right to counsel where, while represented on a pending burglary charge and having agreed with the prosecutor

and police in the presence of his attorney to provide truthful information about an unrelated stabbing in exchange for a degree of immunity on the burglary charge, he was questioned by police about, and ultimately confessed to, the stabbing in the absence of counsel at a subsequent meeting arranged to outfit him with a wire as part of his role in the stabbing investigation. Where a defendant in one case seeks to obtain leniency by cooperating with the police in another, a limited waiver of the right to counsel to permit that cooperation would be normal and appropriate. Here, however, there was no such waiver, and if there had been, it could not have encompassed the part of the police interrogation that took place after the police knew that defendant himself was likely to be prosecuted for the stabbing. While defendant's counsel knew that he would meet with the police to be "wired up," he denied knowing that defendant would be interrogated. A waiver of the right to counsel cannot be inferred just from an assumption that a lawyer may or may not have made. There was a clearly defined moment when the police learned that defendant had actually stabbed the victim and they interrupted the meeting to talk with their supervisor and give *Miranda* warnings. Even if the police had reason to think that, until that moment, they were interviewing defendant with his lawyer's approval, they could hardly have thought that the lawyer would consent to a further interview, with defendant as the target of the investigation.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 914-916, 1099.

CARMODY-WAIT 2d, Confessions; Privilege Against Self-Incrimination §§ 176:64, 176:75; CARMODY-WAIT 2d, Right to Counsel §§ 184:13, 184:22, 184:122, 184:123.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 6.4.

NY JUR 2d, Criminal Law: Procedure §§ 593-595, 600, 604, 741, 831.

ANNOTATION REFERENCE

See ALR Index under Attorneys; Custodial Interrogation.

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POINTS OF COUNSEL

Ellen O'Hara Woods, Blauvelt, and *James D. Licata*, Public Defender, New City (*Lois Cappelletti* of counsel), for appellant. I. Raul Johnson's right to counsel indelibly attached at the proffer meeting which was directly related to the attempted murder that was the subject of the interrogation. (*People v Davis*, 75 NY2d 517; *People v Hobson*, 39 NY2d 479; *People v Arthur*, 22

NY2d 325; *People v Grice*, 100 NY2d 318; *People v West*, 81 NY2d 370; *People v Skinner*, 52 NY2d 24; *People v Marrero*, 51 NY2d 56; *People v Callicutt*, 85 AD3d 1326; *People v Lopez*, 16 NY3d 375; *People v Crimmins*, 36 NY2d 230.) II. Raul Johnson's minor misrepresentations at the proffer session did not constitute a material breach voiding the agreement. (*United States v Pelletier*, 898 F2d 297; *People v Schaefer*, 136 AD2d 661; *United States v Aleman*, 286 F3d 86; *United States v Rexach*, 896 F2d 710; *People v Crimmins*, 36 NY2d 230.) III. The trial court abused its discretion by not precluding Raul Johnson's statement or sanctioning the prosecution or reopening the suppression hearing because of the People's untimely turning over of pretrial *Rosario* material. (*People v Rosario*, 9 NY2d 286; *People v Thompson*, 71 NY2d 918; *People v Williams*, 50 AD3d 1177; *People v Joseph*, 86 NY2d 565; *People v Anderson*, 222 AD2d 442.)

Thomas P. Zugibe, District Attorney, New City (*Itamar J. Yeager* of counsel), for respondent. I. The hearing court properly rejected defendant's "related matters doctrine" claim regarding his attorney's representation in an unrelated case and therefore properly admitted his confessions. In any event, defendant's allegedly unlawful initial oral confession is attenuated from his detailed written confession, and any testimony related to the oral confession was harmless. (*People v Montes*, 173 Misc 2d 886; *People v Scott*, 86 NY2d 864; *People v Harris*, 20 NY3d 912; *People v Ramirez*, 89 NY2d 444; *People v Sohn*, 148 AD2d 553; *People v Woods*, 141 AD2d 588; *People v Chavis*, 147 AD2d 582; *People v Love*, 57 NY2d 998; *People v Prochilo*, 41 NY2d 759; *People v Jakins*, 277 AD2d 328.) II. Defendant's claims at his proffer session and initially at his confidential informant meeting that another man stabbed the victim, a claim defendant admitted was a lie when he spontaneously confessed to the stabbing, alone or coupled with his other prevarications, easily constitute a material breach of the proffer agreement. The agreement, by its terms, applied only to the proffer session and not to the confidential informant meeting. (*United States v Gregory*, 245 F3d 160; *United States v Gomez*, 210 F Supp 2d 465; *People v Stokes*, 165 Misc 2d 934; *People v Delayo*, 52 AD3d 1114; *United States v Lopez*, 219 F3d 343; *United States v Gerant*, 775 F Supp 182; *United States v Seeright*, 978 F2d 842; *United States v Pollack*, 91 F3d 331; *United States v Castelbuono*, 643 F Supp 965; *United States v Hyles*, 521 F3d 946.) III. Defendant's suppression hearing *Rosario* claim as to certain notes from detective Romano is unpreserved. Further, the material was not *Ro-*

sario for the *Huntley/Dunaway* hearing. In any event, the hearing court properly exercised its discretion when it declined to sanction the People. Finally, any error was completely harmless. (*People v Rosario*, 9 NY2d 286; *People v Graves*, 85 NY2d 1024; *People v Rogelio*, 79 NY2d 843; *People v Taylor*, 36 AD3d 562; *People v Cosmo*, 205 NY 91; *Virgo v Bonavilla*, 49 NY2d 982; *People v Rivera*, 78 NY2d 901; *People v Jackson*, 78 NY2d 900; *People v Brummel*, 136 AD2d 322; *People v Contreras*, 12 NY3d 268.)

OPINION OF THE COURT

SMITH, J.

Here, as in *People v McLean* (24 NY3d 125 [2014]), we consider a case in which a defendant, charged with one crime, sought to obtain leniency by providing information about a second, unrelated crime. Here, as in *McLean*, defendant was ultimately charged with committing the second crime, and the People offered in evidence statements defendant made to the police when the lawyer who represented him in the first case was not present.

In *McLean*, the first case was over when defendant was questioned, and the lawyer who had handled that case told the police that the representation had ended. We held there that the defendant's right to counsel was not violated. Here, the first case, and the lawyer's representation of defendant in it, were continuing when defendant was questioned about the second case. We hold that under these circumstances, there was a violation of defendant's right to counsel.

I

Defendant was arrested for burglary. He told one of the arresting officers that he had information about an earlier crime, a stabbing in a supermarket parking lot. This led to a meeting on October 12, 2007 attended by defendant; by John Schwarz, the lawyer representing defendant in the burglary case; and by police officers and an assistant district attorney. The meeting began with the signing of a so-called "queen-for-a-day" agreement, in which defendant agreed that he would "fully and truthfully respond to any and all questions" the police put to him, and the People agreed that any statement responsive to any such question "will not be used as direct evidence in any prosecution brought" against defendant, except one for perjury or contempt. The agreement said that it would be "null and void" if defendant violated any of its terms.

During the October 12 meeting, defendant told the police and the Assistant District Attorney that a friend of his, Sunny Bajwa, had admitted to defendant that he stabbed a man at the supermarket. Defendant said that the stabbing happened while he was in jail, but the police checked the dates and found that defendant had been released 10 days before the stabbing. After extensive questioning, the police were skeptical of some aspects of defendant's story, but nevertheless concluded that he would be a useful cooperating witness. They asked him if he would be "wired up" to talk to Bajwa, and defendant agreed.

In January of 2008, defendant was released from jail with the People's consent. On April 19, 2008, defendant, with no lawyer present, met with two police officers and made the statements that are in issue here.

Schwarz, defendant's lawyer, acknowledged that he knew before the April 19 meeting that the police would be in touch with his client. Schwarz testified that it was his understanding that defendant "would present himself and be wired up." He added that he did not believe that defendant "was going to be interrogated by any law enforcement personnel." The police testified that they viewed the meeting as a session to plan for the recorded conversation between defendant and Bajwa.

At the meeting the officers and defendant talked at length about the supermarket stabbing, and defendant's version of events changed several times. He began by saying that he was not present at the stabbing, but was told about it. Then he said that he witnessed it from across the street. When an officer said that it did not seem possible to see from across the street what defendant claimed to have seen, defendant admitted that he was on the same side of the street as the supermarket.

Defendant continued with a long narrative about what he claimed to have seen, interrupted by occasional questions from the police. As he told his story, defendant, according to the police testimony, began to seem "more uncomfortable," and said that "at no time was he closer than twenty feet" to the incident. As his apparent discomfort increased further, an officer asked him what was bothering him, to which his answer was: "I'm afraid I'm not going to go home today." The officers reassured him that he would, and defendant then admitted that, during the encounter, he had punched the victim. Asked if he stabbed him, defendant said no, but after going on with his description he changed his story once more, saying that he stabbed the victim in the chest with a knife.

At this point, the police officers interrupted the conversation to consult their supervisor. When they returned to the interview room, they read defendant his *Miranda* rights. Defendant agreed to continue talking to them and did so. Eventually, his latest version of the stabbing was reduced to a typed statement, which he signed. There is no evidence that any effort was made, at any time on April 19, to contact defendant's lawyer.

Defendant was allowed to go home on April 19, but he was later arrested and charged with attempted murder and assault. Supreme Court denied his motion to suppress his April 19 statements (24 Misc 3d 1235[A], 2009 NY Slip Op 51757[U] [2009]), and defendant was convicted of both crimes. The Appellate Division affirmed, concluding that the police officers "were not barred from questioning the defendant about the stabbing despite the fact that he was represented by counsel on a pending burglary charge, as the two charges were unrelated" (*People v Johnson*, 100 AD3d 777, 778 [2d Dept 2012]). A Judge of this Court granted leave to appeal (21 NY3d 1005 [2013]), and we now reverse, suppress defendant's statements, and order a new trial.

II

Defendant argues that the People's use of the statements he made on April 19 violated both the agreement that he signed on October 12 and his right to counsel under New York law. The October 12 agreement does not help him. It says on its face that it "shall be null and void" if defendant violates any of its terms—and he obviously violated the requirement that he respond "truthfully" to all police questions. We agree with defendant, however, that the April 19 police questioning was inconsistent with his right to counsel.

Defendant relies on the rule, long established in New York, that "[o]nce an attorney enters the proceeding, the police may not question the defendant in the absence of counsel unless there is an affirmative waiver, in the presence of the attorney, of the defendant's right to counsel" (*People v Arthur*, 22 NY2d 325, 329 [1968]). The People respond that this rule does not apply here because the "proceeding" in which the police questioned defendant on April 19—their investigation of the supermarket stabbing—was one that no attorney had entered. Schwarz, in the People's view, represented defendant only in the burglary case, about which he was not questioned.

We do not find this a viable distinction. The stabbing investigation cannot be neatly separated from Schwarz's repre-

sensation of defendant in the burglary case. Defendant had pinned his hopes for a favorable result in the burglary case on his cooperation with the police investigation of the stabbing. Under these circumstances, Schwarz's duty to his client required him to concern himself with both cases.

Schwarz was not, of course, retained to defend the stabbing case: before the April 19 meeting, defendant had not been charged with the stabbing, and no such charge seemed likely. But Schwarz's obligation in defending the burglary case included an obligation to be alert to, and to avert if he could, the possibility that defendant's cooperation would hurt rather than help him. No responsible lawyer in Schwarz's situation would concern himself with the burglary case alone, indifferent to the disaster that might strike defendant if he incriminated himself in the stabbing.

[1] We therefore conclude that defendant's right to counsel encompassed his conversations with police about the stabbing, as long as those conversations were part of an effort to obtain leniency in the burglary case in which Schwarz represented him. Thus, unless the right to counsel was waived, the police should not have questioned defendant about the stabbing in his lawyer's absence. This conclusion does not conflict with our holding in *McLean*, where the police interviewed the defendant after the first case was over, and where the lawyer who represented the defendant in the first case assured the police that that representation was at an end (see *McLean*, 24 NY3d at 128).

III

[2] The People argue, in the alternative, that defendant validly waived his right to be represented by counsel at the April 19 meeting. Unquestionably, where a defendant in one case seeks to obtain leniency by cooperating with the police in another, a limited waiver of the right to counsel to permit that cooperation would be normal and appropriate. In this case, however, there simply was no such waiver. And if there had been, the waiver could hardly have encompassed that part of the police interrogation that took place after the police knew that defendant himself was likely to be prosecuted for the stabbing.

While it is true that Schwarz knew that defendant would meet with the police on April 19, he denied knowing that defendant would be "interrogated." Perhaps, knowing that de-

defendant was to be “wired up” to talk to Bajwa, Schwarz should have assumed that there would at least be some conversation between defendant and the police as to what defendant and Bajwa would talk about. But a waiver of the right to counsel cannot be inferred just from an assumption that a lawyer may or may not have made. In situations like this, the police should request an express waiver by the client, with the lawyer’s express consent, preferably in writing. Where both the lawyer and the client think that cooperation is in the client’s best interests, such a waiver should not be hard to get. Here, for example, a waiver could have been, but was not, made part of the cooperation agreement signed on October 12.

Even if we could find, on this record, a waiver sufficient to authorize the police to interview defendant as a potential witness and informant, that waiver could not have extended to everything that happened here. The record shows that there was a clearly defined moment when the police learned—to their great surprise, according to their testimony—that defendant had actually stabbed the victim. At that point, they interrupted the meeting, talked to their supervisor, and gave *Miranda* warnings. Even if the police had reason to think that, until that moment, they were interviewing defendant with his lawyer’s approval, they could hardly have thought that the lawyer would consent to a further interview, with defendant as a target of the investigation. At the point where they interrupted their interview, the police should have called Schwarz, and proceeded no further with their questioning of defendant until and unless defendant waived his right to counsel in Schwarz’s presence.

Accordingly, the order of the Appellate Division should be reversed, defendant’s statements suppressed, and a new trial ordered.

PIGOTT, J. (dissenting). The suppression court, based on the facts before it, found that there was no connection between the burglary with which defendant had been charged and the stabbing about which defendant claimed to have information (24 Misc 3d 1235[A], 2009 NY Slip Op 51757[U] [2009]). That finding was affirmed by the Appellate Division (100 AD3d 777, 778 [2d Dept 2012]). “[W]hen the Appellate Division adopts a trial court’s factual findings and the application of those facts to the applicable legal principles . . . that determination presents a mixed question of law and fact that we cannot overturn unless there is no record support for the trial court’s conclusion”

(*People v Guay*, 18 NY3d 16, 22-23 [2011]). Because there is record support for the trial court's determination that the two matters were not so closely related as to bar the detectives from questioning defendant about the stabbing, I would affirm the order of the Appellate Division.

In August of 2007, attorney John Schwarz was appointed by the court to represent defendant with respect to the burglary only. Defendant, hoping to obtain leniency on that charge, claimed to have information relative to an unrelated stabbing that had occurred in 2005. Schwarz and defendant met with detectives and a prosecutor on October 12, 2007 to discuss that information. Prior to the meeting, defendant and Schwarz executed a "queen-for-a-day" agreement whereby defendant agreed to respond truthfully to all questions asked of him. During that meeting, defendant implicated a friend in the stabbing. Defendant stated that he was in jail at the time of the stabbing, but the prosecutor, upon speaking with a representative from the jail, learned that defendant had been released 10 days before the stabbing. Nonetheless, defendant agreed to be "wired up" while speaking with his friend.

Six months later, defendant met with detectives and engaged in a discussion with them about acting as a cooperating witness against his friend. Schwarz was aware of the meeting but did not attend. As the detectives were questioning defendant about the stabbing, defendant unexpectedly confessed to it. After being read his *Miranda* rights, defendant signed a typewritten confession. At no time during this meeting did defendant ask for an attorney, state that he did not wish to speak with the detectives, or state that he had retained an attorney with respect to the stabbing case; nor did Schwarz at any time indicate that he was representing defendant on any charges other than the burglary, because there were no charges pending against the defendant relating to the stabbing.

The majority acknowledges that Schwarz was not retained to represent defendant in the stabbing matter, but suggests that he had an obligation, as part of his representation of defendant in the burglary case, to be cognizant of the possibility that defendant's cooperation on the stabbing case would be deleterious to defendant (majority op at 645). I find this conclusion to be unwarranted and, in any event, of no moment.

From the point of view of the police, who were investigating a serious crime committed over two years earlier, the suppression court found they had no expectation that defendant was going

to do anything other than assist them in that investigation. And it is apparent from this record that neither Schwarz nor defendant was under the impression that Schwarz represented defendant in the stabbing case.

The record evidence upon which the suppression court based its decision supports the finding that, as far as Schwarz was concerned, once defendant spoke with detectives at the proffer session in his presence and agreed to wear a wire, Schwarz's work with respect to the stabbing was finished. Schwarz even provided the detectives with defendant's cell phone number so they could contact defendant to arrange a meeting between themselves and defendant, there being no need for him to attend. The suppression court concluded that "[a]s far as all involved were concerned, there was no matter, other than the burglary, in which the defendant might be represented or desire representation" (2009 NY Slip Op 51757[U], *3). In light of the fact that there is evidence in the record supporting that conclusion, we must accord it deference.

The majority states that "[n]o responsible lawyer in Schwarz's situation would concern himself with the burglary case alone, indifferent to the disaster that might strike defendant if he incriminated himself in the stabbing" (majority op at 645). Whether this is a fair characterization of Schwarz's conduct is not a matter of concern for this Court. The focus should be on the conduct of the detectives who, as the suppression court found, acted properly under the facts and circumstances. Certainly, the detectives were prohibited from questioning defendant about the burglary—a charge for which defendant was represented—but they were not prohibited from questioning him about the stabbing.

Chief Judge LIPPMAN and Judges READ, RIVERA and ABDUS-SALAAM concur; Judge PIGOTT dissents in an opinion.

Order reversed, defendant's motion to suppress granted, and a new trial ordered.

[26 NE3d 769, 2 NYS3d 830]

In the Matter of STATE OF NEW YORK, Respondent, v MICHAEL M., Appellant.

Argued November 18, 2014; decided December 17, 2014

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered September 27, 2013. The Appellate Division affirmed an order of the Supreme Court, Niagara County (Richard C. Kloch, Sr., A.J.), entered in a proceeding pursuant to Mental Hygiene Law article 10, which, after a hearing conducted pursuant to Mental Hygiene Law § 10.11 (d) (4), had determined that respondent was a dangerous sex offender requiring confinement, and committed him to a secure treatment facility.

Matter of State of New York v Michael M., 109 AD3d 1181, reversed.

HEADNOTES

Crimes — Sex Offenders — Civil Commitment or Supervision — Applicability of Least Restrictive Alternative Doctrine

1. The Appellate Division correctly concluded that a doctrine of the least restrictive alternative as incorporated in provisions of the Mental Hygiene Law governing assisted outpatient treatment of the mentally ill (*see* Mental Hygiene Law § 9.60 [h] [4] [ii]; [i] [3]; [j] [2]) does not apply in proceedings under Mental Hygiene Law article 10. Least restrictive alternative principles are not automatically transferable from one article of the Mental Hygiene Law to another. Sex offenders in need of civil commitment are a different population from traditional mental health patients, who have different treatment needs and particular vulnerabilities. Moreover, Mental Hygiene Law article 10, as written, is already designed to provide courts with a mechanism for deciding whether the mental condition of a sex offender suffering from a mental abnormality is so extreme that the more restrictive alternative of confinement is warranted or whether, on the other hand, the least restrictive option, namely strict and intensive supervision and treatment, is permitted. The statute, then, implicitly contains its own “least restrictive alternative doctrine.”

Crimes — Sex Offenders — Civil Commitment or Supervision — Violation of Terms of Strict and Intensive Supervision and Treatment Regimen — Legally Insufficient Evidence to Justify Confinement

2. Upon an application pursuant to Mental Hygiene Law § 10.11 (d) to revoke respondent sex offender’s strict and intensive supervision and treatment (SIST), the evidence was legally insufficient to support the trial court’s finding that respondent had such an inability to control his behavior that he

was likely to be a danger to others and to commit sex offenses if not confined to a secure treatment facility, and thereby to justify revoking his SIST and imposing confinement. The hearing testimony tended to show only that respondent was struggling with his sexual urges, not that he was unable to control himself. The Mental Hygiene Law defines “mental abnormality” with reference to a “serious difficulty” in controlling sexual misconduct (Mental Hygiene Law § 10.03 [i]). By contrast, a “dangerous sex offender requiring confinement” is defined as a sex offender who suffers from a mental abnormality involving an “inability” to control his or her behavior (Mental Hygiene Law § 10.03 [e]). The statute—which goes on to describe a “sex offender requiring strict and intensive supervision” as someone who suffers from a mental abnormality but is not a dangerous sex offender requiring confinement (Mental Hygiene Law § 10.03 [r])—clearly envisages a distinction between sex offenders who have difficulty controlling their sexual conduct and those who are unable to control it. Notwithstanding that he lost his job, was evicted from transitional housing and was discharged from a sex offender treatment program, the record revealed nothing relevant to the issue of respondent’s sexual control that occurred between the trial court’s imposition of SIST and its ordering of confinement.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Mentally Impaired Persons §§ 9–11, 20–21, 27, 45, 48, 53, 55, 57, 63–67, 85, 92, 107, 125–131, 139.

CARMODY-WAIT 2d, Verdict and Postverdict Proceedings §§ 202:72–202:74, 202:78, 202:83.

McKINNEY’S, Mental Hygiene Law § 10.3 (e), (i), (r).

NY JUR 2d, Hospitals and Related Health Care Facilities §§ 104–105, 109, 119–120; NY JUR 2d, Infants and Other Persons Under Legal Disability §§ 57, 60, 97, 100, 109, 111, 125, 131–137, 140; NY JUR 2d, Penal and Correctional Institutions §§ 4, 33, 36–37, 40, 45–52, 252, 337.

ANNOTATION REFERENCE

Standard of proof required under statute providing for commitment of sexual offenders or sexual psychopaths. 96 ALR3d 840.

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POINTS OF COUNSEL

Emmett J. Creahan, Mental Hygiene Legal Service, Fourth Judicial Department, Buffalo (Margot S. Bennett of counsel), for appellant. I. The implementation and revocation of strict and intensive supervision and treatment deprived appellant of his

right to due process of law. (*Executive Plaza, LLC v Peerless Ins. Co.*, 22 NY3d 511; *Kansas v Hendricks*, 521 US 346; *O'Connor v Donaldson*, 422 US 563; *Ex parte Lange*, 85 US 163; *People v Roach*, 226 AD2d 55; *Matter of State of New York v Nelson D.*, 22 NY3d 233; *Woe v Cuomo*, 729 F2d 96, 469 US 936; *Ohlinger v Watson*, 652 F2d 775; *State Farm Mut. Automobile Ins. Co. v Campbell*, 538 US 408.) II. The least restrictive alternative doctrine should apply to sex offender civil management. (*O'Connor v Donaldson*, 422 US 563; *Matter of Kesselbrenner v Anonymous*, 33 NY2d 161; *Rivers v Katz*, 67 NY2d 485; *Matter of Manhattan Psychiatric Ctr.*, 285 AD2d 189; *Matter of Mary C.*, 34 Misc 3d 365; *Baxstrom v Herold*, 383 US 107; *Jackson v Indiana*, 406 US 715; *Bell v Wolfish*, 441 US 520; *Matter of State of New York v Enrique T.*, 93 AD3d 158; *Matter of State of New York v Joseph McD.*, 107 AD3d 725.)

Eric T. Schneiderman, Attorney General, Albany (Frank Brady, Barbara D. Underwood, Andrea Oser and Nancy A. Spiegel of counsel), for respondent. I. This appeal became moot when the challenged order of confinement was superseded by a new order of confinement after an annual review of respondent's condition. (*People v Jian Jing Huang*, 1 NY3d 532; *Matter of George L.*, 85 NY2d 295; *Matter of Chenier v Richard W.*, 82 NY2d 830; *Matter of David C.*, 69 NY2d 796; *Matter of Rueda v Charmaine D.*, 17 NY3d 522; *Matter of Anonymous*, 55 NY2d 1021; *Matter of Hearst Corp. v Clyne*, 50 NY2d 707; *Matter of Anonymous v New York City Health & Hosps. Corp.*, 70 NY2d 972; *Matter of S.J. v State of New York*, 111 AD3d 1374, 22 NY3d 1128; *Matter of Martinek v State of New York*, 108 AD3d 1048.) II. The hearing evidence was legally sufficient to support the finding that respondent is a dangerous sex offender requiring civil confinement. (*Heary Bros. Lightning Protection Co., Inc. v Intertek Testing Servs., N.A., Inc.*, 4 NY3d 615; *Sage v Fairchild-Swearingen Corp.*, 70 NY2d 579; *Matter of State of New York v Daniel F.*, 19 NY3d 1086.) III. The constitutional "least restrictive alternative" doctrine does not apply to dispositional determinations under Mental Hygiene Law article 10. (*Kansas v Crane*, 534 US 407; *Kansas v Hendricks*, 521 US 346; *Matter of State of New York v Floyd Y.*, 22 NY3d 95; *Matter of State of New York v Enrique T.*, 93 AD3d 158, 18 NY3d 976; *Matter of Kesselbrenner v Anonymous*, 33 NY2d 161; *Rivers v Katz*, 67 NY2d 485.) IV. There is no record support for respondent's claim that the State violated substantive due process in the implementation of the strict and intensive supervision and treatment regimen. (*Matter of Lydia K.*, 112 AD2d 306, 67 NY2d

681; *County of Sacramento v Lewis*, 523 US 833; *Collins v Harker Heights*, 503 US 115; *Rochin v California*, 342 US 165; *Cuyahoga Falls v Buckeye Community Hope Foundation*, 538 US 188.)

OPINION OF THE COURT

PIGOTT, J.

In this Mental Hygiene Law article 10 proceeding, we hold that the evidence was legally insufficient to justify revoking respondent's strict and intensive supervision and treatment and imposing secure confinement. We base our holding on the distinction between a "sex offender requiring strict and intensive supervision" and a "dangerous sex offender requiring confinement," as defined in the relevant statutes.

I

Respondent Michael M. pleaded guilty to sex offenses including sexual abuse in the first degree (Penal Law § 130.65 [3] [subjects a person under 11 years to sexual contact]) and was incarcerated for over a decade. When his term of imprisonment neared its end in 2008, the State commenced a civil commitment proceeding against him pursuant to Mental Hygiene Law article 10. Supreme Court found probable cause to believe that respondent was a dangerous sex offender requiring confinement, within the meaning of Mental Hygiene Law § 10.03 (e), and ordered him committed to a secure treatment facility pending the conclusion of the proceeding (*see* Mental Hygiene Law § 10.06).

Respondent moved to dismiss the article 10 petition and, at the same time, commenced a proceeding seeking a writ of habeas corpus directing his release, contending that—for procedural reasons not pertinent to this appeal—he was not a lawfully detained sex offender under Mental Hygiene Law § 10.03 (g) (1). In March 2010, Supreme Court dismissed the article 10 petition, granted respondent habeas corpus relief, and released him into the community. Eight months later, the Appellate Division reversed Supreme Court's order (78 AD3d 1694 [2010]), but respondent remained in the community, without supervision, pending completion of his article 10 trial. There is no evidence of criminal activity by respondent during this period, which eventually lasted nearly two years.

In September 2011, Supreme Court held a bench trial on two issues: whether respondent suffered from a mental abnormality

as defined by Mental Hygiene Law § 10.03 (i) (*see* Mental Hygiene Law § 10.07 [d]) and whether he suffered from a mental abnormality involving such a strong predisposition to commit sex offenses, and such an inability to control behavior, that he was likely to be a danger to others and to commit sex offenses if not confined to a secure treatment facility (*see* Mental Hygiene Law §§ 10.03 [e]; 10.07 [f]). Experts called by the State and by respondent agreed that he suffered from a mental abnormality within the meaning of article 10, but the State's expert opined that respondent's condition necessitated confinement whereas respondent's expert insisted that he could be safely managed under "strict and intensive supervision and treatment" (SIST) (*see* Mental Hygiene Law § 10.03 [r]).

On November 15, 2011, Supreme Court imposed SIST, rather than confinement, and placed respondent under the custody and control of the New York State Department of Corrections and Community Supervision. A parole officer, assigned to supervise respondent, met with him on November 21 to review his SIST conditions.¹

Respondent was required to attend a sex offender treatment program at Mid-Erie Counseling and Treatment Services (Mid-Erie) in Buffalo. On November 22, 2011, a mental health counselor at Mid-Erie met with respondent for an "intake appointment." She scheduled two meetings for him on December 6: a 12:30 p.m. appointment for a chemical dependency orientation program, at Mid-Erie's main office on the East Side of Buffalo, and a 2:00 p.m. appointment with herself for an initial sex offender assessment, at the office of the New York State Division of Parole in downtown Buffalo. Respondent attended the 12:30 p.m. program, leaving Mid-Erie at about 1:45 p.m. and telling staff that he was on his way to a 2:00 p.m. appointment with the counselor. As respondent did not have a car of his own, his mode of transportation was a public bus.

Respondent did not appear at the parole office for his meeting with the mental health counselor at the scheduled time. Reached on his cell phone, respondent, in the judgment of Mid-Erie, failed to provide a reasonable excuse for his tardiness. Soon after 3:00 p.m., respondent arrived at the office, where he blamed the counselor for scheduling two appointments so close in time and expressed displeasure at being on SIST. A "team meeting" at Mid-Erie was scheduled for the following week.

1. Michael M. attended all of his appointments with his parole officer in a timely manner.

Meanwhile, respondent was having financial difficulty. He had lost his job as a taxi driver when his employer learned that he was a registered sex offender, and was evicted from his apartment a week later for failure to pay rent. Respondent's parole officer arranged for a residential placement at Grace House, which provides transitional housing for men who might otherwise be homeless. As a condition of placement at Grace House, residents are required to attend a Department of Social Services "job preparation program." Respondent enrolled in the program but, according to his parole officer, "he was late on two occasions and on another occasion he did not bring in the required three applications."² On December 9, 2011, about a week after commencing the job preparation program, respondent was terminated from the program. As a result, on December 12, 2011, respondent was discharged from Grace House. His parole officer directed him to find shelter at the Buffalo City Mission.

At the "team meeting" at Mid-Erie on December 13, 2011, counselors raised concerns about several aspects of respondent's circumstances, including the missed appointment with his counselor on December 6, his loss of employment and independent residence, and his termination from the job program and eviction from Grace House. Team members also expressed concerns about respondent's relationship with a girlfriend who suffered from certain "mental health problems," but did not allege that the relationship violated any of respondent's SIST conditions. Kenneth Duszynski, forensic program director at Mid-Erie, was present at the meeting. As he later recalled, respondent refused to answer questions and became angry. His parole officer found respondent defensive and sarcastic. At the conclusion of the meeting,³ Duszynski discharged respondent from the sex offender treatment program at Mid-Erie for failure to cooperate.

2. Michael M.'s own recollection was that he was late by 10 minutes "due to the bus schedule" on one occasion, he submitted incomplete paperwork on another occasion because he was "worried about transportation back to downtown and the curfew at Grace House," and he produced inaccurate information on job applications on the third occasion.

3. The record contains a letter from Duszynski to Michael M.'s parole officer, dated December 12, 2011, i.e. the day before the "team meeting," discharging Michael M. from treatment at Mid-Erie and requesting that the parole officer take Michael M. into custody. No explanation has been provided for this "pre-meeting" determination. We assume for the purposes of this factual recitation that the date on this letter is a typographical error, and that it was written in light of events on December 13.

Treating the discharge as a violation of SIST conditions, respondent was arrested (*see* Mental Hygiene Law § 10.11 [d] [1]).

II

These events triggered a reevaluation of respondent under Mental Hygiene Law § 10.11 (d) (1). Dr. Paul Etu, a board-certified psychologist, interviewed respondent at the Erie County Holding Center on December 15. Respondent, when questioned by Dr. Etu about his sexual urges, indicated that he was “learning to control the urges” by means of certain “tools” he had learned, in particular diverting his attention from young girls he encountered or, failing that, moving rapidly away from them. Respondent described this “relapse prevention plan” as a fight-or-flight response. He also mentioned supportive family members and church ministers, as well as a sexual relationship with his girlfriend. On the other hand, Dr. Etu found respondent exhibited a combative attitude when SIST conditions were discussed. He told Dr. Etu that he felt that he had served his time for his sex offenses and was being unfairly treated. In particular, respondent objected to his counselor’s criticism of his relationship with the girlfriend who suffered from “mental health” issues: “She can’t tell me that,” respondent told Dr. Etu, “She can’t tell me who to love.”

Dr. Etu issued a report, opining that respondent was a dangerous sex offender requiring confinement. Dr. Etu noted that respondent had “displayed . . . deviant sexual interest in young, female children” and “acknowledged that he still [had] urges in this regard.” He further opined that respondent appeared “to have an ingrained sense of entitlement and a disdain for the therapeutic community,” which respondent perceived as antagonistic, rather than supportive.

On December 19, 2011, barely a month after Supreme Court had reached its SIST decision, the State petitioned for an order pursuant to Mental Hygiene Law § 10.11 (d), revoking respondent’s release to SIST and confining him to a secure treatment facility. In addition to the report from Dr. Etu, the State submitted an affidavit and incident report from respondent’s parole officer and a letter from Duszynski opining that respondent required confinement. Supreme Court found probable cause to believe that respondent was a dangerous sex offender requiring confinement and ordered him committed to a secure treatment facility pending a hearing, pursuant to Mental Hygiene Law § 10.11 (d) (4). Respondent moved to dismiss the petition or, in

the alternative, to modify the SIST conditions to permit treatment through another provider.

At a two-day hearing in March 2012, Supreme Court heard testimony from Dr. Etu, Mr. Duszynski, respondent's parole officer, and his counselor. Dr. Etu opined, consistently with his report, that respondent was a dangerous sex offender requiring confinement. He testified that respondent had elaborated at his interview "how at times [sexual] urges would come on and how he would try to fight them off and basically [had] fought them off" but "was still having difficulty with that." Dr. Etu further testified that respondent had told him that, although he now understood that it had been wrong to believe that his victims enjoyed sexual activity with him or "came on to him," the idea still came "into his head once in a while."

Dr. Etu further supported his conclusion by presenting evidence of "static and dynamic risk factors." According to Dr. Etu, these factors, in particular the Static-99-R test, indicated that respondent had a 23% chance of "reoffending" within the next 10 years and a 46% chance of "reoffending" in his lifetime. Dr. Etu also testified that respondent "was resistant to counseling," did not trust the counselors at Mid-Erie, and could not "work with them."

Duszynski testified that respondent had been sarcastic and defensive at the December 13 "team meeting." Asked why respondent had been discharged from Mid-Erie, Duszynski's assessment was that respondent was not willing to follow "the rules of either treatment or supervision," placing him "in a very high risk situation."

On April 19, 2012, Supreme Court determined that the State had proved by clear and convincing evidence that respondent was a dangerous sex offender requiring confinement (*see* Mental Hygiene Law §§ 10.11 [d] [4]; 10.07 [f]). Accordingly, the court revoked respondent's release on SIST and committed him to a secure treatment facility. Nevertheless, Supreme Court's written decision was highly critical of Mid-Erie and of respondent's parole officer.

"It is clear that the Parole Officer and therapists were put off by [Michael M.]. The animus projected toward [Michael M.] throughout this proceeding literally was pooling on the courtroom floor. What is the genesis of this animus? Repulsion over [Michael M.'s] criminal acts? Repulsion over [Michael M.]'s

appearance? Displeasure over his past criticism of Parole or Mid-Erie? A general reluctance to perform the work necessary to service, and perhaps benefit [Michael M.] and the community? We will never know. . . . There is a word for that: Callousness.”

Respondent perfected his appeal and additionally petitioned for discharge upon annual review (*see* Mental Hygiene Law § 10.09). Supreme Court in the county of respondent’s confinement issued an order of continued confinement, upon the yearly review, before respondent’s appeal was calendared, and the State moved to dismiss the appeal as moot. The Appellate Division affirmed on the merits (109 AD3d 1181 [4th Dept 2013]). This Court granted respondent leave to appeal (22 NY3d 1050 [2014]). Under the circumstances of this case, the appeal is not moot, because the continued confinement order was affected by the order challenged here, changing respondent’s level of disposition from SIST to secure confinement. However, we disagree with the Appellate Division on the merits, and now reverse.

III

Respondent raises three arguments: that Supreme Court failed to apply “the least restrictive alternative doctrine” to his civil management; that the evidence at trial was legally insufficient to demonstrate clearly and convincingly that he was unable to control his sexual conduct to the extent that he was likely to be a danger to others and to commit sex offenses if not confined to a secure treatment facility; and that the manner in which his SIST was implemented and revoked violated his right to due process of law.

[1] In arguing that a doctrine of the least restrictive alternative should apply in proceedings under Mental Hygiene Law article 10, respondent relies on certain statutes that incorporate the doctrine, including provisions of the Mental Hygiene Law governing assisted outpatient treatment of the mentally ill (*see* Mental Hygiene Law § 9.60 [h] [4] [ii]; [i] [3]; [j] [2]). The right to a least restrictive alternative, he argues, should likewise apply to convicted sex offenders. The Appellate Division correctly rejected respondent’s contention (109 AD3d at 1182, citing *Matter of State of New York v Gooding*, 104 AD3d 1282 [4th Dept 2013], *lv denied* 21 NY3d 862 [2013], and *Matter of State of New York v Enrique T.*, 93 AD3d 158, 173 [1st Dept 2012], *lv dismissed* 18 NY3d 976, 977 [2012]). Least restrictive alternative principles are not automatically transferable from one

article of the Mental Hygiene Law to another. “[S]ex offenders in need of civil commitment are a different population from traditional mental health patients, who have different treatment needs and particular vulnerabilities” (Mental Hygiene Law § 10.01 [g]). Moreover, Mental Hygiene Law article 10, as written, is already designed to provide courts with a mechanism for deciding whether the mental condition of a sex offender suffering from a mental abnormality is so extreme that the more restrictive alternative of confinement is warranted or whether, on the other hand, the least restrictive option, namely SIST, is permitted. The statute, then, implicitly contains its own “least restrictive alternative doctrine.”

IV

[2] Respondent’s second argument is based on legal insufficiency. Respondent contends that as a matter of law the evidence before Supreme Court was not sufficient to show, by clear and convincing evidence (*see* Mental Hygiene Law § 10.07 [f]), that he required confinement pursuant to Mental Hygiene Law article 10. We agree.

To begin, the standards applicable in a proceeding seeking confinement pursuant to Mental Hygiene Law § 10.11 (d) (4), after an alleged SIST violation, are the same as those applicable when the proceeding is brought while the sex offender is still incarcerated. “The court shall make its determination of whether the respondent is a dangerous sex offender requiring confinement in accordance with the standards set forth in subdivision (f) of section 10.07” (Mental Hygiene Law § 10.11 [d] [4]). Section 10.07 in turn relies on the definitional provisions of Mental Hygiene Law § 10.03.

The Mental Hygiene Law defines “mental abnormality” as “a congenital or acquired condition, disease or disorder that affects the emotional, cognitive, or volitional capacity of a person in a manner that predisposes him or her to the commission of conduct constituting a sex offense and that results in that person having *serious difficulty* in controlling such conduct” (Mental Hygiene Law § 10.03 [i] [emphasis added]). By contrast, a “dangerous sex offender requiring confinement” is defined in the Mental Hygiene Law as “a person who is a detained sex offender suffering from a mental abnormality involving such a strong predisposition to commit sex offenses, and such an *inability* to control behavior, that the person is likely to be a danger to others and to commit sex offenses if not confined to a

secure treatment facility” (Mental Hygiene Law § 10.03 [e] [emphasis added]). The statute—which goes on to describe a “sex offender requiring strict and intensive supervision” as a “detained sex offender who suffers from a mental abnormality but is not a dangerous sex offender requiring confinement” (Mental Hygiene Law § 10.03 [r])—clearly envisages a distinction between sex offenders who have difficulty controlling their sexual conduct and those who are unable to control it. The former are to be supervised and treated as “outpatients” and only the latter may be confined.

The testimony in this case tended to show only that respondent was struggling with his sexual urges, not that he was unable to control himself. Dr. Etu testified that respondent was “having difficulty” with warding off urges to have sex with very young girls, but not that he was unable to do so. In fact, Dr. Etu recounted certain practical “tools” that respondent successfully used “to control [his] urges.” He would force his attention away from young girls he encountered or remove himself from their vicinity. The fact that respondent had difficulty warding off illicit sexual urges shows that respondent suffered at the time from “mental abnormality” within the meaning of Mental Hygiene Law article 10, which he does not now deny. But more than this—the inability to control sexual misconduct—would have had to be shown to prove that respondent was a dangerous sex offender requiring confinement.⁴

Notably, the record reveals nothing relevant to the issue of respondent’s sexual control that occurred between November 15, 2011, when Supreme Court imposed SIST rather than civil confinement, and April 19, 2012, when Supreme Court ordered confinement. What happened during this time was that respondent lost his job, and was evicted from his apartment for failure to pay rent; was late for one appointment; expressed, perhaps with some sarcasm, his distaste for SIST; was discharged from a job application program, with the result that he was evicted from transitional housing; and was discharged from a sex offender treatment program. Whatever else might be said about the personality traits or the social circumstances that led respondent so inexorably to homelessness and then to confinement, they do not give any support to the proposition that he had become unable to govern his sexual conduct.

4. The expert testimony did not adequately connect the so-called “static and dynamic risk factors” to the conclusion that Michael M. was unable to control his sexual conduct.

We conclude that the evidence, considered in the light most favorable to the State, was insufficient to support the trial court's finding that respondent had such an inability to control his behavior that he was likely to be a danger to others and to commit sex offenses if not confined to a secure treatment facility. Consequently, reversal is required, and it is unnecessary for us to consider respondent's due process arguments.

The order of the Appellate Division should be reversed, without costs, and the matter remitted to Supreme Court for further proceedings in accordance with this opinion.

Chief Judge LIPPMAN and Judges SMITH, RIVERA and ABDUS-SALAAM concur; Judge READ dissents and votes to affirm for reasons stated in the memorandum at the Appellate Division (109 AD3d 1181 [2013]).

Order reversed, without costs, and matter remitted to Supreme Court, Niagara County, for further proceedings in accordance with the opinion herein.

[26 NE3d 1146, 3 NYS3d 291]

In the Matter of TYRONE D., Appellant, v STATE OF NEW YORK et al., Respondents.

Argued January 13, 2015; decided February 12, 2015

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered May 3, 2013. The Appellate Division affirmed an order of the Supreme Court, Oneida County (William D. Walsh, A.J.), entered in a proceeding pursuant to Mental Hygiene Law article 10, which, upon a finding that petitioner continued to have a mental abnormality and remained a dangerous sex offender, had continued his commitment to a secure treatment facility. The appeal to the Appellate Division brought up for review a prior order of that Supreme Court, which had denied petitioner's motion to change venue for the annual review hearing from Oneida County to New York County.

Matter of Tyrone D. v State of New York, 106 AD3d 1488, affirmed.

HEADNOTES

Appeal — Matters Reviewable — Mental Hygiene Law Article 10 Annual Review — Nonfinal Order Denying Motion for Change of Venue

1. In a Mental Hygiene Law article 10 proceeding for annual review of petitioner's status as a dangerous sex offender in need of confinement to a secure treatment facility, in which the Supreme Court in the county where the treatment facility was located issued a final order continuing petitioner's confinement, the nonfinal order of that court denying petitioner's request for a change of venue to a county where his family and other potential witnesses resided was reviewable on appeal. In the unique circumstances of petitioner's case, the nonfinal order necessarily affected the final order (CPLR 5501 [a] [1]).

Crimes — Sex Offenders — Civil Commitment or Supervision — Change of Venue

2. Mental Hygiene Law article 10 authorizes venue to be changed for hearings under the statute upon an appropriate showing of good cause. Mental Hygiene Law § 10.08 (e) provides that "[a]t any hearing or trial pursuant to the provisions of this article, the court may change the venue of the trial to any county for good cause, which may include considerations relating to the convenience of the parties or witnesses or the condition of the respondent." If the legislature intended to restrict a change of venue to article 10 trials, the reference to "any hearing or trial" would appear to be superfluous. There is no need to read a restriction into the statute limiting annual review hearings solely to the few counties where secure treatment facilities are located.

**Crimes — Sex Offenders — Civil Commitment or Supervision —
Change of Venue — Good Cause**

3. In a Mental Hygiene Law article 10 proceeding for annual review of petitioner's status as a dangerous sex offender in need of confinement to a secure treatment facility, petitioner failed to establish good cause for a change of venue from the upstate county where the treatment facility was located to the downstate county where his family and other potential witnesses resided. Mental Hygiene Law § 10.08 (e) provides that "[a]t any hearing or trial pursuant to the provisions of this article, the court may change the venue of the trial to any county for good cause, which may include considerations relating to the convenience of the parties or witnesses or the condition of the respondent." While the affirmation submitted in support of petitioner's motion urged, generally, that it would be inconvenient and burdensome for unnamed family members and other potential witnesses to travel to the upstate county, it failed to identify a single witness that would testify on petitioner's behalf. Nor did the affirmation set forth the subject of any proposed testimony—let alone identify any information that would be potentially relevant to the issue of whether petitioner remained a dangerous sex offender in need of confinement.

**Crimes — Sex Offenders — Civil Commitment or Supervision —
Annual Review Hearing — Waiver**

4. In a Mental Hygiene Law article 10 proceeding for annual review of petitioner's status as a dangerous sex offender in need of confinement to a secure treatment facility, Supreme Court properly determined that petitioner waived his right to the annual review hearing based on his nonappearance at the hearing and his counsel's indication that he did not want the hearing. Inasmuch as it is conceivable that a petitioner could forgo his or her appearance at a hearing without waiving the hearing itself, the court should satisfy itself that a petitioner truly intends to waive the hearing. While the colloquy between the court and counsel on the issue was perfunctory, especially since petitioner had previously indicated, by checking the appropriate box on the notice and waiver form, that he did not intend to waive his hearing, the court was entitled to rely upon counsel's representation that petitioner did not want his annual review hearing. Counsel answered "[r]ight" when the court asked, "[s]o, he didn't want to come and he doesn't want his hearing?" and further indicated that she sent petitioner a letter confirming that fact.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

- AM JUR 2d, Appellate Review §§ 79, 85, 110, 117, 143; AM JUR 2d, Mentally Impaired Persons §§ 125–126; AM JUR 2d, Motions, Rules, and Orders § 40; AM JUR 2d, Venue §§ 52, 68.
- CARMODY-WAIT 2d, Appeals in General §§ 70:66, 70:359–70:360; CARMODY-WAIT 2d, Proceeding Against a Body or Officer § 145:1583.
- McKINNEY'S, CPLR 5501 (a) (1); Mental Hygiene Law § 10.08 (e).
- NY JUR 2d, Appellate Review §§ 94, 122, 307, 491, 518, 541, 548, 556–559.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Finality and

Conclusiveness; Incompetent or Insane Persons; Judgments, Orders, and Decrees; Sex Offender Registration and Notification.

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POINTS OF COUNSEL

D.J. & J.A. Cirando, Esqs., Syracuse (*John A. Cirando, Bradley E. Keem* and *Elizabeth deV. Moeller* of counsel), for appellant. I. A motion for change of venue was available and was incorrectly denied. (*Rosner v Metropolitan Prop. & Liab. Ins. Co.*, 96 NY2d 475; *Leader v Maroney, Ponzini & Spencer*, 97 NY2d 95; *Matter of Tonis v Board of Regents of Univ. of State of N.Y.*, 295 NY 286; *Matter of State of New York v Zimmer*, 26 Misc 3d 299; *Matter of State of New York v Enrique T.*, 93 AD3d 158.) II. Appellant did not waive his annual review hearing by declining to appear. (*People v Burts*, 64 AD2d 283; *People v La Barbera*, 274 NY 339; *People v Arrahman*, 83 AD3d 680; *People v Brooks*, 308 AD2d 99, 1 NY3d 502; *People v Erb*, 59 AD3d 1020; *Matter of State of New York v Floyd Y.*, 22 NY3d 95.) III. Good cause was not shown to dispense with testimony and simply rely on the expert's report. (*Matter of State of New York v J.A.*, 21 Misc 3d 806; *Matter of State of New York v Floyd Y.*, 22 NY3d 95; *Matter of State of New York v Mark S.*, 87 AD3d 73, 17 NY3d 714; *People v Mingo*, 12 NY3d 563, 20 NY3d 852.) IV. The evidence did not support the determination that the clear and convincing evidence showed that appellant is a dangerous sex offender requiring confinement. (*Matter of State of New York v Farnsworth*, 75 AD3d 14, 15 NY3d 848; *Matter of State of New York v Walter W.*, 94 AD3d 1177, 19 NY3d 810; *Matter of State of New York v Enrique T.*, 93 AD3d 158, 18 NY3d 976; *Matter of State of New York v Trombley*, 98 AD3d 1300, 20 NY3d 856; *Matter of State of New York v Timothy EE.*, 97 AD3d 996.) V. Appellant did not receive the effective assistance of counsel. (*Matter of State of New York v Floyd Y.*, 22 NY3d 95; *Matter of State of New York v Company*, 77 AD3d 92, 15 NY3d 713; *Lewis v Lewis*, 70 AD3d 1432; *Matter of Jenna KK.*, 50 AD3d 1216, 11 NY3d 703; *People v Baldi*, 54 NY2d 137; *People v Hobot*, 84 NY2d 1021; *People v Caban*, 5 NY3d 143; *People v Turner*, 5 NY3d 476; *People v Benevento*, 91 NY2d 708.)

Eric T. Schneiderman, Attorney General, Albany (*Laura Etlinger, Barbara D. Underwood* and *Andrea Oser* of counsel),

for respondents. I. Petitioner's procedural claims are academic, and should therefore not be reviewed by this Court. (*Siegmund Strauss, Inc. v East 149th Realty Corp.*, 20 NY3d 37; *Matter of Aho*, 39 NY2d 241; *Oakes v Patel*, 20 NY3d 633; *Saratoga County Chamber of Commerce v Pataki*, 100 NY2d 801; *Matter of Hearst Corp. v Clyne*, 50 NY2d 707.) II. If the Court were to review petitioner's procedural claims, it should reject them. (*Matter of State of New York v Williams*, 92 AD3d 1271, 96 AD3d 1513; *Matter of State of New York v Steinmetz*, 101 AD3d 1726; *Matter of State of New York v Carter*, 100 AD3d 1438; *Matter of State of New York v Zimmer*, 63 AD3d 1562; *Rochester Drug Coop., Inc. v Marcott Pharmacy N. Corp.*, 15 AD3d 899; *O'Brien v Vassar Bros. Hosp.*, 207 AD2d 169; *Andros v Roderick*, 162 AD2d 813; *Humphrey v State of New York*, 60 NY2d 742; *Matter of Granger v Misercola*, 21 NY3d 86; *People v Winchell*, 64 NY2d 826.) III. Petitioner's sole substantive claim—that the court should not have ordered his continuing confinement—was properly rejected by both courts below.

OPINION OF THE COURT

Chief Judge LIPPMAN.

The primary issue presented by this appeal is whether Mental Hygiene Law article 10 authorizes a motion for a change of venue in an annual review hearing. We hold that the statute does allow venue to be changed in article 10 hearings upon an appropriate showing of good cause. However, since the motion at issue failed to establish the requisite good cause, the requested change of venue was properly denied.

Petitioner Tyrone D. was adjudicated a dangerous sex offender in need of confinement to a secure treatment facility and was committed to Central New York Psychiatric Center in 2010. The following January, the Office of Mental Health (OMH) provided petitioner with notice of his annual right to petition for discharge under Mental Hygiene Law § 10.09 (a). Petitioner checked the box on the form provided, indicating that he did “not wish to waive [his] right to petition for discharge,” and commenced a proceeding in Oneida County seeking his discharge from confinement.

Petitioner moved to change venue for the annual review hearing from Oneida County to New York County, citing to Mental Hygiene Law § 10.08 (e) and CPLR 510. In support of the motion, his counsel submitted an affirmation asserting that holding the hearing in Oneida County would make “it extremely inconvenient, burdensome and impossible for his family to travel there to appear at his hearing as their finances are limited and

some family members have physical health issues.” Counsel further opined that most of the potential witnesses—e.g., those who might need to testify about the potential local resources, including available treatment programs—lived in the New York County area and that it would likewise be burdensome and inconvenient to require them to travel to Oneida County. Finally, counsel submitted that a judge based in New York County would be “more attuned to the local situation” and better suited to making a determination regarding petitioner’s status. The affirmation did not identify any particular potential witness or provide the subject of any proposed testimony.

In opposition, the State argued that article 10 did not allow for a change of venue in annual review hearings. The State also maintained that, assuming petitioner was permitted to move for a change of venue, the motion in this case failed to satisfy the good cause requirement of Mental Hygiene Law § 10.08 (e).

Supreme Court denied the motion. The court found that, although Mental Hygiene Law § 10.08 (e) did allow venue to be changed for annual review hearings, counsel’s conclusory affirmation in support of the motion failed to establish the requisite good cause.

Petitioner then refused to be interviewed by OMH’s psychiatric examiner, Trica Peterson, Ph.D., for the purpose of his annual psychiatric examination. Based on a review of the available records, Peterson generated a report concluding that petitioner met the criteria for diagnoses of personality disorder, not otherwise specified with antisocial traits, and psychopathy, as well as a provisional diagnosis of sexual sadism. In Dr. Peterson’s professional opinion, petitioner remained a dangerous sex offender in need of confinement. Although the court also appointed an independent psychiatric examiner to conduct an evaluation on petitioner’s behalf, petitioner again refused to be interviewed. Thereupon, the psychologist declined to prepare a report. The Commissioner of OMH issued a determination finding that petitioner was currently a dangerous sex offender in need of confinement.

On the date of the scheduled annual review hearing, petitioner was not present and his counsel advised the court that petitioner did not wish to appear. The court then asked, “[s]o, he didn’t want to come and he doesn’t want his hearing?,” to which counsel responded, “[r]ight.” The court inquired whether petitioner had signed anything to that effect and counsel

indicated that she had “sent him a letter confirming that.” The court then stated “Okay. Well, he doesn’t want his review, that’s his choice. So, I’ll deem his nonappearance a waiver and state the representations he’s made to support that way, accordingly.” The hearing was then terminated.

Supreme Court subsequently issued an order finding that there was no substantial issue as to whether petitioner continued to have a mental abnormality predisposing him to commit sex offenses. The court further found that there was clear and convincing evidence that petitioner remained a dangerous sex offender in need of confinement to a secure treatment facility.

The Appellate Division affirmed (106 AD3d 1488 [4th Dept 2013]). The Court found that the nonfinal order denying the change of venue motion necessarily affected, and was reviewable on appeal from, the final order (*see* CPLR 5501 [a] [1]). The Court then determined that Mental Hygiene Law § 10.08 authorized a change of venue only for article 10 trials, not for hearings. The Court found that petitioner had, through counsel, waived his right to an annual review hearing and rejected his remaining contentions as without merit. We granted petitioner’s motion for leave to appeal (22 NY3d 852 [2013]), and now affirm.

[1] We agree with the Appellate Division that, in these unique circumstances, the nonfinal order denying petitioner’s motion for a change of venue necessarily affected the final order and is therefore reviewable on this appeal.

[2] Relating to venue, Mental Hygiene Law § 10.08 (e) provides that “[a]t any hearing or trial pursuant to the provisions of this article, the court may change the venue of the trial to any county for good cause, which may include considerations relating to the convenience of the parties or witnesses or the condition of the respondent.” The State no longer advocates the position it took earlier in this litigation and now concedes that venue can be changed at either a hearing or a trial under article 10, provided that the petitioner has demonstrated good cause. Although it is no longer incumbent upon us to decide this issue, we agree that the better interpretation of the statute is the one advocated by the parties. The construction of the provision is somewhat ambiguous, in that, if the legislature intended to restrict a change of venue to article 10 trials, the reference to “any hearing or trial” would appear to be superfluous. We see

no need to read a restriction into the statute limiting annual review hearings solely to the few counties where secure treatment facilities are located.

[3] However, petitioner failed to establish good cause for the change of venue. As noted above, the statute provides that good cause “may include considerations relating to the convenience of the parties or witnesses or the condition of the respondent” (Mental Hygiene Law § 10.08 [e]). The affirmation submitted in support of the motion did urge, generally, that it would be inconvenient and burdensome for unnamed family members and other potential witnesses to travel to Oneida County, but failed to identify a single witness that would testify on petitioner’s behalf. Nor did the affirmation set forth the subject of any proposed testimony—let alone identify any information that would be potentially relevant to the issue of whether petitioner remained a dangerous sex offender in need of confinement. Therefore, the motion for a change of venue was properly denied.

[4] Petitioner further claims that he did not waive his annual review hearing by failing to appear. The colloquy between Supreme Court and counsel on this issue was undeniably perfunctory, especially where, as here, petitioner had previously indicated, by checking the appropriate box on the notice and waiver form, that he did not intend to waive his hearing. It is conceivable that a petitioner could forgo his or her appearance at the hearing without waiving the hearing itself. The court should, therefore, satisfy itself that a petitioner truly intends to waive the hearing (*see e.g.* Mental Hygiene Law § 10.09 [d]). Under the circumstances presented here, however, the court was entitled to rely upon counsel’s representation that petitioner did not want his annual review hearing (*see generally People v Flinn*, 22 NY3d 599, 602 [2014] [“a lawyer may be trusted to explain rights to his or her client, and to report to the court the result of that discussion”]).

Petitioner’s remaining contentions are without merit.

Accordingly, the order of the Appellate Division should be affirmed, without costs.

Judges READ, PIGOTT, RIVERA and ABDUS-SALAAM concur;
Judges STEIN and FAHEY taking no part.

Order affirmed, without costs.

[26 NE3d 1143, 3 NYS3d 288]

In the Matter of VERONICA P., Respondent, v RADCLIFF A., Appellant.

Argued January 8, 2015; decided February 12, 2015

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered October 10, 2013. The Appellate Division dismissed, as moot, respondent's appeal from an order of protection of the Family Court of New York County (Ivy I. Cook, Ref.), which had been issued upon a determination, after a hearing, that respondent committed a family offense, i.e., acts constituting harassment in the second degree, and directed respondent to stay away from petitioner's home and to refrain from assault, stalking, harassment, aggravated harassment, menacing, reckless endangerment, disorderly conduct, criminal mischief, sexual abuse, sexual misconduct, forcible touching, intimidation, threats or any criminal offense against petitioner, commencing February 4, 2011 and continuing for two years.

Matter of Veronica P. v Radcliff A., 110 AD3d 486, reversed.

HEADNOTE

Appeal — Academic and Moot Questions — Appeal from Expired Order of Protection

Respondent's appeal to the Appellate Division from the Family Court order of protection issued upon a determination that respondent committed a family offense and directing respondent to stay away from petitioner's home and to refrain from committing assault, harassment, stalking and certain other offenses against her was not rendered moot by the expiration of the order while the appeal was pending. Even where resolution of an appeal may not immediately relieve a party from a currently ongoing court-ordered penalty, the appeal is not moot if an appellate decision will eliminate readily ascertainable and legally significant enduring consequences that befall a party as a result of the order which the party seeks to appeal. In the face of the substantial probability here that the order of protection would prompt severely deleterious future legal consequences and rulings against respondent, an appellate decision in his favor would directly vindicate his interest in avoiding those consequences of the order. Moreover, the order of protection placed a severe stigma on respondent, which he could escape by prevailing on appeal.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 596–599, 605, 615.

CARMODY-WAIT 2d, Appeals in General §§ 70:304–70:308, 70:338, 70:343, 70:344.

NY JUR 2d, Appellate Review §§ 9, 492, 638, 651.
SIEGEL, NY PRAC § 525.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Moot and Abstract Matters.

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POINTS OF COUNSEL

George E. Reed, Jr., White Plains, for appellant. An appeal from an order of protection in a family offense proceeding does not become moot when the order expires. (*Matter of Wissink v Wissink*, 301 AD2d 36; *Matter of Diallo v Diallo*, 68 AD3d 411; *Matter of Williams v Cornelius*, 76 NY2d 542; *Matter of Hearst Corp. v Clyne*, 50 NY2d 707; *Matter of Parameswar v Parameswar*, 109 AD3d 473; *Matter of Nair v Nair*, 113 AD3d 688; *Matter of McLaughlin v McLaughlin*, 104 AD3d 1315; *Matter of Petrie v Petrie*, 100 AD3d 1423; *Matter of Loomis v Yu-Jen G.*, 81 AD3d 1083; *Matter of Justin CC.* [*George CC.—Tina CC.*], 86 AD3d 725.)

Eric Nelson, Staten Island, for respondent. I. The appeal should be dismissed as moot as the challenged order of protection has expired. (*Matter of Grand Jury Subpoenas for Locals 17, 135, 257 & 608 of United Bhd. of Carpenters & Joiners of Am., AFL-CIO*, 72 NY2d 307; *Matter of Hearst Corp. v Clyne*, 50 NY2d 707; *Saratoga County Chamber of Commerce v Pataki*, 100 NY2d 801, 540 US 1017; *Matter of Bickwid v Deutsch*, 87 NY2d 862; *Matter of Mikayla U.*, 266 AD2d 747; *Matter of Jani Faith B. [Craig S.]*, 104 AD3d 508; *Matter of Victor S. v Kareem J.S.*, 104 AD3d 405; *Matter of Deivi R. [Marcos R.]*, 68 AD3d 498; *Matter of Cheyenne J. [Christian J.]*, 103 AD3d 467; *Matter of Yajaira J.L. v Robert Bruce Scott L.*, 99 AD3d 579.) II. Respondent met her burden of proving that a family offense was committed where she testified credibly that the appellant pushed her following an altercation and appellant stated that he should have pushed respondent so that she had fallen. (*Matter of Everett C. v Oneida P.*, 61 AD3d 489; *Matter of Melinda M. v Joseph P.*, 95 AD3d 553; *Matter of Creighton v Whitmore*, 71 AD3d 1141; *Matter of F.B. v W.B.*, 248 AD2d 119; *Matter of Smith v Smith*, 308 AD2d 592; *Matter of DosReis v Rousseau*,

85 AD3d 1028; *Matter of Williams v Maise*, 85 AD3d 933; *Matter of Ford v Pitts*, 30 AD3d 419; *Matter of Jenna T. v Mark U.*, 82 AD3d 1512; *Matter of Corey v Corey*, 40 AD3d 1253.)

OPINION OF THE COURT

ABDUS-SALAAM, J.

We are confronted with the question of whether an appeal from a contested order of protection issued by Family Court, based upon a finding that the subject individual has committed a family offense, is mooted solely by the expiration of the order. We hold that it is not.

In 2009, respondent Radcliff A. regularly stayed in an apartment with his aunt, petitioner Veronica P. On September 22, 2009, petitioner filed a petition charging respondent with various family offenses under Family Court Act article 8, alleging that, on certain occasions during the previous month, respondent had assaulted and harassed her in the apartment. Petitioner sought an order adjudging respondent guilty of the charged offenses, as well as an order of protection against him pursuant to Family Court Act § 842. Family Court immediately granted petitioner a temporary order of protection and thereafter held a hearing on the petition. At the hearing, both sides called witnesses to testify to the relevant events, and respondent vigorously opposed the entry of an order of protection or any other adverse adjudication.

In an oral decision rendered on February 4, 2011, the court found that respondent was guilty of a family offense, concluding that he had committed acts constituting harassment in the second degree (*see* Penal Law § 240.26; *see also* Family Ct Act § 812 [1]). That same day, the court entered a written two-year order of protection against respondent. The written order stated that a family offense petition had been filed in the case, listed the date of the petition and noted that the order was being issued after a hearing at which respondent had been present. The order directed respondent to stay away from petitioner's home and to refrain from committing assault, harassment, stalking and certain other offenses against her.

Respondent appealed, but while the appeal was pending, the order of protection expired. The Appellate Division unanimously dismissed the appeal as moot, citing the expiration of the order (*Matter of Veronica P. v Radcliff A.*, 110 AD3d 486, 486 [1st Dept 2013]). We granted respondent leave to appeal, and we now reverse.

As we have often emphasized, “[i]n general an appeal will be considered moot unless the rights of the parties will be directly affected by the determination of the appeal and the interest of the parties is an immediate consequence of the judgment” (*Matter of Hearst Corp. v Clyne*, 50 NY2d 707, 714 [1980]; see *Matter of New York State Commn. on Jud. Conduct v Rubenstein*, 23 NY3d 570, 576 [2014]; *Coleman v Daines*, 19 NY3d 1087, 1090 [2012]). The ability of an appellate decision to directly and immediately impact the parties’ rights and interests is among the most important aspects of the mootness analysis, for otherwise the analysis might turn on inchoate or speculative matters, making mootness an unwieldy doctrine of a thousand “what ifs.” On the other hand, even where the resolution of an appeal may not immediately relieve a party from a currently ongoing court-ordered penalty or obligation to pay a judgment, the appeal is not moot if an appellate decision will eliminate readily ascertainable and legally significant enduring consequences that befall a party as a result of the order which the party seeks to appeal (see *Matter of Bickwid v Deutsch*, 87 NY2d 862, 863 [1995]; see also *Rubenstein*, 23 NY3d at 576).

In this case, the expiration of the order of protection does not moot the appeal because the order still imposes significant enduring consequences upon respondent, who may receive relief from those consequences upon a favorable appellate decision. Because the order of protection on its face strongly suggests that respondent committed a family offense, the court in a future criminal case or Family Court proceeding would likely rely on the order to enhance a sentence or adverse civil adjudication against respondent. In that regard, although the order does not declare respondent guilty of a family offense in so many words, the order notes that it was issued after a hearing in a family offense proceeding, and it expressly bars respondent from victimizing petitioner by committing a variety of crimes nearly identical to those charged in the family offense petition. Thus, a court examining the order may readily discern that Family Court found respondent guilty of committing a family offense against petitioner and issued an order of protection to prevent him from continuing to offend against her. Armed with that information, the court in a future case may increase the severity of any applicable criminal sentence or civil judgment

against respondent.¹ In the face of the substantial probability that the order of protection will prompt severely deleterious future legal rulings against respondent, an appellate decision in his favor will directly vindicate his interest in avoiding that consequence of the order.

The order of protection has other potential legal consequences that render it susceptible to appellate review. For example, in a future legal matter, an opposing party might be permitted to use the order of protection to impeach respondent's credibility (*see Bickwid*, 87 NY2d at 863-864 [finding that the impeachment potential of the adjudication being appealed supported the conclusion that the appeal was not moot]). Furthermore, since the order of protection remains in a police computer database, albeit not in an active file (*see* Executive Law § 221-a [1], [6]; *see also* 9 NYCRR 486.2 [g]), respondent may face additional law enforcement scrutiny and an increased likelihood of arrest in certain encounters with the police (*see* 9 NYCRR 486.3 [n] [declaring information obtained from the database to be relevant to the decision to arrest an individual]).²

Beyond its legal consequences, the order of protection places a severe stigma on respondent, and he can escape that stigma by prevailing on appeal (*see Rubenstein*, 23 NY3d at 577-578). As discussed above, the order essentially labels respondent a family offender and at least implies that he has committed an assault or harassment offense against his aunt. It follows that, should the order come to the attention of respondent's business contacts, social acquaintances or other members of the public, those individuals would almost certainly view him as a domestic violence offender—a decidedly pejorative label—and cease their dealings with him. Perhaps most importantly, potential employers might ask respondent whether an order of protection has ever been entered against him, and he may be ethically or legally

1. Indeed, that is highly likely to occur, as the Department of Probation or prosecutors in a future proceeding will likely inform the court of the order and, quite possibly, the oral decision finding respondent guilty of a family offense (*see* Family Ct Act §§ 252, 815, 835 [b]; CPL 390.30 [1]).

2. Significantly, state regulations governing the computer database do not on their face prevent the police from taking action based on information contained in an inactive file, for the regulations permit or forbid the use of information in the database under certain circumstances without distinguishing between information in an active or inactive file (*see generally* 9 NYCRR 486.2 [g] [defining “computer information” that may be disseminated among the police via the database as, essentially, any data in the database, without distinguishing between active and inactive files]).

bound to answer in the affirmative, significantly curtailing his chances of getting a job.

In sum, given the totality of the enduring legal and reputational consequences of the contested order of protection, respondent's appeal from that order is not moot.³ Furthermore, because our consideration of the merits would be inappropriate under the circumstances of this case, the matter should be remitted to the Appellate Division for consideration of the appeal (*see Bickwid*, 87 NY2d at 864).

Accordingly, the order of the Appellate Division should be reversed, without costs, and the matter remitted to that Court for further proceedings in accordance with this opinion.

Chief Judge LIPPMAN and Judges READ, PIGOTT and RIVERA concur; Judges STEIN and FAHEY taking no part.

Order reversed, without costs, and matter remitted to the Appellate Division, First Department, for further proceedings in accordance with the opinion herein.

3. Respondent urges us to hold that an appeal from any expired order of protection, other than one entered upon stipulation, is not moot. But we express no view on the correctness of that proposed holding because it is unnecessary to resolve the case at hand.

[26 NE3d 1151, 3 NYS3d 296]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v MICHAEL DIACK, Appellant.

Argued January 5, 2015; decided February 17, 2015

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Term of the Supreme Court in the Second Judicial Department, Ninth and Tenth Judicial Districts, entered September 5, 2013. The Appellate Term (1) reversed, on the law, an order of the District Court of Nassau County, First District (Valerie Alexander, J.), which had granted defendant's motion to dismiss the information; (2) denied defendant's motion to dismiss the information; (3) reinstated the accusatory instrument; and (4) remitted the matter to District Court for further proceedings.

People v Diack, 41 Misc 3d 36, reversed.

HEADNOTE

Crimes — Sex Offenders — Residency Restrictions — Local Laws Preempted

New York's comprehensive and detailed statutory and regulatory scheme represented by the Sex Offender Registration Act, the Sexual Assault Reform Act, the Sex Offender Management and Treatment Act and chapter 568 of the Laws of 2008 for the identification, regulation and monitoring of registered sex offenders, which includes the housing of registered sex offenders, prohibits the enactment of local laws imposing residency restrictions on registered sex offenders. Accordingly, defendant, a level one sex offender, was entitled to dismissal of an information charging him with violating a local law prohibiting registered sex offenders from residing within 1,000 feet of a school. A local government's police power is not absolute. When the State has created a comprehensive and detailed regulatory scheme with regard to the subject matter that the local law attempts to regulate, the local interest must yield to that of the State in regulating that field. The State's top-down approach for continuing to monitor and treat sex offenders once released from prison, with the State dictating the relevant factors that local officials are required to consider when placing such offenders in housing, plainly establishes that sex offender residency restrictions are within the exclusive bailiwick of the State. Local residency restriction laws encroach upon the State's occupation of the field, collide with state policy by prohibiting certain offenders from living in State-approved housing, and hinder statewide uniformity concerning sex offender placement. The unmistakable intent of the State to preempt the field thus prohibits their enactment.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Constitutional Law §§ 55, 234, 623, 665, 703;

AM JUR 2d, Mentally Impaired Persons §§ 126, 129; AM JUR 2d, Municipal Corporations, Counties, and Other Political Subdivisions §§ 113, 316.

CARMODY-WAIT 2d, Proceeding Against a Body or Officer §§ 145:1461, 145:1541; CARMODY-WAIT 2d, Declaratory Judgments § 147:30.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 1.2, 26.9. NY JUR 2d, Constitutional Law § 318; NY JUR 2d, Counties, Towns, and Municipal Corporations §§ 121, 139, 147, 222–223, 349–351; NY JUR 2d, Criminal Law: Procedure § 3074.

ANNOTATION REFERENCE

Validity of statutes imposing residency requirements on registered sex offenders. 25 ALR6th 227.

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POINTS OF COUNSEL

Kindlon Shanks and Associates, Albany (Kathy Manley of counsel), for appellant. Both New York’s stated policy and its comprehensive sex offender management scheme show that Local Law No. 4-2006 of the County of Nassau is preempted by state law. (*People v Santos*, 25 Misc 3d 1212[A], 2009 NY Slip Op 52040[U]; *Doe v County of Rensselaer*, 24 Misc 3d 1215[A], 2009 NY Slip Op 51456[U]; *People v Blair*, 23 Misc 3d 902; *People v Oberlander*, 22 Misc 3d 1124[A], 2009 NY Slip Op 50274[U]; *Matter of Cohen v Board of Appeals of Vil. of Saddle Rock*, 100 NY2d 395; *Albany Area Bldrs. Assn. v Town of Guilderland*, 74 NY2d 372; *Jancyn Mfg. Corp. v County of Suffolk*, 71 NY2d 91; *Consolidated Edison Co. of N.Y. v Town of Red Hook*, 60 NY2d 99; *People v De Jesus*, 54 NY2d 465; *Sunrise Check Cashing & Payroll Servs., Inc. v Town of Hempstead*, 91 AD3d 126.)

Lynn, Gartner, Dunne & Covello, LLP, Mineola (Kenneth L. Gartner, Joseph Covello and Tiffany D. Frigenti of counsel), and *Carnell T. Foskey, County Attorney*, Mineola, for respondent. I. The Appellate Term properly held that conflict preemption does not apply because the state laws do not specifically permit the conduct prohibited by Local Law No. 4-2006 of the County of Nassau. (*Jancyn Mfg. Corp. v County of Suffolk*, 71 NY2d 91; *Matter of Chwick v Mulvey*, 81 AD3d 161; *Matter of Lansdown Entertainment Corp. v New York City Dept. of Consumer Affairs*,

74 NY2d 761; *People v Cook*, 34 NY2d 100; *Sunrise Check Cashing & Payroll Servs., Inc. v Town of Hempstead*, 91 AD3d 126; *DJL Rest. Corp. v City of New York*, 96 NY2d 91; *Consolidated Edison Co. of N.Y. v Town of Red Hook*, 60 NY2d 99; *People v Conti*, 27 Misc 3d 453; *Incorporated Vil. of Nyack v Daytop Vil.*, 78 NY2d 500.) II. The patchwork of state law in this area is not a “comprehensive and detailed regulatory scheme,” and thus, as evidenced by the legislative histories, the State has not occupied the field of sex offender regulation. (*Jancyn Mfg. Corp. v County of Suffolk*, 71 NY2d 91; *DJL Rest. Corp. v City of New York*, 96 NY2d 91; *Consolidated Edison Co. of N.Y. v Town of Red Hook*, 60 NY2d 99; *Robin v Incorporated Vil. of Hempstead*, 30 NY2d 347; *People v Blair*, 23 Misc 3d 902; *Incorporated Vil. of Nyack v Daytop Vil.*, 78 NY2d 500; *Vatore v Commissioner of Consumer Affairs of City of N.Y.*, 83 NY2d 645; *People v De Jesus*, 54 NY2d 465.)

New York Civil Liberties Union Foundation, New York City (Dana B. Wolfe, Mariko Hirose, Corey Stoughton, Amol Sinha, Jason Starr and Christopher Dunn of counsel), for New York Civil Liberties Union, amicus curiae. I. The proliferation of local residency restrictions across New York State creates a complex, overlapping, and incoherent scheme of regulation. (*Terrance v City of Geneva, N.Y.*, 799 F Supp 2d 250; *Doe v County of Rensselaer*, 24 Misc 3d 1215[A], 2009 NY Slip Op 51456[U]; *People v Blair*, 23 Misc 3d 902; *People v Oberlander*, 22 Misc 3d 1124[A], 2009 NY Slip Op 50274[U].) II. Local residency restrictions are preempted because they prohibit what state laws permit. (*Consolidated Edison Co. of N.Y. v Town of Red Hook*, 60 NY2d 99; *Matter of Lansdown Entertainment Corp. v New York City Dept. of Consumer Affairs*, 74 NY2d 761; *Matter of Williams v Department of Corr. & Community Supervision*, 43 Misc 3d 356; *People v Oberlander*, 22 Misc 3d 1124[A], 2009 NY Slip Op 50274[U]; *Terrance v City of Geneva, N.Y.*, 799 F Supp 2d 250.) III. Local residency restrictions are invalid under conflict preemption because they undermine the State’s policy concerns. (*Jancyn Mfg. Corp. v County of Suffolk*, 71 NY2d 91.)

OPINION OF THE COURT

PIGOTT, J.

In 2006, Nassau County enacted Local Law No. 4-2006 (Local Law 4), which, as relevant here, prohibits registered sex offenders from residing within 1,000 feet of a school. In recent years, dozens of municipalities in this state have enacted similar laws

that prohibit registered sex offenders from living within a certain distance of schools, day-care centers, parks, youth centers and other areas where children are likely to congregate.¹ That such laws are proliferating at an accelerated rate is hardly surprising, given the significant interest involved, namely, the protection of children from sex offenders. Local governments have, understandably, relied on their police power in furthering that interest.

But a local government's police power is not absolute. When the State has created a comprehensive and detailed regulatory scheme with regard to the subject matter that the local law attempts to regulate, the local interest must yield to that of the State in regulating that field. We hold that the State's comprehensive and detailed statutory and regulatory framework for the identification, regulation and monitoring of registered sex offenders prohibits the enactment of a residency restriction law such as Local Law 4.

I.

In 2001, defendant, a Nassau County resident, was convicted of the crime of possessing an obscene sexual performance by a child (Penal Law § 263.11). He served 22 months in prison and, upon his release from custody, was classified a level one sex of-

1. Sex offender residency laws have generated significant litigation in this state's local and federal courts, with almost all of the challenges to their validity involving the issue of preemption (see *People v Kramer*, 45 Misc 3d 458 [Massapequa Park Just Ct 2014] [village law prohibiting a registered sex offender from residing within a one-mile radius of any school or park]; *Budesheim v Southampton Town Police Dept.*, 2014 NY Slip Op 32278[U] [Sup Ct, Suffolk County 2014] [county local law prohibiting registered sex offenders from residing within a quarter mile of the property of any school, day-care center, playground or amusement park]; *Doe v County of Rensselaer*, 24 Misc 3d 1215[A], 2009 NY Slip Op 51456[U] [Sup Ct, Rensselaer County 2009] [county local law prohibiting level two and level three sex offenders from residing within 2,000 feet of a school or childcare facility]; *People v Blair*, 23 Misc 3d 902 [Albany City Ct 2009] [county local law prohibiting level two and level three sex offenders from residing within 1,000 feet of a school or childcare facility]; *People v Oberlander*, 22 Misc 3d 1124[A], 2009 NY Slip Op 50274[U] [Sup Ct, Rockland County 2009] [county law prohibiting sex offenders from residing, working or loitering within 1,000 feet of a school, childcare facility, playground, youth center or public swimming pool]; see also *Moore v County of Suffolk*, 2013 WL 4432351, 2013 US Dist LEXIS 115082 [ED NY, Aug. 14, 2013, No. 09-CV-2031 (PKC)] [county local law prohibiting registered sex offenders from living within a quarter of a mile of the property line of any school, licenced day-care center or playground]; *Terrance v City of Geneva, N.Y.*, 799 F Supp 2d 250 [WD NY 2011] [city law prohibiting level two and level three sex offenders from residing within 1,000 feet of a school and 500 feet of a park, playground or day-care center]).

fender under the Sex Offender Registration Act (Correction Law, art 6-C, § 168 *et seq.*). Defendant was discharged from parole on August 19, 2004. In July 2008, defendant reported his change of address to the New York State Division of Criminal Justice Services. Upon receiving this information, the Nassau County Police Department determined that defendant had moved to an apartment located within 500 feet of two schools.

Defendant was charged by information with a violation of Nassau County Local Law 4, which is codified in Nassau County Administrative Code § 8-130.6. That provision states, in relevant part, that “[i]t shall be unlawful for any registered sex offender to establish a residence or domicile where the property line of such residence or domicile lies within: 1) one thousand feet of the property line of a school; or 2) five hundred feet of the property line of a park” (Nassau County Administrative Code § 8-130.6 [a] [1], [2]). The code defines a “registered sex offender” as “a person who has been classified as a Level 1, Level 2 or Level 3 sex offender and who is required to register with the New York state division of criminal justice services, or other agency having jurisdiction,” pursuant to the Sex Offender Registration Act, regardless of whether the sex offender has actually registered (*id.* § 8-130.2).

Defendant moved to dismiss the information on the ground that Local Law 4 and section 8-130.6 are preempted by state law. The District Court of Nassau County granted the motion and dismissed the charge on the ground that Local Law 4 is preempted by New York’s “comprehensive statutory scheme for sex offenders.” The Appellate Term reversed and reinstated the information, holding that it could not discern any express or implied intention by the legislature through the enactment of the Sex Offender Registration Act (and other state laws) to occupy the entire field so as to prohibit the enactment of local laws imposing “residency restrictions for sex offenders who are no longer on probation, parole supervision, subject to a conditional discharge or . . . seeking public assistance” (41 Misc 3d 36, 39 [App Term, 2d Dept, 9th & 10th Jud Dists 2013]). A Judge of this Court granted defendant leave to appeal (22 NY3d 1155 [2014]).

II.

Although a local government is constitutionally empowered to enact local laws relating to the welfare of its citizens through its police power, it is prohibited from exercising that power through

the adoption of local laws that are inconsistent with the New York State Constitution or any general law of the state (*see* NY Const, art IX, § 2 [c]; Municipal Home Rule Law § 10 [1] [i], [ii] [a] [12]). This doctrine of preemption is a significant restriction on a local government's home rule powers because although localities are "invested with substantial powers both by affirmative grant and by restriction on State powers in matters of local concern, the overriding limitation of the preemption doctrine embodies 'the untrammelled primacy of the Legislature to act . . . with respect to matters of State concern'" (*Albany Area Bldrs. Assn. v Town of Guilderland*, 74 NY2d 372, 377 [1989], quoting *Wambat Realty Corp. v State of New York*, 41 NY2d 490, 497 [1977]).

Beginning with enactment of the Sex Offender Registration Act (SORA), the legislature has passed and the Governor has signed a series of laws regulating registered sex offenders, including the Sexual Assault Reform Act (SARA) in 2000, the Sex Offender Management and Treatment Act (SOMTA) in 2007, and chapter 568 of the Laws of 2008 (chapter 568). Because the legislature has not expressly stated an intent to occupy the field of sex offender residency restrictions in the aforementioned laws, our focus on this appeal is whether the legislature, by implication, has shown its intent to do so.

III.

The doctrine of field preemption prohibits a municipality from exercising a police power "when the Legislature has restricted such an exercise by preempting the area of regulation" (*New York State Club Assn. v City of New York*, 69 NY2d 211, 217 [1987], *affd* 487 US 1 [1988]; *see Albany Area Bldrs. Assn.*, 74 NY2d at 377). Although field preemption may be "express" as evidenced by the legislature's stated directive, it may also "be implied from a declaration of State policy by the Legislature or from the fact that the Legislature has enacted a comprehensive and detailed regulatory scheme in a particular area" (*Consolidated Edison Co. of N.Y. v Town of Red Hook*, 60 NY2d 99, 105 [1983] [citations omitted]). Intent to preempt the field may "be implied from the nature of the subject matter being regulated and the purpose and scope of the State legislative scheme, including the need for State-wide uniformity in a given area" (*Albany Area Bldrs. Assn.*, 74 NY2d at 377, citing *Robin v Incorporated Vil. of Hempstead*, 30 NY2d 347 [1972]).

The People assert that the statutes at issue (SORA, SARA, SOMTA and chapter 568) either do not specifically mention

residency at all or only tangentially touch upon residency by, for example, limiting travel by parolees and those on probation in areas with schools or childcare centers, and other places where children may congregate. Such “piecemeal” provisions, the People contend, do not constitute the type of “comprehensive and detailed regulatory scheme” from which preemption can be inferred, and it necessarily follows that the legislature meant to leave to local governments the authority to impose residency restrictions on registered sex offenders who are not on parole or probation or subject to any type of supervision. But it is clear from the State’s continuing regulation with respect to identification and monitoring of registered sex offenders that its “purpose and design” is to preempt the subject of sex offender residency restriction legislation and to “occupy the entire field” so as to prohibit local governments from doing so (*see Robin*, 30 NY2d at 350).² We therefore reverse the order of the Appellate Term.

IV.

This State’s foray into sex offender management began in 1996 with the enactment of SORA, which addressed the legislature’s concern about the “danger of recidivism posed by sex offenders, especially those sexually violent offenders who commit predatory acts characterized by repetitive and compulsive behavior” (L 1995, ch 192, § 1). SORA, as its title makes clear, is a registration and notification statute directed at protecting the public from sex offenders, who, upon their release, are assigned a risk level dependent upon whether their risk for reoffending is low (level one), moderate (level two) or high (level three) (*see* Correction Law § 168-l [6] [a]-[c]). The offender is required by law to register as a sex offender for a period that correlates with his particular risk level and designation (*see id.* §§ 168-f, 168-h [1]-[3]). The legislature has described SORA’s registration requirement as “a proper exercise of the state’s police power regulating present and *ongoing* conduct” of sex offenders (L 1995, ch 192, § 1 [emphasis supplied]). The registration and notification requirements are, of course, applicable statewide and are aimed at providing local citizens and law enforcement agencies with critical information regarding sex offenders residing within their respective jurisdictions (*see* Correction Law §§ 168-f, 168-j).

2. In light of our holding that this is an issue involving “field preemption,” we do not address defendant’s “conflict preemption” argument.

Four years later, in 2000, the legislature passed and the Governor signed the Sexual Assault Reform Act which, as relevant here, amended the Penal Law and the Executive Law to require the imposition of a mandatory condition prohibiting sex offenders placed on probation, conditional release or parole from entering upon school grounds or other facilities where children receive care (school grounds mandatory condition) (L 2000, ch 1). As part of that law, Penal Law § 65.10 was amended to require that a court imposing a sentence of probation or conditional discharge upon a person convicted of an enumerated sex offense,³ where the victim of the offense was under the age of 18 at the time the offense was committed, direct that the offender “shall refrain from knowingly entering into or upon any school grounds,” as that term is defined in Penal Law § 220.00 (14) (a), or any other facility or institution that is “primarily used for the care or treatment of persons under the age of eighteen” (Penal Law § 65.10 [4-a] [a]). At the same time, Executive Law § 259-c (14) was added to require the Parole Board to impose the school grounds mandatory condition on offenders of the aforementioned enumerated sex offenses who are released on parole, who are conditionally released or who are subject to a period of postrelease supervision (PRS). In 2005, the legislature extended the school grounds mandatory condition to sex offenders designated level three pursuant to Correction Law § 168-l (6), and also adopted the broad definition of “school grounds” set forth in Penal Law § 220.00 (14) (a), (b) (*see* L 2005, ch 544; *see also* Executive Law § 259-c [14]).

The critical provision under SARA (as amended in 2005) is its reference to this definition of “school grounds”:

“(a) . . . any building, structure, athletic playing field, playground or land contained within the real property boundary line of a public or private elementary, parochial, intermediate, junior high, vocational, or high school, or (b) *any area accessible*

3. Those sex offenses are set forth in Penal Law articles 130 (“Sex Offenses”), 235 (“Obscenity and Related Offenses”), and 263 (“Sexual Performance by a Child”) and Penal Law §§ 255.25, 255.26, and 255.27 (Incest in the third, second and first degrees, respectively). Initially, SARA imposed the school grounds mandatory condition on an offender who committed “Incest” as it was then referred to in former Penal Law § 255.25. In 2006, SARA was amended to require the imposition of the mandatory condition to the newly-enacted offenses of incest in the first, second and third degrees (L 2006, ch 320).

to the public located within one thousand feet of the real property boundary line comprising any such school or any parked automobile or other parked vehicle located within one thousand feet of the real property boundary line comprising any such school. For the purposes of this section an ‘area accessible to the public’ shall mean sidewalks, streets, parking lots, parks, playgrounds, stores and restaurants” (Penal Law § 220.00 [14] [a], [b] [emphasis supplied]).⁴

Courts have interpreted section 220.00 (14) as creating a residency restriction prohibiting certain classes of sex offenders from living within 1,000 feet of a school (see *Terrance v City of Geneva, N.Y.*, 799 F Supp 2d 250, 255 [WD NY 2011]; *People v Blair*, 23 Misc 3d 902, 908 [Albany City Ct 2009]; *People v Oberlander*, 22 Misc 3d 1124[A], 2009 NY Slip Op 50274[U] [Sup Ct, Rockland County 2009]). The practical effect is that any sex offender who is subject to the school grounds mandatory condition is unable to reside within 1,000 feet of a school or facility as defined in Penal Law § 220.00 (14) (b). Therefore, SARA’s enactment, with its various amendments over the years, provides clear evidence of the State’s intention to occupy the field with regard to sex offender management, including where certain sex offenders may reside, and it is of no moment that the defendant in this appeal does not fall within the class of sex offenders who are subject to that mandatory condition.

Further evidence of the State’s intent to occupy the field of sex offender housing is found in the enactment of chapter 568 of the Laws of 2008. That chapter directed the Division of Parole (DOP), the Division of Probation and Correctional Alternatives (DPCA) and the Office of Temporary and Disability Assistance (OTDA) “to promulgate rules regarding the placement of sex offenders” to address the inability of those agencies “to locate suitable housing for convicted sex offenders” (Assembly Mem in Support, Bill Jacket, L 2008, ch 568 at 7, 2008 NY Legis Ann at 388). Because the lack of suitable housing created “an unacceptable high level of concentration of sex offenders in certain residential areas,” resulting in “an unnecessary risk to public safety,” chapter 568’s objective was to remedy that

4. When SARA was enacted in 2000, the school grounds mandatory condition prohibited sex offenders from actually going inside the boundary line of a school. The 2005 SARA amendment broadened the school grounds mandatory condition to 1,000 feet beyond the boundary line.

problem by allowing the DOP, DPCA and OTDA to consider certain relevant factors when “investigating and approving the residences of sex offenders” (*id.* [emphasis supplied]).

In approving chapter 568, the Governor stated that this statute was necessary to address the challenges sex offenders faced upon leaving prison in light of the shortage of affordable housing and the enactment of “well-intentioned” local ordinances that imposed “even more *restrictive residency limitations* on registered sex offenders” than the restrictions contained in SARA (Governor’s Approval Mem, Bill Jacket, L 2008, ch 568 at 6, 2008 NY Legis Ann at 388 [emphasis supplied]). The Governor further acknowledged that this chapter “recognizes that the placement of these offenders in the community has been and will continue to be *a matter that is properly addressed by the State*,” and that the chapter’s guidelines would “balance” the competing factors of public safety and the provision of suitable housing for sex offenders, leading “to a *coordinated and comprehensive statewide policy* that will both protect the public and ensure that there is suitable and appropriate housing available for sex offenders in every community in the State” (Governor’s Approval Mem, Bill Jacket, L 2008, ch 568 at 6, 2008 NY Legis Ann at 388-389 [emphasis supplied]).

Chapter 568 added new subdivisions to Executive Law §§ 243 and 259,⁵ and Social Services Law § 20, by requiring certain agencies to promulgate rules and regulations governing sex offender placement and housing (*see* Executive Law § 243 [4] [requiring the DPCA to give recommendations that include guidelines and procedures concerning “the placement of sex offenders designated as level two or level three offenders pursuant to (SORA),” and requiring the regulations to direct local probation departments to consider certain factors concerning placement of such offenders]; Correction Law § 203 [1] [requiring the State Commissioner of Corrections and Community Supervision to promulgate similar rules and regulations for level two and level three offenders who are released on presumptive release, parole, conditional release or PRS]; Social Services Law § 20 [8] [a] [requiring the OTDA to promulgate rules and regulations for the conditions under which local social services officials may determine the placement of level two or level three

5. Chapter 568 added Executive Law § 259 (5). That provision was repealed in 2011; the substance of that provision has since been relocated to Correction Law § 203 (1) (*see* L 2011, ch 62).

sex offenders who, upon their release, are expected to apply for, or receive, public assistance and who are determined to be in immediate need of shelter]).

Pursuant to these regulations, regardless of whether the level two or level three sex offender is sentenced to probation or is released, the legislature has determined that placement of the sex offender is dependent on a number of factors, all of which must be considered by the relevant agency. Such factors include the concentration of registered sex offenders in a given area or municipality; the number of registered sex offenders residing at a certain property; the proximity of entities that have vulnerable populations; the sex offender's accessibility to family members or friends or other supportive services such as local sex offender treatment programs; and the availability of permanent, stable housing so as to reduce the possibility that the sex offender will be transient (*see* Executive Law § 243 [4] [a]-[e]; Correction Law § 203 [1] [a]-[e]; Social Services Law § 20 [8] [b] [i]-[iv]).⁶

The regulations promulgated pursuant to Executive Law § 243 (4), Correction Law § 203 (1) and Social Services Law § 20 (8) (a) all recognize that the placement and housing of sex offenders “are areas that have been, and will continue to be, *matters addressed by the State*[,] [and] . . . *further the State's coordinated and comprehensive policies in these areas*” (9 NYCRR 365.3 [b] [emphasis supplied] [level two and level three sex offenders on probation]; 8002.7 [b]; 18 NYCRR 352.36 [a] [2]). The regulations also acknowledge that the maintenance and location of acceptable housing for sex offenders constitutes “an enormous challenge that impacts all areas of the State” because sex offenders, upon release from prison, typically return to the communities where they previously resided and the proliferation of well-intentioned local ordinances imposing residency restrictions has hampered the ability of the State and local authorities to address the difficulty in finding appropriate housing for sex offenders (9 NYCRR 365.3 [d] [5]; 8002.7 [d] [5]; 18 NYCRR 352.36 [a] [4] [v]).

6. One factor that must be considered by local social services officials but need not be considered by the other two agencies is that the Department of Corrections and Community Supervision must investigate and approve any placement of a level two or level three sex offender by local social services officials (*see* Social Services Law § 20 [8] [b] [v]). Local social services officials need not, however, consider the availability of stable housing in determining placement.

Further evidence of the legislative scheme to regulate sex offenders is the legislature's enactment in 2007 of the Sex Offender Management and Treatment Act (L 2007, ch 7). This statute created a procedure for the confinement of certain sex offenders upon the expiration of their prison terms, resulting in their transfer to secure treatment facilities (*see* Mental Hygiene Law §§ 10.03 [e]; 10.07 [f]). Those offenders who are deemed not to require confinement are subjected to an outpatient regimen of strict and intensive supervision and treatment (*id.* § 10.07), including the potential designation of specific residences or types of residence by the Department of Corrections and Community Supervision (*id.* § 10.11 [a] [1]). SOMTA was enacted for the dual purposes of protecting the public from recidivistic sex offenders while ensuring that sex offenders have access to appropriate treatment (*id.* § 10.01 [a]-[c]).

V.

The defendant in this appeal is a designated level one sex offender, is not on probation or parole, nor is he subject to conditional release or PRS. None of the aforementioned provisions that even touch upon residency or placement apply to him. Contrary to the People's contention, however, that does not mean that the State has delegated to local governments the duty of enacting residency laws concerning registered sex offenders. Nor does it mean, as Appellate Term held, that "the legislature has chosen to limit its regulations over sex offenders and not to enact a comprehensive legislative scheme in the area of law concerning the residency restrictions of sex offenders who are not on parole, probation, subject to conditional discharge or seeking public assistance" (41 Misc 3d at 39). Rather, it is clear that the State has been continuously active in this field and, as such, it is evident that the State has chosen to occupy it.

What SORA, SARA, chapter 568 and SOMTA represent is a detailed and comprehensive regulatory scheme involving the State's ongoing monitoring, management and treatment of registered sex offenders, which includes the housing of registered sex offenders. The monitoring and treatment of sex offenders does not end when the sex offender is released from prison. The State, through SORA, has devised a risk level system to identify the offenders who are most likely to reoffend. That system operates in tandem with SARA and chapter 568, which refer to risk levels in their determinations as to where

certain registered sex offenders are allowed. In the case of probation or release from prison, state regulations require local probation and parole officials to consider factors delineated by the State in determining where level two and level three sex offenders are to be placed. It is not coincidental that SARA and chapter 568 do not address those registered sex offenders who are least likely to reoffend, i.e., those designated level one, and instead focus on those sex offenders who have been designated as exhibiting a moderate to high risk of recidivism, i.e., those designated level two and three, respectively. This top-down approach, with the State dictating the relevant factors that local officials are required to consider when placing such offenders in housing, plainly establishes that sex offender residency restrictions are within the exclusive bailiwick of the State and accentuates the State's intent to occupy the field.

Residency restriction laws such as Local Law 4 encroach upon the State's occupation of the field, "inhibit the operation of [this] State's general law and thereby thwart the operation of [this] State's overriding policy concerns" relative to the identification, monitoring and treatment of sex offenders (*Albany Area Bldrs. Assn.*, 74 NY2d at 377 [citation and internal quotation marks omitted]). They also collide with state policy by prohibiting sex offenders who are on probation and parole from living in housing that has been approved by the Division of Probation and Correctional Alternatives and Division of Parole.

Local residency restriction laws also hinder statewide uniformity concerning sex offender placement. SORA, SARA, chapter 568 and SOMTA are statewide laws that apply to every community, including those particular laws and regulations regarding sex offender placement. Local Law 4 and similar laws are easily passed and, understandably, receive local support, but, as the State has acknowledged, communities in recent years have taken to shifting the burden of sex offender housing to neighboring communities, thereby frustrating the State's policy that each community bear the burden (*see* 9 NYCRR 365.3 [d] [5] [noting that "it is not appropriate for any one community or county to bear an inappropriate burden in housing sex offenders because another community has attempted to shift its responsibility for those offenders onto other areas of the State"]; 8002.7 [d] [5] [same]; 18 NYCRR 352.36 [a] [4] [v]). As such, the unmistakable intent of the State to preempt the field prohibits their enactment.

Accordingly, the order of the Appellate Term should be reversed and the information dismissed.

Chief Judge LIPPMAN and Judges READ, RIVERA and ABDUS-SALAAM concur; Judges STEIN and FAHEY taking no part.

Order reversed and information dismissed.

[26 NE3d 1167, 3 NYS3d 312]

FREDERICK J. PLATEK et al., Respondents, v TOWN OF HAMBURG et al., Defendants, and ALLSTATE INDEMNITY COMPANY, Appellant.

Argued January 15, 2015; decided February 19, 2015

SUMMARY

APPEAL from a judgment of the Supreme Court, Erie County (Ralph A. Boniello III, J.), entered January 14, 2014. The judgment awarded plaintiffs damages as against defendant Allstate Indemnity Company in the total sum of \$110,000 pursuant to the parties' stipulation as to the amount of damages. The appeal brings up for review a prior nonfinal order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered July 6, 2012. The Appellate Division, with two Justices dissenting, had modified, on the law, an order of that Supreme Court, which (1) granted plaintiffs' motion for summary judgment against defendant; (2) declared that plaintiffs' loss is covered by the insurance policy at issue; (3) directed defendant to pay plaintiffs' claim; and (4) denied defendant's cross motion for summary judgment. The modification consisted of vacating the declaration. The Appellate Division affirmed the order as modified.

Platek v Town of Hamburg, 97 AD3d 1118, reversed.

HEADNOTE

Insurance — Exclusions — Water Damage — Exception for “Explosion”

Defendant insurer was entitled to summary judgment dismissing plaintiff insureds' claim for damage that occurred when a subsurface water main abutting their property ruptured, causing water to flood into and severely damage their basement, where the insurance policy excluded from coverage loss caused by water “which exerts pressure on, or flows, seeps or leaks through any part of the residence premises,” despite an exception for loss “caused by . . . explosion . . . resulting from” that excluded loss. Plaintiffs' loss clearly fell within the policy's water loss exclusion, and their expert opined that pressurized water exerted internal water pressure on the walls of a pipe buried off plaintiffs' property, not that an explosion resulted from subsurface water exerting pressure on any part of the residence premises. Reading the policy as a whole, the exception would trigger coverage for any sudden and accidental direct physical loss caused by an explosion resulting from a loss to the property consisting of or caused by water on or below the surface of the ground of the residence premises. Interpreting the policy to permit coverage here would contravene the water loss exclusion's purpose to preclude coverage for damages caused by the entry of water onto an insured's property, and would force defendant to insure a loss it did not contemplate and affirmatively excluded.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Explosions and Explosives § 1; AM JUR 2d, Insurance §§ 470, 476, 478, 487, 514, 704, 718, 1974, 2021, 2038.

CARMODY-WAIT 2d, Disclosure §§ 42:297, 42:636.

COUCH ON INSURANCE (3d ed) §§ 150:3–150:11, 150:14, 150:20–150:21, 153:21, 153:54–153:55, 153:59, 153:74, 155:66.

NY JUR 2d, Insurance §§ 513, 613, 1569, 1579, 1582–1584, 1657, 1665, 1693.

ANNOTATION REFERENCE

Damage within coverage of water damage insurance. 4 ALR2d 532.

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POINTS OF COUNSEL

Dentons US LLP (Robert H. King, Jr., of the Illinois bar, admitted pro hac vice, of counsel), and *Kenney Shelton Liptak Nowak LLP*, Buffalo (Alan J. DePeters of counsel), for appellant. I. Allstate Indemnity Company's motion for summary judgment should have been granted because the policy unambiguously excludes loss consisting of, or caused by water, regardless of its source. (*Gellerman v Allstate Ins. Co.*, 124 Misc 2d 882; *Reynolds v Standard Fire Ins. Co.*, 221 AD2d 616; *Neuman v United Servs. Auto. Assn.*, 74 AD3d 925; *Maroney v New York Cent. Mut. Fire Ins. Co.*, 5 NY3d 467.) II. The “ensuing loss” provision does not create coverage for this otherwise excluded water loss. (*Borg-Warner Corp. v Insurance Co. of N. Am.*, 174 AD2d 24, 80 NY2d 753; *Consolidated Edison Co. of N.Y. v Allstate Ins. Co.*, 98 NY2d 208; *Oot v Home Ins. Co. of Ind.*, 244 AD2d 62; *Rosner v Metropolitan Prop. & Liab. Ins. Co.*, 96 NY2d 475; *Goldner v Otsego Mut. Fire Ins. Co.*, 39 AD2d 440; *Narob Dev. Corp. v Insurance Co. of N. Am.*, 219 AD2d 454, 87 NY2d 804; *Greenwich Capital Fin. Prods., Inc. v Negrin*, 74 AD3d 413; *Matter of Lipper Holdings v Trident Holdings*, 1 AD3d 170; *ITT Indus. v Factory Mut. Ins. Co.*, 303 AD2d 177; *Schloss v Cincinnati Ins. Co.*, 54 F Supp 2d 1090, 211 F3d 131.)

Lipsitz Green Scime Cambria LLP, Buffalo (*Patrick J. Mackey* and *Joseph J. Manna* of counsel), for respondents. I. The policy expressly covers sudden and accidental loss caused by an explosion. II. Contrary to Allstate Indemnity Company's contention, the policy does not provide that a water loss must first occur before the explosion occurs for the exception to policy exclusion 4 to be triggered. (*Gellerman v Allstate Ins. Co.*, 124 Misc 2d 882; *Reynolds v Standard Fire Ins. Co.*, 221 AD2d 616; *Neuman v United Servs. Auto. Assn.*, 74 AD3d 925; *Pioneer Tower Owners Assn. v State Farm Fire & Cas. Co.*, 12 NY3d 302; *Continental Cas. Co. v Rapid-American Corp.*, 80 NY2d 640; *Pepper v Allstate Ins. Co.*, 20 AD3d 633; *Venigalla v Penn Mut. Ins. Co.*, 130 AD2d 974.) III. When applying the undisputed facts of this case to the exception to policy exclusion 4, it is reasonable to find that the Plateks' loss is covered under the policy. (*Goldner v Otsego Mut. Fire Ins. Co.*, 39 AD2d 440; *Bebber v CNA Ins. Cos.*, 189 Misc 2d 42.) IV. The exception to policy exclusion 4 does not supercede the exclusion because the Plateks' loss is based upon events expressly provided for in the exception. (*Novick v United Servs. Auto. Assn.*, 225 AD2d 676; *Popkin v Security Mut. Ins. Co. of N.Y.*, 48 AD2d 46; *Ender v National Fire Ins. Co. of Hartford*, 169 AD2d 420; *Rovelli v Allstate Ins. Co.*, 38 AD3d 241; *Cantanucci v Reliance Ins. Co.*, 43 AD2d 622; *Robert Dorsen, Inc. v Aetna Cas. & Sur. Co.*, 562 F Supp 495.)

OPINION OF THE COURT

READ, J.

On September 7, 2010, a subsurface water main abutting the property of plaintiffs Frederick J. and Mary E. Platek ruptured, causing water to flood into and severely damage their home's finished basement. Plaintiffs immediately made a claim under their homeowners' insurance policy, which was issued by defendant Allstate Indemnity Company. The insuring agreement excludes property damage caused by water, with an exception for certain sudden and accidental direct physical losses; specifically, the section entitled "Losses We Do Not Cover Under Coverages A [Dwelling¹ Protection] and B [Other Structures Protection]" provides as follows:

"[Allstate does] not cover loss to the property . . .
consisting of or caused by:

1. The policy defines "Dwelling" as "a one, two, three or four family building structure, identified as the insured property on the Policy Declarations, where [the policyholder] reside[s] and which is principally used as a private residence."

- “1. Flood . . .
- “2. Water . . . that backs up through sewers or drains.
- “3. Water . . . that overflows from a sump pump, sump pump well or other system designed for the removal of subsurface water . . .
- “4. Water . . . *on or below the surface of the ground, regardless of its source[,] [including] water . . . which exerts pressure on, or flows, seeps or leaks through any part of the residence premises.*^[2]
“We do cover sudden and accidental direct physical loss *caused by fire, explosion or theft resulting from items 1 through 4 listed above*” (emphases added).

On September 9, 2010, Allstate disclaimed coverage, based on item 4 of the policy’s water loss exclusion. For the reasons that follow, we conclude that the policy’s unambiguous language excludes the water damage to plaintiffs’ home from coverage, and the exception does not nullify the water loss exclusion or render it ambiguous.

I.

Plaintiffs commenced this action by summons and complaint dated and filed on November 23, 2010. They alleged that Allstate had improperly disclaimed coverage, causing them to suffer damages in excess of \$100,000.³ Then on March 11, 2011, plaintiffs moved for summary judgment on their breach of contract claim, asking Supreme Court to declare that the policy covered their loss and to direct Allstate to pay their claim. Plaintiffs asserted that because they had “sustained a water intrusion loss” caused by “an explosion of the . . . water main,” their claim fell within the exception to the water loss exclusion.

In support of their motion, plaintiffs submitted the affidavit of an engineer, who stated that the water main “suddenly exploded from the internal water pressure being exerted on the pipe walls. Hence, the explosion resulted from internally pressurized water that was supposed to be contained in a buried underground pipe.” He opined that plaintiffs had therefore suf-

2. The policy defines “Residence Premises” as “the dwelling, other structures and land located at the address stated on the Policy Declarations.”

3. Plaintiffs also sued the Town of Hamburg and the Erie County Water Authority, attributing the water main’s rupture to these defendants’ negligence.

ferred “direct physical loss to their home and other property,” which was “caused by an explosion resulting from internally pressurized water suddenly and accidentally bursting from the underground pipe.”

By notice of motion dated April 7, 2011, Allstate opposed plaintiffs’ motion and cross-moved for summary judgment to dismiss the complaint against it on the ground that the policy did not cover plaintiffs’ claim, as a matter of law. Quoting the water loss exclusion, Allstate pointed out that the policy excludes property losses “consisting of or caused by . . . 4. Water . . . on or below the surface of the ground, regardless of its source[,] [including] water . . . which exerts pressure on, or flows, seeps or leaks through any part of the residence premises.” Allstate added that the exception did not apply because, under that provision’s wording, any “loss caused by . . . explosion” must “result[] from” the explosion. Here, by contrast, any explosion “occurred earlier, outside the residence premises, when the water main broke.”

By order granted May 6 and filed May 12, 2011, Supreme Court granted plaintiffs’ motion and denied Allstate’s cross motion, and declared that plaintiffs’ loss was covered under the policy and Allstate was required to pay the claim. Allstate appealed, and on July 6, 2012, the Appellate Division, with two Justices dissenting in part, modified Supreme Court’s order by vacating the declaration and otherwise affirmed (97 AD3d 1118 [4th Dept 2012]). All the Justices agreed that, since plaintiffs asserted a cause of action against Allstate for breach of contract, Supreme Court erred by “declaring” that plaintiffs’ claimed loss was covered under the policy and directing payment. The Court split on the issue of whether the policy’s sudden and accidental exception to the water loss exclusion applied.

With respect to the exception, the majority explained that

“Allstate characterizes [it] as an ‘ensuing loss’ provision, and . . . thus interprets [it] to provide that any initial loss to the insured’s property caused by the conditions set forth in item 4, i.e., ‘[w]ater . . . on or below the surface of the ground,’ is not covered under the policy but that, in the event that there is an ‘explosion . . . resulting from’ that initial loss, any secondary or ensuing loss caused by the explosion is covered. Plaintiffs disagree that there must be a secondary or ensuing loss, and they as-

sert that the exception applies because there was an ‘explosion [of the water main] resulting from’ the conditions set forth in item 4, i.e., ‘[w]ater . . . below the surface of the ground,’ and causing ‘sudden and accidental direct physical loss’ to their property” (*id.* at 1120).

Concluding that both interpretations were reasonable, the majority held that the policy was therefore ambiguous and should be construed in favor of plaintiffs, the insureds.

The dissenting Justices observed that plaintiffs, not Allstate, bore the burden of demonstrating the applicability of the exception, and reasoned that, in any event, the policy’s language was not ambiguous. In their view,

“interpreting the exception to cover a loss where an explosion is caused by water outside the residence . . . contravenes the purpose of the water loss exclusion, which is to preclude coverage for losses caused by water entry into the residence. Rather, the language ‘resulting from’ is properly interpreted as referring to an ‘ensuing loss,’ i.e., a loss that follows or takes place after an excluded event. In other words, the exception refers to a separate occurrence—fire, explosion or theft—that results from the water damage to the residence, and does not refer to the water damage itself. For example, a fire or explosion triggered by water damage to a circuit breaker or appliance, or a theft that occurs in an empty house rendered uninhabitable by water damage would constitute an ensuing loss” (*id.* at 1123-1124 [citations omitted]).

Plaintiffs and Allstate subsequently entered into a stipulation whereby the parties agreed that plaintiffs’ damages totaled \$110,000. Allstate now appeals pursuant to CPLR 5601 (d) from the resulting judgment granted on January 13 and entered on January 14, 2014.

II.

Three basic principles guide our analysis. First, “[i]n determining a dispute over insurance coverage, we first look to the language of the policy” (*Consolidated Edison Co. of N.Y. v Allstate Ins. Co.*, 98 NY2d 208, 221 [2002]). Concomitantly, we “construe the policy in a way that affords a fair meaning to *all* of the language employed by the parties in the contract and

leaves no provision without force and effect” (*id.* at 221-222 [internal quotation marks omitted and emphasis added]).

Second, although the insurer has the burden of proving the applicability of an exclusion (*see Seaboard Sur. Co. v Gillette Co.*, 64 NY2d 304, 311 [1984]), it is the insured’s burden to establish the existence of coverage (*see Lavine v Indemnity Ins. Co.*, 260 NY 399, 410 [1933]). Thus, “[where] the existence of coverage depends entirely on the applicability of [an] exception to the exclusion, the insured has the duty of demonstrating that it has been satisfied” (*Borg-Warner Corp. v Insurance Co. of N. Am.*, 174 AD2d 24, 31 [3d Dept 1992], *lv denied* 80 NY2d 753 [1992]; *see also Northville Indus. Corp. v National Union Fire Ins. Co. of Pittsburgh, Pa.*, 89 NY2d 621, 634 [1997]).

And finally, “[w]here a property insurance policy contains an exclusion with an exception for ensuing loss, courts have sought to assure that the exception does not supersede the exclusion by disallowing coverage for ensuing loss directly related to the original excluded risk” (*Narob Dev. Corp. v Insurance Co. of N. Am.*, 219 AD2d 454, 454 [1st Dept 1995], *lv denied* 87 NY2d 804 [1995]; *see also ITT Indus. v Factory Mut. Ins. Co.*, 303 AD2d 177, 177 [1st Dept 2003] [rejecting plaintiff’s “untenable interpretation that the policy provided coverage for a resulting loss of an excluded risk”]; *Montefiore Med. Ctr. v American Protection Ins. Co.*, 226 F Supp 2d 470, 479 [SD NY 2002] [where the policy excluded losses for faulty workmanship, the court rejected the insured’s claim for the collapse of a defectively designed facade, explaining that “(a)n ensuing loss provision does not cover loss caused by the excluded peril, but rather covers loss caused to other property wholly separate from the defective property itself”]).

In this case, plaintiffs’ loss occurred when water from a burst water main flowed onto their property, flooding the basement of their home. Accordingly, their loss clearly falls within item 4 of the water loss exclusion, which bars coverage for “loss to the property . . . consisting of or caused by . . . 4. Water . . . on or below the surface of the ground, regardless of its source[,] [including] water . . . which exerts pressure on, or flows, seeps or leaks through any part of the residence premises” (*see Neuman v United Servs. Auto. Assn.*, 74 AD3d 925, 926 [2d Dept 2010] [similarly-worded water loss exclusion precludes coverage for water damage to basement]; *Harleysville Ins. Co. of N.Y. v Potamianos Props., LLC*, 108 AD3d 1110, 1111-1112 [4th Dept 2013] [accord]).

Turning next to the sudden and accidental exception, this clause is properly characterized as an ensuing loss provision, which “provide[s] coverage when, as a result of an excluded peril, a covered peril arises and causes damage” (2 Ostrager & Newman, *Insurance Coverage Disputes* § 21.04 [h] at 1721 [17th ed 2015]). These provisions are a product of the San Francisco earthquake of 1906. In the wake of that natural disaster, some insurers argued that because earth movement was an excluded peril under property insurance policies, so was the damage caused by the devastating fires sparked by gas emitted from pipes broken by the shaking of the earth, even though fire was a covered peril. The California Legislature enacted statutes to prevent insurers from disclaiming coverage in the future under such circumstances. To comply with California law and similar statutes enacted by other states, insurers then added exceptions to their earthquake exclusions to preserve coverage for ensuing fires. Ensuing loss clauses were subsequently incorporated into other types of exclusions, for example, exclusions in all risks policies for faulty workmanship (*see generally* James S. Harrington, *Lessons of the San Francisco Earthquake of 1906: Understanding Ensuing Loss in Property Insurance*, 37 The Brief [No. 4] 28 [Summer 2008]; International Risk Management Institute, IRMI Online, Glossary of Insurance & Risk Management Terms, “ensuing loss clause,” <http://www.irmi.com/online/insurance-glossary/terms/e/ensuing-loss-clause.aspx>). Thus, true to its historical origins and purpose, the ensuing loss exception

“preserve[s] coverage for insured losses, such as the fires after the San Francisco earthquake, and [does not] create a ‘grant-back’ through which coverage may be had for the original excluded loss, whether it be an earthquake, a design defect, or any other excluded cause of loss” (Harrington, *supra* at 32).

Stated another way, an ensuing loss “at least requires a new loss to property that is of a kind not excluded by the policy” (*id.* at 31); it “[does not] resurrect coverage for an excluded peril” (*id.* at 34).

Plaintiffs nonetheless argue that the water damage to their basement was covered because it was “**caused by an explosion of the . . . water main resulting from highly pressurized water located on or below the surface of the ground,**” or, as stated slightly differently elsewhere in their brief, that “the explosion occurred as a result of water that was exerting pres-

sure on the Property” or “the Residence.” But this is not what plaintiffs’ expert said. He opined that “highly pressurized water” exerted internal water pressure on the walls of a pipe buried off plaintiffs’ property, not that an explosion resulted from subsurface water “exert[ing] pressure on . . . any part of the residence premises” per item 4 of the water loss exclusion.

Additionally, plaintiffs ignore the water loss exclusion’s prefatory language, which specifies that “[Allstate does] not cover *loss to the property . . . consisting of or caused by*: [any of the four items of water loss]” (emphases added). This phrase is an integral part of each of the four items, and makes the sentence complete. Reading the policy as a whole, then, the exception would trigger coverage for any sudden and accidental direct physical loss caused by an explosion resulting from a loss to the property consisting of or caused by water on or below the surface of the ground of the residence premises, regardless of its source. As already noted, this does not describe what happened here according to plaintiffs’ own expert.

Further, it is unimportant that Allstate did not label the exception an “ensuing loss provision,” or use “ensuing from” instead of “resulting from” in the policy as “[t]hese clauses are common in all-risk policies, and while rarely identical they share more similarities than differences” (*Fiess v State Farm Lloyds*, 202 SW3d 744, 752 [Tex 2006]; *id.* at 752-753 [noting that a majority of jurisdictions, including New York, refuse to interpret an ensuing loss provision to make an excluded loss reappear as a covered loss]). Indeed, the phrases “ensuing loss” and “resulting loss” have been used interchangeably to mean a loss that follows chronologically or occurs after an excluded event (*see Narob Dev. Corp.*, 219 AD2d at 454; *TMW Enters., Inc. v Federal Ins. Co.*, 619 F3d 574, 579 [6th Cir 2010]; *see also* Paul T. Sullivan & Jeffrey A. Gordon, *A Review of Ensuing Loss Case Law: 2010 to Present*, 43 The Brief [No. 3] 18 [Spring 2014]).

Finally, plaintiffs take the position that even if “resulting from” does mean “follows,” it is not “irrational” for it also to mean “caused by.” The sudden and accidental exception to the water loss exclusion, however, uses the phrase “caused by” earlier when referring to “loss *caused by* . . . explosion” (emphasis added). The exception then uses a different phrase—i.e., “*resulting from* items 1 through 4” (emphasis added). The use of different terms in the same agreement (here, in the same sentence) implies that they are to be afforded different meanings (*see Frank B. Hall & Co. of N.Y. v Orient Overseas Assoc.*,

48 NY2d 958, 959 [1979]; *NFL Enters. LLC v Comcast Cable Communications, LLC*, 51 AD3d 52, 60-61 [1st Dept 2008]).

In sum, interpreting the insurance policy as plaintiffs propose would contravene the water loss exclusion's purpose, as expressed in unambiguous language, which is to preclude coverage for damages caused by the entry of water onto an insured's property. As stated by the Supreme Court of New Hampshire when interpreting a policy excluding water loss, "[t]o apply the ensuing loss provision to provide coverage for what is essentially a flood would subvert the intent of the parties" (*Bates v Phenix Mut. Fire Ins. Co.*, 156 NH 719, 723, 943 A2d 750, 754 [2008] [internal quotation marks omitted]). In the same way, permitting coverage under the facts of this case would force Allstate to insure a loss it did not contemplate and, indeed, affirmatively excluded.

Accordingly, the judgment appealed from and the order of the Appellate Division brought up for review should be reversed, with costs; plaintiffs' motion for summary judgment denied; and Allstate's cross motion for summary judgment granted.

PIGOTT, J. (concurring). I agree with my colleagues that the exception to the water loss exclusion in the Allstate policy does not provide coverage for plaintiffs' loss. I disagree, however, that the loss "clearly falls within item 4 of the water loss exclusion" (majority op at 694).

The homeowner's insurance policy at issue is an "all risk" policy, which covers "sudden and accidental direct [and] physical loss to [the] property" unless specifically excluded (*see Parks Real Estate Purch. Group v St. Paul Fire & Mar. Ins. Co.*, 472 F3d 33, 41 [2d Cir 2006]). There is little doubt that the policy at issue would, in the normal course, cover direct and physical loss from an "explosion."

On plaintiffs' motion for summary judgment, the only testimony with respect to what occurred in this case was plaintiffs' expert opining that plaintiffs suffered direct water loss from an "explosion" of a water pipe (*see generally Goldner v Otsego Mut. Fire Ins. Co.*, 39 AD2d 440, 442 [1972]). Allstate proffered no evidence to dispute this evidence.

Because plaintiffs' argument to the court was predicated on the exception to the water loss exclusion of the policy, however, the courts did not address this primary coverage issue. I therefore concur with the result in this case.

Chief Judge LIPPMAN and Judges RIVERA and ABDUS-SALAAM concur; Judge PIGOTT concurs in result in a separate opinion; Judges STEIN and FAHEY taking no part.

Judgment appealed from and order of the Appellate Division brought up for review reversed, with costs, plaintiffs' motion for summary judgment denied and defendant Allstate Indemnity Company's motion for summary judgment granted.

[27 NE3d 465, 3 NYS3d 751]

In the Matter of JILL A. DUNN, an Attorney, Appellant. COMMITTEE ON PROFESSIONAL STANDARDS, Respondent.

Argued January 15, 2015; decided February 24, 2015

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered November 7, 2013. The Appellate Division censured respondent for professional misconduct. The appeal brings up for review a prior confidential order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered July 18, 2013. The Appellate Division had (1) found that the doctrine of collateral estoppel was properly applied in the proceeding and granted petitioner's motion for an order declaring that no factual issues were raised; (2) found respondent guilty of violating Rules of Professional Conduct (22 NYCRR 1200.0) rules 3.3 (a) (1) and 8.4 (c), (d) and (h); and (3) directed the Clerk of the Court to set a time at which respondent might be heard in mitigation.

Matter of Dunn, 111 AD3d 1019, reversed.

HEADNOTE

Attorney and Client — Disciplinary Proceedings — Making False Statements under Oath — Application of Collateral Estoppel

The doctrine of collateral estoppel did not bar respondent from challenging in her attorney disciplinary proceeding the findings of a United States magistrate judge, made in the context of a sanctions motion without a hearing, that respondent made a knowingly false statement under oath in the underlying federal court action. The determination here was made on papers—without cross-examination or the opportunity to call witnesses. Although respondent did testify before the Magistrate, it was in the context of a motion for reconsideration on the basis of newly discovered evidence and was for the purpose of determining whether the assets of the trust represented by respondent should be frozen. While the issue of whether respondent had made false statements in her written declaration may have been relevant, it was not the focus of the hearing on the motion for reconsideration. The cursory nature of the sanctions proceeding itself failed to provide respondent a full and fair opportunity to litigate the issue.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Attorneys at Law § 105; AM JUR 2d, Judgments §§ 487, 489.

CARMODY-WAIT 2d, Officers of Court §§ 3:261, 3:314, 3:326;

CARMODY-WAIT 2d, Judgments § 63:460.

NY JUR 2d, Attorneys at Law §§ 348, 349, 453, 457, 471.

ANNOTATION REFERENCE

See ALR Index under Attorneys; Collateral Estoppel; Discipline and Disciplinary Actions; Due Process.

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POINTS OF COUNSEL

Steinberg & Cavaliere, LLP, White Plains (*Benjamin Zeldermyer* and *Steven A. Coploff* of counsel), for appellant. The Appellate Division erred in giving collateral estoppel effect to a nonfinal decision of a United States magistrate judge which could not be appealed. (*Matter of Levy*, 37 NY2d 279; *Matter of Keogh*, 17 NY2d 479; *Matter of Donegan*, 282 NY 285; *Matter of McGrath v Gold*, 36 NY2d 406; *Vavolizza v Krieger*, 33 NY2d 351; *S.T. Grand, Inc. v City of New York*, 32 NY2d 300; *Webb v Buckelew*, 82 NY 555; *Brown v Cleveland Trust Co.*, 233 NY 399; *Ashe v Swenson*, 397 US 436; *Slater v American Min. Spirits Co.*, 33 NY2d 443.)

Monica A. Duffy, *Committee on Professional Standards*, Albany (*Michael G. Gaynor* and *Alison M. Coan* of counsel), for respondent. The Third Department properly applied collateral estoppel to appellant's disciplinary case. (*Matter of Osborne*, 1 AD3d 31; *Matter of Flannery*, 274 AD2d 940; *Matter of Babigian*, 247 AD2d 817; *Matter of Kramer*, 235 AD2d 87; *Matter of Mac Truong*, 2 AD3d 27; *Ryan v New York Tel. Co.*, 62 NY2d 494; *D'Arata v New York Cent. Mut. Fire Ins. Co.*, 76 NY2d 659; *Gilberg v Barbieri*, 53 NY2d 285; *Schwartz v Public Adm'r of County of Bronx*, 24 NY2d 65; *Matter of Yao*, 231 AD2d 346.)

OPINION OF THE COURT

Per Curiam.

The issue presented by this appeal is whether collateral estoppel applies in respondent attorney's disciplinary proceeding to bar her from challenging the findings of a United States magistrate judge made in the context of a sanctions motion. Under

the circumstances presented here, we hold that respondent did not have a full and fair opportunity to litigate the issue of her alleged misconduct.

The underlying federal action is one that was commenced by the Securities and Exchange Commission (SEC) against, among others, David Smith and the investment services firm of McGinn, Smith & Co., Inc., alleging that they had defrauded investors in violation of federal securities laws. In connection with that action, the SEC obtained a temporary restraining order (TRO) freezing Smith's assets and those of his wife, Lynn, including the David L. and Lynn A. Smith Irrevocable Trust (*see Securities & Exch. Commn. v Smith*, 798 F Supp 2d 412, 417 [ND NY 2011]). The trust had been established for the benefit of the Smiths' adult children.

The trust, represented by respondent Dunn, was granted permission to intervene in the SEC action (*see Securities & Exch. Commn. v McGinn, Smith & Co., Inc.*, 752 F Supp 2d 194, 199 n 3 [ND NY 2010]). In a July 7, 2010 order, the court granted the trust's motion to vacate the TRO as against it, concluding that David Smith did not have a beneficial interest in the trust (*see id.* at 218-219). The trust's assets were therefore unfrozen.

On August 3, 2010, the SEC moved for reconsideration on the basis of newly discovered evidence—it had come to their attention that Smith did, in fact, have a beneficial interest in the trust. Specifically, they had discovered the existence of an annuity agreement, dated August 31, 2004, requiring the trust to disburse annual payments to the Smiths in the amount of \$489,932, beginning in September 2015. In support of the motion, SEC attorneys asserted that during a July 22, 2010 telephone call, respondent Dunn had disclosed the existence of the annuity agreement. At the SEC's request, the former trustee produced a copy of the annuity agreement on July 27, 2010.

Dunn submitted a declaration in opposition to the SEC's motion, dated September 3, 2010, in which she maintained that she was neither in possession, nor even aware, of the existence of the annuity agreement prior to July 27, 2010, when it was produced by the former trustee. Dunn disputed the SEC's assertion that she had mentioned the agreement during the telephone

call, but stated that she had referred to the trust at issue as a “private annuity trust.”*

On November 15, 2010, the evening before a scheduled hearing on the reconsideration motion, Dunn submitted a declaration correcting her prior statements. Dunn stated that, while preparing for the hearing, she discovered that she had an email from the trustee dated July 21, 2010, to which he had attached documents referencing the annuity agreement. She explained that she did not recall having seen those documents at the time she had prepared the prior declaration and that her attention had been diverted by the trust’s real estate closing, other client matters and personal issues. The following day, Dunn testified before the Magistrate at a hearing on the reconsideration motion and reiterated both that she had not made reference to any such agreement in the July 22 phone call with the SEC and that she had no knowledge of the annuity agreement prior to July 27.

The Magistrate granted reconsideration, granted the SEC’s motion for a preliminary injunction against the trust and granted the SEC leave to move for sanctions against, among others, Dunn (*see Securities & Exch. Commn. v Wojeski*, 752 F Supp 2d 220, 233 [ND NY 2010]). The Magistrate credited the testimony of the SEC attorney, but characterized Dunn’s testimony as “inconsistent and contradictory” (752 F Supp 2d at 226). The Magistrate found that Dunn had indeed disclosed the existence of the annuity agreement in the July 22, 2010 telephone conversation with the SEC attorneys (*see* 752 F Supp 2d at 228). The Magistrate further observed that Dunn had breached her continuing duty to produce the annuity agreement when she first became aware of it (*see* 752 F Supp 2d at 227-228).

In January 2011, the SEC moved for sanctions against Dunn. Each side submitted memoranda of law, but no hearing was held on the motion. The Magistrate granted the motion in part, finding that the SEC had established by clear and convincing evidence that the representation in Dunn’s September 3 declaration, that she was unaware of the existence of the annuity agreement until July 27, was knowingly false (*see Securities &*

* Dunn pointed out that David Smith had characterized the trust as a private annuity trust in his 2004 transmittal letter to the initial trustee. This argument was made in connection with her assertion that the SEC could have discovered the existence of the annuity agreement through the exercise of due diligence prior to July 7.

Exch. Commn. v Smith, 798 F Supp 2d at 430). The filing of the corrective declaration on the eve of the hearing on the reconsideration motion was deemed to have “mitigated only minimally” the act of filing the false declaration (798 F Supp 2d at 441-442). The Magistrate ordered that Dunn disgorge the disbursement she had received from the trust subsequent to July 21, determined that the appropriate sanction was a public admonishment and directed the clerk of the court to forward a copy of the decision to the Committee on Professional Standards for the Third Department (798 F Supp 2d at 441-442).

In December 2011, the Committee filed a petition consisting of a single charge alleging that Dunn had “engaged in fraudulent conduct prejudicial to the administration of justice adversely reflecting on her fitness as a lawyer by making false statements under oath in written declarations filed in federal court” in violation of Rules of Professional Conduct (22 NYCRR 1200.0) rules 8.4 (c), (d) and (h) and 3.3 (a) (1). The basis of the complaint was essentially the text of the Magistrate’s sanctions opinion.

Dunn filed an answer asserting that the Magistrate’s sanctions order should not be given preclusive effect and asking that the proceeding be held in abeyance pending the outcome of her appeal to the Second Circuit. The Third Department granted a series of adjournments for over a year while the appeal was sub judice. In March 2013, the Second Circuit dismissed Dunn’s appeal, finding that it lacked jurisdiction over the nonfinal sanctions order, which would be reviewable on appeal from the final order in the underlying action (*Securities & Exch. Commn. v Smith*, 710 F3d 87, 94 [2d Cir 2013]). To date, there is no final order in the federal securities action.

The Committee then moved for an order declaring that no factual issues were raised with respect to Dunn’s misconduct and fixing a time at which Dunn could be heard in mitigation. Dunn raised several arguments in opposition, including that she was not given a full and fair opportunity to contest the Magistrate’s decision. The Appellate Division granted the Committee’s motion, finding that collateral estoppel applied to the Magistrate’s sanctions order, and found Dunn guilty of the charged misconduct. After hearing evidence in mitigation, the Court determined that censure was the appropriate penalty (111 AD3d 1019, 1020 [3d Dept 2013]). This Court granted Dunn leave to appeal (22 NY3d 861 [2014]), and we now reverse.

It is well settled that “collateral estoppel precludes a party from relitigating ‘an issue which has previously been decided against [her] in a proceeding in which [she] had a fair opportunity to fully litigate the point’ ” (*Kaufman v Eli Lilly & Co.*, 65 NY2d 449, 455 [1985] [citation omitted]). We have observed that “collateral estoppel is a flexible doctrine” and that a determination of whether a party had a full and fair opportunity to litigate in the prior proceeding requires a “practical inquiry into the realities of [the] litigation” (*Gilberg v Barbieri*, 53 NY2d 285, 292 [1981] [internal quotation marks and citation omitted]; *Auqui v Seven Thirty One Ltd. Partnership*, 22 NY3d 246, 255 [2013]). The party seeking to invoke collateral estoppel has the burden to show the identity of the issues, while the party trying to avoid application of the doctrine must establish the lack of a full and fair opportunity to litigate (see *Kaufman*, 65 NY2d at 456).

This case is distinguishable from *Matter of Levy* (37 NY2d 279, 281 [1975]), where we determined that it was neither unreasonable nor unfair to impose collateral estoppel in a disciplinary proceeding after the attorney had been convicted of a criminal offense. There, we held that the attorney would not be permitted to relitigate the issue of guilt after he was convicted following a criminal trial, at “which rigorous safeguards were imposed to insure against an unjust conviction” (*Levy*, 37 NY2d at 281).

By contrast, the determination here was made on papers—without cross-examination or the opportunity to call witnesses. Although Dunn did testify before the Magistrate, it was in the context of the motion for reconsideration and was for the purpose of determining whether the trust’s assets should be unfrozen. Essentially, the issue before the Magistrate there was whether the annuity agreement was new evidence that the SEC could not have discovered in a timely fashion through the exercise of due diligence. While the issue of whether Dunn had made false statements in her written declaration concerning her prior knowledge of that agreement may have been relevant, it was certainly not the focus of the hearing on the motion. The cursory nature of the sanctions proceeding itself failed to provide a full and fair opportunity to litigate the issue.

Contrary to the Committee’s argument that the inability to invoke collateral estoppel would cause extensive delay in attorney disciplinary proceedings, it is not necessary to await a final judgment in the underlying action. Rather, the Committee

remains free to prove the alleged misconduct at issue. Further, we see no indication that the situation presented here will recur with any frequency. Moreover, as noted above, the doctrine of collateral estoppel has been applied to attorney disciplinary matters in the past and can continue to be applied where the necessary prerequisites have been met—i.e., where the attorney has had a full and fair opportunity to litigate in the prior proceeding.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the matter remitted to that Court for further proceedings in accordance with this opinion.

Chief Judge LIPPMAN and Judges READ, PIGOTT, RIVERA and ABDUS-SALAAM concur; Judges STEIN and FAHEY taking no part.

Order reversed, with costs, and matter remitted to the Appellate Division, Third Department, for further proceedings in accordance with the opinion herein.

[28 NE3d 511, 5 NYS3d 332]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v STEVEN
REPANTI, Appellant.

Argued January 8, 2015; decided February 17, 2015

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Term of the Supreme Court in the Second Judicial Department, Ninth and Tenth Judicial Districts, entered July 8, 2013. The Appellate Term affirmed a judgment of the Justice Court of the Town of Ramapo, Rockland County (Arnold P. Etelson, J.), which had convicted defendant, after a nonjury trial, of attempted assault in the third degree and harassment in the second degree.

People v Repanti, 40 Misc 3d 131(A), 2013 NY Slip Op 51132(U), affirmed.

HEADNOTE**Crimes — Lesser Included Offense — Harassment Not Lesser Included Offense of Attempted Assault**

Harassment in the second degree is not a lesser included offense of attempted assault in the third degree as those crimes do not share a common intent element. It therefore cannot be established that in all circumstances it is impossible to commit attempted assault without also committing harassment. Thus, in a prosecution arising after defendant forcefully “banged into” the complainant with his shoulder, defendant was lawfully convicted of both crimes. To establish that a count is a lesser included offense in accordance with CPL 1.20 (37), a defendant must show that it is theoretically impossible to commit the greater offense without at the same time committing the lesser. The crime of attempted third-degree assault requires proof that the defendant engaged in conduct tending to effect the commission of an assault, with the intent to cause physical injury to another (Penal Law §§ 110.00, 120.00 [1]). The crime of second-degree harassment requires proof that the defendant, with intent to harass, annoy or alarm another, struck, shoved, kicked or otherwise subjected the other person to physical contact, or attempted or threatened to do so (Penal Law § 240.26 [1]). As an abstract concept it is possible to intend to annoy, harass or alarm without also intending to injure based on conduct that causes annoyance, harassment or alarm. Similarly, an intent to injure through physical contact involves a purpose of mind focused on a result more serious than that which may be obtained by the mere action of causing annoyance or alarm.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Assault and Battery § 79; AM JUR 2d, Criminal
Law §§ 21, 306–307, 319; AM JUR 2d, Indictments and

Informations §§ 108, 296; AM JUR 2d, Trial §§ 1197–1198, 1202.

CARMODY-WAIT 2d, Charge and Instruction to Jury §§ 200:75, 200:80–200:84, 200:91.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 24.8.

McKINNEY'S, CPL 1.20 (37); Penal Law §§ 110.00, 120.00 (1); 240.26 (1).

NY JUR 2d, Criminal Law: Procedure §§ 1499, 2790, 2793; NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 205, 404–407, 411, 415, 420, 574, 586, 1008, 1441.

ANNOTATION REFERENCE

Lesser-related state offense instruction: modern status.
50 ALR4th 1081.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: harass! & “lesser included” & attempt! /3 assault

POINTS OF COUNSEL

William A. Gerard, Palisades, for appellant. The verdict is defective as a result of appellant's conviction for both a greater and a lesser included offense. (*People v Stanfield*, 36 NY2d 467; *People v Strong*, 37 NY2d 568; *People v Green*, 56 NY2d 427; *People v Moyer*, 27 NY2d 252; *People v Glover*, 57 NY2d 61.)

Thomas P. Zugibe, District Attorney, New City (*Anthony R. Dellicarri* and *Itamar J. Yeager* of counsel), for respondent. I. Defendant failed to preserve at trial his claim that the court should have considered harassment in the second degree as a lesser included offense of attempted assault in the third degree rather than consider them independently. (*People v Hanley*, 20 NY3d 601; *People v Davis*, 14 NY3d 20; *People v Turriago*, 90 NY2d 77; *People v Pepper*, 59 NY2d 353; *People v Iannone*, 45 NY2d 589; *People v Kelly*, 5 NY3d 116; *People v Becoats*, 17 NY3d 643; *People v Parilla*, 8 NY3d 654; *People v Patterson*, 39 NY2d 288; *People v Michael*, 48 NY2d 1.) II. The Appellate Term correctly held that the verdict was not defective because harassment in the second degree is not a lesser included offense of attempted assault in the third degree. (*People v Moyer*, 27 NY2d 252; *People v Glover*, 57 NY2d 61; *People v James*, 11 NY3d 886; *People v Miller*, 6 NY3d 295; *People v Van Norstrand*, 85 NY2d 131; *People v Menchetti*, 76 NY2d 473; *People v Todd*, 59 NY2d 694;

People v Wheeler, 67 NY2d 960; *People v Ford*, 76 NY2d 868; *People v Green*, 56 NY2d 427.) III. Should this Court find that harassment in the second degree is a lesser included offense of attempted assault, it should merely reverse the harassment conviction but affirm the attempted assault conviction. (*People v Hayes*, 104 AD3d 1050; *People v Rodrigues*, 74 AD3d 1818; *People v Moore*, 41 AD3d 1149; *People v Muhammad*, 17 NY3d 532; *People v Morris*, 68 NY2d 799; *People v Lee*, 39 NY2d 388; *People v Grier*, 37 NY2d 847; *People v Hayes*, 104 AD3d 1050; *People v Ortiz*, 95 AD3d 1140; *People v Davis*, 91 AD3d 567.)

OPINION OF THE COURT

RIVERA, J.

Defendant Steven Repanti claims that he was unlawfully convicted of attempted assault in the third degree (Penal Law § 120.00) and harassment in the second degree (Penal Law § 240.26) because those counts are based on the same conduct and therefore, on the facts of his case, harassment must be treated as a lesser included offense of attempted assault. We disagree.

At the time of the underlying incident, defendant, complainant and her husband lived at the same senior community residence in the Town of Ramapo, Rockland County. Based on complainant's allegations the People charged defendant by misdemeanor information with one count of attempted assault in the third degree (Penal Law §§ 120.00 [1]; 110.00). Approximately one year later, on the day of the nonjury trial, the People filed a superceding prosecutor's information adding a charge of harassment in the second degree (Penal Law § 240.26 [1]). The People characterized the harassment count as a lesser included offense of the assault, erroneously citing *People v Moyer* (27 NY2d 252 [1970]). The court permitted the new filing over defendant's objection to the facial sufficiency of the instrument.

According to the evidence presented at trial, complainant was ascending the staircase to her home when defendant exited a neighbor's apartment, waited, then walked down the same staircase and forcefully "banged into" complainant with his shoulder. Complainant did not suffer any physical injuries because she fell back against her husband who was walking directly behind her. Defendant testified on his own behalf, disputing that he had any physical contact with complainant or her husband. During summations, counsel asserted that defendant was overcharged, contending that the harassment count

“really fits within the lesser included” and, in any event, averred that the weight of the evidence was insufficient to convict on either. The prosecutor also noted that the harassment count was a lesser included offense, and submitted to the court that defendant should be convicted of both.

The court convicted defendant on both the attempted assault and second degree harassment charges. At sentencing defense counsel challenged the dual convictions, stating,

“I’m a little puzzled about a conviction for both charges. I think it’s one or the other.

“I had tended to believe the harassment would be the more appropriate based on the evidence. I don’t really think he could be convicted of both and sentenced for both.

“But in any event . . . I would ask the Court to consider his circumstances.”

The court immediately sentenced defendant to a one-year term of probation for the attempted assault and imposed a \$250 fine on the harassment conviction, along with a \$125 surcharge.

The Appellate Term affirmed, rejecting defendant’s contention that harassment in the second degree is a lesser included offense of attempted assault in the third degree, based on the authority of this Court’s decision in *People v Moyer* (27 NY2d 252 [1970]) (see *People v Repanti*, 40 Misc 3d 131[A], 2013 NY Slip Op 51132[U] [App Term, 2d Dept, 9th & 10th Jud Dists 2013]). A Judge of this Court granted defendant leave to appeal, and we now affirm (22 NY3d 1043 [2013]).

Defendant contends that the verdict is defective because under our prior case law he cannot be lawfully convicted of attempted assault and harassment where, as here, the counts are based on the same conduct—physical contact with the complainant—and distinguished solely by a different intent element. According to defendant, in such a case harassment must be treated as a lesser included offense, which thus bars his conviction for the greater offense of attempted assault. In response, the People argue that under this Court’s prior decisions, including *Moyer*, harassment is not a lesser included offense. We agree.

In deciding this appeal we do not write on a clean slate. Indeed, as both parties recognize, this Court has previously decided the standard by which to determine what constitutes a lesser included offense, and also held that harassment is not a

lesser included offense of assault. Thus, we return to well-trodden ground in addressing defendant's claims, and based on existing case law find his arguments to be without merit.

To establish that a count is a lesser included offense in accordance with CPL 1.20 (37), a defendant must establish "that it is theoretically impossible to commit the greater crime without at the same time committing the lesser" (*People v Glover*, 57 NY2d 61, 64 [1982]). Such determination requires the court to compare the statutes in the abstract, without reference to any factual particularities of the underlying prosecution (*id.*). Thus, the defendant must show that the offense "is an offense of lesser grade or degree and that in all circumstances, not only in those presented in the particular case, it is impossible to commit the greater crime without concomitantly, by the same conduct, committing the lesser offense" (*id.* at 63). Since defendant cannot establish that in all circumstances it is impossible to commit attempted assault without also committing harassment, his challenge to his conviction on both these counts fails as a matter of law.¹

Our comparison of attempted assault and harassment establishes that these counts do not share a common intent element. To be guilty of attempted assault in the third degree requires proof that defendant "engage[d] in conduct which tends to effect the commission of [assault]," with the "intent to cause physical injury to another" (Penal Law §§ 110.00, 120.00 [1]). A conviction for harassment requires that defendant, "with intent to harass, annoy or alarm another . . . [,] strikes, shoves, kicks or otherwise subjects such other person to physical contact, or attempts or threatens to do the same" (Penal Law § 240.26 [1]). In 1970, in *Moyer*, a majority of this Court concluded that harassment is not a lesser included offense of assault because "an additional element or fact must be shown to be present in a case of harassment," requiring proof of an intent to harass, annoy or alarm, which is not a required element of an assault count (*Moyer*, 27 NY2d at 254). Instead, assault requires intent to injure, irrespective of whether the defendant also harbors an intent to harass, annoy or alarm (*compare* Penal Law § 120.00 [1] *with* Penal Law § 240.26).

1. Given that defendant cannot establish theoretical impossibility, we need not consider whether under the particular facts of his case, defendant would be able to make the additional mandatory showing of "actual impossibility," which requires that "there is a reasonable view of the evidence in the particular case that would support a finding that [the defendant] committed the lesser offense but not the greater" (*see Glover*, 57 NY2d at 63).

It remains true today, as it did when *Moyer* was decided, that as an abstract concept it is possible to intend to annoy, harass or alarm without also intending to injure based on conduct that causes annoyance, harassment or alarm. Similarly, an intent to injure through physical contact involves a purpose of mind focused on a result more serious than that which may be obtained by the mere action of causing annoyance or alarm. For example, a person's use of force to cause physical injury, such as pushing someone to break their arm or dislocate their shoulder, is not the same state of mind held by a person seeking to make physical contact to annoy or bother another person. Even if in some cases the proof is sufficient to establish a defendant's intent to injure and intent to annoy, harass or alarm, the fact that there is a potential subset of cases where it is possible to be guilty of both offenses does not overcome the theoretical impossibility requirement that the elements align in all cases (see *Glover*, 57 NY2d at 64).

Defendant argues that the impossibility rule does not apply here because he was convicted of an attempted assault, not a completed assault as in *Moyer*. This is a distinction without significance for the purpose of our analysis because, as defendant acknowledges, the question is whether attempted assault and harassment share the same elements, which they do not. An attempted assault requires the intent to commit an assault, which carries a different intent from harassment.

Defendant seeks to further distinguish his case by relying on this Court's decision in *People v Stanfield* (36 NY2d 467 [1975]) to argue that where two charges depend on the same conduct and differ only based on the degree of culpability, the lesser charge is a lesser included offense. In *Stanfield*, the Court held that criminally negligent homicide is a lesser included offense of the crime of manslaughter in the second degree (*id.* at 472). Defendant argues that his case falls squarely within what he calls the "*Stanfield* rule" because he was convicted based on the same conduct under counts that require a different intent.

Defendant's contention that *Stanfield* somehow "clarified" this Court's prior interpretation of CPL 1.20 (37) by creating an exception to the theoretical impossibility requirement ignores subsequent case law and the fact that *Glover* limited *Stanfield*. As *Glover* recognized, the theoretical impossibility requirement "is mandated by the provisions of CPL 1.20 (subd 37)"; thus *Glover* correctly rejected *Stanfield* to the extent the latter could be interpreted to disavow the "theoretical impossibility"

requirement in favor of reliance on impossibility based solely on the particular facts in an individual defendant's case (*Glover*, 57 NY2d at 64).

This Court's decision in *People v Green* (56 NY2d 427 [1982]), decided the same day as *Glover*, confirms that harassment is not a lesser included offense of attempted assault. In *Green*, the Court held that it was error to deny a defendant charged with first degree intentional assault a lesser included offense charge of assault in the second degree, because the acts necessary to prove both crimes are the same and there is only a difference in the degree of culpability, namely intentional for first degree assault and reckless for second degree (56 NY2d at 435). Here, of course, the degree of culpability is the same as both counts require intent on the part of the defendant—intent to cause physical injury in the case of attempted assault, versus intent to harass, annoy or alarm in the case of harassment.

Given this understanding of what constitutes a lesser included offense, not surprisingly, in *People v Todd* (59 NY2d 694 [1983]), decided after *Glover* and *Green*, this Court affirmed a lower court's refusal to charge harassment as a lesser included offense of assault in the third degree (see 59 NY2d at 696, citing *Glover* and *Moyer*). We therefore find dispositive the authority of *Moyer*, *Glover*, *Green* and *Todd*, and conclude that harassment is not a lesser included offense of attempted assault.² Accordingly, the order of the Appellate Term should be affirmed.

Chief Judge LIPPMAN and Judges READ, PIGOTT and ABDUS-SALAAM concur; Judges STEIN and FAHEY taking no part.

Order affirmed.

2. Defendant's alternative argument, raised for the first time at oral argument, that the verdict is repugnant because the respective counts require a distinct mens rea is wholly unpreserved for our consideration (see *People v Carter*, 7 NY3d 875, 876 [2006]; CPL 470.05 [2]).

[28 NE3d 15, 4 NYS3d 581]

FRONT, INC., Plaintiff, v PHILIP KHALIL et al., Defendants.

PHILIP KHALIL, Third-Party Plaintiff-Appellant, v JEFFREY A.
KIMMEL et al., Third-Party Defendants-Respondents.

Argued January 14, 2015; decided February 24, 2015

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered February 14, 2013. The Appellate Division, among other things, affirmed so much of an order of the Supreme Court, New York County (Donna M. Mills, J.; op 2012 NY Slip Op 31404[U] [2012]), as had granted the motion by third-party defendants Jeffery A. Kimmel and Meister Seelig & Fein LLP to dismiss the third-party complaint pursuant to CPLR 3211.

Front, Inc. v Khalil, 103 AD3d 481, affirmed.

HEADNOTES

Libel and Slander — Privilege — Qualified Privilege — Statements Made by Counsel Prior to Commencement of Anticipated Litigation

1. Statements made by counsel prior to the commencement of an anticipated litigation are privileged, unless a defendant proves that the statements were not pertinent to a good faith anticipated litigation. When litigation is anticipated, attorneys and parties should be free to communicate in order to reduce or avoid the need to actually commence litigation. Communication during this pre-litigation phase should be encouraged and not chilled by the possibility of being the basis for a defamation suit. Recognizing that extending privileged status to communication made prior to anticipated litigation has the potential to be abused, applying an absolute privilege to statements made during a phase prior to litigation would be problematic and unnecessary to advance the goals of encouraging communication prior to the commencement of litigation. To ensure that such communications are afforded sufficient protection the privilege should be qualified, and only be applied to statements pertinent to a good faith anticipated litigation.

Libel and Slander — Privilege — Qualified Privilege — Statements Made by Counsel Prior to Commencement of Anticipated Litigation

2. In a defamation action, statements in letters sent by defendant attorneys to plaintiff, a former employee of defendants' client, and to plaintiff's new employer stating that plaintiff attempted to steal confidential proprietary information, conducted an illegal competing side business, and conspired with his new employer to breach his fiduciary duty to the client were protected by a qualified privilege applicable to communications made prior to the commencement of anticipated litigation. The letters were written in the prelimi-

nary stages of an anticipated action. The letter to plaintiff was sent in an attempt to avoid litigation by requesting, among other things, that plaintiff return allegedly stolen proprietary information and cease and desist his use of that information, and a copy of that letter was forwarded to plaintiff's new employer. At the time the letters were sent, defendants had a good faith basis to anticipate litigation and the statements in the letters were pertinent to that anticipated litigation.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Libel and Slander §§ 279–282, 290.

DOBBS LAW OF TORTS §§ 539, 544.

NY JUR 2d, Defamation and Privacy §§ 135–138, 145.

NEW YORK LAW OF TORTS §§ 1:50, 1:51.

ANNOTATION REFERENCE

See ALR Index under Attorneys; Libel and Slander.

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Database: NY-ORCS

Query: qualified /2 privilege /p anticipat! /3 litig! & good
/2 faith

POINTS OF COUNSEL

The Marantz Law Firm, Rye (Neil G. Marantz of counsel), for third-party plaintiff-appellant. I. The First Department, without explanation, has erroneously departed from settled law. (*Block v First Blood Assoc.*, 691 F Supp 685; *Reeves v American Broadcasting Cos., Inc.*, 580 F Supp 84, 719 F2d 602; *Park Knoll Assoc. v Schmidt*, 59 NY2d 205; *Kenny v Cleary*, 47 AD2d 531; *Uni-Service Risk Mgt. v New York State Assn. of School Bus. Officials*, 62 AD2d 1093; *Andrews v Gardiner*, 224 NY 440; *Rosen v Brandes*, 105 Misc 2d 506; *Sexter & Warmflash, P.C. v Margrave*, 38 AD3d 163; *Vodopia v Ziff-Davis Publ. Co.*, 243 AD2d 368.) II. There is no rationale—and none articulated by the First Department—for departing from settled law and disregarding this Court's expressed reluctance to expand application of the absolute privilege doctrine. (*Toker v Pollak*, 44 NY2d 211; *Park Knoll Assoc. v Schmidt*, 59 NY2d 205; *Stukuls v State of New York*, 42 NY2d 272; *Garson v Hendlin*, 141 AD2d 55; *Gold v Intersoft Corp.*, 128 Misc 2d 198; *Kenny v Cleary*, 47 AD2d 531; *Uni-Service Risk Mgt. v New York State Assn. of School Bus. Officials*, 62 AD2d 1093.) III. The perils of the appellate order's disregard of long-established policy and equitable

safeguards are underscored by the facts at bar. (*Lacher v Engel*, 33 AD3d 10; *Youmans v Smith*, 153 NY 214; *Martirano v Frost*, 25 NY2d 505; *Simon v Stim*, 11 Misc 2d 653; *Andrews v Gardiner*, 224 NY 440; *Park Knoll Assoc. v Schmidt*, 59 NY2d 205; *Mintz & Gold LLP v Zimmerman*, 17 Misc 3d 972, 56 AD3d 358; *The Savage Is Loose Co. v United Artists Theatre Circuit, Inc.*, 413 F Supp 555; *Sexter & Warmflash, P.C. v Margrave*, 38 AD3d 163; *Rinaldi v Viking Penguin*, 52 NY2d 422.)

Traub Lieberman Straus & Shrewsberry LLP, Hawthorne (Lisa L. Shrewsberry of counsel), for third-party defendants-respondents. I. Third-party plaintiff failed to state a claim for defamation. (*Park Knoll Assoc. v Schmidt*, 59 NY2d 205; *Lacher v Engel*, 33 AD3d 10; *Sexter & Warmflash, P.C. v Margrave*, 38 AD3d 163; *Martirano v Frost*, 25 NY2d 505; *Black v Green Harbour Homeowners' Assn., Inc.*, 19 AD3d 962; *Vodopia v Ziff-Davis Publ. Co.*, 243 AD2d 368; *Lieberman v Hoffman*, 239 AD2d 273; *Officemax Inc. v Cinotti*, 966 F Supp 2d 74; *Kenny v Cleary*, 47 AD2d 531; *Orenstein v Figel*, 677 F Supp 2d 706.) II. Third-party plaintiff failed to state a claim for tortious interference with business relations. (*Carvel Corp. v Noonan*, 3 NY3d 182; *Posner v Lewis*, 18 NY3d 566.)

OPINION OF THE COURT

ABDUS-SALAAM, J.

This appeal requires this Court to answer the open question of whether statements made by attorneys prior to the commencement of litigation are privileged. We hold that such statements are protected by a qualified privilege. If the statements are pertinent to a good faith anticipated litigation, no cause of action for defamation can be based on those statements.

I

Defendant/third-party plaintiff Philip Khalil was employed as director of engineering for plaintiff Front, Inc. (Front), an American architectural and engineering design and consulting firm, from June 2003 through March 2011. During his employment, Khalil, a citizen of the United Kingdom, applied for and obtained resident alien status. Front sponsored Khalil's application. In March 2011, Khalil orally resigned from his position at Front, informing the firm that he intended to take a position with defendant Eckersley O'Callaghan Structural Design (EOC), a United Kingdom firm and one of Front's competitors. Khalil subsequently tendered a written letter of resignation to Front.

Shortly thereafter, an engineer employed by Front observed an external hard drive connected to Khalil's work computer. Upon investigation, Front allegedly discovered that Khalil had downloaded to the device the firm's entire network drive directory, which allegedly included all projects Front worked on, client contact information, and other proprietary information. Front confronted Khalil, who apparently admitted that he had intended to save Front's files to his hard drive. Front immediately terminated Khalil's employment. Upon further investigation, Front allegedly discovered that Khalil worked on approximately 40 side projects for Front's competitors, including EOC, in violation of the terms of his employment contract. Front also asserted that Khalil, with assistance from defendant James O'Callaghan, diverted work away from Front to EOC—namely, a project for the Apple Store on Broadway in New York City.

Front retained Meister Seelig & Fein LLP (MSF), and, in April 2011, Jeffrey A. Kimmel, an MSF attorney, sent a letter to Khalil. The letter stated that Khalil attempted to steal Front's confidential and proprietary information, that he conducted an illegal competing side business which unlawfully diverted business opportunities from Front, misappropriated trade secrets, and violated applicable ethical and professional codes of conduct as well as the duty of loyalty owed to Front. Additionally, the letter stated that Khalil may be subject to punishment under the Economic Espionage Act of 1996, stating in a footnote that he "violated the terms of [his] application and immigrant status" and "several codes of conduct and ethics of the various boards of licensure and professional associations to which [he is] a member." The letter demanded, among other things, that Khalil cease and desist from using Front's confidential and proprietary information, return the proprietary information he had taken, and refrain from contacting Front's clients.

Thereafter, Kimmel sent a letter to O'Callaghan and EOC, enclosing and referencing the earlier letter to Khalil, and stating that Khalil conspired with EOC to breach his fiduciary duty to Front, that EOC was aware that Khalil was a full-time employee of Front, and that EOC was diverting business away from Front to itself. The letter made demands that were nearly identical to those made in the letter to Khalil. Kimmel copied O'Callaghan and Brian Eckersley, EOC partners, on the letter.

After Khalil and EOC failed to comply with Front's demands, Front commenced an action against Khalil, O'Callaghan, and

EOC. As to all defendants, Front sought damages for claims including civil conspiracy, misappropriation of trade secrets, and common-law unfair competition. As to Khalil, Front asserted causes of action for breach of contract, the implied covenant of good faith and fair dealing, and fiduciary duty.

Khalil commenced a third-party action against Kimmel and MSF, asserting a cause of action for libel per se based upon the statements made by Kimmel in his April 2011 letter to Khalil. Specifically, Khalil asserted that the allegations made in the letter were expressed as “statement[s] of fact, not based upon information and belief or otherwise qualified in any manner.” Additionally, Khalil alleged interference with a prospective business relationship, and tortious interference with business relations. Khalil, O’Callaghan, and EOC collectively moved to dismiss the complaint, pursuant to CPLR 3211 (a) (5) and (7) and CPLR 3016 (b), on the ground that it was time-barred, failed to state a cause of action, and lacked the requisite specificity. Kimmel and MSF moved to dismiss the third-party complaint for failure to state a cause of action.

As concerns this appeal, Supreme Court, New York County determined “that the letter to Khalil is absolutely privileged” and that it therefore did “not need to reach the question of malice,” citing First Department precedent as support. (*Front, Inc. v Khalil*, 2012 NY Slip Op 31404[U], *24 [2012].) The court reasoned that the letter to Khalil “clearly relate[d] to the litigation initiated by Front” and “the demands made in the letters to Khalil and to O’Callaghan and EOC . . . substantially reflect the causes of action and relief requested” in the main action. (2012 NY Slip Op 31404[U], *23.) The court added: “The fact that the litigation was not initiated until approximately six months after the letters were sent does not alter the court’s conclusion.” (2012 NY Slip Op 31404[U], *23-24.) Khalil appealed, and Front cross-appealed.

The Appellate Division upheld the dismissal of the third-party action against Kimmel and MSF, concluding that “an absolute privilege attaches to the statements made by [Front]’s counsel in the April 2011 letters, because they were issued in the context of ‘prospective litigation’ ” (*Front, Inc. v Khalil*, 103 AD3d 481, 483-484 [2013], citing *Sexter & Warmflash, P.C. v Margrabe*, 38 AD3d 163, 174 [1st Dept 2007]; *Vodopia v Ziff-Davis Publ. Co.*,

243 AD2d 368, 368 [1st Dept 1997]). This Court granted Kahlil's motion for leave to appeal.¹

II

Commencing with this Court's 1897 decision in *Youmans v Smith* (153 NY 214 [1897]), we have held that absolute immunity from liability for defamation exists for oral or written statements made by attorneys in connection with a proceeding before a court "when such words and writings are material and pertinent to the questions involved" (*id.* at 219). There we stated that to allow such statements to be a basis for a defamation action "would be an impediment to justice, because it would hamper the search for truth and prevent making inquiries with that freedom and boldness which the welfare of society requires" (*id.* at 220). We also noted that where an attorney's statements are "so needlessly defamatory as to warrant the inference of express malice" the privilege has been abused and "protection is withdrawn" (*id.*). Nearly a century later in *Park Knoll Assoc. v Schmidt* (59 NY2d 205 [1983]), this Court held that relevant statements made in judicial or quasi-judicial proceedings are afforded absolute protection so that those discharging a public function may speak freely to zealously represent their clients without fear of reprisal or financial hazard (*see id.* at 209). The privilege attaches to such statements irrespective of an attorney's motive for making them (*see Wiener v Weintraub*, 22 NY2d 330, 331 [1968]).

Although it is well-settled that statements made in the course of litigation are entitled to absolute privilege, this Court has not directly addressed whether statements made by an attorney on behalf of his or her client in connection with prospective litigation are privileged. Three Appellate Division Departments, however, have addressed this issue directly and have come to differing conclusions. The First Department has held that an absolute privilege attaches to statements made by an attorney in connection with prospective litigation (*Sexter & Warmflash*, 38 AD3d at 174 ["a letter among parties and counsel on the subject of pending or prospective litigation . . . enjoys the protection of the absolute privilege"]; *Vodopia*, 243 AD2d at 368 [absolute privilege applied to "a letter written . . . during the course of negotiations to settle a copyright lawsuit threatened by plaintiff's client"]; *Lieberman v Hoffman*, 239 AD2d 273, 273

1. The Appellate Division order is final as against Kimmel and MSF.

[1st Dept 1997]). Although the Second Department had held in *Kenny v Cleary* (47 AD2d 531, 532 [2d Dept 1975]) that absolute privilege did not apply to statements made prior to litigation, it has recently held in *Sklover v Sack* (102 AD3d 855, 856 [2d Dept 2013]) that statements made pertinent to a settlement of a prospective malpractice litigation were afforded an absolute privilege. In contrast to the First and Second Departments, the Third Department has held that a statement made prior to litigation should not be afforded absolute privilege (*Uni-Service Risk Mgt. v New York State Assn. of School Bus. Officials*, 62 AD2d 1093, 1094 [3d Dept 1978] [the “statement was made before the commencement of (the) (a)ction . . . and thus an absolute privilege did not attach”]).

Alternatively, a statement is “subject to a qualified privilege when it is fairly made by a person in the discharge of some public or private duty, legal or moral, or in the conduct of his [or her] own affairs, in a matter where his [or her] interest is concerned” (*Rosenberg v MetLife, Inc.*, 8 NY3d 359, 365 [2007] [internal quotation marks omitted]). In general, if the privilege is “qualified, it can be lost by plaintiff’s proof that defendant acted out of malice” (*Park Knoll*, 59 NY2d at 209).

III

[1] The rationale supporting the application of privileged status to communication made by attorneys during the course of litigation is also relevant to pre-litigation communication. When litigation is anticipated, attorneys and parties should be free to communicate in order to reduce or avoid the need to actually commence litigation. Attorneys often send cease and desist letters to avoid litigation. Applying privilege to such preliminary communication encourages potential defendants to negotiate with potential plaintiffs in order to prevent costly and time-consuming judicial intervention. Communication during this pre-litigation phase should be encouraged and not chilled by the possibility of being the basis for a defamation suit.

Nonetheless, “[a]s a matter of policy, the courts confine absolute privilege to a very few situations” (*Park Knoll*, 59 NY2d at 210). We recognize that extending privileged status to communication made prior to anticipated litigation has the potential to be abused. Thus, applying an absolute privilege to statements made during a phase prior to litigation would be problematic and unnecessary to advance the goals of encouraging communication prior to the commencement of litigation. To

ensure that such communications are afforded sufficient protection the privilege should be qualified. Rather than applying the general malice standard to this pre-litigation stage, the privilege should only be applied to statements pertinent to a good faith anticipated litigation. This requirement ensures that privilege does not protect attorneys who are seeking to bully, harass, or intimidate their client's adversaries by threatening baseless litigation or by asserting wholly unmeritorious claims, unsupported in law and fact, in violation of counsel's ethical obligations.² Therefore, we hold that statements made prior to the commencement of an anticipated litigation are privileged, and that the privilege is lost where a defendant proves that the statements were not pertinent to a good faith anticipated litigation.

IV

[2] The letters at issue here were written in the preliminary stages of an anticipated action. MSF and specifically Kimmel, acting on behalf of their client Front, sent a letter to Khalil informing him of Front's investigation in an attempt to avoid litigation by requesting, among other things, that Khalil return the allegedly stolen proprietary information and cease and desist his use of that information. A copy of that letter was then forwarded to EOC. Thus, at the time the letters were sent, Kimmel and MSF had a good faith basis to anticipate litigation and the statements in the letters were pertinent to that anticipated litigation. Therefore, the letters at issue were properly found to be subject to a privilege; however, rather than the absolute privilege applied by the courts below, a qualified privilege applied because they were written prior to litigation. Nevertheless, because the letters are privileged the third-party action was properly dismissed.

Accordingly, the Appellate Division order should be affirmed, with costs.

Chief Judge LIPPMAN and Judges READ, PIGOTT and RIVERA concur; Judges STEIN and FAHEY taking no part.

Order affirmed, with costs.

2. In holding that privilege applies to these pre-litigation statements, we note that attorneys should exercise caution when corresponding with unrepresented potential parties who may be particularly susceptible to harassment and unequipped to respond properly even to appropriate communications from an attorney.

[28 NE3d 515, 5 NYS3d 336]

EUGENE MARGERUM et al., Appellants-Respondents, v CITY OF
BUFFALO et al., Respondents-Appellants.

Argued January 6, 2015; decided February 17, 2015

SUMMARY

CROSS APPEALS, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered July 5, 2013. The Appellate Division modified, on the law, a judgment (denominated decision and order) of the Supreme Court, Erie County (John A. Michalek, J.), which had, after a nonjury trial, awarded 12 of the plaintiffs emotional distress and economic damages against defendant City of Buffalo and City of Buffalo Department of Fire and awarded no recovery to plaintiff Anthony Hynes. The modification consisted of reducing the awards for economic damages. The Appellate Division affirmed the judgment as modified. The cross appeals bring up for review two prior nonfinal orders of that Appellate Division, entered June 5, 2009 (63 AD3d 1574 [2009]) and April 29, 2011 (83 AD3d 1575 [2011]). The June 2009 order, among other things, had affirmed so much of an order of that Supreme Court as had denied defendants' motion to dismiss the complaint. The April 2011 order had affirmed so much of an order of that Supreme Court as had granted those parts of plaintiffs' motion seeking partial summary judgment on the issue of liability against defendants City of Buffalo and City of Buffalo Department of Fire and denied those defendants' cross motion for summary judgment dismissing the complaint.

Margerum v City of Buffalo, 108 AD3d 1021, modified.

HEADNOTES

Municipal Corporations — Notice of Claim — Notice of Claim Not Required for Human Rights Law Claim

1. A notice of claim need not be filed for a Human Rights Law claim against a municipality as human rights claims are not tort actions under General Municipal Law § 50-e and are not personal injury, wrongful death or damage to personal property claims under General Municipal Law § 50-i. Thus, in an action commenced by plaintiff white firefighters alleging that defendant municipality and its fire department engaged in reverse, disparate treatment racial discrimination by permitting promotion eligibility lists to expire before their maximum legal duration in violation of the Human Rights Law, among other state laws, dismissal was not required on the basis of plaintiffs' failure to file a notice of claim prior to commencement of the action. Section 50-e (1) (a) requires service of a notice of claim in any case founded upon tort where a notice of claim is required by law as a condition precedent to the commence-

ment of an action against a public corporation. Moreover, section 50-i (1) precludes commencement of an action against a city for personal injury, wrongful death or damage to real or personal property allegedly sustained by reason of the city's negligence or wrongful act unless a notice of claim has been served in compliance with section 50-e. As the General Municipal Law does not encompass a cause of action based on the Human Rights Law, service of a notice of claim is not a condition precedent to commencement of such an action in a jurisdiction where sections 50-e and 50-i provide the only notice of claim criteria.

Civil Rights — Discrimination in Employment — Race-Conscious Discriminatory Action — Disparate-Impact Liability

2. In an action commenced by plaintiff white firefighters alleging that defendant municipality and its fire department engaged in reverse, disparate treatment racial discrimination by permitting promotion eligibility lists to expire before their maximum legal duration in violation of the Human Rights Law, among other state laws, plaintiffs should not have been granted summary judgment on the issue of liability. Issues of fact existed whether the municipality had a strong basis in evidence to believe it would be subject to disparate-impact liability at the time that it terminated the promotion eligibility lists, which occurred while federal litigation was still pending against the municipality involving allegations that the examinations used to select firefighters for promotion had an illegal disparate impact against African-Americans. Under the governing federal standard, before an employer can engage in intentional discrimination to avoid or remedy an unintentional disparate impact, the employer must have a strong basis in evidence to believe it will be subject to disparate-impact liability if it fails to take race-conscious action, and the evidence is to be gauged at the time of that race-conscious action. Here, plaintiffs undisputedly made out a prima facie case of discrimination, as the municipality chose not to promote white candidates from the eligibility lists. The burden then shifted to the municipality, and the facts thus far ascertained were insufficient to determine what its intentions were at the time that the lists were expired. There had to be a credibility assessment of the municipality's position as to the validity of the examinations, the prospects in the federal litigation and the reasons for its decision to expire the lists.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Job Discrimination §§ 118, 121, 308, 310, 312;
AM JUR 2d, Municipal Corporations, Counties, and Other
Political Subdivisions §§ 598, 644.
CARMODY-WAIT 2d, Steps Preliminary to Bringing Suit;
Leave to Sue § 14:38.
MCKINNEY'S, General Municipal Law §§ 50-e, 50-i.
NY JUR 2d, Civil Rights §§ 41, 43, 46, 73, 77; NY JUR 2d,
Government Tort Liability §§ 383, 384.
SIEGEL, NY PRAC § 32.

ANNOTATION REFERENCE

See ALR Index under Civil Rights and Discrimination;
Fire Departments and Firefighters; Notice of Claims.

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POINTS OF COUNSEL

Chiacchia & Fleming, LLP, Hamburg (Andrew P. Fleming and Christen Archer Pierrot of counsel), for appellants-respondents. I. Any uncertainties that exist as to damages suffered by victims of illegal discrimination are to be resolved as against the wrongdoer and the trial court's determination to resolve any lingering uncertainties as against defendants is amply supported by evidence. (*Spitz v Lesser*, 302 NY 490; *Flynn v Allstate Indem. Co.*, 22 Misc 3d 1138[A], 2009 NY Slip Op 50503[U]; *Contemporary Mission, Inc. v Famous Music Corp.*, 557 F2d 918; *Entis v Atlantic Wire & Cable Corp.*, 335 F2d 759; *Hirschfeld v IC Sec.*, 132 AD2d 332; *Dunkel v McDonald*, 272 App Div 267; *I. H. P. Corp. v 210 Cent. Park S. Corp.*, 16 AD2d 461; *Wakeman v Wheeler & Wilson Mfg. Co.*, 101 NY 205; *Bagley v Smith*, 10 NY 489; *MacGregor v Watts*, 254 App Div 904.) II. The trial court's conclusions regarding plaintiffs' economic damages are supported by a fair interpretation of the evidence and should not have been disturbed. (*Matter of St. James Nursing Home v DeBuono*, 12 AD3d 921; *Silverman v Mergentime Corp./J.F. White, Inc.*, 252 AD2d 925; *Osterhout v Mesivta Sanz of Hudson County*, 226 AD2d 893; *Thoreson v Penthouse Intl.*, 80 NY2d 490; *Warm v State of New York*, 308 AD2d 534; *Mechwart v Mechwart*, 292 AD2d 354; *DiBruno v Abrams*, 208 AD2d 672; *A & S Trucking Serv. v New York State Thruway Auth.*, 268 AD2d 493; *Greenberg v Behlen*, 220 AD2d 720; *Brant v Barreto*, 24 Misc 3d 145[A], 2009 NY Slip Op 51859[U].)

Hodgson Russ LLP, Buffalo (Jason E. Markel, Adam W. Perry, Stephen W. Kelkenberg and Joshua Feinstein of counsel), for respondents-appellants. I. The plaintiffs' Human Rights Law claims should have been dismissed as a matter of law due to their failure to file notices of claim in accordance with General Municipal Law § 50-i. (*Picciano v Nassau County Civ. Serv. Commn.*, 290 AD2d 164; *Sebastian v New York City Health & Hosps. Corp.*, 221 AD2d 294; *State Div. of Human Rights v Kilian Mfg. Corp.*, 35 NY2d 201; *Matter of Gould v Board of Educ. of Sewanhaka Cent. High School Dist.*, 81 NY2d 446; *Matter of Briggins v McGuire*, 67 NY2d 965; *Matter of Economico v Village of Pelham*, 50 NY2d 120; *Cleveland Bd. of Ed. v Louder-*

mill, 470 US 532; *Matter of Prue v Hunt*, 78 NY2d 364; 1455 *Washington Ave. Assoc. v Rose & Kiernan*, 260 AD2d 770; *Henrickson v City of New York*, 285 AD2d 529.) II. New York should adopt and apply *Ricci v DeStefano* (557 US 557 [2009]) “strong basis in evidence” standard in New York Human Rights Law cases. (*Forrest v Jewish Guild for the Blind*, 3 NY3d 295; *Bennett v Health Mgt. Sys., Inc.*, 92 AD3d 29; *Rainer N. Mittl, Ophthalmologist, P.C. v New York State Div. of Human Rights*, 100 NY2d 326; *Ferrante v American Lung Assn.*, 90 NY2d 623; *Matter of Laverack & Haines v New York State Div. of Human Rights*, 88 NY2d 734; *Matter of Miller Brewing Co. v State Div. of Human Rights*, 66 NY2d 937; *Matter of Aurecchione v New York State Div. of Human Rights*, 98 NY2d 21; *Weissman v Dawn Joy Fashions, Inc.*, 214 F3d 224; *People v New York City Tr. Auth.*, 59 NY2d 343; *Mete v New York State Off. of Mental Retardation & Dev. Disabilities*, 21 AD3d 288.) III. The City of Buffalo is entitled to protection under the safe harbor created by *Ricci v DeStefano* (557 US 557 [2009]). (*United States v City of Buffalo*, 457 F Supp 612; *Albemarle Paper Co. v Moody*, 422 US 405; *Gulino v New York State Educ. Dept.*, 460 F3d 361; *Bridgeport Guardians, Inc. v City of Bridgeport*, 933 F2d 1140; *Hayden v County of Nassau*, 180 F3d 42; *United States v Brennan*, 650 F3d 65; *M.O.C.H.A. Socy., Inc. v City of Buffalo*, 689 F3d 263.) IV. Plaintiffs failed to carry their burden of establishing their alleged economic damages with “reasonable certainty,” and thus the Appellate Division should have reduced the plaintiffs’ damages award to zero. (*Haughey v Belmont Quadrangle Drilling Corp.*, 284 NY 136; *Lodato v Greyhawk N. Am., LLC*, 39 AD3d 494; *Karwacki v Astoria Med. Anesthesia Assoc., P.C.*, 23 AD3d 438; *Henderson v Holley*, 112 AD2d 190; *Charles Hyman, Inc. v Olsen Indus.*, 227 AD2d 270; *City of New York v State of New York*, 27 AD3d 1, 6 NY3d 711.) V. The Appellate Division properly concluded that plaintiffs’ expert offered incompetent proof grounded in unsupportable and speculative assumptions that failed to establish damages to a reasonable degree of certainty. (*Friedman v State of New York*, 67 NY2d 271; *Matter of Nathaniel T.*, 67 NY2d 838; *Weiss v Karch*, 62 NY2d 849; *Matter of Marine Midland Props. Corp. v Srogi*, 60 NY2d 885; *Mittl v New York State Div. of Human Rights*, 307 AD2d 881; *Matter of Wantagh Union Free School Dist. v New York State Div. of Human Rights*, 122 AD2d 846; *Clanton v Agogliatta*, 206 AD2d 497; *Burdick v Bratt*, 203 AD2d 950; *Bailey v Jamaica Buses Co.*, 210 AD2d 192; *Fiederlein v New York City Health & Hosps. Corp.*, 56 NY2d 573.) VI. The evidence at trial

most closely comports with the factual findings of the Appellate Division. (*Thomas v iStar Fin., Inc.*, 508 F Supp 2d 252; *Hybert v Hearst Corp.*, 900 F2d 1050; *Alexander v City of Milwaukee*, 474 F3d 437; *Biondo v City of Chicago, Ill.*, 382 F3d 680; *Forrest v Jewish Guild for the Blind*, 3 NY3d 295; *Mittl v New York State Div. of Human Rights*, 307 AD2d 881; *Rios v Smith*, 95 NY2d 647; *Snyder v Wetzler*, 84 NY2d 941; *Clanton v Agoglitta*, 206 AD2d 497; *Bailey v Jamaica Buses Co.*, 210 AD2d 192.)

Latino Justice PRLDEF, New York City (*Jackson Chin, Juan Cartagena* and *Jose Perez* of counsel), for National Association of Hispanic Firefighters, amicus curiae. I. Widespread discrimination in fire departments motivated Congress to amend title VII of the Civil Rights Act of 1964 (42 USC § 2000e *et seq.*) shortly after its enactment to include state and local employers. (*Ricci v DeStefano*, 557 US 557; *Dozier v Chupka*, 395 F Supp 836; *Boston Ch., NAACP, Inc. v Beecher*, 371 F Supp 507; *McNamara v City of Chicago*, 959 F Supp 870; *Association Against Discrimination in Empl., Inc. v City of Bridgeport*, 479 F Supp 101; *Hailey v City of Camden*, 631 F Supp 2d 528; *League of United Latin Am. Citizens v City of Santa Ana*, 410 F Supp 873; *Peightal v Metropolitan Dade County*, 940 F2d 1394; *Hammon v Barry*, 813 F2d 412; *Firefighters Inst. for Racial Equality v City of St. Louis*, 549 F2d 506.) II. The lower court's cramped reading of the strong basis in evidence standard contravenes Civil Rights Act of 1964 title VII's purpose and intent. (*Ricci v DeStefano*, 557 US 557; *M.O.C.H.A. Socy., Inc. v City of Buffalo*, 689 F3d 263; *United States v Brennan*, 650 F3d 65; *National Assn. for the Advancement of Colored People v North Hudson Regional Fire & Rescue*, 665 F3d 464; *Johnson v Transportation Agency, Santa Clara Cty.*, 480 US 616; *Faragher v Boca Raton*, 524 US 775; *Firefighters v Cleveland*, 478 US 501; *Kirkland v New York State Dept. of Corr. Servs.*, 711 F2d 1117; *Wygant v Jackson Bd. of Ed.*, 476 US 267.)

Creighton Johnsen & Giroux, Buffalo (*Jonathan G. Johnsen* of counsel), for Buffalo Professional Firefighters Association, Local 282, IAFF, AFL-CIO, amicus curiae. The City of Buffalo engaged in intentional discrimination in discarding the results of the civil service exams based upon the race of the candidates who would have been promoted and the City did not have a strong basis in evidence to believe that it faced disparate impact liability because of such civil service exams. (*Ricci v DeStefano*, 557 US 557; *Matter of Grossman v Rankin*, 43 NY2d 493; *AT&T Corp. v Hulteen*, 556 US 701; *Biondo v City of Chicago, Ill.*, 382

F3d 680; *Matter of Buffalo Professional Firefighters Assn., Inc., IAFF Local 282 [City of Buffalo]*, 79 AD3d 1737.)

National Association for the Advancement of Colored People, Baltimore, Maryland (Anson C. Asaka, Marshall W. Taylor and Kyhla D. Craine of counsel), for The National Association for the Advancement of Colored People, amicus curiae. I. The City of Buffalo's history of past discrimination warrants their race-conscious action and ensures equal opportunity for all in the City's hiring and promotional practices. (*United States v City of Buffalo*, 457 F Supp 612, 633 F2d 643; *Ricci v DeStefano*, 557 US 557.) II. Preventing employers from quickly and efficiently remedying discriminatory practices will frustrate Congress' purpose for enacting title VII of the Civil Rights Act of 1964 (42 USC § 2000e et seq.). (*Griggs v Duke Power Co.*, 401 US 424; *Ricci v DeStefano*, 557 US 557.) III. Positive reinforcement of employer action to prevent discrimination in the civil sector promotes race-based equality, socioeconomic mobility and inspires future generations to strive and achieve success. (*Godfrey v City of Chicago*, 973 F Supp 2d 883.)

Law Offices of Prathima Reddy LLC, Buffalo (Prathima Reddy of counsel), and *Amanda Keller, International Municipal Lawyers Association*, Bethesda, Maryland, for International Municipal Lawyers Association and others, amici curiae. I. Unless reversed by this Court, the decision below will create an unjustified disparity between state and federal law, subject New York public employers to increased litigation, hamper the delivery of vital public services, and discourage voluntary action to avoid discrimination. (*Ricci v DeStefano*, 557 US 557; *Griggs v Duke Power Co.*, 401 US 424; *United States v Brennan*, 650 F3d 65; *Rainer N. Mittl, Ophthalmologist, P.C. v New York State Div. of Human Rights*, 100 NY2d 326; *Matter of Aurecchione v New York State Div. of Human Rights*, 98 NY2d 21; *People v New York Tr. Auth.*, 59 NY2d 343; *Lewis v Chicago*, 560 US 205; *Guardians Assn. of N.Y. City Police Dept., Inc. v Civil Serv. Commn. of City of N.Y.*, 633 F2d 232; *Solo Cup Co. v Federal Ins. Co.*, 619 F2d 1178; *United States v City of New York*, 717 F3d 72.) II. Human Rights Law claims against cities should be subject to notice of claim requirements. (*Picciano v Nassau County Civ. Serv. Commn.*, 290 AD2d 164; *Matter of Town of Brookhaven v New York State Div. of Human Rights*, 282 AD2d 685; *Munro v Ossining Union Free School Dist.*, 55 AD3d 697; *Mompoin v City of New York*, 299 AD2d 527; *Estate of Kalis v City of Buffalo*, 100 NY2d 515; *Melia v City of Buffalo*, 306

AD2d 935, 100 NY2d 516; 423 S. *Salina St. v City of Syracuse*, 68 NY2d 474, 481 US 1008; *Pierce v Village of Horseheads Police Dept.*, 107 AD3d 1354; *Phelps Steel v City of Glens Falls*, 89 AD2d 652; *Matter of Briggins v McGuire*, 67 NY2d 965.)

Pacific Legal Foundation, Sacramento, California (*Theodore Hadzi-Antich*, *Meriem L. Hubbard* and *Joshua P. Thompson* of counsel), for Pacific Legal Foundation and others, amici curiae. Disparate impact liability raises serious equal protection concerns. (*Adarand Constructors, Inc. v Pena*, 515 US 200; *Hirabayashi v United States*, 320 US 81; *Shaw v Reno*, 509 US 630; *Richmond v J. A. Croson Co.*, 488 US 469; *Ricci v DeStefano*, 557 US 557; *Briscoe v City of New Haven*, 654 F3d 200; *Teamsters v United States*, 431 US 324; *Washington v Davis*, 426 US 229; *Watson v Fort Worth Bank & Trust*, 487 US 977; *Regents of Univ. of Cal. v Bakke*, 438 US 265.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

We hold that a notice of claim need not be filed for a Human Rights Law claim against a municipality and that plaintiffs should not have been granted summary judgment on the issue of liability involving discrimination as to civil service lists for Buffalo firefighters. We therefore remit for further proceedings.

In 1974, the United States sued the City of Buffalo in the Western District of New York. Among other things, the suit alleged that the written civil service examination developed by the New York State Department of Civil Service and used by the City to select entry-level firefighters and police officers had a discriminatory adverse impact against minorities. The District Court found that the City's continued use of the State's examination was part of a pattern or practice of discrimination against African-Americans, Hispanics and women in the fire and police departments (*see United States v City of Buffalo*, 457 F Supp 612 [WD NY 1978]). The District Court issued a "Remedial Decree" designed to remedy the effects of past discrimination, which imposed interim hiring ratios and affirmative recruitment efforts to increase the percentages of underrepresented classes. The decree was, for the most part, affirmed by the Second Circuit (633 F2d 643 [2d Cir 1980]).

In 1998, Members of Color Helping All (MOCHA), a not-for-profit organization of African-American firefighters, brought a putative class action against the City of Buffalo in the Western District of New York, alleging racially discriminatory practices

by the Buffalo Fire Department in violation of title VII of the Civil Rights Act of 1964 (42 USC § 2000e *et seq.*) and the New York Human Rights Law (*MOCHA I*). Among other things, the plaintiffs claimed that the 1998 examination used to select firefighters for promotion had an illegal disparate impact against African-American firefighters. MOCHA filed a second putative class action in 2003. This second suit alleged that the 2002 administration of the exam had the same discriminatory disparate impact as the 1998 exam (*MOCHA II*). About two years after the *MOCHA II* commencement, the City's then Human Resources Commissioner, Leonard Matarese, decided to allow the promotion eligibility lists to expire between September 2005 and February 2006, before the four-year maximum duration had elapsed.

Thereafter, while *MOCHA I* and *MOCHA II* were still pending, this action was commenced. The 12 white firefighter plaintiffs on this appeal alleged that the City engaged in reverse, disparate treatment racial discrimination by permitting the promotion eligibility lists to expire before their maximum legal duration, thereby violating the Human Rights Law, the Civil Service Law, and the New York State Constitution.* Plaintiffs allege that had the lists been extended to their maximum duration of four years, in accordance with historical practice, they would have received promotions.

Prior to answering, the City moved to dismiss the complaint pursuant to CPLR 3211, raising, among other grounds, plaintiffs' undisputed failure to file a General Municipal Law § 50-i notice of claim. The City argued that the statutory provision required the plaintiffs, as a precondition to commencing suit, to provide prior notice of their claims in order to permit timely investigation and opportunity for early resolution. Plaintiffs cross-moved for partial summary judgment on liability. Supreme Court denied the City's motion to dismiss and granted plaintiffs' motion for summary judgment on liability. The litigation was then stayed pending resolution of the *MOCHA I* litigation.

The federal District Court then issued an order dismissing the title VII claims to the extent the MOCHA plaintiffs sought relief based on the City's 1998 administration of the exam (*M.O.C.H.A. Socy., Inc. v City of Buffalo*, 2009 WL 604898, 2009

* There were originally 13 plaintiffs in this case; the trial court dismissed the claims of one plaintiff, Anthony Hynes, on February 8, 2012, finding that the City's actions had not harmed him. He did not appeal; thus, this appeal involves 12 plaintiffs.

US Dist LEXIS 20070 [WD NY Mar. 9, 2009, No. 98-CV-99C]). A year later, the District Court dismissed the *MOCHA II* litigation as well, finding that the MOCHA plaintiffs were collaterally estopped from challenging the 2002 administration of the exam because there was a “substantial identity of the dispositive issues and proof regarding the validity of the Lieutenant’s Exams litigated in *M.O.C.H.A. I* and *M.O.C.H.A. II*” (*M.O.C.H.A. Socy., Inc. v City of Buffalo*, 2010 WL 1930654, *4, 2010 US Dist LEXIS 46628, *11 [WD NY May 12, 2010, No. 03-CV-580-JTC]).

In the present action, the Appellate Division, in June 2009, affirmed Supreme Court’s denial of the City’s motion to dismiss, holding that dismissal was not warranted based on plaintiffs’ failure to file a notice of claim under the General Municipal Law (63 AD3d 1574 [2009]). The Court further concluded that plaintiffs were not entitled to summary judgment because they had failed to establish as a matter of law that the City’s actions were not narrowly tailored to meet a compelling interest.

Three weeks later, the United States Supreme Court issued its decision in *Ricci v DeStefano* (557 US 557 [2009]). In ruling for the petitioners, the Court concluded that an employer could not act based on mere statistical disparity alone—“[w]ithout some other justification, . . . race-based decisionmaking violates Title VII’s command that employers cannot take adverse employment actions because of an individual’s race” (*id.* at 579). The Court held that “before an employer can engage in intentional discrimination for the asserted purpose of avoiding or remedying an unintentional disparate impact, the employer must have a strong basis in evidence to believe it will be subject to disparate-impact liability if it fails to take the race-conscious, discriminatory action” (*id.* at 585).

At the direction of the Appellate Division, both sides renewed their arguments at the Supreme Court and cross-moved for summary judgment. Supreme Court granted plaintiffs’ motion for summary judgment on the issue of liability. The court concluded that the City had failed to meet the strong basis in evidence standard set forth in *Ricci*.

The Appellate Division affirmed stating:

“We agree with the court that the City defendants did not have a strong basis in evidence to believe that they would be subject to disparate-impact liability if they failed to take the race-conscious action, i.e., allowing the eligibility lists to expire,

inasmuch as the examinations in question were job-related and consistent with business necessity” (*Margerum v City of Buffalo*, 83 AD3d 1575, 1576 [4th Dept 2011]).

With liability established, the trial court proceeded with a bench trial on damages culminating in a judgment awarding plaintiffs \$2,510,170 in economic damages and \$255,000 in emotional distress damages. The Appellate Division reduced the economic damages, yielding a final judgment of \$1,621,607 (108 AD3d 1021 [2013]). This Court granted leave to appeal to both plaintiffs and the City.

[1] Preliminarily, we reject the City’s argument for dismissal on the basis of plaintiffs’ failure to file a notice of claim prior to commencement of this action. General Municipal Law § 50-e (1) (a) requires service of a notice of claim within 90 days after the claim arises “[i]n any case founded upon tort where a notice of claim is required by law as a condition precedent to the commencement of an action or special proceeding against a public corporation.” General Municipal Law § 50-i (1) precludes commencement of an action against a city “for personal injury, wrongful death or damage to real or personal property alleged to have been sustained by reason of the negligence or wrongful act of such city,” unless a notice of claim has been served in compliance with section 50-e. The Appellate Division departments addressing the issue have determined that the General Municipal Law does not encompass a cause of action based on the Human Rights Law and “[s]ervice of a notice of claim is therefore not a condition precedent to commencement of an action based on the Human Rights Law in a jurisdiction where General Municipal Law §§ 50-e and 50-i provide the only notice of claim criteria” (*Picciano v Nassau County Civ. Serv. Commn.*, 290 AD2d 164, 170 [2d Dept 2001]; see *Sebastian v New York City Health & Hosps. Corp.*, 221 AD2d 294, 294 [1st Dept 1995]; *Palmer v City of New York*, 215 AD2d 336, 336 [1st Dept 1995]). Human rights claims are not tort actions under section 50-e and are not personal injury, wrongful death, or damage to personal property claims under section 50-i. Nor do we perceive any reason to encumber the filing of discrimination claims. Accordingly, we conclude that there is no notice of claim requirement here.

[2] As to liability, we do not believe that this is an issue that should have been decided at the summary judgment stage. In *Ricci v DeStefano*, the United States Supreme Court held that

before taking race-based action, “the employer must have *a strong basis in evidence* to believe it will be subject to disparate-impact liability if it fails to take the race-conscious, discriminatory action” (557 US at 585 [emphasis added]). As both parties agree, the *Ricci* standard governs. We have consistently held that the standards for recovery under the New York Human Rights Law are in nearly all instances identical to title VII and other federal law (see e.g. *Forrest v Jewish Guild for the Blind*, 3 NY3d 295, 305 n 3 [2004]; *Rainer N. Mittl, Ophthalmologist, P.C. v New York State Div. of Human Rights*, 100 NY2d 326, 330 [2003]).

In *United States v Brennan* (650 F3d 65 [2d Cir 2011]), the Second Circuit cautioned against allowing a defendant to rely on after-acquired evidence to buttress a race-based decision, noting that the *Ricci* Court “considered only what the city knew at the time it made its decision,” and explaining:

“The rationale underlying *Ricci*, moreover, confirms that the evidence is to be gauged at the time of the race- or sex-conscious employer action. The strong-basis-in-evidence standard is intended to ‘strike[] a . . . balance’ between the Title VII provisions concerning disparate treatment and disparate impact, so that employers make the right decisions in the first place” (*id.* at 111).

In this case, the issue of liability turns on the factual circumstances behind the City’s actions, the strength of its justifications and its motivations. It is undisputed that the plaintiffs here made out a prima facie case of discrimination, as the City chose not to promote white candidates from the eligibility list. The burden then shifted to the City to prove that it had “a strong basis in evidence” to justify its race conscious action (see *Christopher v Adam’s Mark Hotels*, 137 F3d 1069, 1071 [8th Cir 1998] [“We proceed with caution when deciding whether summary judgment is appropriate in employment discrimination cases because intent is usually a central issue”]; and see *St. Mary’s Honor Center v Hicks*, 509 US 502, 507-508 [1993]; *McDonnell Douglas Corp. v Green*, 411 US 792, 802 [1973]; *Forrest*, 3 NY3d at 328 [“Whether or not these changes occurred as a result of the grievances filed by appellant would arguably be a question of fact for the jury. Further, whether or not appellant was terminated as a result of her grievances and for filing a complaint in September 1994 with the EEOC and New York City Human Rights Commission would also arguably be questions for the jury”]).

Given the nature of the matter, the City's litigation posture in the *MOCHA* court cannot be taken at face value. There must be a credibility assessment of the City's position as to the validity of the examinations, the prospects in the federal litigation, and the reasons for its decision to expire the promotion eligibility lists. We know that Matarese decided to let the promotion eligibility lists expire in 2005 and 2006. What we do not know is why. There are differences between Matarese's testimony from 2006 and his testimony from 2010. The October 25, 2006 testimony, given while the *MOCHA* litigation was pending, is vague, and mostly focuses on his desire to undo the racial imbalance in the fire department. Matarese's affidavit, dated January 20, 2010, explicitly cites the advice of the City's expert, Dr. Nancy Abrams—that there was a substantial risk that the *MOCHA* plaintiffs would prevail in federal court—as the City's reason for allowing the lists to expire. In light of *Brennan* (650 F3d at 111), the facts thus far ascertained are insufficient to determine what the City's intentions were at the time that the lists were expired.

Based on the record before us, we conclude that whether the City had “a strong basis in evidence to believe it [would] be subject to disparate-impact liability” at the time that it terminated the promotion eligibility lists while the *MOCHA* litigation was still pending raises issues of fact that cannot be determined on motions for summary judgment.

Accordingly, the order of the Appellate Division should be modified, without costs, by remitting to Supreme Court for further proceedings in accordance with this opinion, and, as so modified, affirmed.

READ, J. (concurring). The threshold question on this appeal is whether a timely notice of claim was a condition precedent to plaintiffs' lawsuit alleging that the City of Buffalo violated the Human Rights Law. I agree with my colleagues that sections 50-e and 50-i of the General Municipal Law are more naturally read to exclude plaintiffs' claims from the notice-of-claim requirements generally applicable to suits against governmental entities. I write separately simply to highlight an inconsistency in New York law, which the legislature might choose to address.

We have held that an employment discrimination claim brought against a *county* under the Human Rights Law is subject to County Law § 52 (1)'s notice-of-claim requirement (*Mills v County of Monroe*, 89 AD2d 776 [4th Dept 1982], *aff'd*

59 NY2d 307, 309 [1983], *cert denied* 464 US 1018 [1983], *overruled in part on other grounds by Felder v Casey*, 487 US 131 [1988]; *see also Matter of Freudenthal v County of Nassau*, 99 NY2d 285, 292-293 [2003]). Section 52 (1) is worded similarly, but not identically, to section 50-i.

In *Mills*, we observed that

“the State’s notice requirements are [not] antithetical to the policy underlying the civil rights laws . . .

“[N]otice of claim requirements in this State serve an important State interest. Requiring notice allows a governmental subdivision a meaningful opportunity to investigate in a timely manner the circumstances that gave rise to a claim” (59 NY2d at 310).

There are certainly reasons why the legislature might nonetheless choose to treat civil rights actions differently, as this opinion suggests; however, it is hard to believe that the legislature ever intended to create a situation where an action brought against the County of Erie alleging violations of the Human Rights Law would require a notice of claim as a condition precedent to suit, while the same type of action brought against the City of Buffalo would not.

RIVERA, J. (concurring in part and dissenting in part). I agree, albeit for different reasons, that plaintiffs are not entitled to summary judgment on the issue of liability under the New York State Human Rights Law. In my opinion, an employer’s rejection of employment criteria in order to avoid disparate impact does not constitute statutorily proscribed intentional discrimination. As a consequence, the plaintiffs’ disparate treatment claims are without merit and should be dismissed, and the case remitted for consideration of the plaintiffs’ remaining claims. Moreover, I disagree with the majority that the “strong basis in evidence” standard set forth in *Ricci v DeStefano* (557 US 557 [2009]) applies to the parties’ dispute. That standard undermines the legislative purpose and stated equal opportunity goals of our Human Rights Law and we should reject it outright. I write separately to explain what I consider to be the proper approach to plaintiffs’ Human Rights Law claims.¹

New York State is a pioneer in addressing discrimination at the workplace. In 1945, two decades before the effective date of title VII, New York enacted the Ives-Quinn Anti-Discrimination

1. Plaintiffs’ challenges under the State Constitution are not at issue in this appeal and I express no opinion on the merits of those claims.

Law, prohibiting discrimination on the basis of race, creed, color or national origin (L 1945, ch 118). After its enactment as the first state statute to ban employment discrimination in the private sector, the law was renamed in 1968 to the New York State Human Rights Law (L 1968, ch 958; *see also* Susan D. Carle, *How Myth-Busting About the Historical Goals of Civil Rights Activism Can Illuminate Future Paths*, 7 Stan J Civ Rts & Civ Liberties 167, 173 [2011]). Over time the legislature expanded the law's coverage to provide maximum protection to New Yorkers, by prohibiting discrimination on the basis of age, sexual orientation, military status, sex, disability, predisposing genetic characteristics, marital status, and domestic violence victim status² (L 1975, ch 803; L 1996, ch 204; L 2002, ch 2; L 2003, ch 106; L 2005, ch 75; L 2009, ch 80; L 2010, ch 196).

The legislature intended for the Human Rights Law to protect “the public welfare, health and peace of the people” of the State of New York, “in fulfillment of the provisions of the constitution of this state concerning civil rights” (Executive Law § 290 [2]). As part of the legislative findings and statutory purpose, the Human Rights Law declares

“the state has the responsibility to act to assure[,] [inter alia,] that every individual within this state is afforded an equal opportunity to enjoy a full and productive life and that the failure to provide such equal opportunity . . . not only threatens the rights and proper privileges of its inhabitants but menaces the institutions and foundation of a free democratic state and threatens the peace, order, health, safety and general welfare of the state and its inhabitants” (Executive Law § 290 [3]; *see also State Div. of Human Rights v Kilian Mfg. Corp.*, 35 NY2d 201, 207 [1974]).

From its original enactment, the legislature adopted the lexicon of “rights-based guarantees” and declared “[t]he opportunity to obtain employment without discrimination . . . to

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2. Under the Human Rights Law, it is an unlawful discriminatory practice “[f]or an employer or licensing agency, because of an individual’s age, race, creed, color, national origin, sexual orientation, military status, sex, disability, predisposing genetic characteristics, marital status, or domestic violence victim status, to refuse to hire or employ or to bar or to discharge from employment such individual or to discriminate against such individual in compensation or in terms, conditions or privileges of employment” (Executive Law § 296 [1] [a]).

be a civil right”³ (Executive Law § 291 [1]). Since 1945, the legislature has amended the civil rights provision of the Human Rights Law several times, and on each occasion extended the provision’s anti-discrimination protections (*see* L 1975, ch 803 [extending the prohibition against discrimination to include discrimination on the basis of age or marital status]; L 2002, ch 2 [extending the prohibition against discrimination to include discrimination on the basis of sexual orientation]; L 2003, ch 106 [extending the prohibition against discrimination to include discrimination on the basis of military status]; L 2010, ch 196 [extending the prohibition against discrimination to include discrimination on the basis of disability]).

Further amendments to the Human Rights Law have expanded rather than contracted its scope, another indicator of the legislative intent to ensure broad coverage of the protections generally afforded under the statute (*see e.g.* Executive Law § 296 [1] [a], as amended by L 1975, ch 803 [adding prohibition against employment discrimination on the basis of marital status]; Executive Law § 292 [21], as amended by L 1979, ch 594 [expanding scope of Human Rights Law protection by broadening range of disabilities within coverage]; Executive Law § 298-a, as added by L 1975, ch 662 [amending the Human Rights Law to reach acts of discrimination occurring outside the state]).

Undeniably, the statute is an expression of New York State’s commitment to equality within society, based on anti-discrimination principles. It reflects what this Court has recognized is the “State’s strong and important public policy against discrimination” (*New York Inst. of Tech. v State Div. of Human Rights*, 40 NY2d 316, 324-325 [1976]).

The Court has broadly interpreted the Human Rights Law consistent with the statutory mandate that “[t]he provisions of [the Human Rights Law] shall be construed liberally for the accomplishment of [its] purposes” (Executive Law § 300; *see e.g.* *300 Gramatan Ave. Assoc. v State Div. of Human Rights*, 45 NY2d 176, 183 [1978] [liberal construction of Human Rights

3. The civil rights provision of the Human Rights Law also recognizes as a civil right “[t]he opportunity to obtain education, the use of places of public accommodation and the ownership, use and occupancy of housing accommodations and commercial space” (Executive Law § 291 [2]). It further declares that “[t]he opportunity to obtain medical treatment of an infant prematurely born alive in the course of an abortion shall be the same as the rights of an infant born spontaneously” (Executive Law § 291 [3]).

Law guided determination of whether substantial evidence supported decision of New York Division of Human Rights]; *City of Schenectady v State Div. of Human Rights*, 37 NY2d 421, 428 [1975] [relying on liberal construction of the Human Rights Law to reject argument that City and Police Department should not be liable where independent board they created discriminated on the basis of sex]; *New York Inst. of Tech.*, 40 NY2d at 324-325 [liberal construction supported granting Division of Human Rights power to grant professor tenure]). Indeed, it is “the duty of courts to make sure that the Human Rights Law works and that the intent of the Legislature is not thwarted by a combination of strict construction of the statute and a battle with semantics” (*City of Schenectady*, 37 NY2d at 428). To that end, the Court has held that “an employment practice neutral on its face and in terms of intent which has a disparate impact upon a protected class of persons violates the Human Rights Law unless the employer can show justification for the practice in terms of employee performance” (*People v New York City Tr. Auth.*, 59 NY2d 343, 348-349 [1983], citing *Matter of Sontag v Bronstein*, 33 NY2d 197, 201 [1973]; *City of Schenectady*, 37 NY2d at 429, citing *New York State Div. of Human Rights v New York-Pa. Professional Baseball League*, 36 AD2d 364, 367 [4th Dept 1971]).

As a precursor to the 1964 Civil Rights Act, the Human Rights Law is not modeled on title VII, and has certain significant distinctions that extend its coverage beyond that of title VII. For example, the Human Rights Law prohibits employment discrimination on additional grounds of sexual orientation, predisposing genetic characteristics, marital status, domestic violence victim status, and certain arrest or criminal accusation records (*compare* Executive Law § 296 [1] [a]; [16] *with* 42 USC § 2000e-2). In addition, the Human Rights Law applies to more employers than does title VII. The Human Rights Law covers employers with at least four employees, while title VII is limited to employers with at least 15 employees (*compare* Executive Law § 292 [5] *with* 42 USC § 2000e [b]). However, title VII affords greater financial relief than the Human Rights Law by providing for punitive damages and attorney’s fees (42 USC § 1981a [b] [1] [providing for punitive damages]; 42 USC § 2000e-5 [k] [providing for attorney’s fees]).

Nevertheless, the Human Rights Law and title VII are generally consistent, with similar language and goals. Indeed, the Court has recognized that “[t]he standards for recovery under

[the Human Rights Law] are in accord with Federal standards under title VII” (*Ferrante v American Lung Assn.*, 90 NY2d 623, 629 [1997]). The Court has concluded that “[b]ecause both the Human Rights Law and title VII address the same type of discrimination, afford victims similar forms of redress, are textually similar and ultimately employ the same standards of recovery, federal case law in this area also proves helpful” (*Forrest v Jewish Guild for the Blind*, 3 NY3d 295, 305 n 3 [2004], citing *Matter of Aurecchione v New York State Div. of Human Rights*, 98 NY2d 21, 26 [2002]).

Here, however, we are not presented with a federal standard recognized previously by our courts as “in accord” with the Human Rights Law (*Ferrante*, 90 NY2d at 629). Rather, the question in this appeal is what standard applies to the plaintiffs’ state law claims. Relying on the Court’s prior application of federal law, but without significant analysis of the propriety of doing so in this case, the majority agrees with the courts below that the “strong basis in evidence” standard applicable under title VII as announced in *Ricci* should also apply to the plaintiffs’ Human Rights Law claims (majority op at 730-731). However, before adopting this standard we must carefully scrutinize the text and intended purpose of the Human Rights Law to ensure that the federal approach under title VII is best suited to further our State’s law and policy.

In the past, the Court has “attempted to resolve federal and state employment discrimination claims consistently” (*Aurecchione*, 98 NY2d at 25, citing *Ferrante*, 90 NY2d at 629). In light of the federal and state statutory alignment and our Court’s past treatment of federal law, any departure from federal analysis requires close consideration. Our rejection of the federal approach should be limited to those rare cases where federal interpretations of title VII are at odds with, or undermine, the text or legislative goals of the Human Rights Law. For example, where the federal standard contracts rather than expands the application of the statute, or places the well-established legislative goal of equal opportunity in jeopardy, federal case law provides little guidance. Moreover, if the federal standard is a significant break from our prior approach we must consider if avoidance of the federal analysis is warranted as a matter of state law.

In my opinion, the instant appeal presents the rare case where we must reject the federal “strong basis in evidence” standard because it is in contravention of the legislative intent and goals

of the Human Rights Law to ensure equal opportunity at the workplace. The federal approach essentially subordinates the interests of plaintiffs alleging disparate impact to those of plaintiffs claiming disparate treatment. According to the majority and dissent in *Ricci*, the standard conceives of a contest between individual claims of intentional discrimination, i.e. disparate treatment claims, and efforts to avoid liability for employment practices with disparate effects, i.e. disparate impact claims (*see Ricci*, 557 US at 580-582 [Kennedy, J.]). As the dissent in *Ricci* argues, this is an incorrect view of title VII and federal case law (*Ricci*, 557 US at 624 [Ginsburg, J., dissenting] [“Neither Congress’ enactments nor this Court’s Title VII precedents . . . offer even a hint of ‘conflict’ between an employer’s obligations under the statute’s disparate-treatment and disparate-impact provisions”]). I too find that there is no contest between these two branches of discrimination theory, and therefore would find that the standard has no place in our interpretation of the Human Rights Law.

Anti-discrimination law posits just the opposite of the standard as conceived in *Ricci*, because *Ricci* treats the choice to reject criteria that has discriminatory results as an exercise in wrongful discrimination, while anti-discrimination law focuses on a society free of the mechanisms and tools which would result in disparate outcomes. Anti-discrimination laws and statutes aimed at achieving equal opportunity in employment, like the Human Rights Law, are based on the foundational principle that a workplace conceived and established in accordance with practices that result in disparate effects is harmful and unlawful. Hence, claims that rely on the reenforcement of employment criteria that results in a disparate impact are devoid of a sound legal or public policy grounding.

Under the Human Rights Law, no individual has a stake in a work force selected and maintained through the use of criteria that result in proscribed disparities. A work force so constituted is antithetical to the statute’s concept of equal opportunity, and the right to employment purged of discrimination (Executive Law § 296). Moreover, a workplace structured to further inequality violates the Human Rights Law because it “threatens the rights and proper privileges of [New York State’s] inhabitants [and] menaces the institutions and foundation of a free democratic state and threatens the peace, order, health, safety and general welfare of the state and its inhabitants” (Executive Law § 290 [3]). Since an employer does not commit statutorily

proscribed intentional discrimination when the employer seeks to reduce and eliminate the causes of inequality at the workplace, the *Ricci* standard cannot guide our resolution of the issues presented in this appeal.

Another reason why we should reject the federal approach is because it discourages an employer's voluntary compliance out of fear the employer will be unable to establish "the strong basis in evidence" necessary to avoid liability for disparate treatment claims. By requiring more than prima facie evidence of disparate impact established by statistical disparities at the workplace, the standard imposes a heavy burden on employers, which ultimately leads to employer inaction. Obviously, the costs of litigation and the impact on municipal functions puts significant pressure on a municipal employer to avoid litigation. As amici argue in support of the City, "[p]rotracted employment litigation . . . has a highly disruptive effect on the provision of vital public services that goes well beyond the havoc [wreaked] on the public fisc" (brief for International Municipal Lawyers Association as amicus curiae at 20). Thus, the federal approach incentivizes employers to maintain the status quo, and retain employment criteria regardless of the disparate effects, in contravention of the Human Rights Law's goals of ensuring "that every individual within this state is afforded an equal opportunity to enjoy a full and productive life" (Executive Law § 290 [3]), and discrimination-free employment (Executive Law § 291 [1]). Rather than encourage employers to adopt tests and employment practices which ensure equal access to jobs, the federal standard does just the opposite.

The appeal before us is an example of why the federal standard is ill-suited to ensure compliance with the Human Rights Law. As the majority points out, the City of Buffalo has historically discriminated in employment for jobs within the fire and police departments (majority op at 727-728). The consequences of its actions were so severe and obvious that the United States government sued to bring it in line with federal anti-discrimination laws. The remedial order enjoined the City

"from engaging in any . . . practice with respect to hiring, assignment, promotion, transfer, training or compensation which has the purpose or effect of discriminating against any employee . . . with . . . the Buffalo . . . Fire Department because of such individual's race, sex or national origin, nor will

they engage in any other acts or practices which deny to blacks, [Hispanics] or women equal employment opportunities” (final decree and order of Nov. 23, 1979 ¶ 1).

When the City applied tests which resulted in racial and ethnic disparities in promotional practices, it was sued by Members of Color Helping All (MOCHA). In the course of defending these practices and tests, the City was presented with opinions from its own expert and the plaintiffs’ expert that the method used to validate the examinations was flawed. The City’s expert concluded that “the scientific evidence supporting the validity of [the examination] was limited” and “it might not be in the City’s best interest to call [her] to testify.” She further concluded that there was a substantial risk that the MOCHA plaintiffs would prevail. Faced with a choice to continue using a promotion tool criticized as flawed, or abandoning a test whose methodology was contested even by the City’s own expert, the Commissioner chose to forgo any further use of the eligibility list created based on the invalid examination.

The Commissioner’s actions were in full compliance with the Human Rights Law and disparate impact theory as adopted by this Court (see Executive Law § 296; *New York City Tr. Auth.*, 59 NY2d at 348-349; *City of Schenectady*, 37 NY2d at 429; *Bronstein*, 33 NY2d at 201). Yet, under the federal standard, the City would be liable for employment discrimination if it fails to establish “a strong basis in evidence that, had it not taken the action, it would have been liable” for disparate impact discrimination under title VII (*Ricci*, 557 US at 563). This is a real possibility given the majority concludes that, despite the existence of expert evidence of actionable disparate impact, the City may be unable to establish the Commissioner’s motives were nondiscriminatory in nature. Thus, even though the City did not incur liability in the MOCHA federal action, it is unclear whether it will prevail in this case.⁴

As a last point, I note that the federal standard has the potential to create an untenable situation for employers sued by different parties, under different theories, seeking conflicting outcomes. An employer could find itself taking positions in liti-

4. The federal district court concluded that the City established that the 1998 examination was “job-related . . . and consistent with business necessity” (*M.O.C.H.A. Socy., Inc. v City of Buffalo*, 2009 WL 604898, *18, 2009 US Dist LEXIS 20070, *55-56 [WD NY Mar. 9, 2009, No. 98-CV-99C], *affd* 689 F3d 263 [2d Cir 2012]).

gation which appear contradictory, to its detriment. For example, here, the City defended the use of the eligibility examinations in the federal lawsuit, even after it had evidence from its own expert that the examination was flawed. Nevertheless, the City argued in the instant case, in reliance on that very same expert evidence, that the Commissioner allowed the eligibility lists to expire because he believed the tests were invalid. The plaintiffs in the state action understandably sought to exploit these facially divergent positions, and challenged the Commissioner's credibility based on the content of his statements in the two lawsuits. Indeed, the majority accepts that the differences in the Commissioner's testimony in 2006 from that provided in 2010 raises a question as to his motives.

Aside from whether as a legal matter the City's positions in the two lawsuits can be justified and harmonized, it is difficult to see how adoption of a standard that creates such potential conflict is within the spirit of the Human Rights Law. It seems a disservice to the goal of equal opportunity to expend municipal and judicial resources in litigation that apparently lacks legal merit.

The Court has historically considered federal case law in deciding questions regarding the proper interpretation and application of the Human Rights Law. We should continue to do so in the future, except in the rarest of cases where the federal approach undermines the clearly stated and well-established purpose and goals of the Human Rights Law. I believe the federal standard adopted by the majority is not in accord with the anti-discrimination equality principles upon which the Human Rights Law is based, and, in contravention of the law, encourages employers to retain invalid, discriminatory employment criteria.

Judges READ, PIGOTT and ABDUS-SALAAM concur; Judge READ in a separate concurring opinion; Judge RIVERA concurs in part and dissents in part in an opinion; Judges STEIN and FAHEY taking no part.

Order modified, without costs, by remitting to Supreme Court, Erie County, for further proceedings in accordance with the opinion herein and, as so modified, affirmed.

[28 NE3d 527, 5 NYS3d 348]

GRAHAM COURT OWNERS CORP., Appellant, v KYLE TAYLOR, Respondent.

Argued January 14, 2015; decided February 19, 2015

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered January 21, 2014. The Appellate Division modified, on the law, an order of the Appellate Term of the Supreme Court in the First Judicial Department (op 34 Misc 3d 153[A], 2012 NY Slip Op 50324[U] [2012]), which, to the extent appealed from as limited by the briefs, had modified a judgment (denominated order) of the Civil Court of the City of New York, New York County (Jean T. Schneider, J.). The judgment, among other things, had granted respondent's claim for attorneys' fees pursuant to Real Property Law § 223-b and denied respondent's claim for attorneys' fees pursuant to Real Property Law § 234. The modification by the Appellate Term consisted of deleting the provision of the judgment awarding respondent attorneys' fees pursuant to Real Property Law § 223-b. The modification by the Appellate Division consisted of granting respondent's claim for attorneys' fees pursuant to Real Property Law § 234. The Appellate Division remanded the matter to Civil Court for a hearing to determine the fee amount and affirmed the order as modified. The following question was certified by the Appellate Division: "Was the order of this Court, which modified and otherwise affirmed the order of the Appellate Term, properly made?"

Graham Ct. Owner's Corp. v Taylor, 115 AD3d 50, affirmed.

HEADNOTE

Landlord and Tenant — Lease — Attorneys' Fees Provision

Respondent tenant, having prevailed in his defense of petitioner landlord's holdover proceeding, was entitled to attorneys' fees pursuant to Real Property Law § 234 where the parties' lease permitted petitioner to, upon respondent's default, cancel the lease, repossess the premises and collect attorneys' fees incurred in retaking possession. Under section 234, where a lease permits a landlord, in any action or summary proceeding, to recover attorneys' fees as a result of the tenant's breach, the court must interpret the lease to similarly permit the tenant to seek fees incurred as a result of the landlord's breach or the tenant's successful defense of a proceeding by the landlord. Here, the lease provided the basis for respondent's claim for reciprocal rights to attorneys' fees by permitting petitioner, where respondent was properly notified but

failed to cure a default, to cancel the lease and retake possession of the premises, if necessary, by way of an eviction proceeding or other lawsuit and to recover expenses, including reasonable legal fees. The lease thus anticipated that after respondent's default led to the reletting of the premises, petitioner would be entitled to collect attorneys' fees incurred in gaining possession, and therefore complied with the requirements of section 234.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Landlord and Tenant §§ 94–96.
CARMODY-WAIT 2d, Summary Proceedings to Recover Possession of Real Property §§ 90:8, 90:9.
DOLAN, RASCH'S NEW YORK LANDLORD AND TENANT INCLUDING SUMMARY PROCEEDINGS (4th ed) § 45:18.
MCKINNEY'S, Real Property Law § 234.
NY JUR 2d, Landlord and Tenant §§ 103–105; NY JUR 2d, Real Property—Possessory and Related Actions § 251.

ANNOTATION REFERENCE

See ALR Index under Attorney's Fees; Landlord and Tenant.

FIND SIMILAR CASES ON WESTLAW®

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Query: tenant /4 entitled /4 attorney /2 fee /s holdover

POINTS OF COUNSEL

Kucker & Bruh, LLP, New York City (*Nativ Winiarsky* and *Patrick K. Munson* of counsel), for appellant. I. The lease in this matter does not provide for an award of attorneys' fees to the petitioner and it was error for the Appellate Division to find that the reciprocal provisions of Real Property Law § 234 required the award of attorneys' fees to the respondent. (*Matter of Duell v Condon*, 84 NY2d 773; *Holy Props. v Cole Prods.*, 87 NY2d 130; *Rios v Carrillo*, 53 AD3d 111; *Gordon v Eshaghoff*, 60 AD3d 807; *Whitehouse Estates v Post*, 173 Misc 2d 558; 930 *Fifth Corp. v King*, 42 NY2d 886; *Matter of Casamento v Juarogui*, 88 AD3d 345; *Gottlieb v Kenneth D. Laub & Co.*, 82 NY2d 457; *Mighty Midgets v Centennial Ins. Co.*, 47 NY2d 12.) II. The lease does not provide that the respondent should pay additional rent to cover the petitioner's legal fees. (*Matter of Duell v Condon*, 84 NY2d 773.) III. According to established precedent a statute which provides for attorneys' fees in a manner contrary to the American rule should be strictly construed. (*Hooper*

Assoc. v AGS Computers, 74 NY2d 487; *Bunny Realty v Miller*, 180 AD2d 460; *Gottlieb v Kenneth D. Laub & Co.*, 82 NY2d 457; *Oxford Towers Co., LLC v Wagner*, 58 AD3d 422; *Madison-68 Corp. v Malpass*, 65 AD3d 445; *Gannett Suburban Newspapers v El-Kam Realty Co.*, 306 AD2d 312; 303 E. 37th Sponsors Corp. v Goldstein, 29 Misc 3d 131[A], 2010 NY Slip Op 51880[U]; *Hamilton v Menalon Realty, LLC*, 14 Misc 3d 13; *Eastern Consol. Props. v Adelaide Realty Corp.*, 95 NY2d 785; *People v Hobson*, 39 NY2d 479.) IV. Even if Real Property Law § 234 does apply the respondent would not be entitled to an award of attorneys' fees due to his substantial breach of lease. (*Nestor v McDowell*, 81 NY2d 410; 433 *Sutton Corp. v Broder*, 107 AD3d 623, 22 NY3d 1161; *Haberman v Hawkins*, 170 AD2d 377; *Rumiche Corp. v Eisenreich*, 40 NY2d 174; *Freehold Invs. v Richstone*, 34 NY2d 612; *Ram I v Stuart*, 248 AD2d 255; 350 E. 62nd St. Assoc. v Vecilla, 182 Misc 2d 68; *First Ave. Vil. Corp. v Harrison*, 17 Misc 3d 20; *Matter of Stepping Stones Assoc. v Seymour*, 48 AD3d 581.)

Bierman & Palitz LLP, New York City (Mark H. Bierman of counsel), for respondent. I. The order of the Appellate Division holding that tenant is entitled to an award of attorneys' fees under the lease between the parties and the provisions of Real Property Law § 234 should be affirmed. (*Matter of Duell v Condon*, 84 NY2d 773; *W.W.W. Assoc. v Giancontieri*, 77 NY2d 157; *Bailey v Fish & Neave*, 8 NY3d 523; *J.W. Mays, Inc. v Snyder Fulton St., LLC*, 69 AD3d 572; *People v Taylor*, 9 NY3d 129; *K2 Inv. Group, LLC v American Guar. & Liab. Ins. Co.*, 22 NY3d 578; *Holy Props. v Cole Prods.*, 87 NY2d 130; 245 *Realty Assoc. v Sussis*, 243 AD2d 29; *Underhill v Collins*, 132 NY 269; *Maplewood Mgt. v Best*, 143 AD2d 978.) II. Landlord's argument that plaintiff is not entitled to attorneys' fees under Real Property Law § 234 because he purportedly breached his lease is improperly raised and otherwise baseless. (*Matter of Darryl Clayton T. [Adele L.]*, 95 AD3d 562; *Kermanshah Oriental Rugs, Inc. v Gollender*, 47 AD3d 438; *People v Watson*, 245 AD2d 87; *People v Torres*, 108 AD3d 474; *Burke v Crosson*, 85 NY2d 10; *Community Counseling & Mediation Servs. v Chera*, 115 AD3d 589; *Board of Mgrs. of 55 Walker St. Condominium v Walker St.*, 6 AD3d 279; *Senfeld v I.S.T.A. Holding Co.*, 235 AD2d 345, 91 NY2d 956, 92 NY2d 818; *Jacreg Realty Corp. v Barnes*, 284 AD2d 280; *Symphony Space v Pergola Props.*, 214 AD2d 66.) III. Tenant is entitled to an award of attorneys' fees and costs as an element of compensation for damages under Real Property Law § 223-b and common law. (*Mayfair York v Zimmerman*, 183 Misc

2d 282; *601 W. 160 Realty Corp. v Henry*, 183 Misc 2d 666, 189 Misc 2d 352; *Kumble v Windsor Plaza Co.*, 161 AD2d 259; *Matter of Green [Potter]*, 51 NY2d 627; *Braithwaite v 409 Edgecombe Ave. HDFC*, 294 AD2d 233; *United Pickle Co. v Omanoff*, 63 AD2d 892; *Fugazy Travel Bur. v Ernst & Ernst*, 31 AD2d 924; *Broughton v State of New York*, 37 NY2d 451; *Avildsen v Prystay*, 204 AD2d 154; *Coopers & Lybrand v Levitt*, 52 AD2d 493.)

OPINION OF THE COURT

RIVERA, J.

We hold that Real Property Law § 234, which imposes a covenant in favor of a tenant's right to attorneys' fees, applies to a lease that authorizes the landlord to cancel the lease upon tenant's default, repossess the premises and then collect attorneys' fees incurred in retaking possession. Such lease permits the landlord to recover fees that result from the tenant's breach, and therefore serves as the basis for the tenant's statutorily implied rights to attorneys' fees. Here, we agree with the Appellate Division that Real Property Law § 234 applies to the parties' lease and that the tenant is entitled to attorneys' fees as the prevailing party in this summary holdover proceeding.

I.

The parties' current dispute arose from a holdover proceeding commenced by the landlord, appellant Graham Court, against tenant, respondent Kyle Taylor. The apparent basis for the holdover proceeding can be traced back to the tenant's successful rent overcharge complaint filed with the New York State Division of Housing and Community Renewal (DHCR). There, the landlord denied the overcharge, contending that the apartment was properly deregulated under the law, based on various renovations allegedly conducted by the landlord. Tenant, in turn, asserted that it was he who had performed electrical upgrade work on the premises for which the landlord sought to take credit. DHCR eventually found that the landlord misrepresented the facts, and concluded that the apartment was subject to regulation, and the landlord had overcharged the tenant. By way of relief, DHCR ordered a rent reduction and repayment for the overcharges, and awarded the tenant treble damages in accordance with Administrative Code of the City of New York § 26-516. The Appellate Division subsequently affirmed Supreme Court's dismissal of the landlord's CPLR article 78 challenge to

DHCR's determination (*Matter of Graham Ct. Owners Corp. v Division of Hous. & Community Renewal*, 71 AD3d 515 [1st Dept 2010]).

Approximately four months after DHCR rendered its decision in favor of the tenant, and while the landlord's article 78 was pending in Supreme Court, the landlord commenced the underlying summary holdover action against the tenant seeking to evict the tenant and regain possession of the premises, and demanding rent arrears and \$3,000 in legal fees. In support of its claims, the landlord alleged that the tenant breached the lease by failing to obtain the required prior written consent to install a new electrical system in the kitchen—the same electric upgrade work disputed by the parties in the matter before DHCR. When the tenant failed to cure the breach or vacate the premises, the landlord commenced the holdover proceeding.

For his part, the tenant denied that he breached the lease, and asserted a defense of retaliatory eviction under Real Property Law § 223-b seeking all appropriate relief under that provision. Tenant also counterclaimed for attorneys' fees and damages under sections 234 and 223-b. The landlord responded in a posttrial memorandum that Real Property Law § 234 did not apply because the statute only recognized a tenant's implied right to attorneys' fees if the lease provided for landlord's fees incurred in an action for the tenant's breach, and that the parties' lease lacked such a provision.

Civil Court dismissed the proceeding, finding the tenant had not breached the lease because the landlord's agents authorized the tenant's electrical work. Moreover, the court concluded the landlord's principal lied repeatedly during the course of the nonjury trial, and the proceeding was commenced in retaliation for the tenant's successful DHCR rent overcharge claim. Thus, the court awarded the tenant attorneys' fees as part of the damages for the retaliatory eviction under Real Property Law § 223-b (5), but denied fees under section 234. Both parties thereafter appealed. Appellate Term modified, denying the tenant attorneys' fees under Real Property Law § 223-b, and otherwise affirmed (*Graham Ct. Owners Corp. v Taylor*, 34 Misc 3d 153[A], 2012 NY Slip Op 50324[U] [2012]).

In a split decision, the Appellate Division modified, on the law, by granting the tenant's claim for attorneys' fees pursuant to Real Property Law § 234 and remanding for a hearing on the fee amount, and otherwise affirmed (*Graham Ct. Owner's Corp.*

v Taylor, 115 AD3d 50 [1st Dept 2014]).* The Court concluded that the lease provides that in any action or summary proceeding the landlord may recover attorneys' fees incurred as a result of the tenant's failure to perform a covenant or agreement contained in such lease, and therefore fits within the statute's coverage. The dissent argued that section 234 should be strictly construed, and as such could not be extended to apply to the lease which merely allows for an offset of rents collected when the landlord relets the premises.

The Appellate Division subsequently granted the landlord's motion for leave to appeal, certifying a question whether its order was properly made. We now hold that Real Property Law § 234 applies to the lease and answer the question in the affirmative.

II.

Under Real Property Law § 234,

“Whenever a lease of residential property shall provide that in any action or summary proceeding the landlord may recover attorneys' fees and/or expenses incurred as the result of the failure of the tenant to perform any covenant or agreement contained in such lease, or that amounts paid by the landlord therefor shall be paid by the tenant as additional rent, there shall be implied in such lease a covenant by the landlord to pay to the tenant the reasonable attorneys' fees and/or expenses incurred by the tenant as the result of the failure of the landlord to perform any covenant or agreement on its part to be performed under the lease or in the successful defense of any action or summary proceeding commenced by the landlord against the tenant arising out of the lease.”

In order for the tenant to be eligible for attorneys' fees under this section, the parties' lease must permit the landlord, in any action or summary proceeding, to recover attorneys' fees as a result of the tenant's breach. Where a lease so provides, the court must interpret the lease to similarly permit the tenant to seek fees incurred as a result of the landlord's breach or the tenant's successful defense of a proceeding by the landlord.

* The Appellate Division did not address whether, in the alternative, the tenant is entitled to attorneys' fees under Real Property Law § 223-b.

Here, we hold that paragraph 15 provides the basis for the tenant's claim for reciprocal rights to attorneys' fees within the meaning of Real Property Law § 234.

Paragraph 15 of the lease, titled "Tenant's default," sets forth the landlord's remedies and the tenant's liabilities upon the tenant's failure to comply with a term or rule in the lease. According to this paragraph, where a properly notified tenant fails to cure a default the landlord may cancel the lease and retake possession of the premises, if necessary, by way of an eviction proceeding or other lawsuit. Upon cancellation of the lease and the landlord's repossession of the premises the tenant is liable for rent for the unexpired term. The landlord's rights to attorneys' fees are set forth in clause (D) (3) of this paragraph, which states, in part,

"D. If this Lease is canceled, or Landlord takes back the Apartment, the following takes place: . . .

"(3) Any rent received by Landlord for the re-renting shall be used first to pay Landlord's expenses and second to pay any amounts Tenant owes under this Lease. Landlord's expenses include the costs of getting possession and re-renting the Apartment, including, but not only reasonable legal fees, brokers fees, cleaning and repairing costs, decorating costs and advertising costs."

Thus, clause (D) (3) anticipates that after a tenant's default leads to the reletting of the premises, the landlord is entitled to collect attorneys' fees incurred in gaining possession. Under these circumstances, clause (D) (3) complies with the requirements of Real Property Law § 234 that the lease provide "in any action or summary proceeding" for the landlord's recovery of attorneys' fees "incurred as the result of the failure of the tenant to perform any covenant or agreement contained in such lease."

The landlord argues that the lease is outside the coverage of Real Property Law § 234 because under clause (D) (3) the landlord may collect attorneys' fees from rents received by re-renting the premises to another tenant, and not from the original defaulting tenant as fees incurred in an action for the tenant's violations of the lease. In essence the landlord seeks to distinguish the attorneys' fees provision on two grounds: the fees permitted under the lease constitute costs for reletting of the premises and not for litigating the tenant's breach; and the

amount recouped as fees is applied as an offset of the amount owed by the tenant, and thus serves to beneficially mitigate the tenant's debt. We find unpersuasive these arguments which seek to avoid the application of Real Property Law § 234 by ignoring the terms of paragraph 15, and the practical implications of clause (D) (3).

Here, the lease provides for the landlord's right to cancel the lease, retake possession and relet the premises only upon the tenant's failure to cure a default. Thus, the landlord's attorneys' fees under paragraph 15 (D) (3) for "getting possession and re-renting" are incurred as a result of the tenant's breach. The issue is not whether the attorneys' fees are available in the landlord's underlying proceeding against the tenant for the breach of the lease. There is no such limitation found in the text of Real Property Law § 234 (see *Matter of Duell v Condon*, 84 NY2d 773, 783 [1995] ["Real Property Law § 234 contains no limitation, stating that its terms apply '(w)henever a lease of residential property' includes an attorneys' fees and expenses clause in favor of the landlord"]). Rather, the issue is whether the lease provides that "in any action or summary proceeding" the landlord may recover attorneys' fees incurred as the result of the tenant's breach of a leasehold covenant or agreement. That is what the lease here provides by permitting recovery of attorneys' fees for getting possession and reletting only when the tenant breaches the lease.

The landlord's other contention that the statute should be treated as a form of mitigation that reduces the amount owed by the tenant to the landlord disregards the import of clause (D) (3). That clause states that "[a]ny rent received by Landlord for the re-renting shall be used first to pay Landlord's expenses and second to pay any amounts Tenant owes under this Lease." By its language, clause (D) (3) must be read to assume that, but for this sequenced payment of attorneys' fees, the tenant would be entitled to demand credit for the full rent collected by the landlord for reletting the premises, and to have that credit applied against any amount the tenant owed under the lease. Thus, because the amounts received are initially used to pay the landlord's attorneys' fees, less money remains for reducing the tenant's outstanding debt. The landlord argues otherwise, but the tenant is effectively paying the landlord's attorneys' fees by way of this "relet and collect" lease provision.

We are mindful that Real Property Law § 234 is a remedial statute intended to "equalize the power of landlords and ten-

ants” (*Duell*, 84 NY2d at 783). As this Court stated in *Duell v Condon*,

“[t]he overriding purpose of Real Property Law § 234 was to level the playing field between landlords and residential tenants, creating a mutual obligation that provides an incentive to resolve disputes quickly and without undue expense. The statute thus grants to the tenant the same benefit the lease imposes in favor of the landlord” (*id.* at 780).

The Court also identified an additional purpose of section 234 “to discourage landlords from engaging in frivolous litigation” intended to “harass tenants, particularly tenants without the resources to resist legal action, into terminating legal occupancy” (*id.*). With this understanding, the Court broadly interpreted Real Property Law § 234, giving expansive meaning to the definition of tenants and the types of landlord actions covered under the statute, and applying the statute retroactively to preexisting leases to extend the reach of the statute.

Of particular relevance to the parties’ dispute in this appeal, the Court in *Duell* rejected a challenge analogous in kind to that asserted by the landlord herein. In *Duell*, the landlord argued that the underlying eviction proceeding fell outside the scope of Real Property Law § 234 because the proceeding was based on the tenant’s failure to occupy the premises as a primary residence, a requirement mandated by law, not by the terms of the lease. The Court found that violation of the statutory residency requirement terminated the tenancy, and obligated the tenant, pursuant to a covenant in the lease, to quit and surrender the premises (*Duell*, 84 NY2d at 782). Since the tenant’s failure to quit resulted in the landlord’s proceeding to evict, the Court concluded that the eviction proceeding constituted litigation arising out of the lease, within the meaning of Real Property Law § 234 (*id.* at 782-783). Similarly, here, the provisions of paragraph 15 permit the landlord to cancel and relet based on the tenant’s default, and provide the nexus between the specific authorization for the landlord’s recovery of attorneys’ fees by re-renting and the tenant’s breach.

Our interpretation of paragraph 15, and clause (D) (3) in particular, furthers the legislative purposes that favor the tenant’s right to attorneys’ fees. In contrast, acceptance of the landlord’s interpretation of Real Property Law § 234 and clause (D) (3) requires that we approve language in this lease whereby the landlord is allowed to recover attorneys’ fees that result from

the tenant's breach, while at the same time denying the tenant a similar right of recovery, merely because the landlord will recoup the fees by reletting the premises. This construction of the statute and the lease agreement would once again favor the landlord, in contravention of the legislative intent to place the parties on an equal footing (*see Duell*, 84 NY2d at 783).

Moreover, this interpretation permits a landlord to escape the statute's coverage by recharacterizing the landlord's attorneys' fees as costs incurred by reletting, contracting the statute's coverage by limiting its scope. It also encourages creative ways to structure recovery of fees so as to appear attenuated from the tenant's breach. As the Appellate Division recognized, this would "reward 'artful draftsmanship' and undermine the salutary purpose of section 234" (*Graham Ct. Owner's Corp.*, 115 AD3d at 59, quoting *Matter of Casamento v Juaregui*, 88 AD3d 345, 357 [2d Dept 2011], quoting *Bunny Realty v Miller*, 180 AD2d 460, 463 [1st Dept 1992]).

The landlord argues, like the Appellate Division dissent, that we must interpret Real Property Law § 234 narrowly because it is in derogation of the common-law rule that disfavors attorneys' fees for prevailing parties. In support, the landlord relies on this Court's decision in *Gottlieb v Kenneth D. Laub & Co.* (82 NY2d 457, 464 [1993]). We disagree that *Gottlieb* requires an outcome in favor of the landlord.

The Court in *Gottlieb* held that Labor Law § 198 did not authorize recovery of attorneys' fees for a common-law contractual claim. In reaching this conclusion, the Court held that the statute's terms and cumulative legislative history evinced an intent to limit its application to "actions for wage claims founded on the substantive provisions of Labor Law article 6" (*id.*). Then, only two years after *Gottlieb*, this Court interpreted Real Property Law § 234 broadly in *Duell*, citing the statutory language, purpose and history, for example, in support of extending the statute's coverage to include as "tenants" nonsignatories to the lease (84 NY2d at 779-782). Notably the Court made no mention of *Gottlieb*, presumably because, unlike Labor Law § 198, the statutory language and the legislative history of Real Property Law § 234 demonstrate an intent to abrogate the common law. Thus, *Gottlieb* does not constrain us from recognizing the tenant's implied right to attorneys' fees based on the language in the lease.

The landlord fares no better by pointing to a statutory construction rule that limits judicial expansion of a remedial

statute to the “fairly expressed provisions of the act” (McKinney’s Cons Laws of NY, Book 1, Statutes § 321, Comment at 492 [1971 ed]). As the Court held in *Duell*, section 234 requires the landlord and tenant be placed on equal footing, a task made easier in this case by the simple fact that paragraph 15 (D) (3) explicitly provides for attorneys’ fees. Moreover, this rule of construction is inapplicable here where the parties themselves have adopted a provision allowing for attorneys’ fees. Having agreed to this provision, the landlord cannot now complain that Real Property Law § 234 imposes an unwelcome displacement of the common-law rule.

Turning to the landlord’s alternative argument that the tenant is not a prevailing party, we conclude that the courts below properly determined that the tenant did not substantially breach the lease because the landlord’s agent authorized the tenant’s conduct (*see Nestor v McDowell*, 81 NY2d 410, 415-416 [1993] [only a prevailing party, who has achieved “the central relief sought,” is entitled to attorneys’ fees]; *cf. Ram I v Stuart*, 248 AD2d 255, 256 [1st Dept 1998] [attorneys’ fees denied where outcome of litigation was not substantially favorable to either side]). Since the tenant succeeded in his defense against the landlord’s holdover proceeding, he is entitled to fees under Real Property Law § 234.

Accordingly, the order should be affirmed, with costs, and the certified question answered in the affirmative.

Chief Judge LIPPMAN and Judges READ, PIGOTT and ABDUS-SALAAM concur; Judges STEIN and FAHEY taking no part.

Order affirmed, with costs, and certified question answered in the affirmative.